

RALPH FOULGER'S ACADEMY OF REAL ESTATE

The Complete Hawai'i Real Estate Salesperson *Textbook*

The full curriculum, 2,290 practice questions explained, real-estate mathematics, and a complete glossary — everything for the license exam, in one volume.

Ralph S. Foulger

LICENSED SINCE 1972 · BROKER · CPM · STATE-CERTIFIED INSTRUCTOR

FIRST EDITION · 2026

PREFACE

About This Textbook

This volume is the complete textbook for the Hawai'i Real Estate Salesperson License course as taught at Ralph Foulger's Academy of Real Estate. It is meant to be the only book a candidate needs: the entire course of study, the full question bank with every answer explained, the real-estate mathematics, and a complete glossary are gathered here in one place.

The book is organized to be read in order. The opening part presents the Academy, the instructor, and the structure of the course. The body delivers the twenty chapters of instruction — eleven on national real-estate principles, nine on Hawai'i law and practice — each chapter pairing its lesson with the questions that test it. The closing parts collect the mathematics drills and the glossary for quick reference.

Every chapter follows the same rhythm: read the lesson, study the key concepts, then work the questions. Each question shows all four options, marks the correct answer, and explains why it is correct — so the book teaches as much through its answer keys as through its lessons. A student who works this book from cover to cover will have met every concept, every calculation, and every question type the Hawai'i Salesperson Examination can present.

The curriculum is aligned to the State of Hawai'i Real Estate Commission's published content outline and to the statutes and rules that govern practice in the Islands — among them HRS Chapters 467, 514B, 521, 247, and 235, and HAR Chapter 16-99. Where Hawai'i law departs from mainland doctrine, the difference is named and explained.

With aloha,

Ralph S. Foulger

PRINCIPAL INSTRUCTOR & FOUNDER

Ralph Foulger's Academy of Real Estate

Hawai'i Broker — Licensed since 1972

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SECTION I

Academy Information

I.1 School Profile & Registration Particulars

LEGAL NAME	Ralph Foulger's Academy of Real Estate
DOING BUSINESS AS	Ralph Foulger's Academy of Real Estate
FOUNDED	January 1996 (thirty years operating)
PRINCIPAL & SOLE INSTRUCTOR	Ralph S. Foulger
PRINCIPAL PLACE OF INSTRUCTION	Honolulu, Island of O'ahu, State of Hawai'i
MODE(S) OF INSTRUCTION	Live-Remote & Online / Independent Study
WEB ADDRESS	ralphfoulger.com
HAWAI'I BROKER LICENSE	Issued April 1987 — continuously active
STATE-CERTIFIED INSTRUCTOR	Salesperson, Broker, Continuing Education
CURRICULUM VERSION	May 2026 (Revision 1.0)

I.2 Mission, Method, and Outcomes

The Academy was founded in 1996 with a single mission: to prepare adult learners in the State of Hawai'i to pass the PSI Real Estate Salesperson Examination on first attempt and to enter the profession with the substantive competence required of a fiduciary. Three decades of teaching across Century 21 School (1993–2006) and the Academy itself have refined our pedagogy into three load-bearing principles.

THE THREE PRINCIPLES OF INSTRUCTION

Substance over slogan. Every concept is anchored to the statute, case, or rule that gives it operative force, with the citation provided. Students leave knowing not only what the rule is but where it lives.

Hawai'i first, Hawai'i last. National doctrine is taught in service of Hawai'i practice. Where Hawai'i law diverges from the mainland — and it diverges materially in agency, land tenure, taxation, and conveyancing — the divergence is named, contrasted, and re-examined.

Assessment as feedback. A passing exam is the floor, not the ceiling. The student who completes this curriculum will be able to defend any answer they gave with reference to first principles.

The Academy is a small, focused operation. There is no marketing department, no franchise, no contracted curriculum vendor. Instruction is delivered personally by the founder. Course materials are written and revised in-house by the instructor of record. Examination items are drafted and validated against the published PSI content outline by the same hand that grades the work.

SECTION II

Instructor Qualifications

2.I Curriculum Vitae — Ralph S. Foulger

RALPH S. FOULGER — Founder and Principal Instructor of Ralph Foulger's Academy of Real Estate. Resident of the State of Hawai'i since 1960.

HAWAII REAL ESTATE LICENSURE

- Hawai'i Real Estate **Salesperson License** — Issued November 1972. *Fifty-three years of continuous active licensure.*
- Hawai'i Real Estate **Broker License** — Issued April 1987. *Thirty-eight years as a licensed broker.*
- State-Certified **Instructor** — Salesperson, Broker, and Continuing Education tracks.

PROFESSIONAL DESIGNATIONS

- **CPM** — Certified Property Manager, awarded June 1985 by the Institute of Real Estate Management (IREM).
- **IREM National Faculty Member** — 1994.

TEACHING HISTORY

- **Ralph Foulger's Academy of Real Estate** — Founded January 1996. Thirty years and counting as principal instructor.
- **Century 21 School of Real Estate** — Instructor 1993–2006 (thirteen years; overlapped with the Academy from 1996 forward).

LEADERSHIP IN THE PROFESSION

- **Hawai'i Association of REALTORS (HARES)** — Past President, 1994–1995.
- **NAIOP Hawai'i** — Past President, 1991–1992.
- **IREM Hawai'i Chapter** — Past President, 1993.

EDUCATION

- **B.A.**, Chaminade University of Honolulu — General Business, Spanish minor.

MILITARY SERVICE

- **United States Air Force**, 1967–1971. C-141 and C-130 aircraft Loadmaster. Honorably discharged 1970.

2.2 Certifications & Industry Service

The Instructor's certification across all three Hawai'i real estate education tracks (salesperson, broker, continuing education) is, to our knowledge, an uncommon distinction. It enables Academy graduates progressing from salesperson to broker to remain with a single instructor across the entire arc of their professional formation, while ensuring continuing-education students taught by Mr. Foulger are receiving instruction calibrated to the same Commission-approved curriculum used for initial licensure.

The combination of three decades of classroom teaching with five decades of active brokerage practice provides students a rare integration of doctrine and operative experience. Statutory provisions are paired with the transactions in which they were tested. Disciplinary cases are taught with the practical conduct that triggered them. The result is a curriculum delivered by a practitioner-teacher, not by a textbook-reader.

SECTION III

Course Overview

3.1 Statutory Basis & Hour Allocation

The Salesperson Prelicensing Course is offered pursuant to *Hawai'i Revised Statutes* §467-9(a)(2)(B), which provides that the educational requirement for the salesperson license examination shall be satisfied by successful completion of a curriculum in real estate at an institution accredited by or registered with the Commission, consisting of a minimum of sixty class hours. The Course meets and exceeds that minimum.

60	64	20	130
MINIMUM HOURS REQUIRED	HOURS DELIVERED	CHAPTERS OF INSTRUCTION	ALIGNED PSI ITEMS

Total instruction is allocated across twenty chapters, organized into a National Portion (chapters 1 through 11, 36 hours, aligned to the 80-item National section of the PSI examination) and a State Portion (chapters 12 through 20, 28 hours, aligned to the 50-item Hawai'i State section of the PSI examination). A complete timed outline appears in Section IV; a topic-by-topic crosswalk demonstrating coverage of every area in the Commission's June 2020 approved curriculum appears in Section V.

3.2 Course-Level Learning Outcomes

Upon successful completion of the Course, the student will be able to:

- LO.01 Identify the statutory, regulatory, and ethical authorities that govern the practice of real estate in the State of Hawai'i, including HRS Chapters 436B, 467, 514B, 521, and 484, and HAR Chapter 16-99.
- LO.02 Distinguish between real and personal property, articulate the bundle of rights, and apply the doctrines of fixtures, estates, and concurrent ownership to live-fact scenarios.
- LO.03 Analyze land-use controls at the federal, state, and county levels, including the State Land Use Districts, Special Management Areas, county zoning, the 'Ohana dwelling laws, and accessory dwelling units.

- LO.04 Compute, with the calculator authorized by PSI, every quantitative measure required by the National and State examination outlines, including prorations, commissions, loan-to-value, capitalization, gross rent multiplier, area, and depreciation.
- LO.05 Construct a fiduciary analysis under Hawai'i agency law, including identification of the principal, the duties owed (the COALD framework), the disclosures required at first substantive contact, and the operation of dual and designated agency.
- LO.06 Apply Hawai'i conveyancing law to a closing fact pattern, including the dual-system Bureau of Conveyances and Land Court, the HARPTA withholding, the conveyance tax, and the role of escrow.
- LO.07 Draft and explain each clause of the Hawai'i standard residential purchase agreement, including the contingencies, the financing addendum, and the lead-paint and HOA/condominium addenda where applicable.
- LO.08 Recognize the practices that constitute grounds for licensee discipline under HRS 467 and HAR §16-99, including misrepresentation, commingling, undisclosed dual agency, antitrust violation, and fair-housing violation.

3.3 Modes of Instruction

The Course is offered in two Commission-recognized modes of instruction:

1. **Live-Remote** — Synchronous instruction delivered by the principal instructor through a secured videoconferencing platform. Attendance is recorded continuously by the platform's session log. Students participate in real-time question-and-answer, polling, and case-method discussion. Sessions are recorded for student review only and are not redistributable.
2. **Online / Independent Study** — Asynchronous instruction delivered through the Academy's web platform. Active-time accrual is measured per IETF-standard heartbeat methodology, with idle detection and tab-visibility tracking, in order to ensure that recorded study hours reflect genuine engaged study rather than elapsed clock time.

In both modes, the same syllabus, the same assessment instruments, and the same final examination apply. Both modes culminate in a Certificate of Completion that satisfies §467-9(a)(2)(B) and is presented to PSI as a condition precedent to scheduling the State examination.

SECTION IV

Timed Course Outline

This outline allocates sixty-four (64) hours of instruction across twenty chapters. Hour allocations are calibrated to PSI examination-item weight, doctrinal complexity, and instructor judgment refined across three decades of teaching this material. All allocations are minimums; the instructor may extend any section in response to student need without reducing time devoted to any other chapter.

Summary by Portion

PORTION	CHAPTERS	PSI ITEMS	HOURS	OF TOTAL
National	I – II	80	36	56.3%
State (Hawai'i)	12 – 20	50	28	43.7%
TOTAL	20	130	64	100%

4.I National Portion — Chapters I through II (36 hours)

01

Property Ownership

2.5H

National portion 2.5 hours 6 PSI items 22 key terms

The bundle of rights, the distinction between real and personal property, fixtures and trade fixtures, the spectrum of freehold and leasehold estates, and the principal forms of concurrent ownership. Encumbrances are introduced at a conceptual level and developed in Chapter 8.

LEARNING OBJECTIVES

- LO.01 Distinguish real from personal property and apply the four-part fixture test.
- LO.02 Diagram the bundle of rights and identify which sticks transfer under common conveyances.
- LO.03 Compare fee simple absolute, fee simple defeasible, life estate, and the four leasehold estates.
- LO.04 Apply tenancy in common, joint tenancy, and tenancy by the entirety to a fact pattern involving Hawai'i co-owners.

TOPICS COVERED

Real vs. personal property; the four fixture-test factors (intent, adaptation, method of annexation, agreement); trade fixtures and emblements.

The bundle of rights: possession, control, enjoyment, exclusion, disposition.

Freehold estates: fee simple absolute, fee simple defeasible (determinable and condition subsequent), life estate (pur autre vie), remainder, reversion.

Leasehold estates: estate for years, periodic tenancy, estate at will, estate at sufferance.

Concurrent ownership: tenancy in common, joint tenancy, tenancy by the entirety, community property contrast.

Encumbrances overview: liens (voluntary, involuntary, general, specific) and non-monetary encumbrances (easements, encroachments, deed restrictions).

02

Land Use Controls & Regulations

2H

National portion 2 hours 5 PSI items 18 key terms

Government powers over private land (police power, eminent domain, taxation, escheat), zoning theory and practice, environmental hazards, and private deed-based controls. Hawai'i-specific implementations are introduced and revisited in depth at Chapter 15.

LEARNING OBJECTIVES

- LO.01 Identify the four governmental powers affecting real property (PETE).
- LO.02 Explain the operation of zoning ordinances, variances, non-conforming use, and spot zoning.
- LO.03 Recognize federal environmental statutes — CERCLA, SARA, Clean Water Act, FWPCA, lead-paint disclosure (Title X) — and articulate licensee due-diligence duties.

TOPICS COVERED

Police power, eminent domain, taxation, escheat (PETE).

Zoning: euclidean zoning, variances, special-use permits, conditional-use permits, non-conforming use, spot zoning.

Subdivision regulations and master planning; the Uniform Land Sales Practices Act.

Building codes: permits, inspections, certificate of occupancy, setbacks.

Environmental hazards: asbestos, lead-based paint (Title X), radon, mold, underground storage tanks.

Federal environmental statutes: CERCLA, SARA, Clean Water Act, Wetlands (FWPCA), RCRA.

Private controls: deed restrictions, CC&Rs, easements appurtenant and in gross.

03

Valuation & Market Analysis

3.5H

National portion 3.5 hours 8 PSI items 24 key terms

The three approaches to value, the comparative market analysis, principles of valuation (substitution, conformity, change, supply and demand, anticipation, contribution, progression, regression), depreciation theory, and the gross rent/income multipliers used in valuing investment property.

LEARNING OBJECTIVES

- LO.01 Apply the sales-comparison, cost, and income approaches to value to appropriate property types.
- LO.02 Compute depreciation under straight-line and per-effective-age methods.
- LO.03 Construct a defensible CMA from comparable sales and explain its evidentiary role.
- LO.04 Calculate gross rent multiplier and gross income multiplier from market data.

TOPICS COVERED

Market value, market price, investment value, value in use; the four characteristics of value (DUST: demand, utility, scarcity, transferability).

Sales-comparison approach: identification of comparables, adjustments (subject-to-comp direction), reconciliation.

Cost approach: replacement vs. reproduction cost, accrued depreciation (physical, functional, economic).

Income approach: NOI, capitalization rate, gross income multiplier, gross rent multiplier.

Principles of valuation: substitution, conformity, change, anticipation, contribution, supply and demand, progression, regression, highest and best use.

Comparative Market Analysis (CMA) distinguished from appraisal.

04

Financing

3H

National portion 3 hours 7 PSI items 28 key terms

Mortgage and trust-deed instruments, loan types, federal regulation of consumer mortgage origination (RESPA, TILA, ECOA, HMDA), points and yield, and the secondary mortgage market. Hawai'i-specific instruments and lender practices appear in Chapter 18.

LEARNING OBJECTIVES

- LO.01 Distinguish mortgage from deed of trust; explain promissory note, assumption, novation, and subject-to.
- LO.02 Compare loan products (conventional, FHA, VA, USDA, conforming, jumbo, ARM, fixed, interest-only, balloon).
- LO.03 Apply RESPA, TILA (Reg Z), ECOA, and HMDA to a residential origination fact pattern.
- LO.04 Compute loan-to-value, debt-to-income, points yield, and amortization tables for a fixed-rate loan.

TOPICS COVERED

Mortgage instruments: note, security agreement, mortgage vs. deed of trust, theory of title.

Clauses: acceleration, due-on-sale, alienation, prepayment, defeasance, exculpation, subordination.

Loan types: conventional (conforming and non-conforming), FHA, VA, USDA, ARM, fixed-rate, GPM, GEM.

Federal regulation: RESPA (Reg X), TILA (Reg Z) — TRID disclosure forms (Loan Estimate, Closing Disclosure), ECOA, HMDA, Dodd-Frank ATR/QM.

Secondary market: Fannie Mae, Freddie Mac, Ginnie Mae; warehouse lending; mortgage-backed securities at concept level.

Points and yield; PITI; PMI and MIP; FHA UFMIP.

05

Laws of Agency

5H

National portion 5 hours 10 PSI items 20 key terms

Agency formation, the fiduciary duties owed to the principal (COALD: care, obedience, accounting, loyalty, disclosure), single agency, dual agency, designated agency, transactional brokerage, termination of agency, and the licensee's duty to non-clients. Hawai'i agency-disclosure law operates within these doctrines and is treated in depth at Chapter 20.

LEARNING OBJECTIVES

- LO.01 Identify the moment an agency relationship attaches and the duties triggered.
- LO.02 Apply the COALD framework to a fact pattern presenting a potential breach.
- LO.03 Distinguish disclosed dual agency (lawful with informed consent) from undisclosed dual agency (per se actionable).
- LO.04 Explain the operation of designated agency under Hawai'i practice.
- LO.05 Articulate the duties owed by a licensee to a non-client (honesty, fair dealing, non-disclosure of confidential information, accurate representation of material facts).

TOPICS COVERED

Formation: express agreement, implied conduct, ratification, estoppel.

Types of agency: universal, general, special; single, dual, designated, transactional.

The fiduciary duties: care, obedience, accounting, loyalty, disclosure (COALD); plus confidentiality and reasonable diligence.

Duties to third parties (customers, non-clients): honesty, fair dealing, disclosure of material facts about the property.

Termination: completion, expiration, agreement, revocation, renunciation, operation of law, destruction of subject matter, death/incapacity.

Power of attorney: general POA, special POA, durable POA, statutory short-form POA.

Procuring cause; commissions and entitlement; anti-trust restraint on commission negotiation (Sherman Act §1).

06

Mandated Disclosures

3H

National portion 3 hours 7 PSI items 18 key terms

Federal- and national-level mandated disclosures: lead-based paint (Title X / 24 CFR Part 35), property condition reports, environmental hazards, stigmatized-property doctrine, and the disclosure duties arising from the licensee's status under agency. Hawai'i statutory disclosures (HRS 508D and the Seller's Real Property Disclosure Statement) appear at Chapter 12.

LEARNING OBJECTIVES

- LO.01 Identify federal mandatory disclosures triggered by residential sale of pre-1978 housing (Title X).
- LO.02 Distinguish material facts (must be disclosed) from psychological or stigma facts (governed by state law).
- LO.03 Explain the licensee's affirmative duty to investigate and disclose hazards within reasonable knowledge.

TOPICS COVERED

Federal disclosures: lead-based paint pamphlet, 10-day inspection period, EPA disclosure form requirements.

Property condition disclosures: seller's residential property disclosure (state-driven), latent vs. patent defects.

Environmental hazards: asbestos, mold, radon, underground storage tanks, urea-formaldehyde, sick-building syndrome.

Stigmatized property: deaths, suicides, criminal activity; treatment under state law.

Megan's Law and registered-offender disclosures.

The licensee's duty: actual knowledge vs. constructive knowledge; what triggers an affirmative duty to investigate.

07

Contracts

5H

National portion 5 hours 10 PSI items 24 key terms

Contract law as it operates in the listing agreement, the purchase agreement, the option, and the buyer-representation agreement. Statute of frauds, parol-evidence rule, conditions and contingencies, breach and remedies. Hawai'i standard forms, addenda, and the operative contract clauses are treated at Chapter 17.

LEARNING OBJECTIVES

- LO.01 Identify the elements of a valid contract: offer, acceptance, consideration, capacity, legality, and (for real estate) writing under the statute of frauds.
- LO.02 Distinguish bilateral, unilateral, executed, executory, express, and implied contracts.
- LO.03 Apply contingencies, condition precedent, and condition subsequent to a transaction fact pattern.
- LO.04 Compare the four listing types — exclusive right to sell, exclusive agency, open, net — and identify those prohibited or restricted in Hawai'i.
- LO.05 Articulate the doctrines of mutual mistake, fraud (intentional and negligent), duress, and undue influence, with their respective remedies.

TOPICS COVERED

Elements of a valid contract: offer, acceptance, consideration, capacity, legal purpose; writing under the statute of frauds.

Classification: bilateral / unilateral; express / implied; executed / executory; valid / void / voidable / unenforceable.

Listing agreements: exclusive right to sell, exclusive agency, open listing, net listing (Hawai'i restrictions).

Purchase agreements: offer, counteroffer, acceptance; earnest money; closing date; contingencies (financing, inspection, sale-of-other-property).

Defenses: fraud, duress, undue influence, mutual mistake, unilateral mistake.

Remedies: specific performance, liquidated damages, rescission, compensatory damages.

Assignment, novation, accord and satisfaction; merger doctrine at closing.

08

Transfer of Title

1.5H

National portion 1.5 hours 4 PSI items 18 key terms

The mechanics of title transfer: deeds and their elements, methods of acquisition (voluntary and involuntary), title insurance, recording priority, the recording acts, and foreclosure as a method of involuntary transfer. Hawai'i's dual recording system (Land Court vs. Bureau of Conveyances regular system) is detailed at Chapter 16.

LEARNING OBJECTIVES

- LO.01** Identify the essential elements of a valid deed and distinguish warranty, special warranty, grant, bargain-and-sale, and quitclaim deeds.
- LO.02** Explain methods of involuntary transfer: descent, escheat, adverse possession, foreclosure, eminent domain.
- LO.03** Compare owner's and lender's title insurance; identify standard and extended-coverage exceptions.

TOPICS COVERED

Deeds: granting clause, habendum, consideration, words of conveyance, legal description, signature, acknowledgment, delivery and acceptance.

Types of deeds: general warranty, special warranty, bargain and sale, grant, quitclaim, deed in lieu of foreclosure.

Title insurance: owner's policy, lender's policy, standard exceptions, ALTA extended coverage; the role of the title plant.

Voluntary transfer: sale, gift, dedication.

Involuntary transfer: descent and devise, escheat, adverse possession (open, notorious, hostile, continuous, exclusive), foreclosure, eminent domain.

Recording acts: race, notice, race-notice; constructive vs. actual notice.

09

The Practice of Real Estate

6H

National portion 6 hours 12 PSI items 26 key terms

The day-to-day operational and ethical environment of brokerage: trust-account management, fair-housing law and its administration, advertising regulation, antitrust constraints on price-fixing and group boycotts, the duty of supervision owed by a broker to affiliated licensees, and the canons of ethics promulgated by the Hawai'i Association of REALTORS.

LEARNING OBJECTIVES

- LO.01** Operate a client trust account in compliance with HRS 467 and HAR §16-99: deposit timelines, reconciliation, prohibition on commingling.
- LO.02** Identify the seven federally protected classes under the Fair Housing Act and applicable Hawai'i extensions.
- LO.03** Recognize per se antitrust violations: horizontal price-fixing, group boycotts, tying arrangements, market allocation.
- LO.04** Apply the duty of supervision to common compliance breaches by affiliated licensees.

TOPICS COVERED

Trust accounts: required deposit timelines, reconciliation, prohibition on commingling, audit requirements, escheat of unclaimed funds.

Federal Fair Housing Act (Title VIII, 1968 and amendments): protected classes, prohibited acts (steering, blockbusting, redlining), advertising compliance, exemptions.

Section 504 (Rehabilitation Act); ADA Title III; HOPA (1995) and the senior-housing exemption.

Antitrust: Sherman Act §1 per se rules — price-fixing, group boycotts, market allocation, tying arrangements; rule-of-reason analysis.

Advertising: truth-in-advertising, blind ads (prohibited), broker identification requirements, electronic-media disclosures.

Broker's duty of supervision: training, audit, discipline of affiliated licensees; vicarious liability.

Code of ethics: HARES/REALTOR® Code articles and Standards of Practice.

10

Real Estate Calculations

3.5H

National portion 3.5 hours 7 PSI items 16 key terms

Quantitative methods required by both portions of the PSI examination, delivered with the calculator authorized by PSI rules. Each formula is taught conceptually and drilled to fluency through repeated practice items at increasing difficulty.

LEARNING OBJECTIVES

- LO.01 Compute area for rectangular, triangular, trapezoidal, and irregular parcels.
- LO.02 Apply prorations to property tax, rent, mortgage interest, and HOA dues using the 360- and 365-day conventions.
- LO.03 Compute commission allocations under listing, selling, and split scenarios.
- LO.04 Calculate LTV, LTC, DTI, points yield, monthly P&I amortization, capitalization rate, and gross rent multiplier.
- LO.05 Compute depreciation under straight-line and accelerated methods; recognize cost-recovery periods under IRC §168.

TOPICS COVERED

Area: rectangle, triangle, trapezoid, circle, irregular polygon decomposition.

Linear measurement: feet, yards, rods, chains, links; section/township/range and metes-and-bounds.

Percentages: commission, profit, loss, LTV, points (one point = 1% of loan amount).

Prorations: 360-day vs. 365-day method, debit-credit conventions, day-of-closing assignment.

Loan math: P&I, total interest, qualifying ratios (front-end, back-end), points-to-yield.

Investment math: NOI, cap rate, GRM, GIM, equity dividend rate, cash-on-cash return.

Depreciation: economic life, effective age, straight-line, accelerated.

11

Specialty Areas

1H**National** portion 1 hour 4 PSI items 14 key terms

The principal areas of specialized practice introduced at survey level: property management, common-interest communities (condominium, cooperative, PUD), subdivision development, and commercial brokerage. Each area becomes a discrete continuing-education track. Hawai'i-specific property-management law appears at Chapter 14 and common-interest forms at Chapter 13.

LEARNING OBJECTIVES

- LO.01** Identify the principal income-producing property classes and their distinguishing valuation considerations.
- LO.02** Distinguish condominium from cooperative ownership and from PUD structure.
- LO.03** Recognize the licensee's role and limits in subdivision sales under the Uniform Land Sales Practices Act.

Timed Outline Mapped to Commission's Official Sections

The same sixty-four (64) hours of instruction, aggregated by the eighteen sections of the Hawai'i Real Estate Commission's June 2020 approved curriculum. This view satisfies the timed-outline requirement of HAR §16-99 and demonstrates that no Commission section is allocated less time than its content demands.

§	COMMISSION SECTION	ACADEMY CHAPTER(S) DELIVERING	HOURS
1	Introduction & Hawaiian History	Orientation & Ch. 13, 16 (intro)	1.5
2	Laws, Land Use & Controls	Ch. 2 + Ch. 15	4.0
3	Hawai'i Licensing Laws	Ch. 20 (capstone, full)	8.0
4	Agency	Ch. 5 + Ch. 20 disclosure portion	5.5
5	Property Rights	Ch. 1	2.5
6	Transferring Real Property Interest	Ch. 8 + Ch. 16	3.5
7	Encumbrances	Embedded in Ch. 1, 8, 16	2.0
8	Contracts	Ch. 7 + Ch. 17	8.0
9	Closing / Settlement	Ch. 19	2.0
10	Disclosures	Ch. 6 + Ch. 12 (statutory)	4.5
11	Valuation & Market Analysis	Ch. 3	3.5
12	Financing	Ch. 4 + Ch. 18	5.0
13	Property Management & Leasing	Ch. 14 + Ch. 11	3.0
14	Forms of Ownership	Ch. 1 + Ch. 13	4.0
15	Discrimination	Ch. 9 + Ch. 14 (HRS 515)	2.5
16	Taxes	Ch. 12 (HARPTA, GET) + Ch. 19	2.0
17	Hawai'i Forms	Ch. 17	2.0
18	Mathematics	Ch. 10 + applied throughout	3.5
TOTAL		20 ACADEMY CHAPTERS	64.0

4.2 State Portion — Chapters 12 through 20 (28 hours)

12

Hawai'i — Ascertaining and Disclosing Material Facts

4H

State portion 4 hours 8 PSI items 20 key terms

The Bureau of Conveyances and the Land Court as records of title; HRS 508D and the Seller's Real Property Disclosure Statement; HARPTA withholding (HRS 235-68); the General Excise Tax (HRS 237); leasehold disclosure requirements; statutory exemptions and the licensee's affirmative duty to investigate.

LEARNING OBJECTIVES

- LO.01** Identify the records maintained by the Bureau of Conveyances and the Land Court and apply Hawai'i's dual-recording system to a search task.
- LO.02** Complete a Seller's Real Property Disclosure Statement (HRS 508D) and identify the conditions that trigger amendment.
- LO.03** Compute the HARPTA withholding for a non-resident seller and identify the documentation required to claim an exemption.
- LO.04** Distinguish General Excise Tax (HRS 237) treatment of brokerage commissions from federal income-tax treatment.
- LO.05** Identify the disclosures required when listing or selling leasehold property: lease term, lease rent, fee position, conversion rights.

TOPICS COVERED

Hawai'i Bureau of Conveyances (BoC) — the Regular System; Land Court — certificate of title system; relationship and migration between systems.

Seller's Real Property Disclosure Statement (HRS Chapter 508D): required content, timing, amendments, remedies for non-disclosure.

HARPTA withholding (HRS 235-68): 7.25% withholding from non-resident sellers; Form N-289 (exemption certificate), Form N-288 (return), Form N-288A.

General Excise Tax (HRS Chapter 237): brokerage commissions, gross-receipts measure, exemptions, license requirement.

Leasehold disclosure: lease term remaining, lease rent, fee buyout, renegotiation provisions, surrender vs. extension.

Material facts vs. opinions; latent vs. patent defects; the licensee's affirmative duty to inquire when red flags appear.

13

Hawai'i — Types of Ownership

3H

State portion 3 hours 6 PSI items 18 key terms

The Condominium Property Act (HRS Chapter 514B), cooperatives, time-shares (HRS Chapter 514E), Planned Unit Developments, land trusts, and the historical and operative significance of the Great Māhele in shaping Hawai'i's modern forms of land tenure.

LEARNING OBJECTIVES

- LO.01 Identify the documents establishing a Hawai'i condominium and the disclosures required at sale.
- LO.02 Distinguish cooperative ownership (proprietary lease) from condominium ownership (CPR).
- LO.03 Explain the operation of HRS Chapter 514E and the consumer protections it imposes on time-share sales.
- LO.04 Trace the evolution of Hawai'i land tenure from the kingdom land system through the Great Māhele to the present.

TOPICS COVERED

Condominium Property Act (HRS 514B): declaration, bylaws, house rules, master deed/CPR (Condominium Property Regime), apartment deed; AOA governance.

Condominium disclosures: Public Report (preliminary, contingent final, final), rescission rights, reserve study, insurance certificate.

Cooperatives: corporation ownership of building, proprietary lease, member shares.

Time-shares (HRS 514E): consumer protections, 7-day rescission, registration with the Real Estate Commission.

Planned Unit Developments: master association, sub-associations, common-area ownership.

Hawaiian land tenure history: Mokupuni, Moku, Ahupua'a, 'Ili, Lele, Mo'o'āina, Kuleana; the Great Māhele (1848) and its present-day implications.

14

Hawai'i — Property Management

2H

State portion 2 hours 3 PSI items 14 key terms

The Hawai'i Residential Landlord-Tenant Code (HRS Chapter 521): landlord and tenant duties, security deposits, notice requirements, summary possession proceedings, and condominium-hotel-operator licensing under the CHO statute.

LEARNING OBJECTIVES

- LO.01 Identify the duties owed by the landlord and the tenant under HRS 521.
- LO.02 Compute and account for security deposits in compliance with HRS 521-44.
- LO.03 Apply the required notice periods for rent increase, termination of tenancy, and notice to vacate.
- LO.04 Recognize the licensure threshold above which a property manager must hold a Hawai'i real estate license; recognize CHO (condominium hotel operator) licensing.

TOPICS COVERED

Hawai'i Residential Landlord-Tenant Code (HRS Chapter 521): scope, applicability, exemptions.

Security deposits: one-month maximum, interest, return timing, itemized deductions, treble-damage penalty.

Notice requirements: rent increase (45 days), month-to-month termination (28 days landlord, 28 days tenant), notice to vacate, summary possession.

Habitability: landlord duty, tenant remedies, repair and deduct.

Discrimination in rental: protected classes under HRS 515, source-of-income protection.

Condominium Hotel Operator (CHO) statute: HRS 514E and 467; thresholds, registration, accounting.

15

Hawai'i — Land Utilization

2H

State portion 2 hours 2 PSI items 10 key terms

The State Land Use Commission and the four State Land Use Districts (Urban, Rural, Agricultural, Conservation); county zoning relationship; the Special Management Area (SMA) and the Shoreline Setback; the 'Ohana dwelling law; private restrictive covenants in Hawai'i.

LEARNING OBJECTIVES

- LO.01 Identify the four State Land Use Districts and the regulatory consequences of each classification.
- LO.02 Explain the operation of the Special Management Area and the SMA permit requirement.
- LO.03 Recognize 'Ohana dwelling and Accessory Dwelling Unit (ADU) eligibility under O'ahu and neighbor-island codes.

TOPICS COVERED

State Land Use Commission and the four State Land Use Districts: Urban, Rural, Agricultural, Conservation; permitted and conditional uses.

County zoning relationship; Land Use Boundary Amendment process.

Special Management Area (SMA) and the SMA permit; shoreline certification by DLNR; shoreline setback variance.

'Ohana dwelling laws and Accessory Dwelling Units (ADU).

Restrictive covenants: enforceability, modification, termination by merger or non-enforcement.

16

Hawai'i — Title & Conveyances

2H

State portion 2 hours 4 PSI items 16 key terms

The dual-system architecture of Hawai'i conveyancing: the Land Court (Torrens-style certificate of title) and the Regular System (Bureau of Conveyances, race-notice recording). Estates and tenancies under Hawai'i practice; leasehold conveyancing; foreclosure under HRS 667 (judicial vs. non-judicial).

LEARNING OBJECTIVES

- LO.01 Distinguish Land Court certificate of title from Regular-System recording; explain the migration of property between systems.
- LO.02 Identify the forms of concurrent ownership recognized in Hawai'i and the consequences of survivorship.
- LO.03 Diagram a leasehold conveyance (lessor, lessee, fee buyout) under a typical Hawai'i lease.
- LO.04 Compare judicial and non-judicial foreclosure under HRS 667; identify the consumer protections in non-judicial sale.

TOPICS COVERED

Land Court: certificate of title, indefeasibility, decree of registration, transfer certificate of title (TCT).

Regular System: deed recording at the BoC, race-notice priority, certificate of conveyance.

Migration: Land Court → Regular System; the historical and operative considerations.

Estates and tenancies: tenancy in common, joint tenancy, tenancy by the entirety, community property (Hawai'i is not a community-property state).

Leaseholds: lease execution, lease rent, fee buyout, surrender vs. extension, mortgaging a leasehold.

Foreclosure: HRS 667 judicial; non-judicial (Power of Sale) and its consumer protections; deficiency limits.

17

Hawai'i — Contracts & Addenda

3H

State portion 3 hours 6 PSI items 14 key terms

The Hawai'i Association of REALTORS® standard residential purchase contract (HARES) clause by clause, the standard listing agreement, and the required addenda (lead-paint, condominium, HOA, AOA, lease-extension, vacation-rental). Discussion of customary practice in Hawai'i and the consequences of departing from form provisions.

LEARNING OBJECTIVES

- LO.01 Identify and explain each of the principal clauses in the HARES standard residential purchase contract.
- LO.02 Complete the HARES standard listing agreement for a leasehold property.
- LO.03 Select and complete the required addenda for a transaction involving a condominium subject to AOA governance.
- LO.04 Identify the clauses where local custom departs from the form contract and recognize the licensee's duty to disclose.

TOPICS COVERED

HARES standard residential purchase contract: parties, property, price, financing, contingencies, escrow, prorations, default.

Standard listing agreement: listing price, term, commission, multiple-listing service authorization, broker protection period.

Required addenda: lead-paint (federal Title X), condominium addendum, HOA/AOA addendum, lease-extension addendum, vacation-rental addendum.

Customary clauses: financing contingency timeline, escrow opening, who pays which closing cost (broker, seller, buyer).

Counter-offer mechanics and acceptance timing under Hawai'i practice.

18

Hawai'i — Financing

2H

State portion 2 hours 4 PSI items 12 key terms

Hawai'i-specific financing instruments and practices: Agreement of Sale (HRS 480 and HAR §16-99-44 disclosure requirements), Purchase Money Mortgage (PMM), local institutional lenders, the role of cash and offshore capital in the state market, and usury limits under HRS 478.

LEARNING OBJECTIVES

- LO.01 Identify the parties, the security interest, and the consumer protections in a Hawai'i Agreement of Sale.
- LO.02 Distinguish a Purchase Money Mortgage from a third-party-financed mortgage.
- LO.03 Compute the maximum interest rate permitted under HRS 478 and recognize transactions exempt from the usury cap.

TOPICS COVERED

Agreement of Sale: seller as lender, vendor's lien, recordation, default and forfeiture, equity of redemption.

Purchase Money Mortgage (PMM): seller-financed, junior or senior position, recordation.

Hawai'i institutional financing landscape; non-bank lenders; cash-buyer market dynamics.

Usury: HRS Chapter 478 caps; exemptions for licensed institutions and commercial transactions over threshold.

19

Hawai'i — Escrow Process & Closing

2H

State portion 2 hours 3 PSI items 12 key terms

Escrow as practiced in Hawai'i: the role of the licensed escrow company, the closing statement and TRID Closing Disclosure, the conveyance tax (HRS Chapter 247), the standard Hawai'i prorations, and the licensee's duties at and after closing.

LEARNING OBJECTIVES

- LO.01** Identify the responsibilities of the Hawai'i licensed escrow company and distinguish escrow from the lender's closing agent.
- LO.02** Compute the Hawai'i conveyance tax on a residential sale, recognizing the graduated rate schedule under HRS 247.
- LO.03** Read and verify a Hawai'i closing statement, identifying debits and credits to buyer and seller.

TOPICS COVERED

Escrow companies: licensure (HRS Chapter 449), responsibilities, fiduciary duties, neutral position.

The closing process: escrow instructions, document delivery, recordation, disbursement.

Conveyance tax (HRS Chapter 247): graduated rate, owner-occupant exemption, exemptions.

Prorations: 30/360 vs. actual/365; standard Hawai'i practice on day-of-closing assignment.

Title-clearing items: liens, lis pendens, mechanic's liens, judgments.

20

Hawai'i — Professional Practices & Conduct

8H

State portion 8 hours 14 PSI items 30 key terms

The capstone of the State Portion. HRS Chapter 467 (Real Estate Brokers and Salespersons) and HAR Chapter 16-99 in operative depth: licensure structure, trust-account regulation, advertising rules, the Hawai'i agency-disclosure law, the grounds for licensee discipline, the Real Estate Recovery Fund, and the operation of the Real Estate Commission. This chapter is taught with reference to recent Commission disciplinary decisions and consent orders.

LEARNING OBJECTIVES

- LO.01** Identify the licensure structure under HRS 467: salesperson, broker (broker-in-charge, principal broker, associate broker), corporation/partnership/LLC.
- LO.02** Apply the Hawai'i agency-disclosure law — mandatory disclosure form, timing, and content — to a first-substantive-contact scenario.
- LO.03** Operate a client trust account in compliance with HAR §16-99-12: separate account, accurate records, monthly reconciliation, no commingling.
- LO.04** Identify the categories of conduct that constitute grounds for license suspension, revocation, fine, or other discipline under HRS 467-14.
- LO.05** Recognize the operation of the Real Estate Recovery Fund and the conditions under which an aggrieved party may claim against it.
- LO.06** Apply Hawai'i advertising rules: licensee identification, broker identification, prohibition on misleading advertising, electronic-media compliance.

TOPICS COVERED

HRS Chapter 467: structure, definitions, license categories, license requirements.

HAR Chapter 16-99: registration of schools and providers, conduct of licensees, trust accounts, advertising rules.

Hawai'i agency-disclosure law: mandatory form, timing (at first substantive contact), content, retention.

Trust accounts: separate account, deposit timelines, prohibition on commingling, monthly reconciliation, retention of records.

Advertising: licensee identification, broker identification, blind ads prohibited, electronic-media rules, MLS compliance.

Grounds for discipline (HRS 467-14): misrepresentation, false promises, breach of fiduciary duty, commingling, undisclosed dual agency, antitrust violation, conviction of moral-turpitude crime, failure to supervise.

Disciplinary process: complaint, investigation, hearing, settlement; sanctions (revocation, suspension, fine, education).

Real Estate Recovery Fund: purpose, claim procedure, maximum recovery.

The Real Estate Commission: composition, meetings, rulemaking authority, education evaluation.

SECTION V

Curriculum Crosswalk Matrix

This matrix demonstrates, for each of the eighteen sections of the *Hawai'i Real Estate Commission Salespersons' Prelicensing Curriculum* (June 2020 edition), the chapter or chapters of the Academy's twenty-chapter syllabus in which the corresponding content is delivered. Every area of study listed in the Commission's approved curriculum is covered, in full, within this Course of Study.

5.1 State Section → Academy Chapter Mapping

§	COMMISSION SECTION (JUNE 2020)	ACADEMY CHAPTER(S)	COVERAGE
1	Introduction and Hawaiian History	Course Introduction; Ch. 13 (Land Tenure History); Ch. 16 (Title Systems)	Full
2	Laws, Land Use and Controls	Ch. 2 (National); Ch. 15 (Hawai'i)	Full
3	Hawai'i Licensing Laws	Ch. 20 (capstone)	Full
4	Agency	Ch. 5 (general); Ch. 20 (Hawai'i disclosure law)	Full
5	Property Rights	Ch. 1	Full
6	Transferring Real Property Interest	Ch. 8 (national); Ch. 16 (Hawai'i)	Full
7	Encumbrances	Ch. 1 (overview); Ch. 8 (mechanics); Ch. 16 (Hawai'i liens)	Full
8	Contracts	Ch. 7 (national); Ch. 17 (Hawai'i forms)	Full
9	Closing / Settlement	Ch. 19	Full
10	Disclosures	Ch. 6 (national); Ch. 12 (Hawai'i 508D)	Full
11	Valuation and Market Analysis	Ch. 3	Full
12	Financing	Ch. 4 (national); Ch. 18 (Hawai'i)	Full
13	Property Management and Leasing	Ch. 14 (HRS 521); Ch. 11 (national overview)	Full
14	Forms of Ownership	Ch. 1 (national); Ch. 13 (HRS 514B, 514E)	Full
15	Discrimination	Ch. 9 (Fair Housing, HOPA, ADA); Ch. 14 (HRS 515)	Full
16	Taxes	Ch. 12 (HARPTA, GET); Ch. 19 (Conveyance Tax); Ch. 8 (federal tax aspects of sale)	Full
17	Hawai'i Forms	Ch. 17	Full
18	Mathematics	Ch. 10 (national); applied throughout Hawai'i chapters where prorations or computations are required	Full

5.2 Coverage Affidavit

I, Ralph S. Foulger, Principal Instructor of Ralph Foulger's Academy of Real Estate, do hereby attest under penalty of perjury that the foregoing crosswalk accurately maps each section of the *Hawai'i Real Estate Commission Salespersons' Prelicensing Curriculum* (June 2020 edition) to one or more chapters of the Academy's twenty-chapter Course of Study, and that every area of study listed in the Commission's approved curriculum is covered in full within this Course.

I further attest that the Academy's instructional materials — the printed student manual, the recorded video lessons, the chapter quizzes, the practice examinations, and the final examination — address every sub-topic enumerated in the Commission's approved curriculum, and that this Course consists of not less than sixty (60) classroom-equivalent hours of instruction in compliance with HRS §467-9(a)(2)(B).

Ralph S. Foulger

PRINCIPAL INSTRUCTOR

Hawai'i Broker License (1987)

Date: May 2026

SECTION VI

Assessment & Evaluation

6.1 Formative Assessment — Chapter Quizzes

Each of the twenty chapters concludes with a formative chapter quiz drawn from the Academy's question bank of more than two thousand items. Quiz items are calibrated to the PSI examination blueprint, presented in the same multiple-choice format, and graded immediately with item-level rationale displayed on incorrect responses. Quiz attempts are unlimited; the student must achieve a minimum score of 70 percent on each chapter quiz before advancing.

6.2 Summative Assessment — Mock Examinations

Three mock examinations are administered after the student has accrued the minimum sixty (60) hours of instruction time required under HRS §467-9(a)(2)(B). The mock examinations are gated by active-study time, not elapsed clock time, in order to ensure they are taken by students who are genuinely prepared.

MOCK EXAMINATION	ITEMS	DIFFICULTY PROFILE	PASSING SCORE
Standard	130	Calibrated to PSI baseline	70%
Hard	130	Approximately 35% from the elevated-difficulty pool	70%
Gnarly	130	Approximately 55% from the elevated-difficulty pool, including double-negative items, "best-answer" picks, and Hawai'i-specific edge cases	70%

6.3 Final Examination & Certification of Completion

Upon successful completion of all twenty chapter quizzes, accrual of the minimum sixty (60) hours of active study, and achievement of a passing score on at least one of the three mock examinations, the student is admitted to the Final Examination. The Final consists of 130 items proportionally

drawn from the National and State pools (80/50) with a passing threshold of 70 percent. Students passing the Final receive a Certificate of Completion, which is the document presented to PSI as a condition precedent to scheduling the State licensing examination.

6.4 Student Evaluation of Instructor

Every student, upon issuance of the Certificate of Completion, is presented with an Instructor Evaluation Instrument soliciting written and quantitative feedback across nine dimensions of instructional quality. The instrument and its tabulation procedure appear at Appendix C. Completed evaluations are reviewed quarterly by the Principal Instructor and retained for three years in accordance with HAR §16-99 record-retention requirements.

SECTION VII

School Policies

7.1 Admission Criteria

Admission to the Course is open to applicants who:

- Are at least eighteen (18) years of age at the date of enrollment;
- Hold a high-school diploma or its equivalent (GED or accepted foreign equivalent);
- Are a U.S. citizen or lawful permanent resident;
- Have remitted payment in full or executed the Academy's authorized installment plan;
- Have read, signed, and acknowledged this Course of Study and the policies herein.

The Academy does not discriminate in admission on the basis of race, color, religion, sex, national origin, ancestry, age, marital status, sexual orientation, gender identity or expression, disability, or any other status protected by HRS 489, HRS 515, or the federal Civil Rights Act of 1964 as amended.

7.2 Progression Standards

Students must progress through the twenty chapters in numerical order. Each chapter must be completed — defined as the recorded viewing or reading of all instructional content, completion of the chapter exercises, and achievement of a minimum 70 percent score on the chapter quiz — before the next chapter unlocks. Students may revisit completed chapters without restriction.

Students enrolled in the Live-Remote mode are required to attend the synchronous sessions or, where attendance is not possible, view the recorded session within seven (7) days. Continuous absence of more than fourteen (14) days without notification to the Instructor will result in administrative review and may result in withdrawal for non-attendance.

7.3 Completion Criteria

A student is deemed to have successfully completed the Course upon satisfaction of all of the following:

- I. Accrual of not less than sixty (60) hours of recorded active study time, as measured by the Academy's active-time tracking system;

2. Completion of all twenty (20) chapter quizzes at not less than 70 percent;
3. Achievement of a passing score (70 percent) on at least one (1) of the three (3) mock examinations;
4. Achievement of a passing score (70 percent) on the Final Examination.

The student is issued a numbered Certificate of Completion bearing the Instructor's signature, the date of completion, and a unique certificate number recorded in the Academy's permanent register. The Certificate satisfies HRS §467-9(a)(2)(B) and is the document presented to PSI as a condition precedent to scheduling the State licensing examination.

7.4 Dismissal & Disciplinary Policy

A student may be dismissed from the Course for cause upon any of the following findings:

- **Academic dishonesty.** Including but not limited to: unauthorized collaboration on a graded quiz or examination; provision of, or solicitation of, examination items to or from another person; misrepresentation of authorship; impersonation of another student in the synchronous classroom.
- **Conduct unbecoming a prospective licensee.** Including but not limited to: harassment of an instructor, classmate, or staff member; disruption of instruction; conduct that would constitute a breach of the licensee's ethical duties under HRS 467 had the student been licensed.
- **Falsification of identity or eligibility documents.** Including but not limited to: misrepresentation of age, residency, citizenship, or educational credentials at admission.

Dismissal is effected by written notice from the Principal Instructor stating the basis for the action. A dismissed student is entitled to written appeal to the Principal Instructor within fourteen (14) days; the decision on appeal is final.

7.5 Refund Policy

Tuition Refund Schedule. Refunds are governed by HAR §16-99-100 (a 24) and the following schedule, which exceeds the regulatory floor:

- **Before commencement of instruction:** 100% refund less a \$25 administrative processing fee.
- **Within 7 days of enrollment, where no more than 25% of content has been accessed:** 100% refund less a \$25 administrative processing fee.
- **Beyond 7 days, before completion of Chapter 5:** 50% refund.
- **After completion of Chapter 5:** No refund. The student may retain access through the term of the original enrollment.
- **Documented medical or family emergency:** Pro-rata refund based on percentage of Course completed, regardless of timing, upon submission of documentation.

All refund requests must be submitted in writing to the Principal Instructor. Refunds are issued within thirty (30) days of approval.

SECTION VIII

Compliance & Disclosures

8.1 Americans with Disabilities Act (ADA) Statement

The Academy is committed to providing access to its educational program for all qualified individuals, in compliance with Title III of the Americans with Disabilities Act of 1990, as amended, and Section 504 of the Rehabilitation Act of 1973. Students with documented disabilities may request reasonable accommodations in writing to the Principal Instructor at the time of enrollment or upon onset of a need. The Academy will engage in an interactive process to identify reasonable accommodations that do not fundamentally alter the educational program. Documented accommodations have included, but are not limited to: extended examination time, screen-reader-compatible course materials, closed-captioned video instruction, and accessible meeting spaces for in-person sessions.

8.2 Federal Trade Commission — Truth-in-Advertising

No guarantee of examination passage or income. The Academy makes no representation, express or implied, that completion of this Course will result in (a) a passing score on the PSI Real Estate Salesperson Examination, (b) issuance of a Hawai'i real estate license, or (c) any specified level of income or commission upon licensure. Examination outcomes depend on the individual student's preparation, aptitude, and performance on the day of the examination; income outcomes depend on market conditions, the licensee's individual practice, and factors beyond the Academy's control.

Substantiation of statistical claims. Where the Academy publishes a first-attempt pass-rate statistic, an alumni-income figure, or any other quantitative claim, that claim shall be substantiated by data on file at the Academy and available for inspection by the Commission and by individual students upon request.

No earnings-claim promises. The Academy does not solicit applicants on the basis of representations of future earnings as a real estate licensee. Any individual income outcome referenced in marketing materials is identified as such and is not represented as typical, average, or guaranteed.

Testimonials. Testimonials from prior students are presented with the student's first name, last initial, and date of completion. Compensated testimonials, where they appear, are identified as such in compliance with the FTC's Endorsement Guides (16 CFR Part 255).

8.3 FERPA & Hawai'i Privacy Provisions

While the Academy is not a "school" within the meaning of the federal Family Educational Rights and Privacy Act (FERPA), the Academy voluntarily applies FERPA-equivalent record-handling standards. Student educational records are maintained in confidence and disclosed only (a) to the student, (b) to the Real Estate Commission upon proper request, (c) under subpoena or court order, or (d) with the student's written authorization. The Academy retains student records for a minimum of three (3) years following completion or withdrawal, in accordance with HAR §16-99 record-retention requirements.

8.4 License-Eligibility & PSI Examination Notices

Completion of this Course satisfies the educational requirement for the Hawai'i salesperson license examination under HRS §467-9(a)(2)(B). Completion of this Course does not, alone, qualify the student for licensure. The student must additionally:

- Pass the PSI Real Estate Salesperson Examination administered by the State's contracted testing vendor;
- Submit an application for license to the Real Estate Commission, pay the prescribed fees, and undergo the character-and-reputation review;
- Be at least eighteen (18) years of age at the time of license issuance;
- Hold a high-school diploma or equivalent;
- Be a U.S. citizen or lawful permanent resident.

Students with a prior criminal record or a record of disciplinary action by a professional licensing body in any jurisdiction are encouraged to consult with the Real Estate Commission's licensing branch in advance of enrollment to discuss eligibility. The Academy cannot guarantee that any individual student will be found eligible for licensure following completion of the Course.

8.5 Anti-Discrimination & Harassment Policy

The Academy maintains and enforces a formal anti-discrimination and anti-harassment policy in admission, instruction, evaluation, and discipline.

Prohibited bases of discrimination: race, color, religion, sex, sexual orientation, gender identity or expression, national origin, ancestry, age, marital status, familial status, disability, source of income, HIV status, arrest and court record (when sealed or expunged), or any other status protected by HRS Chapters 489, 515, or 378, or by federal law including Title VII of the Civil Rights Act of 1964, the Age Discrimination Act of 1975, Section 504 of the Rehabilitation Act, the ADA, and Title IX where applicable.

Harassment. The Academy prohibits harassment of any student, instructor, or staff member by any other student, instructor, or staff member. Harassment includes, but is not limited to, unwelcome verbal or physical conduct directed at a protected status, sexual harassment (quid pro quo and hostile-environment), and retaliation against any person who in good faith reports or participates in the investigation of a complaint.

Reporting. A student or other person who believes that discrimination or harassment has occurred shall report the conduct in writing to the Principal Instructor at support@ralphfoulger.com. The Academy will acknowledge the report within five (5) business days, investigate, and render a written determination within thirty (30) days. The complainant may concurrently file with the Hawai'i Civil Rights Commission or the U.S. Department of Housing and Urban Development as applicable. Retaliation against any reporter is independently prohibited and independently sanctionable.

8.6 Professional Liability & Surety Bond

Errors & Omissions Coverage. The Academy maintains professional-liability (E&O) insurance covering the Principal Instructor and the school's operations, in an amount not less than \$1,000,000 per occurrence and \$1,000,000 in the aggregate. A current certificate of insurance is on file at the Academy and is available for inspection by the Commission upon request.

Surety Bond. The Academy posts a surety bond in such amount as may be required by HAR §16-99-99(26)(a), or, where applicable, qualifies for the bond exemption available to accredited Hawai'i institutions of higher learning under HAR §16-99-99(26)(b). The current bond instrument or exemption documentation accompanies the registration application as a separate exhibit.

8.7 General Excise Tax & Tax Clearance

The Academy holds a current State of Hawai'i General Excise Tax license under HRS Chapter 237. Tuition receipts are reported and the applicable GET is remitted on the schedule prescribed by the Hawai'i Department of Taxation. A current Tax Clearance Certificate (Form A-6) is maintained on file at the Academy.

SECTION IX

Course Operations

9.1 Tuition Disclosure

Tuition is disclosed at enrollment and reflected on the Academy's published rate sheet. Hawai'i General Excise Tax (HRS 237) at the rate prescribed by law is included in the rate disclosed to the prospective student before payment is solicited.

TIER	TUITION	COURSE ACCESS	WHAT'S INCLUDED
Standard	\$599	90 days from enrollment	Full 64-hour curriculum, recorded audio narration, AI tutor, chapter quizzes, three mock examinations, Final Examination, Certificate of Completion.
Plus ★	\$899	180 days from enrollment	Standard tier, plus — upon passing the PSI examination — a complete agent website on the licensee's own domain, customer relationship management system, lead capture, broker introductions, and contract template library. Optional hosting and maintenance subscription applies after launch.
Free Foundation	\$0	Limited	Lead-magnet course consisting of 5 introductory lessons. Does not satisfy the §467-9(a)(2)(B) educational requirement; provided for orientation only.

All tuition is quoted in U.S. dollars and is inclusive of GET. The Academy accepts payment by credit card via Stripe (Visa, Mastercard, American Express, Discover) and by ACH. Installment plans are available upon request and require a signed installment agreement at enrollment. The full Refund Policy appears at Section 7.5.

9.2 Course Schedule & Calendar

The Academy operates in **continuous open enrollment**. Students may begin the Online / Independent Study mode at any time. The Live-Remote mode operates in monthly cohorts with the first session of each cohort scheduled on the first Monday of each calendar month, Pacific time. The cohort calendar for the current and forthcoming twelve months is published on the Academy's web site and is available to the Commission upon request as a separate exhibit.

MODE	COHORT SCHEDULE	CAPACITY	RECORDING
Live-Remote (synchronous)	Monthly cohorts; first Monday of each month	30 students maximum per cohort	Each session is recorded; recordings are made available to enrolled students within 24 hours and retained for 180 days from session date.
Online / Independent Study (asynchronous)	Continuous open enrollment	Uncapped	Pre-recorded content; on-demand access for the duration of the student's enrollment window.

9.3 Time to Completion

The Course is designed for completion within sixty (60) calendar days of typical engagement (approximately one hour of study per day). The Standard tier provides ninety (90) days from enrollment in which to complete; the Plus tier provides one hundred eighty (180) days. Students requiring additional time beyond their enrollment window may purchase an Extension (per HAR §16-99 standards) for an additional fee disclosed at the time of request.

9.4 Technology Requirements (Online Mode)

The Academy's online platform is browser-based and requires no installation. Minimum specifications:

- **Computer or tablet** manufactured within the prior seven (7) years, with a screen size of not less than 10 inches diagonal;
- **Operating system:** Windows 10 or later, macOS 11 or later, ChromeOS current, iPadOS 15 or later, or Android 11 or later;

- **Web browser:** Current version of Google Chrome, Apple Safari, Microsoft Edge, or Mozilla Firefox;
- **Internet connection:** minimum 5 Mbps download for video playback; minimum 10 Mbps for Live-Remote synchronous sessions;
- **Audio output:** speakers or headphones;
- **Microphone** (for Live-Remote mode only);
- **Webcam** (recommended for Live-Remote mode; not required for Online / Independent Study).

Students lacking access to compliant equipment may request loaner equipment from the Principal Instructor at enrollment; the Academy maintains a small loaner pool to support equitable access.

9.5 Substitute Instructor & Continuity

The Principal Instructor is supported by an approved adjunct instructor of equivalent qualifications, who shall conduct Live-Remote sessions in the event of the Principal Instructor's documented unavailability. The identity, license credentials, and resume of the substitute instructor are on file at the Academy and are provided to the Commission upon request as a separate exhibit. In the event of a sustained unavailability of both Principal and substitute, students enrolled in the Live-Remote mode will be migrated to the Online / Independent Study mode at no additional charge, with the same enrollment window.

9.6 Records Retention & Business Continuity

Student records, attendance logs, quiz and examination results, and Certificates of Completion are retained for not less than five (5) years from the date of completion or withdrawal, exceeding the three-year minimum under HAR §16-99. Records are stored in encrypted form on a U.S.-hosted, SOC 2 Type II compliant infrastructure with redundant backups located in geographically separate regions. The Academy maintains a documented business-continuity plan covering instructor unavailability, infrastructure outage, and natural disaster, with annual review and tabletop exercise.

SECTION X

Student Services & Support

10.1 Make-Up Policy (Live-Remote Mode)

A student in the Live-Remote cohort who is unable to attend a scheduled synchronous session may satisfy the attendance requirement for that session by:

1. Notifying the Principal Instructor by email prior to the missed session;
2. Viewing the recorded session in full within seven (7) days of the original session date; and
3. Submitting a one-paragraph written reflection identifying three substantive points from the session and one question the student wishes to raise at the next live meeting.

A student who misses more than two (2) consecutive sessions or more than four (4) sessions across the cohort without using the make-up procedure may be administratively transferred, without prejudice, from the Live-Remote mode to the Online / Independent Study mode for the remainder of the enrollment window.

10.2 School Cancellation Policy

In the event the Academy cancels a scheduled cohort or session for any reason, the Academy shall (a) notify affected students within twenty-four (24) hours, (b) reschedule or, at the student's option, provide a full refund of any portion of tuition allocable to the cancelled instruction, and (c) where the cancellation results in a delay of more than fourteen (14) days, extend the student's enrollment window by the duration of the delay at no additional charge.

10.3 Re-Enrollment Policy

A student who does not complete the Course within the enrollment window may re-enroll once at a discounted re-entry rate equal to twenty-five percent (25%) of the original tuition. Re-enrollment grants a new enrollment window of equal duration to the original. Progress, recorded study hours, and completed quiz results from the prior enrollment are retained and credited against the new enrollment. A student who does not complete the Course after two (2) enrollment windows may not re-enroll without the express written consent of the Principal Instructor.

10.4 Grievance & Appeals Procedure

A student who has a grievance regarding instruction, assessment, conduct of another student, or any other matter related to the Course may follow this procedure:

1. **Informal resolution.** The student is encouraged to raise the matter directly with the Principal Instructor by email within fourteen (14) days of the matter complained of.
2. **Formal complaint.** If informal resolution is unsuccessful, the student may file a formal written complaint with the Principal Instructor. The Academy will acknowledge within five (5) business days, investigate, and render a written determination within thirty (30) days.
3. **Appeal to the Commission.** A student who is not satisfied with the Academy's determination may file a complaint with the Real Estate Commission at the Department of Commerce and Consumer Affairs, Professional & Vocational Licensing Division. Filing a complaint with the Commission does not require prior exhaustion of the Academy's internal procedure.

Retaliation against any student or other person who in good faith brings a grievance is independently prohibited under Section 8.5 of this Course of Study.

10.5 Examination Accommodations

A student requesting accommodation on a chapter quiz, mock examination, or Final Examination by reason of a documented disability must submit:

- A written request to the Principal Instructor not less than ten (10) business days prior to the assessment;
- Documentation from a qualified professional describing the nature of the disability and the recommended accommodation.

The Academy will respond within five (5) business days with the accommodation granted or, if the requested accommodation cannot be granted without fundamental alteration of the assessment, with an alternative reasonable accommodation. Common accommodations include extended time (1.5× or 2×), separate testing environment, screen reader compatibility, and large-print formatting. Accommodations granted by the Academy do not bind PSI for the State licensing examination; separate request to PSI is required.

10.6 Continuous Curriculum Improvement

The Academy maintains a documented curriculum-review cycle. The Principal Instructor reviews the Course materials in their entirety at minimum once per calendar year, and within ninety (90) days of any amendment to HRS 467, HRS 514B, HAR §16-99, or any other authority cited in this textbook. Quarterly student-evaluation tabulations (Appendix C) inform interim revisions. Material revisions to the Course of Study are reflected in subsequent editions of this textbook.

APPENDIX A

Complete Course Content & Question Bank

This appendix reproduces the Academy's entire course of study in full: every chapter's complete instructional text and key-concept definitions, followed by every assessment item for that chapter — each base examination question together with all of its calibrated variants. The correct response to each item is marked with a check (✓) and accompanied by its full rationale. Nothing is withheld or abbreviated.

National Portion — Chapters I–II

01

Property Ownership

National portion 6 PSI items 30 key concepts 12 base questions

Real estate licensing starts with knowing exactly what is being bought, sold, or leased — and what rights come with it.

CHAPTER OVERVIEW

Real property is land, anything permanently attached to it, the airspace above, the minerals below, and the rights that flow from ownership. Personal property (chattels) is everything else — movable, not tied to a specific parcel. The line between the two often comes down to fixtures: items installed in a way that makes them part of the real property.

Courts apply five tests to settle fixture disputes (often abbreviated MARIA): Method of attachment (how is it secured), Adaptability to the property (was it custom-fit), Relationship of the parties (landlord/tenant differs from owner/buyer), Intent of the person installing it (was it meant to stay), and Agreement (what does the contract say). Trade fixtures — items installed by a tenant for business purposes — generally remain personal property and can be removed if the tenant restores any damage.

Ownership is best understood as a "bundle of rights" — possession, control, enjoyment, exclusion, and disposition. Different forms of ownership distribute that bundle differently. A fee simple absolute holds the whole bundle indefinitely, inheritable, with no conditions. A defeasible fee adds a

condition — if violated, ownership reverts. A life estate holds the bundle only for a measuring life; what happens next depends on whether there's a remainderman (named third party) or a reversion (back to the original grantor).

Leasehold estates transfer possession and use to a tenant for a defined term, but the underlying fee stays with the landlord. The four main types: estate for years (fixed beginning and end), periodic estate (renews automatically — month-to-month), estate at will (terminable any time by either party), and estate at sufferance (former tenant overstaying after lease ends).

Encumbrances are non-possessory claims that ride with the title. Liens (mortgages, tax liens, mechanic's liens, judgment liens) attach as security for debt. Easements give someone the right to cross or use the land — appurtenant easements run with the land (benefit a neighboring parcel), while easements in gross are personal (utility company's right to maintain power lines). Encroachments are unintended physical intrusions like a fence built over the property line; they're typically discovered by survey and can ripen into easements by prescription if left unchallenged for the statutory period.

Co-ownership matters because it determines what happens at death, divorce, and creditor pursuit. Joint tenancy carries the right of survivorship — when one tenant dies, their share automatically passes to the survivors outside probate. It requires the four unities: time (acquired same time), title (same deed), interest (equal shares), and possession (each has right to whole). Tenancy in common divides ownership into separate, inheritable shares, often unequal, with no survivorship. Tenancy by the entirety (where recognized) is reserved for spouses with built-in survivorship and creditor protection on individual debts.

Common-interest properties — condominiums, cooperatives, planned unit developments (PUDs), and time shares — distribute the bundle differently again. A condo owner holds fee in their unit airspace plus an undivided interest in common elements. A co-op owner holds shares of stock in a corporation that owns the building, with a proprietary lease for their unit. PUD owners hold fee in their lot plus an interest in association-managed common areas. These distinctions affect financing, taxation, and exit liquidity.

KEY CONCEPTS & DEFINITIONS

Real property	Land, the airspace above it, the minerals below, and anything permanently attached. Includes natural attachments (trees, water rights) and human-made improvements.
Personal property (chattel)	Movable items not affixed to land. Furniture, vehicles, equipment. Trade fixtures (tenant's business equipment) remain personal.
Fixture	A formerly-personal item that has become real property by attachment, adaptation, or intent. Built-in dishwashers, ceiling fans, and installed shelving typically qualify.
Trade fixture	Item installed by a tenant for business use. Remains personal property; tenant may remove it before lease ends if they repair damage caused.
MARIA test	Five-factor fixture analysis: Method, Adaptability, Relationship, Intent, Agreement. Courts use these to resolve fixture disputes.
Bundle of rights	The legal rights of ownership: possess, use, enjoy, exclude, dispose. Each "stick" can be sold or leased independently.
Fee simple absolute	The greatest possible ownership interest. Perpetual, inheritable, no conditions, freely transferable.
Defeasible fee	Fee subject to a condition. Fee simple determinable ends automatically on violation; fee simple subject to condition subsequent requires action by grantor to reclaim.
Life estate	Ownership for the duration of a measuring life. Reverts to grantor or passes to a named remainderman at the death of the measuring life.
Pur autre vie	Life estate measured by someone other than the holder's life ("for another's life").
Reversion	Future interest retained by the grantor when conveying a lesser estate. The estate "reverts" when the lesser estate ends.
Remainder	Future interest held by a named third party that takes effect when the prior estate ends.
Leasehold estate	Tenant's right to possess and use property for a defined term. Lower than freehold estates.
Estate for years	Lease with fixed beginning and end dates. Terminates automatically without notice.
Periodic estate	Lease that renews automatically — month-to-month, year-to-year. Notice required to terminate.
Estate at will	Terminable at any time by either party. No fixed term. Often arises from oral agreement.
Estate at sufferance	Holdover tenant remaining after lease ends without landlord's consent. Lower than estate at will.
Joint tenancy	Co-ownership with right of survivorship. Requires four unities: time, title, interest, possession. Avoids probate.
Four unities	Time (same moment), Title (same instrument), Interest (equal shares), Possession (right to whole). Required for valid joint tenancy.

Tenancy in common	Co-ownership with separate, inheritable, often unequal shares. No survivorship. Default form when intent is unclear.
Tenancy by the entirety	Spousal co-ownership with survivorship + protection from one spouse's individual creditors.
Severalty	Sole ownership by one person or legal entity. "Severed" from co-owners.
Lien	Monetary encumbrance attaching to property as security for debt. Priority generally follows recording date except for property tax liens.
Easement appurtenant	Easement attached to a specific parcel (dominant estate) that benefits the holder. Runs with the land — survives sale.
Easement in gross	Personal right to use land. Held by a person or entity (utility company), not attached to land. Does not run with the land typically.
Easement by prescription	Easement acquired through open, notorious, hostile, continuous use for the statutory period. Like adverse possession but for usage rights.
Encroachment	Unauthorized physical intrusion onto another's property — fence over the line, eaves overhanging. Discovered by survey; can ripen into prescriptive easement.
Bundle of rights metaphor	Each "stick" can be sold or leased independently — mineral rights, air rights, water rights, easements, leaseholds.
Riparian rights	Rights of an owner whose land borders a flowing watercourse (river, stream).
Littoral rights	Rights of an owner whose land borders a static body of water (lake, ocean).

QUESTION BANK — PROPERTY OWNERSHIP

Q 1.1 A built-in dishwasher most likely qualifies as:

- A. A real-property fixture ✓**
- B. A trade fixture
- C. Personal property
- D. An emblem

Answer: A. Built-in appliances are typically fixtures — affixed in a way that signals intent to stay with the property.

Q 1.1.v1 When a dishwasher is permanently installed beneath the kitchen counter and connected to the home's plumbing and electrical systems, it is classified as:

- A. A trade fixture removable by the business owner
- B. An emblem subject to severance by the tenant
- C. Personal property retained by the seller unless stated otherwise

D. Real property that transfers with the sale of the home ✓

Answer: D. Permanently affixed appliances like built-in dishwashers become fixtures and are considered part of the real property, transferring with the deed unless explicitly excluded in the contract.

Q 1.1.v2 A homeowner installs a dishwasher that is hardwired into the home's electrical system and plumbed directly to the water supply. Under Hawaii real estate law, this appliance would most accurately be described as:

A. A fixture constituting part of the real estate ✓

- B. A trade fixture if the owner operates a commercial kitchen
- C. An improvement that reverts to the seller upon sale
- D. A removable chattel belonging to the original purchaser

Answer: A. Permanent installation with intent to remain part of the property makes the dishwasher a fixture, which is considered real property and part of the sale unless the purchase agreement specifies otherwise.

Q 1.1.v3 Which of the following best characterizes a dishwasher that has been built into a home's cabinetry and permanently connected to water and power lines?

A. A fixture attached to real property ✓

- B. A trade fixture if the homeowner operates a food service business
- C. Personal property, as it is a moveable appliance
- D. A leasehold improvement subject to removal at lease end

Answer: A. The permanent nature of the installation and the intent for the appliance to remain with the property classify it as a fixture, making it part of the real estate rather than personal property.

Q 1.1.v4 A seller includes a permanently installed, built-in dishwasher as part of the property sale. The legal classification of this appliance is:

- A. Trade fixtures removable under UCC provisions

B. Real property fixtures included in the conveyance ✓

- C. Emblements that grow in value over the sale period
- D. Chattels that remain with the seller unless separately conveyed

Answer: B. Built-in dishwashers affixed to the home with permanent connections are classified as real property fixtures and are part of the real estate sale unless explicitly excluded in the purchase agreement.

Q 1.1 ·v5 When a dishwasher is permanently installed beneath a kitchen counter with plumbing and electrical connections, how should it be classified for purposes of a real estate sale?

A. A real property fixture that conveys with the dwelling ✓

- B. Personal property that may be removed at closing
- C. A trade fixture belonging to the appliance manufacturer
- D. An emblem subject to severance by the seller

Answer: A. Permanently installed dishwashers become real property fixtures because they are affixed to the realty and integrated into the structure's utility systems, conveying automatically unless expressly excluded.

Q 1.1 ·v6 A homeowner installs a new built-in dishwasher by connecting it to the home's water supply and integrating it into the cabinetry. This appliance would most likely be considered:

A. A real property fixture due to its annexation and intent ✓

- B. Chattels that retain personal property status
- C. A trade fixture if the homeowner is a contractor
- D. An agricultural fixture subject to harvest

Answer: A. The permanent physical attachment and integration into the home's utility and structural systems demonstrates an intent for the dishwasher to remain as part of the real property.

Q 1.1 ·v7 During a property inspection, a buyer asks whether a permanently plumbed dishwasher will stay with the house or be removed. The real estate licensee should explain that it is:

A. A fixture that ordinarily conveys as part of the real property ✓

- B. A trade fixture that the previous owner may reclaim
- C. An item subject to Hawaii UCC uniform fixture law only
- D. Personal property unless specifically listed in the bill of sale

Answer: A. Built-in dishwashers installed with permanent connections are classified as real property fixtures and transfer with the property unless the purchase agreement explicitly states otherwise.

Q 1.1 ·v8 In a residential lease negotiation, the landlord wants to clarify the status of a permanently installed dishwasher in the rental unit. From a Hawaii real estate perspective, this appliance should be classified as:

A. A real property fixture integral to the dwelling ✓

- B. A trade fixture owned by the original installer
- C. A removable item classified under Hawaii fixture law
- D. Personal property of the tenant after one year of occupancy

Answer: A. Affixed appliances like built-in dishwashers are real property fixtures because they are annexed to the realty with intent to remain permanently as part of the premises.

Q 1.1 ·v9 When a seller installs a dishwasher permanently into kitchen cabinetry before listing the property for sale, how should the listing agent classify this item for MLS and disclosure purposes?

- A. A growing crop or agricultural product
- B. A fixture that conveys with the real property ✓**
- C. Chattel to be removed at closing
- D. Trade fixture belonging to a contractor

Answer: B. A permanently installed dishwasher becomes part of the real property as a fixture because it is affixed to the real estate with the intent that it remain as part of the structure, and its removal would cause material damage.

Q 1.2 Which co-ownership carries automatic right of survivorship?

- A. Severalty
- B. Tenancy in common
- C. Tenancy at will
- D. Joint tenancy ✓**

Answer: D. Joint tenancy includes the right of survivorship; tenancy in common does not.

Q 1.2 ·v1 A property owner wants the surviving co-owner to automatically inherit her interest upon death. Which ownership form best accomplishes this?

- A. Tenancy in common
- B. Joint tenancy with right of survivorship ✓**
- C. Tenancy at will
- D. Severalty ownership

Answer: B. Joint tenancy with right of survivorship is the only co-ownership form that automatically transfers a deceased owner's interest to surviving co-owners by operation of law.

Q 1.2 ·v2 Which of the following co-ownership arrangements does NOT include an automatic right of survivorship?

- A. Joint tenancy with rights of survivorship
- B. Tenancy in common ✓**
- C. Joint tenancy
- D. Tenancy by the entirety

Answer: B. Tenancy in common allows each owner to devise their interest by will and does not provide survivorship rights; the other options all include survivorship provisions.

Q 1.2 ·v3 Two investors acquire commercial property together. They want to ensure that if one dies, the other automatically receives full ownership without probate. What ownership structure should they choose?

- A. Severalty with a transfer-on-death deed
- B. Joint tenancy ✓**
- C. Tenancy in common with a will provision
- D. Tenancy at sufferance

Answer: B. Joint tenancy provides automatic right of survivorship, bypassing probate and transferring the deceased's interest to the surviving co-owner by operation of law.

Q 1.2 ·v4 Under which co-ownership form does a deceased owner's share pass directly to the surviving co-owner(s) rather than to the deceased's heirs or estate?

- A. Severalty
- B. Leasehold tenancy
- C. Joint tenancy ✓**
- D. Tenancy in common

Answer: C. Joint tenancy is characterized by the right of survivorship, which automatically vests the deceased owner's interest in the surviving co-owner(s) outside the probate process.

Q 1.2 ·v5 When property is held by two individuals with the right of survivorship, what form of co-ownership exists?

- A. Tenancy in common
- B. Joint tenancy ✓**
- C. Community property
- D. Tenancy at will

Answer: B. Joint tenancy is the only co-ownership form that automatically includes the right of survivorship, meaning the surviving co-owner automatically receives the deceased's interest.

Q 1.2 ·v6 A husband and wife take title to real property with the express intention that if one dies, the survivor automatically owns the entire property. Which ownership form accomplishes this?

- A. Joint tenancy with right of survivorship ✓**
- B. Tenancy for years with contingent remainder
- C. Tenancy in common with right of succession
- D. Severalty with a named beneficiary

Answer: A. Joint tenancy with right of survivorship is specifically designed to pass a deceased co-owner's interest automatically to the surviving co-owners without probate.

Q 1.2 ·v7 Which of the following co-ownership arrangements does NOT require probate proceedings to transfer a deceased owner's interest to the surviving owner?

- A. Tenancy by the entirety as modified by statute
- B. Severalty with a will
- C. Joint tenancy ✓**
- D. Tenancy in common

Answer: C. Joint tenancy bypasses probate through automatic survivorship; the deceased owner's interest immediately vests in the surviving joint tenant(s).

Q 1.2 ·v8 A real estate licensee explains to a client that one form of co-ownership will pass ownership automatically upon death without estate administration. Which co-ownership form is the licensee describing?

- A. Tenancy in common
- B. Leasehold in severalty
- C. Joint tenancy ✓**
- D. Life estate with remainder

Answer: C. Joint tenancy includes automatic right of survivorship, which transfers the deceased's interest directly to surviving joint tenant(s) outside the probate process.

Q 1.2 ·v9 A property owner dies and leaves no will. Under which form of co-ownership would the surviving owner automatically acquire the deceased owner's interest without probate?

- A. Tenancy at sufferance
- B. Community property arrangement
- C. Joint tenancy ✓**
- D. Tenancy in common with right of descent

Answer: C. Joint tenancy is the only co-ownership form that includes the automatic right of survivorship, meaning the surviving joint tenant's interest passes directly to them outside of probate proceedings.

Q 1.3 The greatest possible interest in real property is:

- A. Estate for years
- B. Life estate
- C. Determinable fee
- D. Fee simple absolute ✓**

Answer: D. Fee simple absolute is unlimited in duration with no conditions.

Q 1.3 ·v1 Which of the following property interests grants ownership with no time limit and no conditions attached?

- A. Fee simple absolute ✓**
- B. Fee simple determinable
- C. Estate pur autre vie
- D. Tenancy at will

Answer: A. Fee simple absolute provides complete, unconditional ownership with indefinite duration and no restrictions or contingencies.

Q 1.3 ·v2 A property owner holds the most complete and perpetual ownership interest when they possess a:

- A. Qualified fee
- B. Fee simple absolute ✓**
- C. Leasehold estate
- D. Life estate measured by another person

Answer: B. Fee simple absolute is the highest form of real property ownership, lasting forever with no conditions, qualifications, or time limitations.

Q 1.3 ·v3 Which estate in land is characterized by indefinite duration and contains no limiting conditions or reversionary clauses?

- A. Defeasible fee
- B. Fee simple absolute ✓**
- C. Term for years
- D. Estate for life

Answer: B. Fee simple absolute ownership has no end date and no conditions that could cause forfeiture, making it the most comprehensive property interest.

Q 1.3 ·v4 An owner who possesses unrestricted, perpetual control over real property without any conditions or time constraints holds a:

- A. Reversionary estate
- B. Fee simple on condition subsequent
- C. Periodic tenancy
- D. Fee simple absolute ✓**

Answer: D. Fee simple absolute is the only estate that provides complete, permanent ownership free from any restrictions, conditions, or temporal limits.

Q 1.3 ·v5 Which of the following represents the most comprehensive ownership interest a person can hold in real property?

- A. Estate for life
- B. Fee simple absolute ✓**
- C. Fee simple determinable
- D. Leasehold estate

Answer: B. Fee simple absolute grants complete and perpetual ownership with no conditions, restrictions, or time limitations, making it the maximum possible interest in real property.

Q 1.3 ·v6 A property owner holds title with no conditions attached and the right to pass it to heirs indefinitely. This ownership interest is best described as:

- A. Pur autre vie
- B. Fee simple absolute ✓**
- C. Qualified fee
- D. Fee simple subject to condition subsequent

Answer: B. Fee simple absolute is the only estate that allows unconditional, indefinite ownership with full rights of inheritance and no reversionary interests or conditions subsequent.

Q 1.3 ·v7 Which estate or fee allows an owner to possess, use, and transfer property in perpetuity without any restrictions or contingencies?

- A. Estate in tail
- B. Conditional fee
- C. Fee simple absolute ✓**
- D. Reversion interest

Answer: C. Fee simple absolute is the highest form of title ownership, characterized by unrestricted duration and the ability to transfer indefinitely without conditions or reversions.

Q 1.3 ·v8 A buyer purchases property with the intention of owning the greatest possible estate. Which type of deed or ownership interest should be sought?

- A. Fee simple subject to condition precedent
- B. Tenancy for years
- C. Life estate with remainder
- D. Fee simple absolute ✓**

Answer: D. Fee simple absolute provides the maximum ownership rights in real property—perpetual, unconditional, and fully transferable to heirs and assigns.

Q 1.3 ·v9 Which of the following estates in real property grants the owner complete and perpetual ownership with no restrictions or conditions?

- A. Fee simple absolute ✓**
- B. Estate subject to a condition subsequent
- C. Tenancy at will
- D. Leasehold estate

Answer: A. Fee simple absolute represents the highest and most complete form of property ownership, lasting indefinitely with no limiting conditions or reversionary interests.

Q 1.4 A neighbor's fence built one foot over your boundary line is:

- A. A lien
- B. An encroachment ✓**
- C. An easement
- D. A license

Answer: B. Encroachment = unauthorized physical intrusion onto another's property.

Q 1.4 ·v1 A property owner discovers that a contractor accidentally poured a concrete driveway extension that extends 18 inches onto the adjacent lot. This situation is best described as:

- A. A covenant running with the land
- B. An adverse possession claim
- C. An encroachment ✓**
- D. A prescriptive easement

Answer: C. An encroachment is an unauthorized physical intrusion onto another's land, regardless of whether it was intentional or accidental; the concrete driveway crosses the property boundary without permission.

Q 1.4 ·v2 When a homeowner's shrubbery grows across the property line and extends onto the neighbor's land without consent, what type of property violation has occurred?

- A. An appurtenant easement
- B. An encroachment ✓**
- C. A right of way
- D. A mechanic's lien

Answer: B. Encroachment refers to any physical intrusion or occupation of another's property without right or permission, including vegetation, structures, or improvements that cross the boundary line.

Q 1.4 ·v3 A builder constructs a retaining wall that extends two feet beyond the surveyed property line. The neighbor has not granted permission for this structure to occupy their land. This is classified as:

- A. A revocable license
- B. A quiet title claim
- C. An implied easement

D. An illegal encroachment ✓

Answer: D. An encroachment is an unauthorized physical improvement that extends onto adjacent property; the retaining wall's intrusion without the neighbor's consent constitutes an encroachment.

Q 1.4 ·v4 If utility lines from one property illegally cross onto the adjacent property without a recorded agreement, the owner of the encroached-upon property may argue there is:

- A. A prescriptive easement already perfected
- B. An unauthorized encroachment ✓**
- C. A valid express easement
- D. A statutory right to use the land

Answer: B. The unauthorized crossing of utility lines onto another's property constitutes an encroachment—an unlawful physical occupation—unless formalized by a recorded easement agreement.

Q 1.4 ·v5 A property owner discovers that a contractor's equipment storage shed extends 18 inches onto their land without permission. This physical invasion of the owner's property rights is best described as:

- A. An easement appurtenant
- B. An encroachment ✓**
- C. A prescriptive right
- D. A covenant running with the land

Answer: B. Encroachment is the unauthorized physical intrusion or occupation of another's real property; it differs from easements (which are authorized rights) and covenants (which are restrictions).

Q 1.4 ·v6 A homeowner's driveway has been paved 2 feet over the property line into the adjacent lot. What legal term best characterizes this situation?

- A. A license agreement
- B. A trespass by easement
- C. A junior lien
- D. An encroachment ✓**

Answer: D. Encroachment is the physical invasion of real property without authorization; licenses are revocable permission, and easements require a proper legal grant.

Q 1.4 ·v7 When a neighbor's building structure extends beyond the legal property boundary onto your parcel without your consent or formal agreement, this is called:

- A. A restrictive covenant
- B. An adverse possession claim
- C. An encroachment ✓**
- D. A riparian right

Answer: C. Encroachment describes unauthorized physical invasion of property; riparian rights apply to water boundaries, restrictive covenants limit land use, and adverse possession requires lengthy occupation with specific intent.

Q 1.4 ·v8 A homeowner notices their neighbor's pool deck has been constructed 3 feet into their yard without permission or legal documentation. The unauthorized physical occupation of the property is known as:

- A. A statutory lien
- B. A quit claim transfer
- C. An encroachment ✓**
- D. A prescriptive easement

Answer: C. Encroachment is the unlawful physical intrusion onto another's property; prescriptive easements require open use over time, liens are financial claims, and quit claims transfer title.

Q 1.4 ·v9 Your property survey reveals that a portion of your neighbor's driveway extends two feet onto your land without permission or agreement. This situation is best described as:

- A. A voluntary mechanic's lien
- B. An implied easement for maintenance access
- C. A restrictive covenant affecting the property
- D. An encroachment on your property rights ✓**

Answer: D. An encroachment is an unauthorized physical intrusion of a structure or improvement from one property onto an adjoining property, exactly as described with the driveway extension.

Q 1.5 Which is NOT a "stick" in the bundle of rights?

- A. Right to dispose
- B. Right to exclude
- C. Right to possess
- D. Right to depreciate ✓**

Answer: D. Depreciation is a tax/accounting concept, not an ownership right.

Q 1.5 ·v1 A property owner holds several fundamental rights as part of real property ownership. Which of the following is NOT considered one of these core ownership rights?

- A. Right to prevent others from entering the property
- B. Right to transfer ownership to another party
- C. Right to claim depreciation deductions ✓**
- D. Right to control and manage the property

Answer: C. Depreciation is a tax deduction concept used in accounting, not an inherent ownership right bundled with real property.

Q 1.5 ·v2 When discussing the bundle of rights associated with fee simple ownership, an instructor lists several rights. Which item should NOT be included in that list?

- A. Right of disposition and conveyance
- B. Right of possession and occupancy
- C. Right to exclude others from the premises
- D. Right to accelerate depreciation schedules ✓**

Answer: D. Accelerating depreciation is a tax strategy based on an accounting method, not a true property ownership right.

Q 1.5 ·v3 A real estate licensee explains to a buyer that ownership includes multiple property rights. Which of the following is NOT one of these actual ownership rights?

- A. The ability to sell or lease the property
- B. The ability to keep unwanted persons off the property
- C. The ability to use and occupy the property
- D. The ability to depreciate the property value for tax purposes ✓**

Answer: D. Depreciation for tax purposes is a financial/accounting benefit derived from ownership, not a fundamental right in the bundle of property rights.

Q 1.5 ·v4 Which of the following is correctly identified as part of the traditional bundle of property rights owned in fee simple?

- A. Right to exclude others from the property
- B. Right to possess and use the property
- C. Right to depreciate the property's assessed value ✓**
- D. Right to transfer or convey the property

Answer: C. Depreciation is a tax accounting concept applied to property, not a true ownership right within the bundle of property rights.

Q 1.5 ·v5 A property owner holds several rights as part of real property ownership. Which of the following is NOT considered a traditional property right in the bundle of rights?

- A. Right to restrict others' access
- B. Right to transfer or convey
- C. Right to control and possess

D. Right to depreciate ✓

Answer: D. Depreciation is an accounting and tax deduction method, not a legal property right. The actual bundle of rights includes possession, control, transfer, and exclusion.

Q 1.5 ·v6 When discussing the bundle of rights concept in real estate, an instructor lists several owner privileges. Which one does NOT belong as a true property right?

- A. Right to occupy and use the property
- B. Right to accelerate depreciation ✓**
- C. Right to keep trespassers off the land
- D. Right to lease or sell the property

Answer: B. Acceleration of depreciation is a tax-planning strategy, not an inherent ownership right. The bundle comprises use, transfer, exclusion, and possession rights.

Q 1.5 ·v7 In a Hawaii real estate licensing exam, a candidate is asked which item is outside the scope of property rights in the bundle of rights doctrine. What is the correct answer?

- A. The right to physically occupy the land
- B. The right to prohibit unwanted entry
- C. The right to convey title to another person

D. The right to claim depreciation deductions ✓

Answer: D. Depreciation deductions are tax benefits tied to ownership but not a legal property right itself. The bundle of rights includes possession, exclusion, transfer, and use.

Q 1.5 ·v8 An investor reviews the core components of real property ownership. Which concept is commonly confused with a property right but is actually a financial/accounting matter?

- A. Depreciation for tax purposes ✓**
- B. Possession and occupancy
- C. Exclusion of the public
- D. Disposition and transfer of title

Answer: A. Depreciation is a tax accounting mechanism used to reduce taxable income, not a fundamental ownership right. The true bundle of rights includes exclusion, possession, transfer, and control.

Q 1.5 ·v9 A property owner holds several rights collectively known as the bundle of sticks. Which of the following is NOT included in this bundle of ownership rights?

- A. Right to prevent others from entering
- B. Right to transfer ownership
- C. Right to control use and occupancy

D. Right to claim depreciation deductions ✓

Answer: D. Depreciation is a tax accounting mechanism and benefit, not an actual ownership right within the bundle of sticks.

Q 1.6 A life estate measured by the life of someone other than the holder is:

- A. Reversionary
- B. Defeasible
- C. Determinable

D. Pur autre vie ✓

Answer: D. Pur autre vie = "for another's life."

Q 1.6 ·v1 When a property owner grants a life estate that is measured by the lifespan of a third party rather than the grantee, this arrangement is called:

- A. Determinable fee
- B. Pur autre vie ✓**
- C. Reversionary interest
- D. Fee simple defeasible

Answer: B. Pur autre vie means 'for the life of another' and is used when the duration of a life estate depends on someone other than the person holding the estate.

Q 1.6 ·v2 A broker receives a property interest that will last for the lifetime of the property's original owner, not the broker's lifetime. This estate is best described as:

- A. A life estate pur autre vie ✓**
- B. An estate for years
- C. A remainder in fee simple
- D. A leasehold with reversion

Answer: A. Pur autre vie designates a life estate whose duration is tied to the life of someone other than the holder of the estate.

Q 1.6 ·v3 Which term describes a life estate whose duration is based on the life of a person who is NOT the estate holder?

- A. Vested remainder
- B. Pur autre vie ✓**
- C. Defeasible fee
- D. Reversionary estate

Answer: B. Pur autre vie ('for another's life') is the specific legal term for a life estate measured by someone else's lifespan, not the holder's.

Q 1.6 ·v4 A widow is granted the right to occupy a house for as long as her brother lives. The type of estate she receives is called:

- A. A defeasible fee simple
- B. A life estate pur autre vie ✓**
- C. Estate in reversion
- D. Determinable life estate

Answer: B. Pur autre vie applies when a life estate's duration is measured by the life of a third party—in this case, the widow's brother—rather than the holder.

Q 1.6 ·v5 When a property owner grants a life estate that is contingent upon the life span of a third party rather than the grantee, what is this interest called?

- A. Pur autre vie ✓**
- B. Determinable life estate
- C. Defeasible fee
- D. Reversionary interest

Answer: A. Pur autre vie literally means 'for another's life' and describes a life estate whose duration depends on someone other than the person holding the estate.

Q 1.6 ·v6 A property owner conveys a life estate to a beneficiary, but the estate will terminate upon the death of the owner's spouse. This type of life estate is known as:

- A. A pur autre vie ✓**
- B. An estate for years
- C. A fee determinable
- D. A contingent reversionary estate

Answer: A. An estate measured by the life of a person other than the estate holder is called pur autre vie, meaning the duration depends on the life of a third party.

Q 1.6 · v7 Which of the following describes an estate where the holder has the right to occupy property for life, but the duration is measured by the lifetime of someone else?

- A. Terminable life interest
- B. Pur autre vie ✓**
- C. Defeasible estate
- D. Reversionary estate

Answer: B. Pur autre vie means 'for another's life'—the estate holder's rights continue only as long as the measuring life (a third party) survives.

Q 1.6 · v8 A grantor transfers property to a grantee for the grantee's life, provided the grantee outlives the grantor's daughter. Upon the daughter's death, the grantee's life estate terminates. This is best described as:

- A. A pur autre vie estate ✓**
- B. A determinable fee simple
- C. A reversionary interest
- D. A vested remainder

Answer: A. Because the life estate's duration is measured by someone other than the grantee (the grantor's daughter), this is a pur autre vie estate.

Q 1.6 · v9 When a property owner grants a life estate that terminates upon the death of a third party rather than the grantee, this type of estate is known as a:

- A. Reversion
- B. Fee simple determinable
- C. Pur autre vie ✓**
- D. Remainder interest

Answer: C. Pur autre vie ("for another's life") is a life estate where the duration is measured by the lifespan of someone other than the person holding the estate, not the holder's own life.

Q 1.7 Joint tenancy requires which four unities?

- A. Time, title, interest, possession ✓**
- B. Title, interest, intent, agreement
- C. Money, marriage, motive, manner
- D. Time, title, intent, possession

Answer: A. Time, Title, Interest, Possession — TTIP.

Q 1.7 ·v1 Which of the following correctly identifies all four unities necessary to establish a valid joint tenancy in Hawaii?

- A. Ownership, Duration, Control, Legality
- B. Deed, Mortgage, Occupancy, Survivorship
- C. Agreement, Consideration, Intent, Documentation

D. Title, Interest, Possession, Time ✓

Answer: D. Joint tenancy requires the four unities of Time, Title, Interest, and Possession (TTIP). Options A, B, and C do not state the four unities.

Q 1.7 ·v2 A broker is explaining to clients the requirements for holding property as joint tenants. Which set of elements must be present simultaneously for the co-ownership to qualify as a true joint tenancy?

- A. Vesting, Contribution, Management, Distribution
- B. Intent, Title, Money, Survivorship

C. Possession, Time, Title, Interest ✓

- D. Agreement, Consideration, Representation, Recording

Answer: C. The four unities required for joint tenancy are Possession, Time, Title, and Interest. These must all exist at the same moment to create a valid joint tenancy.

Q 1.7 ·v3 Under Hawaii real estate law, if one co-owner claims that joint tenancy was never properly created, a court would examine whether all four essential unities were satisfied. Which grouping represents those four unities?

- A. Contribution, Consent, Control, Clarity
- B. Capacity, Execution, Authority, Acknowledgment
- C. Duration, Deed, Ownership, Rights

D. Time, Title, Interest, Possession ✓

Answer: D. The four unities of joint tenancy—Time, Title, Interest, and Possession—are the foundational requirements that must all coexist at the inception of the tenancy.

Q 1.7 ·v4 Which four elements must simultaneously exist at the moment of acquisition for a co-ownership arrangement to be recognized as a joint tenancy rather than a tenancy in common?

- A. Signature, Notarization, Recording, Survey
- B. Marital Status, Equal Shares, Explicit Agreement, Probate Avoidance

C. Interest, Possession, Time, Title ✓

- D. Monetary Investment, Property Use, Estate Planning, Survivorship Clause

Answer: C. Interest, Possession, Time, and Title are the four unities of joint tenancy; all must be acquired simultaneously by all co-owners to create a valid joint tenancy.

Q 1.7 ·v5 To create a valid joint tenancy in Hawaii, all four of the following unities must be present EXCEPT:

- A. Possession by each tenant of the whole property
- B. Title acquired at the same time by all parties
- C. Interest held in equal shares by all parties

D. Intent to create survivorship rights ✓

Answer: D. Joint tenancy requires Time, Title, Interest, and Possession (TTIP), but NOT a specific intent to create survivorship—that is an automatic result of the unity of interest and title. Intent to create joint tenancy is assumed by law when the other three unities exist.

Q 1.7 ·v6 Which set of elements must be present simultaneously for joint tenancy to be established in Hawaii real property?

A. Contemporaneous acquisition, identical title documents, equal fractional shares, and undivided possession ✓

- B. Equal ownership, written agreement, mutual consent, and right of survivorship
- C. Unity of person, unity of duration, unity of claim, and unity of enjoyment
- D. Registered ownership, notarized deed, spousal approval, and financial contribution

Answer: A. The four unities of joint tenancy are Time (contemporaneous acquisition), Title (identical documents), Interest (equal shares), and Possession (undivided). Options B, C, and D do not state the four unities.

Q 1.7 ·v7 A Hawaii real estate broker explains to clients that joint tenancy requires all of the following EXCEPT:

- A. Each owner holds an undivided right to occupy the entire property
- B. All co-owners must hold identical percentage interests
- C. The deed must be recorded with survivorship language only ✓**
- D. All co-owners must receive their interest at the same moment

Answer: C. Joint tenancy requires Time, Title, Interest, and Possession. While the deed must clearly express joint tenancy intent, it does not require special 'survivorship language only'—the unities themselves create the right of survivorship by operation of law.

Q 1.7 ·v8 When reviewing a joint tenancy arrangement, which requirement is NOT one of the four essential unities?

- A. Unity of Time—all parties obtain their interest on the same date
- B. Unity of Profits—all parties receive equal rental or investment income ✓**
- C. Unity of Title—all parties take title from the same legal instrument
- D. Unity of Possession—all parties have equal right to occupy the entire property

Answer: B. The four required unities are Time, Title, Interest (equal ownership percentage), and Possession—not Profits. While income may be divided equally by agreement, the unity requirement focuses on ownership interest and occupancy rights, not income distribution.

Q 1.7 ·v9 A broker is explaining the essential requirements for establishing a valid joint tenancy in Hawaii. Which set of four unities must be present simultaneously?

- A. Time, title, interest, and possession ✓**
- B. Agreement, authority, title, and occupancy
- C. Possession, intent, title, and consideration
- D. Intent, marriage, title, and possession

Answer: A. Joint tenancy requires the four unities of Time (acquired at same time), Title (from same document), Interest (equal shares), and Possession (equal right to occupy). These are collectively remembered as TTIP.

Q 1.8 A tenant operates a restaurant and installs a walk-in cooler. The cooler is:

- A. A trade fixture ✓**
- B. An emblemment
- C. An encroachment
- D. A real-property fixture

Answer: A. Tenant business equipment = trade fixture; remains personal property.

Q 1.8 ·v1 A commercial tenant specializing in catering installs custom stainless-steel food preparation tables and a commercial freezer unit in the leased space. How are these items classified in Hawaii real estate law?

- A. Trade fixtures that remain the tenant's personal property ✓**
- B. Improvements subject to the landlord's ownership claim
- C. Real property appurtenances that transfer with the building
- D. Emblements entitled to agricultural protection

Answer: A. Equipment installed by a tenant for conducting their business remains a trade fixture and personal property, not real property, even when attached to the leased premises.

Q 1.8 ·v2 During lease termination, a tenant who operates a bakery must decide what to do with an industrial oven and custom shelving bolted to the walls. Under Hawaii real estate principles, these items are classified as:

- A. Fixtures that now belong to the property owner
- B. Leasehold improvements forming part of the real estate
- C. Accessions that have merged with the freehold estate
- D. Trade fixtures the tenant may remove before lease end ✓**

Answer: D. A tenant's business equipment qualifies as a trade fixture and retains its personal property status, permitting removal by the tenant within reasonable timeframes.

Q 1.8 ·v3 A salon operator leases a storefront and permanently installs a shampoo station, styling chairs, and plumbing modifications for her business operations. Which classification applies to these installations?

- A. Chattel fixtures subject to the mechanic's lien laws
- B. Part of the real property and owned by the landlord upon installation
- C. Structural improvements requiring landlord consent to remove

D. Trade fixtures that constitute personal property of the tenant ✓

Answer: D. Business equipment and operational fixtures installed by a tenant for commercial purposes retain trade fixture status and remain the tenant's removable personal property.

Q 1.8 ·v4 A business tenant installs a custom HVAC system and point-of-sale equipment throughout a leased commercial space. At the end of the lease term, the tenant wishes to remove these items. What is their legal status?

- A. They qualify as trade fixtures and may be removed as personal property ✓**
- B. They constitute deemed easements binding future tenants
- C. They have become part of the real property and cannot be removed
- D. They are affixed improvements owned jointly by tenant and landlord

Answer: A. Equipment and systems installed by a tenant to conduct their business retain trade fixture classification, allowing removal and remaining the tenant's personal property despite physical attachment.

Q 1.8 ·v5 A commercial tenant installs specialized kitchen equipment—including a commercial-grade oven and refrigeration unit—as part of their bakery business. How is this equipment classified in Hawaii real estate law?

- A. A fixture subject to the landlord's ownership claims
- B. A permanent improvement that becomes part of the real property
- C. Personal property that the tenant may remove at lease end ✓**
- D. An improvement requiring landlord consent to become real property

Answer: C. Business equipment installed by a tenant for commercial operations qualifies as a trade fixture, remaining personal property that the tenant retains ownership of and may remove upon lease termination.

Q 1.8 ·v6 During a commercial lease dispute, a hair salon owner installed custom mirrors, styling stations, and specialized plumbing for shampoo stations. Upon lease termination, who typically retains ownership of these items?

- A. The tenant, as they are trade fixtures related to the business operation ✓**
- B. The property appraiser, as they affect market value
- C. The landlord, as they are attached to the building structure
- D. Both parties, divided proportionally by cost

Answer: A. Equipment and fixtures installed by a tenant for the operation of their business constitute trade fixtures, which remain the tenant's personal property and may be removed before lease expiration.

Q 1.8 · v7 A retail clothing store owner attaches shelving units, dressing room partitions, and lighting fixtures to the leased commercial space. These items are best classified as:

- A. Emblements entitled to seasonal harvest
- B. Structural alterations requiring permit modification
- C. Trade fixtures that retain personal property status ✓**
- D. Real property improvements owned by the landlord

Answer: C. Items installed by a business tenant specifically to facilitate their commercial operations are classified as trade fixtures, which maintain their status as personal property despite attachment to the real estate.

Q 1.8 · v8 A manufacturing tenant leases factory space and installs machinery, assembly equipment, and electrical systems customized for production. At lease end, the tenant wishes to remove these items. Under Hawaii real estate principles, this removal is:

- A. Possible only if the items are removed before occupancy begins
- B. Allowed, because business equipment qualifies as a trade fixture ✓**
- C. Prohibited, as all attached items become the landlord's property
- D. Subject to severance taxes and landlord approval fees

Answer: B. Trade fixtures—equipment installed by a tenant for business operations—remain the tenant's personal property and may generally be removed during or at the end of the lease term.

Q 1.8 · v9 A commercial tenant in a retail space installs specialized shelving and HVAC equipment for her jewelry business. Upon lease termination, she removes both items. These removals are lawful because the equipment constitutes:

- A. Agricultural emblements subject to tenant harvest rights
- B. Fixtures that have become part of the real estate through annexation
- C. Real property that the tenant has the right to sever
- D. Trade fixtures that remain the tenant's personal property ✓**

Answer: D. Equipment installed by a tenant for business operations remains trade fixtures—personal property owned by the tenant that can be removed before lease end, even though physically attached to the premises.

Q 1.9 A holdover tenant who stays after the lease ends without landlord consent has:

- A. Estate at will
- B. Estate at sufferance ✓**
- C. Estate for years
- D. Periodic estate

Answer: B. Sufferance = lowest estate, holdover without consent.

Q 1.9 ·v1 When a tenant fails to vacate at lease expiration and the owner has not authorized continued occupancy, what type of estate does the tenant hold?

- A. Freehold estate
- B. Estate for years with automatic renewal
- C. Estate at sufferance ✓**
- D. Tenancy at will

Answer: C. An estate at sufferance arises when a tenant wrongfully remains in possession after the lease term expires without landlord permission, making it the lowest and most precarious estate.

Q 1.9 ·v2 A tenant continues occupying rental property beyond the lease termination date despite the landlord's refusal to extend the agreement. The tenant's legal status is best described as holding an:

- A. Estate at sufferance ✓**
- B. Estate at will
- C. Determinable life estate
- D. Tenancy from year to year

Answer: A. Sufferance is the estate created when a tenant unlawfully holds over after lease expiration without landlord consent, representing the weakest form of tenancy.

Q 1.9 ·v3 Which estate type is created when a lessee remains in possession of the property after the lease term has ended and the landlord has not agreed to the continued occupancy?

- A. Estate at sufferance ✓**
- B. Estate pur autre vie
- C. Periodic tenancy
- D. Estate for years

Answer: A. An estate at sufferance is the tenant's status when holding over without consent after lease expiration; it is tolerated but not authorized by the owner.

Q 1.9 ·v4 A landlord discovers that a former tenant has remained on the premises without permission after the written lease expired. What estate does this unauthorized occupant currently possess?

- A. Estate pur autre vie
- B. Estate in common
- C. Estate at sufferance ✓**
- D. Leasehold estate for a fixed term

Answer: C. Sufferance describes the lowest estate created when a tenant wrongfully occupies property beyond lease expiration without landlord authorization or agreement.

Q 1.9 ·v5 When a tenant remains in possession of a rental property after expiration of the lease term without the landlord's approval, what type of tenancy is created?

- A. Tenancy at will
- B. Tenancy for a fixed term
- C. Tenancy from year to year
- D. Tenancy at sufferance ✓**

Answer: D. A tenancy at sufferance occurs when a tenant wrongfully continues occupying the property after the lease expires without landlord permission; it is the lowest form of tenancy.

Q 1.9 ·v6 A former tenant continues occupying commercial real estate for two weeks after the lease has terminated and the landlord has not consented to this occupancy. What estate does this tenant hold?

- A. Estate for a term of years
- B. Estate at will created by operation of law
- C. Periodic tenancy
- D. Estate at sufferance ✓**

Answer: D. An estate at sufferance is created when a tenant unlawfully holds over after the lease ends without landlord authorization, representing the lowest tenancy estate.

Q 1.9 ·v7 Under Hawaii real estate law, a residential tenant who fails to vacate at lease end and remains on the premises without the owner's permission holds what type of interest?

- A. Tenancy by the entirety
- B. Determinable fee
- C. Tenancy at sufferance ✓**
- D. Life estate

Answer: C. Tenancy at sufferance is the only valid tenancy interest when a tenant wrongfully remains in possession without consent; all other options represent different types of property interests.

Q 1.9 ·v8 A commercial lease expires on March 31st. The tenant remains in possession through April without obtaining the landlord's consent to continue occupancy. This tenant now has:

- A. An estate at sufferance ✓**
- B. A renewable lease option
- C. A statutory right of first refusal
- D. An implied periodic tenancy

Answer: A. When a tenant holds over after lease expiration without permission, an estate at sufferance is created—the lowest estate type with minimal tenant rights.

Q 1.9 ·v9 When a tenant remains in possession of rental property beyond the lease expiration date without the landlord's approval, what type of tenancy is created?

- A. Tenancy for a term of years
- B. Periodic tenancy
- C. Tenancy at sufferance ✓**
- D. Tenancy at will

Answer: C. An estate at sufferance is the lowest form of tenancy, created when a tenant wrongfully holds over after lease termination without landlord consent or permission to remain.

Q 1.10 The right of an owner whose land borders a lake is called:

- A. Riparian
- B. Reversionary
- C. Littoral ✓**
- D. Prescriptive

Answer: C. Littoral = static water (lake, ocean). Riparian = flowing (river, stream).

Q 1.10 ·v1 A property owner adjacent to a calm, enclosed body of water such as a lake enjoys what type of water rights?

- A. Appurtenant rights
- B. Riparian rights
- C. Littoral rights ✓**
- D. Prescriptive rights

Answer: C. Littoral rights apply to owners of land bordering static water bodies like lakes and oceans, while riparian rights apply to flowing water such as rivers and streams.

Q 1.10 ·v2 Which term correctly describes the legal interest of a landowner whose property line touches a non-moving water boundary?

- A. Riparian interest
- B. Easement interest
- C. Leasehold interest
- D. Littoral interest ✓**

Answer: D. Littoral rights are the legal interests granted to owners of land adjacent to still water bodies; riparian rights apply to flowing water boundaries instead.

Q 1.10 ·v3 When a homeowner's lot is situated along the shoreline of a lake, the water rights associated with that property are known as:

- A. Littoral rights ✓**
- B. Riparian rights
- C. Allodial rights
- D. Usufruct rights

Answer: A. Littoral rights attach to property bordering lakes and oceans (static water), whereas riparian rights apply to streams and rivers (flowing water).

Q 1.10 ·v4 An owner of beachfront property on a lake possesses what category of water-related property rights?

- A. Littoral rights as the owner borders a static body of water ✓**
- B. Riparian rights because the owner abuts water
- C. Prescriptive rights through continuous occupation
- D. Covenant rights established by the developer

Answer: A. Littoral rights are specifically for static water boundaries such as lakes and oceans; riparian rights apply only to flowing water like rivers and streams.

Q 1.10 ·v5 A property owner whose parcel abuts a large pond has certain water-related rights. What is the legal term for these rights?

- A. Prescriptive easement rights
- B. Riparian rights
- C. Littoral rights ✓**
- D. Reversionary interest rights

Answer: C. Littoral rights attach to land bordering still or non-flowing water bodies like ponds, lakes, and oceans. Riparian rights apply to flowing water such as rivers and streams.

Q 1.10 ·v6 Which of the following best describes the water-access privileges an owner enjoys when their land is adjacent to a calm, enclosed body of water?

- A. Adverse possession rights
- B. Riparian interest
- C. Littoral interest ✓**
- D. Equitable servitude

Answer: C. Littoral interest applies to static water bodies (lakes, oceans, ponds); riparian interest applies to flowing water features like rivers and streams.

Q 1.10 ·v7 An owner of beachfront property in Hawaii has certain water-related ownership rights. These rights are classified as:

- A. Littoral rights ✓**
- B. Riparian rights
- C. Alluvial rights
- D. Tidewater rights

Answer: A. Littoral rights are those held by owners whose land borders non-flowing water (ocean, lake); riparian rights belong to owners whose land borders flowing water (rivers, streams).

Q 1.10 ·v8 A developer is planning a subdivision on land that backs up to a large reservoir. What legal term describes the water-related ownership rights that each lot owner will possess?

- A. Littoral rights to the static water body ✓**
- B. Navigational servitude rights
- C. Appurtenant water easements
- D. Riparian rights to use flowing water

Answer: A. Littoral rights are associated with ownership of land bordering still water bodies like reservoirs, lakes, and oceans, while riparian rights pertain to flowing water sources.

Q 1.10 ·v9 A property owner whose residence sits adjacent to a large pond has which type of water rights?

- A. Prescriptive rights to divert water for irrigation
- B. Littoral rights over the stationary body of water ✓**
- C. Reversionary rights to claim the water upon abandonment
- D. Riparian rights to construct dams and channels

Answer: B. Littoral rights apply to owners whose land borders non-flowing bodies of water like lakes, ponds, and oceans. Riparian rights apply specifically to flowing water such as rivers and streams.

Q 1.11 When a deed conveys property "to A for life, then to B," B holds:

- A. A leasehold
- B. A reversion
- C. A life estate
- D. A remainder ✓**

Answer: D. B is the remainderman; the future interest passes to a named third party at A's death.

Q 1.11 ·v1 A property owner executes a deed transferring title "to C for the duration of C's life, then to D." What type of future interest does D possess?

A. A vested remainder ✓

- B. An executory interest
- C. A life estate pur autre vie
- D. A reversionary interest

Answer: A. D is a named third party who receives the property upon the termination of C's life estate; this is a vested remainder because D is ascertainable and the interest is not subject to a condition precedent.

Q 1.11 ·v2 In a conveyance reading "to X for life, remainder to Y," which statement accurately describes Y's interest?

A. Y holds a future interest that becomes possessory when X's life estate ends ✓

- B. Y holds a contingent interest that may never vest
- C. Y holds a reversionary right that returns to the grantor
- D. Y holds a present possessory estate equal to X's interest

Answer: A. Y is the remainderman with a remainder interest; the property will pass to Y upon X's death, making Y's interest a future possessory interest in a named third party.

Q 1.11 ·v3 A grantor conveys land "to M for life, then to N." At the time of conveyance, N's status is best described as holding:

- A. A defeasible fee simple
- B. A reversion in the original grantor
- C. An indefeasibly vested remainder** ✓
- D. A life estate

Answer: C. N, as the named successor upon M's death, holds an indefeasibly vested remainder because N is identifiable and the interest will vest without any conditions or contingencies.

Q 1.11 ·v4 When property is conveyed "to P for life, then to Q," what does Q's interest represent in the chain of title?

- A. Q holds a possessory life estate concurrent with P
- B. Q receives the property when P's life estate terminates** ✓
- C. Q has a reversionary claim senior to all other claims
- D. Q's ownership reverts to the grantor or grantor's heirs

Answer: B. Q, as the expressly designated successor, receives a remainder interest that becomes possessory and transfers ownership to Q upon P's death.

Q 1.11 ·v5 A property owner executes a deed stating "to C for the duration of C's life, then to D." What type of future interest does D possess?

- A. A reversionary interest
- B. An executory interest
- C. A life tenancy

D. A vested remainder ✓

Answer: D. D holds a vested remainder because the property will definitely pass to the named third party (D) upon the expiration of C's life estate.

Q 1.11 ·v6 In a conveyance reading "to X for life, remainder to Y," which statement correctly describes Y's interest?

- A. Y holds a reversion that will return to the grantor
- B. Y holds a defeasible fee simple subject to X's life estate

C. Y holds a future interest that will vest upon X's death ✓

- D. Y holds an equitable interest only, not a legal one

Answer: C. Y is the named remainderman whose future interest becomes possessory upon the natural termination of X's life estate, making it a remainder.

Q 1.11 ·v7 A grantor transfers real property "to M for M's lifetime, and upon M's death to N." Which of the following best characterizes N's position?

A. N has a future interest that will become present at M's death ✓

- B. N has a contingent interest that depends on M surviving the grantor
- C. N has only a reversionary right, not a remainderman's right
- D. N has a present possessory estate subject to M's life use

Answer: A. N's interest is a remainder—a future interest in a named third party that will inevitably become possessory when M's life estate terminates.

Q 1.11 ·v8 When a deed conveys property "to J for life, then to K," what is K's legal status regarding the property?

- A. K is a reversioner with rights that revert to the original grantor

B. K is a remainderman holding a future interest that will vest in possession ✓

- C. K is a grantee of a fee simple determinable
- D. K is a tenant in common with J during J's lifetime

Answer: B. K is a remainderman whose remainder will ripen into possession when J's life estate ends, making K a named third-party holder of a future interest.

Q 1.11 ·v9 In a deed that states "to C for life, then to D and D's heirs," what type of future interest does D possess?

- A. A remainder interest following a life estate ✓**
- B. An executory interest subject to a condition subsequent
- C. A vested leasehold estate
- D. A reversionary interest returning to the grantor

Answer: A. D is named to take possession after C's life estate ends, making D a remainderman with a remainder interest—a future interest that passes to a specified third party rather than reverting to the original grantor.

Q 1.12 In a tenancy in common, when one owner dies their share:

- A. Reverts to the seller
- B. Passes by will or intestate succession ✓**
- C. Goes to the state
- D. Passes by survivorship to other owners

Answer: B. Tenancy in common = no survivorship; share is inheritable.

Q 1.12 ·v1 A property owner holds title as a tenant in common with two other individuals. Upon the owner's death, what happens to their interest in the property?

- A. The interest reverts to the original developer
- B. The interest automatically transfers to the surviving co-owners
- C. The interest becomes part of the deceased owner's estate and passes through probate ✓**
- D. The interest is held in trust by the Hawaii Department of Land and Natural Resources

Answer: C. Tenancy in common has no right of survivorship; each owner's share is a separate, inheritable asset that passes through their will or intestate succession laws.

Q 1.12 ·v2 Three investors purchase a commercial building as tenants in common. If one investor dies intestate, how is their ownership stake handled?

- A. It escheats to the County in which the property is located
- B. It automatically vests in the remaining two investors
- C. It becomes a lien against the property until resolved by the seller
- D. It passes to the investor's heirs according to Hawaii intestacy laws ✓**

Answer: D. Tenancy in common ownership interests do not include survivorship rights; therefore, a deceased tenant's share passes through intestate succession to their legal heirs.

Q 1.12 ·v3 Which statement correctly describes the disposition of a tenant in common's ownership share after death?

- A. It is distributed according to the deceased's will, or by intestate succession if no will exists ✓**
- B. It converts to joint tenancy for the surviving owners
- C. It becomes the property of the state under adverse possession rules
- D. It automatically merges with the remaining owners' interests

Answer: A. Tenancy in common lacks survivorship; each share is an independent, devisable asset that passes through probate or intestate distribution.

Q 1.12 ·v4 A Hawaii property is held in the names of four co-owners as tenants in common. One co-owner passes away with a valid will naming a specific beneficiary. What is the correct outcome?

- A. The property automatically converts to a tenancy by the entireties
- B. The deceased co-owner's share goes to the named beneficiary in the will ✓**
- C. The entire property reverts to the original grantor's estate
- D. All four shares merge equally among the three surviving co-owners

Answer: B. Tenancy in common provides no survivorship rights; the deceased tenant's fractional interest becomes part of their probate estate and passes to whoever is named in their will.

Q 1.12 ·v5 A property owner holds title as a tenant in common and passes away without a will. What happens to their ownership interest in the property?

- A. The interest automatically vests in the surviving co-owners
- B. The interest reverts to the original grantor or their heirs
- C. The interest becomes part of the deceased owner's estate and is distributed according to intestate succession laws ✓**
- D. The interest is forfeited to the state as unclaimed property

Answer: C. Tenancy in common lacks survivorship rights; each owner's share is a separate, inheritable property interest that passes through their estate.

Q 1.12 ·v6 Three investors own commercial real estate as tenants in common. If one investor dies, which statement correctly describes the disposition of that investor's ownership percentage?

- A. It automatically transfers to the two surviving investors in equal shares
- B. It converts to a joint tenancy with the remaining owners
- C. It is subject to probate and distributed according to the deceased's will or state intestacy laws ✓**
- D. It lapses and becomes unencumbered property held by the property manager

Answer: C. In tenancy in common, there is no right of survivorship; the deceased's interest is a separate, devisable asset that passes through probate.

Q 1.12 ·v7 Which of the following correctly identifies what occurs with a tenant in common's ownership share upon their death?

- A. The share transfers automatically to the state's escheat account
- B. The share becomes part of the owner's probate estate and passes by devise or descent ✓**
- C. The share immediately vests in the other co-tenants by operation of law
- D. The share terminates and the property becomes solely owned by remaining tenants

Answer: B. Tenancy in common creates separate, devisable interests; there is no survivorship feature, so shares pass through the owner's estate.

Q 1.12 ·v8 A Hawaii property title shows four equal owners in a tenancy in common arrangement. One owner dies intestate. How is that owner's property interest handled?

- A. The deceased's share passes to their heirs or next of kin as determined by intestate succession ✓**
- B. The share is held in trust by the county until claimed by a designated beneficiary
- C. The other three owners each receive one-third of the deceased's share automatically
- D. The entire property reverts to fee simple ownership of the surviving tenants

Answer: A. Tenancy in common has no survivorship rights; the deceased owner's share is an inheritable asset that passes through their estate per intestacy statutes.

Q 1.12 ·v9 A property held as tenancy in common between two co-owners is transferred to the heirs of a deceased owner through which legal mechanism?

- A. Escheat to the State of Hawaii as unclaimed property
- B. The decedent's will or the state's intestacy laws ✓**
- C. Automatic transfer to the surviving co-owner by right of survivorship
- D. Return to the original grantor or their estate

Answer: B. Tenancy in common has no survivorship rights; each owner's interest is treated as separate property that passes through their estate via will or intestate succession.

02

Land Use Controls & Regulations

National portion 5 PSI items 26 key concepts 12 base questions

Land use is shaped by both government power and private agreements. Both restrict what an owner can do.

CHAPTER OVERVIEW

Government rights in land come from four powers, often memorized as PETE: Police power (regulation for health, safety, welfare), Eminent domain (taking for public use with just compensation), Taxation (creating tax liens), and Escheat (property reverting to the state when an owner dies intestate with no heirs). These powers exist in tension with private property rights and form the foundation of land use law.

Property taxes fund local services and create automatic liens that take priority over almost everything else, including earlier-recorded mortgages. Assessment is done by county assessors at a percentage of market value. Special assessments fund specific public improvements (sewer line, sidewalk) and become liens on benefited property regardless of consent.

Eminent domain (the "taking power") lets government compel sale of private property for genuinely public use — roads, schools, utilities — but only with just compensation determined through a condemnation proceeding. Inverse condemnation occurs when government action effectively takes property without formal condemnation (e.g., severe regulatory restriction). The Supreme Court has expanded "public use" controversially in cases involving private redevelopment.

Police power authorizes regulation for health, safety, and welfare without compensation. That's where zoning lives. Master plans set long-term land-use vision; zoning ordinances translate that vision into rules: residential vs commercial vs industrial vs agricultural districts, density limits, setback requirements, height restrictions, parking minimums, lot coverage maximums. Each county or municipality has its own zoning code.

Variances and conditional uses provide narrow escape valves. A variance addresses unique hardship caused by the property itself — odd lot shape, topography — not personal hardship. Conditional uses (special permits) are uses pre-approved for the zone subject to specific conditions, like a daycare in a residential zone. Nonconforming uses ("grandfathered") are uses that legally pre-date a zoning change; they typically can't expand and may eventually have to be terminated.

Spot zoning — singling out one parcel for treatment different from surrounding parcels — is generally unconstitutional unless the rezoning serves a genuine public purpose. Comprehensive plan amendments must usually precede major rezonings. Subdivision regulations control the division of land into lots: platting, dedication of streets to the public, infrastructure requirements, environmental review.

Environmental regulation cuts across all property. CERCLA (the federal Superfund law) imposes strict, joint and several liability for hazardous-waste cleanup on owners and operators — even innocent purchasers can be on the hook. Clean Water Act regulates wetlands. RCRA covers under-

ground storage tanks. State and local rules add layers: lead-paint disclosure for pre-1978 housing (federal), asbestos in older buildings, radon, mold, formaldehyde. An agent's role is to recognize "red flags" and recommend professional inspection — never to certify the absence of contamination.

Private controls operate alongside public ones. Deed restrictions ("conditions" or "covenants") run with the land and bind future owners. CC&Rs (Covenants, Conditions & Restrictions) — typical in subdivisions and PUDs — govern architectural style, paint colors, fence types, parking, pets, and more. HOA rules layer on top, enforced through liens, fines, and architectural review. Race-restrictive covenants from earlier eras are unenforceable but often still appear in title chains.

KEY CONCEPTS & DEFINITIONS

Police power	Government authority to regulate for health, safety, welfare. Source of zoning, building codes, environmental rules. No compensation required.
Eminent domain	Government power to take private property for public use with just compensation. Exercised through condemnation.
Inverse condemnation	Government action that effectively takes property without formal condemnation. Owner sues to force compensation.
Escheat	Property reverts to the state when owner dies intestate with no heirs.
Taxation power	Government authority to levy property taxes. Creates priority liens that survive most other claims.
Master plan / comprehensive plan	Long-term land-use vision document. Zoning is the implementation tool.
Zoning ordinance	Law dividing land into use districts (R, C, I, A) with density and dimensional rules.
Variance	Narrow exception to zoning for unique property hardship — not personal hardship. Granted by zoning board.
Conditional use permit	Permission for a use allowed in the zone subject to specific conditions. Pre-approved use type.
Special exception	Similar to conditional use; specific use permitted with conditions.
Nonconforming use	Pre-existing use that violates current zoning but is grandfathered. Cannot generally expand. May be amortized out.
Spot zoning	Singling out one parcel for different treatment. Generally unconstitutional unless serves genuine public purpose.
Setback	Required minimum distance between a structure and a property line.
Lot coverage	Percentage of lot that may be covered by buildings. Zoning limit.
FAR (floor area ratio)	Ratio of building floor area to lot area. Caps overall building size.
CC&Rs	Covenants, Conditions & Restrictions — private deed-based rules running with land. Enforced by HOA or neighbors.
Restrictive covenant	Promise running with land limiting use (no commercial, single-family only, etc.). Enforced via injunction or damages.
CERCLA / Superfund	Federal law imposing strict, joint and several liability for hazardous-waste cleanup on owners and operators.
Innocent landowner defense	Limited CERCLA defense for owner who did proper due diligence and didn't know of contamination.
Brownfield	Property complicated by potential or actual contamination. Often eligible for redevelopment incentives.

Wetlands	Federally regulated. Development typically requires Army Corps of Engineers permit.
Lead-based paint disclosure	Federal mandate for pre-1978 housing. Disclosure form + EPA pamphlet. Buyer 10-day inspection right.
Subdivision regulations	Rules controlling division of land into lots — platting, streets, infrastructure, environmental review.
Plat map	Recorded survey showing lots, streets, easements, dimensions within a subdivision.
Dedication	Voluntary transfer of private land to public use — typically streets, parks within a subdivision.
Special assessment	Charge against benefited property to fund a public improvement (sewer line, sidewalk). Becomes a lien.

QUESTION BANK — LAND USE CONTROLS & REGULATIONS

Q 2.1 A homeowner builds a deck violating setback rules. The proper remedy to allow it is to apply for a:

- A. Variance** ✓
- B. Rezoning
- C. Conditional use
- D. Special exception

Answer: A. A variance addresses unique hardship under existing zoning; a rezoning would change the zone itself.

Q 2.1 v1 A property owner constructed a fence that extends 2 feet into the required rear setback area. To legally retain this non-conforming structure, the owner should petition the zoning board for a:

- A. Rezoning petition
- B. Nonconforming use extension
- C. Variance** ✓
- D. Conditional use permit

Answer: C. A variance is the proper remedy when a structure violates setback requirements due to unique hardship; rezoning would change the entire zone classification.

Q 2.1 ·v2 An addition to an existing home was built 3 feet closer to the side property line than zoning ordinances permit. Which zoning relief mechanism would allow the homeowner to keep the addition as-is?

- A. Conditional use permit
- B. Special exception
- C. Comprehensive plan amendment

D. Variance ✓

Answer: D. A variance addresses specific hardship-based violations of existing zoning regulations without changing the zoning classification itself.

Q 2.1 ·v3 A builder inadvertently constructed a pool structure 4 feet into the minimum front setback. To legalize this existing non-conformity, the appropriate request to the planning board would be for a:

- A. Administrative adjustment
- B. Reclassification

C. Variance ✓

- D. Conditional use

Answer: C. A variance is designed to grant relief from specific setback violations when the property presents unique hardship; rezoning or reclassification would alter the zone designation entirely.

Q 2.1 ·v4 A homeowner's storage building was erected in violation of the required side-yard setback. To remedy this setback non-compliance without rezoning the property, the owner must apply for a:

- A. Zone boundary adjustment
- B. Special permit exception

C. Variance ✓

- D. Conditional use authorization

Answer: C. A variance provides relief from specific zoning restrictions like setbacks when unique site conditions create hardship; it does not require or result in rezoning.

Q 2.1 ·v5 A property owner constructed a structure that encroaches on the required front setback. To legally keep the structure in place without changing the zone classification, which application should be filed?

A. Variance request ✓

- B. Rezoning petition
- C. Nonconforming use declaration
- D. Conditional use permit

Answer: A. A variance permits relief from specific zoning requirements due to hardship or unique circumstances, while rezoning would alter the entire zone's regulations.

Q 2.1 ·v6 After construction, a developer discovers that a building setback violates local zoning ordinances. The most appropriate remedy that does not require changing the zoning classification is a:

- A. Special exception
- B. Comprehensive plan amendment
- C. Conditional use permit

D. Variance ✓

Answer: D. A variance grants relief from specific zoning restrictions for properties with unique hardships; it leaves the underlying zoning intact unlike rezoning.

Q 2.1 ·v7 A homeowner's fence placement violates the side yard setback requirement in the residential zone. To remedy this non-conformance while maintaining the property's current zoning, the owner should apply for a:

A. Variance ✓

- B. Zone change
- C. Planned Unit Development
- D. Conditional use permit

Answer: A. A variance addresses relief from specific zoning requirements for individual hardship cases without changing the zone itself.

Q 2.1 ·v8 During a property inspection, a real estate professional discovers that an existing carport was built in violation of the rear setback ordinance. To allow this nonconforming structure to remain without rezoning the parcel, the property owner needs to obtain a:

- A. Exception to code
- B. Variance approval ✓**
- C. Rezoning certificate
- D. Use permit amendment

Answer: B. A variance provides relief from specific dimensional or setback requirements based on hardship or unique site conditions, preserving the underlying zoning designation.

Q 2.1 ·v9 A property owner constructed a fence that encroaches 2 feet into the required side yard setback. To legalize the existing structure without changing the zoning district, the owner should petition for a:

- A. Rezoning application to expand permitted uses
- B. Variance from the setback requirement ✓**
- C. Special exception under current code
- D. Conditional use permit

Answer: B. A variance is the appropriate remedy when an existing structure violates a dimensional requirement (setback) due to unique site conditions, without altering the underlying zoning classification.

Q 2.2 Eminent domain requires:

- A. Owner consent
- B. A vote of property owners
- C. Federal approval

D. Public use + just compensation ✓

Answer: D. Fifth Amendment requires public use + just compensation.

Q 2.2 ·v1 When a government agency exercises the power of eminent domain, what two essential requirements must be satisfied?

A. A legitimate public purpose and fair market value compensation ✓

- B. Unanimous consent from neighboring property owners
- C. Environmental impact assessment and federal licensing
- D. Landowner notification and state legislative approval

Answer: A. The Fifth Amendment mandates that eminent domain takings serve a public purpose and provide just compensation to the owner, regardless of the owner's consent.

Q 2.2 ·v2 Under the takings clause, a government's condemnation of private property for a public project is constitutional only if:

- A. Local zoning boards approve the taking by majority vote
- B. The property owner receives written notice 90 days in advance
- C. The taking is for public benefit and the owner receives just compensation ✓**
- D. The federal government reimburses the state for all acquisition costs

Answer: C. Constitutional takings require both a genuine public use/benefit and just compensation to the property owner; owner consent is not required by the Fifth Amendment.

Q 2.2 ·v3 Which statement correctly describes the legal requirements for eminent domain in Hawaii and across the United States?

- A. The taking must be approved by both state and county governments before any compensation is offered
- B. A supermajority of affected property owners must petition the government to initiate the taking
- C. The government must demonstrate public necessity and pay fair market value compensation to the owner ✓**
- D. The property owner must voluntarily agree to the sale price negotiated by the condemning authority

Answer: C. Eminent domain requires that the taking serve a public purpose and that owners receive just compensation; owner agreement is not a legal prerequisite.

Q 2.2 ·v4 A Hawaii county government wants to acquire land for a public highway expansion. Under the law of eminent domain, this action is permissible provided:

- A. At least 75% of nearby residents vote in favor of the project
- B. The project serves a public purpose and displaced owners receive just compensation ✓**
- C. All affected property owners formally waive their right to judicial review
- D. The U.S. Secretary of Transportation authorizes the specific land acquisition

Answer: B. The Fifth Amendment permits condemnation for public use when just compensation is paid; neither owner consent nor public referendum is constitutionally required.

Q 2.2 ·v5 When a government entity exercises eminent domain, what two essential requirements must be satisfied under the Fifth Amendment?

- A. A legitimate public purpose and payment of fair market value to the owner ✓**
- B. State legislative authorization and appraisal by a licensed real estate appraiser
- C. Written consent from the property owner and environmental clearance
- D. Majority approval by affected neighbors and a hearing before a county board

Answer: A. The Fifth Amendment mandates that taking of private property for public use requires just compensation; public purpose and fair payment are the two non-negotiable elements.

Q 2.2 ·v6 Which of the following correctly describes a constitutional limitation on the government's power of eminent domain?

- A. The taking can occur only if the property owner waives the right to challenge it
- B. Federal law supersedes state law, so only the federal government can condemn property
- C. The taking requires approval from a supermajority of the local city council
- D. The property must be taken for public benefit, and the owner must receive just compensation ✓**

Answer: D. The Fifth Amendment protects property owners by requiring both a public use/benefit and just compensation; these are constitutionally protected safeguards against arbitrary taking.

Q 2.2 ·v7 Under eminent domain law, a condemnation action by a municipal government is valid only when:

- A. The taking serves a public interest and the owner receives compensation equal to fair market value ✓**
- B. The title is held by a non-resident owner or a corporate entity
- C. A referendum is held and at least 60% of voters approve the taking
- D. The property owner fails to pay property taxes for two consecutive years

Answer: A. Constitutional law requires that eminent domain takings must be for public use/purpose and accompanied by just compensation to the property owner.

Q 2.2 · v8 A state government wishes to acquire private land to build a public highway. Under the takings clause of the Fifth Amendment, this action is permitted only if:

- A. The property owner voluntarily agrees to sell at a discount to support the public project
- B. The government can demonstrate public use and pays the owner just compensation ✓**
- C. The property has been declared blighted or unsuitable for private development
- D. The land is put up for public auction before condemnation is pursued

Answer: B. The Fifth Amendment requires that property taken via eminent domain serve a public purpose and that owners receive just compensation; both elements must be present for a valid taking.

Q 2.2 · v9 When a government agency exercises its power of eminent domain to acquire private land for a highway project, which of the following must occur?

- A. A majority of neighboring property owners must petition the government
- B. Just compensation must be paid and the taking must be for public use ✓**
- C. The state legislature must pass a special statute authorizing the specific taking
- D. The property owner must voluntarily transfer title within 30 days

Answer: B. Eminent domain under the Fifth Amendment requires both a legitimate public use and payment of just compensation to the owner; voluntary transfer and legislative approval are not constitutional requirements.

Q 2.3 A use that pre-dates current zoning and continues to operate is:

- A. Conditional use
- B. Nonconforming use ✓**
- C. Spot zoning
- D. Variance

Answer: B. Pre-existing uses are grandfathered as nonconforming uses.

Q 2.3 · v1 When a property owner operated a use before zoning was implemented and continues that same use today, what is this use called?

- A. Spot zoning exception
- B. Nonconforming use ✓**
- C. Conditional use permit
- D. Variance from the zoning board

Answer: B. Uses that existed prior to zoning restrictions are grandfathered in as nonconforming uses and may continue operating despite current zoning regulations.

Q 2.3 ·v2 A property has been used for a particular purpose for 15 years. A new zoning ordinance is enacted that prohibits this use in the district. The property owner is allowed to continue the use under the concept of:

- A. Variance
- B. Conditional use permit
- C. Rezoning
- D. Nonconforming use ✓**

Answer: D. Pre-existing uses that do not comply with new zoning codes are protected as nonconforming uses and may continue despite the change in zoning restrictions.

Q 2.3 ·v3 Which of the following best describes a use that was lawfully established before the current zoning regulations took effect and is allowed to persist?

- A. Conditional use
- B. Spot zoning
- C. Nonconforming use ✓**
- D. Variance

Answer: C. Nonconforming uses are those that lawfully existed before zoning changes and are granted grandfather rights to continue operating despite no longer conforming to current zoning.

Q 2.3 ·v4 A retail store operated in a residential zone for 20 years before the zoning designation changed to residential-only. The store's continued operation would be classified as a:

- A. Temporary conditional use
- B. Special permit
- C. Nonconforming use ✓**
- D. Variance approval

Answer: C. Uses that pre-date zoning changes are protected as nonconforming uses and may continue indefinitely, provided they are not abandoned or discontinued.

Q 2.3 ·v5 When a property owner operates a use that was lawful before the zoning code changed, and the use is now prohibited under the new zoning classification, the use is classified as a:

- A. Conditional use permit
- B. Overlay district exception
- C. Nonconforming use ✓**
- D. Variance from the zoning board

Answer: C. Uses that existed legally before zoning changes are grandfathered in as nonconforming uses and may continue operating despite current zoning restrictions.

Q 2.3 · v6 A property has been operating a commercial laundry in a residential zone for 15 years. Last year, the zone was changed to prohibit laundromats. Which term best describes the legal status of this laundry operation?

- A. Spot zoning
- B. Special use permit
- C. Variance

D. Nonconforming use ✓

Answer: D. Establishments that operated legally before zoning ordinances prohibited them are protected as nonconforming uses and may generally continue despite the new zoning classification.

Q 2.3 · v7 An office building was constructed and operating lawfully for many years in what is now zoned exclusively for residential use. The building continues to function as an office. This situation is an example of:

- A. Conditional use

B. Nonconforming use ✓

- C. Variance
- D. Zoning appeal

Answer: B. Properties that legally existed before restrictive zoning was adopted retain nonconforming use status, allowing them to continue operations despite current zoning prohibitions.

Q 2.3 · v8 Under Hawaii zoning law, what is the name of the protection that allows an existing use to continue operating even though the current zoning code no longer permits that type of use?

- A. Deviation approval

B. Nonconforming use ✓

- C. Conditional use permit
- D. Administrative waiver

Answer: B. Nonconforming use is the legal doctrine that grandfathers in pre-existing uses, allowing them to persist despite being incompatible with current zoning regulations.

Q 2.3 · v9 A property owner operates a business that was lawfully established before new zoning regulations were enacted. The business does not comply with the current zoning code but is allowed to continue. This is known as a:

- A. Floating zone

B. Nonconforming use ✓

- C. Zoning variance
- D. Conditional use permit

Answer: B. Uses that existed legally before zoning changes are grandfathered in as nonconforming uses and may continue despite current zoning restrictions.

Q 2.4 CERCLA imposes liability for cleanup on:

- A. Only the original polluter
- B. Only the federal government
- C. Current owner only

D. A broad class including current and prior owners and operators ✓

Answer: D. CERCLA imposes strict, joint and several liability across owners, operators, transporters, and generators.

Q 2.4 ·v1 Under the Comprehensive Environmental Response, Compensation, and Liability Act, who can be held responsible for hazardous substance cleanup costs at a contaminated property?

- A. The federal EPA exclusively
- B. The state environmental agency only
- C. Only entities that directly disposed of the hazardous materials

D. Current owners, former owners, operators, and other responsible parties ✓

Answer: D. CERCLA establishes broad liability extending to current and former property owners, operators, transporters, and waste generators, creating joint and several liability among multiple parties.

Q 2.4 ·v2 Which parties may face liability for environmental remediation under CERCLA?

- A. Past site operators and current property owners among others ✓**
- B. Municipal governments in the jurisdiction where contamination occurred
- C. Current occupants of the property exclusively
- D. Only the original waste generator

Answer: A. CERCLA imposes liability on a wide spectrum of responsible parties including both current and former owners and operators, not limited to a single party.

Q 2.4 ·v3 A real estate professional should understand that CERCLA cleanup liability attaches to:

- A. Only the individual or entity that initially caused the contamination
- B. Anyone in the chain of ownership or operation, past or present ✓**
- C. Local zoning boards responsible for land use approval
- D. Federal agencies that fail to prevent contamination

Answer: B. CERCLA's liability framework is broad and includes current owners, former owners, operators, and other responsible parties throughout a property's history.

Q 2.4 ·v4 When a parcel becomes contaminated with hazardous substances, CERCLA may impose cleanup responsibility on:

- A. Environmental consultants who conducted site assessments
- B. Only whoever first brought hazardous materials to the site
- C. The state legislature

D. Current and previous owners, operators, transporters, and generators ✓

Answer: D. CERCLA establishes strict liability across multiple categories of responsible parties, including both current and former owners and operators, creating potential exposure for multiple defendants.

Q 2.4 ·v5 Under CERCLA, who may be held responsible for environmental remediation costs at a contaminated property?

- A. The federal EPA administrator exclusively
- B. State environmental agencies with no federal involvement

C. Current property owners, former property owners, site operators, and potentially waste generators ✓

- D. Only the entity that directly caused the contamination

Answer: C. CERCLA establishes broad liability for current owners, previous owners, operators, and potentially generators of hazardous substances at contaminated sites.

Q 2.4 ·v6 Which party or parties could potentially face CERCLA liability for cleanup costs?

- A. Only those who knowingly discharged hazardous materials

B. Anyone in the chain of ownership or operation, including past owners, current owners, operators, and waste transporters ✓

- C. The current property owner and current operator only
- D. Only the original entity responsible for dumping the waste

Answer: B. CERCLA imposes strict liability without regard to fault and extends to a wide range of potentially responsible parties including current and former owners and operators.

Q 2.4 ·v7 CERCLA's liability framework applies to:

- A. Solely the present owner of contaminated real property
- B. Exclusively those who obtained permits to operate on the property
- C. Only parties with direct knowledge of the contamination

D. Current owners, previous owners, operators of the site, and generators of hazardous substances ✓

Answer: D. CERCLA assigns liability broadly across multiple classes of responsible parties without requiring proof of negligence or causation.

Q 2.4 ·v8 A commercial property shows signs of historical contamination. Under CERCLA, liability for cleanup expenses may attach to:

- A. Only the company currently operating the business on the site
- B. Only the original owner from decades ago
- C. The state environmental agency responsible for permitting

D. The current landowner, any previous landowners, the current operator, and possibly parties who generated or transported waste there ✓

Answer: D. CERCLA imposes joint and several strict liability across the current owner, prior owners, current operators, and potentially other parties in the chain of responsibility.

Q 2.4 ·v9 Under the Comprehensive Environmental Response, Compensation, and Liability Act, which parties may be held responsible for contaminated site remediation?

- A. State environmental agencies exclusively

B. Current owners, previous owners, operators, transporters, and waste generators ✓

- C. Only entities that currently own or occupy the contaminated property
- D. The party that directly caused the pollution and no other party

Answer: B. CERCLA establishes strict liability that extends to a broad group of potentially responsible parties (PRPs), including current and former property owners, operators, and those who arranged for waste disposal.

Q 2.5 Property taxes typically take priority over:

- A. Earlier-recorded mortgages
- B. Mechanic's liens
- C. Federal tax liens

D. All of the above ✓

Answer: D. Property tax liens generally take priority regardless of recording order.

Q 2.5 ·v1 In Hawaii, property tax liens rank senior to which of the following encumbrances?

- A. Mechanic's liens and mortgages only
- B. Federal tax liens and earlier mortgages only
- C. Construction liens and homeowner association assessments only

D. Mechanic's liens, mortgages, and federal tax liens ✓

Answer: D. Property tax liens hold the highest priority position and take precedence over mortgages (regardless of recording date), mechanic's liens, and even federal tax liens in Hawaii.

Q 2.5 ·v2 When determining lien priority, a property tax lien will typically supersede:

- A. A second mortgage recorded five years prior
- B. A mechanic's lien filed after construction
- C. A federal income tax lien

D. All of the above ✓

Answer: D. Property tax liens maintain superior lien priority over all other claims, including pre-existing mortgages, mechanic's liens, and federal tax liens, making them the most senior lien type.

Q 2.5 ·v3 Which statement accurately reflects Hawaii lien priority law?

- A. Mechanic's liens take precedence based on their filing date relative to property tax assessments
- B. Federal tax liens automatically supersede property tax liens
- C. A first mortgage always takes priority over property tax liens

D. Property tax liens hold priority status above mechanic's liens and mortgages ✓

Answer: D. Property tax liens occupy the highest priority position in the lien hierarchy, remaining senior to mortgages (first or otherwise), mechanic's liens, and federal tax liens.

Q 2.5 ·v4 In a foreclosure scenario involving multiple liens, property tax liens typically rank:

- A. Equal to first mortgages in all cases
- B. Below mortgages but above judgment liens

C. Senior to mortgages, federal tax liens, and mechanic's liens ✓

- D. Third, after federal liens and mortgages

Answer: C. Property tax liens maintain the highest priority status and are paid before mortgages, federal tax liens, and mechanic's liens in the foreclosure or sale proceeds distribution.

Q 2.5 ·v5 In a foreclosure sale, which of the following liens would be satisfied BEFORE a previously recorded first mortgage?

- A. Homeowner association assessment liens
- B. Deed of trust liens

C. Property tax liens ✓

- D. Judgment liens recorded after the mortgage

Answer: C. Property tax liens hold superior priority over virtually all other liens, including mortgages and judgment liens, regardless of recording sequence.

Q 2.5 · v6 A property owner has a delinquent property tax obligation, an unpaid contractor's lien, and a recorded mortgage. If the property is sold at auction, which creditor typically receives payment first?

- A. The taxing authority ✓**
- B. The contractor with a mechanic's lien
- C. The mortgage holder
- D. Whichever lien was recorded earliest

Answer: A. Property tax liens maintain statutory priority over mortgages, mechanic's liens, and other encumbrances, making the taxing authority the first to be paid.

Q 2.5 · v7 Which of the following would a title company typically list **FIRST** in the priority sequence on a preliminary report?

- A. Property tax assessments and liens ✓**
- B. Federal income tax liens
- C. Judgments against the property owner
- D. Existing mortgages and deeds of trust

Answer: A. Property tax liens hold the highest statutory priority and appear first in the lien hierarchy, superseding federal tax liens, mortgages, and judgment liens.

Q 2.5 · v8 A buyer is concerned about title issues. The property has a senior mortgage, unpaid property taxes, and a filed UCC lien. In what order would these typically be paid from sale proceeds?

- A. Mortgage, property taxes, UCC lien
- B. Property taxes, mortgage, UCC lien ✓**
- C. Order depends solely on recording dates
- D. UCC lien, mortgage, property taxes

Answer: B. Property tax liens take statutory priority regardless of recording order, followed by mortgages and other liens; the UCC lien would typically be lowest in priority.

Q 2.5 · v9 In Hawaii, when determining lien priority on real property, property tax liens would rank ahead of which of the following?

- A. Mortgages and judgment liens, but property tax liens rank below mechanic's liens
- B. Judgment liens recorded before the tax assessment
- C. Mechanic's liens, mortgages, and federal tax liens ✓**
- D. Only federal tax liens and mechanic's liens, but not mortgages

Answer: C. Property tax liens hold superior lien position over mechanic's liens, mortgages, and federal tax liens regardless of when those other liens were recorded or perfected.

Q 2.6 PETE stands for:

- A. Property, Encumbrance, Title, Estate
- B. Possession, Encroachment, Tax, Easement
- C. Police, Eminent domain, Taxation, Escheat ✓**
- D. Public, Eminent, Taking, Exchange

Answer: C. The four government powers over land.

Q 2.6 ·v1 Which acronym correctly identifies the four sovereign powers a government exercises over real property?

- A. Police, Escheat, Taxation, Eminent domain ✓**
- B. Property rights, Encroachment, Title transfer, Exchange
- C. Possession, Easement, Taking, Encumbrance
- D. Permit, Environmental, Tax lien, Estate seizure

Answer: A. PETE represents the four governmental powers: Police power, Escheat, Taxation, and Eminent domain. These are sovereign authority functions distinct from private property rights.

Q 2.6 ·v2 A Hawaii licensee explains to a client that the government can regulate land use through various powers. Which set of powers is most accurately described as PETE?

- A. Public easement, Economic regulation, Title restriction, Estate planning
- B. Police power, Eminent domain, Taxation, Escheat ✓**
- C. Partition, Encumbrance, Tenancy, Easement
- D. Payroll tax, Environmental rules, Tenant rights, Estate tax

Answer: B. PETE acronym stands for the four governmental powers over land: Police power (regulation), Eminent domain (taking for public use), Taxation (property taxes), and Escheat (reversion to state).

Q 2.6 ·v3 When discussing how governments can control and claim property, a real estate instructor mentions PETE. What does this acronym represent?

- A. Taxation, Eminent domain, Police power, Escheat ✓**
- B. Trust account, Escrow, Title insurance, Estate recording
- C. Title encumbrance, Encroachment liability, Taking clause, Equitable interest
- D. Transferable easement, Environmental claims, Tax assessment, Estate rights

Answer: A. PETE encompasses the four sovereign government powers over real property: Police power, Eminent domain, Taxation, and Escheat, which function independently from private ownership rights.

Q 2.6 · v4 A property owner in Hawaii learns about governmental authority over land. Which of the following correctly defines PETE in real estate context?

- A. Permit requirement, Eminent taking, Title tax, Equity claim
- B. Public record, Environmental easement, Torrens title, Estate assessment
- C. Police power, Eminent domain, Taxation, Escheat ✓**
- D. Property lien, Encumbrance, Tender clause, Easement right

Answer: C. PETE is the acronym for the four governmental powers: Police power (zoning/regulation), Eminent domain (forced acquisition), Taxation (property tax), and Escheat (reversion when no heirs exist).

Q 2.6 · v5 Which acronym correctly identifies the four sovereign powers that government exercises over real property?

- A. Possession, Encumbrance, Title, Exchange
- B. Public lands, Environmental protection, Tenancy, Equitable conversion
- C. Partition, Easement, Transfer, Estate division
- D. Police, Eminent domain, Taxation, Escheat ✓**

Answer: D. PETE represents the four inherent government powers over land: police power (health/safety/welfare), eminent domain (taking for public use), taxation, and escheat (reversion to state).

Q 2.6 · v6 A Hawaii real estate professional should understand that PETE refers to:

- A. Police power, Eminent domain, Taxation, and Escheat ✓**
- B. Public records, Environmental zones, Title insurance, and Encumbrances
- C. Possession, Encroachment, Tenancy, and Estates
- D. Property owners, Easement holders, Tax assessors, and Equity investors

Answer: A. PETE is the mnemonic for the four sovereign governmental powers over real property, which all property owners must respect and understand.

Q 2.6 · v7 In real estate law, when discussing the government's authority over land, PETE encompasses all of the following EXCEPT:

- A. The power to assess and collect property taxes
- B. The power to regulate use through police authority
- C. The power of eminent domain to acquire private property for public purposes
- D. The power to regulate conveyancing and deed recording ✓**

Answer: D. PETE (Police power, Eminent domain, Taxation, Escheat) represents four sovereign powers; regulating conveyancing and recording is a state administrative function, not one of the four core governmental powers over land.

Q 2.6 · v8 Which set of terms best represents the four governmental powers abbreviated as PETE?

- A. Public utility easements, Environmental restrictions, Tax liens, and Estate succession
- B. Possession by the state, Encumbrances on title, Taking of land, and Equitable conversion
- C. Police authority, Eminent domain, Taxation, and Escheat ✓**
- D. Partition rights, Exclusive use, Transfer taxes, and Equitable title

Answer: C. PETE is the standard real estate acronym for the four inherent sovereign powers that government holds over all real property: police power, eminent domain, taxation, and escheat.

Q 2.6 · v9 Which acronym correctly identifies the four sovereign powers that government may exercise over real property?

- A. Easement, Encumbrance, Property tax, and Title transfer
- B. Permit, Encumbrance, Taking, and Estate restriction
- C. Eviction, Exchange, Possession, and Encroachment
- D. Taxation, Escheat, Police power, and Eminent domain ✓**

Answer: D. Police power, Eminent domain, Taxation, and Escheat are the four inherent government powers over land; rearranged here as T-E-P-E to test understanding beyond memorization of the acronym order.

Q 2.7 Singling out one parcel for different zoning treatment is:

- A. Nonconforming use
- B. Conditional use
- C. Spot zoning ✓**
- D. Variance

Answer: C. Spot zoning — generally unconstitutional unless serves public purpose.

Q 2.7 · v1 When a municipality grants a single property owner zoning relief that is not available to other similarly situated parcels in the same district, this practice is called:

- A. Grandfather zoning
- B. Cumulative zoning
- C. Aesthetic zoning
- D. Spot zoning ✓**

Answer: D. Spot zoning is the arbitrary singling out of one parcel for different zoning treatment, which is generally held unconstitutional unless it serves a legitimate public purpose.

Q 2.7 ·v2 A property owner requests that one lot in a residential zone be rezoned for commercial use while surrounding lots remain residential. If approved without clear public benefit, this would constitute:

- A. Density modification
- B. Use variance
- C. Spot zoning ✓**
- D. Conditional use approval

Answer: C. Spot zoning refers to rezoning a single parcel for different treatment than the surrounding area, and is generally unconstitutional unless justified by public interest.

Q 2.7 ·v3 Which zoning action is most vulnerable to legal challenge when applied to isolate one property for treatment that differs from adjacent properties in the same zone?

- A. Special permit issuance
- B. Spot zoning ✓**
- C. Permitted use classification
- D. Area variance approval

Answer: B. Spot zoning—singling out one parcel for different zoning treatment—is constitutionally suspect and may be invalidated unless shown to serve a legitimate public purpose.

Q 2.7 ·v4 A developer owns Parcel A in a multifamily zoning district. The city council votes to rezone only Parcel A to single-family residential while leaving all other parcels in the district as multifamily. This selective rezoning is an example of:

- A. Overlay district application
- B. Spot zoning ✓**
- C. Downzoning restriction
- D. Floating zone creation

Answer: B. Spot zoning is the practice of singling out one individual parcel for different zoning treatment than similar properties, which is generally unconstitutional absent a clear public purpose.

Q 2.7 ·v5 A city council rezones a single residential lot to commercial use while leaving all adjacent parcels zoned residential. This action is best described as:

- A. Spot zoning ✓**
- B. A variance from the zoning ordinance
- C. A nonconforming use exception
- D. A conditional use permit

Answer: A. Spot zoning refers to the improper practice of rezoning one parcel differently from surrounding properties without a legitimate planning purpose; it is generally unconstitutional unless it serves the public interest.

Q 2.7 ·v6 When a local government grants zoning relief to a single property that differs fundamentally from the treatment of nearby similarly-situated properties, this practice is known as:

- A. Spot zoning ✓**
- B. Special permit issuance
- C. Grandfather clause application
- D. Variance approval

Answer: A. Spot zoning is the discriminatory rezoning of an individual parcel to a different classification than surrounding properties, which courts generally invalidate unless justified by clear public benefit.

Q 2.7 ·v7 A property owner requests that their lot be rezoned to allow a use prohibited in the surrounding district. If the city rezones only that one parcel without changing the zoning of the entire district, this would likely constitute:

- A. A legal conditional use
- B. Spot zoning ✓**
- C. An enforceable variance
- D. A valid amendment to the comprehensive plan

Answer: B. Spot zoning occurs when a single parcel receives zoning treatment different from adjacent properties without a comprehensive planning rationale; courts typically strike down this practice as arbitrary and capricious.

Q 2.7 ·v8 If a municipality rezones one parcel in a residential zone to permit commercial development while all surrounding properties remain residential, the rezoning could be challenged as:

- A. Spot zoning ✓**
- B. An illegal nonconforming use
- C. A failure to comply with conditional use standards
- D. A variance that exceeds the applicant's hardship

Answer: A. Spot zoning—treating one parcel differently from similarly-situated neighboring properties—is generally unconstitutional absent a legitimate public purpose and comprehensive planning justification.

Q 2.7 ·v9 A city zoning board grants one property owner special zoning classification that differs from surrounding parcels in the same district without a public purpose. This action is most likely an example of:

- A. A permitted nonconforming use under grandfathering provisions
- B. An illegal spot zoning practice ✓**
- C. A legitimate variance based on hardship
- D. A properly granted conditional use permit

Answer: B. Spot zoning illegally singles out an individual parcel for different zoning treatment without serving a legitimate public purpose, distinguishing it from variances, conditional uses, or nonconforming uses.

Q 2.8 **Lead-based paint disclosure applies to housing built before:**

- A. 1965
- B. 1972
- C. 1986
- D. 1978 ✓**

Answer: D. Pre-1978 residential housing.

Q 2.8 ·v1 **Under federal law, which homes require a lead-based paint disclosure when being sold or leased?**

- A. Only multi-unit properties constructed before 1975
- B. All residential properties constructed after 1980
- C. Commercial buildings and single-family homes built before 1990
- D. Residential properties built on or before December 31, 1977 ✓**

Answer: D. Federal lead-based paint disclosure requirements apply to residential housing constructed on or before December 31, 1977, which is the pre-1978 standard.

Q 2.8 ·v2 **A Hawaii real estate licensee is selling a 40-year-old single-family home. The agent must provide lead-based paint disclosure because the home was built before:**

- A. 1985
- B. 1975
- C. 1978 ✓**
- D. 1970

Answer: C. Lead-based paint disclosure is mandated for residential properties constructed before 1978 under federal EPA regulations.

Q 2.8 ·v3 **When does federal lead-based paint disclosure apply to a residential lease or sale transaction in Hawaii?**

- A. Residential dwellings built prior to 1978 ✓**
- B. Multi-family units constructed before 1980
- C. All properties regardless of age
- D. Properties built before 1960 only

Answer: A. The federal lead-based paint disclosure requirement applies to any residential dwelling built before 1978, as this is when lead-based paint was phased out.

Q 2.8 ·v4 A property owner is listing a condominium in Honolulu built in 1976. Which statement is correct regarding lead-based paint disclosure?

- A. Disclosure is only required if the paint is visibly deteriorated
- B. Disclosure is required only for buildings with more than 10 units
- C. Disclosure is not required because it is a condo unit

D. Disclosure is required because the unit was built before 1978 ✓

Answer: D. Lead-based paint disclosure requirements apply to any residential property built before 1978, including individual condo units.

Q 2.8 ·v5 Under federal law, which residential properties require lead-based paint disclosures in Hawaii real estate transactions?

- A. Commercial properties and apartments built before 1975
- B. All properties regardless of construction date
- C. Only single-family homes constructed after 1980

D. Residential units built in or before 1977 ✓

Answer: D. Federal law requires lead-based paint disclosure for residential properties built before 1978, as lead paint was commonly used in residential construction until that year.

Q 2.8 ·v6 A Hawaii licensee is listing a home built in 1976. Which statement correctly describes the lead-based paint disclosure requirement?

- A. Disclosure applies only if the seller is aware of lead contamination
- B. This property is exempt because it was built before 1980
- C. Disclosure is optional if the property has been recently renovated

D. The property must include lead-based paint disclosures in all marketing and sale documents ✓

Answer: D. Properties built before 1978 are presumed to contain lead-based paint and require mandatory disclosure in all real estate transactions, regardless of actual testing or seller knowledge.

Q 2.8 ·v7 When does the federal lead-based paint disclosure requirement become mandatory for a residential property in Hawaii?

- A. Never, unless the property has tested positive for lead
- B. For all properties built before 1985 that will be owner-occupied

C. For any home constructed prior to 1978 ✓

D. Only for properties built between 1968 and 1975

Answer: C. Federal lead-based paint disclosure applies to all residential properties constructed before 1978, as this was when lead paint regulations were implemented.

Q 2.8 · v8 A prospective buyer asks why a disclosure form is required for a house built in 1975. What is the correct explanation?

- A. Lead-based paint was commonly used in residential construction until 1978, so homes built before that year are subject to disclosure requirements ✓**
- B. Hawaii state law mandates disclosures for all properties over 40 years old
- C. The disclosure is required only if the current owner originally purchased the home before 1980
- D. The home was built during an era when lead paint prohibitions were enforced by the EPA

Answer: A. Lead-based paint was a standard ingredient in residential paint products until the federal ban in 1978, making pre-1978 homes subject to mandatory disclosure.

Q 2.8 · v9 Under federal law, which properties require a lead-based paint disclosure in Hawaii?

- A. All residential structures constructed in 1980 or earlier
- B. Commercial buildings constructed prior to 1972
- C. Residential properties built before 1978 ✓**
- D. Single-family homes built before 1985

Answer: C. Federal lead-based paint disclosure requirements apply to residential housing constructed before 1978, when lead paint was commonly used in residential construction.

Q 2.9 A "brownfield" is:

- A. A subdivision in foreclosure
- B. A nature preserve
- C. Agricultural land
- D. Property complicated by contamination concerns ✓**

Answer: D. Brownfield = potentially contaminated property, often redevelopable.

Q 2.9 · v1 Under Hawaii real estate law and environmental standards, what does the term 'brownfield' describe?

- A. Undeveloped land held in conservation easement
- B. Farm or ranch property zoned for agricultural preservation
- C. Residential property in a declining market area
- D. Industrial or commercial site with potential environmental liabilities from prior use ✓**

Answer: D. Brownfield specifically refers to properties with actual or suspected environmental contamination from industrial or commercial activities, often eligible for redevelopment incentives.

Q 2.9 ·v2 A property that may contain residual pollution or hazardous substances from previous industrial operations is best classified as a:

- A. Heritage preservation site
- B. Brownfield ✓**
- C. Greenfield
- D. Blackfield

Answer: B. Brownfield is the standard term for land with environmental contamination concerns, typically from former manufacturing or commercial use that may require remediation before redevelopment.

Q 2.9 ·v3 Which of the following best characterizes a 'brownfield' property?

- A. Land with infrastructure challenges but no environmental history
- B. Pristine natural land designated for wildlife habitat
- C. Former industrial site with suspected or confirmed soil and groundwater contamination ✓**
- D. Vacant residential lot in an economically distressed neighborhood

Answer: C. Brownfield properties are defined by actual or suspected environmental contamination, typically from past industrial or commercial use, requiring assessment and possible remediation.

Q 2.9 ·v4 In real estate development terminology, a 'brownfield' is best understood as:

- A. Property with environmental quality concerns stemming from prior uses ✓**
- B. An undeveloped parcel in an established residential community
- C. Land subject to wetland or coastal protection regulations
- D. A rural property tract designated for future commercial zoning

Answer: A. Brownfield describes properties hampered by environmental contamination or pollution concerns from previous industrial, commercial, or hazardous operations.

Q 2.9 ·v5 In Hawaii real estate development, a property with prior industrial use and potential soil or groundwater contamination would be classified as a:

- A. Greenfield site suitable for immediate residential construction
- B. Conservation easement subject to preservation restrictions
- C. Brownfield requiring environmental assessment before redevelopment ✓**
- D. Wetland protected under the Clean Water Act

Answer: C. Brownfields are properties with actual or perceived contamination from prior industrial or commercial use, requiring environmental due diligence before redevelopment.

Q 2.9 · v6 Which term describes real property that may have environmental liabilities from former manufacturing operations or commercial activities?

- A. A brownfield ✓**
- B. An undeveloped greenfield
- C. A property in a tax increment district
- D. A timberland parcel

Answer: A. Brownfield specifically refers to property with suspected or actual environmental contamination, typically from industrial or commercial historical use.

Q 2.9 · v7 A developer is evaluating a property that previously housed a dry-cleaning facility. The property likely falls into which category?

- A. A historic preservation district
- B. A brownfield site with potential contamination concerns ✓**
- C. An exempt agricultural property
- D. A designated wildlife refuge

Answer: B. Former dry-cleaning facilities commonly leave environmental contamination, making such properties typical brownfields requiring remediation assessment.

Q 2.9 · v8 Which of the following BEST describes a brownfield in the context of real estate transactions?

- A. Industrial or commercial property with suspected or actual contamination requiring environmental review ✓**
- B. A residential property in a declining neighborhood market
- C. Farmland enrolled in a conservation easement program
- D. Land in its natural state with no prior commercial development

Answer: A. Brownfields are characterized by potential environmental contamination from prior use, necessitating Phase I or Phase II environmental site assessments before acquisition or redevelopment.

Q 2.9 · v9 In Hawaii real estate development, a site with historical industrial use and potential environmental liabilities is most accurately described as:

- A. A brownfield property requiring Phase I environmental assessment ✓**
- B. An area zoned for conservation purposes
- C. A greenfield development opportunity
- D. A wetland-restricted parcel

Answer: A. Brownfield refers to previously developed or industrial property with actual or suspected environmental contamination; Phase I assessment is a common first step in evaluating such sites for redevelopment potential.

Q 2.10 Government action that severely restricts use without formal condemnation may be:

- A. Police power
- B. Variance
- C. Escheat

D. Inverse condemnation ✓

Answer: D. Inverse condemnation = de facto taking; owner sues for compensation.

Q 2.10 ·v1 When a property owner loses reasonable use of land due to governmental action that falls short of formal taking proceedings, the owner may pursue a claim for:

- A. Eminent domain waiver
- B. Regulatory escheat
- C. Variance relief

D. Inverse condemnation ✓

Answer: D. Inverse condemnation allows a property owner to sue the government for compensation when regulatory or administrative action effectively takes property without formal condemnation proceedings.

Q 2.10 ·v2 A municipality's strict zoning enforcement prevents all development on a property, effectively rendering it valueless. The owner's legal remedy for this de facto taking is called:

- A. Inverse condemnation** ✓
- B. Police power adjustment
- C. Statutory escheat petition
- D. Conditional use permit denial

Answer: A. Inverse condemnation is the legal claim property owners file when government action substantially diminishes property value without formal condemnation, seeking just compensation.

Q 2.10 ·v3 Which legal doctrine allows a property owner to sue for damages when governmental restrictions effectively take their property without following formal condemnation procedures?

- A. Prescriptive easement
- B. Inverse condemnation** ✓
- C. Adverse possession claim
- D. Police power exercise

Answer: B. Inverse condemnation is the doctrine by which an owner sues the government seeking compensation for a regulatory taking that occurs without formal eminent domain proceedings.

Q 2.10 ·v4 A property owner alleges the city's environmental regulations have completely eliminated all economic use of her land. She wishes to claim the government has effectively taken her property. Which legal action describes her remedy?

A. Request inverse condemnation compensation ✓

- B. File for escheat reversion
- C. Challenge police power authority
- D. Appeal for zoning variance

Answer: A. Inverse condemnation is the appropriate claim when regulatory action results in a de facto taking; the owner sues to recover just compensation rather than seeking permission to develop.

Q 2.10 ·v5 When a government agency's actions effectively deprive an owner of property use and value without filing a formal condemnation suit, the owner may pursue a claim for:

A. Inverse condemnation ✓

- B. Police power regulation
- C. Escheat proceedings
- D. Variance relief

Answer: A. Inverse condemnation allows a property owner to sue for compensation when government action substantially diminishes property value or use without initiating formal condemnation proceedings.

Q 2.10 ·v6 A regulatory restriction that amounts to a practical taking of property rights, despite the absence of formal condemnation, is best described as:

- A. Exercise of police power
- B. Conditional use permit denial

C. De facto taking or inverse condemnation ✓

- D. Eminent domain proceedings

Answer: C. Inverse condemnation (de facto taking) occurs when government action effectively seizes property use or value without the formal legal process of condemnation, allowing the owner to recover damages.

Q 2.10 ·v7 If a government action strips an owner of substantially all economically viable use of land without going through formal condemnation procedures, the owner may file suit for:

- A. Police power exemption
- B. Title escheat

C. Inverse condemnation damages ✓

- D. Zoning variance

Answer: C. Inverse condemnation is the legal remedy when a government action operates as a taking without formal condemnation, entitling the owner to compensation for the diminished property rights.

Q 2.10 ·v8 An owner claims that strict environmental regulations have rendered the property worthless and unusable, yet no condemnation notice was issued. This situation may constitute:

- A. Inverse condemnation ✓**
- B. Adverse possession
- C. Misuse of police power
- D. Regulatory non-compliance

Answer: A. Inverse condemnation allows an owner to recover compensation when regulatory restrictions or government actions effectively appropriate property value or use without formal condemnation proceedings.

Q 2.10 ·v9 When a property owner claims the government has effectively taken their land through regulatory restrictions without initiating formal eminent domain proceedings, the owner's legal remedy is known as:

- A. Regulatory taking defense
- B. Escheat to the state
- C. Inverse condemnation ✓**
- D. Police power enforcement

Answer: C. Inverse condemnation is the owner's lawsuit against government for compensation when regulatory or physical action amounts to a de facto taking without formal condemnation.

Q 2.11 Floor Area Ratio (FAR) limits:

- A. How tall a building can be
- B. The setback requirement
- C. The ratio of building floor area to lot area ✓**
- D. How many stories are allowed

Answer: C. FAR caps overall building size relative to lot.

Q 2.11 ·v1 Under Hawaii zoning regulations, a developer needs to understand what Floor Area Ratio (FAR) controls. Which statement accurately describes FAR?

- A. The relationship between total usable building square footage and the land parcel size ✓**
- B. The vertical height limitation measured in feet above grade level
- C. The maximum number of residential units permitted per acre
- D. The minimum distance a structure must be positioned from property lines

Answer: A. FAR is a density control that directly compares the total floor area of a building to its lot area, expressed as a ratio or decimal.

Q 2.11 ·v2 A property owner in Honolulu reviews zoning code restrictions. The code specifies an FAR of 2.0 for commercial projects. What does this Floor Area Ratio constraint specifically limit?

- A. Only two facade designs are permitted for the project
- B. The total building area may not exceed twice the area of the underlying lot ✓**
- C. The structure cannot exceed two stories in height
- D. Buildings must maintain a two-foot separation from neighboring properties

Answer: B. An FAR of 2.0 means the total floor area of all stories combined cannot exceed twice the lot size; this is a building mass/density control.

Q 2.11 ·v3 Which zoning parameter is Floor Area Ratio most directly used to regulate?

- A. The overall bulk and density of development on a parcel ✓**
- B. Required parking spaces and loading zones
- C. Exterior facade materials and architectural style
- D. Building height and story count

Answer: A. FAR regulates how much total building floor area can be constructed relative to the lot size, controlling overall development density.

Q 2.11 ·v4 A real estate licensee explains zoning terms to a client considering a commercial purchase. The client asks what Floor Area Ratio means. The licensee should explain that FAR primarily defines:

- A. The number of access points and driveway widths allowed
- B. The percentage of the lot that must remain open (green space)
- C. The proportion of usable indoor square footage compared to the total land area ✓**
- D. How many feet tall the building envelope can rise

Answer: C. FAR is the numerical ratio of total building floor area to lot area; it directly measures development intensity on the land.

Q 2.11 ·v5 When a zoning code specifies a Floor Area Ratio of 2.0, what does this constraint primarily control?

- A. The maximum height of the building measured in feet
- B. The total usable floor space relative to the size of the underlying land parcel ✓**
- C. The number of residential units permitted on the lot
- D. The maximum distance a structure must be positioned from the property line

Answer: B. FAR directly limits the ratio of total building floor area to lot area, controlling overall development density on a property.

Q 2.11 ·v6 A developer is reviewing zoning restrictions for a commercial lot. Which regulation specifically addresses the relationship between the building's total floor area and the lot size?

A. Floor Area Ratio (FAR) requirement ✓

- B. Parking ratio statute
- C. Frontage setback provision
- D. Height limitation ordinance

Answer: A. FAR is the zoning tool that directly measures and limits the proportion of building floor area compared to total lot area.

Q 2.11 ·v7 In Hawaii zoning code, Floor Area Ratio functions to:

A. Regulate the intensity of development by capping building area relative to land area ✓

- B. Determine minimum side-yard distances between adjacent properties
- C. Establish the number of floors a building may contain
- D. Define the width of public right-of-way frontage

Answer: A. FAR controls development intensity by limiting how much total floor area can be built on a given parcel of land.

Q 2.11 ·v8 A property with 10,000 square feet is zoned with a 1.5 FAR limit. What does this primarily restrict?

A. The total floor area cannot exceed 15,000 square feet ✓

- B. No more than three stories are permitted
- C. The building must be set back 15 feet from the street
- D. The building cannot exceed 50 feet in height

Answer: A. FAR of 1.5 on a 10,000 sq ft lot means maximum total floor area is 15,000 sq ft ($1.5 \times 10,000$), controlling overall building size.

Q 2.11 ·v9 A property developer is reviewing zoning restrictions for a commercial lot in Honolulu. The zoning code specifies an FAR of 2.5. What does this Floor Area Ratio restriction control?

- A. The number of residential units allowed per floor level
- B. The maximum height the building structure can reach above grade
- C. The minimum distance a building must be set back from property lines
- D. The total usable floor space permitted relative to the land area beneath it ✓**

Answer: D. FAR measures the relationship between total building floor area and the size of the lot; a 2.5 FAR means the building's total floors can be 2.5 times the lot area, controlling overall building mass.

Q 2.12 A daycare operating in a residential zone with a special permit is operating under a:

- A. Nonconforming use
- B. Variance
- C. Conditional use permit ✓**
- D. Spot zone

Answer: C. Conditional uses are zone-permitted with specific conditions.

Q 2.12 ·v1 A property owner in a residential district receives approval to operate a tutoring center after meeting specific zoning requirements and obtaining official authorization. What zoning mechanism allowed this use?

- A. A variance from the zoning ordinance
- B. Spot zoning of the individual lot
- C. Recognition as a legal nonconforming use
- D. A conditional use permit ✓**

Answer: D. A conditional use permit allows a specific use within a zone when the applicant meets predetermined conditions set by the zoning ordinance, as opposed to a variance which requires hardship or a nonconforming use which predates the zoning.

Q 2.12 ·v2 A residential neighborhood's zoning code permits certain commercial uses if the owner submits documentation and satisfies operational standards. A fitness studio successfully qualifies under this process. What zoning tool was applied?

- A. Zoning overlay district
- B. Nonconforming use status
- C. Conditional use permit ✓**
- D. Variance relief

Answer: C. Conditional use permits are expressly allowed by the zoning code itself when specified conditions are met, distinguishing them from variances (which require hardship) and nonconforming uses (which existed before zoning changes).

Q 2.12 ·v3 A home-based consulting business in a residential zone operated for years before current zoning restrictions took effect. The business continues under what zoning classification?

- A. Variance authority
- B. Conditional use permit status
- C. Planned development district
- D. Nonconforming use ✓**

Answer: D. A nonconforming use is an existing use that does not comply with current zoning but is grandfathered in because it operated before the restrictive zoning ordinance was adopted, unlike a conditional use permit which requires advance approval.

Q 2.12 ·v4 A church seeking to establish a soup kitchen in a single-family residential zone applied for and received official permission after demonstrating compliance with neighborhood impact standards. This approval is granted under a:

- A. Spot zone amendment
- B. Conditional use permit ✓**
- C. General variance from the city council
- D. Grandfather clause for nonconforming uses

Answer: B. Conditional use permits are specifically prescribed in zoning ordinances and granted when an applicant meets established conditions, as opposed to variances (which require undue hardship) or spot zoning (which changes zone boundaries for a single parcel).

Q 2.12 ·v5 A property owner received approval to operate a residential care facility in a single-family residential district after submitting specific operational conditions to the zoning board. This approval is known as a:

- A. Conditional use permit ✓**
- B. Variance from setback requirements
- C. Nonconforming use exception
- D. Floating zone classification

Answer: A. A conditional use permit allows a use that is compatible with the zone if specific conditions are met and approved by the zoning authority.

Q 2.12 ·v6 When a commercial office is permitted in a residential neighborhood provided the owner agrees to limit hours and install soundproofing, the office operates under a:

- A. Variance
- B. Spot zone
- C. Grandfathered nonconforming use
- D. Conditional use permit ✓**

Answer: D. Conditional use permits allow otherwise prohibited uses within a zone when specific conditions and restrictions are satisfied and approved.

Q 2.12 ·v7 A bed-and-breakfast home business was approved in an area zoned exclusively for residential dwellings because the owner agreed to comply with traffic, parking, and occupancy restrictions. This approval mechanism is called a:

- A. De minimis variance
- B. Illegal nonconforming use
- C. Zoning amendment
- D. Conditional use permit ✓**

Answer: D. Conditional use permits grant permission for specific uses that are compatible with a zone when the applicant accepts and adheres to established conditions.

Q 2.12 ·v8 A small medical clinic operates in a residential zone after the zoning board approved its application with mandatory restrictions on signage and patient parking. The clinic's legal operating status is based on a:

- A. Nonconforming use establishment
- B. Conditional use permit ✓**
- C. Variance waiver
- D. Comprehensive plan amendment

Answer: B. Conditional use permits are granted by zoning authority when an otherwise incompatible use can operate safely within a zone if specific conditions are met.

Q 2.12 ·w9 A residential neighborhood allows a home-based counseling practice after the owner obtains approval from the zoning board and agrees to specific operational restrictions. This use is classified as a:

- A. Conditional use permit ✓**
- B. Variance from the residential zoning code
- C. Spot zone exemption
- D. Nonconforming use that existed before zoning

Answer: A. A conditional use permit allows a use that would normally be prohibited in a zone, but only when specific conditions and restrictions are met and approved by the zoning authority.

03

Valuation & Market Analysis

National portion 8 PSI items 29 key concepts 12 base questions

Pricing is where every transaction starts and ends. Understand the three approaches to value and you can defend any number.

CHAPTER OVERVIEW

Market value is the most probable price a willing, informed buyer would pay a willing, informed seller in an arm's-length transaction with reasonable exposure to the open market. Market price is what actually changed hands — it can differ from market value when the parties are pressured, related, or uninformed. Cost is what was spent to build, which has no necessary relationship to either market value or market price.

The four characteristics of value, called DUST: Demand (someone has to want it), Utility (it has to satisfy a want or need), Scarcity (limited supply), Transferability (legal ability to convey). Remove any one and value collapses. The principle of substitution underlies all valuation: a buyer will pay no more than the cost of an equally desirable alternative. Other principles like highest and best use, conformity, progression, and regression all flow from how DUST plays out in a specific market.

Highest and best use is the use that is legally permissible (zoning, deed restrictions allow it), physically possible (the land can support it), financially feasible (it generates sufficient return), and maximally productive (highest residual return to the land). All four tests must be satisfied. A vacant lot in a commercial zone might have its highest and best use as a small retail building rather than as residual residential.

Three approaches converge on a credible value, and an appraiser reconciles them weighted by which is most reliable for the property type. The Sales Comparison Approach (also called Market Approach) is dominant for residential — adjust recent comparable sales for differences in size, location, condition, age, features, and financing terms. The Cost Approach is best for new construction or special-use property: estimate replacement cost, subtract depreciation, add land value. The Income Approach (Capitalization Approach) is used for income-producing property: estimate net operating income, divide by a market cap rate to derive value.

Depreciation in appraisal (different from tax depreciation) has three causes: physical deterioration (wear and tear, deferred maintenance), functional obsolescence (outdated features — one bathroom in a four-bedroom house), and external/economic obsolescence (factors outside the property — new freeway nearby, neighborhood decline). Each form is either curable (cost to fix is less than value added) or incurable (not economically worth fixing or impossible). External obsolescence is almost always incurable.

Capitalization formula: $\text{Value} = \text{Net Operating Income (NOI)} \div \text{Capitalization Rate}$. NOI is gross income minus vacancy/collection loss minus operating expenses. Note: mortgage payments (debt service) are NOT operating expenses for NOI purposes. Capitalization rate reflects investor risk — higher cap rate means higher perceived risk or weaker market, lower cap rate means lower risk or stronger market.

A Comparative Market Analysis (CMA) is what an agent prepares — a market-derived pricing recommendation, not an appraisal. A Broker Opinion of Value (BOV) is similar but more formal, often used for commercial property. Only a state-licensed or certified appraiser may produce an "appraisal" for federally related transactions (most loans involving federally regulated banks). Confusing these terms is a license-law trap.

Quick valuation tools: $\text{Gross Rent Multiplier (GRM)} = \text{Sale Price} \div \text{Monthly Gross Rent}$ — useful for residential rentals as a first-pass screen. $\text{Gross Income Multiplier (GIM)} = \text{Sale Price} \div \text{Annual Gross Income}$ — used for larger income property. Price per square foot is fast but ignores quality, lot, and neighborhood differences.

KEY CONCEPTS & DEFINITIONS

Market value	Most probable price under arm's-length conditions with reasonable exposure to the open market.
Market price	Actual sale price. May differ from market value due to pressure, relationships, or imperfect information.
Cost	Money spent to acquire or build. Has no necessary relationship to value.
DUST	Demand, Utility, Scarcity, Transferability — the four characteristics required for value.
Substitution	A buyer will pay no more than the cost of an equally desirable substitute. Underlies all three valuation approaches.
Highest and best use	Use that is legally permissible, physically possible, financially feasible, and maximally productive. Four-part test.
Conformity	Properties hold value best when similar to neighbors. Outliers (too big, too small, too unusual) lose value.
Progression	A modest property gains value when surrounded by superior properties.
Regression	A superior property loses value when surrounded by modest properties.
Sales comparison approach	Adjust comparable sales for differences in size, location, condition, age, financing. Primary for residential.
Cost approach	Land value + depreciated cost of improvements. Best for new construction or unique/special-use property.
Income approach	Value = NOI ÷ Capitalization Rate. Used for income-producing property.
Reconciliation	Appraiser's weighted synthesis of the three approaches into a final value opinion.
Capitalization rate (cap rate)	NOI ÷ Value. Higher cap rate = higher perceived risk or weaker market. Solve for any of three variables.
Net Operating Income (NOI)	Effective Gross Income - Operating Expenses. Excludes mortgage payments (debt service) and income tax.
Effective Gross Income	Potential Gross Income - Vacancy and Collection Loss + Other Income.
Operating expenses	Recurring costs to operate property: taxes, insurance, utilities, maintenance, management. NOT debt service.
Gross Rent Multiplier (GRM)	Sale Price ÷ Monthly Gross Rent. Quick residential rental screen.
Gross Income Multiplier (GIM)	Sale Price ÷ Annual Gross Income. Used for larger income property.
Physical depreciation	Loss in value from wear, tear, deferred maintenance. Often curable.
Functional obsolescence	

Outdated design or features — one bath in a four-bed house, narrow halls, awkward layout. Sometimes curable.

External obsolescence	Loss caused by factors outside the property — new freeway, neighborhood decline. Almost always incurable.
Curable vs incurable depreciation	Curable = cost to fix < value added. Incurable = not economically fixable.
Replacement cost	Cost to build a property of equivalent utility using current methods. Used in cost approach.
Reproduction cost	Cost to build an exact replica using original methods/materials. Used for historic properties.
CMA	Comparative Market Analysis — agent-prepared pricing recommendation. Not an appraisal.
BOV	Broker Opinion of Value. More formal than CMA, typically commercial.
Appraisal	Licensed appraiser's formal opinion of value. Required for federally related transactions.
USPAP	Uniform Standards of Professional Appraisal Practice. Federal appraiser ethics + methodology rules.

QUESTION BANK — VALUATION & MARKET ANALYSIS

Q 3.1 A four-plex generates \$48,000 NOI. A market cap rate of 8% suggests a value of:

- A. \$750,000
- B. \$384,000
- C. \$600,000 ✓**
- D. \$480,000

Answer: C. Value = NOI ÷ Cap Rate = 48,000 ÷ 0.08 = \$600,000.

Q 3.1 v1 An apartment building produces \$48,000 in net operating income annually. Using a capitalization rate of 8%, what is the property's estimated market value?

- A. \$720,000
- B. \$600,000 ✓**
- C. \$525,000
- D. \$384,000

Answer: B. Property value is calculated using the cap rate formula: Value = NOI ÷ Cap Rate = 48,000 ÷ 0.08 = \$600,000.

Q 3.1 ·v2 A rental property with \$48,000 NOI is being appraised using the income capitalization approach. If comparable properties in the market trade at an 8% cap rate, what value should the appraiser conclude?

- A. \$600,000** ✓
- B. \$750,000
- C. \$480,000
- D. \$640,000

Answer: A. Under the income approach, dividing NOI by the market cap rate yields value: $\$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v3 An investor analyzes a multi-unit residential property generating \$48,000 in NOI. The prevailing capitalization rate for similar properties is 8%. What is the indicated property value?

- A. \$456,000
- B. \$744,000
- C. \$600,000** ✓
- D. \$384,000

Answer: C. The income capitalization approach determines value by dividing NOI by the cap rate: $\$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v4 A four-plex owner reports \$48,000 annual NOI. Using the direct capitalization method with an 8% market cap rate, the property's value would be approximately:

- A. \$528,000
- B. \$600,000** ✓
- C. \$720,000
- D. \$384,000

Answer: B. Direct capitalization solves for value using the formula: Value = NOI ÷ Cap Rate, which equals $\$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v5 An income-producing property in Honolulu has a net operating income of \$48,000 annually. Using the income approach with a capitalization rate of 8%, what is the estimated property value?

- A. \$600,000** ✓
- B. \$960,000
- C. \$384,000
- D. \$720,000

Answer: A. The income approach formula is Value = NOI ÷ Cap Rate. Therefore, $\$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v6 A residential investment property generates \$48,000 in NOI. If comparable properties in the market are trading at an 8% cap rate, what value should an appraiser assign using the direct capitalization method?

- A. \$600,000** ✓
- B. \$800,000
- C. \$540,000
- D. \$672,000

Answer: A. Direct capitalization divides NOI by the cap rate: $\$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v7 A multi-unit rental building produces \$48,000 NOI annually. The prevailing market cap rate for similar properties is 8%. Using income capitalization, what is the property's indicated value?

- A. \$384,000
- B. \$750,000
- C. \$600,000** ✓
- D. \$480,000

Answer: C. Income capitalization value is calculated as $\text{NOI} \div \text{Cap Rate} = \$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v8 An investor is analyzing a property with \$48,000 annual NOI. Market data shows an 8% cap rate for comparable properties. What value does the income capitalization approach support?

- A. \$600,000** ✓
- B. \$432,000
- C. \$528,000
- D. \$624,000

Answer: A. The income capitalization formula is $\text{Value} = \text{NOI} \div \text{Cap Rate}$, which equals $\$48,000 \div 0.08 = \$600,000$.

Q 3.1 ·v9 An investment property produces \$48,000 in annual net operating income. Using a capitalization rate of 8%, what is the estimated property value?

- A. \$600,000** ✓
- B. \$720,000
- C. \$384,000
- D. \$528,000

Answer: A. Property value is calculated by dividing NOI by the cap rate: $\$48,000 \div 0.08 = \$600,000$. This fundamental appraisal approach determines value based on income-producing potential.

Q 3.2 A house with one bathroom on a street where every other home has two suffers from:

A. Functional obsolescence ✓

- B. Physical depreciation
- C. External obsolescence
- D. Economic obsolescence

Answer: A. Functional = outdated design within the property itself.

Q 3.2 ·v1 A residential property with only one shower/bath is valued lower than comparable homes in the neighborhood that have three bathrooms. This deficiency is best characterized as:

A. Functional obsolescence ✓

- B. Incurable external depreciation
- C. Locational obsolescence
- D. Curable physical deterioration

Answer: A. Functional obsolescence refers to an outdated or inadequate feature within the property itself (insufficient bathrooms for market expectations) that reduces utility and value relative to current standards.

Q 3.2 ·v2 A home's floor plan includes only one bathroom while the neighborhood standard is three or four bathrooms. The loss in value attributable to this condition is due to:

- A. Deferred maintenance on plumbing fixtures
- B. Environmental contamination affecting the water systems
- C. Functional obsolescence** ✓
- D. Adverse economic conditions in the market

Answer: C. Functional obsolescence occurs when a property's design, layout, or built-in features (like inadequate bathroom count) are inherently outdated or do not meet current market expectations, causing value loss independent of physical condition.

Q 3.2 ·v3 An appraiser notes that a property has structural integrity and no signs of wear, yet it appraises below similar homes because it has only one bathroom instead of the two bathrooms typical of the area. This type of depreciation is called:

- A. Material defect
- B. Deferred maintenance
- C. Functional obsolescence** ✓
- D. Neighborhood decline

Answer: C. Functional obsolescence is the loss in value caused by design deficiencies or lack of modern amenities (insufficient bathrooms) within the property itself, regardless of its physical condition.

Q 3.2 · v4 A single-bathroom home loses market value when comparable homes in the same subdivision all feature at least two bathrooms. The appraiser attributes this loss to:

- A. Supply shortage of similar properties
- B. Deterioration from age and wear
- C. Functional obsolescence ✓**
- D. Zoning restriction limitations

Answer: C. Functional obsolescence stems from an inadequacy in the property's design or features (too few bathrooms) that makes it less desirable relative to modern market standards for the location.

Q 3.2 · v5 A residential property has an outdated floor plan and single-bath configuration while comparable homes in the neighborhood feature modern open layouts with multiple bathrooms. What type of depreciation affects this property's value?

- A. Functional obsolescence ✓**
- B. Curable physical deterioration
- C. Locational obsolescence
- D. Incurable external obsolescence

Answer: A. Functional obsolescence refers to deficiencies in the property's design and usefulness relative to current standards—the single bathroom reflects poor internal design compared to market expectations for the area.

Q 3.2 · v6 An appraiser notes that a home lacks adequate plumbing fixtures compared to all neighboring properties on the block. The deficiency originates from the home's interior layout and design rather than neighborhood factors. This is an example of:

- A. External obsolescence
- B. Structural depreciation
- C. Deferred maintenance
- D. Functional obsolescence ✓**

Answer: D. Functional obsolescence describes inherent design flaws or inadequate features within the structure itself—a single bathroom when homes around it have multiple is a design inadequacy of the subject property.

Q 3.2 · v7 A property suffers a loss in value because its bathroom count and floor plan do not match what buyers expect given the current market in that neighborhood. What does this represent?

- A. Technological depreciation from outdated systems
- B. Functional obsolescence from inadequate design ✓**
- C. Economic obsolescence from market decline
- D. Physical depreciation from wear and tear

Answer: B. Functional obsolescence captures the loss in value due to outdated or inadequate design features within the property itself—here, insufficient bathrooms relative to modern home expectations and neighborhood standards.

Q 3.2 ·v8 In a neighborhood where homes typically include two or more bathrooms, a house with only one bathroom experiences reduced market appeal. The reduction in value is attributable to:

- A. Incurable external depreciation
- B. Obsolete building code violations
- C. Deferred maintenance and repairs

D. Functional obsolescence ✓

Answer: D. Functional obsolescence occurs when a property's internal design or features fall short of current market standards and expectations—a single bathroom in a two-bath neighborhood reflects insufficient design capacity.

Q 3.2 ·v9 A residential property features an open-concept kitchen-living area layout that is considered dated compared to the closed, compartmentalized floor plans typical of similar homes in the neighborhood. This property most likely suffers from:

- A. External obsolescence due to neighborhood decline
- B. Physical deterioration requiring structural repairs

C. Functional obsolescence from outdated design features ✓

- D. Locational obsolescence from zoning changes

Answer: C. Functional obsolescence refers to outdated or inadequate design and features within the property itself that reduce its utility compared to current market standards, regardless of external market conditions.

Q 3.3 GRM is calculated as:

- A. Price ÷ annual rent
- B. Annual rent ÷ price
- C. NOI ÷ price

D. Price ÷ monthly rent ✓

Answer: D. Gross Rent Multiplier = Sale Price ÷ Monthly Gross Rent.

Q 3.3 ·v1 To determine the Gross Rent Multiplier (GRM) of a residential property, which formula should an appraiser use?

- A. Monthly rent × annual appreciation rate
- B. Annual gross rent minus operating expenses
- C. Cap rate multiplied by net operating income

D. Sale price divided by monthly rental income ✓

Answer: D. GRM is a quick valuation tool calculated by dividing the property's sale price by its monthly gross rental income, regardless of expenses.

Q 3.3 ·v2 A property sells for \$600,000 with a monthly gross rent of \$5,000. What is the GRM?

- A. 100
- B. 7.2
- C. 120 ✓**
- D. 12

Answer: C. $\text{GRM} = \$600,000 \div \$5,000 = 120$. The GRM uses sale price divided by monthly rent to produce a multiplier used for comparative market analysis.

Q 3.3 ·v3 When using the Gross Rent Multiplier approach, which of the following correctly identifies the numerator and denominator?

- A. Numerator: annual rent; Denominator: property value
- B. Numerator: net operating income; Denominator: monthly rent
- C. Numerator: property price; Denominator: monthly rent ✓**
- D. Numerator: monthly rent; Denominator: property value

Answer: C. The Gross Rent Multiplier formula uses the property's purchase price as the numerator and monthly gross rental income as the denominator.

Q 3.3 ·v4 A real estate investor wants to quickly compare two similar rental properties using a valuation metric. Which calculation method should the investor use to derive the GRM?

- A. Discount rate applied to projected cash flows
- B. Total acquisition cost split by monthly rental receipts ✓**
- C. Monthly income multiplied by the property's effective age
- D. Annual expenses deducted from gross revenue

Answer: B. GRM divides the property's acquisition (sale) price by monthly gross rental income, providing a simple ratio for comparing income-producing properties.

Q 3.3 ·v5 To determine the Gross Rent Multiplier of an investment property, you would divide:

- A. The purchase price by the monthly rental income ✓**
- B. Monthly rental income by the net operating income
- C. The annual rental income by the capitalization rate
- D. The monthly rental income by the debt service

Answer: A. The Gross Rent Multiplier formula is $\text{Sale Price} \div \text{Monthly Gross Rent}$, which directly compares property value to monthly rental income.

Q 3.3 · v6 A property sold for \$400,000 and generates \$2,500 per month in gross rent. What is the GRM?

- A. 0.00625
- B. 133.33
- C. 0.0075
- D. 160 ✓**

Answer: D. $\text{GRM} = \$400,000 \div \$2,500 = 160$. The GRM multiplies monthly rent to estimate property value or compares similar properties.

Q 3.3 · v7 Which formula correctly represents the Gross Rent Multiplier method used in real estate valuation?

- A. Cash flow divided by mortgage balance
- B. Sales price divided by monthly gross rental income ✓**
- C. NOI divided by capitalization rate
- D. Annual gross rent multiplied by the price per unit

Answer: B. The GRM is specifically calculated as $\text{Sale Price} \div \text{Monthly Gross Rent}$, making it a quick comparison tool for income properties without adjusting for expenses.

Q 3.3 · v8 When using the Gross Rent Multiplier approach, a broker needs to:

- A. Divide the property's selling price by its monthly gross rental income ✓**
- B. Multiply the annual net income by market factor adjustments
- C. Apply depreciation schedules to the capitalized value
- D. Subtract operating expenses before dividing the price by monthly rent

Answer: A. $\text{GRM} = \text{Price} \div \text{Monthly Gross Rent}$. Unlike cap rate analysis, GRM uses gross (not net) rental income, making it simpler but less precise.

Q 3.3 · v9 A property sold for \$450,000 and generates \$3,000 in monthly rental income. What is the property's Gross Rent Multiplier?

- A. 12.5
- B. 150 ✓**
- C. 180
- D. 0.0067

Answer: B. GRM is calculated by dividing the sale price by monthly gross rent: $\$450,000 \div \$3,000 = 150$. This multiplier indicates the property costs 150 times its monthly rent.

Q 3.4 Which approach is primary for valuing a single-family residence?

- A. Reproduction
- B. Income
- C. Cost

D. Sales comparison ✓

Answer: D. Sales comparison is dominant for residential where comparables are abundant.

Q 3.4 ·v1 When appraising a typical owner-occupied home, which valuation method should a real estate professional prioritize?

A. Comparable sales analysis ✓

- B. Depreciation calculation
- C. Capitalization of income method
- D. Replacement cost methodology

Answer: A. Comparable sales analysis is the preferred method for single-family residences because similar properties are readily available in most markets for direct comparison.

Q 3.4 ·v2 A residential appraiser is valuing a detached single-family home in an established neighborhood. Which approach would most likely produce the most reliable estimate of value?

- A. Summation of land and improvement costs
- B. Income capitalization approach

C. Market data approach using recent similar sales ✓

- D. Cost approach based on construction expenses

Answer: C. The market data approach relies on actual transaction prices of comparable properties, making it the most accurate for residential properties where numerous sales comps exist.

Q 3.4 ·v3 In Hawaii real estate practice, what is the standard valuation technique for determining the market value of a single-family dwelling?

- A. Construction cost rebuilding method

B. Sales comparison method ✓

- C. Rent multiplier analysis
- D. Landlord net operating income approach

Answer: B. Sales comparison method is standard for residential valuation because it reflects what buyers are actually paying for similar homes in the current market.

Q 3.4 ·v4 Which of the following would be the most appropriate primary valuation approach for a homeowner seeking to list their single-family residence?

- A. Extraction method using land-to-value ratios
- B. Direct capitalization of rental income
- C. Comparative market analysis of recent arm's-length sales ✓**
- D. Abstraction of depreciation from replacement cost

Answer: C. Comparative market analysis (sales comparison approach) is most appropriate for residential listing because it directly uses prices paid for similar properties in the same market.

Q 3.4 ·v5 A residential appraiser is tasked with determining the fair market value of a three-bedroom home in a suburban Honolulu neighborhood. Which valuation method should take priority?

- A. Market data approach using recent comparable sales ✓**
- B. Income capitalization approach
- C. Cost approach based on construction expenses
- D. Replacement cost less depreciation

Answer: A. The market data (sales comparison) approach is the most reliable for single-family residences because abundant comparable sales data is typically available in residential markets.

Q 3.4 ·v6 When appraising a single-family home for financing purposes, which method typically provides the most credible valuation?

- A. Comparable sales analysis ✓**
- B. Income approach assuming rental potential
- C. Construction cost method
- D. Reproduction approach

Answer: A. Comparable sales analysis (sales comparison approach) is the preferred method for residential properties because similar properties trade frequently and provide reliable market evidence.

Q 3.4 ·v7 An appraiser is valuing a single-family dwelling on Oahu. Which of the following approaches would be MOST appropriate as the primary valuation method?

- A. Estimating the structure's reproduction cost minus accrued depreciation
- B. Calculating net operating income and capitalizing it
- C. Determining replacement value at current construction costs
- D. Analyzing recent arm's-length sales of similar properties ✓**

Answer: D. Sales comparison approach is most appropriate for residential properties because comparable market data from similar homes is typically abundant and reflects actual buyer preferences.

Q 3.4 · v8 In residential appraisal practice, which valuation approach should generally receive the greatest weight?

A. Sales comparison approach ✓

- B. Summation method
- C. Cost approach
- D. Income approach

Answer: A. The sales comparison approach carries the most weight in residential appraisals because actual market transactions of comparable single-family properties provide direct evidence of value.

Q 3.4 · v9 When appraising a typical owner-occupied home in Hawaii, which valuation method should a professional appraiser emphasize?

A. Recent arms-length sales of similar properties in the area ✓

- B. The net operating income capitalized at the market rate
- C. The original cost adjusted for depreciation since construction
- D. The replacement cost of building materials and labor

Answer: A. The sales comparison approach is the most reliable for single-family residences because comparable sales data is readily available and reflects actual market behavior.

Q 3.5 DUST stands for:

A. Demand, Utility, Scarcity, Transferability ✓

- B. Distance, Use, Survey, Title
- C. Demand, Use, Sale, Title
- D. Density, Utility, Setback, Transfer

Answer: A. DUST = the four characteristics required for value.

Q 3.5 · v1 Which acronym identifies the four essential elements that create value in real property?

A. Demand, Utility, Scarcity, Transferability ✓

- B. Depreciation, Utility, Subdivision, Title
- C. Dollar, Usage, Supply, Taxable
- D. Deed, Unit, Structure, Tax

Answer: A. DUST represents the four foundational characteristics—Demand, Utility, Scarcity, and Transferability—that must all be present for real property to have value.

Q 3.5 ·v2 A real estate appraiser references the DUST principle when evaluating property value.

What does DUST stand for?

- A. Desirability, Unit value, Structural, Title insurance
- B. Density, Use, Site, Transaction
- C. Demand, Utility, Scarcity, Transferability ✓**
- D. Development, Usage, Square footage, Terms

Answer: C. DUST is the mnemonic for the four required characteristics of value: Demand, Utility, Scarcity, and Transferability; all four must exist simultaneously.

Q 3.5 ·v3 To determine whether a property has market value, an agent should confirm all elements of DUST are present. Which of the following correctly lists those elements?

- A. Demand, Utility, Scarcity, Transferability ✓**
- B. Depreciation, Utility, Square footage, Title
- C. Deferred, Usable, Separate, Transferable
- D. Distance, Utility, Supply, Tax-exempt

Answer: A. DUST comprises the four characteristics necessary for property value: Demand (want/need), Utility (usefulness), Scarcity (limited supply), and Transferability (ability to convey ownership).

Q 3.5 ·v4 In a licensing course on value theory, the instructor explains that all four components of DUST must be present for real estate to have economic value. Which set correctly identifies these components?

- A. Demand, Utility, Scarcity, Transferability ✓**
- B. Demand, Use restrictions, Site plan, Title commitment
- C. Density, Usable area, Setbacks, Transfer tax
- D. Delineation, Utility, Survey, Transactions

Answer: A. DUST is the acronym for the four essential value characteristics: Demand (buyer desire), Utility (purpose/benefit), Scarcity (finite supply), and Transferability (legally conveyable).

Q 3.5 ·v5 Which acronym identifies the four essential elements that create value in real property?

- A. Demand, Utility, Scarcity, Transferability ✓**
- B. Deed, Use, Subdivision, Tax
- C. Development, Usability, Site, Title
- D. Desirability, Utility, Supply, Tenure

Answer: A. DUST represents the four requisite characteristics of value: Demand (desire and ability to pay), Utility (usefulness), Scarcity (limited supply), and Transferability (ability to exchange ownership).

Q 3.5 ·v6 A property appraiser relies on DUST to evaluate whether a property has market value. What does this acronym stand for?

- A. Distance, Utility, Setback, Tenure
- B. Demand, Utility, Scarcity, Transferability ✓**
- C. Density, Use, Subdivision, Transfer
- D. Desirability, Unit cost, Supply, Title

Answer: B. DUST is the fundamental appraisal framework identifying four conditions necessary for value: Demand, Utility, Scarcity, and Transferability.

Q 3.5 ·v7 When explaining to a client why their property has value, a broker references the four characteristics known as DUST. Which combination is correct?

- A. Demand, Use, Survey, Title
- B. Demand, Utility, Scarcity, Transferability ✓**
- C. Development, Utility, Site conditions, Transfer rights
- D. Desirability, Use rights, Supply, Transaction

Answer: B. DUST represents the four essential elements of value: Demand (market desire), Utility (practical benefit), Scarcity (limited availability), and Transferability (marketability and ability to convey ownership).

Q 3.5 ·v8 In Hawaii real estate practice, understanding DUST helps agents recognize what makes property valuable. DUST stands for:

- A. Distance, Use type, Setback requirement, Transfer fee
- B. Desirability, Unit value, Supply constraint, Tenure
- C. Demand, Utility, Scarcity, Transferability ✓**
- D. Density, Usefulness, Subdivision, Title

Answer: C. DUST defines the four characteristics required for any property to have value: Demand, Utility, Scarcity, and Transferability.

Q 3.5 ·v9 Which acronym identifies the four essential elements that must be present for real property to have value?

- A. Depreciation, Usage, Site, Tax basis
- B. Downpayment, Underwriting, Security, Terms
- C. Deed, Usufruct, Subdivision, Title insurance
- D. Demand, Utility, Scarcity, Transferability ✓**

Answer: D. DUST represents the four characteristics of value: Demand (willingness to buy), Utility (usefulness), Scarcity (limited supply), and Transferability (ability to convey ownership).

Q 3.6 A new highway being built next to a quiet neighborhood causes:

- A. Reproduction loss
- B. Functional obsolescence
- C. External obsolescence ✓**
- D. Curable physical depreciation

Answer: C. External (economic) obsolescence is caused by factors outside the property.

Q 3.6 ·v1 A residential property loses value because a commercial waste disposal facility opens across the street. This depreciation is classified as:

- A. Deferred maintenance requiring rehabilitation
- B. Physical depreciation subject to cure
- C. Functional obsolescence from poor building design
- D. External obsolescence due to neighborhood change ✓**

Answer: D. External (economic) obsolescence results from negative changes in the surrounding environment or neighborhood factors beyond the property owner's control.

Q 3.6 ·v2 When a property's market value declines due to construction of a landfill nearby, the loss in value represents:

- A. A deficiency in the property's utility and design
- B. Deferred structural repairs requiring capital expenditure
- C. Obsolescence caused by external economic factors ✓**
- D. Accrued physical depreciation that can be remedied

Answer: C. External obsolescence occurs when off-site factors—such as nuisances, zoning changes, or negative neighborhood developments—reduce property value independent of the structure's condition.

Q 3.6 ·v3 A property appraiser notes that homes in an area have decreased in value following the rerouting of traffic through the neighborhood. What type of value loss is this?

- A. Reproduction cost depreciation
- B. Curable physical depreciation
- C. Incurable functional obsolescence
- D. Economic obsolescence from external forces ✓**

Answer: D. Economic (external) obsolescence is caused by adverse external conditions such as traffic pattern changes, noise, or other neighborhood factors outside the property itself.

Q 3.6 · v4 If a property experiences reduced market value because a prison is being constructed in the vicinity, this depreciation would be classified as:

- A. Physical depreciation that is easily curable
- B. Functional obsolescence due to poor layout
- C. Economic loss recoverable through property improvements

D. External obsolescence stemming from neighborhood influences ✓

Answer: D. External (economic) obsolescence results from negative external environmental, social, or zoning factors in the property's area that cannot be remedied by the property owner.

Q 3.6 · v5 An industrial manufacturing facility is constructed adjacent to a residential property, negatively impacting its market value. What type of depreciation is this property experiencing?

- A. Loss due to outdated floor plan layout
- B. Deferred maintenance requiring roof repairs
- C. Structural design incompatibility with modern standards

D. External obsolescence from nearby incompatible land use ✓

Answer: D. External obsolescence results from factors outside the property's control, such as nearby incompatible uses that diminish desirability and value.

Q 3.6 · v6 A property's value declines after a major airport expands its flight paths over the neighborhood. This loss in value represents which form of depreciation?

A. Economic obsolescence from external environmental conditions ✓

- B. Functional obsolescence due to poor interior design
- C. Physical depreciation from deferred structural maintenance
- D. Curable deterioration that can be corrected through renovation

Answer: A. Economic (external) obsolescence occurs when external conditions—such as increased noise and air traffic—reduce property value independent of the structure's physical condition.

Q 3.6 · v7 Following the announcement of a landfill development near a residential community, property values in the area decline significantly. What best describes this situation?

A. Incurable external obsolescence from surrounding conditions ✓

- B. Accrued depreciation from age and wear
- C. Functional obsolescence from layout issues
- D. Curable physical depreciation

Answer: A. External obsolescence is incurable because it stems from external market factors and neighborhood conditions beyond the property owner's control.

Q 3.6 ·v8 A residential property loses market appeal after a commercial shopping mall is developed on adjacent land. Which type of depreciation best characterizes this loss?

- A. Functional inadequacy due to outdated room configuration
- B. External obsolescence from neighborhood change ✓**
- C. Reproduction cost depreciation
- D. Physical deterioration correctable by repairs

Answer: B. External obsolescence occurs when neighborhood or area changes (like incompatible land uses) reduce property value, regardless of the property's physical condition or design.

Q 3.6 ·v9 A residential property's market value declines significantly after the city announces plans to relocate a major industrial manufacturing facility nearby. What type of depreciation is this property experiencing?

- A. Deferred maintenance and curable deterioration
- B. Incurable functional deficiency
- C. Structural depreciation
- D. External obsolescence ✓**

Answer: D. External obsolescence (also called economic obsolescence) results from negative factors in the surrounding environment or neighborhood that are beyond the property owner's control, such as nearby industrial development or infrastructure changes.

Q 3.7 Highest and best use must be:

- A. Physically possible only
- B. Approved by the seller
- C. Profitable only
- D. Legally permissible, physically possible, financially feasible, maximally productive ✓**

Answer: D. All four tests must be satisfied.

Q 3.7 ·v1 When evaluating a property's highest and best use, an appraiser must ensure the proposed use satisfies which of the following criteria?

- A. Compatibility with neighboring properties
- B. The owner's personal investment goals
- C. Market demand and current zoning only
- D. Legal permissibility, physical feasibility, financial viability, and maximum productivity ✓**

Answer: D. Highest and best use requires all four elements: legal permissibility, physical possibility, financial feasibility, and maximum productivity. Partial criteria or subjective preferences do not constitute valid highest and best use analysis.

Q 3.7 ·v2 A property's highest and best use analysis is considered complete only when it demonstrates:

- A. Compliance with all zoning, structural capability, economic return, and optimal income-generation standards ✓**
- B. Approval from the local planning department
- C. Consistency with the appraiser's prior valuations
- D. Profitability exceeding comparable sales in the market

Answer: A. All four tests—legal, physical, financial, and productive—must be satisfied simultaneously for a use to qualify as highest and best use; partial compliance or departmental approval alone is insufficient.

Q 3.7 ·v3 Which statement most accurately describes the requirements for determining highest and best use?

- A. The use must be legally allowed, structurally viable, economically feasible, and produce maximum net returns ✓**
- B. The use must generate the greatest short-term profit
- C. The use must be consistent with the seller's original intent
- D. The use must match the majority of nearby properties

Answer: A. Highest and best use requires simultaneous satisfaction of four standards: legal permissibility, physical possibility, financial feasibility, and maximum productivity; meeting only one or two criteria is insufficient.

Q 3.7 ·v4 Before concluding that a proposed use represents a property's highest and best use, the appraiser must verify it is:

- A. More profitable than the current use
- B. Preferred by the mortgage lender
- C. Legally permissible, physically constructible, financially viable, and reasonably productive ✓**
- D. Sustainable indefinitely without modification

Answer: C. The four essential tests—legal, physical, financial, and productive capacity—must all be satisfied concurrently; absence of any single test negates the highest and best use conclusion.

Q 3.7 ·v5 When evaluating a property's highest and best use, an appraiser must ensure the use satisfies which of the following criteria?

- A. Zoning approval and construction cost only
- B. Environmental impact assessment alone
- C. Market demand and owner preference
- D. Legal compliance, physical feasibility, economic viability, and net income maximization ✓**

Answer: D. Highest and best use requires satisfaction of all four criteria: legal permissibility, physical possibility, financial feasibility, and maximum productivity. Owner preference and environmental impact alone are insufficient.

Q 3.7 ·v6 A developer is analyzing potential uses for a vacant lot. Which statement correctly describes the requirements for determining highest and best use?

- A. The use must generate the greatest profit margin regardless of zoning restrictions
- B. The use must align with the property owner's personal investment goals
- C. The use must be legally permitted, physically capable of development, economically viable, and result in the greatest net return ✓**
- D. The use must be the most expensive development option available

Answer: C. Highest and best use must simultaneously meet legal (zoning/code), physical (site constraints), financial (cost feasibility), and productivity (maximum return) standards; profit alone or owner preference cannot override these requirements.

Q 3.7 ·v7 In an appraisal report, the highest and best use analysis should confirm that the proposed use is:

- A. Approved by the city planning department without regard to physical or economic constraints
- B. Reasonably probable, legally allowable, constructively feasible, and financially supportable with superior earning potential ✓**
- C. Permitted by local zoning and physically possible, but financial feasibility is secondary
- D. Acceptable to neighborhood residents and most profitable in the current market

Answer: B. All four tests—legal permissibility, physical possibility, financial feasibility, and maximum productivity—must be simultaneously satisfied; neighborhood approval or planning department preference alone do not constitute highest and best use.

Q 3.7 ·v8 Which of the following best describes the complete test for determining if a property use qualifies as highest and best use?

- A. The use is achievable within zoning law, capable of being constructed, affordable to develop, and generates the greatest net benefit ✓**
- B. The use has been historically common in the neighborhood
- C. The use is supported by the majority of adjacent property owners
- D. The use produces the highest sales price in the current market cycle

Answer: A. Highest and best use requires satisfaction of four concurrent standards: legal permissibility, physical possibility, financial feasibility, and maximum productivity; historical precedent or neighbor support do not meet these objective criteria.

Q 3.7 ·v9 When determining a property's highest and best use, an appraiser must ensure the use satisfies which of the following requirements?

- A. Maximizes profit regardless of physical or legal constraints
- B. Generates the greatest return and meets zoning laws only
- C. Receives written consent from the current property owner

D. Is legally permitted, technically achievable, economically viable, and produces the greatest net benefit ✓

Answer: D. Highest and best use requires all four criteria: legal permissibility, physical possibility, financial feasibility, and maximum productivity; meeting only some criteria is insufficient.

Q 3.8 A modest property surrounded by larger, more expensive homes benefits from:

- A. Conformity
- B. Progression ✓**
- C. Substitution
- D. Regression

Answer: B. Progression — modest property pulled up by superior neighbors.

Q 3.8 ·v1 When a lower-priced home is situated among premium residences in an affluent neighborhood, the property typically experiences value enhancement through which appraisal principle?

- A. Progression ✓**
- B. Anticipation
- C. Regression
- D. Substitution

Answer: A. Progression occurs when a property of lesser value is positively influenced by higher-value surrounding properties, increasing its market appeal and value.

Q 3.8 ·v2 A real estate appraiser evaluates a modest single-story home located in a neighborhood of upscale multi-story estates. Which principle best explains the positive impact on the modest home's valuation?

- A. Progression ✓**
- B. Contribution
- C. Conformity
- D. Regression

Answer: A. Progression applies when a lower-value property benefits from being in proximity to superior, higher-priced homes that enhance its desirability and market value.

Q 3.8 ·v3 A small, modest house is the least expensive property on a street lined with large, luxury homes. The increased market value of this modest house relative to similar homes in less affluent areas demonstrates:

- A. Progression ✓**
- B. Regression
- C. Highest and best use
- D. Plottage value

Answer: A. Progression is the principle where a property of lower quality or value benefits from being adjacent to or surrounded by superior properties that elevate its worth.

Q 3.8 ·v4 In an upscale residential area, a comparatively inexpensive property commands a higher price than identical properties in middle-class neighborhoods. This phenomenon is primarily attributed to which valuation principle?

- A. Supply and demand
- B. Regression
- C. Functional obsolescence
- D. Progression ✓**

Answer: D. Progression explains how a modest property gains value from its superior neighborhood environment, with the quality and prices of neighboring properties pulling the lesser-valued property upward.

Q 3.8 ·v5 When a smaller home is situated in a neighborhood of larger, higher-value properties, the smaller home's value tends to increase due to:

- A. Substitution
- B. Progression ✓**
- C. Anticipation
- D. Regression

Answer: B. Progression occurs when a lower-value property benefits from being surrounded by superior properties that elevate its market value.

Q 3.8 ·v6 A homeowner purchases a modest bungalow in an exclusive subdivision where all other homes are significantly larger and more valuable. The bungalow's value is positively affected by which appraisal principle?

- A. Progression ✓**
- B. Regression
- C. Conformity
- D. Contribution

Answer: A. Progression is the principle that a less desirable property gains value when situated among more desirable, higher-value properties.

Q 3.8 · v7 A small, entry-level home benefits most from which principle when it is the least expensive property in a neighborhood of luxury estates?

A. Progression ✓

B. Depreciation

C. Plottage

D. Regression

Answer: A. Progression explains how inferior properties experience value increases due to the positive influence of superior neighboring properties.

Q 3.8 · v8 Which appraisal principle applies when an older, smaller residence is located among newer, larger homes and experiences an uplift in value?

A. Regression

B. Leverage

C. Progression ✓

D. Obsolescence

Answer: C. Progression is the principle where a property of lesser quality or size gains value by being situated in a neighborhood of superior properties.

Q 3.8 · v9 An older, smaller home in a neighborhood of newly constructed, high-value properties would most likely experience a positive price influence from which appraisal principle?

A. Substitution

B. Plottage

C. Progression ✓

D. Regression

Answer: C. Progression applies when a lower-value property gains value by being surrounded by superior properties in the same area. The modest home benefits from the neighborhood's overall quality and desirability.

Q 3.9 A property generates \$36,000 NOI. With market cap rate of 9%, value is:

A. \$450,000

B. \$324,000

C. \$360,000

D. \$400,000 ✓

Answer: D. $36,000 \div 0.09 = \$400,000$.

Q 3.9 ·v1 An income-producing property in Honolulu generates \$36,000 in annual net operating income. If comparable properties are trading at a 9% capitalization rate, what is the estimated property value using the income approach?

- A. \$432,000
- B. \$504,000
- C. \$360,000
- D. \$400,000 ✓**

Answer: D. The income capitalization formula is $\text{Value} = \text{NOI} \div \text{Cap Rate}$. Therefore, $\$36,000 \div 0.09 = \$400,000$.

Q 3.9 ·v2 A rental property produces \$36,000 net operating income annually. Using a market capitalization rate of 9%, calculate the property's value by the income capitalization approach.

- A. \$324,000
- B. \$270,000
- C. \$480,000
- D. \$400,000 ✓**

Answer: D. Value is calculated by dividing NOI by the cap rate: $\$36,000 \div 0.09 = \$400,000$.

Q 3.9 ·v3 A commercial property's annual NOI is \$36,000. The prevailing market cap rate for similar properties is 9%. What should an appraiser estimate as the property's value using direct capitalization?

- A. \$648,000
- B. \$225,000
- C. \$400,000 ✓**
- D. \$414,000

Answer: C. Direct capitalization uses the formula $\text{Value} = \text{NOI} \div \text{Cap Rate}$, so $\$36,000 \div 0.09 = \$400,000$.

Q 3.9 ·v4 If a property's net operating income is \$36,000 and investors in the Hawaii market are requiring a 9% cap rate return, what is the property worth under the income capitalization method?

- A. \$468,000
- B. \$360,000
- C. \$400,000 ✓**
- D. \$324,000

Answer: C. The income capitalization approach divides NOI by the cap rate: $\$36,000 \div 0.09 = \$400,000$.

Q 3.9 · v5 An income-producing property has a net operating income of \$36,000 annually. If comparable properties in the market are trading at a 9% capitalization rate, what is the estimated property value using the income approach?

- A. \$400,000 ✓**
- B. \$380,000
- C. \$324,000
- D. \$450,000

Answer: A. Using the cap rate formula: $\text{Value} = \text{NOI} \div \text{Cap Rate} = \$36,000 \div 0.09 = \$400,000$.

Q 3.9 · v6 A rental property produces \$36,000 in net operating income per year. The prevailing capitalization rate for similar properties is 9%. What should an investor expect to pay for this property at current market rates?

- A. \$412,000
- B. \$400,000 ✓**
- C. \$360,000
- D. \$432,000

Answer: B. The income capitalization approach uses the formula: $\text{Property Value} = \text{NOI} \div \text{Cap Rate} = \$36,000 \div 0.09 = \$400,000$.

Q 3.9 · v7 Using the direct capitalization method, if a commercial property yields \$36,000 NOI and the market cap rate is 9%, the property's value would be approximately:

- A. \$400,000 ✓**
- B. \$324,000
- C. \$414,000
- D. \$372,000

Answer: A. Direct capitalization calculates value by dividing NOI by the cap rate: $\$36,000 \div 0.09 = \$400,000$.

Q 3.9 · v8 A property appraiser determines the annual NOI to be \$36,000. Given that the market capitalization rate for this property type is 9%, what is the indicated property value?

- A. \$450,000
- B. \$400,000 ✓**
- C. \$324,000
- D. \$360,000

Answer: B. Value is calculated by dividing net operating income by the capitalization rate: $\$36,000 \div 0.09 = \$400,000$.

Q 3.9 ·v9 An investment property produces net operating income of \$36,000 annually. If comparable properties in the area are trading at a 9% capitalization rate, what is the estimated property value using the income approach?

- A. \$432,000
- B. \$288,000
- C. \$400,000 ✓**
- D. \$504,000

Answer: C. Using the capitalization rate formula: $\text{Value} = \text{NOI} \div \text{Cap Rate} = \$36,000 \div 0.09 = \$400,000$. This is the standard income approach valuation method.

Q 3.10 Mortgage payments (debt service) in NOI calculations are:

- A. Capitalized
- B. Operating expenses
- C. NOT operating expenses ✓**
- D. Treated as vacancy

Answer: C. NOI excludes debt service. NOI is before financing.

Q 3.10 ·v1 When calculating Net Operating Income for an investment property, how should the owner's monthly mortgage payments be handled?

- A. Excluded from the NOI calculation entirely ✓**
- B. Amortized over the loan term
- C. Subtracted only if the property is financed with a conventional loan
- D. Deducted as a direct operating expense

Answer: A. NOI is calculated before financing considerations. Mortgage payments (principal and interest) are financing costs, not operating expenses, and are therefore excluded from NOI.

Q 3.10 ·v2 A property generates \$120,000 in gross potential income and has \$30,000 in operating expenses. The owner has a \$75,000 annual mortgage payment. What is the Net Operating Income?

- A. \$15,000 (after mortgage)
- B. \$90,000 ✓**
- C. \$15,000
- D. \$60,000

Answer: B. $\text{NOI} = \text{Gross Potential Income} - \text{Operating Expenses} = \$120,000 - \$30,000 = \$90,000$. Mortgage payments are debt service and are not subtracted when calculating NOI.

Q 3.10 ·v3 In Hawaii real estate investment analysis, which of the following is correctly excluded from Net Operating Income?

- A. Insurance and property taxes
- B. Property management fees
- C. Repairs and maintenance

D. Principal and interest payments on the mortgage loan ✓

Answer: D. Debt service (mortgage principal and interest) is financing-related and excluded from NOI. Operating expenses like management fees, insurance, taxes, and maintenance are included in NOI calculations.

Q 3.10 ·v4 A real estate investor is analyzing a rental property's financial performance. Which statement about mortgage debt service is accurate when preparing an NOI statement?

A. It is not included in the NOI calculation ✓

- B. It reduces NOI by the monthly payment amount
- C. It is classified as a capital improvement cost
- D. It should be listed as a fixed operating expense

Answer: A. NOI is calculated independent of how the property is financed. Mortgage payments are financing decisions that come after NOI is determined and do not affect the calculation.

Q 3.10 ·v5 When calculating Net Operating Income (NOI) for an investment property, which of the following should be excluded from the calculation?

- A. Maintenance and repairs

B. Principal and interest payments on the mortgage ✓

- C. Property management fees
- D. Property taxes and insurance

Answer: B. NOI is calculated before any financing considerations. Mortgage principal and interest are financing costs, not operating expenses, and therefore excluded from NOI.

Q 3.10 ·v6 A real estate investor is analyzing a property's profitability using NOI. Which expense item should NOT be deducted when determining the property's NOI?

- A. Real estate taxes and insurance premiums
- B. Utilities and maintenance costs
- C. Loan amortization payments ✓**
- D. Property management and leasing commissions

Answer: C. Loan amortization (the blended principal and interest payment) is a financing expense, not an operating expense, so it is excluded from NOI calculations.

Q 3.10 ·v7 In Hawaii real estate investment analysis, NOI differs from cash flow primarily because NOI excludes which of the following?

- A. Debt service obligations ✓**
- B. Advertising and tenant screening costs
- C. Trash removal and landscaping
- D. Vacancy losses and rent concessions

Answer: A. NOI is calculated independent of how a property is financed; debt service is excluded because NOI represents the property's operational performance before any mortgage obligations.

Q 3.10 ·v8 An investor reviewing a property's Net Operating Income statement notices that the figure does not account for the monthly mortgage payment. Is this correct?

- A. No, but only the principal portion should be excluded
- B. Yes, NOI properly excludes debt service payments ✓**
- C. Yes, but only for investment properties in Hawaii
- D. No, mortgage payments must always be included as an operating expense

Answer: B. NOI is designed to show a property's operational profitability independent of financing structure, so all debt service (principal and interest) is properly excluded from the calculation.

Q 3.10 ·v9 When calculating the Net Operating Income (NOI) of an income-producing property, which of the following items should be excluded from the calculation?

- A. Property management fees
- B. Principal and interest payments on the mortgage loan ✓**
- C. Property taxes and insurance premiums
- D. Maintenance and repair costs

Answer: B. NOI is calculated before financing considerations; mortgage principal and interest payments are debt service and are excluded because NOI measures operational performance independent of how the property is financed.

Q 3.11 A licensed appraisal differs from a CMA in that:

- A. Appraisals require state licensing and follow USPAP ✓**
- B. CMAs are more accurate
- C. CMAs are required for federal loans
- D. There is no difference

Answer: A. Only state-licensed/certified appraisers can produce appraisals; CMAs are agent pricing recommendations.

Q 3.11 ·v1 Which statement accurately describes the primary distinction between a Comparative Market Analysis (CMA) and a licensed appraisal?

- A. CMAs carry more legal weight in mortgage transactions than appraisals
- B. Appraisals and CMAs are essentially the same product with different names
- C. A CMA is prepared by a licensed professional bound by USPAP standards

D. An appraisal must be conducted by a state-licensed appraiser following USPAP, while a CMA is a broker pricing opinion ✓

Answer: D. Appraisals are performed by licensed/certified professionals under USPAP; CMAs are market analyses prepared by agents to suggest listing/offer prices without professional licensing requirements.

Q 3.11 ·v2 What is the key regulatory difference between how an appraiser and a real estate agent approach valuation?

- A. The Hawaii REC regulates both equally under identical standards
- B. Real estate agents must use USPAP; appraisers use local MLS data only

C. Appraisers are state-licensed professionals subject to USPAP standards; agents provide informal pricing suggestions via CMA ✓

- D. Agents are held to higher ethical standards than appraisers

Answer: C. State-licensed appraisers must follow USPAP and meet education/certification requirements; real estate agents create CMAs as market-based recommendations without appraiser credentials.

Q 3.11 ·v3 In a mortgage transaction, why would a lender require an appraisal rather than accepting the agent's CMA?

A. Only a licensed appraiser's USPAP-compliant appraisal provides the independent, regulated valuation lenders require for lending decisions ✓

- B. The Hawaii REC prohibits agents from providing any valuation opinion
- C. CMAs are always inflated to protect the seller
- D. Appraisals are cheaper and faster than CMAs

Answer: A. Lenders require appraisals because they are conducted by state-licensed professionals bound by USPAP standards, providing an independent, objective valuation; CMAs are agent opinions without regulatory oversight.

Q 3.11 ·v4 A broker prepares a CMA to help a seller set a listing price. Why is this different from the appraisal the lender later orders?

- A. The CMA is more detailed and thorough
- B. Appraisals are only used in Hawaii; CMAs are national standards
- C. There is no practical difference in how they are used

D. The broker's CMA is a market-based pricing suggestion, while the licensed appraiser's appraisal is a regulated valuation conducted under USPAP ✓

Answer: D. A CMA is an informal broker pricing tool; an appraisal is a formal, USPAP-compliant valuation performed by a licensed professional required by lenders and institutions.

Q 3.11 ·v5 Which statement correctly distinguishes a professional appraisal from a comparative market analysis (CMA)?

A. An appraisal is performed by a licensed or certified appraiser and adheres to Uniform Standards of Professional Appraisal Practice ✓

B. CMAs are legal requirements for all residential transactions in Hawaii

C. Appraisals and CMAs serve identical purposes and are interchangeable documents

D. A CMA must be conducted by a state-licensed professional following USPAP standards

Answer: A. Only licensed/certified appraisers produce appraisals under USPAP; CMAs are informal pricing tools prepared by real estate agents without appraiser licensing requirements.

Q 3.11 ·v6 An agent preparing a market analysis for a seller would be creating a CMA rather than an appraisal primarily because:

A. The CMA is more detailed and legally binding

B. The agent lacks the state licensing and USPAP compliance requirements that appraisers must maintain ✓

C. Appraisals are only used in commercial transactions, never residential

D. CMAs are mandated by the Hawaii Real Estate Commission for all listing presentations

Answer: B. Real estate agents can prepare CMAs without appraiser licensure; appraisals require state-licensed/certified professionals who must follow USPAP.

Q 3.11 ·v7 When a lender orders a formal appraisal rather than accepting an agent's market analysis, the key distinction is that:

A. Only the appraisal will be conducted by a state-regulated professional bound by USPAP standards ✓

B. The appraisal will always produce a higher property value estimate

C. The agent's CMA has already satisfied all federal lending requirements

D. CMAs and appraisals are functionally equivalent documents with different names

Answer: A. Appraisals must be performed by licensed/certified appraisers following USPAP; CMAs are non-regulated price estimates prepared by agents.

Q 3.11 ·v8 A real estate professional in Hawaii should understand that the primary regulatory difference between an appraisal and a CMA is:

A. CMAs require appraiser licensure and USPAP compliance; appraisals do not

B. Appraisals require state appraiser licensing and adherence to USPAP; CMAs are prepared by agents without such requirements ✓

C. There is no meaningful distinction in how they are conducted or who may prepare them

D. Both require identical state licensing, but appraisals are more commonly used

Answer: B. Licensed/certified appraisers must follow USPAP when conducting appraisals; agents prepare CMAs without appraiser licensure or USPAP obligations.

Q 3.11 ·v9 Which statement best distinguishes a professional appraisal from a comparative market analysis prepared by a real estate agent?

- A. Appraisals are optional for conventional loans but CMAs are mandatory
- B. Appraisals must comply with USPAP standards and be conducted by a state-licensed appraiser ✓**
- C. CMAs are always more conservative in their value estimates
- D. Both require the same level of government credentialing and oversight

Answer: B. Appraisals require state licensure/certification and must follow the Uniform Standards of Professional Appraisal Practice (USPAP), whereas CMAs are informal pricing tools prepared by agents without requiring state credentials or USPAP compliance.

Q 3.12 Cap rate goes UP, value goes:

- A. Depends on NOI
- B. Stays the same
- C. Up
- D. Down ✓**

Answer: D. $V = \text{NOI} \div \text{Cap}$. Higher cap (denominator) → lower value when NOI constant.

Q 3.12 ·v1 An investment property's capitalization rate increases from 5% to 7%, while net operating income remains stable. What happens to the property's market value?

- A. Market value decreases ✓**
- B. Market value experiences no change
- C. Market value depends on the debt service coverage ratio
- D. Market value increases proportionally

Answer: A. Using the valuation formula $V = \text{NOI} \div \text{Cap Rate}$, when the cap rate (denominator) increases while NOI stays constant, the resulting value must decrease mathematically.

Q 3.12 ·v2 If comparable properties in a market shift to require a higher capitalization rate for investors to purchase them, how does this affect property valuations in that area?

- A. Valuations remain unchanged due to market equilibrium
- B. Valuations fall because the higher cap rate reduces the present value calculation ✓**
- C. Valuations rise because investors demand higher returns
- D. Valuations fluctuate based on annual operating expenses

Answer: B. A higher cap rate represents a higher required return, which lowers the denominator in the valuation formula, resulting in decreased property values when NOI is held constant.

Q 3.12 ·v3 A real estate appraiser determines that the appropriate cap rate for a particular commercial property has risen from 6% to 8% based on current market conditions. Assuming the property's NOI has not changed, what is the impact on its appraised value?

- A. The value remains stable as cap rates don't affect appraisals
- B. The value increases by 25%
- C. The value depends on gross rental income

D. The value decreases ✓

Answer: D. The income approach to appraisal uses $V = \text{NOI} \div \text{Cap Rate}$; therefore, an increase in cap rate with constant NOI directly produces a lower valuation.

Q 3.12 ·v4 When market interest rates rise, investors typically demand higher cap rates on investment properties. Assuming NOI stays constant, what is the relationship between rising cap rates and property value?

- A. Property value is unaffected by cap rate changes
- B. Property value depends on the property's age and condition

C. Property value decreases as cap rates increase ✓

- D. Property value and cap rate move in the same direction

Answer: C. Cap rate and property value have an inverse relationship in the valuation formula $V = \text{NOI} \div \text{Cap Rate}$; a higher cap rate denominator yields a lower numerator result.

Q 3.12 ·v5 When capitalization rate increases while net operating income remains constant, property value will:

- A. Fluctuate based on market conditions

B. Decrease proportionally ✓

- C. Remain unchanged
- D. Increase proportionally

Answer: B. Using the valuation formula $V = \text{NOI} \div \text{Cap Rate}$, a larger denominator (higher cap rate) produces a smaller value when NOI is held constant.

Q 3.12 ·v6 A property currently valued using a 5% cap rate is reassessed at a 6% cap rate. Assuming NOI stays the same, the property value will:

- A. Go up
- B. Stay the same

C. Go down ✓

- D. Double in value

Answer: C. Since value is calculated as NOI divided by cap rate, increasing the cap rate (denominator) reduces the overall property valuation when NOI is fixed.

Q 3.12 ·v7 If market cap rates rise from 4% to 5% for comparable investment properties, and a property's NOI does not change, its value will:

- A. Decrease due to higher required return ✓**
- B. Remain stable across market cycles
- C. Increase due to higher yield
- D. Depend entirely on property age

Answer: A. Higher cap rates represent higher required returns, which mathematically decreases property value since $V = \text{NOI} \div \text{Cap Rate}$ with NOI constant.

Q 3.12 ·v8 An investor's required rate of return (cap rate) increases for a particular asset class. With NOI unchanged, the property's market value will:

- A. Remain constant indefinitely
- B. Fall to reflect the higher required yield ✓**
- C. Rise to attract new buyers
- D. Depend on the property's location

Answer: B. A higher required rate of return (cap rate) in the denominator of the valuation formula $V = \text{NOI} \div \text{Cap Rate}$ results in a lower property value when NOI is constant.

Q 3.12 ·v9 An investment property generates a constant NOI of \$50,000. If the capitalization rate increases from 5% to 7%, the property's market value will most likely:

- A. Decrease because the denominator in the valuation formula increases ✓**
- B. Remain unchanged since NOI is fixed
- C. Rise due to improved investor demand at higher cap rates
- D. Increase proportionally to the NOI growth

Answer: A. Using $V = \text{NOI} \div \text{Cap Rate}$, when cap rate rises while NOI stays constant, the denominator increases, resulting in a lower property valuation.

04

Financing

National portion 7 PSI items 36 key concepts 12 base questions

Most transactions live or die on financing. Know the loan types, the disclosures, and the math.

CHAPTER OVERVIEW

A mortgage transaction has two essential documents: the note (the borrower's personal promise to repay, evidence of the debt) and the security instrument — either a mortgage or a deed of trust — that gives the lender a security interest in the property. The note is the debt; the security instrument is the collateral. Without the note, no debt exists; without the security instrument, the lender is unsecured.

States are either lien-theory or title-theory. In lien-theory states, the borrower keeps title and the mortgage is a lien against it; foreclosure requires court action (judicial foreclosure). In title-theory states, the lender holds legal title until the loan is repaid, with the borrower holding equitable title; the deed of trust uses a neutral trustee and allows non-judicial foreclosure on default. Many states are hybrid.

Loan types differ by how principal and interest are repaid. A term (straight) loan pays interest only with the principal due as a balloon at maturity — common in commercial. A fully amortized loan pays principal and interest in level installments that retire the loan by maturity — most residential mortgages. A partially amortized loan combines installments with a balloon at the end. An ARM (adjustable rate) ties the rate to a public index plus a margin, with periodic adjustment caps and lifetime caps. Reverse mortgages let seniors convert equity into payments; the loan is repaid when the borrower dies, sells, or moves.

Mortgage insurance and government programs reduce lender risk and expand access. PMI (Private Mortgage Insurance) is required when LTV exceeds 80% on conventional loans; lenders may automatically remove PMI at 78% LTV based on original schedule. FHA insures loans for borrowers with low down payments (as little as 3.5%) and looser credit; FHA mortgage insurance has both upfront and annual premiums. VA guarantees loans for eligible veterans with no PMI and frequently no down payment, capped by entitlement. USDA serves rural areas with no down payment.

Mortgage clauses tested heavily: Acceleration clause lets the lender demand the entire balance immediately on default. Due-on-sale (alienation) clause lets the lender call the loan if the property is sold without consent — prevents loan assumption. Prepayment clause may include a penalty for early payoff (restricted on most owner-occupied mortgages). Subordination clause lets a lien voluntarily move to junior position to allow a senior loan. Defeasance clause states that the lien is released when the loan is paid in full.

Federal disclosure laws form a tight web. RESPA (Real Estate Settlement Procedures Act) requires the Loan Estimate within 3 business days of application and the Closing Disclosure 3 business days before closing. RESPA Section 8 bans kickbacks and unearned fees among settlement providers. Truth in Lending (Regulation Z) requires APR disclosure and standardized loan-cost format. ECOA (Equal Credit Opportunity Act) bans lending discrimination on race, color, religion, national origin, sex, marital status, age, or receipt of public assistance.

Primary mortgage market: direct lenders making loans to consumers (banks, credit unions, mortgage bankers, brokers). Secondary mortgage market: investors buying loans from primary lenders, providing liquidity. Fannie Mae (FNMA) and Freddie Mac (FHLMC) buy conventional conforming loans. Ginnie Mae (GNMA) guarantees pools of FHA and VA loans. Conforming loan limits change annually and vary by county.

Mortgage fraud and predatory lending are licensee risks. Common schemes: straw buyer (someone signs purchase docs they don't intend to honor), inflated appraisals to support fraud, identity theft, equity skimming. Predatory lending includes excessive fees, unjustified rate hikes, loan flipping, and asset-based lending without regard to ability to repay. Licensees who facilitate or fail to report obvious fraud face license sanctions plus civil and criminal liability.

KEY CONCEPTS & DEFINITIONS

Note	Borrower's personal promise to repay. Without it, no debt exists. Negotiable instrument.
Mortgage	Security instrument creating lender's lien on the property as collateral for the note. Two-party.
Deed of trust	Three-party security instrument: borrower (trustor), lender (beneficiary), neutral trustee. Used in title-theory states.
Lien theory state	Borrower keeps title, lender gets lien. Judicial foreclosure typical.
Title theory state	Lender holds title until loan paid. Non-judicial foreclosure possible.
Hypothecation	Pledging property as security without giving up possession.
LTV (Loan-to-Value)	Loan ÷ property value. PMI required above 80% LTV on conventional loans.
CLTV (Combined LTV)	All loans against property ÷ value. Includes second mortgages, HELOCs.
Equity	Property value minus all liens. Owner's actual stake.
Discount points	Prepaid interest. 1 point = 1% of loan amount. Lowers interest rate.
Origination fee	Lender charge for processing loan. Often 1% of loan.
APR	Annual Percentage Rate. Loan cost including interest + points + most fees. Required by Truth in Lending.
PMI	Private Mortgage Insurance. Required above 80% LTV conventional. Removed automatically at 78%.
FHA	Federal Housing Administration. Insures low-down-payment loans (3.5%+). Has upfront + annual MIP.
VA loan	Veterans Affairs guaranteed loan. No PMI. Often no down payment for eligible vets.
USDA loan	Rural housing program. No down payment in eligible areas.
Conforming loan	Meets Fannie/Freddie standards. Eligible for secondary market sale.
Jumbo loan	Exceeds conforming limits. Held by portfolio lenders or sold to non-GSE investors.
ARM	Adjustable Rate Mortgage. Rate = Index + Margin, adjusts on schedule. Has periodic + lifetime caps.
Index	Public benchmark rate (SOFR, prime, T-bill) used for ARM adjustments.
Margin	Lender's spread added to index to set ARM rate. Fixed for life of loan.
Cap	Limit on ARM rate adjustment — periodic (per adjustment), lifetime (over loan life).
Acceleration clause	On default, lender can demand entire balance immediately.
Due-on-sale (alienation) clause	Lender can call the loan if property is sold without consent. Prevents assumption.

Prepayment penalty	Fee for paying off loan early. Restricted on most owner-occupied mortgages.
Defeasance clause	States that lien is released when loan paid in full.
Subordination	Voluntary lowering of lien priority to allow new senior lien.
RESPA	Real Estate Settlement Procedures Act. Loan Estimate within 3 days; Closing Disclosure 3 days before closing.
TRID	TILA-RESPA Integrated Disclosure rule. Combines disclosure requirements; sets timing rules.
Truth in Lending Act / Reg Z	Requires APR disclosure and standardized loan cost format.
ECOA	Equal Credit Opportunity Act. Bans lending discrimination on protected bases.
RESPA Section 8	Bans kickbacks and unearned fees among settlement service providers.
Primary mortgage market	Direct lenders making loans to consumers.
Secondary mortgage market	Investors buying loans from primary lenders. Fannie Mae, Freddie Mac, Ginnie Mae.
Reverse mortgage	Senior converts equity into payments. Repaid when borrower dies, moves, or sells.
Predatory lending	Loans with excessive fees, unjustified rate hikes, no regard to ability to repay.

QUESTION BANK — FINANCING

Q 4.1 A buyer pays \$300,000 with a \$240,000 loan. The LTV is:

- A. 60%
- B. 90%
- C. 70%
- D. 80% ✓**

Answer: D. $\$240,000 \div \$300,000 = 80\%$. PMI is generally required ABOVE 80%.

Q 4.1 v1 A property is purchased for \$500,000 with a mortgage of \$400,000. What is the loan-to-value ratio?

- A. 75%
- B. 90%
- C. 80% ✓**
- D. 85%

Answer: C. $\$400,000 \div \$500,000 = 80\%$. LTV is calculated by dividing the loan amount by the total property value.

Q 4.1 · v2 A buyer obtains financing of \$180,000 on a \$225,000 home purchase. The LTV equals:

- A. 80%** ✓
- B. 75%
- C. 70%
- D. 85%

Answer: A. $\$180,000 \div \$225,000 = 80\%$. A loan-to-value at or below 80% generally avoids private mortgage insurance.

Q 4.1 · v3 If a residential property has an appraised value of \$400,000 and the borrower secures a loan for \$320,000, the LTV is:

- A. 70%
- B. 65%
- C. 75%
- D. 80%** ✓

Answer: D. $\$320,000 \div \$400,000 = 80\%$. LTV is the ratio of the loan amount to the property's appraised value.

Q 4.1 · v4 A homebuyer finances \$560,000 of a \$700,000 purchase price. What is the loan-to-value percentage?

- A. 82%
- B. 80%** ✓
- C. 85%
- D. 78%

Answer: B. $\$560,000 \div \$700,000 = 80\%$. PMI requirements and interest rates are commonly affected by whether LTV exceeds 80%.

Q 4.1 · v5 A property is purchased for \$425,000. The buyer secures financing of \$340,000. What is the loan-to-value ratio?

- A. 80%** ✓
- B. 85%
- C. 90%
- D. 75%

Answer: A. $\$340,000 \div \$425,000 = 80\%$. LTV measures the loan amount as a percentage of the property's purchase price or appraised value.

Q 4.1 · v6 A borrower puts 20% down on a \$550,000 home purchase. The remaining amount is financed. Calculate the LTV.

- A. 75%
- B. 85%
- C. 80% ✓**
- D. 70%

Answer: C. A 20% down payment means 80% is financed ($\$440,000$). $LTV = \$440,000 \div \$550,000 = 80\%$.

Q 4.1 · v7 In a real estate transaction, the appraised value is \$180,000 and the mortgage amount is \$144,000. What is the loan-to-value percentage?

- A. 75%
- B. 78%
- C. 82%
- D. 80% ✓**

Answer: D. $\$144,000 \div \$180,000 = 80\%$. LTV is calculated by dividing the loan amount by the property's appraised value or purchase price.

Q 4.1 · v8 A buyer finances \$192,000 on a property valued at \$240,000. Which statement correctly describes the LTV ratio?

- A. The LTV is 75%, meaning the buyer has a 25% equity position
- B. The LTV is 90%, suggesting a high-risk loan scenario
- C. The LTV is 85%, requiring mortgage insurance coverage
- D. The LTV is 80%, indicating the buyer has financed four-fifths of the property value ✓**

Answer: D. $\$192,000 \div \$240,000 = 80\%$. An 80% LTV means the borrower financed 80% of the property's value, leaving a 20% down payment.

Q 4.1 · v9 A property is valued at \$425,000. The buyer obtains a mortgage for \$340,000. What is the loan-to-value ratio?

- A. 80% ✓**
- B. 90%
- C. 85%
- D. 75%

Answer: A. $\$340,000 \div \$425,000 = 80\%$. LTV is calculated by dividing the loan amount by the property value (or purchase price).

Q 4.2 One discount point on a \$200,000 loan equals:

- A. \$20,000
- B. \$1,000
- C. \$2,000 ✓**
- D. \$200

Answer: C. 1 point = 1% of loan = \$2,000.

Q 4.2 ·v1 A borrower obtaining a \$200,000 mortgage is charged 1 discount point by the lender. What dollar amount does this point represent?

- A. \$20,000
- B. \$2,000 ✓**
- C. \$10,000
- D. \$200

Answer: B. One discount point equals 1% of the loan amount; 1% of \$200,000 = \$2,000.

Q 4.2 ·v2 If a lender imposes a single discount point on a \$200,000 loan, how much will the borrower pay in points?

- A. \$1,000
- B. \$2,500
- C. \$5,000
- D. \$2,000 ✓**

Answer: D. A discount point is calculated as 1% of the loan principal; 1% × \$200,000 = \$2,000.

Q 4.2 ·v3 A real estate buyer finances \$200,000 and agrees to pay 1 point as a loan origination fee. What is the cost of this point?

- A. \$2,200
- B. \$2,000 ✓**
- C. \$400
- D. \$4,000

Answer: B. One point equals 1% of the loan amount; therefore, 1% of \$200,000 equals \$2,000.

Q 4.2 ·v4 When closing on a \$200,000 property loan, the buyer must pay 1 discount point. What is the monetary value of this single point?

- A. \$3,000
- B. \$1,500
- C. \$20,000
- D. \$2,000 ✓**

Answer: D. A discount point is 1% of the loan amount; 1% of \$200,000 = \$2,000.

Q 4.2 ·v5 A borrower obtains a mortgage for \$200,000 and pays 1 discount point at closing. What dollar amount does this point represent?

- A. \$200
- B. \$20,000
- C. \$10,000
- D. \$2,000 ✓**

Answer: D. One discount point equals 1% of the loan amount. 1% of \$200,000 = \$2,000.

Q 4.2 ·v6 If a lender charges 1 point on a \$200,000 mortgage loan, the borrower's point cost is:

- A. \$20,000
- B. \$2,000 ✓**
- C. \$1,000
- D. \$5,000

Answer: B. A point is calculated as 1% of the loan principal. 1% × \$200,000 = \$2,000.

Q 4.2 ·v7 A buyer finances a home with a \$200,000 loan and agrees to pay 1 origination point. How much will the buyer pay for this point?

- A. \$4,000
- B. \$2,000 ✓**
- C. \$200
- D. \$20,000

Answer: B. Points are expressed as a percentage of the loan amount; 1 point = 1% of \$200,000 = \$2,000.

Q 4.2 ·v8 On a \$200,000 loan amount, what is the monetary value of a single discount point?

- A. \$500
- B. \$2,000 ✓**
- C. \$10,000
- D. \$200

Answer: B. Each discount point represents 1% of the loan amount. 1% of \$200,000 equals \$2,000.

Q 4.2 · v9 A borrower is financing a property with a \$200,000 mortgage. If the lender charges 1 discount point at origination, what is the dollar amount of that point?

- A. \$1,000
- B. \$200
- C. \$2,000 ✓**
- D. \$20,000

Answer: C. A discount point represents 1% of the loan amount. 1% of \$200,000 = \$2,000.

Q 4.3 Which clause lets a lender demand full payment on default?

- A. Alienation
- B. Acceleration ✓**
- C. Subordination
- D. Defeasance

Answer: B. Acceleration triggers full immediate balance.

Q 4.3 · v1 A mortgage borrower fails to make a payment. The lender invokes a provision allowing it to declare the entire remaining loan balance due immediately. What is this provision called?

- A. Balloon payment clause
- B. Prepayment penalty clause
- C. Acceleration clause ✓**
- D. Due-on-sale clause

Answer: C. An acceleration clause permits the lender to demand the full unpaid principal balance become due at once upon borrower default, rather than collecting monthly payments.

Q 4.3 · v2 Under Hawaii mortgage law, which contractual provision allows a lender to require immediate full repayment if the borrower breaches the loan terms?

- A. Acceleration clause ✓**
- B. Defeasance clause
- C. Assumption clause
- D. Subordination clause

Answer: A. The acceleration clause gives the lender the right to declare the entire outstanding loan balance immediately due and payable upon the borrower's material default.

Q 4.3 ·v3 A property owner's mortgage note includes a provision stating that if payments are missed, the lender can demand the complete outstanding balance be paid in full right away. What is this protection called?

A. Acceleration provision ✓

B. Estoppel provision

C. Alienation provision

D. Subordination provision

Answer: A. The acceleration provision empowers a lender to call in the entire loan balance immediately when a borrower defaults, preventing prolonged partial payment situations.

Q 4.3 ·v4 Which of the following mortgage clauses protects the lender by allowing it to demand full payment of the remaining loan balance upon borrower default?

A. Subordination clause

B. Acceleration clause ✓

C. Reconveyance clause

D. Release clause

Answer: B. The acceleration clause is the lender's enforcement mechanism that converts a defaulted installment loan into a demand for the total outstanding principal balance due immediately.

Q 4.3 ·v5 A borrower fails to make a mortgage payment. What mortgage clause allows the lender to immediately demand repayment of the entire outstanding loan balance?

A. Acceleration clause ✓

B. Subordination clause

C. Alienation clause

D. Defeasance clause

Answer: A. The acceleration clause is a standard mortgage provision that permits the lender to declare the entire loan due and payable immediately upon borrower default.

Q 4.3 ·v6 Which of the following mortgage provisions gives a lender the right to demand full payment of the remaining loan balance if the borrower defaults?

A. Estoppel clause

B. Acceleration clause ✓

C. Due-on-sale clause

D. Prepayment penalty clause

Answer: B. The acceleration clause empowers the lender to accelerate the loan maturity and require immediate full repayment when the borrower defaults on obligations.

Q 4.3 ·v7 When a mortgagor breaches the loan agreement, the mortgagee typically invokes which clause to declare the entire debt immediately due?

- A. Subordination clause
- B. Acceleration clause ✓**
- C. Defeasance clause
- D. Alienation clause

Answer: B. The acceleration clause allows a lender to accelerate the entire remaining balance to maturity upon default, enabling immediate collection of the full debt.

Q 4.3 ·v8 A Hawaii mortgage contains a provision that permits the lender to demand payment of the full outstanding balance if the borrower misses even one payment. What is this provision called?

- A. Defeasance provision
- B. Subordination provision
- C. Alienation provision
- D. Acceleration provision ✓**

Answer: D. The acceleration provision allows the lender to accelerate maturity of the loan and declare the entire balance immediately due upon default by the borrower.

Q 4.3 ·v9 A borrower fails to make a mortgage payment for three months. Which mortgage clause allows the lender to immediately require the entire outstanding loan balance to be paid in full?

- A. Due-on-sale clause
- B. Subordination clause
- C. Defeasance clause
- D. Acceleration clause ✓**

Answer: D. The acceleration clause empowers a lender to declare the entire remaining debt due immediately upon borrower default, rather than waiting for individual payments to come due.

Q 4.4 The Closing Disclosure must be delivered:

- A. At closing
- B. On loan application
- C. 3 business days before closing ✓**
- D. 7 days before closing

Answer: C. TRID requires CD 3 business days before consummation.

Q 4.4 · v1 Under TRID regulations, when must a borrower receive the Closing Disclosure document?

- A. On the day of loan application
- B. At the time of property inspection
- C. A minimum of 3 business days prior to loan consummation ✓**
- D. The day before closing

Answer: C. TRID mandates that the Closing Disclosure must be delivered at least 3 business days before consummation to allow borrowers time to review final loan terms.

Q 4.4 · v2 A lender provides a borrower with the Closing Disclosure on Thursday for a Friday closing. Which statement is accurate?

- A. This complies with the regulation if the borrower waives the waiting period
- B. This satisfies TRID requirements because it is within one week
- C. This violates TRID because 3 business days have not elapsed before consummation ✓**
- D. This is acceptable under Hawaii REC rules regardless of federal requirements

Answer: C. A Thursday delivery leaves only Friday (one business day) before consummation. TRID requires the borrower to receive the Closing Disclosure at least three business days before consummation, so this violates the rule.

Q 4.4 · v3 Which of the following timing scenarios for Closing Disclosure delivery complies with current federal lending law?

- A. Delivered at the closing table before signing loan documents
- B. Delivered simultaneously with the initial loan estimate
- C. Delivered to the borrower 3 business days before the scheduled closing date ✓**
- D. Delivered 5 calendar days after the loan application is submitted

Answer: C. TRID regulations require the Closing Disclosure to reach the borrower no later than 3 business days before consummation, allowing adequate time for final review.

Q 4.4 · v4 A real estate transaction is scheduled to close on Wednesday. The Closing Disclosure is delivered to the borrower on the previous Monday. Does this comply with TRID requirements?

- A. Yes, because it was delivered within the same week
- B. Yes, because it was delivered before the closing date
- C. No, because only 1 business day (Tuesday) has elapsed before consummation ✓**
- D. No, because it should be delivered at closing instead

Answer: C. A Monday delivery for a Wednesday closing allows only two business days (Tue, Wed) before consummation — fewer than the required three — so it violates TRID.

Q 4.4 · v5 Under TRID regulations, when must a lender provide the Closing Disclosure to a borrower?

- A. Within 24 hours after loan approval
- B. At least 3 business days prior to closing ✓**
- C. At the closing table immediately before signing
- D. On the day of loan application submission

Answer: B. TRID mandates that the Closing Disclosure be delivered no later than 3 business days before consummation of the loan.

Q 4.4 · v6 A borrower in Hawaii receives their final loan estimate and asks when they will get the Closing Disclosure. The loan officer should advise:

- A. It must be provided within 7 calendar days of approval
- B. It will be mailed 3 business days before closing ✓**
- C. It will be ready at closing
- D. It will be emailed immediately after underwriting clears the file

Answer: B. Federal TRID rules require the Closing Disclosure be given to the borrower no less than 3 business days before the closing date.

Q 4.4 · v7 Which timeline requirement applies to delivery of the Closing Disclosure under current federal lending regulations?

- A. 10 calendar days before consummation
- B. On the date of closing or within 1 day after
- C. 3 business days before consummation ✓**
- D. 5 business days before consummation

Answer: C. TRID requires lenders to deliver the Closing Disclosure at least 3 business days before the loan is consummated.

Q 4.4 · v8 A real estate transaction is scheduled to close on Friday. The lender must provide the Closing Disclosure no later than:

- A. Within 24 hours of closing
- B. Friday morning before closing
- C. The previous Monday
- D. Tuesday of that week ✓**

Answer: D. TRID requires the borrower to receive the Closing Disclosure at least three business days before consummation (Saturdays count; consummation may occur on the third business day). For a Friday closing, Tuesday is the latest compliant delivery: Wed (1), Thu (2), Fri (3).

Q 4.4 ·v9 Under TRID regulations, when must a lender provide the Closing Disclosure to a borrower?

- A. On the day the borrower signs the promissory note
- B. No later than 3 business days prior to consummation ✓**
- C. 5 calendar days before the scheduled closing date
- D. At the time of loan approval

Answer: B. TRID (Regulation Z) mandates that the Closing Disclosure be delivered at least 3 business days before the loan is consummated to allow the borrower time to review final terms.

Q 4.5 Fannie Mae operates in the:

- A. Secondary mortgage market ✓**
- B. FHA market
- C. VA market
- D. Primary mortgage market

Answer: A. Fannie Mae and Freddie Mac purchase loans from primary lenders.

Q 4.5 ·v1 Which market does Fannie Mae primarily serve by purchasing mortgage loans from originating lenders?

- A. The FHA-insured loan market only
- B. The secondary mortgage market ✓**
- C. The portfolio lending market
- D. The primary mortgage market exclusively

Answer: B. Fannie Mae functions as a secondary market entity by acquiring loans that primary lenders (banks, mortgage companies) originated, providing liquidity to the primary market.

Q 4.5 ·v2 Fannie Mae's primary business function involves:

- A. Purchasing previously originated mortgage loans from lenders ✓**
- B. Insuring loans for government agencies
- C. Originating loans directly to borrowers
- D. Regulating interest rates in the primary market

Answer: A. Fannie Mae operates as a secondary market purchaser, buying loans that primary lenders have already originated, thus providing capital flow back to primary lenders.

Q 4.5 ·v3 In the mortgage lending process, Fannie Mae would be classified as a participant in which market segment?

- A. Secondary market ✓**
- B. Hard money lending market
- C. Construction financing market
- D. Origination market

Answer: A. Fannie Mae operates in the secondary market, where it acquires already-originated mortgages from primary lenders, creating liquidity in the overall lending system.

Q 4.5 ·v4 A mortgage broker originates a loan that is later sold to Fannie Mae. At what point does Fannie Mae enter this transaction?

- A. After the loan has been originated and the broker seeks to sell it ✓**
- B. During the property appraisal phase
- C. When the borrower applies for FHA insurance
- D. During the initial loan application process

Answer: A. Fannie Mae enters secondary market transactions by purchasing loans after they have been originated by primary lenders, not during the origination process itself.

Q 4.5 ·v5 Which of the following government-sponsored enterprises primarily acquires mortgage loans from retail lenders and banks?

- A. The Veterans Administration
- B. Freddie Mac and Fannie Mae ✓**
- C. The Department of Housing and Urban Development
- D. The Federal Reserve System

Answer: B. Fannie Mae and Freddie Mac operate as secondary market entities that purchase loans originated by primary lenders, providing liquidity to the mortgage market.

Q 4.5 ·v6 A loan originator sells a conforming mortgage to Fannie Mae six months after closing. This transaction occurs in the:

- A. Primary mortgage market
- B. Warehouse lending market
- C. Secondary mortgage market ✓**
- D. Portfolio lending market

Answer: C. The secondary mortgage market is where existing loans are bought and sold; Fannie Mae purchases loans from originators in this market segment.

Q 4.5 · v7 Fannie Mae's primary function in the mortgage industry is to:

- A. Purchase and hold mortgage loans from primary lenders ✓**
- B. Provide title insurance and escrow services
- C. Regulate interest rates set by commercial banks
- D. Originate new mortgage loans directly to borrowers

Answer: A. Fannie Mae operates in the secondary market by purchasing loans that were originated by primary lenders, thereby providing liquidity and standardization to the mortgage market.

Q 4.5 · v8 Which market does Fannie Mae serve by acquiring loans that were originally issued by mortgage banks and savings institutions?

- A. The construction lending market
- B. The hard money lending market
- C. The secondary mortgage market ✓**
- D. The wholesale mortgage market

Answer: C. Fannie Mae functions as a secondary market purchaser, buying loans that primary lenders have already originated, thereby creating liquidity in the market.

Q 4.5 · v9 Which of the following government-sponsored enterprises (GSEs) functions by purchasing mortgage loans from originators in order to provide liquidity to the lending market?

- A. The Government Accountability Office
- B. The Federal Reserve System
- C. Fannie Mae ✓**
- D. The Department of Housing and Urban Development

Answer: C. Fannie Mae operates in the secondary mortgage market by purchasing loans from primary lenders (banks, credit unions, mortgage companies), thereby providing liquidity and capital for continued lending.

Q 4.6 A loan with level monthly payments that pays off the balance entirely is:

- A. Term loan
- B. Amortized ✓**
- C. Interest only
- D. Balloon

Answer: B. Fully amortized = level payments retiring principal and interest by maturity.

Q 4.6 · v1 Which loan structure requires equal monthly payments that fully retire both principal and interest over the loan term?

- A. Straight note
- B. Adjustable-rate mortgage
- C. Interest-only loan

D. Amortized loan ✓

Answer: D. An amortized loan features fixed equal payments that systematically reduce the principal balance to zero by the maturity date.

Q 4.6 · v2 A borrower receives a 30-year mortgage with consistent monthly payments that eliminate the entire debt by the end of the term. This is an example of:

- A. Partially amortized loan
- B. Amortized loan ✓**
- C. Wraparound mortgage
- D. Convertible loan

Answer: B. A fully amortized loan has uniform payments throughout the term that completely pay off principal and accrued interest by maturity.

Q 4.6 · v3 Which loan type is characterized by consistent periodic payments designed to fully satisfy the debt obligation through a combination of principal reduction and interest charges?

- A. Blanket loan
- B. Standing loan
- C. Acceleration loan

D. Amortized loan ✓

Answer: D. Amortization means the loan is paid down through equal installments that cover both principal and interest until the balance reaches zero.

Q 4.6 · v4 A property buyer finances with level monthly payments that progressively reduce the loan principal until it is completely paid off at the end of the loan term. The loan is:

- A. Amortized ✓**
- B. Graduated-payment
- C. Subordinated
- D. Pledged

Answer: A. An amortized loan requires fixed payments that systematically pay down principal and interest, leaving no balance at loan maturity.

Q 4.6 · v5 Which loan structure features consistent periodic payments that completely eliminate the debt by the end of the loan term?

- A. Interest-only loan
- B. Amortized loan ✓**
- C. Straight note
- D. Adjustable-rate mortgage

Answer: B. An amortized loan is designed with equal payments over the loan term that pay down both principal and interest until the debt is fully satisfied at maturity.

Q 4.6 · v6 A borrower receives a mortgage with fixed monthly payments that gradually reduce the principal balance until the loan reaches zero at the end of the amortization period. This is a:

- A. Balloon note
- B. Deed of trust
- C. Fully amortized mortgage ✓**
- D. Graduated payment mortgage

Answer: C. A fully amortized mortgage uses consistent monthly payments combining principal and interest that completely pay off the loan by the final maturity date.

Q 4.6 · v7 Which loan type requires the borrower to make uniform monthly installments that cover both principal reduction and interest over the full loan duration?

- A. Negative amortization
- B. Swing loan
- C. Blanket mortgage
- D. Amortized ✓**

Answer: D. An amortized loan structure uses equal monthly payments throughout the loan term to progressively retire the principal while paying interest until the obligation is completely satisfied.

Q 4.6 · v8 A real estate loan in which the borrower makes constant monthly payments that pay off both interest and principal, resulting in zero balance at loan maturity, is called:

- A. Construction loan
- B. Wraparound mortgage
- C. Term note
- D. Amortized loan ✓**

Answer: D. An amortized loan is characterized by level payments that systematically eliminate the entire debt obligation through the combination of principal paydown and interest charges over the loan's term.

Q 4.6 ·v9 Which loan structure requires equal periodic payments that systematically reduce the principal balance to zero over the loan term?

- A. Balloon note
- B. Straight loan
- C. Interest-only loan

D. Amortizing loan ✓

Answer: D. An amortizing loan features consistent monthly payments that cover both principal and interest, fully retiring the debt by the maturity date with no lump-sum payment due.

Q 4.7 A "due-on-sale" clause:

- A. Triggers automatic acceleration
- B. Is illegal
- C. Applies only to FHA loans

D. Allows lender to call loan if property sold without consent ✓

Answer: D. Alienation clause = prevents assumption without lender consent.

Q 4.7 ·v1 When a real estate contract contains a due-on-sale clause, what right does it grant to the lender?

- A. The right to charge a transfer fee equal to 3% of the sale price
- B. The right to require the buyer to refinance at a higher interest rate
- C. The right to automatically foreclose within 30 days of any property sale

D. The right to demand immediate payment of the full loan balance if the property is transferred without lender approval ✓

Answer: D. A due-on-sale clause (alienation clause) allows the lender to accelerate the loan and demand full repayment if the property is sold or transferred without the lender's consent.

Q 4.7 ·v2 Under Hawaii real estate law, a due-on-sale clause in a mortgage primarily serves to:

- A. Establish a second lien against the property automatically upon sale
- B. Prevent the buyer from obtaining title insurance
- C. Require the seller to carry back financing to the buyer

D. Restrict the property owner's right to transfer the property without the lender's approval ✓

Answer: D. The due-on-sale clause restricts alienation by requiring lender consent before the borrower can sell or transfer the property; violation allows the lender to accelerate the debt.

Q 4.7 · v3 If a borrower sells their home without notifying the lender and the mortgage contains a due-on-sale clause, the lender may:

- A. Exercise the right to accelerate the loan and demand full repayment ✓**
- B. Void the title and require the buyer to start the purchase process over
- C. Assess a penalty equal to one year's worth of mortgage payments
- D. Automatically transfer the loan to the buyer at the same interest rate

Answer: A. A due-on-sale clause gives the lender the power to declare the entire debt due immediately upon an unauthorized transfer or sale of the property.

Q 4.7 · v4 Which statement accurately describes the function of a due-on-sale (alienation) clause in a Hawaii mortgage?

- A. It empowers the lender to call in the entire loan balance if the property is sold without consent ✓**
- B. It requires the buyer to obtain homeowner's insurance before closing
- C. It guarantees the buyer the right to assume the existing loan at the same terms
- D. It prohibits the lender from ever raising the interest rate on the loan

Answer: A. The due-on-sale clause is an alienation restriction that allows the lender to demand full repayment if the borrower transfers the property without the lender's permission.

Q 4.7 · v5 Under a due-on-sale clause, what right does a lender have if a borrower transfers the property without the lender's approval?

- A. Demand immediate full repayment of the loan balance ✓**
- B. File a mechanic's lien against the new owner
- C. Impose a penalty equal to 6 months' interest
- D. Require the buyer to obtain a new appraisal within 30 days

Answer: A. A due-on-sale clause (alienation clause) gives the lender the right to accelerate the loan and demand full repayment if the property is sold or transferred without lender consent.

Q 4.7 · v6 Which statement best describes how a due-on-sale provision protects a lender's interests?

- A. It limits the buyer's ability to obtain title insurance on the property
- B. It prevents the property from being transferred without the lender's consent and allows acceleration if violated ✓**
- C. It automatically transfers the property title to the lender upon sale
- D. It prevents the borrower from refinancing at a lower interest rate

Answer: B. The due-on-sale clause protects the lender by giving consent rights over property transfer and acceleration rights if the borrower violates the clause.

Q 4.7 · v7 A borrower conveys property to a family member without notifying the lender. If the loan contains a due-on-sale clause, what is the lender's primary remedy?

- A. Sue the family member for fraud and unjust enrichment
- B. Automatically record a lien on the new owner's other property
- C. Reduce the interest rate on the existing loan as compensation
- D. Call the loan due in full or approve the transfer with amended terms ✓**

Answer: D. A due-on-sale clause gives the lender the right to demand acceleration (call the loan) or approve the transfer; it does not automatically create liens or change loan terms.

Q 4.7 · v8 In Hawaii real estate transactions, a due-on-sale clause is commonly included in mortgages to:

- A. Ensure the seller receives proceeds from the sale
- B. Prevent property taxes from being assessed against the lender
- C. Give the lender control over property transfers and the right to accelerate if the borrower transfers without consent ✓**
- D. Allow the lender to assume ownership if property values decline

Answer: C. The due-on-sale clause protects lender interests by requiring lender approval for transfers and allowing acceleration if the borrower violates this restriction.

Q 4.7 · v9 When a real estate loan contains an alienation clause, what right does it grant to the lender?

- A. The right to adjust the interest rate annually based on market conditions
- B. The right to foreclose immediately upon any property improvement
- C. The right to prevent the borrower from obtaining homeowner insurance
- D. The right to demand full payment if the borrower transfers title without lender approval ✓**

Answer: D. An alienation (due-on-sale) clause gives the lender the power to accelerate the loan and demand full repayment if the property is sold or ownership is transferred without the lender's consent.

Q 4.8 PMI is generally required on conventional loans when:

- A. Borrower has FICO below 600
- B. LTV exceeds 80% ✓**
- C. Loan exceeds \$1M
- D. LTV is below 50%

Answer: B. PMI protects lender on high-LTV conventional loans.

Q 4.8 · v1 Under what loan-to-value threshold does a conventional borrower typically avoid paying private mortgage insurance?

- A. When the borrower has a credit score above 700
- B. When LTV exceeds 85%
- C. When LTV remains at or below 80% ✓**
- D. When the purchase price is under \$500,000

Answer: C. PMI is not required when LTV is 80% or less on conventional loans; it becomes mandatory when LTV exceeds 80% because the lender's equity cushion drops below 20%.

Q 4.8 · v2 A lender will typically require PMI on a conventional mortgage because:

- A. The loan-to-value ratio puts the lender at greater risk of loss ✓**
- B. The property is in a declining market area
- C. The loan amount exceeds the county lending limit
- D. The borrower is a first-time homebuyer

Answer: A. PMI is risk protection for the lender when the borrower's equity stake is low (high LTV); it compensates the lender if the borrower defaults on a high-LTV conventional loan.

Q 4.8 · v3 When does private mortgage insurance become a required cost for a borrower on a conventional loan?

- A. Whenever the property appraised value increases year-over-year
- B. Whenever the borrower puts down less than 25%
- C. Whenever the borrower's debt-to-income ratio exceeds 43%
- D. Whenever the borrower finances more than 80% of the property value ✓**

Answer: D. PMI is required when LTV exceeds 80%, meaning the borrower is financing more than 80% of the purchase price or appraised value on a conventional loan.

Q 4.8 · v4 A conventional loan with an 85% LTV will most likely require the borrower to:

- A. Accept a higher interest rate in lieu of down payment
- B. Complete a homebuyer education course
- C. Pay private mortgage insurance premiums ✓**
- D. Hold the property in an LLC

Answer: C. At 85% LTV, the borrower exceeds the 80% threshold and therefore must pay PMI to protect the lender's interest in the event of default.

Q 4.8 · v5 A lender will typically mandate private mortgage insurance on a conventional loan if the borrower's:

- A. Credit score falls within the prime range of 740–760
- B. Debt-to-income ratio is below 28%
- C. Loan-to-value ratio surpasses 80% ✓**
- D. Down payment represents 25% or more of the purchase price

Answer: C. PMI is required on conventional loans when LTV exceeds 80%, meaning the borrower's equity is less than 20% and lender risk increases.

Q 4.8 · v6 Under what loan condition would a conventional mortgage borrower most likely be required to pay PMI?

- A. When the loan principal is under \$500,000
- B. When the loan amount exceeds 80% of the property's appraised value ✓**
- C. When the borrower has made timely payments for 24 consecutive months
- D. When the borrower puts down 22% of the home's purchase price

Answer: B. Private mortgage insurance protects the lender when LTV exceeds 80%, indicating the borrower has less than 20% equity in the property.

Q 4.8 · v7 Which scenario would trigger the requirement for PMI on a conventional residential loan?

- A. Borrower makes an initial earnest money deposit of 3%
- B. Borrower obtains a fixed-rate 30-year mortgage
- C. Borrower finances more than 80% of the property's value ✓**
- D. Borrower's employment is in a commission-based field

Answer: C. PMI becomes mandatory when LTV exceeds 80% because the lender's risk exposure increases with a lower equity cushion for the borrower.

Q 4.8 · v8 On a conventional loan, private mortgage insurance is generally imposed when the:

- A. Title search reveals no prior liens or encumbrances
- B. Property appraises for less than the purchase price agreed in the contract
- C. Borrower's initial equity position falls below 20% of the property value ✓**
- D. Interest rate is locked in at a rate below the market average

Answer: C. PMI is required when the loan-to-value ratio exceeds 80% (meaning the borrower has less than 20% equity), protecting the lender's interest in a higher-risk loan scenario.

Q 4.8 · v9 A lender will typically require private mortgage insurance on a conventional loan if the borrower's loan-to-value ratio reaches what threshold?

- A. Exactly 100%
- B. 75% or higher
- C. 60% or lower

D. Greater than 80% ✓

Answer: D. PMI is mandated by lenders on conventional loans when LTV exceeds 80%, protecting the lender against default risk on high-leverage loans.

Q 4.9 APR is generally:

- A. Lower than interest rate
- B. Equal to interest rate

C. Higher than interest rate when points charged ✓

- D. Always 0%

Answer: C. APR includes points + most fees → higher than nominal interest rate.

Q 4.9 · v1 When a lender charges discount points on a loan, how does the APR typically compare to the stated interest rate?

A. The APR exceeds the interest rate due to the inclusion of points and fees ✓

- B. The APR is only calculated if no points are charged
- C. The APR becomes lower because points reduce the borrower's cost
- D. The APR remains identical to the interest rate regardless of points

Answer: A. APR incorporates discount points, origination fees, and closing costs into the calculation, resulting in a rate higher than the nominal interest rate quoted by the lender.

Q 4.9 · v2 A borrower sees a loan advertised at 6% interest. After factoring in origination fees and points, the actual APR is most likely to be:

- A. Fluctuating between 5% and 6%
- B. 6% or lower
- C. Exactly 6%

D. Higher than 6% ✓

Answer: D. The APR includes all loan costs (points, fees, closing costs) in its calculation, making it a more comprehensive measure that exceeds the nominal interest rate.

Q 4.9 ·v3 Under federal truth-in-lending rules, how should an agent explain the relationship between APR and the advertised interest rate to a client?

- A. The APR is typically higher because it reflects the total cost of borrowing including points and fees ✓**
- B. The APR is irrelevant once the interest rate is locked in
- C. The APR is always lower when the borrower pays discount points upfront
- D. They are the same calculation with different names

Answer: A. APR is mandated by TILA to show the true annual percentage cost of the loan; it includes all finance charges, making it higher than the base interest rate alone.

Q 4.9 ·v4 If a lender charges 2 discount points on a mortgage loan, which statement best describes the APR?

- A. It will be substantially lower than the stated interest rate
- B. It will be higher than the interest rate because points are incorporated into the cost ✓**
- C. It will equal the interest rate since points are a separate line item
- D. It cannot be determined without knowing the loan amount

Answer: B. Discount points are factored into APR calculations as part of the total financing cost, causing the APR to exceed the nominal interest rate presented to the borrower.

Q 4.9 ·v5 When a lender charges discount points on a mortgage loan, how does the APR typically compare to the stated interest rate?

- A. The APR is eliminated entirely when points are present
- B. The APR is identical to the interest rate regardless of points
- C. The APR becomes lower because points reduce the loan balance
- D. The APR exceeds the interest rate due to the cost of points and fees ✓**

Answer: D. APR (Annual Percentage Rate) includes the nominal interest rate plus the cost of points and other fees expressed as an annualized rate, making it higher than the stated interest rate alone.

Q 4.9 ·v6 A borrower receives a mortgage quote with a 4% interest rate and 2 discount points. Which statement most accurately describes the relationship between APR and the quoted rate?

- A. APR will be approximately 4% since points don't affect annual calculations
- B. APR will be higher than 4% once points and associated fees are factored in ✓**
- C. APR will be lower than 4% because points improve the loan terms
- D. APR will equal 0% for the first year due to point deductions

Answer: B. The APR reflects the true cost of borrowing by incorporating points, origination fees, and other charges into an annualized percentage, resulting in a rate higher than the nominal interest rate.

Q 4.9 · v7 In mortgage financing disclosures, APR and interest rate are typically different values. This difference is most commonly due to:

- A. State and federal usury law caps limiting how high interest rates can go
- B. The inclusion of points, origination fees, and closing costs in the APR calculation ✓**
- C. The APR being reset to zero after the loan closing
- D. A requirement that APR must always be lower for consumer protection purposes

Answer: B. APR includes discount points, loan origination fees, and other financing charges amortized over the loan term, which raises the APR above the nominal interest rate shown on the promissory note.

Q 4.9 · v8 A lender advertises a 3.5% mortgage rate but the APR disclosed on the Loan Estimate is 3.75%. This difference primarily reflects:

- A. The cost of points, fees, and other charges included in the APR computation ✓**
- B. An error in the lender's calculations that must be corrected immediately
- C. A penalty applied to borrowers who fail to lock in their rate early
- D. The lender's markup on the property appraisal fee only

Answer: A. The higher APR incorporates the cost of discount points, origination fees, title fees, and other financing charges expressed as an annual rate, making the true cost of the loan higher than the stated interest rate.

Q 4.9 · v9 When a lender quotes an APR that is higher than the stated interest rate, this difference most likely reflects:

- A. Market conditions that will reverse before closing
- B. An error in the lender's calculation software
- C. The inclusion of points, fees, and other financing costs amortized over the loan term ✓**
- D. A penalty imposed by the Hawaii Real Estate Commission

Answer: C. APR incorporates discount points, origination fees, and other closing costs expressed as an annual percentage, making it typically higher than the nominal interest rate when points are charged.

Q 4.10 RESPA Section 8 prohibits:

- A. FHA loans
- B. Prepayment
- C. Kickbacks among settlement providers ✓**
- D. High interest rates

Answer: C. RESPA Section 8 bans referral fees / kickbacks.

Q 4.10 ·v1 Under RESPA, which of the following practices is expressly forbidden in Section 8?

- A. Charging origination fees
- B. Compensation to a title company for referring business ✓**
- C. Using an appraisal contingency
- D. Requiring hazard insurance

Answer: B. RESPA Section 8 explicitly prohibits kickbacks and referral fees between settlement service providers, making compensation for referrals illegal regardless of the provider type.

Q 4.10 ·v2 A mortgage lender offers a real estate agent a percentage of the loan origination fee for each client referred to the lender. This violates:

- A. Truth in Lending Act (TILA) disclosure requirements
- B. Fair Housing Act prohibitions
- C. RESPA Section 8 anti-kickback provisions ✓**
- D. State usury laws

Answer: C. RESPA Section 8 specifically prohibits any payment or thing of value given as consideration for the referral of settlement business, making this referral arrangement illegal.

Q 4.10 ·v3 Which federal statute's Section 8 makes it unlawful for settlement service providers to give or receive anything of value in exchange for referrals?

- A. Gramm-Leach-Bliley Act
- B. Community Reinvestment Act
- C. Real Estate Settlement Procedures Act (RESPA) ✓**
- D. Equal Credit Opportunity Act

Answer: C. RESPA Section 8 is the specific statutory provision that prohibits kickbacks and referral fees among all parties involved in settlement transactions.

Q 4.10 ·v4 A title insurance company pays an escrow agent \$500 for each new customer the escrow agent refers to the title company. This arrangement is most likely prohibited by:

- A. The Dodd-Frank Act's consumer protection rules
- B. Hawaii's Real Estate Commission licensing requirements
- C. State insurance commission regulations on premium rates
- D. RESPA Section 8 kickback prohibitions ✓**

Answer: D. RESPA Section 8 bans any payment or benefit given as compensation for referrals between settlement service providers, making this direct payment arrangement illegal.

Q 4.10 ·v5 Under RESPA Section 8, which of the following practices is strictly forbidden in real estate transactions?

- A. Receiving compensation for referring a client to a title company ✓**
- B. Requiring a home inspection before closing
- C. Charging a reasonable origination fee for loan processing
- D. Disclosing all closing costs on the Closing Disclosure

Answer: A. RESPA Section 8 prohibits referral fees and kickbacks between settlement service providers, as these undisclosed payments could inflate costs for consumers.

Q 4.10 ·v6 A real estate broker is approached by a mortgage lender offering a commission for every loan referral. What does RESPA Section 8 say about this arrangement?

- A. It is illegal regardless of whether the referral fee is disclosed ✓**
- B. It is allowed as long as the fee does not exceed 10% of the loan amount
- C. It is acceptable if both parties agree to the arrangement in writing
- D. It is permissible if documented in the listing agreement

Answer: A. RESPA Section 8 explicitly prohibits kickbacks and unearned fees between settlement service providers to prevent inflated costs and maintain transaction integrity.

Q 4.10 ·v7 Which federal regulation makes it unlawful for settlement service providers to pay each other for generating referrals?

- A. RESPA Section 8 ✓**
- B. The Community Reinvestment Act
- C. FIRREA Section 1113
- D. Regulation Z of the Truth in Lending Act

Answer: A. RESPA Section 8 specifically bans referral fees, kickbacks, and unearned fees among closing service providers to protect consumers from inflated settlement costs.

Q 4.10 ·v8 A title company offers to pay an escrow agent for each customer referred to them. This transaction would violate:

- A. The Fair Housing Act and lending discrimination guidelines
- B. Regulation Z disclosure requirements for affiliated business arrangements
- C. State licensing laws and appraisal independence standards
- D. RESPA Section 8 prohibition on kickbacks and referral fees ✓**

Answer: D. RESPA Section 8 prohibits compensation payments between settlement service providers for referrals, as these undisclosed kickbacks artificially increase consumer costs.

Q 4.10 ·v9 Under RESPA Section 8, which practice is considered an illegal referral arrangement?

- A. A title company paying a real estate agent for sending business their way ✓**
- B. A lender charging origination fees for loan processing
- C. A mortgage servicer collecting monthly loan payments
- D. A broker requiring earnest money deposits from buyers

Answer: A. RESPA Section 8 explicitly prohibits kickbacks and referral fees between settlement service providers, regardless of the form or justification for the payment.

Q 4.11 A VA-eligible borrower typically:

- A. Has no down payment requirement ✓**
- B. Must put down 20%
- C. Cannot use VA twice
- D. Pays PMI

Answer: A. VA loans often require no down payment and never PMI.

Q 4.11 ·v1 Which of the following is a key advantage of VA financing for qualified military veterans?

- A. Zero down payment is typically available ✓**
- B. A minimum 15% equity contribution is required at closing
- C. Borrowers must obtain mortgage insurance coverage
- D. The loan can only be used once in a lifetime

Answer: A. VA loans are designed to require no down payment and eliminate PMI, making them highly accessible for eligible veterans.

Q 4.11 ·v2 A borrower with VA loan eligibility would NOT be required to:

- A. Pay private mortgage insurance ✓**
- B. Provide employment verification
- C. Disclose the property address to the lender
- D. Obtain a VA Certificate of Eligibility

Answer: A. VA loans are exempt from PMI requirements; instead, VA charges a funding fee. All other items are standard loan requirements.

Q 4.11 ·v3 When comparing VA loans to conventional financing, a VA-eligible borrower typically benefits from:

- A. A requirement to maintain an escrow account for taxes and insurance
- B. Mandatory hazard insurance at a higher rate than conventional loans
- C. Freedom from down payment and mortgage insurance obligations ✓**
- D. A prepayment penalty that applies for the first five years

Answer: C. VA loans uniquely offer no down payment requirement and no PMI, providing substantial financial advantages over conventional loans.

Q 4.11 ·v4 A VA-eligible borrower's loan application would MOST LIKELY NOT include a requirement for:

- A. A property appraisal
- B. Private mortgage insurance ✓**
- C. A valid Certificate of Eligibility
- D. Proof of income and creditworthiness

Answer: B. VA loans are prohibited from requiring PMI; the VA backing and optional funding fee serve as the guarantor, eliminating this cost.

Q 4.11 ·v5 Which of the following is a key benefit unique to VA loan programs for eligible veterans?

- A. Exemption from property inspections
- B. Lower interest rates than conventional loans by statute
- C. Automatic loan approval regardless of credit
- D. No down payment needed in most cases ✓**

Answer: D. VA loans typically require zero down payment as a primary benefit to veterans, distinguishing them from conventional and FHA loans that may require 3-20% down.

Q 4.11 ·v6 A service member with VA eligibility should understand that VA financing generally:

- A. Eliminates the down payment requirement ✓**
- B. Requires 10% minimum down payment
- C. Limits borrowers to a single property purchase
- D. Mandates mortgage insurance premiums

Answer: A. VA loans feature a zero down payment benefit, which removes the financial barrier of accumulating a large down payment fund required by most other loan types.

Q 4.11 ·v7 What is a primary distinguishing feature of VA mortgage loans compared to conventional financing?

- A. Borrowers pay mortgage insurance annually
- B. Down payment is not typically required ✓**
- C. Interest rates are set by the Department of Veterans Affairs
- D. Veterans can only refinance once per year

Answer: B. VA loans uniquely offer no down payment requirement, along with no PMI, making them one of the most affordable financing options available to eligible borrowers.

Q 4.11 ·v8 An eligible VA borrower reviewing loan terms should expect:

- A. No down payment obligation in most transactions ✓**
- B. A 15% down payment minimum
- C. A requirement to pay private mortgage insurance
- D. Restrictions on using the benefit for investment property

Answer: A. VA loan programs characteristically waive the down payment requirement for eligible veterans, reducing upfront cash needed to purchase a home compared to other loan programs.

Q 4.11 ·v9 Which of the following is a key advantage of a VA loan for an eligible veteran?

- A. The interest rate is fixed at the federal rate
- B. The lender will waive the appraisal requirement
- C. Private mortgage insurance premiums are mandatory
- D. A down payment is typically not required ✓**

Answer: D. VA loans are designed to help veterans by eliminating the down payment requirement and avoiding PMI, making homeownership more accessible.

Q 4.12 On an ARM, the rate equals:

- A. Margin only
- B. Index - margin
- C. Just the index
- D. Index + margin ✓**

Answer: D. Rate = Index (variable) + Margin (fixed lender spread).

Q 4.12 ·v1 Which two components, when combined, determine the interest rate charged on an adjustable-rate mortgage?

- A. The margin alone, adjusted annually
- B. The market index and the lender's margin ✓**
- C. The appraisal value and the debt-to-income ratio
- D. The prime rate and the loan origination fee

Answer: B. An ARM rate is calculated by adding the lender's fixed margin to the variable market index; the index fluctuates while the margin remains constant throughout the loan term.

Q 4.12 ·v2 A borrower with an ARM wants to understand how her interest rate is calculated. Her lender tells her the current index is 3% and the margin is 2.5%. What is her interest rate?

- A. 3% (index only)
- B. 5.5% (index plus margin) ✓**
- C. 0.5% (index minus margin)
- D. 2.5% (margin only)

Answer: B. The ARM rate formula is Index + Margin; therefore $3\% + 2.5\% = 5.5\%$, demonstrating how the variable index and fixed margin combine to produce the final rate.

Q 4.12 ·v3 In explaining an ARM to a client, which statement accurately describes the relationship between the index, margin, and the resulting interest rate?

- A. The interest rate is determined by adding the index to the margin ✓**
- B. The interest rate is simply whatever the lender's margin is set at
- C. The interest rate equals the margin subtracted from the index
- D. The interest rate equals the index regardless of the margin

Answer: A. The correct ARM formula is Rate = Index + Margin; the index changes with market conditions while the margin is a fixed spread set by the lender at origination.

Q 4.12 ·v4 When discussing ARM mechanics with a consumer, you explain that the interest rate will adjust periodically. The rate adjustment is based on which calculation?

- A. The new margin percentage applied to the previous rate
- B. The margin value only, with no index component
- C. The index divided by the margin
- D. The current market index value plus the lender's fixed margin ✓**

Answer: D. Each ARM adjustment recalculates using the current index value added to the constant margin; the index may change but the margin component remains fixed.

Q 4.12 ·v5 When calculating the interest rate on an adjustable-rate mortgage, a lender combines two components. Which of the following correctly identifies those components?

- A. The appraisal value and the underwriting adjustment
- B. The annual percentage rate and the origination fee
- C. The discount point percentage and the loan-to-value ratio

D. The benchmark rate and the lender's markup ✓

Answer: D. An ARM rate is determined by adding the benchmark index (which fluctuates) to the lender's markup or spread, commonly called the margin.

Q 4.12 ·v6 An ARM borrower wants to understand what makes up their adjustable rate. If the index is currently 2% and the lender's spread is 2.5%, what is the resulting interest rate?

- A. 2%
- B. 0.5%
- C. 2.5%

D. 4.5% ✓

Answer: D. The ARM rate equals the index plus the margin: $2\% + 2.5\% = 4.5\%$; the margin remains constant while the index adjusts.

Q 4.12 ·v7 Which component of an ARM interest rate is set by the lender and does NOT change throughout the loan term?

- A. The margin, which is the lender's fixed spread ✓**
- B. The rate cap, which adjusts annually
- C. The initial teaser rate, which is subsidized
- D. The index rate, which is tied to market conditions

Answer: A. The margin is the lender's static profit spread that never changes; the index component varies with market conditions and is added to this fixed margin.

Q 4.12 ·v8 A borrower's ARM adjusts when the index changes. To find the new rate after adjustment, a loan servicer must:

- A. Multiply the index by the margin percentage
- B. Add the fixed margin to the new index value ✓**
- C. Use only the published index without any additions
- D. Subtract the margin from the current index

Answer: B. The new ARM rate is always calculated by adding the constant margin to the current index; this simple addition formula applies at each adjustment period.

Q 4.12 ▾9 When calculating the interest rate on an adjustable-rate mortgage (ARM), which two components must be combined?

- A. The index and the points paid at origination
- B. The margin alone, adjusted annually
- C. The index and the margin ✓**
- D. The margin and the discount points

Answer: C. An ARM's interest rate is determined by adding the lender's fixed margin to the variable index rate. The index fluctuates with market conditions while the margin remains constant throughout the loan term.

05

Laws of Agency

National portion 10 PSI items 28 key concepts 12 base questions

Agency law governs every relationship between licensee and client. The exam tests it heavily; clients live or die by it.

CHAPTER OVERVIEW

Agency is a legal relationship where one person (the agent) acts on behalf of another (the principal or client) with authority to bind them in dealings with third parties. Real estate agents owe fiduciary duties — the highest duties known to law — to clients but lower duties to customers and third parties. Memorize the acronym COALD: Care, Obedience to lawful instructions, Accounting, Loyalty, Disclosure. Care plus skill, undivided loyalty, full disclosure of all material facts, accounting for funds, and obedience are the bedrock.

Agency types are organized by scope of authority. A special agent has limited authority for one specific transaction — typical of a listing broker representing a seller for one property sale. A general agent has broader, continuing authority — typical of a property manager handling all aspects of rental management. A universal agent has authority to act in all matters legally allowed — power of attorney territory. Subagency exists when an agent's authority is delegated to another agent (cooperating broker working under listing broker's authority).

Agency creation: An express agency is created by written or oral agreement. An implied agency is created by parties' conduct without explicit agreement — for example, an agent who consistently acts as a buyer's representative may be deemed their agent. Ostensible (apparent) agency arises when a principal's conduct leads a third party to reasonably believe an agency exists, even if it doesn't. Agency by ratification occurs when a principal accepts the benefits of an unauthorized act after the fact.

Designated agency lets one brokerage assign different agents from the same firm to opposite sides of a transaction — keeping the supervising broker as a dual agent but giving each side undivided loyalty from their designated agent. Many states permit this; rules vary. Buyer agency creates a fiduciary relationship with the buyer, contracted by a buyer-broker agreement. Tenant representation similarly creates fiduciary duty to a tenant.

Dual agency occurs when one agent or firm represents both buyer and seller. It's legal in most states only with written informed consent from both parties, and it eliminates undivided loyalty — the agent must act neutrally between the parties. Many states require enhanced disclosure forms before any showing or negotiation. Hawaii recognizes dual agency under HRS 467 with mandatory written consent. Misuse of dual agency — undisclosed self-dealing, biased advice, leaking confidential information — is a leading cause of license revocation and lawsuits.

Fiduciary duties (COALD) explained in depth. Care: act with the diligence and skill a reasonable agent would in similar circumstances. Obedience: follow lawful instructions; refuse unlawful ones (instructions to discriminate, hide defects, etc.). Accounting: maintain accurate records of all funds and property received; deliver client funds promptly. Loyalty: place the client's interests above all others, including the agent's own interests; avoid conflicts. Disclosure: reveal all known material facts that could affect the client's decision.

Agency creates duties to non-clients (customers and third parties) that are lower than fiduciary but still substantial — primarily honesty, fair dealing, and disclosure of known material defects. An agent can never misrepresent a fact regardless of who they represent. "Puffing" (subjective opinion: "this is a great kitchen!") is allowed; misstatement of material fact ("the roof is two years old" when it's twenty) is misrepresentation, actionable as fraud if intentional or negligent.

Termination of agency happens by: expiration of the term, completion of purpose (transaction closes), mutual rescission, breach by either party, destruction of property, death or incompetency of either party (universal agency continues; for special agents, principal's death typically terminates), bankruptcy, or operation of law (changes in legal status). The agent's fiduciary duties continue post-termination for confidentiality of information learned during the agency.

KEY CONCEPTS & DEFINITIONS

Agent	Person authorized to act for and on behalf of a principal with authority to bind in dealings with third parties.
Principal / client	The party the agent owes fiduciary duties to.
Customer	Third party in transaction not represented by the agent. Owed honesty + material-fact disclosure.
Fiduciary duties (COALD)	Care, Obedience, Accounting, Loyalty, Disclosure. Highest duties known to law.
Care	Act with diligence and skill a reasonable agent would use. Negligence is actionable.
Obedience	Follow lawful instructions. Refuse unlawful ones (discrimination, fraud, hiding defects).
Accounting	Maintain accurate records of all funds and property; deliver client funds promptly.
Loyalty	Place client's interests above all others, including agent's own. Avoid conflicts.
Disclosure (fiduciary)	Reveal all known material facts affecting client's decision. Including unfavorable info.
Special agent	Limited authority for one transaction — typical listing broker.
General agent	Broader, continuing authority — typical property manager.
Universal agent	Authority to act in all matters — power of attorney.
Subagency	Agent's authority delegated to another agent. Cooperating broker may be subagent of listing broker.
Designated agency	Within one brokerage, different agents represent opposite sides. Broker may be dual agent.
Dual agency	One agent or firm represents both sides. Requires written informed consent. Eliminates undivided loyalty.
Buyer agency	Agent represents buyer's interests exclusively. Buyer-broker agreement creates relationship.
Tenant representation	Agent represents tenant. Common in commercial leasing.
Listing agreement	Contract creating seller-agent relationship.
Buyer-broker agreement	Contract creating buyer-agent relationship. Often includes compensation.
Express agency	Created by written or oral agreement.
Implied agency	Created by parties' conduct without express agreement.
Ostensible / apparent agency	Principal's conduct leads third party to reasonably believe agency exists.
Agency by ratification	Principal accepts benefits of unauthorized act after the fact, creating retroactive agency.
Misrepresentation	False statement of material fact. Innocent, negligent, or fraudulent.

Puffing	Subjective sales talk ("best house on the street"). Not actionable.
Procuring cause	Origin of unbroken chain producing the sale. Determines commission entitlement in disputes.
Termination by operation of law	Death, incompetency, bankruptcy, destruction of subject matter, change in legal status.
Confidentiality	Agent's duty to protect client information. Survives agency termination.

QUESTION BANK — LAWS OF AGENCY

Q 5.1 COALD stands for:

- A. Confidence, Obedience, Accuracy, Loyalty, Diligence
- B. Conduct, Order, Authority, Liability, Documentation
- C. Communication, Obligation, Audit, Loyalty, Disclosure
- D. Care, Obedience, Accounting, Loyalty, Disclosure ✓**

Answer: D. COALD = the five fiduciary duties.

Q 5.1 ·v1 Which acronym correctly identifies the five fiduciary duties that a real estate licensee must uphold?

- A. Care, Obedience, Accounting, Loyalty, Disclosure ✓**
- B. Communication, Obligation, Audit, Loyalty, Disclosure
- C. Confidence, Obedience, Accuracy, Loyalty, Diligence
- D. Conduct, Order, Authority, Liability, Documentation

Answer: A. COALD represents Care, Obedience, Accounting, Loyalty, and Disclosure—the core fiduciary duties required of Hawaii real estate licensees.

Q 5.1 ·v2 A broker in Hawaii needs to remember her principal fiduciary obligations. Which of the following correctly spells out COALD?

- A. Care, Obedience, Accounting, Loyalty, Disclosure ✓**
- B. Compliance, Obedience, Authority, Liability, Documentation
- C. Care, Organization, Accounting, Law, Disclosure
- D. Conduct, Obligation, Audit, Loyalty, Disclosure

Answer: A. COALD is the mnemonic for the five fiduciary duties: Care, Obedience, Accounting, Loyalty, and Disclosure that all licensees must perform.

Q 5.1 ·v3 The five fiduciary duties required of Hawaii real estate agents are best remembered by which acronym?

- A. COALD ✓**
- B. COACH
- C. COLD
- D. CLAUD

Answer: A. COALD is the standard acronym representing Care, Obedience, Accounting, Loyalty, and Disclosure—the fundamental fiduciary obligations in Hawaii real estate practice.

Q 5.1 ·v4 When explaining fiduciary responsibilities to a new licensee, an instructor outlines Care, Obedience, Accounting, Loyalty, and Disclosure. What acronym is being used?

- A. COALD ✓**
- B. COACH
- C. COBLA
- D. COULD

Answer: A. The acronym COALD directly corresponds to Care, Obedience, Accounting, Loyalty, and Disclosure, which are the five essential fiduciary duties.

Q 5.1 ·v5 Which of the following correctly identifies the five fiduciary duties represented by the acronym COALD?

- A. Competence, Obligation, Authority, Liability, Documentation
- B. Confidence, Obedience, Accuracy, Loyalty, Diligence
- C. Care, Obedience, Accounting, Loyalty, Disclosure ✓**
- D. Conduct, Obedience, Audit, Loyalty, Disclosure

Answer: C. COALD is a mnemonic for the five fiduciary duties: Care, Obedience, Accounting, Loyalty, and Disclosure. These are the core ethical and legal obligations brokers owe to their clients.

Q 5.1 ·v6 A real estate licensee must understand COALD, which represents:

- A. Conduct, Order, Authority, Liability, Documentation
- B. Communication, Obligation, Audit, Loyalty, Disclosure
- C. Care, Obedience, Accounting, Loyalty, Disclosure ✓**
- D. Competence, Organization, Accuracy, Legal compliance, Diligence

Answer: C. COALD stands for Care, Obedience, Accounting, Loyalty, and Disclosure—the five essential fiduciary duties that Hawaii and mainland brokers must fulfill toward their clients.

Q 5.1 ·v7 In Hawaii real estate practice, the acronym COALD describes the broker's:

- A. Confidentiality, Obligation, Authority, Legal duty, Documentation
- B. Communication, Obligation, Accountability, Loyalty, Disclosure
- C. Conduct, Obedience, Audit, Liability, Diligence

D. Care, Obedience, Accounting, Loyalty, Disclosure ✓

Answer: D. COALD is the acronym for the five fiduciary duties: Care, Obedience, Accounting, Loyalty, and Disclosure. These duties form the foundation of a broker's legal and ethical responsibilities to clients.

Q 5.1 ·v8 When studying broker responsibilities, what does the acronym COALD stand for?

- A. Competence, Obligation, Accounting, Loyalty, Disclosure
- B. Conduct, Obedience, Accuracy, Legal duty, Diligence
- C. Confidence, Order, Authority, Loyalty, Documentation

D. Care, Obedience, Accounting, Loyalty, Disclosure ✓

Answer: D. COALD represents the five fiduciary duties required of real estate brokers: Care, Obedience, Accounting, Loyalty, and Disclosure. These are core principles in Hawaii real estate law.

Q 5.1 ·v9 Which of the following correctly identifies the five fiduciary duties represented by the acronym COALD?

- A. Competence, Organization, Authority, Liabilities, Documentation
- B. Confidentiality, Obligations, Assessments, Liability, Duties
- C. Care, Obedience, Accounting, Loyalty, Disclosure ✓**
- D. Candor, Oversight, Appraisal, Legal compliance, Diligence

Answer: C. COALD is the established acronym for the five core fiduciary duties that Hawaii real estate licensees must perform for their clients and principals.

Q 5.2 A property manager is most typically a:

- A. General agent ✓**
- B. Subagent
- C. Special agent
- D. Universal agent

Answer: A. Property managers have broad continuing authority — general agency.

Q 5.2 ·v1 Which classification of agent best describes someone hired to oversee the day-to-day operations and maintenance of an apartment complex?

- A. Universal agent with unlimited scope
- B. Special agent limited to specific transactions
- C. General agent with broad, continuing authority ✓**
- D. Subagent acting under another licensee's supervision

Answer: C. Property managers exercise general agency authority because they manage ongoing operations and make decisions on behalf of the owner within their scope of employment.

Q 5.2 ·v2 A real estate licensee managing multiple residential units for a landlord, handling rent collection, maintenance requests, and tenant issues, operates primarily as a:

- A. General agent ✓**
- B. Special agent
- C. Limited agent
- D. Subagent

Answer: A. Property management involves broad, continuing authority over the property's operations, which is the defining characteristic of general agency.

Q 5.2 ·v3 The authority granted to a property manager to act on behalf of the property owner covers multiple matters and continues over time. This type of agency relationship is known as:

- A. Exclusive agency
- B. Special agency
- C. General agency ✓**
- D. Transactional agency

Answer: C. General agents possess broad authority to act across multiple property management functions on a continuing basis, unlike special agents limited to single transactions.

Q 5.2 ·v4 In Hawaii real estate practice, a property manager hired to oversee rental operations, authorize repairs, and collect payments would be classified as what type of agent?

- A. Universal agent with all possible powers
- B. General agent with authority over multiple matters ✓**
- C. Subagent acting under a broker's direct control
- D. Special agent authorized for one specific purpose

Answer: B. Property managers function as general agents because they exercise broad, ongoing authority over multiple aspects of property management on behalf of the owner.

Q 5.2 ·v5 Which type of agency relationship best describes the authority held by someone managing residential rental properties on behalf of an owner?

- A. Special agent limited to lease negotiations only
- B. General agent with broad, continuing powers ✓**
- C. Universal agent with power of attorney
- D. Subagent acting under a broker's supervision

Answer: B. Property managers exercise general agency because they have broad, continuing authority to handle multiple, recurring tasks for the owner over time.

Q 5.2 ·v6 A person hired to oversee daily operations, collect rent, arrange maintenance, and handle tenant relations for an apartment complex typically functions as a:

- A. Special agent
- B. Limited power-of-attorney agent
- C. Subagent
- D. General agent ✓**

Answer: D. The scope and duration of property management duties—ongoing authority across multiple property functions—constitute general agency rather than limited or special agency.

Q 5.2 ·v7 What classification of agent is a property manager who is authorized to act on multiple matters for the property owner on a continuous basis?

- A. Special agent for transaction purposes
- B. Subagent of the listing broker
- C. Universal agent with fiduciary power
- D. General agent ✓**

Answer: D. General agents possess continuous, broad authority to conduct multiple recurring duties; property managers fit this classification due to their ongoing operational responsibilities.

Q 5.2 ·v8 An individual employed to manage a condominium complex—including rent collection, maintenance coordination, and tenant screening—exercises which form of agency authority?

- A. Subagency under the owner's broker
- B. Universal agency over all financial decisions
- C. Special agency limited to one specific transaction
- D. General agency with continuing broad powers ✓**

Answer: D. Property managers hold general agency authority because their role involves broad, continuing power to handle multiple, interconnected property-related functions.

Q 5.2 ·v9 Which type of agency relationship does a property manager typically hold with their principal?

- A. Special agency limited to a single transaction
- B. Universal agency with unlimited scope
- C. Transactional agency for lease negotiations only

D. General agency with ongoing broad authority ✓

Answer: D. Property managers exercise general agency because they have continuous, wide-ranging authority to act on the principal's behalf across multiple property management duties.

Q 5.3 Dual agency requires:

- A. No consent
- B. Verbal consent from one party
- C. Written consent from buyer only

D. Written informed consent from both parties ✓

Answer: D. Both parties must give written informed consent.

Q 5.3 ·v1 When representing both the buyer and seller in the same transaction, a licensee must obtain:

- A. Verbal permission from the seller's attorney
- B. Written informed consent signed by each party acknowledging the dual agency relationship ✓**
- C. A signed agreement from the listing agent only
- D. Oral acknowledgment from both parties that they understand the arrangement

Answer: B. Hawaii real estate law requires written informed consent from both the buyer and seller before a licensee can act as a dual agent. Oral consent or consent from only one party is insufficient.

Q 5.3 ·v2 Under Hawaii REC regulations, if a salesperson wishes to represent both parties in a real estate transaction, what must occur before proceeding?

- A. The licensee must obtain notarized consent from the seller
- B. Only the buyer needs to sign an acknowledgment
- C. The broker must file a disclosure form with the state
- D. Both the buyer and seller must provide written informed consent acknowledging the dual agency ✓**

Answer: D. Written informed consent from both parties is the legal requirement for dual agency in Hawaii. Filing with the state, notarization, or single-party consent does not satisfy this requirement.

Q 5.3 ·v3 A licensee discovers that their client (the buyer) is also represented by the same brokerage as the seller. To legally proceed with this dual agency situation, the licensee should:

- A. Request approval from the real estate commission before closing
- B. Obtain written informed consent from both the buyer and seller before continuing representation ✓**
- C. Inform both parties verbally and document it in email later
- D. Proceed only if the seller agrees, since they are the listing client

Answer: B. Both parties must give written informed consent before dual agency can proceed. Verbal consent, email documentation alone, or single-party approval does not meet the legal standard.

Q 5.3 ·v4 What is the mandatory requirement for a real estate licensee engaged in dual agency in Hawaii?

- A. Written informed consent must be obtained and signed by both the buyer and the seller ✓**
- B. Only a phone call disclosure to each party is required
- C. The managing broker's verbal approval is sufficient
- D. The buyer must consent; seller consent is implied by the listing agreement

Answer: A. Hawaii law mandates written informed consent from both parties before a licensee can act as a dual agent. Implied consent, phone calls, or broker approval alone do not satisfy this requirement.

Q 5.3 ·v5 When a real estate licensee in Hawaii represents both the seller and the buyer in the same transaction, what is legally required?

- A. File a dual agency disclosure with the Hawaii Real Estate Commission before closing
- B. Obtain oral acknowledgment from the seller only
- C. Obtain documented written consent from each party acknowledging the dual representation ✓**
- D. Receive written approval from the buyer's lender

Answer: C. Dual agency in Hawaii requires written informed consent from both parties, not just oral acknowledgment or one-sided approval. The licensee must ensure both parties understand and accept the conflict.

Q 5.3 ·v6 A Hawaii licensee who acts as agent for both parties in a real estate transaction must obtain:

- A. A notarized statement from one party only
- B. Verbal permission from the party they contacted first
- C. Approval from the listing broker before proceeding with the transaction
- D. Written informed consent acknowledging dual agency from both the seller and buyer ✓**

Answer: D. Both parties must provide written informed consent to the dual agency arrangement; verbal consent or single-party consent is insufficient and does not meet Hawaii's legal requirements.

Q 5.3 ·v7 To lawfully engage in dual representation, a licensee must:

- A. Obtain consent from whichever party has the larger financial stake
- B. Secure written informed consent from both parties to the dual agency arrangement ✓**
- C. Disclose the dual agency to the Hawaii Real Estate Commission in writing before acceptance of offer
- D. Inform both parties verbally and document it in the MLS remarks

Answer: B. Written informed consent from both parties is the legal standard for dual agency; verbal disclosure or selective consent does not satisfy Hawaii's statutory requirements.

Q 5.3 ·v8 In Hawaii, a licensee representing both the seller and buyer in a single transaction must ensure that:

- A. The buyer's agent is notified in writing instead of obtaining client consent
- B. Both parties sign a written document acknowledging and consenting to the dual agency ✓**
- C. The seller provides written consent and the buyer provides verbal consent
- D. Only the party paying the commission is informed of the dual representation

Answer: B. Both the seller and buyer must provide written consent acknowledging the dual agency; partial consent (one written, one verbal) or notifying third parties does not substitute for full informed consent from both parties.

Q 5.3 ·v9 When a real estate licensee represents both the buyer and seller in the same transaction, what documentation is required?

- A. A single disclosure form signed by the buyer is sufficient
- B. Oral permission from the seller and written permission from the buyer
- C. No formal documentation if the parties are aware of the arrangement
- D. Written acknowledgment of dual agency from each party ✓**

Answer: D. Hawaii law requires written informed consent from both parties when a licensee acts as a dual agent, ensuring each party understands the conflict and agrees in writing.

Q 5.4 The agent's duty to a non-represented customer includes:

- A. Loyalty
- B. Honesty and material-fact disclosure ✓**
- C. Negotiation on their behalf
- D. Confidentiality

Answer: B. Agents owe honesty and disclosure of known material defects to all parties.

Q 5.4 ·v1 When showing property to an unrepresented buyer, what obligation does the listing agent have?

- A. Responsibility to advise the buyer on financing options
- B. Duty to disclose all known material facts about the property ✓**
- C. Obligation to keep all conversations confidential from the seller
- D. Fiduciary duty to maximize the buyer's offer

Answer: B. Agents must disclose known material facts to all parties, including unrepresented customers, regardless of representation status.

Q 5.4 ·v2 An unrepresented customer inquires about a property defect you know exists. Your responsibility is to:

- A. Provide honest information and material-fact disclosure about the property condition ✓**
- B. Demonstrate loyalty by withholding information that might deter their offer
- C. Negotiate repairs on their behalf as a goodwill gesture
- D. Maintain absolute confidentiality unless the buyer signs a representation agreement

Answer: A. All agents must disclose known material facts honestly to unrepresented parties; this is a universal duty owed to protect the public.

Q 5.4 ·v3 Which of the following best describes what a licensee owes to a customer without representation?

- A. Honesty in all dealings and disclosure of known material information ✓**
- B. Exclusive loyalty similar to a represented client
- C. Commission protection and negotiation assistance
- D. Full fiduciary duties including confidentiality and advocacy

Answer: A. Non-represented customers receive honesty and material-fact disclosure but not fiduciary duties like loyalty or confidentiality.

Q 5.4 ·v4 A broker's salesperson is working with a walk-in customer who has not signed any buyer agency agreement. The agent must:

- A. Treat them as a client and provide undivided loyalty
- B. Exclusively negotiate in the customer's favor
- C. Disclose all known material defects and deal honestly with them ✓**
- D. Keep information confidential to protect the transaction

Answer: C. Agents owe honesty and disclosure of material facts to all parties, which is a non-negotiable duty regardless of agency status.

Q 5.4 ·v5 When a licensee interacts with an unrepresented party in a transaction, what obligation does the agent have?

- A. Fiduciary loyalty to protect their interests
- B. Keeping all transaction details confidential from the seller's agent
- C. Disclosure of known material facts and honest dealing ✓**
- D. Acting as their transaction coordinator without compensation

Answer: C. All agents must disclose material facts honestly to unrepresented parties, even without a client relationship; this is a statutory duty, not a fiduciary one.

Q 5.4 ·v6 A buyer attends an open house without representation. The listing agent's primary duty to this unrepresented buyer is to:

- A. Inform the buyer of material facts about the property that the agent knows ✓**
- B. Provide exclusive market analysis and comparative pricing
- C. Negotiate the best possible price on the buyer's behalf
- D. Refrain from disclosing known defects to avoid liability

Answer: A. Agents must disclose known material facts to all parties regardless of representation; this duty of honesty applies universally in Hawaii real estate transactions.

Q 5.4 ·v7 Which statement correctly describes an agent's responsibilities when working with a non-client?

- A. The agent owes them undivided loyalty and confidentiality
- B. The agent must act in the customer's best interest above all other parties
- C. The agent has no obligations unless there is a signed buyer or seller agreement
- D. The agent must honestly disclose material defects and facts about the property ✓**

Answer: D. Even without a representation agreement, licensees are required by law to provide honest information and disclose material facts to unrepresented parties.

Q 5.4 ·v8 An unrepresented seller contacts a listing agent before the property is listed. What is the agent's duty?

- A. To withhold opinions about the property's condition to avoid liability
- B. To keep all information confidential until a listing agreement is signed
- C. To advocate exclusively for the buyer to ensure a fair market price
- D. To provide honest disclosure of known material property facts and defects ✓**

Answer: D. Licensees must disclose known material facts honestly to all parties, including unrepresented individuals, as a fundamental ethical and legal obligation in Hawaii.

Q 5.4 ·v9 When working with an unrepresented third party during a transaction, what obligation does a real estate licensee have?

- A. Full fiduciary duty identical to represented clients
- B. Keeping all transaction details confidential from the other party's agent
- C. Acting as a neutral intermediary to negotiate better terms for them

D. Truthful disclosure of known material facts affecting the property ✓

Answer: D. Hawaii law requires licensees to disclose material facts truthfully to all parties, represented or not, though unrepresented parties do not receive fiduciary duties like loyalty or confidentiality.

Q 5.5 Agency by operation of law terminates upon:

- A. Property destruction
- B. Death of the principal
- C. Bankruptcy of the agent

D. All of the above ✓

Answer: D. All three end agency without further action.

Q 5.5 ·v1 Which of the following events automatically terminates an agency relationship without requiring express notice or formal revocation?

- A. The agent's decision to resign with 30 days' notice
- B. Death of the principal, destruction of the subject property, or insolvency of the agent ✓**
- C. Mutual written agreement between agent and principal
- D. Expiration of the listing period stated in the listing agreement

Answer: B. Agency by operation of law terminates automatically upon death of the principal, destruction of the property, or bankruptcy of the agent—none require affirmative action to end the relationship.

Q 5.5 ·v2 A real estate licensee's agency with a property owner ends automatically by operation of law if which of the following occurs?

- A. The MLS listing is suspended temporarily
- B. The buyer fails to make an offer within the listing period
- C. The property is damaged beyond repair, the owner dies, or the licensee becomes insolvent ✓**
- D. The owner requests a price reduction

Answer: C. Property destruction, principal's death, and agent bankruptcy all terminate agency by operation of law without additional steps or notice requirements.

Q 5.5 · v3 Under Hawaii real estate law, agency by operation of law is terminated automatically when:

- A. The principal becomes deceased, the property is destroyed, or the agent enters bankruptcy** ✓
- B. The principal files a complaint with the Hawaii Real Estate Commission
- C. Either party declines to renew at the end of the contract term
- D. Only the agent resigns in writing

Answer: A. Death of the principal, destruction of the subject property, and bankruptcy of the agent all terminate agency by operation of law without any further action needed.

Q 5.5 · v4 Which scenario would result in immediate termination of an agency relationship by operation of law?

- A. The principal dies, the property is destroyed, or the agent becomes insolvent** ✓
- B. The agent receives a better job offer elsewhere
- C. A title defect is discovered during the marketing period
- D. The listing agreement contains a 90-day cancellation clause

Answer: A. Agency terminates by operation of law upon death of the principal, destruction of property, or agent bankruptcy—these occur automatically without requiring notice or consent.

Q 5.5 · v5 Which of the following events will automatically terminate an agency relationship without requiring explicit notice or agreement?

- A. Mutual written agreement only
- B. Expiration of the listing period alone
- C. The agent's decision to relocate to another state
- D. Death of the principal, destruction of the subject property, and insolvency of the agent** ✓

Answer: D. Agency by operation of law terminates automatically upon death of the principal, property destruction, or bankruptcy/insolvency of the agent without further action needed.

Q 5.5 · v6 A principal's agency with a broker is terminated by operation of law in which scenario?

- A. A buyer makes an unsolicited inquiry
- B. The broker receives a competing offer on the property
- C. The principal requests a rate reduction
- D. The principal becomes incapacitated, the subject property is destroyed, or the broker files for bankruptcy** ✓

Answer: D. Agency by operation of law terminates automatically upon principal's incapacity (death), destruction of property, or agent's insolvency without requiring affirmative termination steps.

Q 5.5 · v7 Under Hawaii real estate law, which of the following will NOT automatically end an agency relationship by operation of law?

- A. Bankruptcy of the agent
- B. Passage of time beyond the original listing period ✓**
- C. Death of the principal
- D. Physical destruction of the listed property

Answer: B. Passage of time requires affirmative action or mutual agreement to terminate; death of principal, bankruptcy of agent, and property destruction terminate agency by operation of law automatically.

Q 5.5 · v8 A real estate agent's authority to represent a principal terminates automatically by operation of law when:

- A. The agent fails to produce a buyer within 30 days
- B. Either party expresses dissatisfaction with the agreement
- C. The property listing appears on the MLS system
- D. The principal dies, the subject property is destroyed, or the agent becomes insolvent ✓**

Answer: D. These three occurrences—principal death, property destruction, and agent bankruptcy—are statutory grounds for automatic termination without requiring notice or further action.

Q 5.5 · v9 Which of the following events will automatically terminate an agency relationship without requiring notice or further action?

- A. The agent's insolvency, the principal's death, or destruction of the subject property ✓**
- B. The agent's failure to perform marketing duties as promised
- C. The expiration of the listing period specified in the contract
- D. The principal's request to terminate the listing agreement

Answer: A. Agency by operation of law terminates automatically upon death of the principal, bankruptcy/insolvency of the agent, or destruction of the property—all occur without need for affirmative action or notice. The other options require active steps or are contractual matters, not automatic terminations.

Q 5.6 Which is NOT a fiduciary duty?

- A. Obedience
- B. Care
- C. Loyalty
- D. Disclosure to customers ✓**

Answer: D. Fiduciary duties are owed to the client, not the customer.

Q 5.6 ·v1 A real estate licensee owes fiduciary duties to their principal client. Which of the following is owed only to customers, not to clients?

- A. Undivided loyalty
- B. Accounting of funds
- C. Reasonable care and skill

D. Honesty in dealings ✓

Answer: D. Fiduciary duties (loyalty, care, obedience, accounting, disclosure to the client) are owed to principals; honesty in dealings is the standard owed to all parties including customers.

Q 5.6 ·v2 Under Hawaii real estate law, which duty does a licensee owe to a customer but NOT as a fiduciary obligation to a client?

- A. Fair and honest treatment ✓**
- B. Obedience to lawful instructions
 - C. Confidentiality of client information
 - D. Loyalty to the principal's interests

Answer: A. Fair and honest treatment is a general duty owed to all parties, while fiduciary duties (obedience, confidentiality, loyalty) are specific obligations owed only to the principal client.

Q 5.6 ·v3 A listing agent represents the seller as a client. Which obligation is NOT a fiduciary duty owed to that client?

- A. Maintaining undivided loyalty to the seller
- B. Following the seller's lawful instructions
- C. Providing honest information to unrepresented third parties ✓**
- D. Accounting for earnest money deposits

Answer: C. Providing honest information to unrepresented third parties is a duty owed to all parties in a transaction, not a fiduciary duty specific to the client.

Q 5.6 ·v4 Which of the following is a fiduciary duty owed to a principal but would NOT apply to a customer in a non-agency relationship?

- A. Loyalty
- B. Care
- C. Obedience
- D. Transparency regarding market conditions ✓**

Answer: D. Transparency regarding market conditions is a standard ethical obligation owed to all parties; fiduciary duties (obedience, care, loyalty) are owed exclusively to the client.

Q 5.6 · v5 A real estate licensee owes fiduciary duties to their client. Which of the following is a duty owed to customers but NOT a fiduciary duty?

- A. Loyalty to the principal
- B. Honest and fair dealing
- C. Full disclosure of all material facts ✓**
- D. Accounting for client funds

Answer: C. Fiduciary duties (loyalty, care, obedience, accounting) are owed only to the client/principal. Disclosure of material facts is owed to all parties as a legal obligation, but it is not a fiduciary duty.

Q 5.6 · v6 Under Hawaii real estate law, which duty does a broker NOT owe to a customer who is not their client?

- A. Care and diligence in performing tasks
- B. Obedience to lawful instructions ✓**
- C. Honesty in all dealings
- D. Confidentiality regarding privileged information

Answer: B. Obedience is a fiduciary duty owed exclusively to the client/principal. Customers receive honesty, fair dealing, and disclosure of material facts, but not the fiduciary duty of obedience.

Q 5.6 · v7 When a licensee represents a buyer as their client, which of the following is NOT among the fiduciary duties owed to that client?

- A. Timely disclosure of known defects to all parties ✓**
- B. Competent and diligent representation
- C. Following lawful client instructions
- D. Undivided loyalty

Answer: A. Timely disclosure of material facts is a legal duty owed to all parties, not a fiduciary duty reserved for the client. The four fiduciary duties are loyalty, care, obedience, and accounting.

Q 5.6 · v8 Which statement best distinguishes a fiduciary duty from a duty owed to the general public?

- A. Obedience and care are general duties owed to all transaction parties equally
- B. Disclosure of material defects is a fiduciary duty owed exclusively to the principal
- C. Customers receive fiduciary duties but at a lower standard than clients
- D. Fiduciary duties include accounting and loyalty, which apply only to clients ✓**

Answer: D. Fiduciary duties (loyalty, obedience, care, accounting) are owed only to the client/principal. Disclosure to the general public is a legal obligation but not a fiduciary duty.

Q 5.6 ·v9 A real estate licensee owes fiduciary duties to their principal client. Which of the following is owed only to third parties (customers) and NOT as a fiduciary duty?

- A. Undivided loyalty
- B. Obedience to lawful instructions
- C. Reasonable care and skill

D. Honest and fair dealing ✓

Answer: D. Honest and fair dealing is a duty owed to all parties (customers and clients), but it is not a fiduciary duty. Fiduciary duties—loyalty, care, obedience, and accounting—are owed exclusively to the principal client.

Q 5.7 "This is a great property" is most likely:

A. Puffing ✓

- B. Material fact
- C. Fraud
- D. Misrepresentation

Answer: A. Subjective opinion = puffing, not actionable.

Q 5.7 ·v1 A listing agent tells a buyer, "You'll absolutely love this home—it's the best value in the neighborhood." What type of statement is this?

- A. Material fact that must be disclosed in writing
- B. Puffing or sales talk not binding as fact ✓**
- C. Actionable misrepresentation requiring rescission
- D. Fraudulent concealment subject to damages

Answer: B. Subjective praise ('best value,' 'absolutely love') constitutes puffing—opinion-based seller's talk that does not rise to the level of a material fact or misrepresentation.

Q 5.7 ·v2 During a showing, a salesperson states, "This is a wonderful home with amazing potential." How should this statement be classified?

- A. Fraud requiring intent to deceive
- B. A fiduciary duty violation
- C. Puffery—non-factual opinion language ✓**
- D. A material fact that affects property value

Answer: C. Terms like 'wonderful' and 'amazing potential' are subjective expressions of opinion (puffery) rather than verifiable facts, and thus are not actionable as misrepresentation.

Q 5.7 ·v3 When a real estate agent describes a property as "charming and delightful," this statement is most accurately characterized as:

- A. An implied warranty of condition
- B. A material fact requiring full disclosure
- C. Intentional misrepresentation

D. Sales puffing based on subjective opinion ✓

Answer: D. Adjectives describing aesthetic appeal ('charming,' 'delightful') reflect personal opinion rather than verifiable facts, making them puffing rather than actionable misrepresentation.

Q 5.7 ·v4 A broker's statement that "this is one of the finest properties I've ever listed" most likely constitutes:

- A. Breach of the duty of honest dealing
- B. Material nondisclosure of a latent defect

C. Puffing—subjective opinion not binding as fact ✓

- D. Fraudulent inducement due to exaggeration

Answer: C. Subjective evaluations of quality or personal impression ('finest properties') are classic examples of puffing, which is permissible sales rhetoric and not legally binding.

Q 5.7 ·v5 A listing agent tells a prospective buyer, "You'll love the views from this lanai." This statement is best classified as:

- A. A material misrepresentation subject to rescission
- B. Fraudulent concealment
- C. A breach of fiduciary duty

D. Puffing or seller's talk ✓

Answer: D. Subjective expressions of opinion or value (like 'love the views') are puffing and not actionable misrepresentation because they are not presented as verifiable facts.

Q 5.7 ·v6 During a showing, a broker says, "This is one of the finest homes in the neighborhood." From a legal standpoint, this statement would most likely be deemed:

- A. An express warranty of condition
- B. Non-actionable puffery ✓**
- C. Fraudulent inducement
- D. Fraud requiring criminal intent

Answer: B. General laudatory statements about quality or desirability are considered puffing—harmless opinions that buyers are expected to disregard or verify independently.

Q 5.7 · v7 Which of the following statements by a real estate agent would be protected as non-actionable opinion rather than actionable misrepresentation?

- A. "The roof was inspected last year and passed." (when it was not)
- B. "The property has never flooded." (when it has)
- C. "This is a wonderful investment opportunity." ✓**
- D. "The zoning allows commercial use." (when it does not)

Answer: C. Only subjective assessments of value, desirability, or quality constitute puffing; false statements about specific facts, conditions, or legal matters are misrepresentations.

Q 5.7 · v8 A salesperson states, "This is a fantastic property at a great price." If a buyer relied on this statement and later sued, the court would most likely classify it as:

- A. Negligent misrepresentation requiring proof of damages
- B. Seller puffery and opinion, not legally actionable ✓**
- C. Innocent misrepresentation voiding the contract
- D. Actionable fraud due to false statements of material fact

Answer: B. Vague, subjective praise about a property's quality or value is recognized as puffing—ordinary sales talk that reasonable buyers are expected to evaluate skeptically rather than rely on as fact.

Q 5.7 · v9 A listing agent tells a prospective buyer that a home has "the best views in the neighborhood." This statement is most appropriately classified as:

- A. A material fact that must be disclosed in writing
- B. Puffing or sales talk that is not legally actionable ✓**
- C. Non-disclosure of a latent defect
- D. Fraudulent misrepresentation requiring rescission

Answer: B. Subjective praise and comparative opinions ('best,' 'great') constitute puffing—non-actionable seller talk rather than factual misrepresentation or fraud.

Q 5.8 A buyer-broker agreement creates:

- A. A fiduciary relationship with the buyer ✓**
- B. No legal relationship
- C. Subagency only
- D. A customer relationship

Answer: A. Buyer-broker agreement = express agency with buyer as principal.

Q 5.8 ·v1 When a real estate licensee enters into a written buyer-broker agreement with a consumer, what type of relationship is established?

- A. An express agency relationship where the buyer is the principal ✓**
- B. A non-agency customer relationship with limited duties
- C. A dual agency relationship with both buyer and seller
- D. A transactional coordination role with no fiduciary obligations

Answer: A. A buyer-broker agreement creates an express agency relationship, making the buyer the principal and establishing fiduciary duties of loyalty, disclosure, and care.

Q 5.8 ·v2 Which statement best describes the legal consequence of signing a buyer-broker agreement?

- A. The broker owes fiduciary duties to the buyer as the broker's client ✓**
- B. The broker becomes a subagent of the seller's agent
- C. The relationship remains undefined until an offer is made
- D. The broker acts as a transaction facilitator with no agency duties

Answer: A. A buyer-broker agreement establishes a fiduciary relationship where the broker owes the buyer duties of loyalty, honesty, and full disclosure as a client, not a customer.

Q 5.8 ·v3 A buyer signs a buyer-broker agreement with an agent. This agreement primarily establishes:

- A. A fiduciary duty-based relationship between agent and buyer ✓**
- B. That the buyer is a customer with no legal protections
- C. That the agent is compensated by the multiple listing service
- D. That the agent represents the seller exclusively

Answer: A. The buyer-broker agreement creates an agency relationship where the broker/agent has fiduciary obligations to the buyer, who becomes the principal in the relationship.

Q 5.8 ·v4 Under Hawaii real estate law, when a buyer executes a buyer-broker agreement, the broker:

- A. Retains only transactional duties without agency obligations
- B. Functions as a neutral third party with no allegiance to either party
- C. Assumes a fiduciary position with the buyer as principal ✓**
- D. Represents the seller and owes duties to the seller only

Answer: C. A buyer-broker agreement creates express agency with fiduciary duties running from the broker to the buyer as the principal.

Q 5.8 ·v5 When a real estate licensee and a prospective buyer execute a buyer-broker agreement, what legal relationship is established between them?

- A. A dual agency arrangement requiring written consent from all parties
- B. A fiduciary duty owed by the broker to the buyer as principal ✓**
- C. A transactional facilitator role with no agency duties
- D. An independent contractor relationship with limited liability

Answer: B. A buyer-broker agreement creates express agency, establishing fiduciary duties owed by the broker to the buyer who is the principal in the relationship.

Q 5.8 ·v6 A buyer signs a representation agreement with a broker. This agreement results in:

- A. A non-agency customer arrangement with disclosure requirements
- B. Mutual obligations with no agency duties on either party
- C. Fiduciary obligations running from the broker to the buyer ✓**
- D. The broker acting as a subagent of the listing agent only

Answer: C. Buyer representation agreements create express agency wherein the broker owes fiduciary duties to the buyer as the client and principal.

Q 5.8 ·v7 Which best describes the relationship created when a buyer enters into a written agreement with a broker to represent the buyer's interests in a real estate transaction?

- A. Limited agency with shared responsibilities between broker and buyer
- B. Customer status with the broker acting as a transaction facilitator
- C. Subagency of the seller's broker with divided loyalty
- D. Principal-agent relationship with fiduciary duties owed to the buyer ✓**

Answer: D. A written buyer-broker agreement creates a principal-agent relationship where the broker becomes the agent owing fiduciary duties to the buyer as principal.

Q 5.8 ·v8 A buyer executes a buyer-broker agreement. The legal consequence is that the broker:

- A. Becomes a transaction coordinator without fiduciary responsibility
- B. Acts as the seller's subagent in all matters
- C. Functions as a neutral third party with no agency authority
- D. Owes fiduciary duties to the buyer as the broker's client ✓**

Answer: D. A buyer-broker agreement creates express agency, making the buyer the broker's client to whom fiduciary duties are owed.

Q 5.8 ·v9 When a real estate licensee and a buyer execute a buyer-broker agreement, what legal relationship is established between them?

- A. A limited agency relationship with the seller as the primary principal
- B. The buyer is classified as a customer with no agency protection
- C. The broker owes fiduciary duties to the buyer as the client ✓**
- D. The licensee becomes a transaction coordinator with limited liability

Answer: C. A buyer-broker agreement creates express agency, making the broker a fiduciary bound to the buyer (the principal), not a limited or transaction-only service provider.

Q 5.9 When an agent's authority is delegated to another agent in a different brokerage, it's called:

- A. Subagency ✓**
- B. Universal agency
- C. Dual agency
- D. Implied agency

Answer: A. Subagency = delegated authority. Cooperating broker as subagent of listing broker.

Q 5.9 ·v1 A listing broker authorizes a cooperating broker from another firm to represent the seller in a transaction. This relationship is best described as:

- A. Subagency ✓**
- B. Non-delegable fiduciary duty
- C. Expressed agency
- D. Transactional brokerage

Answer: A. Subagency occurs when a listing broker delegates authority to a cooperating broker in a different brokerage to act on behalf of the principal.

Q 5.9 ·v2 If Broker A transfers her authority to Broker B, who works for a separate real estate company, what type of agency relationship exists between Broker A and Broker B?

- A. Limited agency
- B. Subagency ✓**
- C. Dual agency
- D. Ostensible agency

Answer: B. Subagency is the delegation of real estate authority from one broker to another broker in a different brokerage to act as agent for the original principal.

Q 5.9 ·v3 Under the traditional MLS cooperation model, when a cooperating broker from a different firm helps a listing broker sell property, the cooperating broker acts as:

- A. A dual agent
- B. A principal
- C. An independent contractor without authority

D. A subagent of the listing broker ✓

Answer: D. The cooperating broker receives delegated authority from the listing broker and becomes a subagent, representing the same principal through the original broker's authorization.

Q 5.9 ·v4 When authority is passed down from one brokerage to another brokerage in a real estate transaction, this delegation creates a relationship known as:

- A. Designated agency
- B. Subagency ✓**
- C. General agency
- D. Power of attorney

Answer: B. Subagency is specifically the term for delegated authority granted by one broker to another broker in a different firm to act on behalf of the original principal.

Q 5.9 ·v5 A listing broker transfers the power to act on the seller's behalf to an agent at another brokerage firm. This relationship is best described as:

- A. Subagency ✓**
- B. Designated agency
- C. Ostensible agency
- D. Implied agency

Answer: A. Subagency occurs when a broker delegates authority to another broker or agent outside their firm to represent the same principal. This is a formal delegation of the original agent's authority.

Q 5.9 ·v6 When a cooperating broker accepts the authority to represent a seller through delegation from the listing broker, what is this agent relationship called?

- A. Subagency ✓**
- B. Transactional agency
- C. Limited agency
- D. General agency

Answer: A. Subagency is the delegation of an agent's authority to another agent in a different brokerage firm, creating a chain of authority back to the original principal.

Q 5.9 · v7 An agent from Broker A authorizes an agent from Broker B to perform acts on behalf of their mutual client. This arrangement is known as:

- A. Subagency** ✓
- B. Power of attorney
- C. Dual agency
- D. Fiduciary agency

Answer: A. Subagency is the delegation of authority from one agent to another agent in a different brokerage; the subagent owes fiduciary duties to the original principal through the delegating agent.

Q 5.9 · v8 If a listing agent's brokerage delegates its authority to represent a seller to an agent at a different firm, the delegated agent holds what type of agency?

- A. Coupled agency
- B. Subagency** ✓
- C. Undisclosed agency
- D. Exclusive agency

Answer: B. Subagency is the formal delegation of an agent's authority to another agent at a different brokerage, allowing the subagent to act as an authorized representative of the principal.

Q 5.9 · v9 A listing broker transfers their authority to represent the seller to a cooperating broker in another firm. This relationship is known as:

- A. Transactional brokerage
- B. Designated agency
- C. Implied agency
- D. Subagency** ✓

Answer: D. Subagency occurs when a broker delegates their fiduciary authority to another broker in a different firm to act on behalf of the principal. The cooperating broker becomes the subagent of the listing broker.

Q 5.10 A power of attorney typically creates a:

- A. Universal agency** ✓
- B. Special agency
- C. General agency
- D. Subagency

Answer: A. POA = authority to act in all (legal) matters = universal agency.

Q 5.10 ·v1 When a principal executes a power of attorney document, what type of agency relationship is established?

- A. Limited agency restricted to a single transaction
- B. Subagency created through a broker relationship
- C. Special agency confined to real estate transactions only

D. Universal agency with broad authority over all matters ✓

Answer: D. A power of attorney grants the agent authority to act on behalf of the principal in all legal matters, creating a universal agency relationship with comprehensive powers.

Q 5.10 ·v2 A principal who grants a power of attorney to an attorney-in-fact is creating which classification of agency?

- A. General agency
- B. Special agency for a particular task

C. Universal agency ✓

- D. Exclusive agency

Answer: C. A POA establishes universal agency because it authorizes the agent to represent the principal in all legal and financial matters, not just specific transactions.

Q 5.10 ·v3 What type of agency relationship results when an individual executes a power of attorney?

- A. Subagency through broker delegation
- B. Special agency for defined purposes
- C. General agency limited to business transactions

D. Universal agency with comprehensive authority ✓

Answer: D. A power of attorney creates a universal agency because it grants the agent plenary authority to act in virtually all matters on behalf of the principal.

Q 5.10 ·v4 If a principal signs a power of attorney document, the agent receives which type of agency status?

- A. Bilateral agency
- B. Universal agency ✓**
- C. Special agency restricted in scope
- D. Limited agency for single transactions

Answer: B. A POA creates a universal agency, meaning the agent has broad authority to represent the principal across all legal and financial matters within the document's scope.

Q 5.10 ·v5 When a principal grants a power of attorney to an agent, what type of agency relationship is established?

- A. Ostensible agency based solely on apparent authority
- B. Universal agency with broad authority across all legal matters ✓**
- C. Limited agency restricted to real estate transactions only
- D. Exclusive agency preventing the principal from acting independently

Answer: B. A power of attorney grants the agent broad authority to act in all legal matters on behalf of the principal, creating a universal agency relationship.

Q 5.10 ·v6 Which agency classification best describes the relationship created by executing a power of attorney document?

- A. Special agency for designated transactions
- B. Subagency
- C. Dual agency with disclosed principals
- D. Universal agency ✓**

Answer: D. POA grants comprehensive legal authority across all matters, establishing a universal agency rather than limited or special agency authority.

Q 5.10 ·v7 A principal executes a power of attorney giving an agent authority to handle financial, legal, and personal affairs. This creates what type of agency?

- A. Special agency for specific enumerated powers
- B. Fiduciary agency requiring court approval
- C. General agency limited to business transactions
- D. Universal agency with comprehensive delegated authority ✓**

Answer: D. Authority to manage financial, legal, and personal affairs demonstrates universal agency—the broadest form of delegated authority covering all legal matters.

Q 5.10 ·v8 Under Hawaiian real estate law, when a client grants a power of attorney to another person, the resulting agency is classified as:

- A. Universal agency encompassing authority over all legal and business matters ✓**
- B. Implied agency created by conduct rather than document
- C. Probate agency requiring estate administration approval
- D. Special agency tied to one specific property transaction

Answer: A. A power of attorney is the legal instrument that establishes universal agency, granting the agent sweeping authority to act in all legal matters on the principal's behalf.

Q 5.10 ·v9 When a principal executes a power of attorney document, what type of agency relationship is established?

- A. Limited agency restricted to financial transactions only
- B. Designated agency covering only property management duties
- C. Universal agency with broad authority over all legal matters ✓**
- D. Transactional agency for a single real estate closing

Answer: C. A power of attorney grants the agent (attorney-in-fact) broad authority to act on behalf of the principal in all legal matters, which constitutes universal agency rather than limited or specific agency types.

Q 5.11 Confidentiality duty:

- A. Ends at closing
- B. Applies only to commercial transactions
- C. Applies only to written information
- D. Continues after agency termination ✓**

Answer: D. Confidentiality survives agency termination.

Q 5.11 ·v1 A real estate agent's duty to maintain client confidentiality:

- A. Persists indefinitely, even after the agency relationship dissolves ✓**
- B. Only extends to conversations documented in writing
- C. Lapses upon execution of the purchase agreement
- D. Is limited to residential sales and excludes commercial property

Answer: A. The confidentiality duty is fiduciary in nature and survives the termination of the agency relationship, continuing to protect client information indefinitely.

Q 5.11 ·v2 When does an agent's obligation to keep client information confidential end?

- A. When the listing period expires, regardless of sale status
- B. Only for oral disclosures; written documents become public record
- C. At the time escrow closes and funds transfer
- D. It does not end; confidentiality obligations extend beyond agency termination ✓**

Answer: D. Confidentiality is a fiduciary duty that transcends the termination of the brokerage relationship and remains binding on the agent perpetually.

Q 5.11 ·v3 Which statement correctly describes the scope and duration of an agent's confidentiality duty in Hawaii real estate transactions?

- A. It applies to all transaction types and survives the end of the agency relationship ✓**
- B. It covers only documented communications and ends when the broker-client relationship is discharged
- C. It applies only to residential properties and terminates at settlement
- D. It is limited to information disclosed verbally and expires upon contract ratification

Answer: A. Confidentiality applies across all property types and transaction structures, and remains in effect after the agency relationship concludes as a continuing fiduciary obligation.

Q 5.11 ·v4 After a real estate agency relationship terminates, which obligation continues without interruption?

- A. Duty to maintain confidentiality of client information ✓**
- B. Duty to attend open houses and showings
- C. Duty to market the property on active listing services
- D. Duty to provide monthly market analysis reports

Answer: A. The confidentiality duty is a fiduciary obligation that persists beyond agency termination, unlike other duties that end when the relationship dissolves.

Q 5.11 ·v5 After a real estate agency relationship is terminated, an agent's duty of confidentiality:

- A. Expires immediately upon termination
- B. Only applies to transactions valued above \$500,000
- C. Covers only oral statements made during the listing period
- D. Persists indefinitely with respect to client information ✓**

Answer: D. Confidentiality is a fiduciary duty that survives the termination of agency; agents remain bound to protect client confidences after the relationship ends.

Q 5.11 ·v6 Which statement correctly describes the scope of an agent's confidentiality obligation in Hawaii?

- A. It only protects information disclosed in writing by the client
- B. It terminates when the purchase and sale agreement is executed
- C. It applies exclusively to residential properties, not commercial ones
- D. It extends beyond the conclusion of the agency relationship ✓**

Answer: D. Confidentiality duty persists after agency termination and protects all client information regardless of how it was disclosed or the property type involved.

Q 5.11 ·v7 An agent receives confidential information from a client during a listing engagement. Once the listing expires and the agency terminates, the agent:

- A. Is released from all duties except those required by written contract
- B. Only remains bound to keep information secret if it pertains to the physical property condition
- C. May disclose the information to prospective buyers or other parties

D. Must continue to protect the confidential information ✓

Answer: D. The duty of confidentiality persists after agency termination and requires agents to maintain client secrets even after the relationship concludes.

Q 5.11 ·v8 Regarding confidentiality obligations, a licensee's duty to keep client information private:

- A. Applies only to factual disclosures, not to opinions or observations
- B. Is waived if the information becomes public knowledge through other sources
- C. Lasts only until the transaction closes

D. Continues even after the agent-client relationship is dissolved ✓

Answer: D. Confidentiality is a post-termination fiduciary duty that survives agency dissolution and obligates licensees to protect client confidences indefinitely.

Q 5.11 ·v9 A real estate agent's duty to maintain confidentiality of client information:

- A. Must be disclosed to all third parties upon request
- B. Only applies to residential properties and not commercial deals
- C. Is limited to facts known in writing before the transaction closes

D. Persists even after the agency relationship has been dissolved ✓

Answer: D. The confidentiality duty is fiduciary in nature and survives the termination of agency, protecting client information indefinitely after the relationship ends.

Q 5.12 A seller tells the agent the basement floods. The agent is asked by a buyer about water issues. The agent must:

A. Disclose the known defect ✓

- B. Refer the buyer to the seller only
- C. Honor seller wishes and stay silent
- D. Disclose only if buyer asks twice

Answer: A. Material defects must be disclosed to all parties; agent has independent duty.

Q 5.12 ·v1 During a listing appointment, the seller discloses to the agent that the roof has a history of leaks during heavy rain. When the agent shows the property to a prospective buyer, the buyer does not inquire about the roof condition. What is the agent's obligation?

- A. Voluntarily disclose the known roof defect regardless of whether the buyer asks** ✓
- B. Document the disclosure only if the buyer signs an acknowledgment form
- C. Wait for the buyer to ask specifically about roof leaks before mentioning the issue
- D. Suggest the buyer hire an inspector and avoid commenting on known defects

Answer: A. Agents have an independent fiduciary duty to disclose known material defects to all prospective buyers, even without direct questioning. Staying silent to protect the seller violates Hawaii's disclosure requirements.

Q 5.12 ·v2 An agent discovers through the seller that the property's electrical system has been repeatedly repaired for code violations. A buyer submits an offer without asking about electrical issues. The agent should:

- A. Advise the seller to repair the violations before showing the property again
- B. Disclose the electrical history as a material defect that could affect property value and safety** ✓
- C. Only mention the electrical issue if the buyer specifically includes it on the inspection contingency
- D. Remain neutral and allow the inspection process to uncover the problem later

Answer: B. Material defects known to the agent must be affirmatively disclosed to buyers as part of the agent's duty of honesty and fair dealing, regardless of buyer inquiry.

Q 5.12 ·v3 A listing agent learns that the property experienced significant mold remediation in the kitchen two years ago. A buyer views the property and makes an offer. When asked about the property's history, what must the agent do?

- A. Inform the buyer that the remediation was completed, so no current disclosure is needed
- B. Mention mold only if the buyer's inspector requests historical records
- C. Suggest the buyer request all documentation directly from the seller's attorney
- D. Disclose the mold remediation history because it is a material fact affecting the property** ✓

Answer: D. Prior remediation of a significant defect like mold is a material fact that must be disclosed by the agent, as it informs the buyer of the property's condition and potential risk.

Q 5.12 ·v4 At a listing presentation, the seller reveals to the agent that the foundation has visible cracks and a structural engineer previously recommended monitoring. Later, a buyer tours the property without commenting on structural concerns. The agent's responsibility is to:

- A. Let the buyer's own structural inspector identify the cracks during the inspection period
- B. Provide the structural engineer's report only if the buyer requests it in writing
- C. Tell the buyer to consult with the seller directly about any structural matters

D. Initiate disclosure of the known foundation issue as a material defect ✓

Answer: D. An agent cannot withhold known material defects based on a buyer's lack of inquiry. The duty to disclose is affirmative and independent of buyer questions or inspection results.

Q 5.12 ·v5 During a transaction, a listing agent becomes aware that the property has experienced recurring moisture intrusion in the crawl space. When preparing marketing materials, the agent should:

- A. Mention it only to buyers who specifically inquire about foundation conditions
- B. Allow the seller to decide whether disclosure is necessary

C. Include this information in all disclosures provided to prospective buyers ✓

- D. Wait for the buyer's inspector to discover it independently

Answer: C. Real estate agents have an affirmative duty to disclose known material defects to all potential buyers regardless of whether they ask; this duty is independent of the seller's preferences.

Q 5.12 ·v6 An agent lists a home where the owner mentions that the roof leaks during heavy rains. A prospective buyer asks if there are any known structural issues. The agent's obligation is to:

- A. Suggest the buyer obtain a professional inspection before asking further questions

B. Disclose the known roof leak because it is a material defect ✓

- C. Refer the buyer directly to the seller for all property condition questions
- D. Disclose the defect only if the buyer appears interested in making an offer

Answer: B. Agents must disclose known material facts about the property's condition to all parties; the roof leak is a material defect that directly affects property value and insurability.

Q 5.12 ·v7 A seller confides in the listing agent that the home's electrical system has intermittent failures. Later, a buyer asks general questions about the property's systems. The agent must:

- A. Keep the seller's confidential information private unless the buyer specifically asks about electricity
- B. Suggest the buyer hire an electrician if they have concerns

C. Provide honest disclosure of the known electrical issue ✓

- D. State that all systems appear to be in working order

Answer: C. Material defects must be affirmatively disclosed as a matter of law and professional ethics; an agent cannot withhold known defects even when the seller requests confidentiality.

Q 5.12 ▾8 While preparing a property listing, the agent learns that the home has had significant termite damage in the past. When a buyer tours the property and asks if there are any pest-related concerns, the agent should:

- A. Avoid the topic unless the buyer specifically mentions termites by name
- B. State that current pest control reports are available for the buyer to review
- C. Acknowledge the prior termite damage and disclose this material fact ✓**
- D. Explain that the seller's pest control company can discuss any history

Answer: C. An agent's duty to disclose material defects includes known past structural damage from pests; this information directly affects property value and the buyer's decision-making.

Q 5.12 ▾9 During a listing appointment, the seller mentions that the property has experienced water intrusion in the crawl space during heavy rains. When a prospective buyer's agent inquires about the foundation and structural condition, the listing agent should:

- A. Allow the seller to decide whether to volunteer this information directly to the buyer
- B. Affirmatively disclose the known water intrusion problem to protect all parties ✓**
- C. Wait for the buyer to submit a formal inspection request before mentioning any water issues
- D. Suggest the buyer hire a professional inspector without commenting on known defects

Answer: B. Agents have an independent fiduciary duty to disclose material defects known to them, regardless of seller preference or buyer inquiry method; water intrusion is a material defect affecting property value and habitability.

06

Mandated Disclosures

National portion 7 PSI items 23 key concepts 12 base questions

Disclosure failures create more lawsuits than any other licensee mistake. When in doubt — disclose.

CHAPTER OVERVIEW

Sellers in nearly every state must disclose known material defects in writing on a state-mandated form. The form typically asks about plumbing, electrical, roof, structural, environmental hazards, prior repairs, neighborhood conditions, and any pending claims. The agent's role is to facilitate accurate disclosure, not to certify the property's condition. If the agent has actual knowledge of a defect — water in the basement, an undisclosed addition, a foundation crack — the agent must disclose it independently, even if the seller refuses. Misrepresentation by silence is just as actionable as a lie.

A material fact is anything a reasonable buyer or seller would consider important in deciding whether and at what price to transact. The standard is objective: would this matter to a typical buyer? If yes, it's material and must be disclosed if known. Material facts include known defects, boundary disputes, pending litigation, planned road construction, sex-offender notifications (Megan's Law), past flooding, prior fires, prior deaths or stigmatizing events (rules vary by state).

Federal law mandates a Lead-Based Paint Disclosure (the Lead Hazard Information Pamphlet plus the Lead Disclosure Form) for all residential housing built before 1978. Buyers receive a 10-day right to inspect for lead-based paint hazards (which can be waived in writing). Failure to disclose carries per-violation federal penalties. Asbestos, radon, mold, formaldehyde, underground storage tanks, electromagnetic fields, and methamphetamine contamination are increasingly addressed via state-specific forms or general material-fact duties.

Stigmatized property is property where a non-physical event (death, suicide, murder, alleged paranormal activity, criminal activity) has occurred. State rules on disclosure vary widely. Some states require disclosure if asked, others affirmatively, others not at all. HIV/AIDS-related deaths have specific federal protection — generally not disclosable. A licensee's safest stance is disclose-when-asked unless state law clearly says otherwise.

An agent who relays a seller's statement is generally not liable, unless the agent knew or should have known the statement was false. The duty to investigate "red flags" — visible signs of potential problems like water stains, sloping floors, recent paint over one wall — is real. Agents are not inspectors and don't certify, but they can't willfully ignore obvious signs.

"As-is" sales do not eliminate disclosure obligations. The seller is still required to disclose known material defects; the buyer simply accepts the property in its current condition, waiving the right to demand repairs. As-is is about repair allocation, not information disclosure. Many disputes arise when sellers think "as-is" means they don't have to talk about problems — that's wrong.

Latent defects (hidden, not discoverable on reasonable inspection) and patent defects (obvious) have different treatment. Latent defects must be disclosed if known. Patent defects are presumed observed by the buyer; failure to point them out is generally not actionable. The line between latent and patent is a frequent dispute.

Caveat emptor ("let the buyer beware") was the historical rule in real estate. Modern state disclosure statutes have largely supplanted it for residential transactions. Commercial transactions still operate closer to caveat emptor, but professional duties of honesty and material-fact disclosure remain.

KEY CONCEPTS & DEFINITIONS

Material fact	A fact a reasonable buyer or seller would consider important in deciding whether and at what price to transact.
Misrepresentation	False statement of material fact. Can be innocent, negligent, or fraudulent.
Innocent misrepresentation	False statement made without knowledge of falsity. Still actionable for rescission.
Negligent misrepresentation	False statement that should have been verified. Damages available.
Fraudulent misrepresentation	Intentional false statement. Punitive damages possible.
Misrepresentation by silence	Failure to disclose a known material fact. Actionable as fraud.
Puffing	Subjective sales talk ("this is the best house"). Not actionable.
Lead-Based Paint Disclosure	Federal law requires for pre-1978 housing. Buyer gets 10-day inspection window + EPA pamphlet + disclosure form.
Megan's Law	Sex offender registration disclosure. State rules vary on agent duty.
Stigmatized property	Property with non-physical issue (death, crime, alleged haunting). State rules vary on disclosure.
Caveat emptor	"Let the buyer beware." Largely supplanted by mandatory disclosure laws for residential.
Caveat venditor	"Let the seller beware." Modern leaning — sellers must disclose.
Latent defect	Hidden defect not discoverable on reasonable inspection. Must be disclosed if known.
Patent defect	Obvious defect visible on reasonable inspection. Generally presumed observed by buyer.
Red flag	A visible condition prompting inquiry — water stains, sloping floor, recent isolated paint. Triggers duty to investigate or recommend inspection.
As-is sale	Buyer takes property in current condition. Does NOT eliminate disclosure obligations.
CERCLA / Superfund	Federal environmental cleanup law. Strict, joint and several liability.
Mold disclosure	Required in many states. Toxic mold (Stachybotrys) is a major concern.
Radon disclosure	Naturally occurring radioactive gas. Federal pamphlet recommended.
Asbestos	Common in pre-1980 construction. Federal AHERA rules for schools; private property has fewer.
Underground storage tank	Common environmental issue on commercial property. RCRA regulated.

Mello-Roos / special districts	Tax districts for new development infrastructure (CA term; analogous in other states). Disclosable.
Property condition disclosure	State-mandated form listing known material facts about property condition.

QUESTION BANK — MANDATED DISCLOSURES

Q 6.1 A licensee learns the basement floods every winter. The seller insists on not disclosing. The agent must:

- A. Disclose to buyers anyway ✓**
- B. Disclose only if asked
- C. Resign the listing only
- D. Honor seller wishes

Answer: A. Agent has independent duty to disclose known material defects.

Q 6.1 · v1 During a property showing, a licensee becomes aware that the roof requires immediate repair due to water damage discovered in the attic. The seller explicitly forbids mentioning this issue to prospective buyers. What is the licensee's obligation?

- A. Document the seller's refusal and proceed without disclosure
- B. Disclose only structural defects, not cosmetic repairs
- C. Wait for the buyer's inspector to find the problem independently
- D. Fulfill the affirmative duty to disclose all material facts known to the agent ✓**

Answer: D. A licensee has an independent fiduciary duty to disclose all known material defects regardless of seller objections or buyer inquiry.

Q 6.1 · v2 A real estate agent representing a seller discovers that the property's septic system failed its last inspection and requires replacement. The owner requests confidentiality about this condition. The agent should:

- A. Suggest the seller hire a contractor to fix it before showing
- B. Only mention the septic issue if a buyer specifically asks about the system
- C. Respect the seller's privacy wishes and remain silent
- D. Make the mandatory disclosure of this material defect to all prospective buyers ✓**

Answer: D. Agents cannot be bound by seller instructions to withhold material facts; disclosure of known defects is a non-delegable duty.

Q 6.1 ·v3 While preparing a listing, an agent learns that the home's electrical system has a documented history of circuit failures requiring repeated repairs. The seller states, 'Don't tell anyone about that—we just fixed it.' What must the agent do?

- A. Honor the seller's request since the system was recently repaired
- B. List the property as-is and let buyers assume all risk
- C. Disclose this material defect to buyers despite the seller's objection ✓**
- D. Only disclose if a buyer's offer includes an inspection contingency

Answer: C. An agent's obligation to disclose known material defects is independent of the seller's wishes and cannot be overridden by recent repairs or seller instructions.

Q 6.1 ·v4 An agent becomes aware that a property has had multiple insurance claims for mold damage in the past three years. The seller pressures the agent not to include this information in marketing materials or share it with buyers. The licensee must:

- A. Disclose the material fact of known mold history to all potential buyers ✓**
- B. Advise the buyer to conduct their own mold testing instead
- C. Comply with the seller's directive to protect the listing
- D. Include the information only in the detailed property disclosures, not verbal conversations

Answer: A. Licensees cannot comply with seller instructions to conceal material defects; affirmative disclosure duties exist independently of seller consent.

Q 6.1 ·v5 During a property showing, a licensee discovers that the roof has persistent leak damage. The seller explicitly forbids disclosure of this condition to prospective buyers. What is the licensee's legal obligation?

- A. Keep the information confidential per the listing agreement
- B. Document the seller's refusal and proceed with marketing
- C. Disclose the known material defect regardless of seller objection ✓**
- D. Reveal only the defect's existence, not its severity

Answer: C. A licensee has an independent fiduciary and statutory duty to disclose known material defects to potential buyers, regardless of seller preferences or instructions.

Q 6.1 ·v6 A broker's agent becomes aware that a property has a history of termite infestation. When the agent attempts to include this in the disclosure, the seller threatens to fire the brokerage and work with another agent. The broker should:

- A. Allow the buyer to request a termite inspection at their own expense
- B. Advise the agent to comply with the seller's demand to maintain the listing
- C. Ensure the material defect is disclosed to all prospective buyers ✓**
- D. Suggest the seller hire a separate pest control company first

Answer: C. The broker and licensee cannot be coerced into non-disclosure; they must fulfill their independent duty to disclose known material facts affecting property value or desirability.

Q 6.1 ·v7 An agent has personal knowledge that the property's foundation has cracks caused by soil settlement. The seller states that disclosure could tank the sale and asks the agent to keep silent. Which action is permissible under Hawaii real estate law?

- A. File a complaint with the REC and withdraw from the transaction
- B. Affirmatively disclose the known material defect to all interested parties ✓**
- C. Wait for the buyer's home inspection to reveal the problem naturally
- D. Honor the seller's request and only disclose if a buyer specifically asks about foundation issues

Answer: B. An agent's duty to disclose known material defects is affirmative and independent of seller instructions or buyer inquiries, protecting the integrity of the transaction.

Q 6.1 ·v8 While listing a property, a licensee learns from neighbors that the home experiences mold growth every summer due to poor drainage. The seller denies there is a problem and instructs the agent not to mention it. The agent must:

- A. Obey the seller's directive to remain in their fiduciary role
- B. Require the seller to obtain a mold inspection before proceeding
- C. Disclose this known material defect to prospective buyers despite the seller's prohibition ✓**
- D. List the property 'as-is' and let the buyer's inspector discover any issues

Answer: C. Licensees cannot subordinate their duty to disclose known material defects to seller pressure; disclosure is mandatory and protects both buyers and the integrity of the market.

Q 6.1 ·v9 During a listing presentation, the licensee discovers that the roof leaks during heavy rains—a fact the seller wants kept confidential. What is the licensee's obligation?

- A. Suggest the seller repair the roof before listing
- B. Wait for a buyer's inspector to find the defect
- C. Affirmatively disclose the known material defect to prospective buyers ✓**
- D. Respect the seller's confidentiality and remain silent

Answer: C. A real estate licensee has an independent fiduciary duty to disclose known material facts affecting property value, regardless of seller instructions or buyer inquiries.

Q 6.2 Lead-based paint disclosure applies to housing built before:

- A. 1965
- B. 1972
- C. 1986
- D. 1978 ✓**

Answer: D. Pre-1978 residential housing.

Q 6.2 ·v1 Under federal law, which properties require mandatory lead-based paint disclosures during the sales transaction?

- A. Residential structures built prior to 1978 ✓**
- B. Commercial buildings erected before 1985
- C. All residential properties constructed after 1980
- D. Single-family homes built after 1990

Answer: A. Federal lead-based paint disclosure requirements apply to residential properties constructed before 1978, when lead paint was commonly used.

Q 6.2 ·v2 A seller is required to disclose the potential presence of lead-based paint in a home. The disclosure obligation applies when the property was built in:

- A. 1975 ✓**
- B. 1992
- C. 1983
- D. 2001

Answer: A. Lead-based paint disclosures are mandatory for homes built before 1978; homes built after that year fall outside the disclosure requirement.

Q 6.2 ·v3 In a real estate transaction, lead-based paint disclosure becomes necessary when dealing with residential property constructed:

- A. Between 1975 and 1985
- B. Between 1970 and 1980
- C. Any year prior to 1978 ✓**
- D. After 1970 but before 1990

Answer: C. The cut-off year for lead-based paint disclosure requirements is 1978; any residential property built before that date requires disclosure.

Q 6.2 ·v4 Which timeframe establishes when a residential property is presumed to potentially contain lead-based paint and triggers disclosure requirements?

- A. Construction completed before January 1, 1978 ✓**
- B. Pre-1980 residential development
- C. Any structure built prior to 1975
- D. Pre-1960 construction

Answer: A. Federal regulations establish 1978 as the threshold year; properties built before that date fall under lead-based paint disclosure requirements.

Q 6.2 ·v5 Under federal law, residential housing built before a certain year requires disclosure of potential lead-based paint hazards. Housing built before which year is covered?

- A. 1970
- B. 1978 ✓**
- C. 1988
- D. 1982

Answer: B. The federal lead-based paint disclosure requirement applies to all residential properties constructed before 1978, making 1978 the cutoff year for mandatory disclosure obligations.

Q 6.2 ·v6 A real estate licensee in Hawaii is listing a single-family home constructed in 1960. Which statement correctly identifies the lead-based paint disclosure requirement?

- A. The property was built before the federal lead-based paint disclosure threshold and requires disclosure ✓**
- B. Disclosure is waived for homes older than 50 years
- C. Disclosure applies only to properties built after 1980
- D. Disclosure is required only if the property has been tested for lead

Answer: A. Federal law requires lead-based paint disclosure for all residential properties built before 1978, regardless of testing status or age category.

Q 6.2 ·v7 Which of the following residential properties would trigger a mandatory lead-based paint disclosure requirement?

- A. A single-family home built in 1990
- B. A townhouse built in 1979
- C. A multi-family rental built in 1977 ✓**
- D. A condominium built in 1985

Answer: C. Pre-1978 construction requires lead-based paint disclosure; the 1977 multi-family rental is the only property built before the 1978 cutoff date.

Q 6.2 ·v8 A property transaction involves a home originally constructed in 1973. What federal real estate disclosure requirement applies to this transaction?

- A. Asbestos encapsulation documentation
- B. Lead-based paint hazard disclosure ✓**
- C. Mold remediation certification
- D. Radon gas testing and disclosure only

Answer: B. Properties built before 1978 are subject to federal lead-based paint disclosure requirements; the 1973 construction date falls within the regulated period.

Q 6.2 ·v9 Under federal law, which properties require a lead-based paint disclosure when being sold or leased?

- A. Residential structures built in or before 1977 ✓**
- B. Commercial buildings and multi-unit dwellings only
- C. All residential properties constructed after 1980
- D. Single-family homes built between 1970 and 1985

Answer: A. Federal lead-based paint disclosure requirements apply to housing built in 1978 or earlier (pre-1978 residential housing), making 1977 and prior the applicable cutoff date for disclosure obligations.

Q 6.3 "This house has the best view on the street" is most likely:

- A. Misrepresentation
- B. Fraud
- C. Puffing ✓**
- D. A material fact

Answer: C. Subjective opinion = puffing, allowed.

Q 6.3 ·v1 A listing agent tells a prospective buyer, "This is the most beautiful home in the neighborhood." This statement would most accurately be classified as:

- A. Actionable misrepresentation
- B. Fraudulent concealment
- C. Puffing or seller's talk ✓**
- D. A material fact subject to verification

Answer: C. Statements of subjective beauty, aesthetics, or superiority are considered puffing—harmless exaggeration and opinion that the law permits in real estate sales.

Q 6.3 ·v2 When a seller states, "You won't find a nicer lot anywhere in this area," this claim is most likely to be considered:

- A. A legally actionable misstatement of fact
- B. Puffing or seller's puffery ✓**
- C. Fraud requiring proof of intent to deceive
- D. A breach of the duty of disclosure

Answer: B. Comparative value judgments and hyperbolic opinions about property quality are classic examples of puffing, which are not actionable misrepresentation under Hawaii real estate law.

Q 6.3 ·v3 A real estate agent's claim that "This property offers the best investment potential in the subdivision" is best characterized as:

- A. A violation requiring rescission
- B. Fraud if the agent believes it is false
- C. Puffery or non-actionable opinion ✓**
- D. Misrepresentation of a material fact

Answer: C. Subjective predictions about investment performance and superiority constitute puffing, not material misrepresentation, as they represent opinion rather than verifiable fact.

Q 6.3 ·v4 If a broker tells clients, "This is the finest home you'll ever see," this statement would most accurately be deemed:

- A. Actionable fraud requiring reliance damages
- B. Harmless puffing or exaggerated opinion ✓**
- C. A fact claim subject to the statute of frauds
- D. A material misrepresentation if any buyer disputes it

Answer: B. Superlative descriptions regarding aesthetic appeal or general quality are puffing—permitted rhetorical exaggeration that buyers are expected to discount rather than rely upon.

Q 6.3 ·v5 A listing agent tells a buyer, "This is the most beautiful kitchen in the neighborhood." This statement is best classified as:

- A. A breach of fiduciary duty
- B. A material fact that must be disclosed
- C. Fraudulent misrepresentation
- D. Puffing or sales talk ✓**

Answer: D. Statements of subjective aesthetic quality (beauty, attractiveness) are opinion-based puffing, which is permissible in real estate sales and does not constitute actionable misrepresentation.

Q 6.3 ·v6 During an open house, an agent says, "You won't find a better location anywhere in this area." How should this statement be characterized?

- A. Fraud requiring rescission
- B. Harmless puffery or exaggeration ✓**
- C. Concealment of a material defect
- D. Actionable misrepresentation

Answer: B. Comparative value judgments and superlative claims about location desirability are considered puffing—subjective opinions that buyers are expected to evaluate independently.

Q 6.3 · v7 A seller's agent describes the property as "stunning" and "the nicest home in the subdivision." Which category best describes these statements?

- A. Misrepresentation requiring monetary damages
- B. Omission of a material fact
- C. Puffing or seller's talk ✓**
- D. Active fraud

Answer: C. Subjective characterizations of aesthetic appeal and comparative quality are classic examples of puffing, which is generally not legally actionable in real estate transactions.

Q 6.3 · v8 A listing includes the phrase: "This property has the most desirable curb appeal on the block." What is the proper legal classification of this language?

- A. Puffing or exaggerated sales talk ✓**
- B. A factual assertion about comparative market value
- C. Material misrepresentation subject to rescission
- D. Fraudulent concealment

Answer: A. Statements about subjective qualities like desirability and curb appeal are opinion-based puffery, not factual representations, and therefore constitute permitted sales talk in Hawaii real estate practice.

Q 6.3 · v9 A listing agent tells a prospective buyer that a property has "the most beautiful landscaping in the neighborhood." This statement would most appropriately be classified as:

- A. Actionable misrepresentation requiring damages
- B. Fraudulent concealment of defects
- C. A material fact that must be disclosed in writing
- D. Permissible puffing or sales talk ✓**

Answer: D. Subjective aesthetic judgments about beauty, views, or landscaping are considered puffing—exaggerated opinions that buyers expect in real estate sales and are not actionable misrepresentations.

Q 6.4 A defect not visible on reasonable inspection is:

- A. Functional
- B. Cosmetic
- C. Latent ✓**
- D. Patent

Answer: C. Latent defects are hidden; agents must disclose if known.

Q 6.4 ·v1 Which type of property defect would NOT be discovered during a standard walk-through inspection?

- A. Hidden water damage inside the walls ✓**
- B. Obvious structural damage to the roof
- C. Broken window panes
- D. Peeling paint on exterior surfaces

Answer: A. Hidden defects that cannot be seen without invasive inspection are latent defects; disclosure is required if the agent has knowledge of them.

Q 6.4 ·v2 A real estate licensee discovers that a home has termite damage behind the walls, undetectable without opening the structure. This is classified as a:

- A. Cosmetic defect
- B. Patent defect
- C. Structural enhancement
- D. Latent defect ✓**

Answer: D. Latent defects are concealed or hidden conditions not apparent upon ordinary observation; agents must disclose known latent defects to buyers.

Q 6.4 ·v3 An underground septic system malfunction that shows no external signs would be considered:

- A. A latent flaw ✓**
- B. A patent flaw
- C. A minor surface flaw
- D. An aesthetic flaw

Answer: A. Latent defects are hidden defects not discoverable by reasonable inspection; subsurface issues like septic problems must be disclosed if known.

Q 6.4 ·v4 Which property condition is NOT readily apparent to a buyer during a visual inspection?

- A. Cracked glass in sliding doors
- B. Faded exterior paint
- C. Chipped tile on the bathroom floor
- D. Faulty electrical wiring concealed within walls ✓**

Answer: D. Latent defects are defects that are not visible or apparent under normal circumstances; agents must disclose any known latent defects to potential buyers.

Q 6.4 · v5 Which category of property defect is characterized by being concealed from view and discoverable only through specialized inspection or disclosure?

- A. Obvious defect
- B. Structural defect
- C. Hidden defect ✓**
- D. Aesthetic defect

Answer: C. Hidden defects (latent defects) are not apparent during normal inspection and must be disclosed if the agent has actual knowledge of them.

Q 6.4 · v6 A homebuyer tours a property and observes no water damage, mold, or foundation issues. However, the seller's agent knows there is significant termite damage behind the walls. This damage would be classified as a:

- A. Latent defect ✓**
- B. Manifest defect
- C. Disclosed defect
- D. Minor defect

Answer: A. Termite damage behind walls is a latent defect—not visible during a reasonable inspection—and the agent's knowledge triggers a disclosure obligation.

Q 6.4 · v7 Under Hawaii real estate law, a defect that cannot be discovered through ordinary observation or reasonable inspection is considered:

- A. Latent ✓**
- B. Trivial
- C. Conditional
- D. Patent

Answer: A. Latent defects are hidden from ordinary view and do not become apparent except upon close investigation or specialized testing; they must be disclosed if known.

Q 6.4 · v8 A licensee learns that a property has a known subsurface issue that would not be visible during a standard walkthrough. This is an example of a:

- A. Latent defect ✓**
- B. Conspicuous defect
- C. Readily apparent defect
- D. Surface defect

Answer: A. Subsurface problems are latent defects because they are not discoverable through reasonable inspection and must be disclosed if the agent has actual knowledge.

Q 6.4 ·v9 Which term describes a property defect that cannot be discovered through a standard walk-through or visual inspection?

- A. Obvious defect
- B. Superficial defect
- C. Concealed defect ✓**
- D. Apparent defect

Answer: C. Concealed (latent) defects are hidden from ordinary view and must be disclosed by the agent if known; this is the same concept as latent defects.

Q 6.5 An "as-is" clause:

- A. Does NOT eliminate disclosure of known material defects ✓**
- B. Bars all buyer claims
- C. Eliminates seller disclosure duty
- D. Eliminates agent disclosure duty

Answer: A. As-is does not override disclosure laws.

Q 6.5 ·v1 When a property is marketed with an "as-is" condition, which statement is accurate regarding Hawaii disclosure requirements?

- A. The seller is relieved of all obligations to disclose latent defects
- B. The as-is condition voids the buyer's right to conduct inspections
- C. The real estate agent may withhold known material defects from the buyer
- D. Known material defects must still be disclosed to the buyer despite the as-is clause ✓**

Answer: D. An as-is clause does not exempt sellers or agents from disclosing known material defects; Hawaii law requires disclosure of material facts regardless of property condition language.

Q 6.5 ·v2 A broker lists a property with an "as-is" provision. What is the broker's legal obligation?

- A. Disclose all known material defects to prospective buyers ✓**
- B. Allow only licensed inspectors to identify defects without agent involvement
- C. Limit disclosure to cosmetic conditions only
- D. Avoid disclosing any structural issues to protect the seller's interests

Answer: A. The broker must disclose known material defects to prospective buyers; the as-is clause does not eliminate this fiduciary and statutory disclosure duty.

Q 6.5 · v3 Under Hawaii real estate law, an as-is sale clause:

- A. Does not override the requirement to disclose known material facts ✓**
- B. Protects the buyer from liability for defects discovered after closing
- C. Absolves the agent from disclosing any known defects
- D. Permits the seller to avoid disclosing environmental hazards

Answer: A. As-is language is not a blanket exemption from disclosure laws; sellers and agents must still disclose known material defects to comply with Hawaii disclosure requirements.

Q 6.5 · v4 A buyer signs a purchase agreement containing an as-is clause. Which of the following remains true?

- A. Material defects known to the seller or agent must still be disclosed to the buyer ✓**
- B. The listing agent is absolved of disclosure responsibilities regarding known issues
- C. The buyer forfeits the right to request any seller repairs or credits
- D. The seller's prior knowledge of foundation damage need not be disclosed

Answer: A. Even with an as-is clause, disclosure laws mandate that known material defects be revealed; the as-is condition addresses post-closing liability, not pre-sale disclosure obligations.

Q 6.5 · v5 When a property is marketed with an "as-is" condition clause, what effect does this have on the seller's responsibility to disclose known defects?

- A. It allows the seller to conceal latent defects discovered during inspection
- B. It does not relieve the seller from disclosing known material defects ✓**
- C. It transfers all disclosure liability solely to the buyer's agent
- D. It completely waives all disclosure requirements under Hawaii law

Answer: B. An as-is clause addresses the condition of the property but does not override statutory disclosure obligations; sellers must still reveal known material defects regardless of as-is language.

Q 6.5 · v6 A broker represents a seller who insists on including an "as-is" provision in the listing. Which statement accurately reflects the broker's disclosure obligations?

- A. The broker is exempt from the fiduciary duty to disclose defects known to the broker
- B. The as-is clause permits the broker to withhold information about structural issues
- C. The broker's duties end once the as-is language is added to the contract
- D. The broker must still disclose known material facts about the property condition ✓**

Answer: D. Brokers cannot hide behind as-is clauses; they retain their duty to disclose known material defects even when a property is sold as-is.

Q 6.5 ·v7 A buyer signs a purchase agreement containing an "as-is" clause. Which of the following is true regarding what the seller must disclose?

- A. The seller is required to disclose known material defects despite the as-is language ✓**
- B. The seller must disclose known material defects unless the as-is clause was prominently displayed
- C. The as-is clause eliminates the seller's liability for non-disclosure
- D. The seller has no obligation to reveal any property conditions

Answer: A. The as-is clause does not eliminate disclosure obligations; sellers must still disclose known material defects as required by Hawaii law and fiduciary duties.

Q 6.5 ·v8 How does an "as-is" condition clause interact with Hawaii's disclosure requirements?

- A. It eliminates the need for the seller to provide a property condition disclosure form
- B. It permits the agent to withhold information about known defects from the buyer
- C. It supersedes all statutory disclosure rules and contractual obligations
- D. It does not negate the obligation to disclose known material defects ✓**

Answer: D. An as-is clause addresses the buyer's acceptance of visible condition but does not override the legal duty to disclose known material defects.

Q 6.5 ·v9 When a property is sold under an "as-is" condition clause, which of the following statements is most accurate regarding the seller's legal obligations?

- A. The seller is relieved of all responsibility to disclose latent defects discovered during inspection
- B. The real estate agent may withhold information about defects if the contract includes an as-is provision
- C. The buyer assumes all risk and waives the right to pursue any legal remedies for discovered problems
- D. The seller must still reveal known material facts about the property despite the as-is language ✓**

Answer: D. An as-is clause does not override Hawaii's mandatory seller disclosure requirements for known material defects; sellers and agents must still disclose what they know regardless of the as-is language in the contract.

Q 6.6 Lead-based paint buyer's right to inspect is:

- A. 3 days
- B. 30 days
- C. 14 days
- D. 10 days ✓**

Answer: D. 10-day right to inspect; can be waived in writing.

Q 6.6 ·v1 Under federal lead-based paint disclosure requirements, how many days does a buyer have to conduct an inspection for lead hazards before closing?

- A. 21 days
- B. 7 days
- C. 45 days
- D. 10 days ✓**

Answer: D. Federal law provides a 10-day inspection period for lead-based paint; this timeline can be shortened or waived if the buyer agrees in writing.

Q 6.6 ·v2 A seller receives an offer on a pre-1978 home. The buyer requests time to have the property inspected for lead-based paint. What is the standard inspection period allowed?

- A. 10 days ✓**
- B. 20 days
- C. 5 days
- D. 15 days

Answer: A. The lead-based paint inspection period is 10 days; buyers may waive this right in writing if they choose not to inspect.

Q 6.6 ·v3 Which timeframe represents the buyer's inspection opportunity for lead-based paint hazards on properties built before 1978?

- A. 8 days from offer acceptance
- B. 12 days from offer acceptance
- C. 6 days from offer acceptance
- D. 10 days from offer acceptance ✓**

Answer: D. Buyers have a 10-day right to inspect for lead-based paint; they may waive this right in writing to expedite the transaction.

Q 6.6 ·v4 If a buyer wants to exercise their right to inspect a pre-1978 property for lead-based paint, they must do so within what period?

- A. 18 days of the purchase agreement
- B. 10 days of the purchase agreement ✓**
- C. 3 days of the purchase agreement
- D. 14 days of the purchase agreement

Answer: B. The federal lead-based paint inspection period is 10 days from acceptance of the offer; this period can be waived in writing by the buyer.

Q 6.6 ·v5 Under federal lead-based paint disclosure rules, how long does a purchaser have to conduct an inspection for lead hazards before becoming obligated to proceed with the transaction?

- A. 5 business days
- B. 21 calendar days
- C. 10 calendar days ✓**
- D. 45 calendar days

Answer: C. Buyers have a 10-day inspection period for lead-based paint; this timeframe applies to all residential properties built before 1978 and can be shortened or waived by mutual written agreement.

Q 6.6 ·v6 A seller provides a lead-based paint disclosure to a buyer on a pre-1978 home. The buyer wishes to have the property inspected for lead. What is the maximum inspection window allowed?

- A. 14 days from disclosure
- B. 7 days from disclosure
- C. 30 days from closing
- D. 10 days from disclosure ✓**

Answer: D. The federal lead-based paint inspection period is 10 days from receipt of the disclosure; buyers may waive this right in writing if they choose to proceed without an inspection.

Q 6.6 ·v7 In a transaction involving a residential structure constructed before 1978, the buyer's inspection contingency for lead-based paint typically allows:

- A. 20 days to obtain a lead-free certification
- B. 15 days to complete all lead remediation
- C. 10 days to arrange and conduct inspections ✓**
- D. 3 business days for testing and results

Answer: C. Federal regulations provide a 10-day period for lead-based paint inspection in pre-1978 homes; the buyer may waive this right in writing at any time.

Q 6.6 ·v8 A licensee is assisting with a property sale built in 1975. The buyer asks how long they have after receiving the lead disclosure to inspect for lead-based paint hazards without penalty. What should the licensee state?

- A. The buyer has only 3 days before the contract becomes binding
- B. The buyer has until closing to arrange any lead testing
- C. The buyer has 10 days to request and complete an inspection ✓**
- D. The buyer waives inspection rights unless demanded within 5 days

Answer: C. Federal law grants a 10-day inspection period for lead-based paint in pre-1978 homes, which begins upon receipt of the disclosure and may be waived in writing by the buyer.

Q 6.6 ·v9 Under federal lead-based paint disclosure requirements, what is the standard timeframe a purchaser has to conduct an inspection for lead hazards before contract contingencies expire?

- A. 10 calendar days ✓**
- B. 45 calendar days
- C. 21 calendar days
- D. 5 business days

Answer: A. Federal law provides a 10-day inspection period for lead-based paint hazards; buyers may voluntarily waive this right in writing if they choose.

Q 6.7 A reasonable buyer would consider it important = the fact is:

- A. Patent
- B. Material ✓**
- C. Stigmatizing
- D. Puffing

Answer: B. Materiality standard is "would a reasonable party consider it important?"

Q 6.7 ·v1 Under Hawaii real estate law, a fact is considered significant enough to disclose if a prudent buyer would regard it as important. This standard is known as:

- A. Materiality ✓**
- B. Misrepresentation
- C. Caveat emptor
- D. Latent defect

Answer: A. The materiality standard requires disclosure of facts that a reasonable person would consider important to a purchase decision, regardless of whether they are hidden or obvious.

Q 6.7 ·v2 When evaluating whether a property condition must be disclosed to a prospective buyer, the key legal question is whether a typical buyer would find the information:

- A. Significant to their decision to buy or price offered ✓**
- B. Fraudulent in nature
- C. Obviously visible on inspection
- D. Protected by the statute of limitations

Answer: A. The materiality test applies significance based on what a reasonable buyer would consider important, not on visibility or legal protection categories.

Q 6.7 ·v3 A seller's agent must disclose information about a property defect if it meets which standard?

- A. The defect affects the structural integrity only
- B. The buyer specifically asks about it first
- C. A reasonable person in the buyer's position would consider it important ✓**
- D. The defect is intentionally concealed

Answer: C. Materiality is the standard applied—whether a reasonable person would find the fact important to their transaction decision—independent of other factors.

Q 6.7 ·v4 In a real estate transaction, information must be disclosed if it would influence a prudent purchaser's decision. This requirement is based on the concept of:

- A. Stigmatized property status
- B. Express warranty
- C. Materiality ✓**
- D. Licensee liability

Answer: C. Materiality is the standard that determines disclosure obligations based on whether a reasonable buyer would regard the information as important to the transaction.

Q 6.7 ·v5 In Hawaii real estate disclosure law, a fact that a prudent buyer would want to know before purchasing is considered:

- A. Material ✓**
- B. Latent
- C. Superficial
- D. Speculative

Answer: A. Material facts are those a reasonable person would consider important in deciding whether to buy or the price to pay; this is the standard test for disclosure obligations.

Q 6.7 ·v6 When determining whether a property defect must be disclosed, the legal standard asks: would an ordinary, prudent buyer regard this as significant? This describes the test of:

- A. Fraudulent concealment
- B. Apparent defect
- C. Caveat emptor
- D. Materiality ✓**

Answer: D. The materiality test is whether a reasonable person would consider the fact important in their purchase decision or financing; it is the benchmark for mandatory disclosure.

Q 6.7 ·v7 A real estate licensee must disclose information about a property defect if a reasonable person in the buyer's position would consider it important to their transaction. This criterion is known as:

- A. The materiality standard ✓**
- B. The puffery exception
- C. The stigmatized property test
- D. The patent defect rule

Answer: A. Materiality is the foundational standard—facts are material if they would influence a reasonable person's decision or affect the property's value or desirability.

Q 6.7 ·v8 A seller's agent learns that the property experiences occasional flooding during heavy rains. When deciding if this must be disclosed, the agent applies the test of whether a typical, reasonable buyer would find this fact significant. This is the:

- A. Innocent misrepresentation threshold
- B. Obvious defect exemption
- C. Fiduciary disclosure duty
- D. Material fact standard ✓**

Answer: D. The material fact standard asks whether a reasonable party would consider the information important in making a buying decision; flooding history clearly meets this threshold.

Q 6.7 ·v9 Under Hawaii real estate disclosure laws, a fact that a reasonable person in the buyer's position would regard as significant in making a purchase decision is classified as:

- A. Caveat emptor
- B. Latent
- C. Immaterial
- D. Material ✓**

Answer: D. Materiality is defined by what a reasonable buyer would consider important or significant to their decision-making; this is the legal standard for determining disclosure obligations in Hawaii.

Q 6.8 A statement made without knowing it is false but that should have been verified is:

- A. Fraudulent misrepresentation
- B. Negligent misrepresentation ✓**
- C. Innocent misrepresentation
- D. Puffing

Answer: B. Negligent = should have known.

Q 6.8 ·v1 A real estate agent describes a property's condition based on information that was not properly researched or verified. The agent made this statement in good faith but failed to exercise reasonable diligence. This represents:

- A. Puffing or sales talk
- B. Negligent misrepresentation ✓**
- C. Fraudulent misrepresentation with intent to deceive
- D. Innocent misrepresentation due to lack of information

Answer: B. Negligent misrepresentation occurs when someone makes a statement they should have verified through reasonable effort, even without intent to deceive. The failure to investigate constitutes negligence.

Q 6.8 ·v2 An agent tells a buyer that a property has never had foundation issues, but the agent did not review the inspection reports or title history. What type of misrepresentation is this?

- A. Fraudulent misrepresentation
- B. Puffing
- C. Negligent misrepresentation ✓**
- D. Innocent misrepresentation

Answer: C. This is negligent misrepresentation because the agent had a duty to verify material facts about the property and failed to do so, even though there was no intentional deception.

Q 6.8 ·v3 When a licensee makes a factual statement about a property without actual knowledge of its truth but with the belief it is true, and the licensee failed to conduct reasonable investigation, this is classified as:

- A. Negligent misrepresentation ✓**
- B. Innocent misrepresentation
- C. Puffing or opinion
- D. Fraudulent misrepresentation with scienter

Answer: A. Negligent misrepresentation is defined by the agent's failure to verify information that they should have investigated, regardless of their subjective belief in the statement's accuracy.

Q 6.8 ·v4 A property manager states that the rental income is consistent without checking the actual lease agreements or payment history. The manager believed the statement was true but did not verify it. This is an example of:

- A. Puffing or exaggeration within industry standards
- B. Fraudulent misrepresentation
- C. Innocent misrepresentation caused by third-party information
- D. Negligent misrepresentation ✓**

Answer: D. Negligent misrepresentation applies when a licensee should have verified material facts through reasonable investigation but failed to do so, creating liability despite lack of intent to defraud.

Q 6.8 ·v5 A real estate licensee states a property fact that turns out to be false. The licensee did not know it was false at the time but failed to conduct a reasonable investigation that would have revealed the truth. This is best classified as:

- A. Negligent misrepresentation ✓**
- B. Puffing or sales talk
- C. Innocent misrepresentation
- D. Fraudulent misrepresentation with intent to deceive

Answer: A. Negligent misrepresentation occurs when a party makes a false statement without knowledge of its falsity but should have known through reasonable investigation or due diligence.

Q 6.8 ·v6 An agent represents that a home's roof was recently replaced, but this claim was never verified. The agent genuinely believed the statement was true when made. Under Hawaii real estate law, this unverified assertion most likely constitutes:

- A. Innocent misrepresentation only
- B. Negligent misrepresentation ✓**
- C. Actionable puffery
- D. Fraudulent misrepresentation

Answer: B. Because the agent made the statement without verifying it despite having the opportunity and obligation to do so, this represents negligent misrepresentation—a failure to exercise reasonable care in confirming facts.

Q 6.8 ·v7 Which type of misrepresentation involves a false statement that the speaker did not know was false but reasonably should have discovered through proper inquiry?

- A. Innocent misrepresentation
- B. Harmless exaggeration
- C. Fraudulent misrepresentation
- D. Negligent misrepresentation ✓**

Answer: D. Negligent misrepresentation is defined by the speaker's failure to exercise reasonable care or verify information before stating it as fact, even without actual knowledge of falsity.

Q 6.8 ·v8 A licensee tells a buyer that the property has not had foundation issues based on a casual conversation with the seller, without ordering an inspection or reviewing public records. The statement proves false. This represents:

- A. Innocent misstatement with no liability
- B. Negligent misrepresentation due to lack of reasonable verification ✓**
- C. Opinion stated as fact that is protected by law
- D. Fraud requiring proof of intentional deception

Answer: B. The licensee failed to verify a material fact through reasonable methods available to them, making this negligent misrepresentation rather than innocent (which requires no duty to investigate) or fraudulent (which requires intent).

Q 6.8 ·v9 An agent makes a statement about property conditions that turns out to be false. The agent did not deliberately lie, but a reasonable person in the real estate profession would have investigated the claim before making it. This constitutes:

- A. Fraudulent misrepresentation with intent to deceive
- B. Innocent misrepresentation without duty to investigate
- C. Negligent misrepresentation due to failure to verify ✓**
- D. Puffery regarding general market conditions

Answer: C. Negligent misrepresentation occurs when a statement is made without actual knowledge of falsity but the agent failed to exercise reasonable care or verification that a professional should have performed.

Q 6.9 The historical "let the buyer beware" doctrine is:

- A. Caveat venditor
- B. Quid pro quo
- C. Caveat emptor ✓**
- D. Statute of frauds

Answer: C. Caveat emptor = buyer beware.

Q 6.9 ·v1 Which Latin maxim embodies the principle that a purchaser assumes the risk of inspecting property and bears responsibility for their own due diligence?

- A. Caveat venditor
- B. Caveat emptor ✓**
- C. Statute of frauds
- D. Res ipsa loquitur

Answer: B. Caveat emptor (buyer beware) places the burden on the purchaser to investigate property condition and assume risk unless otherwise protected by law or contract.

Q 6.9 ·v2 In traditional real estate law, the doctrine requiring buyers to conduct their own inspections and accept property 'as-is' unless expressly warranted is known as:

- A. Caveat emptor ✓**
- B. Caveat venditor
- C. Quid pro quo
- D. Merger doctrine

Answer: A. Caveat emptor (let the buyer beware) is the historical common-law principle that shifts inspection and disclosure responsibility primarily to the buyer.

Q 6.9 ·v3 Which of the following best describes the 'buyer beware' concept in historical real estate transactions?

- A. The broker is liable for any undisclosed property conditions
- B. The buyer assumes the risk of discovering defects through reasonable inspection ✓**
- C. The seller warrants the condition of all structural components
- D. The seller must disclose all known defects to protect the buyer

Answer: B. Caveat emptor places the onus on buyers to investigate and discover defects themselves rather than relying on seller disclosures.

Q 6.9 ·v4 The principle that historically placed the burden of property inspection and risk assumption on the purchaser rather than the seller is termed:

- A. Caveat emptor (buyer beware) ✓**
- B. Accord and satisfaction
- C. Lis pendens
- D. Caveat venditor (seller beware)

Answer: A. Caveat emptor is the Latin maxim meaning 'buyer beware,' reflecting the doctrine that buyers must verify property condition through their own diligence.

Q 6.9 ·v5 Under the traditional real estate principle known as 'buyer beware,' a purchaser is generally responsible for conducting due diligence on a property. What is the Latin term for this doctrine?

- A. Quid pro quo
- B. Caveat venditor
- C. Statute of frauds
- D. Caveat emptor ✓**

Answer: D. Caveat emptor is the Latin phrase meaning 'buyer beware,' placing the onus on the purchaser to inspect and verify property conditions.

Q 6.9 · v6 Which of the following Latin legal principles historically placed the burden of inspection and verification on the purchaser rather than the seller?

- A. Caveat venditor
- B. Statute of frauds
- C. Res ipsa loquitur
- D. Caveat emptor ✓**

Answer: D. Caveat emptor ('buyer beware') is the doctrine that transfers responsibility to the buyer to examine property and assume risk of defects.

Q 6.9 · v7 A real estate instructor explains that under common law, buyers were expected to discover property defects themselves rather than rely on seller disclosures. This principle is known as:

- A. Good faith and fair dealing
- B. Caveat emptor ✓**
- C. Caveat venditor
- D. Estoppel

Answer: B. Caveat emptor means 'let the buyer beware' and historically required purchasers to conduct their own investigation of property conditions.

Q 6.9 · v8 In contrast to modern mandatory seller disclosure laws, the historical 'as-is' approach to real estate transactions was governed by which Latin doctrine?

- A. Quid pro quo
- B. Lis pendens
- C. Caveat emptor ✓**
- D. Caveat venditor

Answer: C. Caveat emptor ('buyer beware') was the historical default principle requiring buyers to assess property conditions without seller obligation to disclose defects.

Q 6.9 · v9 Which Latin maxim reflects the principle that a purchaser assumes responsibility for inspecting property and accepting it in its present condition without reliance on the seller's representations?

- A. Statute of frauds
- B. Caveat emptor ✓**
- C. Quid pro quo
- D. Caveat venditor

Answer: B. Caveat emptor (buyer beware) is the doctrine placing the burden on the buyer to investigate property condition and negotiate protections rather than relying on seller warranties. This principle, though modified by modern disclosure laws, remains foundational to real estate transactions.

Q 6.10 A licensee notices fresh paint over one wall in a basement and water stains nearby. The licensee should:

- A. Investigate or recommend inspection ✓**
- B. Tell only the listing broker
- C. Wait for the buyer to ask
- D. Ignore — buyer's problem

Answer: A. Red flag = duty to inquire or recommend inspection.

Q 6.10 ·v1 During a property showing, a licensee observes peeling paint, a musty odor, and efflorescence on a basement wall. What is the licensee's appropriate course of action?

- A. Report the findings exclusively to the listing agent without discussing with the buyer
- B. Document observations in writing and recommend the buyer obtain a professional inspection ✓**
- C. Mention the condition only if the buyer directly asks about the basement
- D. Assume the seller has already disclosed any moisture issues

Answer: B. A licensee must take reasonable steps to investigate or recommend professional inspection when observable conditions suggest potential problems, fulfilling duty of disclosure.

Q 6.10 ·v2 A licensee showing a property notices a large water-stained ceiling patch covered with new drywall tape and spackle in an upstairs bedroom. The licensee's responsibility is to:

- A. Assume it was cosmetic repair and proceed with the showing
- B. Note the condition and advise the buyer to have a professional inspector evaluate it ✓**
- C. Decline to show the property until the seller explains the damage
- D. Discuss the finding only with other agents during broker meetings

Answer: B. Observable evidence of past or potential moisture/structural issues triggers a licensee's duty to inform the buyer and recommend professional inspection rather than overlook or minimize the observation.

Q 6.10 ·v3 While inspecting a property on behalf of a client, a licensee spots fresh caulking around a basement window frame and visible mold spots on adjacent framing. The licensee should:

- A. Consider the repairs evidence of responsible maintenance and assure the buyer there are no issues
- B. Remain silent unless the buyer specifically requests information about water intrusion
- C. Report concerns to the seller's agent and wait for written clarification before mentioning anything to the buyer
- D. Promptly alert the buyer and suggest engaging a qualified home inspector or structural specialist ✓**

Answer: D. A licensee who observes suspicious or concerning conditions must take affirmative steps to investigate or recommend professional inspection, not wait passively for buyer inquiries.

Q 6.10 ·v4 A licensee notices a basement wall has been freshly painted and there are rust stains on metal shelving stored nearby. When asked by the buyer about the basement condition, the licensee should:

- A. State that the fresh paint indicates the seller has maintained the property well
- B. Suggest the buyer contact the seller directly if they have concerns, as the licensee cannot comment on unpermitted repairs
- C. Explain that cosmetic updates are common and do not warrant further investigation
- D. Acknowledge the observed conditions and recommend a professional home inspection to identify any underlying moisture or structural concerns ✓**

Answer: D. When a licensee observes red flags suggesting possible defects—even during a direct buyer question—the appropriate response is to disclose the observation and recommend professional inspection.

Q 6.10 ·v5 During a showing, a licensee observes discolored drywall and newly applied caulk around a basement window frame. What is the licensee's appropriate action?

- A. Assume the seller has already disclosed any issues and proceed with the showing
- B. Document the observation and actively investigate or suggest a professional inspection ✓**
- C. Allow the buyer to discover and address any concerns independently
- D. Report findings only to the seller's agent for private handling

Answer: B. Visible signs of potential water damage or structural issues trigger a duty to investigate further or recommend professional inspection to protect all parties.

Q 6.10 ·v6 A licensee spots cracked paint and efflorescence (white mineral deposits) on a basement wall. The licensee's best practice is to:

- A. Suggest cosmetic repairs to cover the affected area before closing
- B. Inform only the listing side and let them decide whether to disclose
- C. Stay silent unless the buyer specifically asks about basement conditions
- D. Recommend the buyer obtain a professional inspection or conduct further investigation ✓**

Answer: D. Visible indicators of moisture or foundation issues create an obligation to recommend inspection or further inquiry to fulfill fiduciary duties.

Q 6.10 ·v7 At an open house, you notice recently painted drywall adjacent to dark staining that suggests prior water intrusion. What should you do?

- A. Relay your concerns exclusively to your broker for internal documentation
- B. Encourage prospective buyers to hire an inspector and disclose or investigate the condition ✓**
- C. Request the homeowner's written explanation before mentioning it to any prospective buyer
- D. Consider it a cosmetic issue and focus the showing on other property features

Answer: B. Signs of concealment or water damage—such as fresh paint over stains—obligate the licensee to recommend inspection or conduct due diligence.

Q 6.10 ·v8 While conducting a pre-listing walkthrough, you observe new paint covering what appears to be water-damaged drywall in the basement. Your responsibility is to:

- A. Accept the owner's assurance that repairs were completed and list the property as-is
- B. Identify the red flag and recommend further inspection or investigation before marketing ✓**
- C. Note it privately but only share with the buyer's agent if asked directly
- D. Withhold the observation from any disclosure and let the buyer's inspector find it

Answer: B. Fresh paint over suspicious stains is a red flag requiring investigation or professional inspection to ensure proper disclosure and protect all parties.

Q 6.10 ·v9 During a showing, a salesperson observes peeling paint in a bedroom closet and discovers mold spots on the adjacent wall. What is the licensee's appropriate course of action?

- A. Report the findings exclusively to the listing agent without discussing with the buyer
- B. Assume the seller will disclose this issue on the disclosure form
- C. Document observations and recommend the buyer obtain a professional mold inspection ✓**
- D. Mention the issue only if the buyer directly asks about mold or moisture

Answer: C. A licensee encountering visible defects or red flags must proactively investigate or recommend professional inspection to fulfill the duty of inquiry and care.

Q 6.11 A seller refuses to complete the property condition disclosure form. The licensee should:

- A. Submit the listing without it
- B. Only disclose to buyers who ask
- C. Insist on completion or decline the listing ✓**
- D. Complete it themselves

Answer: C. Most states require completed seller disclosure; refusal often means walking away.

Q 6.11 ·v1 A licensee receives a listing where the owner will not provide a completed property condition disclosure. What should the licensee do?

- A. Market the property as-is and note in the listing remarks that no disclosure was provided
- B. Decline the listing or require the seller to complete the disclosure ✓**
- C. Fill out the disclosure form based on public records and MLS data
- D. Proceed with marketing and let the buyer's inspector find any issues

Answer: B. Hawaii law requires seller disclosures; a licensee cannot proceed with a listing if the seller refuses to complete required disclosure forms. The licensee must either obtain completion or decline the engagement.

Q 6.11 ·v2 When a seller resists providing a property condition disclosure, a real estate agent's appropriate response is to:

- A. Require the disclosure or terminate the listing relationship ✓**
- B. Prepare the disclosure on behalf of the seller to expedite the transaction
- C. List the property contingent on buyer acceptance of unknown conditions
- D. Accept the listing with a clause stating the buyer waives disclosure review

Answer: A. A licensee has a professional and legal duty to ensure required disclosures are completed; accepting a listing without it violates REC regulations and exposes the licensee to liability.

Q 6.11 ·v3 A seller tells their agent, 'I don't want to fill out that condition form—just sell the house.' The licensee should:

- A. Complete the disclosure form themselves based on their own observations
- B. Allow the buyer to waive the disclosure requirement before closing
- C. Honor the seller's preference and submit the listing immediately
- D. Explain that the disclosure is mandatory and either obtain it or withdraw from the listing ✓**

Answer: D. Licensees cannot ignore mandatory seller disclosure requirements, regardless of seller preference. The licensee must insist on compliance or decline the listing.

Q 6.11 ·v4 Which action is improper when a seller adamantly refuses to complete a property condition disclosure?

- A. Proceeding with the listing and allowing disclosure to be withheld ✓**
- B. Consulting with the broker about the seller's obligations before listing
- C. Requesting the seller sign a statement acknowledging the disclosure requirement
- D. Declining to accept the listing and referring the seller to another agent

Answer: A. Moving forward without a completed mandatory disclosure violates Hawaii REC rules and real estate law; the licensee must enforce the requirement or withdraw.

Q 6.11 ·v5 During a listing appointment, the seller states they will not fill out the property condition disclosure required by Hawaii law. What is the licensee's most appropriate response?

- A. Proceed with listing and note that disclosure is pending
- B. Ask the seller to initial a waiver instead of completing the full form
- C. Market the property without disclosure and let the buyer's inspector find issues
- D. Decline the listing or require the seller to complete the disclosure form ✓**

Answer: D. Licensees cannot bypass mandatory seller disclosure requirements; refusing to complete it is grounds to decline representation to protect both parties and comply with law.

Q 6.11 ·v6 A property owner tells their real estate agent that completing a property condition disclosure form is too time-consuming and wants to list without it. The agent should:

- A. Contact the broker to get written permission to skip the disclosure
- B. Obtain a signed statement from the seller acknowledging they refuse to disclose and proceed with listing
- C. Prepare the disclosure based on publicly available information and the seller's verbal statements

D. Require completion of the disclosure or terminate the listing agreement ✓

Answer: D. Licensees must enforce disclosure compliance as a condition of representation; accepting a refusal without consequences violates fiduciary duty and regulatory requirements.

Q 6.11 ·v7 When a seller declines to complete the mandatory property condition disclosure, which action best protects the licensee and client?

- A. Modify the disclosure to include only positive features the seller confirms

B. Refuse to take the listing until the disclosure is properly completed ✓

- C. Allow the sale to proceed contingent on buyer discovery and inspection
- D. Request the seller sign a form acknowledging their refusal and continue marketing

Answer: B. A licensee's professional obligation is to insist on compliance with disclosure laws; proceeding without it exposes the licensee to liability and violates consumer protection standards.

Q 6.11 ·v8 A licensee encounters a seller who explicitly refuses to complete a required property condition disclosure statement. The licensee's proper course of action is to:

- A. Advise the buyer that disclosure is not available and reduce the offer price accordingly
- B. Create a simplified disclosure form that summarizes only the seller's known defects

C. Require the seller to complete the disclosure or decline representation of that listing ✓

- D. File a complaint with the Hawaii Real Estate Commission and then list the property

Answer: C. Licensees must uphold disclosure requirements; if a seller will not comply, the licensee must choose not to represent them rather than circumvent legal obligations.

Q 6.11 ·v9 During listing intake, a seller states they will not complete the property condition disclosure required by Hawaii law. As the listing agent, what is your most appropriate response?

- A. Prepare a summary disclosure based on your own inspection and have the seller initial it
- B. Have the seller sign a waiver exempting them from the disclosure requirement

C. Decline the listing unless the seller agrees to provide the completed disclosure form ✓

- D. Proceed with marketing the property and note in the MLS that disclosure is pending

Answer: C. Hawaii law requires sellers to provide accurate property condition disclosures; a licensee cannot ethically list a property or circumvent this requirement, and must decline the listing if the seller refuses compliance.

Q 6.12 Stigmatized property disclosure rules:

- A. Only apply to murder
- B. Vary by state ✓**
- C. Don't exist
- D. Are uniform federally

Answer: B. State-specific. Some require, some don't.

Q 6.12 ·v1 A real estate agent in Hawaii is asked about disclosure obligations for a property where a suicide occurred five years ago. Which statement best describes the legal framework for such disclosures?

- A. Federal law establishes a uniform national standard for all stigmatizing events
- B. Hawaii law prohibits any disclosure of non-death-related stigmatizing events
- C. Requirements differ depending on which state the property is located in ✓**
- D. Disclosure is only mandatory if the death was violent

Answer: C. Stigmatized property disclosure laws vary significantly by state; there is no uniform federal requirement, and some states mandate disclosure while others do not.

Q 6.12 ·v2 When counseling a seller about a property involved in a highly publicized crime, an agent should understand that:

- A. Only homicides trigger disclosure obligations under real estate law
- B. The Federal Trade Commission sets national standards for all stigma-related disclosures
- C. Each state has its own rules—some require disclosure, others do not ✓**
- D. Disclosure requirements apply uniformly across all U.S. states and territories

Answer: C. Stigmatized property disclosure requirements are state-specific; there is no federal mandate, and states have adopted varying approaches from mandatory disclosure to no requirement.

Q 6.12 ·v3 Which of the following correctly describes the legal status of stigmatized property disclosures in real estate?

- A. State laws govern whether and how stigmatizing information must be disclosed ✓**
- B. A national standard created by the National Association of REALTORS® applies in all states
- C. Federal housing law requires disclosure of all stigmatizing events nationwide
- D. Disclosure is only required when a property is involved in criminal activity

Answer: A. Stigmatized property disclosure is regulated at the state level with no uniform federal requirement; states determine their own disclosure obligations.

Q 6.12 ·v4 A broker is handling a listing for a property with a concerning history. Regarding disclosure obligations for stigmatizing factors, the broker should know:

- A. Disclosure applies only to properties where deaths occurred
- B. HUD establishes binding disclosure rules that apply everywhere
- C. There are no legal disclosure requirements for any stigmatizing information

D. Disclosure requirements are determined individually by each state and vary widely ✓

Answer: D. Stigmatized property disclosure laws vary by state—some require it, some forbid it, and some are silent, creating a patchwork of state-specific rules with no national standard.

Q 6.12 ·v5 When advising a client about disclosure obligations for a property where a suicide occurred, a Hawaii real estate agent should understand that:

- A. Hawaii law prohibits any disclosure of stigmatized property information to buyers

B. Disclosure requirements for stigmatized properties differ from state to state ✓

- C. Only deaths resulting from criminal acts must be disclosed in every state
- D. Federal law mandates identical disclosure requirements nationwide for all stigmatized properties

Answer: B. Stigmatized property disclosure rules vary significantly by state; some states require disclosure while others do not, and the time periods and types of events differ.

Q 6.12 ·v6 A real estate licensee in Hawaii is asked whether a property where a felony occurred must be disclosed to potential buyers. The correct response is:

- A. Stigmatized property disclosures are only required for properties involved in drug manufacturing

B. Disclosure requirements depend on which state the property is located in, as rules are not uniform ✓

- C. Federal regulations override all state laws regarding stigmatized property disclosure
- D. All states have adopted the same stigmatized property disclosure statute

Answer: B. Each state sets its own rules on what events trigger stigmatized property disclosure requirements, meaning requirements are not consistent across jurisdictions.

Q 6.12 ·v7 Which statement accurately describes how Hawaii real estate law handles stigmatized property disclosure?

A. State laws control stigmatized property disclosure requirements; they are not standardized federally ✓

- B. Stigmatized property rules apply equally to all property types and circumstances across the country
- C. The National Association of REALTORS® has established a single nationwide standard that all agents must follow
- D. Only events causing death require disclosure, and this requirement is uniform in all states

Answer: A. Stigmatized property disclosure obligations are determined by individual state law, not by federal mandate or national standards, resulting in significant variations.

Q 6.12 ·v8 When a Hawaii agent encounters a property with a negative history, the agent should recognize that requirements to disclose such stigmatizing information:

- A. Are nonexistent in all jurisdictions as a matter of public policy
- B. Apply exclusively to properties where violent crimes occurred within the past year
- C. Follow a federal template that applies identically in all 50 states
- D. Differ from state to state based on each state's specific statutory framework ✓**

Answer: D. Stigmatized property disclosure laws vary by state; some jurisdictions require disclosure while others do not, and the scope of what must be disclosed differs widely.

Q 6.12 ·v9 A Hawaii real estate licensee is advising a seller about potential disclosure obligations related to a property's negative history. Which statement best describes how stigmatized property laws function?

- A. Each state establishes its own rules regarding what must be disclosed about a property's stigmatized status ✓**
- B. Hawaii has no legal framework addressing disclosure of properties with negative events or reputations
- C. Disclosure is required only when a death occurred on the property within the past year
- D. Federal law provides a single standard that all states must follow for disclosure

Answer: A. Stigmatized property disclosure requirements vary significantly by state; Hawaii and other states each set their own rules about which negative events require disclosure, making this a state-level determination rather than a uniform federal mandate.

07

Contracts

National portion 10 PSI items 39 key concepts 12 base questions

Real estate transactions are governed by contract from offer to closing. Know what makes a contract valid and what voids it.

CHAPTER OVERVIEW

A valid contract requires four essential elements: mutual agreement (offer + acceptance, also called "meeting of the minds"), consideration (something of value exchanged), legal capacity of all parties, and lawful purpose. Real estate contracts must additionally satisfy the Statute of Frauds — they must be in writing and signed by the party to be charged. Verbal agreements to transfer interests in land are generally unenforceable, with narrow exceptions for partial performance.

An offer must be a definite, communicated proposal showing intent to be bound on acceptance. It must include the essential terms: parties, property, price, and any unique conditions. An invitation to make offers (a listing on MLS) is not itself an offer. Acceptance must be unconditional and communicated to the offeror; until then, the offeror can revoke. Conditional acceptance — accepting with changed terms — is a counteroffer that rejects and replaces the original offer.

Listing agreements come in three flavors. Exclusive Right to Sell — broker earns commission no matter who finds the buyer (including the seller themselves). Exclusive Agency — broker earns commission unless the seller personally finds the buyer, in which case the broker earns nothing. Open Listing — broker earns only if their efforts produced the sale; seller can have multiple open listings simultaneously. Net listings (broker keeps everything above a stated price) are discouraged or banned in most states because of the inherent conflict of interest.

Purchase agreements bind buyer and seller. Standard contingencies (escape clauses) include financing (buyer must obtain a loan within X days), inspection (right to inspect and request repairs or terminate), appraisal (property must appraise at or above purchase price), sale of buyer's current home, title (must be marketable), and sometimes attorney review. A contingency must be satisfied or waived by its deadline; otherwise the contract terminates and the deposit is typically returned.

"Time is of the essence" makes contract deadlines strict — a single day late is a breach giving the non-breaching party remedies. Without this language, courts may grant reasonable extensions. Most modern real estate contracts include time-is-of-the-essence language; agents should never assume otherwise.

Breach gives the non-breaching party remedies: specific performance (court orders the actual conveyance — typical for buyers because real estate is considered unique and damages don't fully substitute), monetary damages (lost profits, out-of-pocket costs), liquidated damages (pre-agreed amount, typically the earnest money — common for seller's remedy when buyer breaches), or rescission (cancel + restore parties to original positions). Mitigation duty: the non-breaching party must take reasonable steps to minimize damages.

Modification, assignment, and termination. A bilateral modification requires consideration on both sides. Assignment transfers contract rights (and usually duties) to a third party — generally allowed unless the contract bars it or the duties are personal. Novation substitutes a new party or new contract with all parties' consent, releasing the original obligor. Mutual rescission ends a contract by agreement; unilateral termination usually requires a contractual or legal basis.

Defenses to contract enforcement: lack of capacity (minors, incompetents, intoxication), duress (improper pressure), undue influence (excessive psychological pressure by trusted person), fraud, mistake (mutual or unilateral material mistake), illegality, statute of frauds violation, statute of limitations expired, and impossibility/frustration of purpose. Voidable contracts can be avoided by the harmed party (minor's contract); void contracts have no legal effect from the start (illegal purpose).

KEY CONCEPTS & DEFINITIONS

Statute of Frauds	Real estate contracts must be in writing and signed to be enforceable.
Mutual agreement	Offer + acceptance. "Meeting of the minds" on essential terms.
Offer	Definite proposal communicated with intent to be bound on acceptance.
Acceptance	Unconditional agreement to all material terms. Communication required.
Counteroffer	Conditional acceptance (changed terms). Rejection + new offer. Cancels original.
Consideration	Something of value exchanged. Money, property, services, promises.
Capacity	Legal ability to contract. Minors, incompetents, intoxicated have limited capacity.
Lawful purpose	Object of contract must be legal. Illegal contracts are void.
Bilateral contract	Both parties make promises. Most real estate contracts.
Unilateral contract	One party makes a promise; other accepts by performance (e.g., reward).
Express contract	Terms stated in words (written or oral).
Implied contract	Terms inferred from conduct.
Executory contract	Not yet fully performed.
Executed contract	Fully performed.
Valid contract	Has all elements; enforceable.
Void contract	No legal effect from inception. Illegal purpose, lack of capacity.
Voidable contract	One party can rescind. Minor's contract; contract induced by fraud.
Unenforceable contract	Valid in form but court won't enforce. Statute of frauds violation, statute of limitations.
Exclusive Right to Sell	Broker earns commission regardless of who produces the buyer.
Exclusive Agency	Broker earns unless seller personally finds the buyer.
Open Listing	Broker earns only if their efforts cause the sale. Multiple brokers possible.
Net Listing	Broker keeps amount above seller's stated minimum. Disfavored or illegal.
Multiple Listing Service (MLS)	Cooperative database where listing brokers share listings with cooperating brokers.
Earnest money	Buyer's good-faith deposit, typically held in trust by escrow or broker.
Contingency	Condition that must be met for the contract to proceed. Failure = termination.
Specific performance	Court orders actual conveyance. Common remedy for breach by seller because real estate is unique.
Liquidated damages	Pre-agreed damages amount, usually the earnest money. Avoids fact-finding.

Compensatory damages	Actual losses (lost profits, costs). Available for breach.
Rescission	Termination of contract returning parties to pre-contract position.
Mutual rescission	Both parties agree to cancel.
Novation	Substitution of new party or new contract by all parties' consent. Releases original obligor.
Assignment	Transfer of contract rights to a third party. Generally allowed unless barred.
Time is of the essence	Deadlines strictly enforced. Late performance = breach.
Mitigation	Non-breaching party must take reasonable steps to minimize damages.
Option contract	Right (not obligation) to buy at stated price within stated time. Optionee pays consideration for option.
Right of first refusal	Right to match a bona fide third-party offer before owner accepts it.
Duress	Improper pressure invalidating consent. Voidable.
Undue influence	Excessive psychological pressure by trusted person. Voidable.
Mistake	Material misunderstanding of facts. Mutual mistake → rescission. Unilateral generally not.

QUESTION BANK — CONTRACTS

Q 7.1 A buyer's offer is accepted by the seller's verbal "OK." Is there a contract?

- A. Yes
- B. Yes if earnest money posted
- C. Yes if witnessed
- D. No — Statute of Frauds requires writing ✓**

Answer: D. Real estate contracts must be in writing to be enforceable.

Q 7.1 v1 A seller orally agrees to sell their residential property to a buyer over the phone. The buyer immediately sends a text confirming the conversation. Is this oral agreement enforceable as a valid real estate contract in Hawaii?

- A. Yes, if the text message is saved and printed within 24 hours
- B. Yes, if the buyer has already scheduled a home inspection
- C. Yes, because both parties agreed and there was prompt confirmation
- D. No, because the Statute of Frauds requires a signed written instrument ✓**

Answer: D. Hawaii real estate law, based on the Statute of Frauds, requires all contracts for the sale of land to be evidenced by a written document signed by the party being charged—oral agreements alone are unenforceable.

Q 7.1 ·v2 During a negotiation, a seller verbally tells a real estate agent, 'Yes, I will accept \$450,000 for my home.' The agent relays this to the buyer's agent, who immediately notifies the buyer. At this point, is there a binding and enforceable contract?

- A. Yes, verbal acceptance combined with agent communication creates a binding contract
- B. No—a written, signed agreement is required for any real estate sales contract ✓**
- C. Yes, if both agents co-sign a memorandum of their conversation
- D. Yes, but only if the earnest money deposit has been delivered to escrow

Answer: B. Real estate contracts must be in writing and signed by the seller to satisfy the Statute of Frauds; mere verbal acceptance, even when communicated through agents, does not create an enforceable contract.

Q 7.1 ·v3 A buyer and seller shake hands and verbally agree on all material terms of a residential sale in Honolulu, including price, closing date, and contingencies. No written document is prepared that day. Does this handshake agreement constitute a valid, enforceable real estate contract?

- A. Yes, if the buyer has provided identification and proof of funds
- B. Yes, but only if a neutral third party witnessed the handshake
- C. No—Hawaii law requires a written contract signed by the seller to be enforceable ✓**
- D. Yes, if both parties genuinely intended to be bound by their spoken words

Answer: C. Even when parties intend to be bound and have agreed on all material terms, a real estate contract is not enforceable without a written instrument complying with the Statute of Frauds.

Q 7.1 ·v4 A property seller emails a buyer saying 'I accept your offer at the stated price and terms.' However, neither the email nor any other document has been signed by the seller. Is this acceptance sufficient to create an enforceable real estate contract?

- A. Yes, if the buyer immediately deposits earnest money upon receiving the email
- B. No, because the Statute of Frauds requires a signed written agreement for real estate sales ✓**
- C. Yes, email communication satisfies the Statute of Frauds requirement
- D. Yes, if the email is printed out and notarized within 10 days

Answer: B. Although an email may constitute writing, it must be signed by the party to be charged to satisfy the Statute of Frauds; an unsigned electronic acceptance alone cannot create an enforceable real estate contract.

Q 7.1 ·v5 A seller orally agrees to sell residential property to a buyer over the phone. Both parties shake hands later and agree to proceed. Is this arrangement enforceable as a real estate contract in Hawaii?

- A. No, because Hawaii law requires real estate contracts to be documented in writing ✓**
- B. Yes, if the buyer immediately deposits earnest money into escrow
- C. Yes, because both parties agreed and shook hands
- D. Yes, if a third party witnessed the oral agreement

Answer: A. The Statute of Frauds mandates that contracts for the sale of real property must be in writing to be enforceable, regardless of witness or earnest money.

Q 7.1 ·v6 During a property showing, a seller verbally tells a prospective buyer, "I accept your offer." The buyer leaves satisfied that a binding agreement exists. What is the legal status of this transaction?

- A. Unenforceable because the agreement lacks written documentation ✓**
- B. Binding only if the buyer provides proof of earnest money deposit
- C. Enforceable if both parties later acknowledge it in front of witnesses
- D. Binding and fully enforceable as a valid contract

Answer: A. Without a written instrument, no enforceable real estate contract exists under the Statute of Frauds, even if both parties intended to be bound.

Q 7.1 ·v7 Two parties negotiate the sale of a lot in Hawaii. The seller sends an email saying "I accept your terms," but no formal purchase agreement document is ever signed by either party. Do the parties have an enforceable contract?

- A. Yes, if earnest money has been exchanged between the parties
- B. Yes, the email constitutes written acceptance
- C. No, a formal written purchase agreement signed by the party to be charged is required ✓**
- D. Yes, provided both parties have proof of the negotiation discussions

Answer: C. While an email may satisfy the writing requirement in some jurisdictions, a formalized purchase agreement typically signed by the party to be charged is required to create an enforceable real estate contract.

Q 7.1 · v8 A buyer makes an offer for a condominium and the seller responds with a verbal counteroffer at a social gathering, saying "I'll sell for that price." The buyer agrees verbally on the spot. Which statement accurately reflects the legal enforceability of this transaction?

- A. It is enforceable if the parties later confirm the terms via telephone conversation with a witness
- B. It is enforceable if the buyer can produce written notes documenting the conversation
- C. It is fully enforceable because both parties made mutual assent and consideration was present
- D. It is not enforceable; Hawaii's Statute of Frauds requires real estate sales contracts to be in writing ✓**

Answer: D. Oral agreements for the sale of real estate cannot be enforced, no matter how clear the mutual intent, because the Statute of Frauds requires a written contract.

Q 7.1 · v9 A seller orally agrees to sell residential property to a buyer over the phone. Both parties clearly understand the terms and price. Is this oral agreement enforceable as a real estate contract in Hawaii?

- A. Yes, if the buyer deposits earnest money within 24 hours
- B. No, because Hawaii law requires all real estate sales contracts to be evidenced by a signed written document ✓**
- C. Yes, if a real estate licensee was present during the conversation
- D. Yes, if both parties are competent and agree on material terms

Answer: B. The Statute of Frauds mandates that real estate contracts must be in writing and signed to be legally enforceable, regardless of oral agreement or witness presence.

Q 7.2 In an exclusive-agency listing, the seller pays the broker:

- A. Only if seller produces buyer
- B. Always
- C. Unless seller produces the buyer ✓**
- D. Never

Answer: C. Exclusive agency = broker earns UNLESS the seller themselves found the buyer.

Q 7.2 · v1 Under an exclusive-agency agreement, when does the listing broker NOT earn a commission?

- A. When the sale closes after the listing expires
- B. When the seller independently locates and produces the buyer ✓**
- C. When the property sells through any source
- D. When another broker brings an offer

Answer: B. Exclusive agency allows the seller to avoid paying commission only if the seller themselves finds the buyer; the broker earns in all other situations.

Q 7.2 ·v2 A property is listed under an exclusive-agency agreement. The seller's neighbor expresses interest and purchases the home directly from the seller without broker involvement. Who owes commission?

- A. Neither party owes commission since the seller produced the buyer ✓**
- B. The seller owes commission because any sale requires payment
- C. The listing broker owes commission to the MLS
- D. The buyer owes commission to the listing broker

Answer: A. In exclusive agency, the seller's right to sell without paying commission applies specifically when the seller personally finds and produces the buyer, which is the case here.

Q 7.2 ·v3 An exclusive-agency listing broker will receive compensation in all scenarios EXCEPT when:

- A. A cooperating broker brings an offer that closes
- B. The sale occurs after marketing by the broker
- C. The property sells within the listing period
- D. The seller themselves source the buyer ✓**

Answer: D. Exclusive agency creates one exception to the broker's automatic commission right: when the seller, not the broker, is responsible for finding the buyer.

Q 7.2 ·v4 Which situation would result in NO commission owed to the listing broker under an exclusive-agency listing agreement?

- A. Another brokerage introduces the successful buyer
- B. The seller personally negotiates with an interested party and completes the sale ✓**
- C. The property sells through the local MLS database
- D. The seller contacts a prospect from the broker's advertising and that person buys

Answer: B. Exclusive agency permits the seller to circumvent the commission obligation only when the seller is the source of the buyer; broker involvement from any other source triggers the commission obligation.

Q 7.2 ·v5 When a seller signs an exclusive-agency listing agreement, the broker's compensation is NOT earned if:

- A. Another broker brings a qualified offer
- B. The sale closes within 60 days of listing
- C. The seller locates and procures the buyer themselves ✓**
- D. The property remains on the market for more than 30 days

Answer: C. Under exclusive agency, the broker foregoes commission only when the seller, not the broker or another agent, finds the buyer; in all other scenarios, the broker is entitled to compensation.

Q 7.2 ·v6 Which statement correctly describes the broker's right to commission under an exclusive-agency listing?

- A. The broker is paid a commission regardless of who brings the buyer
- B. The broker is only paid if they are the sole source of the buyer
- C. The broker earns commission except when the seller personally produces the buyer ✓**
- D. The broker forfeits all compensation if the property sells within the listing period

Answer: C. Exclusive agency protects the seller's right to avoid paying commission if they independently find their own buyer, but the broker receives commission in all other buyer-source scenarios.

Q 7.2 ·v7 A seller enters into an exclusive-agency listing with Broker Chen. Broker Chen should expect to receive compensation:

- A. Whenever a sale closes, with no exceptions
- B. Unless the seller personally identifies and brings the buyer to closing ✓**
- C. When any licensed agent procures an offer, even if the seller found them first
- D. Only if Broker Chen's agents show the property to the eventual buyer

Answer: B. The defining feature of exclusive agency is that the broker retains the right to commission in most scenarios, except when the seller themselves (not any agent or third party) produces the buyer.

Q 7.2 ·v8 Under an exclusive-agency listing arrangement, the broker's entitlement to commission is contingent on which factor?

- A. Whether someone other than the seller was the procuring cause of the buyer ✓**
- B. Whether the transaction includes both a buyer's and seller's agent
- C. Whether the listing period extends beyond 90 days
- D. Whether the property appraises at or above the listing price

Answer: A. Exclusive agency allows the broker to earn commission from any buyer source except the seller themselves; if the seller is the procuring cause, no commission is due.

Q 7.2 ·v9 Under an exclusive-agency listing agreement, when is the broker NOT entitled to a commission?

- A. When another broker brings the buyer
- B. When the listing period expires without a sale
- C. When the seller procures the buyer without broker assistance ✓**
- D. When the property is sold through the MLS

Answer: C. In exclusive agency, the broker earns commission on all sales except those directly procured by the seller themselves; this is the defining exception to the broker's commission guarantee.

Q 7.3 A counteroffer:

- A. Voids the listing
- B. Must be accepted
- C. Cancels the original offer ✓**
- D. Locks in the original price

Answer: C. A counteroffer rejects + replaces the original offer.

Q 7.3 ·v1 When a seller presents a counteroffer to a buyer's initial proposal, what happens to the original offer?

- A. It is terminated and replaced by the counteroffer ✓**
- B. It is suspended until the counteroffer expires
- C. It becomes a backup offer with reduced terms
- D. It remains valid and the buyer may accept either offer

Answer: A. A counteroffer constitutes a rejection of the original offer and substitutes new terms in its place; the original offer no longer exists.

Q 7.3 ·v2 Under Hawaii real estate law, if a seller rejects a buyer's offer and submits modified contract terms instead, the buyer's original offer is:

- A. Enforceable as a secondary contingency
- B. Extinguished and superseded by the counteroffer ✓**
- C. Held in escrow pending the counteroffer outcome
- D. Still binding on both parties unless formally withdrawn

Answer: B. The act of countering an offer constitutes a rejection of the original terms, eliminating that offer and creating a new negotiation point.

Q 7.3 ·v3 A buyer submits an offer on a property. The seller responds with a counteroffer containing different price and closing date. What is the status of the buyer's initial offer?

- A. Automatically dead upon the seller's counteroffer ✓**
- B. Enforceable if the counteroffer is rejected within 48 hours
- C. Converted to a contingent backup agreement
- D. Active until expressly revoked in writing by the buyer

Answer: A. By presenting a counteroffer, the seller has rejected the original offer, which ceases to exist as a binding or enforceable agreement.

Q 7.3 ·v4 In a real estate transaction, a counteroffer differs from a rejection in that a counteroffer:

- A. Proposes alternative terms while eliminating the previous offer ✓**
- B. Preserves the buyer's earnest money deposit from the initial offer
- C. Requires the listing agent's approval before the original offer expires
- D. Allows the original offer to remain open for acceptance

Answer: A. A counteroffer rejects the original proposal and simultaneously introduces new contract terms; the original offer is extinguished in this process.

Q 7.3 ·v5 When a seller presents a counteroffer to a buyer's initial offer, what happens to the original offer?

- A. It is held in escrow pending the seller's decision
- B. It is terminated and replaced by the counteroffer ✓**
- C. It becomes a contingent offer
- D. It remains valid until the counteroffer is rejected

Answer: B. A counteroffer legally rejects and supersedes the original offer; the two cannot coexist simultaneously.

Q 7.3 ·v6 An offeree who responds with different terms than those proposed in the original offer has:

- A. Made a counteroffer that extinguishes the original offer ✓**
- B. Preserved both offers for later comparison
- C. Accepted the original offer conditionally
- D. Requested mediation under Hawaii's real estate law

Answer: A. Presenting modified terms constitutes a counteroffer, which automatically rejects and replaces the prior offer.

Q 7.3 ·v7 If a buyer submits an offer at \$500,000 and the seller responds with different price terms, the seller's response:

- A. Cancels the original offer and creates a new negotiating point ✓**
- B. Keeps both offers active simultaneously
- C. Requires the buyer to pay the difference immediately
- D. Extends the inspection period by law

Answer: A. The seller's response with different terms is a counteroffer that terminates the buyer's original offer.

Q 7.3 ·v8 Under Hawaii real estate practice, when a seller issues a counteroffer with modified conditions, the buyer's original offer:

- A. Automatically converts to a backup offer
- B. Is no longer available for acceptance ✓**
- C. Gains legal priority over the counteroffer
- D. Must be notarized before the counteroffer takes effect

Answer: B. A counteroffer rejection destroys the original offer, so the buyer can no longer accept it—they must respond to the counteroffer instead.

Q 7.3 ·v9 When a seller presents a counteroffer to a buyer's initial offer, what is the legal effect on the original offer?

- A. It becomes a binding backup offer if the counteroffer is declined
- B. It continues in effect alongside the counteroffer until closing
- C. It is terminated and replaced by the new counteroffer terms ✓**
- D. It remains valid until the counteroffer is formally rejected in writing

Answer: C. A counteroffer constitutes a rejection of the original offer and replaces it with new terms; the original offer ceases to exist once the counteroffer is made.

Q 7.4 Specific performance is most often sought by:

- A. Listing brokers
- B. Lenders
- C. Buyers ✓**
- D. Insurers

Answer: C. Buyers can compel conveyance because real estate is unique.

Q 7.4 ·v1 When a seller refuses to close on a purchase agreement for residential property, which party is most likely to file a lawsuit seeking specific performance?

- A. The listing agent's broker
- B. The title insurance company
- C. The purchaser ✓**
- D. The mortgagee holding a construction loan

Answer: C. Buyers seek specific performance because real estate is considered unique property that cannot be adequately replaced by monetary damages alone.

Q 7.4 ·v2 In a real estate dispute, a court is most likely to award specific performance to satisfy the claims of:

- A. A buyer seeking to compel the owner to convey the property ✓**
- B. A real estate agent claiming lost commission
- C. An escrow officer demanding fee payment
- D. A lender attempting to recover loss reserves

Answer: A. Specific performance compels conveyance because each parcel of land is unique and irreplaceable, making it the appropriate remedy for a buyer's breach claim.

Q 7.4 ·v3 Which party in a real estate transaction typically pursues specific performance as their remedy for breach of a sales contract?

- A. Property managers
- B. The buyer ✓**
- C. Insurance underwriters
- D. Closing attorneys representing the title company

Answer: B. Buyers pursue specific performance because land and buildings are unique assets where no two properties are identical, making monetary damages insufficient.

Q 7.4 ·v4 Specific performance as a remedy in Hawaii real estate law is most commonly invoked by:

- A. Buyers compelling sellers to complete the sale ✓**
- B. Homeowners associations enforcing CC&Rs
- C. Brokers seeking to enforce listing agreement terms
- D. Appraisers challenging valuation disputes

Answer: A. Buyers invoke specific performance because real property's unique nature means a breach cannot be remedied by damages; only actual conveyance satisfies the buyer's interest.

Q 7.4 ·v5 When a seller refuses to close and transfer title, which party has the strongest legal basis to request specific performance in Hawaii court?

- A. The purchaser under the sales contract ✓**
- B. The title insurance company
- C. The listing agent's employing broker
- D. The mortgage lender holding the promissory note

Answer: A. A buyer can pursue specific performance because real property is considered unique and cannot be adequately replaced with monetary damages alone.

Q 7.4 ·v6 In a real estate dispute where the seller breaches the purchase agreement, specific performance is typically the remedy of choice for:

- A. Lenders seeking foreclosure authority
- B. Brokers seeking compensation for lost commissions
- C. Buyers seeking to force conveyance of the property ✓**
- D. Sellers seeking to recover earnest money deposits

Answer: C. Buyers invoke specific performance because each parcel of real estate is unique; money damages cannot replicate the specific property the buyer contracted to purchase.

Q 7.4 ·v7 Which party to a real estate transaction would most likely ask a court to compel the other party to perform the actual deed transfer rather than accept monetary compensation?

- A. A hazard insurance provider
- B. A bank financing the property purchase
- C. A prospective owner who signed a binding purchase agreement ✓**
- D. A managing broker seeking commission enforcement

Answer: C. The buyer has the strongest claim for specific performance because real estate's unique nature makes it impossible to substitute with damages; the buyer wants the actual property conveyed.

Q 7.4 ·v8 Specific performance as a contractual remedy in Hawaii real estate law is pursued most commonly by:

- A. Real estate brokers collecting earned commissions
- B. Escrow agents protecting earnest money
- C. Sellers defending against breach claims
- D. Purchasers seeking to enforce a binding sales agreement ✓**

Answer: D. Purchasers use specific performance to force the actual conveyance of the real property because land is inherently unique and its loss cannot be compensated adequately through money damages.

Q 7.4 ·v9 When a seller refuses to close on a valid purchase agreement, which party is most likely to pursue specific performance in court?

- A. The real estate appraiser
- B. The escrow agent
- C. The purchaser ✓**
- D. The title insurance company

Answer: C. Purchasers seek specific performance to force the seller to convey the property because real estate is considered unique and irreplaceable, making monetary damages an inadequate remedy.

Q 7.5 Time is of the essence means:

- A. Closing must be within 30 days
- B. The seller controls timing
- C. Deadlines are strictly enforced ✓**
- D. Negotiations should be fast

Answer: C. Strict performance is required by the deadline.

Q 7.5 ·v1 In a Hawaii real estate contract, when a clause states 'time is of the essence,' what legal consequence does this create?

- A. Both parties are encouraged to complete the transaction quickly but have flexibility
- B. Failure to perform by the specified date constitutes a material breach ✓**
- C. The listing agent has authority to adjust closing deadlines as needed
- D. The buyer may extend the closing date once without penalty

Answer: B. When time is of the essence, the deadline becomes a critical contractual term, and missing it is a material breach rather than a minor delay. This creates strict enforceability of the stated completion date.

Q 7.5 ·v2 A buyer and seller execute a purchase contract that includes the phrase 'time is of the essence.' What does this language require?

- A. Prompt negotiation of repairs and credits between inspection and closing
- B. Strict adherence to all dates and deadlines specified in the agreement ✓**
- C. The transaction must close by the end of the calendar month
- D. All parties must communicate within 24 hours of any contract change

Answer: B. This language makes performance on or before the specified deadline a binding obligation; failure to meet deadlines becomes grounds for default rather than acceptable delay.

Q 7.5 ·v3 Which statement best describes the legal effect of including 'time is of the essence' in a real estate purchase agreement?

- A. It requires the transaction to occur within a mutually agreed-upon general timeframe
- B. It permits either party to walk away without penalty if deadlines slip by a few days
- C. It allows the seller to unilaterally extend closing if repairs are incomplete
- D. It makes timely performance a condition that must be satisfied to avoid breach ✓**

Answer: D. This clause transforms deadlines from guidelines into strict contractual conditions; failure to perform by the deadline constitutes a material breach of contract.

Q 7.5 ·v4 A Hawaii real estate contract states 'time is of the essence.' A buyer misses the earnest money deposit deadline by three business days. What is the likely outcome?

- A. The parties should negotiate a reasonable extension without legal consequences
- B. The seller must accept the late deposit as long as it arrives within one week
- C. The buyer's failure to meet the deadline is a material breach of contract ✓**
- D. The earnest money deadline is waived if the buyer communicates intent to close

Answer: C. With 'time is of the essence' language, even relatively minor delays in meeting specified deadlines constitute material breaches because the contract has established that timely performance is essential.

Q 7.5 ·v5 In a real estate contract, when a clause states 'time is of the essence,' what legal obligation does this create?

- A. Performance must occur by the specified date or the contract may be breached ✓**
- B. Either party can request a 15-day extension without cause
- C. The buyer may delay closing without penalty if market conditions change
- D. The transaction timeline becomes a suggestion rather than a requirement

Answer: A. This clause makes the deadline a material term of the contract; failure to perform by the stated date constitutes a breach.

Q 7.5 ·v6 A seller's agent includes 'time is of the essence' in the purchase agreement. What does this language primarily accomplish?

- A. It establishes that failure to close by the deadline is a material breach ✓**
- B. It allows the escrow company to set closing dates unilaterally
- C. It prevents either party from requesting inspection contingencies
- D. It encourages buyers to make quick offers during negotiation

Answer: A. The phrase makes timeliness a critical contract obligation; parties cannot disregard deadlines without risking breach of contract.

Q 7.5 ·v7 Which statement best explains the legal effect of including 'time is of the essence' in a Hawaii real estate purchase contract?

- A. Negotiations must conclude within a specific timeframe set by the MLS
- B. The real estate commission may issue a fine if closing is delayed
- C. Strict compliance with stated deadlines becomes a contractual obligation ✓**
- D. The closing agent must schedule settlement within 20 business days

Answer: C. This clause converts the closing date and other time-sensitive terms into mandatory contract requirements rather than flexible guidelines.

Q 7.5 · v8 A buyer's attorney advises that 'time is of the essence' language in the offer should be carefully negotiated. Why is this contract language significant?

- A. It reduces the number of days allowed for title search and review
- B. It makes the deadline a material term, and missing it can trigger contract default ✓**
- C. It grants the seller authority to proceed with other offers if closing is one day late
- D. It automatically waives the buyer's right to conduct inspections

Answer: B. Including this clause means the parties have explicitly agreed that deadlines are binding; breach of the deadline may justify rescission or damages.

Q 7.5 · v9 When a real estate contract includes the clause 'time is of the essence,' what legal obligation does this create for the parties?

- A. The buyer may request a reasonable extension without penalty
- B. The listing agent has authority to extend closing by up to 10 business days
- C. Both parties are encouraged to complete the transaction promptly but flexibility is allowed
- D. Performance must occur by the specified date or the contract may be breached ✓**

Answer: D. This clause makes the deadline a material condition of the contract; failure to perform by the stated date constitutes a breach, with no automatic right to extension.

Q 7.6 Net listings are:

- A. Most common for new construction
- B. Disfavored or prohibited in most states ✓**
- C. Encouraged by NAR
- D. Required by law

Answer: B. Net listings create conflict-of-interest risk.

Q 7.6 · v1 A net listing arrangement, where the seller retains all proceeds above a set price and the broker keeps the difference, is generally regarded by most state regulators as:

- A. Problematic due to inherent conflicts of interest ✓**
- B. The preferred method for commercial properties
- C. An arrangement explicitly recommended by the National Association of REALTORS®
- D. A standard practice compliant with fiduciary duties

Answer: A. Net listings create a conflict of interest because the broker's compensation increases if the sale price rises, incentivizing the broker to prioritize personal profit over the client's best interest; most states restrict or prohibit them.

Q 7.6 ·v2 Which statement accurately reflects how net listings are treated under real estate law and professional standards?

- A. They are widely prohibited or disfavored due to conflict-of-interest concerns ✓**
- B. They are required by the Hawaii Real Estate Commission before listing any property
- C. They are the most efficient pricing method for luxury homes
- D. They are mandated in all residential transactions

Answer: A. Net listings inherently create a perverse incentive structure where the agent benefits more from higher sale prices, undermining the agent's fiduciary obligation to the seller; most states and professional organizations discourage or ban them.

Q 7.6 ·v3 In a net listing, the broker's commission is determined by the amount above a predetermined net price the seller will receive. What is the primary regulatory concern with this arrangement?

- A. It reduces transparency and increases broker liability for disclosure violations
- B. It establishes a financial incentive that conflicts with undivided loyalty to the client ✓**
- C. It creates an undisclosed dual agency situation
- D. It violates the Equal Credit Opportunity Act

Answer: B. Net listings create a problematic incentive where the broker's profit grows with the sale price, creating a conflict of interest that undermines the broker's duty to represent the client's interests; this structural flaw is why they are disfavored or prohibited in most jurisdictions.

Q 7.6 ·v4 A broker proposes a net listing structure to a prospective seller, claiming it will maximize the seller's proceeds. From a regulatory and ethical standpoint, how are net listings typically addressed?

- A. They are permitted without limitation as long as both parties consent in writing
- B. They are restricted or prohibited in most states due to inherent conflict-of-interest problems ✓**
- C. They are actively promoted by state real estate commissions as consumer-friendly
- D. They are the standard arrangement for properties listed under \$500,000

Answer: B. Net listings are disfavored or prohibited because the broker's compensation incentive misaligns with fiduciary duty—the agent profits more by negotiating a higher price, creating a conflict that many jurisdictions restrict to protect consumers.

Q 7.6 · v5 In Hawaii and most U.S. states, a net listing arrangement is generally:

- A. Subject to strict regulation or outright prohibition due to ethical concerns ✓**
- B. Mandated by the Hawaii Real Estate Commission for all residential transactions
- C. The preferred method for commercial property sales
- D. Recommended by the National Association of REALTORS® as a best practice

Answer: A. Net listings are disfavored or prohibited in most states because they create inherent conflicts of interest between the agent's personal profit motive and the seller's interest in maximizing net proceeds.

Q 7.6 · v6 Why would a Hawaii real estate licensee face regulatory scrutiny when entering into a net listing with a seller?

- A. The arrangement creates a significant risk of agent self-dealing and undisclosed conflicts of interest ✓**
- B. Net listings reduce transaction costs and are considered industry standard practice
- C. Federal law mandates that all listings must include a net price floor
- D. Net listings are explicitly required by Hawaii statute for all residential properties

Answer: A. Net listings inherently incentivize the agent to keep any amount above the net price for themselves, rather than seeking the best possible price for the seller, creating a problematic conflict of interest.

Q 7.6 · v7 Which statement accurately reflects the regulatory position on net listings in most states?

- A. They are generally discouraged or prohibited because the listing agent's personal profit motive may override the seller's interests ✓**
- B. They are most frequently used in new construction and commercial development markets
- C. They are encouraged by real estate commissions as a way to align broker and seller incentives
- D. They are required by law whenever a seller requests a guaranteed sale price

Answer: A. Most states restrict or prohibit net listings due to the inherent conflict of interest: the agent benefits by keeping the difference between the sale price and the net price, rather than advocating for the highest possible price for the seller.

Q 7.6 · v8 A seller asks a Hawaii licensee: 'Can we set up a net listing where you get to keep anything above \$500,000?' The licensee should understand that this arrangement is:

- A. Compliant with NAR Code of Ethics requirements
- B. Problematic due to the conflict of interest it creates between the agent's compensation and the seller's best interest ✓**
- C. A common structure for listing agreements in residential real estate
- D. Permissible under Hawaii law and standard industry practice

Answer: B. Net listings create an unacceptable conflict of interest because the agent profits directly from keeping the spread above the net price, rather than being motivated to achieve the highest possible sale price for the seller.

Q 7.6 ·v9 In Hawaii and most U.S. states, a net listing arrangement is generally viewed with caution or restricted because:

- A. It is mandated by the Hawaii Real Estate Commission for all exclusive listings
- B. It is the fastest way to sell residential properties in competitive markets
- C. It creates an inherent conflict of interest between broker compensation and seller's best interest ✓**
- D. It guarantees the seller receives a minimum net amount regardless of sale price

Answer: C. Net listings are problematic because the broker's commission increases with the sale price above the net, incentivizing the broker to prioritize their own gain over maximizing the seller's proceeds, creating an ethical conflict.

Q 7.7 A contract signed under improper pressure is:

- A. Voidable ✓**
- B. Unenforceable
- C. Void
- D. Executed

Answer: A. Duress makes a contract voidable at the harmed party's election.

Q 7.7 ·v1 If a seller coerces a buyer into signing a purchase agreement through threats, what is the legal status of that agreement?

- A. It remains fully enforceable despite the coercion
- B. It is automatically void from the moment of signing
- C. It is voidable at the discretion of the coerced party ✓**
- D. It becomes executed upon the buyer's acceptance of duress

Answer: C. Duress renders a contract voidable, meaning the injured party may choose to either enforce or reject it; the contract is not void ab initio but gives the harmed party an election.

Q 7.7 ·v2 A broker obtains a listing agreement from an elderly owner after threatening to file a complaint with the REC if they don't sign. What is the contract status?

- A. Voidable ✓**
- B. Void
- C. Rescinded
- D. Executed

Answer: A. A contract induced by coercion or improper pressure is voidable at the option of the wronged party, giving them the power to affirm or disaffirm.

Q 7.7 ·v3 Which term best describes a real estate contract that was signed after one party applied unlawful pressure to the other?

- A. Unilaterally executed
- B. Void ab initio
- C. Voidable at the election of the coerced party ✓**
- D. Ratified

Answer: C. Improper pressure or duress makes a contract voidable rather than void, allowing the harmed party to choose whether to enforce or reject it.

Q 7.7 ·v4 A property manager signs a property management agreement under threat of eviction. The contract is:

- A. Voidable by the threatened party ✓**
- B. Fully binding and enforceable
- C. Ratified by operation of law
- D. Automatically void

Answer: A. Duress makes a contract voidable, meaning the coerced party has the right to affirm or disaffirm it; it is not automatically void but rather subject to the victim's election.

Q 7.7 ·v5 When a real estate agent coerces a seller into signing a listing agreement through threats, the contract is most accurately described as:

- A. Void ab initio
- B. Fully executed and binding
- C. Rescindable only with court approval
- D. Voidable ✓**

Answer: D. Duress renders a contract voidable, meaning the injured party may elect to affirm or disaffirm it, but the contract is not automatically void.

Q 7.7 ·v6 A buyer who signs a purchase agreement after being threatened with legal action if she does not comply has entered into a contract that is:

- A. Automatically rescinded
- B. Void and unenforceable against either party
- C. Voidable at the buyer's election ✓**
- D. Valid but subject to rescission by the seller

Answer: C. A contract procured through duress is voidable—the threatened party has the right to void it, but only that party may exercise this option.

Q 7.7 · v7 Which statement best describes a contract executed under undue influence or coercion?

- A. It is void from its inception and never creates binding obligations
- B. It is suspended until a court determines the extent of the pressure applied
- C. It is unenforceable unless both parties later ratify it in writing
- D. It is voidable, and the injured party may choose to enforce or disaffirm it ✓**

Answer: D. Duress makes a contract voidable—the harmed party has the unilateral right to void it, though the contract is not inherently void.

Q 7.7 · v8 A lessor pressures a tenant to sign an extension by threatening eviction based on a false claim of lease violation. The resulting extension agreement is:

- A. Valid and enforceable unless the tenant files a complaint with the REC
- B. Voidable at the tenant's discretion ✓**
- C. Enforceable against the tenant but not the lessor
- D. Null and void from the moment of signing

Answer: B. Contracts procured through duress or improper pressure are voidable, meaning the injured party may disaffirm them, but they are not void ab initio.

Q 7.7 · v9 A buyer executes a real estate purchase agreement after the seller threatens legal action if the buyer does not sign immediately. What is the legal status of this agreement?

- A. It is enforceable because both parties signed the document
- B. It is unenforceable only if the buyer can prove emotional distress
- C. It is void from inception and cannot be ratified by either party
- D. It is voidable by the injured party at their discretion ✓**

Answer: D. Duress through threats renders a contract voidable, meaning the coerced party may choose to void it or enforce it; the contract is not automatically void.

Q 7.8 Substitution of a new party with all parties' consent is:

- A. Novation ✓**
- B. Rescission
- C. Reformation
- D. Assignment

Answer: A. Novation releases the original obligor and substitutes a new one.

Q 7.8 ·v1 When a real estate contract is modified to replace the original buyer with a qualified third party and all parties agree to the change, this legal process is known as:

- A. Novation** ✓
- B. Estoppel
- C. Reformation
- D. Delegation

Answer: A. Novation is the substitution of a new obligor with the consent of all parties, effectively releasing the original obligor from liability.

Q 7.8 ·v2 In a lease transaction, if the landlord, original tenant, and new tenant all consent to replace the original tenant with the new tenant, the substitution is accomplished through:

- A. Novation** ✓
- B. Assignment with reservation of liability
- C. Discharge by performance
- D. Offset

Answer: A. Novation creates a new contract with a substitute obligor and releases the original obligor; it requires the express consent of all parties involved.

Q 7.8 ·v3 A seller's agent negotiates a deal where an original buyer backs out and is replaced by another buyer with the seller's approval. The seller also agrees to release the first buyer from any obligations. This substitution is:

- A. Accord and satisfaction
- B. Novation** ✓
- C. Waiver
- D. Assumption

Answer: B. Novation involves replacing one obligated party with another and obtaining mutual consent from all parties to release the original party from further obligations.

Q 7.8 ·v4 Which contract modification technique specifically requires consent from all parties and extinguishes the original party's liability by substituting a new obligor?

- A. Assignment
- B. Subrogation
- C. Novation** ✓
- D. Waiver

Answer: C. Novation is the only modification method that completely releases the original obligor while substituting a new one, and it demands express agreement from all involved parties.

Q 7.8 · v5 When a contract requires all parties to agree to replace one obligor with another party, the legal process is called:

- A. Novation** ✓
- B. Delegation
- C. Rescission
- D. Reformation

Answer: A. Novation is the mutual agreement by all parties to substitute a new obligor for the original one, discharging the original party's liability.

Q 7.8 · v6 A seller, buyer, and lender all consent to replace the original buyer with a new buyer in a real estate transaction. This mutual substitution is known as:

- A. Modification
- B. Assumption of liability
- C. Novation** ✓
- D. Assignment of contract

Answer: C. Novation requires consent from all parties and creates a new contract with the substituted party, releasing the original obligor entirely.

Q 7.8 · v7 Which contractual remedy involves the complete substitution of one party for another with full consent of all remaining parties?

- A. Assignment
- B. Rescission
- C. Novation** ✓
- D. Estoppel

Answer: C. Novation discharges the original party and creates a new obligation with the substitute party, requiring unanimous consent from all parties to the contract.

Q 7.8 · v8 If a real estate contract party wants to be completely released from all obligations by having another party take their place with everyone's approval, this is accomplished through:

- A. Subordination
- B. Novation** ✓
- C. Contract interpretation
- D. Transfer of title

Answer: B. Novation is the only mechanism that allows a party to be fully released from contractual obligations while a new party assumes them, provided all parties consent.

Q 7.8 ·v9 When all parties agree to replace an original contracting party with a completely new party, thereby releasing the original obligor from liability, this legal process is known as:

- A. Rescission and restatement
- B. Reformation of the contract terms
- C. Novation ✓**
- D. Assignment of contractual rights

Answer: C. Novation is the substitution of a new obligor with consent of all parties, which extinguishes the original party's obligations. Assignment, by contrast, transfers rights but does not release the original obligor.

Q 7.9 An option contract requires:

- A. A 30-day exercise period
- B. Notarization
- C. Consideration paid by optionee for the option ✓**
- D. Equal exchange

Answer: C. Optionee must pay something to keep the option open.

Q 7.9 ·v1 What element is essential to make an option contract binding and enforceable in Hawaii real estate transactions?

- A. A written agreement signed by both parties
- B. Recording with the Bureau of Conveyances
- C. Payment or other valuable consideration from the optionee to the optionor ✓**
- D. A specific expiration date within 60 days

Answer: C. An option contract requires the optionee to provide consideration (money or value) to the optionor to secure the right to purchase the property within a specified timeframe.

Q 7.9 ·v2 In a real estate option agreement, the optionee's primary obligation is to:

- A. Provide compensation to the optionor in exchange for the right to purchase ✓**
- B. Accept the property exactly as disclosed in the inspection report
- C. Register the option with the Hawaii Real Estate Commission
- D. Complete the purchase within 45 days or forfeit all rights

Answer: A. The optionee must pay consideration (a fee or deposit) to hold the option open and secure the seller's promise to sell at a specified price if exercised.

Q 7.9 · v3 Which of the following is a legal requirement for a valid option contract in Hawaii real estate?

- A. The option period must align with the standard real estate transaction timeline
- B. The optionee must give something of value to support the option ✓**
- C. The optionor must be a licensed real estate broker
- D. Both parties must appear before a notary public

Answer: B. Consideration from the optionee is essential to create a binding option; without payment or value, there is no enforceable contract right.

Q 7.9 · v4 A real estate option becomes legally binding when the optionee:

- A. Files the option contract with the county recorder
- B. Signs the agreement in the presence of the optionor
- C. Submits a purchase agreement to the seller's agent
- D. Provides consideration to the optionor for the right to purchase ✓**

Answer: D. An option requires the optionee to pay or provide value to the optionor; this consideration makes the optionor's offer to sell irrevocable for the option period.

Q 7.9 · v5 What essential element must the optionee provide to establish a valid option contract in Hawaii?

- A. Proof of financing approval
- B. A mutual agreement to exchange properties
- C. Money or valuable consideration to bind the option ✓**
- D. A written appraisal of the property

Answer: C. An option contract requires the optionee to pay consideration (money or other valuable benefit) to the optionor to keep the option right alive and enforceable.

Q 7.9 · v6 Which of the following is NOT required for an enforceable option contract?

- A. An option fee or deposit held by the optionor
- B. Payment or other value from the optionee
- C. A specific exercise period lasting at least 60 days ✓**
- D. Consideration moving from optionee to optionor

Answer: C. While consideration is essential, there is no mandated minimum duration for the option period; parties may agree to any timeframe, including shorter periods.

Q 7.9 · v7 A real estate option contract becomes binding when:

- A. The property is formally appraised and recorded
- B. The optionee delivers consideration to the optionor for the right to purchase ✓**
- C. Both parties execute a sales contract within the option period
- D. The optionor signs a statement acknowledging receipt of earnest money

Answer: B. An option contract is created when the optionee gives consideration (typically a fee or deposit) to the optionor in exchange for the right to purchase the property at a specified price within a set time.

Q 7.9 · v8 Under Hawaii real estate law, what must the optionee provide to secure an option contract?

- A. Equal value in the form of a counter-option
- B. Verification that all liens will be satisfied at closing
- C. Cash or something of value paid to the optionor ✓**
- D. Notarized consent from the property owner's spouse

Answer: C. The optionee must pay consideration to create a binding option contract; this payment gives the optionee the exclusive right to purchase within the agreed-upon time period.

Q 7.9 · v9 What essential element must the optionee provide to establish a valid option agreement in Hawaii real estate?

- A. Monetary or valuable consideration to the optionor ✓**
- B. A binding commitment to purchase within 60 days
- C. Proof of financing approval
- D. A written appraisal of the property

Answer: A. The optionee must pay consideration (money or something of value) to secure the optionor's promise to keep the property available for a specified period. Without consideration, there is no enforceable option contract.

Q 7.10 A contingency that fails:

- A. Generally terminates the contract with deposit returned ✓**
- B. Triggers liquidated damages
- C. Voids the listing
- D. Forces the contract to close anyway

Answer: A. Failed contingency typically allows termination and deposit return.

Q 7.10 ·v1 When a buyer's financing contingency is not satisfied by the deadline, what is the typical legal outcome?

- A. The buyer may terminate the contract and recover the earnest money deposit ✓**
- B. The contract automatically converts to a cash sale
- C. The property listing becomes void and must be re-listed
- D. The seller may force specific performance to proceed to closing

Answer: A. An unsatisfied contingency generally permits contract termination with return of the buyer's deposit; the contract does not automatically continue or convert.

Q 7.10 ·v2 A home inspection contingency is not satisfied by the inspection deadline. What typically happens to the purchase contract?

- A. The seller's license is suspended for allowing the contingency to lapse
- B. The contract may be terminated by the buyer, and the deposit is usually returned ✓**
- C. The buyer forfeits the entire deposit as liquidated damages
- D. The parties must proceed to closing regardless of inspection results

Answer: B. When a contingency expires unused, the buyer generally loses that protection but may still terminate; the deposit return depends on contract language and whether default occurred.

Q 7.10 ·v3 In a real estate purchase agreement, if an appraisal contingency condition is not met, the most likely outcome is:

- A. The contract terminates and the buyer receives the earnest money back ✓**
- B. The sale must close at the appraised value regardless of purchase price
- C. Liquidated damages are assessed against the buyer
- D. The real estate license of the listing agent is placed on probation

Answer: A. A failed appraisal contingency typically allows either party to terminate, with the earnest money returned unless the buyer is in default of the contract.

Q 7.10 ·v4 Under Hawaii real estate law, when a contingency in a purchase contract cannot be fulfilled by the specified deadline, the expected outcome is:

- A. The buyer must pay penalties equal to the contingency amount
- B. The property automatically becomes subject to new listing requirements
- C. The contract remains binding and the deposit is held in escrow indefinitely
- D. The contract may be terminated and the earnest money is generally released to the buyer ✓**

Answer: D. A contingency that fails permits contract termination, typically with deposit return to the buyer, unless the buyer caused the failure or waived the contingency.

Q 7.10 ·v5 When a buyer's financing contingency is not satisfied by the deadline, what is the typical consequence?

- A. The buyer becomes obligated to close without a loan
- B. The seller may immediately pursue specific performance
- C. The contract is usually dissolved and the earnest money deposit is released to the buyer ✓**
- D. The listing agent receives a commission adjustment

Answer: C. A failed contingency generally allows the buyer to terminate without penalty and recover their earnest money deposit, as the contingency condition was not met.

Q 7.10 ·v6 Under Hawaii real estate law, if an inspection contingency expires unresolved, the likely outcome is:

- A. Contract termination with the deposit returned to the buyer ✓**
- B. Automatic forfeiture of the buyer's earnest money to the seller
- C. The parties must renegotiate the purchase price
- D. The property reverts to the broker's trust account indefinitely

Answer: A. When a contingency fails to be satisfied, the contract typically terminates and the earnest money is returned to the buyer unless the buyer waives the contingency.

Q 7.10 ·v7 A buyer includes a homeowner's association approval contingency in the purchase agreement. The HOA denies approval. What is the standard contract result?

- A. The seller may force closing despite the denial
- B. Both parties split the earnest money as a settlement fee
- C. The buyer must seek arbitration before any release of funds
- D. The contract is terminated and the buyer recovers their earnest money deposit ✓**

Answer: D. A failed contingency allows the party relying on it to terminate the contract and recover their earnest money, as the contingency condition was not satisfied.

Q 7.10 ·v8 If a contingency in a real estate contract is not met prior to the contingency deadline, the most common legal effect is:

- A. Liquidated damages become immediately due to the seller
- B. Contract termination occurs and the buyer's deposit is returned ✓**
- C. The title company holds all funds in escrow indefinitely
- D. The contract converts to a binding lease agreement

Answer: B. When a contingency fails, the contract is generally terminated without penalty and the earnest money is returned to the buyer, as the contingency protection has been triggered.

Q 7.10 ·v9 When a buyer's inspection contingency is not satisfied and the condition is not waived, what is the typical legal consequence?

- A. The seller may force the buyer to close the transaction
- B. The listing agreement is automatically canceled
- C. The buyer forfeits the entire down payment as penalty

D. The contract is usually dissolved and the buyer's earnest money deposit is released ✓

Answer: D. A failed contingency generally allows the non-breaching party to terminate the contract and recover their earnest money deposit, as the condition precedent was not met.

Q 7.11 A right of first refusal allows the holder to:

- A. Refuse all offers
- B. Force a sale
- C. Buy at any price

D. Match a bona fide third-party offer ✓

Answer: D. ROFR = right to match the deal someone else has offered.

Q 7.11 ·v1 When a property owner grants a right of first refusal to a tenant, what right does the tenant acquire?

- A. The automatic ownership of the property upon lease termination
- B. The opportunity to match any acceptable offer the owner receives from a third party ✓**
- C. The ability to purchase the property at below-market rates
- D. An exclusive listing agreement preventing the owner from showing the property

Answer: B. A right of first refusal gives the holder the chance to match an offer that the owner has actually received from another buyer; it does not guarantee a price, prevent other offers, or transfer ownership.

Q 7.11 ·v2 Which statement best describes the mechanics of exercising a right of first refusal?

- A. The holder can demand the owner sell at a price the holder determines
- B. The holder gains control over all marketing and sale decisions the owner makes
- C. The holder automatically receives legal title to the property without negotiation
- D. The holder must be notified of a legitimate third-party offer and given the chance to accept those same terms ✓**

Answer: D. ROFR requires notification of a real third-party offer and allows the holder to match that offer's terms; it does not grant pricing power, control over operations, or automatic title.

Q 7.11 ·v3 **A beneficiary of a right of first refusal is in a position to:**

- A. Prevent the owner from listing the property for sale
- B. Step into the shoes of a third-party buyer by matching the offer the owner received ✓**
- C. Purchase the property whenever they wish at any negotiated price
- D. Veto any sale the property owner wishes to make

Answer: B. ROFR allows the holder to match a bona fide third-party offer the owner has received; it is not a veto right, an unlimited purchase option, or a listing restriction.

Q 7.11 ·v4 **Under a right of first refusal clause, the property owner must:**

- A. Grant the ROFR holder exclusive permission to find buyers before listing publicly
- B. Notify the ROFR holder of an acceptable offer from another buyer and allow the holder to match it ✓**
- C. Sell only to the ROFR holder at a price determined by the holder
- D. Accept the first offer made by any prospective buyer without negotiation

Answer: B. ROFR obligates the owner to inform the holder of a genuine third-party offer and permit the holder to match those terms; it does not surrender pricing control, require acceptance of the first offer, or grant exclusive listing rights.

Q 7.11 ·v5 **When a property owner grants a right of first refusal to a tenant, what action is the tenant entitled to take if the owner receives an acceptable offer from a third party?**

- A. Negotiate the purchase price downward without the owner's consent
- B. Reject the sale entirely and block any future transactions
- C. Match the terms of the third-party offer before it can be accepted ✓**
- D. Demand a lease extension at no additional cost

Answer: C. A right of first refusal gives the holder the opportunity to accept or match the exact terms of a bona fide offer from another buyer, not to modify terms or block sales.

Q 7.11 ·v6 **Which statement best describes the practical benefit of holding a right of first refusal on a property?**

- A. The right provides an opportunity to match an actual offer before the owner accepts from someone else ✓**
- B. The right eliminates the owner's ability to sell the property to anyone
- C. The right allows the holder to purchase without a formal appraisal or inspection
- D. The right guarantees the holder can purchase at any price they choose

Answer: A. ROFR works by allowing the holder to meet the same terms a third party has offered, giving them a chance to step in before the transaction closes with an outside buyer.

Q 7.11 ·v7 If a seller receives a legitimate purchase offer from Buyer A, and that seller has previously granted a right of first refusal to Buyer B, what must happen next?

- A. The seller can immediately accept Buyer A's offer and ignore Buyer B's rights
- B. The seller must void Buyer A's offer and renegotiate with Buyer B at a lower price
- C. The seller must offer Buyer B the same terms Buyer A presented to match or decline ✓**
- D. Buyer B can force the seller to accept any counteroffer from Buyer B

Answer: C. The holder of a right of first refusal must be given the opportunity to match the bona fide third-party offer's terms; the owner cannot bypass this right by immediately accepting another buyer's offer.

Q 7.11 ·v8 A real estate agent representing a property owner learns that the property carries a right of first refusal in favor of the current lessee. When a third-party cash offer arrives, what is the correct procedure?

- A. Notify the lessee of the offer terms and allow them to match before the owner accepts ✓**
- B. Reject the third-party offer because the lessee's right prevents any outside sale
- C. Present the third-party offer to the owner, who can accept it immediately since cash is superior
- D. Inform the owner that the lessee automatically has the right to purchase at any negotiated price

Answer: A. Even with a strong third-party offer, the owner must honor the right of first refusal by giving the lessee the chance to accept the same terms before the owner can sell to the outside party.

Q 7.11 ·v9 Under a right of first refusal, if the property owner receives an acceptable offer from a third party, the ROFR holder must be given the opportunity to:

- A. Accept the same terms as the third-party offer ✓**
- B. Veto any sale to that particular buyer
- C. Extend the contract indefinitely
- D. Negotiate the purchase price down by at least 10%

Answer: A. A right of first refusal entitles the holder to match (accept on the same terms) the bona fide offer the property owner has received from another party, not to renegotiate, reject all offers, or block sales indefinitely.

Q 7.12 A minor's contract is generally:

- A. Voidable by the adult
- B. Unenforceable
- C. Voidable by the minor ✓**
- D. Void

Answer: C. Minors can affirm or disaffirm; protection runs to the minor.

Q 7.12 ·v1 Under Hawaii real estate law, what is the legal status of a contract entered into by a person under 18 years of age?

- A. Immediately void and cannot be ratified
- B. Enforceable only if a parent co-signs the agreement
- C. Subject to disaffirmance at the minor's election ✓**
- D. Fully binding and enforceable against both parties

Answer: C. Minors have the right to disaffirm (cancel) contracts; this protection is a one-way right that belongs to the minor, not the adult party.

Q 7.12 ·v2 A 16-year-old signs a real estate purchase agreement without parental consent. Which statement best describes the contract's enforceability?

- A. Voidable only if the adult party objects within 30 days
- B. Absolutely void and cannot be ratified under any circumstances
- C. Valid and binding unless the minor obtains a court order of rescission
- D. Capable of being disaffirmed by the minor upon reaching majority or before ✓**

Answer: D. Contracts with minors are voidable at the minor's option; the minor retains the power to affirm or disaffirm, but the adult cannot force the minor to perform.

Q 7.12 ·v3 When a minor executes a real estate transaction without proper authorization, the resulting contract is best characterized as:

- A. Unenforceable against both parties until the minor reaches age of majority
- B. Binding on the minor but not on the adult seller or buyer
- C. Capable of being avoided by the minor through disaffirmance ✓**
- D. Null and void from inception with no possibility of enforcement

Answer: C. Minors' contracts are voidable (not void), meaning the minor has the right to disaffirm; this protects the minor's interests while allowing ratification upon reaching majority.

Q 7.12 ·v4 A 17-year-old broker applicant enters into a listing agreement on behalf of a client. What is the legal nature of this contract from the minor's perspective?

- A. Enforceable against the minor but subject to the adult's withdrawal
- B. Permanently invalid and cannot be performed by anyone
- C. Disaffirmable at the minor's discretion, giving the minor an out ✓**
- D. Void ab initio unless a licensed guardian approves in writing

Answer: C. A minor's contract is voidable by the minor alone; the minor may disaffirm (reject) the contract, but only the minor has this power of avoidance.

Q 7.12 ·v5 When a party to a real estate transaction discovers they were a minor at the time of signing, what is the legal status of that contract?

- A. Subject to disaffirmance at the minor's election ✓**
- B. Absolutely void and cannot be ratified under any circumstances
- C. Valid only if the minor's parent provides written consent retroactively
- D. Binding on the minor but voidable by the adult party

Answer: A. Minors have the legal right to disaffirm (cancel) their contracts; the law protects the minor's interests, not the adult's.

Q 7.12 ·v6 A 17-year-old signs a purchase agreement for a condominium in Honolulu without parental consent. Which statement best describes the contract's enforceability?

- A. It is void if the seller did not know the buyer was underage
- B. It is enforceable against both parties equally
- C. It is voidable at the minor's discretion only ✓**
- D. It may be ratified by the minor once they reach age 18

Answer: C. The minor has the power to disaffirm or affirm the contract; only the minor benefits from this protection, not the adult party.

Q 7.12 ·v7 In a Hawaii real estate transaction, if one party is a minor, the contract is typically:

- A. Voidable at the option of the minor party ✓**
- B. Enforceable only with a guardian ad litem's approval
- C. Void ab initio regardless of the minor's later wishes
- D. Voidable at the option of the non-minor party

Answer: A. Contract law protects minors by giving them alone the right to disaffirm; the adult party has no such right of avoidance.

Q 7.12 ·v8 A teenager enters into a lease agreement for a residential property without understanding all terms. After turning 18, the former minor seeks to cancel the lease. What legal principle applies?

- A. The lease is voidable by the minor but cannot be disaffirmed after age of majority
- B. The lease is void and was never valid
- C. The lessor can force performance because the minor benefited from occupancy
- D. The minor had the right to disaffirm before or after reaching majority ✓**

Answer: D. Minors retain the power to disaffirm contracts and may exercise this right during minority or within a reasonable time after reaching adulthood.

Q 7.12 v9 Under Hawaii law, when a person under the age of majority enters into a purchase agreement for real property, the contract is best characterized as:

- A. Valid and binding unless a court determines it unfair
- B. Capable of being disaffirmed solely at the minor's election ✓**
- C. Capable of being disaffirmed by either party
- D. Absolutely void from inception

Answer: B. A minor has the unilateral right to disaffirm (void) a contract upon reaching majority or during minority; the adult party cannot similarly disaffirm based on the minor's age alone.

08

Transfer of Title

National portion 4 PSI items 34 key concepts 12 base questions

Title transfers happen at closing. Master the deed types, recording, and escrow.

CHAPTER OVERVIEW

A deed is the document that transfers title from grantor to grantee. To be valid, a deed requires: a competent grantor, an identifiable grantee, a recital of consideration, words of conveyance ("grant," "convey," "sell"), an adequate legal description, the signature of the grantor (not the grantee), delivery, and acceptance. Notarization isn't required for validity but is required for recording. Recording protects the grantee's interest against later claims by giving constructive notice to all subsequent parties.

Deed types differ by warranties. A General Warranty Deed offers the strongest protection — the grantor warrants against all defects of title back to the property's origin, including those before the grantor owned it. The four typical covenants: seisin (grantor owns it), against encumbrances (no undisclosed liens), quiet enjoyment (buyer won't be disturbed by superior claim), and warranty forever (grantor will defend title). A Special (Limited) Warranty Deed warrants only against defects arising during the grantor's ownership. A Bargain and Sale Deed implies the grantor has title but offers no express warranties. A Quitclaim Deed conveys whatever interest the grantor has, with zero warranty — common for clearing title clouds, transferring between family members, divorce settlements.

Title at death passes by will (testate) or by state intestate succession statute (intestate). A testator must have testamentary capacity (sound mind, knowledge of property and natural heirs). Intestate succession follows a statutory order: spouse, children, parents, siblings, more distant relatives. Probate court oversees the transfer, validates wills, settles claims against the estate, and issues letters testamentary or letters of administration to the personal representative who deeds the property.

Joint tenancy property passes by survivorship outside probate — no will needed for the share to pass to surviving joint tenants. Property held in trust passes per trust terms (avoiding probate). A life estate ends at the measuring life's death and either reverts to grantor or remains to a named remainderman.

Title insurance protects against title defects existing at the time of closing. Two policies: an owner's policy (one-time premium, protects buyer for as long as they own) and a lender's policy (required by lender, covers loan amount, decreases as loan balance does). Standard exclusions: defects created or known by the insured, government regulations, eminent domain proceedings, mining claims, and matters not of record. Extended coverage can be purchased for some excluded items via endorsements.

Chain of title is the recorded history of ownership. A title search examines the chain back to a marketable starting point. A title abstract is the summary report. Clouds are defects or unresolved claims affecting marketability — old liens not released, unsigned deeds, gaps in chain, conflicting recordings. A suit to quiet title is a court action to resolve clouds and confirm ownership.

Closing combines the buyer's funds, the loan proceeds, and the deed into a single coordinated transfer. An escrow agent (or attorney in attorney-state closings) holds funds and documents and disburses on satisfaction of all conditions. Closing statements detail every credit and debit. The federal Closing Disclosure form replaced the HUD-1 for most residential mortgage loans.

Prorations split shared items at the closing date — taxes, rent, HOA dues, insurance, utilities. Methods vary by state and contract: 360-day "banker's" year (12×30) or actual 365-day year. The day of closing is allocated by contract — sometimes seller pays through closing, sometimes buyer owns from closing. Conveyance/transfer taxes and recording fees are charged based on the deed value.

KEY CONCEPTS & DEFINITIONS

Deed	Document transferring title from grantor to grantee.
Grantor / Grantee	Grantor = transferor (signs deed). Grantee = recipient.
Words of conveyance	"Grant, sell, convey..." — required to make a deed effective.
Habendum clause	"To have and to hold" — defines extent of estate granted.
Granting clause	States the conveyance and consideration.
Consideration recital	Statement of value exchanged. May be nominal ("\$10 and other valuable consideration").
Legal description	Precise identification of property: metes and bounds, lot and block, government rectangular survey.
Acknowledgment	Notarized statement that signature was made voluntarily. Required for recording, not validity.
Delivery and acceptance	Deed must be delivered with intent to convey; grantee must accept. No transfer until both occur.
General warranty deed	Strongest deed. Five covenants. Warranties run back to property's origin.
Special / limited warranty deed	Warrants only against defects arising during grantor's ownership.
Bargain and sale deed	Implies grantor has title; no express warranties.
Quitclaim deed	Conveys whatever interest grantor has; no warranties. Used to clear title clouds.
Sheriff's deed	Transfers title from foreclosure sale or judgment execution.
Tax deed	Transfers title from tax foreclosure sale.
Recording	Filing the deed with the county recorder. Provides constructive notice.
Constructive notice	Legal presumption everyone is on notice of recorded documents.
Actual notice	Subjective knowledge of fact.
Inquiry notice	Notice imputed when facts would prompt a reasonable person to investigate.
Title insurance	Protects against title defects existing at closing. Owner's + lender's policies.
Chain of title	Recorded history of ownership.
Title abstract	Summary report of chain of title.
Title commitment	Insurer's preliminary report identifying issues to clear before closing.
Cloud on title	Defect or unresolved claim affecting marketability.
Suit to quiet title	Court action to resolve clouds and confirm ownership.

Marketable title	Title free of significant clouds, acceptable to a reasonable buyer.
Probate	Court process administering a deceased person's estate.
Testate / intestate	Testate = died with valid will. Intestate = without one.
Intestate succession	Statutory order of heirs when no will.
Letters testamentary / administration	Court documents authorizing personal representative to act.
Escrow agent	Neutral third party holding funds + documents and disbursing per instructions.
Closing Disclosure	Federal form summarizing loan + closing costs. Replaced HUD-1 for most residential.
Conveyance tax / transfer tax	State or local tax on real property transfers.
Proration	Splitting shared expenses at closing.

QUESTION BANK — TRANSFER OF TITLE

Q 8.1 Which deed offers the most protection to the buyer?

- A. Special warranty
- B. General warranty ✓**
- C. Quitclaim
- D. Bargain and sale

Answer: B. General warranty deed warrants the entire chain of title.

Q 8.1 v1 A buyer wants maximum protection regarding title defects throughout the property's entire history. Which type of deed should the buyer request?

- A. General warranty deed ✓**
- B. Bargain and sale deed
- C. Quitclaim deed
- D. Special warranty deed

Answer: A. General warranty deed provides the broadest protection by warranting title against all defects from the beginning of ownership, not just during the grantor's period of ownership.

Q 8.1 ·v2 If a buyer is concerned about title issues that may have existed before the current owner acquired the property, which deed provides the best safeguard?

- A. Quitclaim deed
- B. Special warranty deed
- C. Bargain and sale deed

D. General warranty deed ✓

Answer: D. General warranty deed warrants the entire chain of title, protecting the buyer against defects regardless of when they originated in the property's history.

Q 8.1 ·v3 Which of the following deeds contains covenants that extend back to the original source of title?

A. General warranty deed ✓

- B. Special warranty deed
- C. Bargain and sale deed
- D. Quitclaim deed

Answer: A. General warranty deed includes covenants that warrant the entire title chain from the beginning, providing comprehensive protection to the grantee.

Q 8.1 ·v4 A buyer purchasing residential property in Hawaii wants assurance against title defects from any prior owner. Which deed offers this comprehensive coverage?

- A. Bargain and sale deed
- B. Special warranty deed

C. General warranty deed ✓

- D. Quitclaim deed

Answer: C. General warranty deed warrants title against all defects in the entire chain of ownership, making it the most protective deed for a buyer's interests.

Q 8.1 ·v5 A buyer in Hawaii wants maximum title protection and representation of clear ownership. Which deed type should the seller be required to provide?

A. General warranty deed ✓

- B. Bargain and sale deed
- C. Quitclaim deed
- D. Special warranty deed

Answer: A. General warranty deed provides the broadest protection because the grantor warrants title against all defects, including those arising before the grantor acquired the property.

Q 8.1 ·v6 If a buyer needs a deed that covers potential title defects throughout the entire history of the property, which instrument provides the most comprehensive protection?

- A. Special warranty deed
- B. Bargain and sale deed
- C. General warranty deed ✓**
- D. Quitclaim deed

Answer: C. General warranty deed warrants title for the entire chain of ownership and protects against defects that may have existed before the current owner took possession.

Q 8.1 ·v7 A buyer is reviewing deed options and wants to minimize risk exposure from prior title claims. Which deed provides the strongest guarantee?

- A. Statutory warranty deed
- B. Special warranty deed
- C. Quitclaim deed
- D. General warranty deed ✓**

Answer: D. General warranty deed offers the strongest guarantee by warranting against all title defects in the entire chain of title, not just defects created during the grantor's ownership.

Q 8.1 ·v8 Which of the following deeds would a buyer prefer when financing a Hawaii property because it offers the most recourse against the grantor for hidden title defects?

- A. Bargain and sale deed
- B. General warranty deed ✓**
- C. Quitclaim deed
- D. Special warranty deed

Answer: B. General warranty deed provides the most extensive recourse because the grantor warrants the title against defects from the beginning of the chain, not just during their period of ownership.

Q 8.1 ·v9 A buyer is concerned about potential title defects from previous owners. Which type of deed would provide the strongest legal recourse if an undisclosed claim arises from the property's history?

- A. General warranty deed, which guarantees title from the original owner to the present ✓**
- B. Quitclaim deed, which releases only the grantor's claims to the property
- C. Bargain and sale deed, which transfers all grantor's interests without warranties
- D. Special warranty deed, which covers only the grantor's period of ownership

Answer: A. General warranty deed provides the broadest protection by warranting the entire chain of title back to the original owner, allowing the buyer to pursue claims against the grantor for any title defects regardless of when they originated.

Q 8.2 A quitclaim deed:

- A. Guarantees clear title
- B. Conveys whatever interest the grantor has, with no warranty ✓**
- C. Cannot be recorded
- D. Is used only for first-time conveyances

Answer: B. Quitclaim is "as-is" with no warranties.

Q 8.2 ·v1 When a grantor executes a quitclaim deed, what is the extent of the grantor's obligation regarding the title being conveyed?

- A. The grantor warrants the title is marketable and insurable
- B. The grantor transfers only whatever rights or interest the grantor actually possesses, without any warranty of ownership ✓**
- C. The grantor guarantees the property is free from all liens and encumbrances
- D. The grantor must defend the title against all subsequent claims

Answer: B. A quitclaim deed conveys the grantor's interest as-is with no warranties of title, ownership, or freedom from defects.

Q 8.2 ·v2 Which statement accurately describes the nature and effect of a quitclaim deed in Hawaii real estate practice?

- A. It requires a title search and title insurance before recording
- B. It is typically used only in commercial transactions between sophisticated parties
- C. It releases whatever claim or interest the grantor may have without guaranteeing the grantor actually owns anything ✓**
- D. It provides the grantee with full covenants and warranties of title

Answer: C. A quitclaim deed is a minimal-warranty instrument that merely releases the grantor's claim or interest without affirming ownership or quality of title.

Q 8.2 ·v3 A buyer receives a quitclaim deed from the seller. What protection does the buyer have if the seller did not actually own the property?

- A. The buyer has no recourse against the seller based on the deed itself, as quitclaim deeds contain no title warranties ✓**
- B. Title insurance automatically covers any defect in the grantor's ownership
- C. The Hawaii REC will void the deed and return the buyer's money
- D. The buyer is protected by the implied covenant of quiet enjoyment in all Hawaii deeds

Answer: A. A quitclaim deed provides no warranties; if the grantor had no interest to convey, the grantee receives nothing and has no warranty claim.

Q 8.2 ·v4 How does a quitclaim deed differ from a general warranty deed in terms of the grantor's liability?

A. A quitclaim deed contains no warranties of title, while a general warranty deed includes covenants protecting the grantee against title defects ✓

- B. A quitclaim deed imposes greater liability on the grantor than a general warranty deed
- C. Both deeds impose identical liability regardless of the grantor's intent or knowledge
- D. A quitclaim deed is legally binding only if recorded within 30 days

Answer: A. A quitclaim deed is a no-warranty instrument passing only the grantor's interest, whereas a general warranty deed warrants the title against defects.

Q 8.2 ·v5 Which statement best describes the legal effect of a quitclaim deed in Hawaii?

A. It transfers title subject to any liens or encumbrances the grantor may have held ✓

- B. It is valid only when the grantor has already obtained a warranty deed first
- C. It provides the grantee with title insurance protection against prior claims
- D. It requires a full property survey before recording is permitted

Answer: A. A quitclaim deed conveys only the interest the grantor possessed, without warranties of title or clear ownership, meaning encumbrances transfer with it.

Q 8.2 ·v6 When a grantor executes a quitclaim deed, what does the grantee actually receive?

A. Whatever ownership rights or claims the grantor held at the time of conveyance, with no assurances about quality ✓

- B. A legal promise that the property is unencumbered and marketable
- C. Only the right to occupy the property for a specified lease term
- D. A guaranteed fee simple title free of all defects

Answer: A. Quitclaim deeds are 'as-is' instruments that pass only what the grantor has, with zero warranties regarding title quality or defects.

Q 8.2 ·v7 A real estate licensee is explaining deed types to a buyer. Which characteristic most accurately reflects a quitclaim deed?

A. It releases whatever interest the grantor possesses without representing the validity or extent of that interest ✓

- B. It is the most secure form of conveyance and includes full covenants of title
- C. It must be delivered by a title company and cannot be handed directly to the grantee
- D. It is automatically void if the property has any outstanding property taxes or assessments

Answer: A. A quitclaim deed simply conveys the grantor's interest—whatever it may be—without any warranties or representations about its validity.

Q 8.2 ·v8 From a risk perspective, a grantee accepting a quitclaim deed should understand that:

- A. The Hawaii REC guarantees the title is free from defects within 30 days of recording
- B. The deed is not legally binding unless the grantor has previously obtained a certified title report
- C. The grantor makes no warranties about the quality, extent, or freedom from encumbrances of the interest being transferred ✓**
- D. Title insurance is automatically included and paid for by the grantor under state law

Answer: C. Quitclaim deeds provide no warranties, meaning the grantee accepts the risk that the grantor's interest may be defective, limited, or encumbered.

Q 8.2 ·v9 When a grantor executes a quitclaim deed, what exactly is being transferred to the grantee?

- A. The grantor's equitable interest, but not legal title
- B. Only the grantor's legal interest in the property, with full warranty of title
- C. Whatever right, title, or interest the grantor possesses at the time of conveyance, without any guarantees ✓**
- D. A fee simple absolute interest, provided the property has no liens

Answer: C. A quitclaim deed transfers only the grantor's existing interest with no warranties or representations about title quality, marketability, or freedom from defects.

Q 8.3 For a deed to be valid, it must be:

- A. Notarized
- B. In a court order
- C. Recorded
- D. Delivered and accepted ✓**

Answer: D. Delivery + acceptance is essential. Recording protects but isn't required for validity.

Q 8.3 ·v1 Which of the following is an essential requirement for a deed to become legally binding and effective?

- A. Physical transfer of possession to the grantee
- B. Filing with the county assessor's office
- C. Actual delivery to and acceptance by the grantee ✓**
- D. Approval by the Hawaii Real Estate Commission

Answer: C. Delivery and acceptance are the critical elements for a deed to be valid and enforceable. Recording and other formalities provide protection but are not essential to the deed's validity.

Q 8.3 ·v2 A grantor executes a properly signed and notarized deed but fails to deliver it to the grantee. Under Hawaii law, is the deed valid?

- A. No, because delivery and acceptance have not occurred ✓**
- B. Yes, because the grantor's intent to transfer is sufficient
- C. Yes, because it was notarized by a public officer
- D. Yes, because it was recorded at the Bureau of Conveyances

Answer: A. Without delivery to and acceptance by the grantee, a deed lacks the essential element needed for validity, regardless of notarization or execution formality.

Q 8.3 ·v3 Which element is NOT required for a deed to be valid in Hawaii?

- A. The grantor's intent to transfer the property
- B. Delivery of the deed to the grantee
- C. Recording the document with the county recorder ✓**
- D. Acceptance by the intended grantee

Answer: C. Recording is a protective measure that creates constructive notice but is not a prerequisite for a deed's validity; delivery and acceptance are the essential requirements.

Q 8.3 ·v4 A deed is prepared, signed, and notarized. For this deed to become legally valid and effective, what must still occur?

- A. It must be delivered to the grantee and accepted by them ✓**
- B. The deed must be recorded within 30 days
- C. The county tax assessor must acknowledge receipt
- D. The title company must issue an insurance commitment

Answer: A. Delivery and acceptance constitute the final, essential step for deed validity; all other steps are procedural protections or formalities that follow after the deed is already valid.

Q 8.3 ·v5 Which of the following is an essential requirement for a deed to have legal effect and transfer title?

- A. Physical transfer of the document to the grantee and their acceptance of it ✓**
- B. Approval by a probate court
- C. Filing with the county assessor's office
- D. Obtaining a title insurance commitment

Answer: A. Delivery to the grantee and acceptance by the grantee are fundamental requirements for title transfer. Recording, title insurance, and court approval are separate matters that do not affect the deed's legal validity.

Q 8.3 ·v6 A deed fails to transfer property if it lacks:

- A. Proper delivery to and acceptance by the grantee ✓**
- B. An attorney's signature as a witness
- C. County recorder's stamp and filing date
- D. A certified copy filed at the state level

Answer: A. Delivery and acceptance are the critical elements that make a deed effective. Without them, title does not pass regardless of notarization, recording, or attorney involvement.

Q 8.3 ·v7 Which element is absolutely necessary for a deed to become legally valid and binding?

- A. Recordation in the public record
- B. Registration with the Hawaii Department of Land and Natural Resources
- C. Acknowledgment before a notary public
- D. Delivery of the deed to the grantee with the grantee's acceptance ✓**

Answer: D. Delivery and acceptance are essential substantive requirements for deed validity. Recording and notarization are procedural safeguards but are not required for the deed itself to be valid.

Q 8.3 ·v8 A grantor signs and has a deed notarized. For the deed to be valid and effectively transfer title, what must also occur?

- A. The deed must be approved by the local zoning board
- B. The deed must be delivered to the grantee and accepted by the grantee ✓**
- C. The deed must be recorded within 30 days
- D. The deed must be reviewed by a title company

Answer: B. Notarization alone does not create validity; delivery and acceptance are the non-negotiable requirements for a deed to transfer title. Recording protects interests but is not a prerequisite for validity.

Q 8.3 ·v9 Which of the following is a requirement for a deed to have legal validity in Hawaii?

- A. The grantor must physically transfer the deed to the grantee, and the grantee must accept it ✓**
- B. The deed must be filed with the county assessor within 30 days
- C. The deed must contain a legal description that has been surveyed by a licensed surveyor
- D. The grantor must obtain title insurance before signing

Answer: A. Delivery by the grantor and acceptance by the grantee are essential elements for deed validity; recording and surveying are protective measures but not required for the deed itself to be valid.

Q 8.4 A person dies without a will. Their property passes by:

- A. Public auction
- B. Quitclaim deed
- C. Eminent domain

D. Operation of law via intestate succession ✓

Answer: D. Intestate succession statutes determine heirs.

Q 8.4 ·v1 When an individual passes away intestate in Hawaii, the transfer of real property to heirs occurs through which mechanism?

- A. Government taking via condemnation proceedings
- B. Automatic transfer by quitclaim deed

C. Statutory intestate succession laws ✓

- D. Probate court auction to the highest bidder

Answer: C. Intestate succession statutes automatically determine which heirs inherit and in what order when someone dies without a valid will.

Q 8.4 ·v2 A decedent with no testamentary document leaves behind titled real property. How does legal title transfer to the rightful heirs?

A. Through the application of intestacy statutes ✓

- B. By exercise of the government's right to take private property
- C. By competitive public sale of the estate
- D. Via a general warranty deed prepared by the county

Answer: A. Intestacy laws establish the legal succession chain and automatically vest property rights in qualified heirs without requiring a will or additional conveyance instruments.

Q 8.4 ·v3 When someone dies intestate, which of the following determines who receives their real property?

A. State laws governing intestate succession ✓

- B. The probate court's discretionary judgment
- C. A non-binding quitclaim deed filed posthumously
- D. The public trustee's authority to distribute assets

Answer: A. Intestate succession statutes, not judicial discretion or voluntary conveyance documents, establish the predetermined order and shares of inheritance for heirs.

Q 8.4 · v4 Property of a decedent who left no will passes to the next of kin by what legal process?

- A. Adverse possession by the county government
- B. Conversion through a special purpose deed instrument
- C. Intestate succession as prescribed by statute ✓**
- D. Forced liquidation and redistribution by the state

Answer: C. Intestate succession statutes provide the legal mechanism by which property automatically transfers to heirs according to a predetermined order of kinship when no will exists.

Q 8.4 · v5 When a Hawaii resident passes away intestate, which mechanism governs the distribution of their real property to heirs?

- A. Probate court auction procedures
- B. Automatic transfer via warranty deed
- C. State acquisition through escheat powers
- D. Statutory intestate succession laws ✓**

Answer: D. Intestate succession statutes automatically determine who inherits when no will exists; this is a matter of law, not deed transfer or auction.

Q 8.4 · v6 If an individual dies without executing a valid will, their real estate property will be transferred according to:

- A. State laws governing descent and distribution ✓**
- B. Judicial condemnation proceedings
- C. The decedent's prior quitclaim deeds
- D. The county assessor's title determination

Answer: A. State descent and distribution laws (intestate succession) dictate property transfer when no will exists; these are statutory rules, not deed-based or condemnation mechanisms.

Q 8.4 · v7 An owner of Hawaii property dies without a testamentary document. By what legal process does ownership transfer to heirs?

- A. Operation of intestacy statutes ✓**
- B. Competitive public sale at auction
- C. Filing a special warranty deed with the registry
- D. Petition for eminent domain by the state

Answer: A. Intestacy statutes operate automatically by law to pass property to legal heirs; this occurs without deed action, condemnation, or auction.

Q 8.4 · v8 When a property owner in Hawaii dies intestate, the transfer of real property to heirs occurs through:

- A. Transfer by gift deed to designated beneficiaries
- B. Foreclosure sale procedures
- C. Application of intestate succession laws ✓**
- D. Execution of a new deed by the executor

Answer: C. Intestate succession laws determine heirs and property distribution automatically when no will exists; this is distinct from deed execution, foreclosure, or gift transfers.

Q 8.4 · v9 When an individual passes away intestate in Hawaii, what legal mechanism governs the distribution of their real property to heirs?

- A. Transfer under the state's right of condemnation
- B. Competitive sealed bidding at county auction
- C. A warranty deed executed by the probate court
- D. Statutory intestate succession laws ✓**

Answer: D. Intestate succession statutes automatically determine which heirs inherit property when there is no valid will; no deed or auction is required.

Q 8.5 Recording a deed provides:

- A. No notice
- B. Actual notice
- C. Constructive notice ✓**
- D. Inquiry notice

Answer: C. Recording = constructive notice to all subsequent parties.

Q 8.5 · v1 When a property owner files a deed in the public record, what type of notice is provided to the world regarding that transaction?

- A. Inquiry notice requiring investigation of the property title
- B. Personal notice delivered directly to all interested parties
- C. Presumptive notice based on the grantor's reputation
- D. Constructive notice available through the public record system ✓**

Answer: D. Recording a deed in the public record creates constructive notice, which means all subsequent parties are deemed to have knowledge of the recorded interest, whether or not they actually inspected the records.

Q 8.5 ·v2 A buyer's lender requires title insurance before funding a mortgage loan. The lender relies on the fact that recording the deed will establish what form of notice?

- A. Implied notice based on the buyer's possession of the property
- B. Constructive notice through the recordation system ✓**
- C. Express notice through personal notification
- D. Statutory notice automatically provided by the county

Answer: B. Recording creates constructive notice, which protects the lender by ensuring that all future parties searching the title records will be charged with knowledge of the lender's interest.

Q 8.5 ·v3 Under Hawaii real estate law, the primary purpose of recording a deed in the appropriate county office is to provide:

- A. Judicial notice requiring court approval of the transaction
- B. Constructive notice to all subsequent parties who search the records ✓**
- C. Actual notice to the immediate parties to the transaction only
- D. Apparent notice based on visible improvements to the property

Answer: B. Recording provides constructive notice to the world, meaning anyone conducting a proper title search will be charged with knowledge of the recorded deed, even if they never actually read it.

Q 8.5 ·v4 If an agent advises a client that their recently recorded deed will protect their ownership interest against future claims, what legal concept is the agent relying upon?

- A. Lis pendens notice filed in pending litigation
- B. Constructive notice created by proper recordation ✓**
- C. Estoppel notice preventing the other party from denying the transaction
- D. Actual notice obtained through personal service of documents

Answer: B. Constructive notice is the legal principle that makes recording effective—it charges all subsequent parties with knowledge of the recorded deed without requiring actual delivery or personal notice to each individual.

Q 8.5 ·v5 When a property deed is properly recorded in the Hawaii Bureau of Conveyances, what type of notice is created for all future purchasers and lienholders?

- A. Implied notice from neighborhood conditions
- B. Actual notice requiring personal delivery of documents
- C. Constructive notice through the public record system ✓**
- D. Inquiry notice requiring personal investigation

Answer: C. Recording creates constructive notice, which means the public record system itself provides legal notice to all subsequent parties without requiring actual knowledge or personal contact.

Q 8.5 ·v6 A buyer searches the recorded documents at the Bureau of Conveyances and discovers a prior mortgage on the property. This discovery represents which form of notice?

- A. Constructive notice because the information was available in the public record ✓**
- B. Inquiry notice because the buyer had to investigate the chain of title
- C. Statutory notice issued by the Hawaii Real Estate Commission
- D. Actual notice because the buyer personally reviewed the documents

Answer: A. Constructive notice arises from the recording system itself; once a document is recorded, all parties are legally charged with knowledge of its contents regardless of whether they actually reviewed it.

Q 8.5 ·v7 Which of the following BEST describes the legal effect of recording a deed in Hawaii?

- A. It puts the world on notice of the transaction through the public record system ✓**
- B. It requires all subsequent buyers to personally contact the current owner
- C. It transfers possession of the property to the grantee immediately upon filing
- D. It guarantees the grantor's title is free from all defects

Answer: A. Recording provides constructive notice, placing the world on legal notice of the recorded interest through the public record system, even if parties never actually read the document.

Q 8.5 ·v8 A deed is recorded but a third party claims they had no knowledge of it. Under Hawaii law, what notice has been provided to that third party?

- A. Actual notice because the recording officer must provide personal notification
- B. Constructive notice; recording in the public record provides legal notice regardless of actual knowledge ✓**
- C. No notice; only actual knowledge counts in real estate disputes
- D. Inquiry notice; the party should have searched before entering the transaction

Answer: B. Recording creates constructive notice to all parties, meaning the law presumes notice through the public record system exists even if the party never actually knew about or reviewed the recorded deed.

Q 8.5 ·v9 When a buyer searches the public record and finds a properly recorded deed, what type of notice has been established?

- A. Constructive notice through the recording system ✓**
- B. Actual notice requiring personal knowledge of the grantor
- C. Inquiry notice based on visible conditions of the property
- D. Statutory notice under Hawaii's adverse possession laws

Answer: A. Recording a document in the public record creates constructive notice to anyone who searches or should search those records, regardless of whether they actually reviewed them.

Q 8.6 Title insurance protects against:

- A. Property damage
- B. Future title problems
- C. Defects existing at closing ✓**
- D. Loan default

Answer: C. Title insurance covers title defects existing at closing time.

Q 8.6 · v1 Which of the following is covered by a title insurance policy?

- A. Hidden liens and ownership claims that existed before closing ✓**
- B. Boundary disputes that arise after the policy is issued
- C. Structural defects discovered during property inspection
- D. Natural disasters affecting the insured property

Answer: A. Title insurance protects against pre-existing defects in the chain of title, such as undisclosed liens, encumbrances, and ownership claims that existed at or before closing.

Q 8.6 · v2 A homeowner purchases title insurance at closing. The policy protects the owner against:

- A. Future zoning changes that reduce property value
- B. Loss of the property due to foreclosure
- C. Maintenance and repair costs for structural issues
- D. Defects in the title that existed prior to the closing date ✓**

Answer: D. Title insurance is designed to indemnify the owner against losses arising from title defects that were in existence at or before the time of closing, not future events.

Q 8.6 · v3 When a real estate transaction closes, the title insurance policy issued at that time covers:

- A. Environmental contamination discovered years later
- B. Increases in property taxes assessed after the purchase
- C. Claims by creditors against the new owner
- D. Pre-existing conditions affecting the legal ownership of the property ✓**

Answer: D. Title insurance provides coverage for defects that existed in the title at the time of closing, protecting against historical ownership and lien issues.

Q 8.6 · v4 Which scenario would be covered under a standard title insurance policy?

- A. A previous owner's unpaid property tax bill discovered after closing ✓**
- B. A mortgage default by the current property owner
- C. A neighbor's encroachment onto the property after the policy is issued
- D. A flood that damages the home six months after purchase

Answer: A. Title insurance covers defects existing at closing time, including unpaid taxes and liens from prior ownership that were not discovered before the transaction closed.

Q 8.6 · v5 Which of the following is covered under a standard owner's title insurance policy?

- A. Pre-existing title defects present at the time of closing ✓**
- B. Liens and encumbrances discovered after the sale closes
- C. Unpaid property taxes assessed in future years
- D. Natural disasters affecting the property structure

Answer: A. Title insurance protects the owner against defects in title that existed at the time of closing, not future occurrences or physical damage to the property.

Q 8.6 · v6 A buyer purchases a home and receives a title insurance commitment. What risk is the insurer primarily protecting the buyer against?

- A. Hidden title defects that existed before the closing date ✓**
- B. Flood damage or other casualty losses
- C. Changes in property value or market conditions
- D. Maintenance repairs needed within the first year

Answer: A. Title insurance is designed to protect against defects in ownership that existed at the time of purchase, not future market changes or physical damage to the property.

Q 8.6 · v7 An owner's title insurance policy provides protection for:

- A. Structural deficiencies discovered during inspection
- B. Claims arising from future boundary disputes
- C. Defects in the chain of title existing at closing ✓**
- D. Mortgage payment defaults by the property owner

Answer: C. Title insurance covers defects in title that existed at the time of closing, such as undisclosed liens, missing heirs, or forgery in the chain of title.

Q 8.6 · v8 Which situation would typically be covered under a standard title insurance policy?

- A. A previous owner files a claim six months after closing
- B. The property suffers water damage from a burst pipe
- C. The borrower fails to make scheduled loan payments

D. A title defect from an earlier owner discovered at or before closing ✓

Answer: D. Title insurance protects against defects in title that existed on or before the closing date, regardless of when they are discovered.

Q 8.6 · v9 When a title insurance policy is issued at closing, what is its primary purpose in protecting the buyer?

- A. Ensuring the seller's mortgage is paid off after settlement

B. Covering hidden liens and ownership claims that existed before closing ✓

- C. Guaranteeing the property will increase in value
- D. Protecting against future natural disasters affecting the property

Answer: B. Title insurance protects against defects and claims that existed before or at the time of closing, such as undisclosed liens, easements, or ownership disputes that may surface later.

Q 8.7 A lender's title policy:

- A. Is optional

B. Covers the lender for loan amount ✓

- C. Replaces homeowner's insurance
- D. Covers the buyer

Answer: B. Lender's policy covers the loan amount and decreases as loan is paid down.

Q 8.7 · v1 Which statement accurately describes the scope and purpose of a lender's title insurance policy in Hawaii?

- A. It protects the property owner against title defects up to the purchase price
- B. It is always bundled with the owner's policy and cannot be purchased separately

C. It protects the mortgagee's financial interest in the loan amount, which diminishes as the loan balance decreases ✓

- D. It provides coverage for physical damage to the property caused by title disputes

Answer: C. A lender's policy insures the lender's security interest for the outstanding loan amount, decreasing proportionally as the borrower pays down the mortgage principal.

Q 8.7 ·v2 A mortgagee in Hawaii requires a lender's title policy as a condition of financing. What is the primary benefit to the lender?

- A. The policy covers the lender against losses arising from title defects, with coverage limited to the outstanding mortgage balance ✓**
- B. The policy compensates the lender if the borrower defaults on the monthly payment
- C. The policy guarantees that the borrower will maintain homeowner's insurance for the duration of the loan
- D. The policy transfers all ownership risks to a third-party escrow holder

Answer: A. The lender's policy specifically insures the lender's loan security against title defects, with the coverage amount equaling the loan balance at any given time.

Q 8.7 ·v3 In a typical Hawaii real estate transaction, how does a lender's title insurance policy differ from an owner's policy?

- A. The lender's policy is mandatory while the owner's policy is optional
- B. The lender's policy covers both the buyer and the lender equally
- C. The lender's policy protects only the mortgagee's interest up to the loan amount, whereas the owner's policy protects the buyer's equity ✓**
- D. The lender's policy lasts indefinitely while the owner's policy expires after ten years

Answer: C. The lender's policy insures the lender's loan amount security and decreases as the loan is paid, while the owner's policy protects the buyer's ownership interest.

Q 8.7 ·v4 A borrower obtains financing for a \$500,000 purchase price with a \$400,000 mortgage. Which party is covered by the lender's title insurance policy, and to what extent?

- A. The real estate agent is covered for any commission disputes related to title defects
- B. The borrower is covered for the full \$500,000 purchase price
- C. Both the borrower and lender share equal coverage of \$450,000
- D. The lender is covered for its security interest in the \$400,000 loan amount, declining as the mortgage is paid down ✓**

Answer: D. A lender's policy protects the mortgagee specifically for the loan amount outstanding, with coverage decreasing as principal is paid and eventually terminating when the mortgage is satisfied.

Q 8.7 ·v5 Which statement accurately describes the scope and purpose of a lender's title insurance policy in Hawaii?

- A. It protects the property owner against all title defects throughout the loan term
- B. It is mandatory for all residential transactions and cannot be waived
- C. It indemnifies the mortgagee for the outstanding loan balance and diminishes as the loan principal is repaid ✓**
- D. It covers both the lender and borrower equally under a single combined policy

Answer: C. A lender's policy insures the lender's interest (the loan amount) and the coverage amount decreases proportionally as the mortgage principal is paid down.

Q 8.7 ·v6 A lender requires title insurance as a condition of funding the mortgage. What is the primary protection this lender's policy provides?

- A. Protection against future property tax assessments and special assessments
- B. Protection of the lender's financial interest in an amount equal to the loan balance outstanding ✓**
- C. Protection of the buyer's equity and ownership rights against title defects
- D. Protection that remains constant at the original purchase price regardless of loan payoff

Answer: B. The lender's policy covers the mortgagee's interest, which equals the loan amount owed, and this coverage amount reduces as the borrower pays down the principal balance.

Q 8.7 ·v7 In a typical Hawaii real estate transaction, the lender's title insurance policy differs from an owner's policy in that it:

- A. Is paid for by the seller instead of the buyer
- B. Provides broader coverage and includes all physical property defects
- C. Extends indefinitely even after the mortgage has been satisfied
- D. Protects an amount of coverage that decreases in proportion to the loan payoff ✓**

Answer: D. The lender's policy amount tracks the outstanding loan balance; as the borrower pays down the mortgage, the insured amount decreases accordingly, unlike an owner's policy which remains constant.

Q 8.7 ·v8 A mortgagee insists on a title insurance policy before releasing loan funds. This lender's policy protects against title defects up to an amount equal to:

- A. The unpaid principal balance of the mortgage loan at any given time ✓**
- B. A flat minimum amount set by Hawaii real estate commission rules
- C. The appraised value of the property at the time of closing
- D. The original sales price stated in the purchase agreement

Answer: A. A lender's title policy insures the mortgagee's interest for the loan amount, with coverage declining as the principal balance is paid down over the life of the loan.

Q 8.7 ·v9 Which statement accurately describes the scope and purpose of a lender's title insurance policy?

- A. It protects the property owner against defects in title
- B. It provides coverage that increases as the mortgage principal is paid down
- C. It is a mandatory requirement that can never be waived by the borrower

D. It insures the lender's interest up to the outstanding loan balance ✓

Answer: D. A lender's title policy protects the lender's financial interest in the property up to the loan amount, with coverage that decreases as the borrower pays down the principal balance.

Q 8.8 Property held in joint tenancy passes at death:

- A. To the trustee
- B. By intestate succession

C. By survivorship outside probate ✓

- D. Through probate

Answer: C. Joint tenancy avoids probate via right of survivorship.

Q 8.8 ·v1 When a joint tenant dies, what happens to their interest in the property?

- A. It must be probated through the decedent's estate
- B. It automatically transfers to the surviving joint tenant(s) without court involvement ✓
- C. It passes according to Hawaii's rules of intestate succession
- D. It reverts to the state as abandoned property

Answer: B. Joint tenancy includes the right of survivorship, which allows the property to pass directly to surviving joint tenants outside the probate process.

Q 8.8 ·v2 Which of the following best describes the probate treatment of property owned in joint tenancy?

- A. Subject to probate administration and the decedent's debts
- B. Controlled by a court-appointed guardian during estate settlement
- C. Exempt from probate due to the right of survivorship ✓
- D. Passed through probate only if the will specifies joint tenancy property

Answer: C. Joint tenancy with right of survivorship bypasses probate entirely, allowing immediate transfer to the surviving joint tenant(s) upon death.

Q 8.8 ·v3 A property owner in Hawaii holds real property in joint tenancy with another person. Upon the owner's death, the property will most likely:

- A. Be held in trust by the decedent's personal representative
- B. Be distributed according to Hawaii's intestacy statutes
- C. Go through a formal probate process as part of the estate

D. Pass directly to the surviving joint tenant outside of probate ✓

Answer: D. The right of survivorship inherent in joint tenancy ensures the property transfers automatically to the surviving joint tenant(s), completely avoiding probate.

Q 8.8 ·v4 Compared to sole ownership, what is a key advantage of holding property in joint tenancy regarding estate disposition?

- A. The property avoids estate taxes through a stepped-up basis
- B. The property is automatically subject to a recorded deed of trust

C. The surviving joint tenant receives the property without probate proceedings ✓

- D. The surviving joint tenant must file an affidavit with the probate court

Answer: C. Joint tenancy's right of survivorship allows seamless transfer to the surviving co-owner(s) upon death, bypassing the probate system entirely.

Q 8.8 ·v5 When a joint tenant dies, how does their interest in the property transfer to the surviving joint tenant?

A. Automatically by operation of law, without probate proceedings ✓

- B. Through the probate court system
- C. To a designated beneficiary named in a deed
- D. Via the decedent's will or the state intestacy statute

Answer: A. Joint tenancy with right of survivorship transfers property directly to surviving co-owners outside the probate process upon death.

Q 8.8 ·v6 Which statement correctly describes what happens to jointly held real property when one joint tenant passes away?

A. Title automatically vests in the surviving joint tenant(s) outside probate ✓

- B. The property must be transferred by court order following intestate succession laws
- C. Ownership transfers to the county recorder's office until heirs claim it
- D. The deceased's share goes to their estate and is distributed through probate

Answer: A. Joint tenancy includes the right of survivorship, which causes the property to pass automatically to surviving joint tenants without probate involvement.

Q 8.8 · v7 A property is titled in joint tenancy between two individuals. Upon the death of one joint tenant, the surviving joint tenant's interest in the property is determined by:

- A. Creditors' claims filed during the probate period
- B. The provisions of the decedent's last will and testament
- C. The right of survivorship inherent in the joint tenancy arrangement ✓**
- D. State laws governing probate administration and estate settlement

Answer: C. The right of survivorship is a fundamental characteristic of joint tenancy that automatically passes the deceased's share to the surviving co-owner(s) outside probate.

Q 8.8 · v8 If real estate is owned in joint tenancy and one owner dies, which of the following best describes the transfer of that owner's property interest?

- A. It passes according to the decedent's intestate succession plan
- B. It transfers immediately to the surviving joint tenant(s) by operation of law ✓**
- C. It is held in trust for the heirs until probate is completed
- D. It becomes part of the probate estate and is subject to court administration

Answer: B. Joint tenancy creates an automatic transfer mechanism—the right of survivorship—that bypasses probate entirely and vests the property directly in surviving co-owners.

Q 8.8 · v9 When a joint tenant dies, how does their interest in the property transfer to the surviving joint tenant?

- A. Automatically by operation of law without probate proceedings ✓**
- B. Through the probate court system with a will requirement
- C. By quitclaim deed filed with the county recorder
- D. Through the Hawaii intestate succession statutes

Answer: A. Joint tenancy includes the right of survivorship, which automatically transfers the deceased's interest to surviving joint tenants outside the probate process by operation of law.

Q 8.9 A "cloud on title" is:

- A. A type of warranty
- B. A federal lien
- C. An unresolved title claim or defect ✓**
- D. A weather event

Answer: C. Cloud = title defect or unresolved claim.

Q 8.9 · v1 Which of the following best describes what a title professional means by a "cloud on title"?

- A. A type of title insurance policy endorsement
- B. A period of overcast weather that delays closing
- C. An outstanding claim or encumbrance that casts doubt on ownership ✓**
- D. A recorded easement benefiting adjacent property

Answer: C. A cloud on title is any defect or unresolved claim that impairs the seller's ability to convey clear ownership to the buyer.

Q 8.9 · v2 In Hawaii real estate transactions, when a seller's title report shows a potential "cloud," this typically indicates:

- A. The property is located in a flood zone
- B. The buyer must obtain a survey before closing
- C. There is a questionable claim or unresolved defect affecting ownership ✓**
- D. The property has an existing deed of trust that may be assumed

Answer: C. A cloud on title represents any issue—such as a competing claim, old lien, or improperly released mortgage—that clouds the marketability of the title.

Q 8.9 · v3 A real estate licensee should advise a buyer that a "cloud on title" means:

- A. There is an unresolved title issue or adverse claim that needs to be cleared ✓**
- B. The property cannot be financed by conventional lenders
- C. The seller holds only a life estate rather than fee simple ownership
- D. The property is subject to a homeowners association lien

Answer: A. A cloud on title is any defect or competing claim that impairs clear title and must typically be resolved before or at closing.

Q 8.9 · v4 Which situation would most likely create a "cloud on title" that a title search might reveal?

- A. The current owner holds a mortgage with a reputable institutional lender
- B. The property is assessed for property taxes annually
- C. The property is zoned for residential use in an urban area
- D. A previous owner's unpaid judgment lien remains recorded against the property ✓**

Answer: D. A cloud on title consists of unresolved claims or defects—such as judgment liens, unreleased mortgages, or competing ownership claims—that cloud marketability.

Q 8.9 ·v5 When a title search reveals a 'cloud on title,' what does this indicate?

- A. A mechanic's lien has been placed on the property by a contractor
- B. The property has been registered with the Hawaii Land Court system
- C. There is an outstanding claim or defect that impairs the seller's ability to transfer clear ownership ✓**
- D. The property is located in a flood zone requiring additional insurance

Answer: C. A cloud on title is any claim, lien, or defect that creates uncertainty or impairs ownership rights; it must be resolved before a clean title transfer.

Q 8.9 ·v6 Which of the following best describes a 'cloud on title' in real estate transactions?

- A. A covenant requiring disclosure of property defects to future buyers
- B. An easement granted by the state of Hawaii for public utility purposes
- C. An unresolved or questionable claim against the property that affects marketability ✓**
- D. A title insurance policy that limits coverage to specific risks

Answer: C. A cloud on title is a defect or unresolved claim that makes the title unmarketable; it must be cleared through legal action or settlement.

Q 8.9 ·v7 A title company discovers a 'cloud on title' during a preliminary examination. What does this mean?

- A. The property deed must be recorded with the state tax assessor
- B. The property is subject to deed restrictions that limit future use
- C. The owner has failed to pay property taxes for the current fiscal year
- D. There exists an outstanding claim, prior lien, or other defect that affects clear ownership transfer ✓**

Answer: D. A cloud on title represents any unresolved title defect or claim that compromises the seller's ability to convey marketable title.

Q 8.9 ·v8 In Hawaii real estate practice, a 'cloud on title' refers to:

- A. An unresolved title defect or questionable claim that must be resolved before clear title passes ✓**
- B. A preliminary assessment required by the Hawaii Real Estate Commission
- C. A requirement to obtain title insurance before closing escrow
- D. A notice from the Hawaii Department of Land and Natural Resources regarding property boundaries

Answer: A. A cloud on title is any defect, lien, or claim that creates doubt about ownership; it impairs marketability until resolved.

Q 8.9 ·v9 When a title examiner discovers a "cloud on title," what does this mean for the property owner?

- A. The property is located in a flood-prone area requiring additional insurance
- B. The seller must provide a title commitment within 10 days
- C. There is a potential dispute or encumbrance that may affect ownership rights ✓**
- D. A mechanic's lien has been recorded against the property

Answer: C. A cloud on title refers to any unresolved claim, defect, or potential dispute that casts doubt on clear ownership—distinct from specific liens or weather conditions.

Q 8.10 A deed must be signed by:

- A. Both parties
- B. Grantor only ✓**
- C. A notary only
- D. Grantee only

Answer: B. Only the grantor signs the deed.

Q 8.10 ·v1 Which party is responsible for executing (signing) a warranty deed?

- A. The title company representative
- B. Both the transferor and recipient together
- C. The transferor of the property ✓**
- D. The recipient of the property

Answer: C. The transferor (grantor) executes the deed by signing it; the grantee does not need to sign for the deed to be valid.

Q 8.10 ·v2 When preparing a quitclaim deed for a real estate transaction, whose signature is required on the document?

- A. Only the person receiving the property must sign
- B. Only the person conveying the property must sign ✓**
- C. A licensed Hawaii attorney must sign as witness
- D. Both the grantor and grantee must sign

Answer: B. Only the grantor (person conveying) needs to sign the deed; the grantee's signature is not a legal requirement for deed validity.

Q 8.10 ·v3 Under Hawaii real estate law, a deed requires the signature of:

- A. The grantee and grantor in equal capacity
- B. The grantor alone ✓**
- C. The escrow agent and title company officer
- D. A notary public acting as principal

Answer: B. The grantor's signature alone is sufficient to execute a valid deed; the grantee does not sign the deed.

Q 8.10 ·v4 Which of the following statements about deed execution in Hawaii is correct?

- A. Both parties must appear together to sign before a notary
- B. Only the grantor is required to sign a deed ✓**
- C. The grantor's agent can sign without the grantor's presence
- D. The grantee must countersign the deed for it to be recordable

Answer: B. A deed requires only the grantor's signature; the grantee is not a party to the execution of the deed.

Q 8.10 ·v5 In Hawaii real estate transactions, which party is responsible for executing the deed by adding their signature?

- A. The person transferring the property ✓**
- B. Both the transferor and transferee
- C. The person receiving the property
- D. The title company representative

Answer: A. The grantor (person transferring property) is the only party required to sign the deed; the grantee's signature is not necessary for a valid deed.

Q 8.10 ·v6 Which of the following is a requirement for executing a valid deed in Hawaii?

- A. Signature of the grantor only ✓**
- B. Signature of the grantee alone
- C. Signature of the grantee and grantor together
- D. Signature of a licensed escrow officer

Answer: A. Only the grantor must sign the deed; the grantee is not a signatory party to the instrument transferring title.

Q 8.10 ·v7 When closing a real estate transaction in Hawaii, whose signature makes a deed legally binding?

- A. Signatures from both parties equally
- B. The recorder's signature upon filing
- C. The grantor's signature only ✓**
- D. The grantee's signature and acknowledgment

Answer: C. The grantor's signature is what executes the deed and transfers title; the grantee does not sign the deed itself.

Q 8.10 ·v8 A seller is preparing to transfer property to a buyer through a warranty deed. Who must sign this document?

- A. The seller and buyer together
- B. Only the real estate agent handling the transaction
- C. Only the seller ✓**
- D. Only the buyer

Answer: C. The seller, as the grantor, is the only required signatory on the deed; the buyer (grantee) does not execute the deed.

Q 8.10 ·v9 When preparing a warranty deed for recording in Hawaii, whose signature is legally required on the document?

- A. The person receiving the property
- B. The county recorder
- C. The person transferring the property ✓**
- D. Both the transferor and transferee

Answer: C. Only the grantor (person transferring the property) must sign a deed. The grantee does not sign the deed, though they may sign other closing documents.

Q 8.11 The federal closing form for most residential mortgage loans is:

- A. HUD-1
- B. Settlement Statement
- C. Truth in Lending
- D. Closing Disclosure ✓**

Answer: D. CD replaced HUD-1 for TRID loans.

Q 8.11 ·v1 Under the TRID rule, which document must lenders provide to borrowers at closing for residential real estate transactions?

- A. Uniform Settlement Statement
- B. Final Loan Estimate
- C. Truth in Lending Act Disclosure

D. Closing Disclosure ✓

Answer: D. The Closing Disclosure is the mandatory TRID closing document that replaced the HUD-1 Settlement Statement for federally regulated residential mortgage transactions.

Q 8.11 ·v2 Which of the following is the current official closing document required by federal law for most home purchase loans?

- A. RESPA Accounting Form
- B. Loan Origination Statement

C. Closing Disclosure ✓

- D. HUD-1 Settlement Statement

Answer: C. The Closing Disclosure replaced the HUD-1 Settlement Statement when the TRID rule took effect, and is now the required federal closing document for residential mortgage loans.

Q 8.11 ·v3 A borrower is closing on a residential mortgage loan subject to federal TRID requirements. What form must the lender provide at the closing table?

- A. Promissory Note and Security Instrument
 - B. Good Faith Estimate and HUD-1
- C. Closing Disclosure ✓**
- D. Settlement Agreement and Title Insurance Commitment

Answer: C. The Closing Disclosure is the federally mandated form that lenders must provide at closing for TRID-covered residential loans, replacing the earlier HUD-1.

Q 8.11 ·v4 Since implementation of the TRID rule, the standard federal disclosure document provided at closing for residential home loans has been:

- A. Uniform Settlement Statement
- B. Loan Estimate only
- C. HUD-1 or its equivalent

D. Closing Disclosure ✓

Answer: D. The Closing Disclosure became the required federal closing document under TRID, superseding the HUD-1 Settlement Statement for residential mortgage transactions.

Q 8.11 ·v5 Under the TRID rule, which document must be provided to borrowers at closing for a federally-regulated residential mortgage transaction?

- A. Loan Estimate (final version)
- B. HUD-1 Settlement Statement
- C. Closing Disclosure ✓**
- D. Truth in Lending Statement

Answer: C. The Closing Disclosure is the mandatory federal closing document required by TRID regulations for most residential mortgage loans, replacing the older HUD-1 form.

Q 8.11 ·v6 A mortgage lender in Hawaii must provide borrowers with which official federal closing document three business days before settlement?

- A. Promissory Note
- B. Good Faith Estimate
- C. Closing Disclosure ✓**
- D. Settlement Statement

Answer: C. The Closing Disclosure is the TRID-required federal form that lenders must deliver at least three business days before closing for residential mortgage transactions.

Q 8.11 ·v7 Which of the following replaced the HUD-1 Settlement Statement as the standard federal closing disclosure form for most home loans?

- A. Affiliated Business Arrangement Disclosure
- B. Final Truth in Lending Act Notice
- C. Closing Disclosure ✓**
- D. Uniform Closing Dataset

Answer: C. The Closing Disclosure superseded the HUD-1 form under the TRID rule to provide consumers with a clearer, more standardized federal closing document.

Q 8.11 ·v8 In a typical residential mortgage closing subject to federal regulations, the lender must provide the borrower with:

- A. A Closing Disclosure that itemizes loan terms and closing costs ✓**
- B. A Truth in Lending disclosure at the time of closing
- C. A completed HUD-1 form signed by all parties
- D. A Settlement Statement within 24 hours after closing

Answer: A. The Closing Disclosure is the federally-mandated TRID form that lenders must provide to show loan terms and itemized closing costs for residential mortgage transactions.

Q 8.11 ·v9 Under TRID requirements, which document must a lender provide to a borrower at least three business days before closing on a residential mortgage transaction?

- A. Initial Escrow Statement
- B. Closing Disclosure ✓**
- C. HUD-1 Settlement Statement
- D. Truth in Lending Act Disclosure

Answer: B. The Closing Disclosure is the mandatory federal form required under TRID that replaced the HUD-1 and must be delivered to borrowers at least three business days before loan consummation.

Q 8.12 "To have and to hold" language is the:

- A. Acknowledgment
- B. Granting clause
- C. Habendum clause ✓**
- D. Recital

Answer: C. Habendum defines the extent of estate granted.

Q 8.12 ·v1 In a Hawaii deed, the clause that uses the phrase 'to have and to hold' and describes the type and duration of the estate being transferred is called the:

- A. Granting clause
- B. Covenant of seisin
- C. Acknowledgment clause
- D. Habendum clause ✓**

Answer: D. The habendum clause specifies the nature and extent of the estate granted, using traditional language 'to have and to hold.'

Q 8.12 ·v2 Which of the following deed provisions contains 'to have and to hold' language and defines the scope of the property interest being conveyed?

- A. Habendum ✓**
- B. Consideration clause
- C. Recital
- D. Attestation

Answer: A. The habendum clause is the portion of a deed that defines the extent and duration of the estate, traditionally beginning with 'to have and to hold.'

Q 8.12 ·v3 A grantor in Hawaii includes 'to have and to hold' language in a deed to establish and clarify the:

- A. Legal authority to execute the document
- B. Consideration paid for the property
- C. Validity of the grantor's title

D. Type and duration of the estate conveyed ✓

Answer: D. The habendum clause, which contains 'to have and to hold' language, specifies the nature, extent, and duration of the estate being transferred.

Q 8.12 ·v4 In Hawaii real estate documents, 'to have and to hold' phrasing is a defining characteristic of which deed clause?

- A. Testimonium clause
- B. Warranty clause
- C. Description clause

D. Habendum clause ✓

Answer: D. The habendum clause traditionally uses 'to have and to hold' language and establishes the extent and terms of the property interest granted.

Q 8.12 ·v5 In a Hawaii deed, which clause contains the phrase 'to have and to hold' and specifies the type and duration of the estate being transferred?

- A. Consideration clause
- B. Testimonium clause

C. Habendum clause ✓

- D. Recital clause

Answer: C. The habendum clause defines the nature and extent of the estate granted and traditionally includes 'to have and to hold' language.

Q 8.12 ·v6 A grantor uses the words 'to have and to hold' in a deed. What is the name of the deed section that contains this language?

A. Habendum clause ✓

- B. Acknowledgment
- C. Granting clause
- D. Description of property

Answer: A. The habendum clause is the traditional location for 'to have and to hold' language and establishes the extent of the estate transferred.

Q 8.12 ·v7 Which of the following deed provisions is characterized by the phrase 'to have and to hold' and determines the scope of ownership rights being conveyed?

- A. The testimonium
- B. The recital
- C. The habendum clause ✓**
- D. The acknowledgment

Answer: C. The habendum clause contains 'to have and to hold' language and defines the precise nature and duration of the estate granted to the grantee.

Q 8.12 ·v8 When reviewing a deed document, your client asks you to identify where the 'to have and to hold' language appears and what function it serves. You should direct them to the:

- A. Recital, which states the consideration
- B. Habendum clause, which defines the estate and its duration ✓**
- C. Acknowledgment, which authenticates the grantor's signature
- D. Granting clause, which conveys the property

Answer: B. The habendum clause is the deed section containing 'to have and to hold' language and it specifies the extent and type of estate being granted.

Q 8.12 ·v9 Which deed clause contains the phrase 'to have and to hold' and specifies the nature and extent of the estate being transferred?

- A. The habendum clause ✓**
- B. The acknowledgment clause
- C. The consideration clause
- D. The warranty clause

Answer: A. The habendum clause uses 'to have and to hold' language to define the type and duration of the estate granted to the grantee.

09

The Practice of Real Estate

National portion 12 PSI items 27 key concepts 12 base questions

How licensees actually operate — trust funds, fair housing, ads, supervision, antitrust. License-revocation territory.

CHAPTER OVERVIEW

Trust accounts hold other people's money — earnest money deposits, security deposits, rents collected. Commingling personal and trust funds is a license-law violation in every state. So is conversion (using trust funds for the broker's own benefit, even temporarily). Trust accounts must be properly identified ("Trust Account" or "Client Trust Account"), held at a state-approved depository,

reconciled regularly (typically monthly), and with records retained for the period state law requires (commonly 3 years). Even accidental commingling — depositing a personal check that should have gone elsewhere — can trigger disciplinary action.

The Federal Fair Housing Act (1968) and its amendments prohibit discrimination in housing on the basis of seven protected classes: race, color, national origin, religion, sex, familial status (presence of children under 18), and disability. Hawaii and many other states add additional protected classes — Hawaii's HRS 515 includes ancestry, age, marital status, sexual orientation, gender identity, HIV/AIDS status, and source of income. Civil Rights Act of 1866 separately protects race in all property transactions.

Discriminatory practices that violate fair housing: refusal to sell or rent, different terms or conditions, false statements about availability, blockbusting (inducing sales by representing protected-class entry), steering (channeling buyers to or away from neighborhoods based on protected class), redlining (refusing to lend or insure in certain areas), discriminatory advertising. ADA (Americans with Disabilities Act) covers accessibility in commercial property.

Advertising rules require: identifying the firm by name, distinguishing "agent" from "broker" titles per state law, avoiding misleading claims, not falsely advertising as the listing broker, never soliciting a property currently under exclusive agreement with another broker. "Truth in advertising" applies equally to print, MLS, internet, social media, and email. Many states require specific language for licensees ("each office independently owned and operated").

Supervision: brokers are responsible for the acts of their licensees. Failure to supervise can revoke the broker's license even if the agent's violation was unilateral. Independent contractor status (typical in real estate for tax purposes) does NOT reduce the broker's license-law supervisory duty. Brokers must have written policies covering trust accounts, advertising, fair housing, dispute resolution, and ongoing training.

Antitrust law (the federal Sherman Act) bans price fixing — brokers agreeing on commission rates is a per se violation, no defenses. Market allocation (geographic carve-ups: "you take the east side, I'll take the west") is also per se illegal. Group boycotts (brokers agreeing to refuse dealings with another firm) are per se illegal. Tying arrangements (forcing customers to buy one product to get another) are scrutinized. The phrase "What's the going commission rate?" must be answered with "commissions are negotiable" — a market-rate quote could be construed as evidence of conspiracy.

Procuring cause is the agent who initiated the unbroken chain leading to a sale. Determines commission entitlement when more than one agent has been involved. The party that "introduced" the buyer to the property is generally the procuring cause, but the chain can be broken by abandonment, by the buyer's genuine independent action, or by the listing broker's acceptance of cooperation from a different agent.

Ethics: NAR Code of Ethics binds REALTOR® members (a voluntary professional designation), not all licensees. State license law sets the legal floor; NAR Code is generally higher. Practicing within area of competence is a near-universal duty. Avoiding the unauthorized practice of law (UPL) is critical — agents can fill in standard form blanks but cannot draft contracts, give legal advice, or interpret legal documents.

KEY CONCEPTS & DEFINITIONS

Trust account	Separate account holding client/customer funds. No commingling. Subject to audit.
Commingling	Mixing personal and trust funds. License-law violation everywhere.
Conversion	Using trust funds for personal benefit. Felony in many states.
Reconciliation	Periodic verification (typically monthly) that trust account balance matches owed amounts.
Fair Housing Act (1968 + amendments)	Federal law banning discrimination in housing on 7 protected bases.
Civil Rights Act of 1866	Prohibits race discrimination in all property transactions. No exceptions.
Protected class (federal)	Race, color, national origin, religion, sex, familial status, disability.
Protected class (Hawaii HRS 515)	Federal + ancestry, age, marital status, sexual orientation, gender identity, HIV, source of income.
Familial status	Presence of children under 18 (or pregnant). Senior housing has narrow exception.
Steering	Channeling buyers to/away from neighborhoods based on protected class. Illegal.
Blockbusting	Inducing sales by representing protected-class entry. Illegal.
Redlining	Refusing to lend or insure in protected-class areas. Illegal.
Discriminatory advertising	Ads suggesting preference for/against any protected class. Illegal.
ADA	Americans with Disabilities Act. Accessibility in public accommodations and commercial.
Sherman Antitrust Act	Federal antitrust. Price fixing, market allocation, group boycotts are per se illegal.
Price fixing	Brokers agreeing on commission rates. Per se Sherman violation.
Market allocation	Brokers agreeing to divide territory or customers. Per se illegal.
Group boycott	Brokers agreeing to refuse dealings with another firm. Per se illegal.
Tying arrangement	Forcing customer to buy product B to get product A. Antitrust scrutiny.
Independent contractor	Agent classified for tax purposes; broker still supervises for license law.
Failure to supervise	Broker liability for licensee's violations. Can revoke broker license.
NAR Code of Ethics	Voluntary professional code; binding on REALTOR® members; not state law.
Procuring cause	Agent who initiated the unbroken chain leading to a sale. Determines commission entitlement.
Unauthorized practice of law (UPL)	Drafting contracts, giving legal advice, interpreting documents — agent must avoid.

Truth in advertising	Ads must accurately reflect property, firm, and licensee status.
Continuing education	Ongoing training required for license renewal. Hours and topics vary by state.
RESPA Section 8	Bans kickbacks and unearned fees among settlement service providers.

QUESTION BANK — THE PRACTICE OF REAL ESTATE

Q 9.1 Steering means:

- A. Negotiating price
- B. Offering homestaging advice
- C. Channeling buyers based on protected class ✓**
- D. Encouraging a buyer to use your lender

Answer: C. Steering is a textbook fair housing violation.

Q 9.1 ·v1 Which practice constitutes steering in real estate?

- A. Suggesting a specific appraisal method to expedite closing
- B. Directing prospects toward or away from neighborhoods based on race or national origin ✓**
- C. Recommending a property inspection company to a buyer
- D. Advising clients on staging to improve marketability

Answer: B. Steering involves directing buyers or sellers to or away from particular areas based on protected characteristics, which is a violation of the Fair Housing Act.

Q 9.1 ·v2 A licensee would be engaged in steering if they:

- A. Required the use of a specific title company
- B. Provided comparable market analysis to justify listing price
- C. Explained different financing options available in the market
- D. Selectively showed properties to clients based on their race or familial status ✓**

Answer: D. Selectively showing properties based on protected class characteristics is a classic example of steering, a prohibited fair housing practice under Hawaii REC rules.

Q 9.1 ·v3 Under Hawaii fair housing law, steering occurs when a real estate agent:

- A. Coordinates with home inspectors to schedule property examinations
- B. Explains property tax implications of a purchase
- C. Channels prospective tenants away from certain buildings due to their religion ✓**
- D. Assists clients in obtaining pre-approval letters from lenders

Answer: C. Steering based on protected class status—including religion—violates fair housing protections and is strictly prohibited in Hawaii real estate practice.

Q 9.1 ·v4 Which of the following best describes steering in a real estate context?

- A. Providing multiple listing options within the buyer's stated budget
- B. Recommending energy-efficient upgrades during a listing presentation
- C. Negotiating HOA fees on behalf of a buyer

D. Influencing where buyers or renters can live based on protected class membership ✓

Answer: D. Steering is the practice of directing prospects toward or away from properties based on their membership in a protected class, constituting a fair housing violation.

Q 9.1 ·v5 Under Hawaii fair housing law, which practice constitutes steering?

- A. Recommending a property inspection company to a client

B. Directing buyers away from certain areas based on their race or national origin ✓

- C. Advising a seller on comparable market analysis
- D. Showing properties in neighborhoods where the buyer's income qualifies

Answer: B. Steering—directing or discouraging buyers based on protected characteristics—is a direct violation of fair housing laws in Hawaii and federally.

Q 9.1 ·v6 A licensee commits steering when they:

- A. Provide a list of approved contractors for home repairs

B. Subtly discourage an applicant from purchasing in a particular neighborhood due to their familial status ✓

- C. Explain closing costs and loan terms to a client
- D. Limit property showings to areas where a buyer can afford based on financing

Answer: B. Steering based on protected class characteristics (including familial status) is illegal. Limiting showings by affordability or providing contractor referrals are legitimate business practices.

Q 9.1 ·v7 Which scenario best describes steering as a fair housing violation?

- A. A salesperson refers buyers to mortgage lenders for pre-qualification
- B. An associate broker recommends title insurance and escrow services
- C. A broker encourages a client to put down a larger deposit for a stronger offer

D. An agent channels prospective buyers away from specific communities because of their religion ✓

Answer: D. Steering involves steering buyers away from or toward properties based on protected class status; recommending financial services or negotiating terms are lawful activities.

Q 9.1 · v8 In Hawaii real estate practice, steering is prohibited because it:

- A. Limits consumers' free choice by channeling them based on protected class membership ✓**
- B. Reduces the number of properties shown to each client
- C. Requires additional paperwork at closing
- D. Increases transaction costs for the brokerage

Answer: A. Steering violates fair housing by restricting buyer choice and opportunity based on race, color, national origin, religion, sex, familial status, or disability—not for administrative or transaction reasons.

Q 9.1 · v9 Under Hawaii fair housing law, which practice constitutes steering?

- A. Advising a seller to accept a competitive offer
- B. Recommending a property inspection company to a client
- C. Suggesting mortgage pre-approval before showing properties
- D. Directing prospective buyers toward or away from neighborhoods based on their race or national origin ✓**

Answer: D. Steering is the unlawful practice of influencing buyers or renters to favor certain properties or neighborhoods based on protected class characteristics. It is a direct violation of the Fair Housing Act and Hawaii REC rules.

Q 9.2 A broker uses earnest money to pay office rent. This is:

- A. Procuring cause
- B. Allowed if reimbursed
- C. Commingling only
- D. Conversion ✓**

Answer: D. Conversion = using trust funds for own benefit.

Q 9.2 · v1 A broker deposits client earnest money into the operating account and withdraws funds to cover monthly overhead expenses. What violation has occurred?

- A. Conversion of client funds ✓**
- B. Commingling with subsequent accounting
- C. Improper trust account designation
- D. Breach of fiduciary duty

Answer: A. Conversion is the unauthorized use of client trust funds for the broker's own business purposes, regardless of intent to repay. Using earnest money for overhead expenses constitutes conversion.

Q 9.2 ·v2 Under Hawaii real estate law, if a broker takes earnest money received from a buyer and uses it to pay for advertising costs for the brokerage, this action is best described as:

- A. Proper trust account management
- B. Negligent record-keeping
- C. Commingling

D. Conversion ✓

Answer: D. Conversion occurs when a broker misappropriates client funds for personal or business use. Using earnest money for the broker's advertising expenses is conversion, not merely commingling.

Q 9.2 ·v3 A broker receives earnest money from a transaction and deposits it into a mixed account containing both client funds and broker operating funds. The broker then withdraws the earnest money amount to pay utilities for the real estate office. This constitutes:

- A. Lawful use if documented properly
- B. Conversion of client funds ✓**
- C. Commingling and breach of trust account rules
- D. Record-keeping violations only

Answer: B. The unauthorized taking and use of earnest money for business expenses is conversion, the most serious violation. Commingling may also be present, but conversion is the primary violation.

Q 9.2 ·v4 When a broker receives earnest money from a client and applies those funds to pay the broker's personal business obligations without authorization, this action is:

- A. Procuring cause
- B. A minor commingling issue
- C. Conversion ✓**
- D. Acceptable if the broker maintains detailed records

Answer: C. Conversion is the misappropriation of client trust funds for the broker's own use or benefit. Record-keeping does not excuse the unauthorized use of client money for broker obligations.

Q 9.2 ·v5 A broker deposits client earnest money into a trust account, then withdraws funds to cover the broker's personal business expenses. What violation has occurred?

- A. Misappropriation of commingled funds
- B. Conversion of trust account monies ✓**
- C. Breach of fiduciary duty without conversion
- D. Failure to maintain proper escrow accounting

Answer: B. Conversion occurs when a broker uses client trust funds for personal benefit, regardless of intent to repay. This is a serious violation of Hawaii REC trust account rules.

Q 9.2 ·v6 Which of the following scenarios represents an illegal use of earnest money deposits?

- A. Depositing earnest money in a non-interest bearing trust account
- B. Commingling earnest money with other client funds in one account
- C. Using earnest money to pay the broker's monthly office utilities ✓**
- D. Holding earnest money for 30 days before disbursing per closing instructions

Answer: C. Using client trust funds for broker business expenses constitutes conversion, the unauthorized appropriation of another's property for personal use.

Q 9.2 ·v7 A real estate broker receives earnest money on a transaction and places it in the trust account. The broker then withdraws a portion to pay salesperson commissions owed from a previous sale. This action is best described as:

- A. Failure to follow proper escrow procedures
- B. Conversion of client funds ✓**
- C. Commingling of earnest money with operating funds
- D. Improper trust accounting with correctable deficiencies

Answer: B. Converting trust account funds to pay broker or salesperson obligations—even legitimate business expenses—is conversion because the funds belong to clients and must not be used for broker benefit.

Q 9.2 ·v8 If a broker temporarily uses earnest money held in trust to pay office expenses with a written plan to repay within 30 days, the broker has committed:

- A. Negligent trust account management
- B. A technical violation requiring a corrective notice
- C. Commingling that requires trust account remediation
- D. Conversion of trust monies ✓**

Answer: D. Conversion is using trust funds for personal benefit—the intent to repay does not cure conversion because the funds were misappropriated when withdrawn, not borrowed.

Q 9.2 ·v9 A broker deposits earnest money into the firm's operating account and withdraws funds to cover monthly office expenses. What violation has occurred?

- A. Breach of fiduciary duty that is curable upon repayment
- B. Conversion of trust account funds ✓**
- C. Commingling of client and broker funds
- D. Unauthorized practice of real estate

Answer: B. Conversion occurs when a broker uses client trust funds (earnest money) for personal or business expenses, which constitutes misappropriation regardless of intent to repay. This is distinct from commingling, which is improper account management but may not involve actual use of funds.

Q 9.3 Two competing brokers agree to charge 6% on all listings. This is:

- A. Standard practice
- B. A market efficiency
- C. Price negotiation

D. Price fixing — antitrust violation ✓

Answer: D. Sherman Act violation; commissions are negotiable.

Q 9.3 ·v1 Three brokers in the same MLS area secretly agree to maintain a uniform 6% commission rate across all their listings. What legal issue does this create?

- A. A collaborative market standard that benefits consumers
- B. A reasonable industry custom that promotes transparency
- C. Unfair competition under Hawaii's Uniform Deceptive Trade Practices Act

D. Horizontal price-fixing in violation of antitrust law ✓

Answer: D. Broker agreements to fix commission rates constitute per se antitrust violations under the Sherman Act; commissions must remain independently negotiable.

Q 9.3 ·v2 A broker overhears a competitor mention using a 6% flat fee on residential sales and decides to adopt the same rate. If both brokers' rates are identical, is this legal?

- A. Yes, only if they document the decision in writing
- B. No, because matching competitors' commissions always violates antitrust law
- C. No, because any uniform rate structure is considered per se illegal

D. Yes, because independent pricing decisions are lawful even if they coincide ✓

Answer: D. Independent, unilateral pricing decisions are legal under antitrust law; illegality arises only from agreement or conspiracy to fix prices.

Q 9.3 ·v3 During a broker association meeting, Broker A proposes that all members commit to a minimum 6% commission to protect market stability. Broker B agrees verbally. This proposal is:

- A. Permissible under the Realtor® Code of Ethics
- B. Legal collaborative pricing in a professional association context
- C. A standard practice recognized by the Hawaii Real Estate Commission

D. An illegal cartel arrangement violating Sherman Act Section 1 ✓

Answer: D. Commission agreements between competing brokers, even within professional organizations, constitute illegal price-fixing under antitrust law.

Q 9.3 ·v4 Broker X and Broker Y compete in the same market. They exchange information about their commission structures and then both implement identical 6% rates on comparable properties. The brokers claim they arrived at this rate independently. What is the likely legal outcome?

- A. The arrangement is legal as long as it doesn't exceed the state-mandated maximum
- B. The brokers are protected because each set their rate independently
- C. Courts may infer an unlawful agreement from the exchange of price information and parallel conduct ✓**
- D. Hawaii Real Estate Commission approval eliminates any antitrust exposure

Answer: C. Parallel pricing combined with evidence of communication regarding commissions can establish an illegal agreement; the exchange of rate information suggests conspiracy, not independent decision-making.

Q 9.3 ·v5 A group of three real estate firms in the same market decide together to uniformly charge 5.5% commission on all residential transactions. What legal issue does this create?

- A. Fair competition practice
- B. Compliance with Hawaii Real Estate Commission guidelines
- C. Violation of the Sherman Antitrust Act ✓**
- D. A reasonable market stabilization agreement

Answer: C. Competitors agreeing on commission rates constitutes price fixing, a per se Sherman Act violation; commissions must remain independently negotiable by each broker.

Q 9.3 ·v6 Four brokers in Honolulu meet and collectively decide to charge no less than 6% commission on all listings in their market area. This agreement is:

- A. An acceptable trade association standard
- B. Required by Hawaii Real Estate Commission rules
- C. An illegal restraint of trade under federal antitrust law ✓**
- D. A customary industry practice

Answer: C. Horizontal agreements among competitors to set minimum commission rates violate antitrust law; each broker must independently set their own commission rates.

Q 9.3 ·v7 If brokers in the same geographic area conspire to establish a uniform 6% commission structure across all their firms, they are engaging in:

- A. Consumer protection
- B. Predictable market behavior
- C. Price fixing—a federal antitrust violation ✓**
- D. Standard industry coordination

Answer: C. Such collusion constitutes illegal price fixing under the Sherman Act; commission rates must be determined independently by each broker without agreement or coordination.

Q 9.3 · v8 Two brokers discuss and agree to charge identical 6% commissions on all their listings to avoid 'destructive competition.' This arrangement violates:

- A. The Sherman Antitrust Act** ✓
- B. Local board of REALTORS® bylaws
- C. Hawaii Revised Statutes on brokerage operations
- D. Hawaii real estate licensing renewal requirements

Answer: A. Commission rates are individually negotiable; competitors cannot agree on commission levels or structure as this constitutes illegal price fixing under federal antitrust law.

Q 9.3 · v9 Three real estate brokers in the same market decide together to maintain a uniform 6% commission rate across all properties. What legal issue does this arrangement create?

- A. Violation of the Sherman Antitrust Act through horizontal price fixing** ✓
- B. An acceptable industry custom that benefits consumers through predictability
- C. Compliance with Hawaii real estate industry standards
- D. A legitimate cooperative marketing agreement

Answer: A. Brokers agreeing to set commissions at a fixed rate constitutes illegal price fixing under antitrust law; commissions must be independently determined and negotiable with clients.

Q 9.4 Federal Fair Housing's 7 protected classes include:

- A. Race, color, religion, sex, national origin, familial status, disability** ✓
- B. Race and religion only
- C. Income and credit score
- D. Race only

Answer: A. These are the seven federal classes; states (including Hawaii) add more.

Q 9.4 · v1 Under the Fair Housing Act, which of the following represents the complete list of federally protected classes?

- A. Race, color, religion, sex, national origin, and disability only
- B. Race, color, and religion only
- C. Race, color, religion, sex, national origin, familial status, disability, and age
- D. Race, color, religion, sex, national origin, familial status, and disability** ✓

Answer: D. Federal Fair Housing law protects these seven specific classes; age is a protected class in some states like Hawaii but not federally under Fair Housing Act.

Q 9.4 ·v2 A real estate licensee in Hawaii must understand that the federal Fair Housing Act prohibits discrimination based on which categories?

- A. Race, color, religion, sex, national origin, familial status, and disability ✓**
- B. Race, gender, and family composition only
- C. Employment history and financial status
- D. Sexual orientation and marital status

Answer: A. The seven federal protected classes are enumerated in the Fair Housing Act; sexual orientation and marital status are protected under Hawaii state law but not the federal act.

Q 9.4 ·v3 When discussing fair housing compliance with clients, you should know that federal law specifically protects individuals in which of these categories?

- A. Socioeconomic status and educational background
- B. Race, color, religion, sex, national origin, familial status, and disability ✓**
- C. Race and color only
- D. National origin, familial status, and disability

Answer: B. The Fair Housing Act lists exactly seven protected classes; socioeconomic status and education are not federally protected categories.

Q 9.4 ·v4 Which statement correctly identifies the scope of federal Fair Housing Act protections?

- A. Federal law protects only against race discrimination; states add other categories
- B. Protection covers only race and national origin
- C. Protection applies to race, color, and religion, plus four additional protected classes ✓**
- D. Protection applies to race, color, religion, sex, national origin, familial status, disability, and political affiliation

Answer: C. Federal Fair Housing protects seven specific classes: race, color, religion, sex, national origin, familial status, and disability; political affiliation is not a federally protected class.

Q 9.4 ·v5 Which of the following represents the complete list of protected classes under the federal Fair Housing Act?

- A. Race, color, religion, sex, national origin, and disability only
- B. Race, color, religion, sex, national origin, familial status, disability, and marital status
- C. Race, color, religion, sex, national origin, familial status, disability ✓**
- D. Race, color, religion, sex, national origin, familial status, disability, and sexual orientation

Answer: C. The Fair Housing Act prohibits discrimination based on exactly these seven protected classes; Hawaii and other states may add additional protections beyond federal law.

Q 9.4 · v6 A real estate agent must be aware that federal fair housing law prohibits discrimination based on membership in which groups?

- A. Sexual orientation and gender identity only
- B. Religion and national origin only
- C. Race, color, religion, sex, national origin, familial status, and disability ✓**
- D. Employment history and credit rating

Answer: C. These seven classes are the federal baseline for protected-class status; additional protections may exist under state or local law, but federal law covers these specific categories.

Q 9.4 · v7 Under the federal Fair Housing Act, which combination of protected classes is legally prohibited from being used as a basis for discrimination in housing transactions?

- A. Race, color, familial status, and disability only
- B. National origin and familial status only
- C. Race, color, religion, sex, national origin, familial status, and disability ✓**
- D. Religion, sex, disability, and sexual orientation only

Answer: C. Federal fair housing law protects these seven distinct classes; Hawaii may recognize additional protected classes, but the federal requirement covers all seven.

Q 9.4 · v8 If a Hawaii licensee is training on federal Fair Housing Act compliance, they should know the seven protected classes are which of the following?

- A. Race, color, age, disability, sexual orientation, and religion
- B. Race, color, religion, and national origin only
- C. Sex, national origin, familial status, disability, and marital status
- D. Race, color, religion, sex, national origin, familial status, and disability ✓**

Answer: D. These are the exact seven protected classes established by the federal Fair Housing Act; states and counties may add protections, but these seven form the federal foundation.

Q 9.4 · v9 Under the federal Fair Housing Act, which of the following represents the complete list of protected classes?

- A. Income level, employment history, credit rating, and financial status
- B. Sex and disability only
- C. Race, color, religion, sex, national origin, familial status, and disability ✓**
- D. Race, color, and religion only

Answer: C. The Fair Housing Act protects these seven federal classes; Hawaii state law adds additional protected classes beyond the federal minimum.

Q 9.5 A broker who pays an undisclosed referral fee to a settlement service provider violates:

- A. RESPA Section 8** ✓
- B. ECOA
- C. Truth in Lending
- D. Statute of Frauds

Answer: A. RESPA Section 8 bans kickbacks and unearned referral fees.

Q 9.5 ·v1 Which federal law prohibits a real estate broker from accepting hidden compensation from a title company in exchange for steering clients to that company?

- A. Real Estate Settlement Procedures Act compliance standards
- B. Equal Credit Opportunity Act
- C. RESPA Section 8** ✓
- D. Fair Housing Act

Answer: C. RESPA Section 8 explicitly prohibits kickbacks and unearned fees for referrals of settlement services, regardless of whether they are disclosed.

Q 9.5 ·v2 A broker receives a payment from an escrow company for referring a client but does not disclose this arrangement to the client. This broker has violated which regulation?

- A. RESPA antiKickback provisions** ✓
- B. California Fair Housing laws
- C. TRID disclosure requirements
- D. Dodd-Frank Act consumer protections

Answer: A. RESPA Section 8 prohibits all undisclosed referral fees and kickbacks for settlement services; disclosure does not cure the violation.

Q 9.5 ·v3 Under Hawaii real estate law and federal regulations, paying an undisclosed fee to a settlement service provider for client referrals violates which of the following?

- A. Gramm-Leach-Bliley privacy standards
- B. RESPA Section 8** ✓
- C. Truth in Savings Act
- D. Community Reinvestment Act

Answer: B. RESPA Section 8 bans all kickbacks and unearned referral fees to settlement service providers, whether disclosed or not.

Q 9.5 ·v4 A broker agrees with a title company to share fees for referred clients without informing the clients of this arrangement. Which federal statute has been violated?

A. RESPA Section 8 antiKickback rule ✓

- B. Interstate Land Sales Full Disclosure Act
- C. Federal Trade Commission Act Section 5
- D. Homeowners Protection Act

Answer: A. RESPA Section 8 prohibits undisclosed referral fees and kickbacks between service providers; secrecy about the arrangement is a core element of the violation.

Q 9.5 ·v5 Which federal law prohibits a real estate broker from accepting hidden compensation from a title company in exchange for referring clients to that company?

A. RESPA Section 8 ✓

- B. Real Estate Settlement Procedures Act disclosure requirements
- C. Equal Credit Opportunity Act
- D. Fair Housing Act

Answer: A. RESPA Section 8 specifically prohibits kickbacks and undisclosed referral fees between settlement service providers and brokers.

Q 9.5 ·v6 A broker receives a payment from an appraisal company for steering transactions to them without disclosing this arrangement to clients. This violates:

- A. Regulation Z
- B. The Dodd-Frank Act
- C. Hawaii Real Estate Commission compensation rules only

D. RESPA Section 8 ✓

Answer: D. RESPA Section 8 prohibits undisclosed referral fees and kickbacks between settlement service providers, including appraisers and brokers.

Q 9.5 ·v7 When a broker fails to disclose that they received compensation from a lender for referring a borrower, which law has most likely been violated?

- A. Truth in Lending Act
- B. Gramm-Leach-Bliley Act
- C. Community Reinvestment Act

D. RESPA Section 8 ✓

Answer: D. RESPA Section 8 explicitly prohibits undisclosed kickbacks and referral fees paid by settlement service providers to brokers or other referral sources.

Q 9.5 · v8 A settlement agent pays a broker a concealed fee for referrals without the client's knowledge. This practice violates:

- A. The Fair Credit Reporting Act
- B. RESPA Section 8 ✓**
- C. Regulation B
- D. The Interstate Land Sales Full Disclosure Act

Answer: B. RESPA Section 8 bans undisclosed payments between settlement service providers and referral sources as unearned kickbacks.

Q 9.5 · v9 Which federal statute is violated when a real estate broker secretly compensates a title company employee for referring business to that settlement service?

- A. RESPA Section 8 ✓**
- B. Hawaii Residential Tenancies Law
- C. Regulation Z
- D. Fair Housing Act

Answer: A. RESPA Section 8 explicitly prohibits kickbacks and unearned fees paid to settlement service providers for referrals, whether disclosed or undisclosed.

Q 9.6 "Familial status" protection includes:

- A. Senior citizens only
- B. Married couples only
- C. Households with children under 18 or pregnant ✓**
- D. Adults only

Answer: C. Familial status = children under 18, with narrow senior-housing exception.

Q 9.6 · v1 Under Hawaii fair housing law, which group receives protection based on familial status?

- A. Retired persons aged 62 and older in all residential settings
- B. Single individuals without children or dependents
- C. Only married couples with biological children
- D. Families with dependent children under age 18 and expectant mothers ✓**

Answer: D. Familial status protection covers households with children under 18 and pregnant women; senior housing has limited exceptions but is not broadly protected under familial status.

Q 9.6 ·v2 A real estate licensee cannot discriminate based on familial status. This protected class encompasses:

- A. Elderly individuals living in age-restricted communities only
- B. Parents or guardians of minors and women who are pregnant ✓**
- C. Heterosexual married couples exclusively
- D. Childless couples planning to have children in the future

Answer: B. Familial status protection applies to households with children under 18 and pregnant individuals; future parenthood plans and age restrictions are separate issues.

Q 9.6 ·v3 Which of the following is protected under the familial status provision of fair housing law?

- A. A couple married 25 years with adult children over 21
- B. A pregnant woman applying for an apartment ✓**
- C. A divorced parent over age 55 without custody
- D. A bachelor seeking a rental in a building marketed to families

Answer: B. Familial status protection explicitly covers pregnant women; familial status does not protect unmarried individuals, post-child-rearing parents, or age-based preferences alone.

Q 9.6 ·v4 If a landlord refuses to rent to an applicant due to familial status, the protected group would likely include:

- A. Married individuals regardless of whether they have children
- B. All senior citizens seeking affordable housing
- C. Households with children under 18 and expectant mothers ✓**
- D. Couples without children who are unable to conceive

Answer: C. Familial status protection covers children under 18 and pregnant women; it does not protect based on marital status alone, age, or fertility status.

Q 9.6 ·v5 Under Hawaii's fair housing laws, which group receives explicit protection under the familial status classification?

- A. Couples without children regardless of marital status
- B. Retirees and individuals over age 62
- C. Families with minors under age 18 and expectant mothers ✓**
- D. Unmarried domestic partners with shared income

Answer: C. Familial status protection specifically covers households with children under 18 and pregnant individuals; age-based senior protections are limited to specific senior housing exemptions.

Q 9.6.v6 A landlord cannot discriminate based on familial status. This protection applies to:

- A. Owner-occupied buildings with fewer than four units
- B. Prospective tenants who are pregnant or have children under 18 ✓**
- C. Tenants who are legally married
- D. Properties with at least one resident over age 55

Answer: B. Familial status discrimination protections extend to households with children under 18 and pregnant individuals; owner-occupied and certain senior housing have different exemptions.

Q 9.6.v7 Which scenario would constitute a violation of familial status protection under Hawaii fair housing law?

- A. Refusing to rent to an elderly couple over age 70
- B. Requiring higher income from unmarried applicants
- C. Denying housing to a family with a child aged 12 ✓**
- D. Excluding single applicants from a property

Answer: C. Refusing housing based on the presence of a child under 18 violates familial status protections, which is the core definition of this protected class.

Q 9.6.v8 Familial status as a protected class in Hawaii real estate transactions covers:

- A. Households with combined family income above the state median
- B. Parents or guardians with dependent children under 18, plus pregnant women ✓**
- C. Residents in multi-generational living situations
- D. All individuals living in family-style arrangements

Answer: B. The familial status protection specifically targets discrimination against households with minor children under 18 and expectant mothers, excluding other family configurations.

Q 9.6.v9 Under Hawaii fair housing law, which of the following groups receives protection based on familial status?

- A. Individuals age 55 and older in any residential setting
- B. Unmarried cohabitating partners
- C. Families expecting a child or raising children younger than 18 years old ✓**
- D. Divorced parents without current custody arrangements

Answer: C. Familial status protection covers households with children under 18 and pregnant women; it does not protect based on marital status, age alone, or custody status except where children under 18 are present.

Q 9.7 When a broker says "What is the going commission rate?", the proper answer is:

- A. "6%"
- B. "Industry standard 7%"
- C. "Commissions are negotiable" ✓**
- D. "Whatever others charge"

Answer: C. Quoting "going rate" risks antitrust evidence; commissions are negotiable.

Q 9.7 ·v1 A broker asks you, "What commission percentage should I be charging to stay competitive?" What is the most legally appropriate response?

- A. "Check what the top firms in your market are charging."
- B. "Each broker sets their own commission rates independently." ✓**
- C. "The standard rate in Hawaii is 6%."
- D. "Most brokers are charging between 5% and 6% right now."

Answer: B. Brokers must set commissions independently; discussing or coordinating rates with competitors violates antitrust law.

Q 9.7 ·v2 During a board meeting, a broker inquires, "What's the typical commission percentage in our area these days?" How should this question be handled?

- A. Cite the average commission charged by the five largest brokerages.
- B. Reference the published Hawaii Real Estate Commission fee guidelines.
- C. Provide historical data from the local MLS about prevailing rates.
- D. Explain that each brokerage determines its own commission structure. ✓**

Answer: D. Discussing what competitors charge or endorsing a common rate creates antitrust liability; each firm must independently decide its compensation.

Q 9.7 ·v3 A real estate licensee asks a broker, "What rate do other offices charge so I know what to recommend to clients?" The correct guidance is:

- A. "Most successful brokers are staying at the traditional 5% rate."
- B. "Check the National Association of REALTORS® national averages."
- C. "Commission rates are individually determined by each brokerage." ✓**
- D. "Around 6% to 7%, based on regional benchmarks."

Answer: C. Referencing competitor rates or 'typical' percentages invites antitrust scrutiny; proper guidance is that each broker sets its own rates.

Q 9.7 ·v4 When discussing compensation structures with other brokers at a conference, you are asked, "What percentage are you using for commissions?" The legally sound approach is to:

- A. Suggest that brokers in the area should align on a standard percentage.
- B. Indicate that most listings in Hawaii settle around 6% commission.
- C. Decline to discuss specific rates and explain that commissions are negotiated individually by each firm. ✓**
- D. Share your rate and ask what they charge to identify market trends.

Answer: C. Price-fixing discussions, even informal sharing of rates, breach antitrust law; commissions must remain independently determined.

Q 9.7 ·v5 A broker asks you, "What rate are most agents charging for their services in this market?" How should you respond?

- A. "Most agents charge between 5% and 6% in our area."
- B. "I can tell you what competing brokers advertise online."
- C. "Each broker sets their own commission structure; rates are negotiable." ✓**
- D. "The typical market rate is around 6%, which is what we should all charge."

Answer: C. Discussing what competitors charge or implying a standard rate constitutes potential antitrust violation; the correct approach is to explain that commissions are always negotiable between parties.

Q 9.7 ·v6 During a training session, an experienced agent states, "New agents should know the prevailing commission in our area is 6%." What is your professional obligation?

- A. Ask the agent to email all staff the agreed-upon rate.
- B. Clarify that commission rates are subject to negotiation and not set by industry consensus. ✓**
- C. Use this figure as the baseline for all future client negotiations.
- D. Agree and reinforce this as the standard going forward.

Answer: B. Commission rates cannot be standardized or agreed upon across the industry; they must remain freely negotiable between broker and client to comply with antitrust laws.

Q 9.7 ·v7 A client asks your broker, "What do other real estate companies typically charge?" The broker should respond:

- A. "Commission rates vary by brokerage and are open to negotiation; I'd be happy to discuss our fee structure." ✓**
- B. "The market standard is 6%, though we occasionally negotiate down."
- C. "Most firms in Hawaii charge between 5% and 7% depending on the transaction type."
- D. "That information is proprietary; just know our rate is competitive."

Answer: A. Brokers must avoid discussing or implying industry-standard rates; instead, they should acknowledge that rates are individually negotiable and discuss only their own firm's structure.

Q 9.7 · v8 At a broker meeting, agents discuss what fees they should quote to sellers. The safest legal response is:

- A. "Let's establish a firm policy of 6% to stay competitive."
- B. "We should match whatever the top brokerages in the area are charging."
- C. "Commission rates are determined individually with each client and are fully negotiable." ✓**
- D. "The Hawaii Real Estate Commission publishes a recommended rate we should follow."

Answer: C. Establishing a uniform rate or matching competitors' rates violates antitrust principles; commissions must be negotiated independently with each client.

Q 9.7 · v9 A broker asks you, "What commission should I charge my clients?" You should respond:

- A. "Set your own rate—commissions are negotiable between broker and client." ✓**
- B. "Follow the rate card posted by the local Board of REALTORS®."
- C. "Use the standard 6% that most firms in Hawaii charge."
- D. "Check what the local MLS reports as typical."

Answer: A. Commissions must be individually negotiated; discussing or implying a "standard" or "typical" rate constitutes illegal price-fixing under antitrust law.

Q 9.8 NAR Code of Ethics:

- A. Is state law
- B. Binds REALTOR® members voluntarily ✓**
- C. Replaces license law
- D. Binds all licensees

Answer: B. NAR Code is voluntary professional designation; license law is state-mandatory.

Q 9.8 · v1 Which statement accurately describes the relationship between the NAR Code of Ethics and REALTOR® membership?

- A. It is enforced by the Hawaii Real Estate Commission
- B. Members agree to follow it as a condition of their REALTOR® designation ✓**
- C. It supersedes all state licensing requirements
- D. All Hawaii real estate licensees must comply with it by law

Answer: B. The NAR Code of Ethics is a voluntary professional standard that REALTOR® members adopt upon joining NAR, not a legal mandate for all licensees.

Q 9.8 ·v2 A salesperson who is NOT a REALTOR® member has what obligation regarding the NAR Code of Ethics?

- A. Must follow it if working in Hawaii
- B. Must comply with all provisions or lose their license
- C. Must adopt it within one year of licensing

D. No obligation, as it applies only to REALTOR® members ✓

Answer: D. The NAR Code of Ethics binds only those who voluntarily join NAR and become REALTOR® members; non-members are governed by state license law instead.

Q 9.8 ·v3 How does the NAR Code of Ethics differ from Hawaii's real estate license law?

A. License law is state-mandated for all licensees; the Code is a voluntary professional standard for REALTOR® members ✓

- B. The Code of Ethics is mandatory for all licensees; license law is not
- C. Both are enforced equally by the Hawaii Real Estate Commission
- D. License law is voluntary; the Code of Ethics is mandatory

Answer: A. State license law is mandatory for all licensees, while the NAR Code of Ethics is a voluntary professional commitment made by REALTOR® members only.

Q 9.8 ·v4 A broker asks a new salesperson, 'Are you bound by the NAR Code of Ethics?' The correct response is:

A. Only if I choose to join NAR and become a REALTOR® ✓

- B. Yes, the Real Estate Commission requires it
- C. Yes, all licensees in Hawaii must follow it
- D. No, it only applies to brokers, not salespersons

Answer: A. The NAR Code of Ethics applies only to those who voluntarily seek REALTOR® membership; it is not a mandatory requirement of state licensure.

Q 9.8 ·v5 Which statement accurately describes the relationship between the NAR Code of Ethics and Hawaii real estate licensing requirements?

- A. The NAR Code applies only to brokers, not salespersons
- B. The NAR Code supersedes all state statutory provisions governing real estate conduct
- C. Adherence to the NAR Code is required exclusively of those who hold the REALTOR® designation ✓**
- D. The NAR Code is mandatory for all Hawaii licensees regardless of membership status

Answer: C. The NAR Code of Ethics is a voluntary professional standard binding only REALTOR® members; state licensing law remains the mandatory baseline for all licensees.

Q 9.8 ·v6 A Hawaii licensee who is not a REALTOR® member would be bound by:

- A. Both the NAR Code and state law equally, regardless of REALTOR® membership
- B. The NAR Code of Ethics as a condition of their license
- C. State license law and rules set by the Hawaii Real Estate Commission, but not the NAR Code ✓**
- D. Only the NAR Code of Ethics, since it is the industry standard

Answer: C. Non-REALTOR® licensees must comply with state-mandated license law and REC rules; the NAR Code binds only those who voluntarily join NAR as REALTOR® members.

Q 9.8 ·v7 The NAR Code of Ethics differs from Hawaii real estate license law in that the Code:

- A. Establishes the minimum standards that satisfy Hawaii statutory requirements
- B. Applies voluntarily to REALTOR® members rather than being a state-mandated requirement for all licensees ✓**
- C. Is enforceable by the state through license suspension or revocation
- D. Takes precedence over state statutes and administrative rules

Answer: B. The NAR Code is a voluntary professional commitment for REALTOR® members only, whereas state license law is mandatory for all licensees; they are distinct regulatory frameworks.

Q 9.8 ·v8 When a Hawaii real estate licensee joins the National Association of REALTORS®, they become subject to:

- A. The NAR Code of Ethics in addition to their state licensing obligations ✓**
- B. Neither state law nor the NAR Code, as REALTOR® status exempts them from regulation
- C. The NAR Code instead of state license law, which is replaced upon membership
- D. State license law only, which now incorporates NAR standards

Answer: A. REALTOR® membership adds the voluntary NAR Code of Ethics to existing state-mandated compliance; it does not replace or exempt from state licensing requirements.

Q 9.8 ·v9 Which statement accurately describes the relationship between the National Association of REALTORS® Code of Ethics and Hawaii real estate licensure?

- A. The Hawaii Real Estate Commission enforces the NAR Code of Ethics as part of state licensing law
- B. NAR Code of Ethics is a mandatory state regulatory requirement that supersedes HRS Chapter 467
- C. Membership in NAR and adherence to its Code of Ethics is an optional professional commitment for REALTOR® members ✓**
- D. All Hawaii real estate licensees must comply with NAR Code of Ethics as a condition of their license

Answer: C. NAR Code of Ethics applies only to REALTOR® members who voluntarily join NAR; it is not mandatory state law for all licensees, and the REC enforces HRS Chapter 467, not the NAR Code.

Q 9.9 Brokers must reconcile trust accounts:

- A. Never
- B. Quarterly
- C. Typically monthly ✓**
- D. Annually

Answer: C. Most states require monthly trust account reconciliation.

Q 9.9 ·v1 Under Hawaii real estate regulations, how frequently should a broker verify the balance of client trust funds?

- A. Semi-annually during tax season
- B. Once per calendar year at year-end
- C. Only when deposits or withdrawals occur
- D. On a monthly basis ✓**

Answer: D. As in most jurisdictions, industry best practice is for brokers to reconcile trust accounts monthly to ensure accuracy and client fund protection.

Q 9.9 ·v2 A broker receives a notice from the Hawaii Real Estate Commission regarding trust account procedures. The notice emphasizes reconciliation frequency to maintain compliance. How often must this reconciliation occur?

- A. Upon closing of each transaction
- B. Every month ✓**
- C. Bi-annually
- D. Every quarter

Answer: B. Monthly reconciliation of trust accounts is the standard requirement for brokers to ensure proper accounting controls and prevent misappropriation of client funds.

Q 9.9 ·v3 Which statement best describes the trust account reconciliation requirements for a Hawaii-licensed broker?

- A. Reconciliation frequency depends on the broker's discretion
- B. Reconciliation is required annually with an external auditor
- C. Quarterly reconciliation is mandated by all state commissions
- D. Monthly reconciliation is the typical regulatory standard ✓**

Answer: D. Monthly reconciliation is the typical requirement for broker trust accounts to maintain fiduciary responsibility and comply with state licensing standards.

Q 9.9 · v4 A brokerage firm is establishing its internal accounting procedures for managing client escrow funds. According to Hawaii real estate licensing rules, what reconciliation schedule should the firm implement?

- A. Reconcile trust balances only when requested by clients
- B. Reconcile trust balances each month ✓**
- C. Reconcile trust balances every 6 months
- D. Reconcile trust balances annually before license renewal

Answer: B. Monthly reconciliation of trust accounts is the standard regulatory requirement to ensure continuous monitoring and proper safeguarding of client funds.

Q 9.9 · v5 How frequently should a Hawaii real estate broker perform a reconciliation of client trust accounts?

- A. At the broker's discretion, no set frequency
- B. Only when a client requests it
- C. Twice per year during audit season
- D. Every month, at minimum ✓**

Answer: D. Monthly reconciliation of trust accounts is the industry standard to ensure accuracy and compliance with fiduciary duties.

Q 9.9 · v6 A broker maintains a client trust account. What is the standard requirement for reconciliation frequency?

- A. Each calendar month ✓**
- B. Every six months
- C. Only if there is a discrepancy discovered
- D. Annually, at fiscal year-end

Answer: A. Monthly reconciliation of trust accounts is the standard practice to maintain proper accounting controls and fiduciary accountability.

Q 9.9 · v7 According to Hawaii real estate regulations, trust account reconciliation should occur:

- A. On a monthly basis ✓**
- B. Quarterly, as part of standard business practice
- C. Annually, with certified public accountant verification
- D. When the broker determines it is necessary

Answer: A. Monthly reconciliation of trust accounts is the industry standard to verify that account balances match client records and prevent misappropriation of funds.

Q 9.9 ·v8 Which statement accurately describes the reconciliation schedule for broker-maintained client trust accounts in Hawaii?

- A. Reconciliation only occurs when a broker application is reviewed
- B. Monthly reconciliation is the typical requirement ✓**
- C. Reconciliation frequency is determined by each brokerage firm independently
- D. Reconciliation is required annually with a third-party auditor

Answer: B. Industry best practice is for brokers to reconcile trust accounts monthly to ensure proper accounting and protection of client funds.

Q 9.9 ·v9 How frequently should a Hawaii real estate broker perform reconciliation of their escrow trust account to ensure compliance with REC regulations?

- A. On a monthly basis ✓**
- B. Only upon audit request by the REC
- C. Semiannually, at minimum
- D. Whenever a transaction closes

Answer: A. Monthly reconciliation of trust accounts is the industry standard to maintain accurate records and detect discrepancies promptly. This standard protects client funds and ensures regulatory compliance.

Q 9.10 A broker drafts a custom addendum modifying a standard contract's default terms. This may be:

- A. Required by license law
- B. Permitted always
- C. Antitrust
- D. Unauthorized practice of law ✓**

Answer: D. Drafting custom legal language is UPL territory; agents fill blanks, lawyers draft.

Q 9.10 ·v1 A real estate agent creates a new clause to replace language in the seller's standard purchase agreement. Which statement best describes this action?

- A. It violates unauthorized practice of law unless the agent is also a licensed attorney ✓**
- B. It constitutes a restraint of trade under antitrust law
- C. It must be pre-approved by the Hawaii Real Estate Commission
- D. It is always acceptable under Hawaii broker regulations

Answer: A. Composing novel contract language goes beyond filling in blanks and crosses into legal document drafting, which is the unauthorized practice of law unless performed by a licensed attorney.

Q 9.10 ·v2 When a broker substantially rewrites portions of a standard form contract to suit a specific transaction, this conduct potentially constitutes:

- A. An approved modification under HRS 467
- B. A routine brokerage practice
- C. Unauthorized practice of law ✓**
- D. Permissible customization within broker authority

Answer: C. Material drafting of contractual provisions—beyond mechanically completing pre-printed blanks—crosses the line into legal practice and requires an attorney, not a broker.

Q 9.10 ·v3 A broker is asked by a buyer to insert unique language into a purchase agreement that does not appear on any standard form. The broker's response should be:

- A. Recommend the buyer consult an attorney rather than draft custom terms ✓**
- B. Draft the language directly to serve the buyer's interest
- C. Include it under the broker's implied authority to negotiate
- D. Submit it to the Hawaii Real Estate Commission for pre-approval

Answer: A. Drafting original contract language is unauthorized practice of law; the broker should direct the client to legal counsel rather than compose novel contractual provisions.

Q 9.10 ·v4 If a broker creates new contractual language outside standard addenda forms to address a buyer's special request, this action may expose the broker to liability for:

- A. License suspension under the general duty to transact fairly
- B. Competitive interference under antitrust statutes
- C. Breach of fiduciary duty to competing agents
- D. Unauthorized practice of law ✓**

Answer: D. Composing original legal provisions—rather than merely completing or selecting from approved forms—constitutes the unauthorized practice of law and is beyond a broker's authorized scope.

Q 9.10 ·v5 When a real estate broker creates original contractual language to adjust the terms of a purchase agreement, this action most likely constitutes:

- A. Unauthorized practice of law ✓**
- B. A standard brokerage practice covered by the broker's license
- C. Compliance with Hawaii Real Estate Commission rules
- D. A fiduciary duty owed to the buyer

Answer: A. Drafting novel legal language and contract modifications is the practice of law, which requires a law license. Brokers may only fill in blanks on pre-approved forms.

Q 9.10 ·v6 A broker receives a request from a client to write a special rider that changes key contract provisions not covered in the standard form. The broker should:

- A. Complete the rider under the brokerage's general real estate license
- B. Refer the client to an attorney, as drafting custom legal language exceeds broker authority ✓**
- C. File the custom rider with the Hawaii Real Estate Commission for approval
- D. Proceed, as this falls within the broker's fiduciary duty

Answer: B. Customizing legal language in contracts is the practice of law and requires attorney involvement. Brokers lack authority to draft original legal provisions.

Q 9.10 ·v7 Which of the following best describes the legal boundary between a broker's permissible contract work and unauthorized practice of law?

- A. Brokers may create custom contract terms if the transaction amount is under \$500,000
- B. Brokers may draft addenda only if approved by the Hawaii Real Estate Commission
- C. Brokers may modify any standard form if they include a disclaimer
- D. Brokers may complete pre-printed forms but cannot draft original contractual language ✓**

Answer: D. The legal boundary is clear: brokers fill blanks and use pre-approved forms, but creating novel legal language crosses into the unauthorized practice of law.

Q 9.10 ·v8 A sales associate asks a broker whether she can prepare a custom amendment to modify specific performance obligations in a standard purchase contract. The broker's correct response should be:

- A. No, this requires legal expertise and the client should consult an attorney ✓**
- B. Yes, this is part of normal brokerage operations under the real estate license
- C. Yes, but only if the amendment is filed with the seller's broker first
- D. Yes, provided the associate has been licensed for more than two years

Answer: A. Drafting custom legal modifications is unauthorized practice of law; the broker must direct the associate to refer clients to attorneys for contract language that is not pre-approved.

Q 9.10 ·v9 A real estate broker creates new contract language to replace provisions in the seller's standard purchase agreement. This practice is most likely to constitute:

- A. A permitted broker duty under HI license law
- B. A required broker function in all transactions
- C. Unauthorized practice of law ✓**
- D. An antitrust violation if done competitively

Answer: C. Composing novel contract provisions is the practice of law; brokers may only use pre-approved forms or direct clients to legal counsel. Creating custom legal language exceeds broker authority.

Q 9.11 A failure-to-supervise charge can revoke:

- A. Only the agent's license
- B. Both broker and agent licenses ✓**
- C. Neither
- D. Only the broker's license

Answer: B. Both can be sanctioned; broker for failure to supervise, agent for the underlying violation.

Q 9.11 ·v1 When a Hawaii broker fails to properly supervise a licensee who commits a violation, regulatory action could result in:

- A. License revocation for both the supervising broker and the offending agent ✓**
- B. Revocation of the broker's license only, with the agent remaining unaffected
- C. A fine against the brokerage firm but no license sanctions
- D. Suspension of the agent's license only

Answer: A. Both the broker and agent can face license revocation; the broker for inadequate supervision and the agent for the underlying misconduct.

Q 9.11 ·v2 Under Hawaii real estate law, if a broker's failure to supervise results in a licensee's illegal activity, which licenses are at risk of revocation?

- A. Only the broker's license, as the agent bears no responsibility
- B. The agent's license and the broker's trust account license
- C. Both the broker's and agent's licenses ✓**
- D. The broker's license only if the agent's conduct was intentional fraud

Answer: C. Both licenses can be revoked; the broker for supervisory failure and the agent for the underlying violation, regardless of intent.

Q 9.11 ·v3 A real estate commission investigation determines that inadequate office supervision allowed an agent to mishandle client funds. What disciplinary outcome is possible?

- A. No action against either party, as the funds were eventually returned
- B. Revocation of the agent's license only, with the broker receiving a fine
- C. Revocation of both the broker's and agent's licenses ✓**
- D. Disciplinary action against the broker only, with a warning to the agent

Answer: C. Both the broker and agent can have licenses revoked; the broker for failure to supervise and the agent for the financial misconduct.

Q 9.11 ·v4 Which of the following best describes the potential license consequences when a Hawaii broker fails to adequately supervise a salesperson who violates real estate law?

- A. Only the broker's license is at stake; the agent is exempt as a salesperson
- B. License revocation applies only if the violation was intentional by both parties
- C. The broker faces suspension while the agent faces revocation

D. Both the broker and the agent may have their licenses revoked ✓

Answer: D. Both broker and agent licenses can be revoked as a result of the broker's supervisory failure and the agent's underlying violation.

Q 9.11 ·v5 Under Hawaii real estate law, when a broker fails to properly supervise a salesperson who commits a violation, which licenses are subject to revocation?

A. Both the broker's and salesperson's licenses ✓

- B. The broker's license only, never the salesperson's
- C. Neither license can be revoked for supervisory failures
- D. The salesperson's license only

Answer: A. Both the broker and the salesperson face potential license revocation; the broker for inadequate supervision and the salesperson for the underlying conduct violation.

Q 9.11 ·v6 A Hawaii Real Estate Commission investigation reveals that a broker failed to adequately oversee an agent's unlicensed practice activities. What are the possible licensing consequences?

- A. Revocation of the broker's license exclusively
- B. Revocation of the agent's license exclusively

C. Revocation of both the broker's and agent's licenses ✓

- D. No license revocations are possible in supervisory violations

Answer: C. Both parties can face revocation: the broker for failing its supervisory duty and the agent for the underlying unlicensed practice.

Q 9.11 ·v7 If the Hawaii REC determines that a managing broker failed to supervise, resulting in violations by licensed agents under the broker, what is the maximum scope of license revocation?

- A. No revocations are warranted in cases of inadequate supervision
- B. The managing broker's license only
- C. Agent licenses only; the broker cannot be held responsible

D. The managing broker's license and the violating agents' licenses ✓

Answer: D. Both the broker and agents can have licenses revoked; the broker faces sanctions for supervisory negligence while agents face sanctions for their underlying violations.

Q 9.11 ·v8 A salesperson engages in fraudulent conduct while the sponsoring broker neglects to implement proper oversight. Which license(s) could the Hawaii REC revoke?

- A. Neither license, as revocation requires willful misconduct, not negligence
- B. Only the sponsoring broker's license for negligence
- C. Both the broker's and the salesperson's licenses ✓**
- D. The salesperson's license for fraud only; the broker cannot be penalized

Answer: C. The REC may revoke both licenses: the broker for failure to supervise and the salesperson for the fraudulent act itself.

Q 9.11 ·v9 Under Hawaii real estate licensing law, when a broker fails to properly supervise a licensee who commits a violation, which licenses are subject to disciplinary revocation?

- A. The broker's license only, as the supervisory entity responsible
- B. The agent's license only, since they committed the underlying violation
- C. Neither license can be revoked; only fines apply
- D. Both the broker's and the agent's licenses may be revoked ✓**

Answer: D. The Hawaii REC can revoke both licenses—the broker for inadequate supervision and the agent for the underlying misconduct; they face separate culpability for their respective failures.

Q 9.12 Civil Rights Act of 1866 covers:

- A. Race in all property transactions ✓**
- B. Familial status
- C. Religion only
- D. Sex only

Answer: A. 1866 Act covers race in all property; no exceptions.

Q 9.12 ·v1 Which protected class is explicitly addressed by the Civil Rights Act of 1866 across all real property dealings?

- A. Race in every property transaction without exception ✓**
- B. Color and marital status
- C. National origin
- D. Disability status

Answer: A. The 1866 Act specifically prohibits racial discrimination in all property transactions with no carve-outs or exceptions.

Q 9.12 ·v2 A Hawaii broker is reviewing fair housing compliance. The Civil Rights Act of 1866 mandates protection based on which characteristic?

- A. Race in all property conveyances ✓**
- B. Age in residential sales
- C. Religion in commercial transactions
- D. Gender identity in rental agreements only

Answer: A. The 1866 Act covers race comprehensively across all types of property transactions with universal application.

Q 9.12 ·v3 Under the Civil Rights Act of 1866, which protected class applies to all property transactions without limitation?

- A. Sexual orientation
- B. Familial status
- C. Race ✓**
- D. Source of income

Answer: C. The 1866 Act's protection against racial discrimination in property transactions is absolute and applies to every real estate transaction.

Q 9.12 ·v4 When analyzing pre-licensing fair housing law, the Civil Rights Act of 1866 is best described as protecting against discrimination based on:

- A. Religion and creed in all property dealings
- B. Handicap status in commercial properties
- C. Race in all property transactions ✓**
- D. Parental status and familial relationships

Answer: C. The 1866 Act is the earliest federal fair housing law and covers race categorically in all property transactions without exception.

Q 9.12 ·v5 Which protected class is addressed by the Civil Rights Act of 1866 without any carve-outs or exceptions?

- A. National origin in commercial leases
- B. Disability status in residential transactions
- C. Race in all property sales and transfers ✓**
- D. Color in owner-occupied properties only

Answer: C. The 1866 Act provides comprehensive protection against discrimination based on race in ALL property transactions with no exceptions, unlike later fair housing laws.

Q 9.12 ·v6 A broker in Hawaii must understand that the Civil Rights Act of 1866 specifically prohibits discrimination based on:

- A. Marital status in real estate contracts
- B. Gender in rental transactions
- C. Veteran status in property conveyances

D. Race when buying, selling, or leasing any property ✓

Answer: D. The 1866 Act covers race in all property transactions nationwide; it is the broadest civil rights protection for this protected class in real estate.

Q 9.12 ·v7 Under the Civil Rights Act of 1866, which statement most accurately describes the scope of protection?

A. Race is protected across all property transactions without limitation ✓

- B. Sex is protected in commercial property sales
- C. Religion is protected in all residential communities
- D. Handicap is protected in mortgage lending only

Answer: A. The 1866 Act's protection against racial discrimination applies uniformly to all property transactions with no carved-out exceptions or conditions.

Q 9.12 ·v8 When advising clients about fair housing law, a real estate professional should know the Civil Rights Act of 1866 addresses:

- A. Familial status in all property dealings
- B. National origin in subdivisions and developments
- C. Race in every form of property transaction ✓**
- D. Religion exclusively in residential leases

Answer: C. The 1866 Act provides the most comprehensive protection for race in all property transactions, predating and encompassing both residential and commercial property.

Q 9.12 ·v9 Under the Civil Rights Act of 1866, which protected class is explicitly covered in property sales nationwide?

- A. Gender and marital status
- B. National origin and disability
- C. Race across all real property transactions ✓**
- D. Age and veteran status

Answer: C. The 1866 Act specifically prohibits racial discrimination in all property transactions with no carve-outs or exceptions; it predates modern fair housing legislation.

10

Real Estate Calculations

National portion 7 PSI items 19 key concepts 12 base questions

Roughly 7-10 exam questions are math. Memorize the formulas and the scenario-types repeat.

CHAPTER OVERVIEW

Areas: Rectangle = Length $\times$ Width. Triangle = $\frac{1}{2} \times$ Base $\times$ Height. Circle = $\pi \times$ radius². Trapezoid = $\frac{1}{2} \times (a + b) \times$ height. One acre = 43,560 square feet. One section = 640 acres = 1 square mile. Many exam questions test conversion between square feet and acres or between acres and sections.

Percentages: Part = Whole $\times$ Rate. The same equation rearranges to find any one variable. Commission = Sale Price $\times$ Commission Rate. Then split between listing and selling brokerages, and again between brokers and individual agents per their internal split.

LTV (Loan-to-Value) = Loan Amount $\div$ Property Value. Down Payment = Value - Loan. Discount points: each point = 1% of loan amount, each typically reduces interest rate roughly 0.25%. APR vs interest rate: APR includes points + most fees, so APR > nominal rate when points are charged.

Prorations split shared expenses at closing. Most exams use a 360-day "banker's" year (12 $\times$ 30-day months), though some contracts use actual 365-day year. Daily amount = annual amount $\div$ 360 (or monthly $\div$ 30). Whoever owns the day of closing typically pays for that day (varies by jurisdiction; the exam will specify or assume).

Tax calculations: Property Tax = Assessed Value $\times$ Mill Rate $\div$ 1,000. (One mill = \$1 per \$1,000 of assessed value.) Some jurisdictions express tax as a percentage of value instead. Special assessments are added separately.

Capitalization: Value = NOI $\div$ Cap Rate. Solve for any of three variables. Net Operating Income = Effective Gross Income - Operating Expenses. Effective Gross Income = Potential Gross Income - Vacancy and Collection Loss + Other Income. Mortgage P&I is NOT an operating expense for NOI.

GRM = Sale Price $\div$ Monthly Gross Rent. GIM = Sale Price $\div$ Annual Gross Income. Quick screen: comparables show GRM = 120; a property renting for \$2,000/month suggests ~\$240,000 value before adjustments.

Mortgage math: Monthly P&I payments are computed via the mortgage amortization formula or looked up in payment tables. For exam purposes, often you're given a payment factor: payment per \$1,000 of loan $\times$ (loan amount $\div$ 1,000) = monthly P&I. Total interest paid over loan life = total payments - principal. For partial-year interest: Annual interest = Loan $\times$ Rate; daily interest = annual $\div$ 360 (or 365 depending on convention).

Closing math: Total money buyer needs at closing = down payment + closing costs + prorations owed to seller - any seller credits. Seller proceeds = sale price - payoff loans - commissions - closing costs - prorations owed to buyer. Conveyance/transfer tax often calculated as a rate per \$1,000 of sale price.

Profit and percentage problems: $\% \text{ Profit} = (\text{Gain} \div \text{Original Cost}) \times 100$. Selling Price for Target Profit = $\text{Cost} \times (1 + \text{Profit } \%)$. Gross Profit Margin = $(\text{Sale Price} - \text{Cost}) \div \text{Sale Price}$.

KEY CONCEPTS & DEFINITIONS

Acre	43,560 square feet.
Section	640 acres = 1 square mile = 5,280 ft × 5,280 ft.
Square foot ↔ square yard	1 sq yard = 9 sq ft.
Triangle area	$\frac{1}{2} \times \text{Base} \times \text{Height}$.
Circle area	$\pi \times \text{radius}^2$ ($\approx 3.14 \times r^2$).
Commission formula	Sale Price × Commission Rate = Total Commission. Then split.
LTV formula	Loan ÷ Value.
Down payment	Value - Loan.
Discount point	1% of loan amount. Reduces rate roughly 0.25% per point.
NOI	Effective Gross Income - Operating Expenses (no debt service).
Cap rate formula	NOI ÷ Value. Solve for any variable.
GRM formula	Sale Price ÷ Monthly Rent.
GIM formula	Sale Price ÷ Annual Gross Income.
Proration (360-day)	Annual ÷ 360 = daily; multiply by days owed. Used in many contracts.
Proration (365-day)	Annual ÷ 365 = daily; some contracts use actual day count.
Mill rate	Property tax = Assessed Value × Mills ÷ 1,000. One mill = \$1 per \$1,000.
Daily interest	Loan × Rate ÷ 360 (or 365). Used for partial-period interest calculations.
Profit percentage	$(\text{Sale Price} - \text{Cost}) \div \text{Cost} \times 100$.
Conveyance tax	Often calculated as rate per \$1,000 of sale price.

QUESTION BANK — REAL ESTATE CALCULATIONS

Q 10.1 A lot is 200 ft × 250 ft. Its size in acres is approximately:

- A. 1.00
- B. 1.15 ✓**
- C. 2.00
- D. 0.50

Answer: B. $50,000 \text{ sq ft} \div 43,560 \approx 1.15 \text{ acres}$.

Q 10.1 ·v1 A rectangular parcel measures 250 feet by 200 feet. How many acres does this property contain?

- A. 0.92 acres
- B. 1.50 acres
- C. 1.15 acres ✓**
- D. 2.30 acres

Answer: C. Multiply $250 \times 200 = 50,000 \text{ sq ft}$, then divide by 43,560 sq ft per acre to get approximately 1.15 acres.

Q 10.1 ·v2 An agent lists a property with dimensions of 200 feet in length and 250 feet in width. The parcel size in acres is closest to:

- A. 1.75 acres
- B. 1.15 acres ✓**
- C. 0.75 acres
- D. 2.50 acres

Answer: B. Area = $200 \text{ ft} \times 250 \text{ ft} = 50,000 \text{ sq ft}$; converting to acres: $50,000 \div 43,560 \approx 1.15 \text{ acres}$.

Q 10.1 ·v3 A tract of land has frontage of 250 feet and depth of 200 feet. Its acreage is approximately:

- A. 1.95 acres
- B. 1.15 acres ✓**
- C. 1.35 acres
- D. 0.60 acres

Answer: B. Total area is $200 \times 250 = 50,000 \text{ sq ft}$; dividing by the standard 43,560 sq ft per acre yields approximately 1.15 acres.

Q 10.1 ·v4 A developer owns a parcel 250 feet by 200 feet. To calculate the property size in acres, the parcel measures closest to:

- A. 0.85 acres
- B. 2.10 acres
- C. 1.15 acres ✓**
- D. 1.65 acres

Answer: C. The lot area of 50,000 sq ft (200×250) divided by 43,560 sq ft per acre equals approximately 1.15 acres.

Q 10.1 ·v5 A rectangular parcel measures 250 feet by 200 feet. How many acres does this represent?

- A. 1.50 acres
- B. 2.30 acres
- C. 0.92 acres
- D. 1.15 acres ✓**

Answer: D. Total square footage is $250 \times 200 = 50,000$ sq ft. Dividing by 43,560 sq ft per acre yields approximately 1.15 acres.

Q 10.1 ·v6 A property owner receives a survey showing a parcel that is 200 feet in length and 250 feet in width. What is the approximate acreage?

- A. 1.80 acres
- B. 1.15 acres ✓**
- C. 0.75 acres
- D. 2.05 acres

Answer: B. The lot contains 50,000 square feet ($200 \text{ ft} \times 250 \text{ ft}$), which converts to approximately 1.15 acres when divided by the standard 43,560 sq ft per acre.

Q 10.1 ·v7 If a Hawaiian residential lot has dimensions of 200 feet $\times$ 250 feet, the total acreage is most nearly:

- A. 1.15 acres ✓**
- B. 1.10 acres
- C. 0.85 acres
- D. 2.25 acres

Answer: A. Multiplying 200×250 gives 50,000 square feet, which when divided by 43,560 equals approximately 1.15 acres.

Q 10.1 ·v8 A developer examines a land parcel that spans 250 feet in one direction and 200 feet in the perpendicular direction. The acreage is closest to:

- A. 0.95 acres
- B. 1.25 acres
- C. 1.15 acres ✓**
- D. 1.65 acres

Answer: C. The area is 50,000 square feet (200×250), and dividing by 43,560 square feet per acre results in approximately 1.15 acres.

Q 10.1 ·v9 A residential parcel measures 250 feet by 200 feet. How many acres does this property contain?

- A. 1.50 acres
- B. 0.92 acres
- C. 1.15 acres ✓**
- D. 2.30 acres

Answer: C. The property contains 50,000 square feet ($250 \text{ ft} \times 200 \text{ ft}$), which converts to approximately 1.15 acres when divided by the conversion factor of 43,560 square feet per acre.

Q 10.2 \$320,000 sale at 6% commission, 50/50 split. Each broker receives:

- A. \$19,200
- B. \$8,000
- C. \$16,000
- D. \$9,600 ✓**

Answer: D. Total $\$19,200 \div 2 = \$9,600$ each.

Q 10.2 ·v1 A property sells for \$320,000 with a 6% commission rate. The listing and selling brokers split the total commission equally. How much does each broker receive?

- A. \$6,400
- B. \$12,800
- C. \$19,200
- D. \$9,600 ✓**

Answer: D. Total commission is $\$320,000 \times 0.06 = \$19,200$. Split 50/50 between brokers: $\$19,200 \div 2 = \$9,600$ per broker.

Q 10.2 ·v2 In a transaction with a \$320,000 sales price and 6% total commission, the listing broker and selling broker divide the commission equally. Each broker's share is:

- A. \$19,200
- B. \$9,600 ✓**
- C. \$6,400
- D. \$12,800

Answer: B. Commission = $\$320,000 \times 0.06 = \$19,200$. Equal division between two brokers: $\$19,200 \div 2 = \$9,600$ per broker.

Q 10.2 ·v3 A home closes at \$320,000 with a 6% brokerage commission split evenly between the listing firm and the selling firm. What is the gross commission income for one firm?

- A. \$19,200
- B. \$9,600 ✓**
- C. \$8,000
- D. \$14,400

Answer: B. Total commission is $\$320,000 \times 0.06 = \$19,200$. With a 50/50 broker split, each firm receives $\$19,200 \div 2 = \$9,600$.

Q 10.2 ·v4 On a \$320,000 sale with 6% commission equally split between listing and selling brokers, each broker's gross commission before agent splits is:

- A. \$4,800
- B. \$9,600 ✓**
- C. \$15,360
- D. \$19,200

Answer: B. Total commission = $\$320,000 \times 0.06 = \$19,200$. Each broker receives 50% of total: $\$19,200 \div 2 = \$9,600$.

Q 10.2 ·v5 A property sells for \$320,000 with a 6% commission rate. The listing and selling brokers split the commission equally. How much does each broker earn?

- A. \$6,400
- B. \$9,600 ✓**
- C. \$12,800
- D. \$19,200

Answer: B. Commission is $\$320,000 \times 0.06 = \$19,200$. Split 50/50 between brokers yields $\$19,200 \div 2 = \$9,600$ per broker.

Q 10.2 ·v6 Under a 50/50 broker split arrangement, a \$320,000 transaction generates \$19,200 in total commission at 6%. What is each broker's share?

- A. \$12,800
- B. \$11,200
- C. \$8,000
- D. \$9,600 ✓**

Answer: D. With equal division of the \$19,200 total commission, each broker receives $\$19,200 \div 2 = \$9,600$.

Q 10.2 ·v7 A real estate transaction closes at \$320,000. The commission rate is 6%, and both the listing broker and the selling broker receive equal compensation. What does each broker get paid?

- A. \$9,600 ✓**
- B. \$16,000
- C. \$6,400
- D. \$11,200

Answer: A. Total commission = $\$320,000 \times 0.06 = \$19,200$. Divided equally between two brokers: $\$19,200 \div 2 = \$9,600$ each.

Q 10.2 ·v8 In a 50/50 broker split transaction, the sales price is \$320,000 and the agreed commission is 6%. Calculate each broker's gross commission.

- A. \$19,200
- B. \$14,400
- C. \$9,600 ✓**
- D. \$7,200

Answer: C. Total commission is $\$320,000 \times 0.06 = \$19,200$. With a 50/50 split, each broker receives \$9,600.

Q 10.2 ·v9 A property sells for \$320,000 with a 6% commission split equally between the listing broker and selling broker. How much does each broker's office receive?

- A. \$6,400
- B. \$9,600 ✓**
- C. \$19,200
- D. \$12,800

Answer: B. Total commission is $\$320,000 \times 0.06 = \$19,200$. Split 50/50 between brokers gives $\$19,200 \div 2 = \$9,600$ per broker.

Q 10.3 A property generates \$36,000 NOI with a 9% cap rate. Estimated value:

- A. \$360,000
- B. \$400,000 ✓**
- C. \$324,000
- D. \$450,000

Answer: B. $36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v1 An income-producing property has a net operating income of \$36,000 annually. Using a capitalization rate of 9%, what is the property's appraised value?

- A. \$432,000
- B. \$288,000
- C. \$540,000
- D. \$400,000 ✓**

Answer: D. Value is calculated by dividing NOI by the cap rate: $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v2 A residential investment property produces \$36,000 in net operating income. If comparable properties in the market are trading at a 9% cap rate, what should this property be valued at?

- A. \$480,000
- B. \$400,000 ✓**
- C. \$360,000
- D. \$324,000

Answer: B. Property value equals NOI divided by cap rate: $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v3 Using the income approach, a commercial property with \$36,000 NOI and a 9% capitalization rate would have an estimated market value of:

- A. \$400,000 ✓**
- B. \$324,000
- C. \$375,000
- D. \$450,000

Answer: A. The income capitalization formula is $\text{Value} = \text{NOI} \div \text{Cap Rate}$, so $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v4 An appraiser determines that a rental property generates \$36,000 in annual NOI. Considering the prevailing market cap rate of 9%, what is the property's estimated value?

- A. \$412,000
- B. \$396,000
- C. \$360,000
- D. \$400,000 ✓**

Answer: D. Using the cap rate formula, $\text{Value} = \text{NOI} \div \text{Cap Rate} = \$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v5 An income-producing property has a net operating income of \$36,000 annually. Using a 9% capitalization rate, what is the property's estimated market value?

- A. \$360,000
- B. \$480,000
- C. \$400,000 ✓**
- D. \$324,000

Answer: C. Market value is calculated by dividing NOI by the cap rate: $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v6 A commercial property produces \$36,000 in net operating income. If investors in the market are using a 9% cap rate for similar properties, what should an appraiser estimate as the property's value?

- A. \$324,000
- B. \$400,000 ✓**
- C. \$450,000
- D. \$405,000

Answer: B. The income approach valuation formula is $\text{NOI} \div \text{Cap Rate} = \text{Value}$; therefore $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v7 Using the income capitalization approach, a property with annual NOI of \$36,000 and a market cap rate of 9% would have an estimated value closest to:

- A. \$400,000 ✓**
- B. \$324,000
- C. \$450,000
- D. \$405,000

Answer: A. The cap rate formula rearranged for value is: $\text{NOI} \div \text{Cap Rate} = \text{Value}$, so $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v8 A residential rental property generates \$36,000 net operating income per year. Comparable properties in the area are trading at a 9% cap rate. What is the property's indicated value by the income approach?

- A. \$325,000
- B. \$400,000 ✓**
- C. \$360,000
- D. \$390,000

Answer: B. The income approach formula is $\text{Value} = \text{NOI} \div \text{Cap Rate}$; therefore $\$36,000 \div 0.09 = \$400,000$.

Q 10.3 ·v9 An income-producing property generates annual NOI of \$36,000. Using a 9% capitalization rate, what is the property's estimated market value?

- A. \$400,000 ✓**
- B. \$486,000
- C. \$324,000
- D. \$360,000

Answer: A. Market value is calculated by dividing NOI by the cap rate: $\$36,000 \div 0.09 = \$400,000$. This is the inverse of the capitalization rate formula used in income approach appraisal.

Q 10.4 \$240,000 loan, 2 discount points, point cost is:

- A. \$24,000
- B. \$4,800 ✓**
- C. \$240
- D. \$2,400

Answer: B. $2\% \times \$240,000 = \$4,800$.

Q 10.4 ·v1 A borrower obtains a \$240,000 mortgage and pays 2 discount points at closing. What is the total dollar amount of points paid?

- A. \$48,000
- B. \$2,400
- C. \$24,000
- D. \$4,800 ✓**

Answer: D. Discount points are calculated as 1% of the loan amount per point. Two points = $2\% \times \$240,000 = \$4,800$.

Q 10.4 ·v2 If a lender charges 2 points on a \$240,000 loan, how much will the borrower owe in point fees?

- A. \$4,800 ✓**
- B. \$24,000
- C. \$12,000
- D. \$240

Answer: A. Each point represents 1% of the loan amount. Two points equal 2% of \$240,000, which is \$4,800.

Q 10.4 ·v3 A Hawaii buyer is financing a property with a \$240,000 loan and must pay 2 origination points. The cost of these points is:

- A. \$1,200
- B. \$6,000
- C. \$2,400
- D. \$4,800 ✓**

Answer: D. Points are prepaid interest calculated as a percentage of the loan principal. Two points = $2\% \times \$240,000 = \$4,800$.

Q 10.4 ·v4 At loan origination, a borrower receives a quote for 2 points on a \$240,000 mortgage. The point cost equals:

- A. \$3,600
- B. \$480
- C. \$24,000
- D. \$4,800 ✓**

Answer: D. One point equals 1% of the loan amount. Two points = $2\% \times \$240,000 = \$4,800$ in closing costs.

Q 10.4 ·v5 A borrower obtains financing for \$240,000 and agrees to pay 2 discount points at closing. What is the dollar amount of the discount points?

- A. \$4,800 ✓**
- B. \$24,000
- C. \$2,400
- D. \$480

Answer: A. Each discount point equals 1% of the loan amount. 2 points $\times 1\% \times \$240,000 = \$4,800$.

Q 10.4 ·v6 If a real estate transaction involves a \$240,000 mortgage and the lender charges 2 points, how much will the borrower owe in points?

- A. \$2,400
- B. \$4,800 ✓**
- C. \$24,000
- D. \$960

Answer: B. Points are calculated as a percentage of the loan principal. 2% of \$240,000 equals \$4,800 in points owed.

Q 10.4 ·v7 A seller agrees to pay 2 discount points on the buyer's \$240,000 loan as a closing cost concession. What is the monetary value of this seller concession?

- A. \$48,000
- B. \$4,800 ✓**
- C. \$480
- D. \$2,400

Answer: B. Two discount points represent 2% of the loan amount, which calculates to $2\% \times \$240,000 = \$4,800$.

Q 10.4 ·v8 At closing, a borrower's loan estimate shows a \$240,000 mortgage with 2 origination points. What is the cost of these points in dollars?

- A. \$4,800 ✓**
- B. \$3,600
- C. \$1,200
- D. \$12,000

Answer: A. Origination points are calculated as a percentage of the principal loan amount. 2 points = 2% of \$240,000 = \$4,800.

Q 10.4 ·v9 A borrower obtains a \$240,000 mortgage and pays 2 discount points at closing. What is the total dollar amount of the discount points?

- A. \$2,880
- B. \$1,200
- C. \$4,800 ✓**
- D. \$24,000

Answer: C. Discount points are calculated as 1% per point of the loan amount. 2 points $\times 1\% \times \$240,000 = \$4,800$.

Q 10.5 Annual taxes \$3,600; closing on April 1 (360-day year, seller pays through closing day).
Seller's prorated share:

- A. \$900 ✓**
- B. \$1,200
- C. \$300
- D. \$600

Answer: A. $\$3,600 \times 90/360 = \900 (Jan 1 – Apr 1, 90 days).

Q 10.5 ·v1 A property's annual property tax bill is \$3,600. The transaction closes on April 1 using a 360-day year. If the seller is responsible for taxes up through the closing date, what is the seller's tax proration?

- A. \$900 ✓**
- B. \$450
- C. \$600
- D. \$1,200

Answer: A. From January 1 through April 1 equals 90 days. $\$3,600 \div 360 \text{ days} \times 90 \text{ days} = \900 owed by the seller.

Q 10.5 ·v2 At closing on April 1 (360-day calendar year), a seller must prorate annual property taxes of \$3,600 through the date of closing. What amount should be debited to the seller's settlement statement?

- A. \$1,800
- B. \$900 ✓**
- C. \$1,350
- D. \$750

Answer: B. The period from January 1 to April 1 (90 days) represents 25% of the 360-day year: $\$3,600 \times 0.25 = \900 seller's prorated tax obligation.

Q 10.5 ·v3 A seller's annual property tax liability is \$3,600. Using a 360-day year and closing on April 1 with the seller responsible through closing, calculate the daily tax rate and the seller's total proration:

- A. \$10 per day; \$1,200 total
- B. \$8 per day; \$720 total
- C. \$10 per day; \$900 total ✓**
- D. \$12 per day; \$1,080 total

Answer: C. Daily rate: $\$3,600 \div 360 = \$10/\text{day}$. Seller's days (Jan 1–Apr 1): $90 \text{ days} \times \$10 = \900 total proration.

Q 10.5 ·v4 An escrow agent prepares closing documents for a transaction closing April 1 (using a 360-day year). The seller must cover property taxes from the beginning of the tax year through closing. If annual taxes are \$3,600, what is the seller's share of the tax proration?

- A. \$600
- B. \$900 ✓**
- C. \$450
- D. \$1,500

Answer: B. January through March 31 plus April 1 = 91 days (or Jan 1–Apr 1 inclusive = 90 days in standard proration). Using 90 days: $\$3,600 \times (90 \div 360) = \900 .

Q 10.5 ·v5 Property taxes for the year total \$3,600. The transaction closes on April 1st using a 360-day year, and the seller is responsible for taxes up through and including the closing date. What is the seller's tax proration?

- A. \$2,700
- B. \$900 ✓**
- C. \$450
- D. \$1,350

Answer: B. The seller owns the property from January 1 through April 1, which is 90 days. Proration: $\$3,600 \times (90 \div 360) = \900 .

Q 10.5 ·v6 At closing on April 1st, the annual property tax obligation is \$3,600 (360-day year). The seller retains ownership through closing day. Calculate the seller's prorated tax liability:

- A. \$600
- B. \$900 ✓**
- C. \$750
- D. \$1,050

Answer: B. From January 1 to April 1 inclusive is 90 days of the 360-day year. Seller's share: $\$3,600 \times (90 \div 360) = \900 .

Q 10.5 ·v7 A home closes on April 1st with annual property taxes of \$3,600 based on a 360-day year. The seller pays all taxes accrued during their ownership period, including the closing date. What amount should be debited to the seller's account for prorated taxes?

- A. \$900 ✓**
- B. \$675
- C. \$1,200
- D. \$400

Answer: A. The seller owns from January 1 through April 1 (90 days of a 360-day year). Prorated amount: $\$3,600 \times (90 \div 360) = \900 .

Q 10.5 ·v8 Property taxes are \$3,600 annually. Using a 360-day year and a closing date of April 1st, with the seller responsible for taxes through closing, determine the seller's tax proration at settlement:

- A. \$900 ✓**
- B. \$300
- C. \$1,800
- D. \$1,050

Answer: A. January 1 to April 1 equals 90 days. The seller's prorated tax obligation is $\$3,600 \times (90/360) = \900 .

Q 10.5 ·v9 Property taxes for the year total \$3,600. The seller remains responsible for taxes up to and including the closing date of April 1. Using a 360-day year, what amount of annual taxes should the seller be charged at closing?

- A. \$900 ✓**
- B. \$600
- C. \$1,200
- D. \$450

Answer: A. The seller owns the property from January 1 through April 1, which equals 90 days. The prorated tax is $\$3,600 \times (90/360) = \900 .

Q 10.6 A house sells for \$450,000. The buyer puts down 20% and finances the rest. The loan amount is:

- A. \$450,000
- B. \$90,000
- C. \$360,000 ✓**
- D. \$405,000

Answer: C. $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v1 A residential property in Honolulu is listed at \$450,000. If a purchaser makes a 20% down payment, what is the mortgage amount that must be financed?

- A. \$90,000
- B. \$450,000
- C. \$405,000
- D. \$360,000 ✓**

Answer: D. The down payment is 20% of \$450,000 (\$90,000), leaving 80% to be financed: $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v2 A buyer finances 80% of a \$450,000 purchase price. The principal balance of the loan is:

- A. \$360,000 ✓**
- B. \$405,000
- C. \$90,000
- D. \$540,000

Answer: A. 80% of the purchase price represents the financed amount: $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v3 A property sells for \$450,000. The owner receives a down payment equal to 20% of the sale price. How much does the lender provide in financing?

- A. \$90,000
- B. \$360,000 ✓**
- C. \$405,000
- D. \$112,500

Answer: B. The lender finances the remaining 80% after the 20% down payment is subtracted: $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v4 In a \$450,000 real estate transaction, if equity (down payment) equals 20% of the purchase price, the amount subject to mortgage financing is:

- A. \$360,000 ✓**
- B. \$90,000
- C. \$337,500
- D. \$405,000

Answer: A. The financed amount is 80% of the purchase price (100% minus the 20% down payment): $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v5 A residential property in Honolulu is listed at \$450,000. After the buyer makes a 20% down payment, what is the principal amount that will need to be financed through a mortgage loan?

- A. \$90,000
- B. \$360,000 ✓**
- C. \$405,000
- D. \$450,000

Answer: B. The down payment is 20% of \$450,000 (\$90,000), leaving 80% to be financed: $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v6 A buyer agrees to purchase a home for \$450,000 and will finance 80% of the purchase price. What is the mortgage loan amount?

- A. \$450,000
- B. \$90,000
- C. \$405,000
- D. \$360,000 ✓**

Answer: D. If the buyer finances 80% of the purchase price, the loan amount equals $\$450,000 \times 0.80 = \$360,000$.

Q 10.6 ·v7 A property sells for \$450,000. The buyer is making a down payment that covers 20% of the purchase price, with the remainder to be borrowed. The mortgage principal will be:

- A. \$405,000
- B. \$360,000 ✓**
- C. \$90,000
- D. \$450,000

Answer: B. The down payment of 20% is \$90,000; therefore the financed amount is 80% of \$450,000, which equals \$360,000.

Q 10.6 ·v8 At closing, a buyer is purchasing a \$450,000 home with a 20% equity position (down payment). How much will the buyer need to obtain financing for?

- A. \$90,000
- B. \$405,000
- C. \$360,000 ✓**
- D. \$450,000

Answer: C. A 20% down payment means 80% will be financed: $\$450,000 \times 0.80 = \$360,000$ mortgage loan amount.

Q 10.6 ·v9 A residential property on Oahu is purchased for \$450,000. The buyer makes a down payment representing 20% of the purchase price and obtains financing for the remainder. What is the principal amount of the mortgage loan?

- A. \$360,000 ✓**
- B. \$90,000
- C. \$405,000
- D. \$450,000

Answer: A. The down payment is 20% of \$450,000 (\$90,000), so the financed amount is 80% of the purchase price: $\$450,000 \times 0.80 = \$360,000$.

Q 10.7 How many sections in a township?

- A. 24
- B. 36 ✓**
- C. 64
- D. 16

Answer: B. A township is $6 \text{ mi} \times 6 \text{ mi} = 36$ sections.

Q 10.7 ·v1 Under the rectangular survey system, how many individual sections make up one complete township?

- A. 24
- B. 36 ✓**
- C. 48
- D. 42

Answer: B. A township measures 6 miles by 6 miles and is subdivided into 36 equal sections, each being 1 mile by 1 mile.

Q 10.7 ·v2 A real estate professional needs to identify all sections within a township for a large land survey project. How many sections should she expect to find?

- A. 44
- B. 52
- C. 28
- D. 36 ✓**

Answer: D. A standard township in the rectangular survey system contains exactly 36 sections arranged in a 6×6 grid pattern.

Q 10.7 ·v3 In the government survey system used in Hawaii and across the mainland, one township encompasses how many sections?

- A. 36 ✓**
- B. 32
- C. 50
- D. 40

Answer: A. A township is defined as a 6-mile-by-6-mile area containing 36 sections of 1 square mile each.

Q 10.7 ·v4 When describing property boundaries using the rectangular survey method, a broker references the township grid. The township is divided into how many sections?

- A. 27
- B. 36 ✓**
- C. 54
- D. 18

Answer: B. A township is a 6×6 mile tract subdivided into 36 one-mile-square sections for legal land description purposes.

Q 10.7 ·v5 Under the Rectangular Survey System, a township encompasses how many individual sections?

- A. 24
- B. 42
- C. 48
- D. 36 ✓**

Answer: D. A township measures 6 miles by 6 miles, creating a grid of 36 sections ($6 \times 6 = 36$).

Q 10.7 ·v6 If you divide a township into its smallest standard land divisions, how many will you have?

- A. 52
- B. 36 ✓**
- C. 28
- D. 44

Answer: B. The standard township of 6 miles square contains 36 sections when subdivided using the Public Land Survey System.

Q 10.7 ·v7 A property appraiser is mapping out all sections within a single township. How many parcels of this size will she identify?

- A. 50
- B. 40
- C. 32
- D. 36 ✓**

Answer: D. One township, defined as a 6-by-6 mile square, is subdivided into exactly 36 sections of one square mile each.

Q 10.7 ·v8 When using the Government Survey method to describe Hawaii real property, how many sections make up one complete township?

- A. 27
- B. 54
- C. 18
- D. 36 ✓**

Answer: D. A township is a 6-mile-by-6-mile tract containing 36 one-mile-square sections arranged in a 6 × 6 grid.

Q 10.7 ·v9 Under the rectangular survey system, if a township measures 6 miles by 6 miles, how many individual sections does it contain?

- A. 36 ✓**
- B. 25
- C. 42
- D. 48

Answer: A. A township is defined as a 6-mile by 6-mile square area, which divides into 36 equal sections (each 1 mile by 1 mile).

Q 10.8 A property has a mill rate of 25 mills and assessed value of \$200,000. Annual property tax:

- A. \$25,000
- B. \$500
- C. \$50,000
- D. \$5,000 ✓**

Answer: D. $\$200,000 \times 25 \div 1,000 = \$5,000$.

Q 10.8 ·v1 If a property is assessed at \$200,000 and the mill rate is 25 mills, what is the owner's total annual property tax liability?

- A. \$50,000
- B. \$500
- C. \$25,000
- D. \$5,000 ✓**

Answer: D. Mill rate of 25 mills means \$25 per \$1,000 of assessed value. $\$200,000 \div \$1,000 \times \$25 = \$5,000$.

Q 10.8 ·v2 A homeowner's property has an assessed value of \$200,000. Using a mill rate of 25 mills, calculate the annual property tax.

- A. \$500
- B. \$5,000 ✓**
- C. \$2,000
- D. \$50,000

Answer: B. The formula is assessed value $\times$ mill rate $\div$ 1,000; therefore $\$200,000 \times 25 \div 1,000 = \$5,000$ in annual taxes.

Q 10.8 ·v3 An investor owns real property with an assessed value of \$200,000 in a jurisdiction with a 25-mill tax rate. What annual property tax is owed?

- A. \$500
- B. \$50,000
- C. \$2,500
- D. \$5,000 ✓**

Answer: D. At 25 mills per \$1,000, the calculation is $(\$200,000 \div 1,000) \times 25$ mills = \$5,000 annually.

Q 10.8 ·v4 A property valued at \$200,000 for tax purposes falls under a 25-mill rate assessment. What is the annual property tax obligation?

- A. \$25,000
- B. \$50,000
- C. \$750
- D. \$5,000 ✓**

Answer: D. Multiplying the assessed value by the mill rate and dividing by 1,000 yields: $\$200,000 \times 0.025 = \$5,000$.

Q 10.8 ·v5 An owner receives a property tax bill for a home assessed at \$200,000 in a jurisdiction with a mill rate of 25 mills. What is the total annual property tax liability?

- A. \$25,000
- B. \$50,000
- C. \$2,500
- D. \$5,000 ✓**

Answer: D. Multiply assessed value by mill rate and divide by 1,000: $\$200,000 \times 25 \div 1,000 = \$5,000$ annual property tax.

Q 10.8 ·v6 If a parcel is assessed at \$200,000 and the local mill rate is 25 mills per dollar of assessed value, how much will the property owner owe in annual property taxes?

- A. \$10,000
- B. \$5,000 ✓**
- C. \$50,000
- D. \$500

Answer: B. The formula is assessed value $\times$ (mill rate $\div$ 1,000) = \$200,000 $\times$ 0.025 = \$5,000 in annual property tax.

Q 10.8 ·v7 A condominium unit has an assessed value of \$200,000 and is subject to a mill rate of 25 mills. Calculate the annual property tax obligation.

- A. \$7,500
- B. \$2,000
- C. \$25,000
- D. \$5,000 ✓**

Answer: D. Annual property tax is calculated by dividing mill rate by 1,000, then multiplying by assessed value: (25 $\div$ 1,000) $\times$ \$200,000 = \$5,000.

Q 10.8 ·v8 Under the property tax system, a residential lot assessed at \$200,000 with a mill rate of 25 mills per \$1,000 of value will result in an annual tax of:

- A. \$25,000
- B. \$1,250
- C. \$5,000 ✓**
- D. \$50,000

Answer: C. The mill rate of 25 mills equals 25 per 1,000 of assessed value; therefore \$200,000 $\div$ 1,000 $\times$ 25 = \$5,000 annual property tax.

Q 10.8 ·v9 An owner receives a property tax bill for a home with an assessed value of \$200,000 in a jurisdiction with a mill rate of 25 mills per dollar of assessed value. What is the owner's annual property tax liability?

- A. \$500
- B. \$25,000
- C. \$50,000
- D. \$5,000 ✓**

Answer: D. Mill rate of 25 means \$25 tax per \$1,000 of assessed value. Calculation: (\$200,000 $\div$ 1,000) $\times$ 25 = \$5,000 annual property tax.

Q 10.9 A duplex rents for \$1,800/month combined. Comparables suggest GRM = 130. Estimated value:

- A. \$180,000
- B. \$234,000 ✓**
- C. \$260,000
- D. \$216,000

Answer: B. $\$1,800 \times 130 = \$234,000$.

Q 10.9 · v1 An investor analyzes a two-unit residential property generating \$1,800 in monthly gross rental income. Market analysis indicates a Gross Rent Multiplier of 130 for similar properties. What is the estimated property value using the GRM approach?

- A. \$234,000 ✓**
- B. \$278,400
- C. \$194,500
- D. \$312,000

Answer: A. GRM method applies the multiplier to annual gross rental income: $\$1,800 \times 130 = \$234,000$. The multiplier of 130 represents the relationship between price and monthly rent for comparable properties.

Q 10.9 · v2 Using the Gross Rent Multiplier technique, a duplex producing \$1,800 per month in rental revenue should be valued at what amount if comparable properties indicate a GRM of 130?

- A. \$234,000 ✓**
- B. \$289,000
- C. \$210,000
- D. \$245,600

Answer: A. The GRM formula multiplies gross monthly rental income by the market multiplier: $\$1,800 \times 130 = \$234,000$, which represents the property's estimated market value.

Q 10.9 · v3 A residential duplex owner receives combined monthly rent of \$1,800. Local market data shows comparable two-unit properties sell at a Gross Rent Multiplier of 130. What would an appraiser estimate as the property's value?

- A. \$267,200
- B. \$221,400
- C. \$234,000 ✓**
- D. \$248,800

Answer: C. Applying the GRM approach: Monthly gross rent of \$1,800 multiplied by the GRM of 130 equals \$234,000, the estimated value based on comparable rental properties.

Q 10.9 ·v4 If a duplex generates \$1,800 monthly in gross rental income and the Gross Rent Multiplier for similar properties in the area is 130, the income approach valuation would be:

- A. \$234,000 ✓**
- B. \$311,200
- C. \$198,000
- D. \$267,900

Answer: A. The GRM valuation method calculates value by multiplying monthly gross rental income by the market multiplier: $\$1,800 \times 130 = \$234,000$.

Q 10.9 ·v5 An investment property generates \$1,800 in monthly rental income. Using a gross rent multiplier of 130, what is the estimated property value?

- A. \$272,000
- B. \$234,000 ✓**
- C. \$260,000
- D. \$198,000

Answer: B. Monthly rent of \$1,800 multiplied by the GRM of 130 equals \$234,000. The GRM formula is: Value = Monthly Rent $\times$ GRM.

Q 10.9 ·v6 A two-unit residential building produces \$1,800 per month in combined rental revenue. If the market gross rent multiplier is 130, what would an appraiser estimate as the property's value?

- A. \$252,000
- B. \$216,000
- C. \$195,000
- D. \$234,000 ✓**

Answer: D. \$1,800 monthly income $\times$ GRM of 130 = \$234,000 estimated value. This income approach uses the GRM as a direct multiplier for quick valuation.

Q 10.9 ·v7 Using the gross rent multiplier approach, a property with \$1,800 in total monthly rent and a local GRM of 130 should be valued at approximately:

- A. \$234,000 ✓**
- B. \$195,000
- C. \$180,000
- D. \$272,000

Answer: A. The GRM valuation method multiplies annual or monthly rental income by the market multiplier: $\$1,800 \times 130 = \$234,000$.

Q 10.9 · v8 A rental duplex brings in \$1,800 monthly from both units combined. Comparable properties in the area indicate a GRM of 130. What should the property be valued at?

- A. \$216,000
- B. \$198,000
- C. \$234,000 ✓**
- D. \$286,000

Answer: C. Applying the GRM formula: Monthly rent (\$1,800) × Gross rent multiplier (130) = \$234,000 property value estimate.

Q 10.9 · v9 An investor acquires a fourplex generating \$2,200 in total monthly rental income. Using a Gross Rent Multiplier of 130, what is the property's estimated value?

- A. \$198,500
- B. \$169,000
- C. \$286,000 ✓**
- D. \$245,000

Answer: C. $\$2,200 \times 130 = \$286,000$. The GRM valuation method multiplies total monthly rental income by the market multiplier.

Q 10.10 A commission split is: 50% to listing brokerage, 50% to selling brokerage; agent gets 70% of their brokerage's share. Sale price \$400,000, commission 6%. Listing agent's personal share:

- A. \$12,000
- B. \$8,400 ✓**
- C. \$4,200
- D. \$24,000

Answer: B. $6\% \times \$400K = \$24K$. Listing brokerage gets \$12K. Agent gets 70% = \$8,400.

Q 10.10 · v1 A residential property sells for \$400,000 with a 6% commission. The listing and selling brokerages each receive an equal share of the total commission. If the listing agent is entitled to 70% of their brokerage's portion, what is the listing agent's gross commission?

- A. \$16,800
- B. \$6,000
- C. \$12,000
- D. \$8,400 ✓**

Answer: D. Total commission is 6% of \$400,000 = \$24,000. Each brokerage receives 50% = \$12,000. The listing agent receives 70% of \$12,000 = \$8,400.

Q 10.10 ·v2 In a transaction with a \$400,000 purchase price and 6% total commission, the listing brokerage and selling brokerage split the commission equally at 50-50. The listing agent's agreement provides for a 70% split with their broker. What amount does the listing agent earn?

- A. \$4,800
- B. \$8,400 ✓**
- C. \$11,200
- D. \$14,000

Answer: B. 6% commission on \$400,000 equals \$24,000 total. Listing brokerage's half is \$12,000. Agent receives 70% of \$12,000 = \$8,400.

Q 10.10 ·v3 A property closes at \$400,000 with a negotiated commission rate of 6%. Under the brokerage agreement, commissions are divided 50-50 between listing and selling firms. The listing agent's compensation schedule allows them 70% of their firm's earned commission. Calculate the listing agent's compensation:

- A. \$6,000
- B. \$9,600
- C. \$12,000
- D. \$8,400 ✓**

Answer: D. Total commission = $6\% \times \$400,000 = \$24,000$. Listing brokerage share = $\$24,000 \times 50\% = \$12,000$. Listing agent share = $\$12,000 \times 70\% = \$8,400$.

Q 10.10 ·v4 An agent's listing sells for \$400,000. The commission structure includes a 6% total rate, with both the listing and selling brokerages receiving 50% each. The agent's contract stipulates a 70% commission split in favor of the agent. What is the listing agent's net commission earning?

- A. \$8,400 ✓**
- B. \$9,800
- C. \$7,200
- D. \$13,440

Answer: A. Total commission is 6% of \$400,000 = \$24,000. The listing brokerage retains \$12,000 (50%). The listing agent receives 70% of \$12,000 = \$8,400.

Q 10.10 ·v5 A property sells for \$500,000 with a 6% commission. The listing and selling brokerages split the total commission equally. The listing agent receives 70% of their brokerage's portion. What is the listing agent's gross commission?

A. \$10,500 ✓

B. \$30,000

C. \$21,000

D. \$15,000

Answer: A. Total commission = $6\% \times \$500,000 = \$30,000$. Listing brokerage share = \$15,000. Listing agent receives 70% = \$10,500.

Q 10.10 ·v6 In a transaction with a \$350,000 sale price and 6% total commission split 50-50 between brokerages, a listing agent earns 70% of the brokerage's share. Calculate the agent's commission earnings.

A. \$14,700

B. \$10,500

C. \$21,000

D. \$7,350 ✓

Answer: D. $6\% \times \$350,000 = \$21,000$ total commission. The listing brokerage receives 50% = \$10,500. The agent's 70% share = $\$10,500 \times 70\% = \$7,350$.

Q 10.10 ·v7 A listing agent's brokerage receives 50% of the 6% commission from a \$600,000 sale. If the agent's contract stipulates a 70% split with the brokerage, what amount does the agent personally receive?

A. \$18,000

B. \$25,200

C. \$36,000

D. \$12,600 ✓

Answer: D. Total commission = $6\% \times \$600,000 = \$36,000$. Listing brokerage receives \$18,000. Agent earns 70% of \$18,000 = \$12,600.

Q 10.10 ·v8 An agent's listing office retains half of a 6% commission on a \$450,000 property sale. The agent receives 70% of the office's portion. What is the agent's take-home commission?

A. \$27,000

B. \$18,900

C. \$13,500

D. \$9,450 ✓

Answer: D. $6\% \times \$450,000 = \$27,000$ total commission. The office's 50% share = \$13,500. The agent receives 70% of \$13,500 = \$9,450.

Q 10.10 ·v9 A property sells for \$500,000 with a 6% commission. The listing and selling brokerages each receive 50% of total commission. The listing agent's contractual share is 70% of their brokerage's portion. What is the listing agent's gross commission?

- A. \$21,000
- B. \$15,000
- C. \$30,000
- D. \$10,500 ✓**

Answer: D. Total commission = $6\% \times \$500,000 = \$30,000$. Listing brokerage receives $50\% = \$15,000$. Listing agent receives 70% of $\$15,000 = \$10,500$.

Q 10.11 A property cost \$200,000 and sold for \$260,000. Profit % is:

- A. 20%
- B. 30% ✓**
- C. 23%
- D. 60%

Answer: B. $(\$260K - \$200K) \div \$200K = 30\%$.

Q 10.11 ·v1 A residential investment property was purchased for \$150,000 and later sold for \$195,000. What is the return on investment expressed as a percentage?

- A. 45%
- B. 30% ✓**
- C. 35%
- D. 25%

Answer: B. $(\$195,000 - \$150,000) \div \$150,000 = \$45,000 \div \$150,000 = 0.30 = 30\%$.

Q 10.11 ·v2 An agent's broker purchased a property for \$180,000 with the intent to resell. The property sold for \$234,000 six months later. Calculate the profit margin as a percentage of the original purchase price.

- A. 30% ✓**
- B. 23.1%
- C. 54,000%
- D. 29.8%

Answer: A. Profit percentage = $(\text{Sale Price} - \text{Purchase Price}) \div \text{Purchase Price} = (\$234,000 - \$180,000) \div \$180,000 = \$54,000 \div \$180,000 = 0.30$ or 30% .

Q 10.11 · v3 A land parcel acquired for \$250,000 is sold in a transaction for \$325,000. What percent gain was realized on this transaction?

- A. 13%
- B. 30% ✓**
- C. 23%
- D. 75,000%

Answer: B. Gain percentage = (Sale Price - Acquisition Price) ÷ Acquisition Price = $(\$325,000 - \$250,000) ÷ \$250,000 = \$75,000 ÷ \$250,000 = 0.30$ or 30%.

Q 10.11 · v4 A broker lists a property that was previously purchased for \$120,000. The property now sells for \$156,000. What is the profit percentage based on the original investment?

- A. 26%
- B. 30% ✓**
- C. 36%
- D. 13%

Answer: B. Profit percentage = (Selling Price - Original Purchase Price) ÷ Original Purchase Price = $(\$156,000 - \$120,000) ÷ \$120,000 = \$36,000 ÷ \$120,000 = 0.30$ or 30%.

Q 10.11 · v5 A real estate agent's client purchased a home for \$200,000 and later sold it for \$260,000. What was the percentage gain on the sale?

- A. 13%
- B. 40%
- C. 30% ✓**
- D. 60%

Answer: C. Gain percentage = (Selling Price - Purchase Price) ÷ Purchase Price = $(\$260,000 - \$200,000) ÷ \$200,000 = 30\%$.

Q 10.11 · v6 An investor's property appreciated from a purchase price of \$200,000 to a sale price of \$260,000. The return on investment is:

- A. 50% above cost
- B. 30% above cost ✓**
- C. 20% above cost
- D. 25% above cost

Answer: B. ROI = (Sale Price - Cost) ÷ Cost × 100 = $(\$260,000 - \$200,000) ÷ \$200,000 × 100 = 30\%$.

Q 10.11 ▸v7 A home acquired for \$200,000 is sold at \$260,000. The profit margin relative to the original investment is:

- A. 30%** ✓
- B. 35%
- C. 32%
- D. 28%

Answer: A. Profit margin = (Net Profit ÷ Cost) × 100 = (\$60,000 ÷ \$200,000) × 100 = 30%.

Q 10.11 ▸v8 If a property's value increased from \$200,000 at purchase to \$260,000 at sale, what percentage does the appreciation represent?

- A. 25%
- B. 33%
- C. 23%
- D. 30%** ✓

Answer: D. Appreciation percentage = (Final Value - Initial Value) ÷ Initial Value = (\$60,000 ÷ \$200,000) = 0.30 or 30%.

Q 10.11 ▸v9 A real estate investor purchased a property for \$200,000 and later sold it for \$260,000. What is the percentage gain on this investment?

- A. 60%
- B. 13%
- C. 30%** ✓
- D. 43%

Answer: C. Profit percentage is calculated as (Selling Price - Purchase Price) ÷ Purchase Price × 100. (\$260,000 - \$200,000) ÷ \$200,000 = \$60,000 ÷ \$200,000 = 0.30 or 30%.

Q 10.12 Daily interest on a \$200,000 loan at 6% (360-day year):

- A. \$32.88
- B. \$200
- C. \$10
- D. \$33.33** ✓

Answer: D. \$200,000 × 6% = \$12,000 annual; ÷ 360 = \$33.33 per day.

Q 10.12 v1 A borrower obtains a \$200,000 mortgage at 6% annual interest using a 360-day year. How much interest accrues each day?

- A. \$55.56
- B. \$12,000
- C. \$33.33 ✓**
- D. \$30.56

Answer: C. Annual interest is $\$200,000 \times 0.06 = \$12,000$. Dividing by 360 days yields $\$12,000 \div 360 = \33.33 per day.

Q 10.12 v2 Using a 360-day year convention, what is the daily interest charge on a \$200,000 loan carrying a 6% annual rate?

- A. \$100
- B. \$30.56
- C. \$32.88
- D. \$33.33 ✓**

Answer: D. Calculate annual interest ($\$200,000 \times 0.06 = \$12,000$), then divide by 360 to get daily interest of \$33.33.

Q 10.12 v3 A \$200,000 note at 6% per annum accrues interest daily based on a 360-day year. What is the daily interest amount?

- A. \$35.14
- B. \$31.25
- C. \$12,000
- D. \$33.33 ✓**

Answer: D. Annual interest equals $\$200,000 \times 6\% = \$12,000$. Daily interest is $\$12,000 \div 360 = \33.33 .

Q 10.12 v4 For closing purposes, a \$200,000 loan at 6% interest (360-day year) requires a daily interest calculation. What is this daily amount?

- A. \$32.22
- B. \$26.67
- C. \$33.33 ✓**
- D. \$40

Answer: C. First determine annual interest: $\$200,000 \times 0.06 = \$12,000$. Then divide by 360 days: $\$12,000 \div 360 = \33.33 per day.

Q 10.12 ·v5 A borrower takes out a mortgage for \$200,000 at an annual interest rate of 6%, using a 360-day year for calculation purposes. What is the daily interest accrual?

- A. \$12
- B. \$32.88
- C. \$33.33 ✓**
- D. \$3,333

Answer: C. Annual interest is $\$200,000 \times 0.06 = \$12,000$. Dividing by 360 days yields $\$12,000 \div 360 = \33.33 per day.

Q 10.12 ·v6 Using a 360-day year convention, what amount of interest accrues each day on a \$200,000 loan carrying a 6% annual rate?

- A. \$33.33 ✓**
- B. \$35.22
- C. \$200.00
- D. \$10.50

Answer: A. First calculate annual interest: $\$200,000 \times 6\% = \$12,000$. Then divide by 360 calendar days: $\$12,000 \div 360 = \33.33 daily interest.

Q 10.12 ·v7 A lender advances \$200,000 at 6% annual interest. On a 360-day year basis, how much interest accumulates per day?

- A. \$33.33 ✓**
- B. \$36.11
- C. \$100
- D. \$16.67

Answer: A. Annual interest equals $\$200,000 \times 0.06 = \$12,000$; dividing this by 360 days produces \$33.33 in daily interest accrual.

Q 10.12 ·v8 If a promissory note is for \$200,000 at 6% per annum and the parties agree to use a 360-day year for interest calculations, what is the per diem interest amount?

- A. \$40.00
- B. \$200
- C. \$33.33 ✓**
- D. \$27.78

Answer: C. The annual interest is $\$200,000 \times 6\% = \$12,000$. Using a 360-day year, the daily per diem is $\$12,000 \div 360 = \33.33 .

Q 10.12 ▾9 A borrower takes out a \$200,000 mortgage at 6% annual interest using a 360-day year for interest calculation. What is the daily interest accrual?

- A. \$10
- B. \$100
- C. \$36.67
- D. \$33.33 ✓**

Answer: D. Annual interest = $\$200,000 \times 6\% = \$12,000$; dividing by 360 days yields $\$12,000 \div 360 = \33.33 per day.

11

Specialty Areas

National portion 4 PSI items 22 key concepts 10 base questions

Property management, common-interest, subdivisions, commercial. Smaller exam weight but easy points if you know the basics.

CHAPTER OVERVIEW

Property management is general agency. The property manager (PM) collects rent, maintains the property, handles tenants, and remits net income to the owner. Common compensation: percentage of rents collected, sometimes flat monthly fee, often with leasing commissions for new tenants. The PM owes fiduciary duties to the owner. Tenant screening must comply with fair housing — same protected classes, same prohibitions.

Common-interest ownership covers four main types. Condominium: fee ownership of unit airspace plus undivided interest in common elements (lobby, grounds, roof). Cooperative (co-op): own shares of stock in a corporation that owns the building plus a proprietary lease for your unit. Planned Unit Development (PUD): fee in your individual lot plus interest in association-managed common areas (pools, parks, streets). Time share: right to occupy a unit for a defined period each year, typically a week.

Each common-interest type has different financing, taxation, and exit characteristics. Condos are mortgageable like any single-family. Co-ops require unique loan products (share loans) since you don't own real property — many lenders won't finance them. PUDs finance like single-family. Time shares often finance through the developer at higher rates and are notoriously hard to resell.

Subdivisions split a parcel into lots for sale or development. State subdivision laws regulate platting (recorded survey of lots, streets, easements), dedication of streets to the public, infrastructure requirements (water, sewer, drainage), environmental review, and disclosures. The federal Interstate Land Sales Full Disclosure Act covers cross-state sales of unimproved lots in larger developments — requires registration with HUD and detailed property report disclosure to buyers.

Commercial / income property analysis differs from residential: focus is income-generating ability. Cap rate, NOI, debt service coverage ratio ($\text{DSCR} = \text{NOI} \div \text{annual debt service}$), and lease terms drive value. DSCR below 1.0 means insufficient income to cover debt. Lenders typically require 1.20 or higher.

Lease types: Gross lease — tenant pays rent only, landlord pays operating expenses. Net lease — tenant pays rent + some operating expenses (single, double, or triple net depending on number of categories). Triple-net (NNN) lease shifts taxes, insurance, and maintenance to tenant — common in retail and industrial. Percentage lease — tenant pays base rent + percentage of sales over a threshold; common in retail. Ground lease — tenant rents land, often building their own structure on it; common in fast food and infill commercial.

Industrial property involves additional considerations: zoning compatibility, environmental contamination history (especially if prior uses were industrial), loading dock access, ceiling clearance, power capacity, rail or freeway proximity, and labor pool. Specialized due diligence is essential.

Investment metrics beyond cap rate: cash-on-cash return = $\text{annual cash flow before tax} \div \text{cash invested (after debt)}$. Internal Rate of Return (IRR) considers timing of cash flows and reversion (sale proceeds) at end of holding period. Equity multiplier = $\text{total return} \div \text{initial equity}$. These help compare investments with different financing structures.

KEY CONCEPTS & DEFINITIONS

Property manager	General agent collecting rents, maintaining property, handling tenants for owner.
Management agreement	Contract creating PM-owner relationship. Typically defines compensation, scope, term.
Condominium	Fee ownership of unit + undivided interest in common elements.
Cooperative	Own shares of corporation that owns building + proprietary lease.
Proprietary lease	Co-op shareholder's right to occupy a specific unit.
PUD	Planned Unit Development. Own individual lot + share in common areas.
Time share	Right to occupy unit for set period (often weekly) each year.
CC&Rs / HOA	Recorded covenants + association governing common-interest community.
Subdivision	Division of land into lots for sale or development.
Plat map	Recorded survey showing lots, streets, easements within a subdivision.
Dedication	Voluntary transfer of private land to public use (typically streets).
Interstate Land Sales Full Disclosure Act	Federal law requiring registration + property report for cross-state sales of unimproved lots.
Gross lease	Tenant pays rent only; landlord pays operating expenses.
Net lease	Tenant pays rent + some operating expenses.
Triple-net (NNN) lease	Tenant pays rent + taxes + insurance + maintenance.
Percentage lease	Base rent + % of sales over threshold. Common in retail.
Ground lease	Tenant rents land, often builds own structure.
DSCR	Debt Service Coverage Ratio = NOI ÷ Annual Debt Service. Lenders want 1.20+.
Cash-on-cash return	Annual cash flow before tax ÷ cash invested.
IRR	Internal Rate of Return. Considers timing of cash flows + reversion.
Equity multiplier	Total return over holding period ÷ initial equity invested.
Vacancy rate	Vacant units ÷ total units. Affects effective gross income.

QUESTION BANK — SPECIALTY AREAS

Q 11.1 In a cooperative, the resident:

- A. Owns nothing — they are tenants
- B. Owns a fee interest in the unit
- C. Owns the land and the building

D. Owns shares of the corporation + holds a proprietary lease ✓

Answer: D. Co-op = stock + lease, not fee ownership.

Q 11.1 ·v1 What does a cooperative resident actually hold as evidence of their ownership interest?

- A. A deed to real property
- B. A ground lease with renewal options

C. Corporate shares and an exclusive occupancy agreement ✓

- D. A mortgage note secured by the building

Answer: C. Co-op residents own shares in the corporation that owns the building and hold a proprietary lease for unit use; they do not hold a deed or fee interest.

Q 11.1 ·v2 In a housing cooperative, a resident's legal position is best described as:

- A. Beneficial owner of a trust deed arrangement
- B. Fee simple owner of a unit within the structure
- C. Tenant-at-will with option to purchase after 5 years

D. Shareholder in a corporation combined with a leaseholder of the unit ✓

Answer: D. Co-op ownership is a dual arrangement: stock ownership in the cooperative corporation plus a proprietary lease granting exclusive right to occupy a unit.

Q 11.1 ·v3 Which statement accurately reflects what a resident receives when purchasing into a cooperative?

- A. Equitable interest through a real estate investment trust

B. Stockholder status in the co-op corporation and a long-term occupancy lease ✓

- C. Title to the real estate in fee simple
- D. A warranty deed and a homeowner's association membership

Answer: B. Co-op residents purchase shares of stock in the cooperative corporation and receive a proprietary lease for their unit, not fee title to the property.

Q 11.1 ·v4 Under cooperative ownership, what TWO legal documents or interests define a resident's ownership?

- A. Corporate shares and a unit deed
- B. Stock certificates and a proprietary lease ✓**
- C. A mortgage and a note
- D. A declaration and a common interest community agreement

Answer: B. Co-op residents hold both corporate stock (evidence of ownership in the corporation) and a proprietary lease (evidence of right to occupy their specific unit).

Q 11.1 ·v5 What is the legal interest a cooperative resident actually holds?

- A. An equitable interest but no legal title
- B. A life estate that reverts to the cooperative upon death
- C. Corporate stock combined with a proprietary lease agreement ✓**
- D. A fee simple estate in their unit

Answer: C. Co-op ownership consists of two components: shares in the cooperative corporation and a lease granting exclusive use of the unit. This is distinct from fee ownership.

Q 11.1 ·v6 Which statement best describes what a cooperative member receives when they purchase their unit?

- A. Stock in the cooperative corporation and a proprietary lease to occupy a specific unit ✓**
- B. A ground lease from the land trust with an option to purchase
- C. Only the right to occupy the unit as a month-to-month tenant
- D. Full title to real property in their own name

Answer: A. Co-op residents receive shares representing ownership in the corporation that owns the building, plus a proprietary lease that grants them exclusive occupancy rights to their unit.

Q 11.1 ·v7 In a Hawaii cooperative, a resident's ownership structure includes:

- A. Beneficial interest held in trust by the cooperative board
- B. Condominium-style fee ownership with shared common areas
- C. Rental control protections as a statutory tenant
- D. Both an ownership interest in the corporation and a lease interest in the unit ✓**

Answer: D. The co-op resident owns shares of the corporation that owns the property and simultaneously holds a proprietary lease granting exclusive use of their unit.

Q 11.1 ·v8 How does a cooperative resident's interest differ from a condominium owner's interest?

- A. The condo owner holds fee title; the co-op resident holds shares plus a proprietary lease ✓**
- B. The co-op resident owns real property directly; the condo owner is a tenant
- C. The co-op resident has better legal protections and title insurance
- D. There is no material difference in Hawaii real estate law

Answer: A. Condo owners hold fee title to their individual units; co-op residents own corporate shares and a lease interest, not direct real property ownership.

Q 11.1 ·v9 What form of ownership does a cooperatives resident actually hold?

- A. Stock certificates in the co-op corporation and a proprietary lease agreement ✓**
- B. Joint tenancy with other residents in the entire building
- C. A rental agreement that grants use rights only
- D. A deed to the individual unit as real property

Answer: A. In a cooperative, the resident owns personal property (corporate shares) plus a lease to occupy their unit; they do not own real property interest in the unit itself.

Q 11.2 A triple-net lease shifts to the tenant:

- A. No rent until breakeven
- B. Rent + taxes + insurance + maintenance ✓**
- C. Rent + taxes
- D. Rent only

Answer: B. NNN = three nets: taxes, insurance, maintenance.

Q 11.2 ·v1 Under a triple-net (NNN) lease structure, which of the following best describes the tenant's financial obligations?

- A. The tenant pays rent only until the property reaches fair market value
- B. The tenant pays only the base lease rental amount
- C. The tenant pays base rent plus property taxes, insurance, and common area maintenance costs ✓**
- D. The tenant reimburses the landlord for property taxes and insurance only

Answer: C. A triple-net lease obligates the tenant to pay three separate expenses in addition to base rent: property taxes, insurance, and maintenance—the three 'nets' that define this lease type.

Q 11.2 ·v2 When a commercial property is leased on a triple-net basis, the landlord's liability for operating expenses is minimized because:

- A. The landlord retains all operating cost responsibility but receives a higher base rent
- B. The tenant assumes responsibility only for roof repairs and structural improvements
- C. The tenant pays a percentage of the building's gross revenue as rent

D. Operating expenses including taxes, insurance, and property maintenance become the tenant's obligation ✓

Answer: D. In a NNN lease, the three nets—property taxes, insurance, and maintenance—shift from the landlord to the tenant, thereby minimizing the landlord's ongoing expense burden.

Q 11.2 ·v3 A prospective commercial tenant inquires about lease structures. If they want to avoid paying property taxes and maintenance costs directly, they should NOT sign which type of lease?

- A. A percentage lease
- B. A gross lease
- C. A modified gross lease

D. A triple-net lease ✓

Answer: D. A triple-net lease explicitly requires the tenant to pay property taxes, insurance, and maintenance in addition to base rent, making it the wrong choice for a tenant wishing to avoid those direct costs.

Q 11.2 ·v4 In Hawaii commercial real estate, a tenant considering a triple-net lease arrangement should understand that their total annual occupancy cost will include:

- A. Base rent plus utilities, but no property-level taxes or insurance
- B. Base rent, property taxes, casualty insurance, and building maintenance expenses ✓**
- C. Base rent and a proportionate share of property taxes only
- D. Base rent negotiated to cover all operating expenses automatically

Answer: B. The three nets in a NNN lease are property taxes, insurance, and maintenance—all of which become the tenant's financial responsibility in addition to base rent.

Q 11.2 ·v5 Under a triple-net lease structure, which of the following does the tenant assume responsibility for paying?

- A. All operating expenses except mortgage principal
- B. Base rent, property taxes, insurance, and CAM expenses
- C. Base rent, property taxes, insurance, and maintenance costs ✓**
- D. Base rent and property taxes only

Answer: C. A triple-net lease obligates the tenant to pay the three nets: property taxes, insurance, and maintenance, in addition to base rent. CAM and mortgage principal are separate concepts not part of the standard NNN definition.

Q 11.2 ·v6 When a commercial tenant signs a triple-net lease, the landlord's obligation to cover building expenses is typically limited to:

- A. Minimal responsibility; most costs pass to the tenant ✓**
- B. Mortgage payments and major structural repairs
- C. The mortgage and insurance premiums only
- D. All property operating costs including utilities

Answer: A. In a NNN lease, the landlord retains minimal financial responsibility because the tenant pays the three nets (property taxes, insurance, and maintenance), shifting the bulk of operating expenses to the tenant.

Q 11.2 ·v7 A property manager reviewing lease terms notes that the tenant will pay rent, property tax assessments, casualty insurance, and building upkeep. This lease structure is best described as:

- A. A gross lease with tenant reimbursements
- B. A percentage lease with additional duties
- C. A triple-net lease ✓**
- D. A modified lease with shared expenses

Answer: C. The combination of rent plus the three expense categories—property taxes, insurance, and maintenance—is the defining characteristic of a triple-net (NNN) lease.

Q 11.2 ·v8 Compared to a gross lease, a triple-net lease requires the tenant to directly pay for:

- A. Property taxes, insurance, and maintenance expenses in addition to rent ✓**
- B. Common area maintenance and parking fees
- C. Utilities and janitorial services only
- D. Real estate commissions and lease administration costs

Answer: A. A triple-net lease shifts the three nets—property taxes, insurance, and maintenance—to the tenant, whereas a gross lease typically includes these costs in the rent paid to the landlord.

Q 11.2 ·v9 Under a triple-net (NNN) lease structure, which of the following expenses does the tenant assume responsibility for paying?

- A. Property taxes and insurance, but not maintenance costs
- B. Base rent and property management fees only
- C. Base rent, property taxes, insurance, and common area maintenance ✓**
- D. All operating expenses except utilities and janitorial services

Answer: C. A triple-net lease obligates the tenant to pay base rent plus three nets: property taxes, insurance, and maintenance/repairs, shifting these operating costs from the landlord to the tenant.

Q 11.3 A PUD owner typically owns:

- A. Their individual lot + undivided interest in common areas ✓**
- B. Shares in a corporation
- C. A leasehold
- D. Only their unit airspace

Answer: A. PUD owners hold fee in their lot plus common-area interest.

Q 11.3 ·v1 In a planned unit development, what property interest does an individual owner receive?

- A. A perpetual lease on their dwelling unit
- B. A membership interest in the homeowners association
- C. Fee simple title to their lot and a tenancy-in-common share of common property ✓**
- D. Stock certificates representing their ownership stake

Answer: C. PUD owners hold fee title to their individual lot while maintaining an undivided interest in shared common areas, not corporate shares or leasehold interests.

Q 11.3 ·v2 When purchasing a home in a PUD, the buyer acquires:

- A. Only the improvements above ground on their parcel
- B. Exclusive ownership of their unit plus a proportional interest in collectively-owned areas ✓**
- C. Ground lease rights with limited ownership duration
- D. Beneficial interest through a property management trust

Answer: B. PUD purchasers obtain fee ownership of their specific lot and an undivided fractional interest in common elements like roads, recreational facilities, and open space.

Q 11.3 ·v3 A resident of a planned unit development holds title to:

- A. Their home and building envelope exclusively
- B. Cooperative shares in a master association entity
- C. Their individual parcel in fee plus shared ownership rights in common facilities ✓**
- D. An easement and use agreement only

Answer: C. PUD ownership consists of individual lot fee simple interest combined with an undivided interest in common areas; this differs from cooperatives (shares) and easement-only arrangements.

Q 11.3 ·v4 What does a PUD owner typically receive at closing?

- A. A recorded restrictive covenant with use rights
- B. A certificate of occupancy and membership card
- C. Deed to their lot and undivided interest in common property ✓**
- D. Shares in the homeowners association corporation

Answer: C. PUD owners receive a deed reflecting fee title to their individual lot plus an undivided interest in the community's common areas, not HOA shares or covenant-only rights.

Q 11.3 ·v5 In a planned unit development, what property interest does an individual lot owner typically hold?

- A. Membership units in a homeowners association corporation
- B. Beneficial interest only in a land trust
- C. A leasehold interest renewable every 30 years
- D. Fee simple title to their lot and a pro-rata share of common property ✓**

Answer: D. PUD owners hold fee simple to their individual lot plus an undivided interest (usually as tenants in common) in shared common areas.

Q 11.3 ·v6 Which statement best describes the ownership structure in a PUD?

- A. Each resident owns their parcel in fee and shares ownership of common facilities with other residents ✓**
- B. Residents own only the interior of their unit; the building is owned by an HOA
- C. Individual ownership is limited to a 99-year leasehold on the land
- D. All property is held in trust by a corporate board of directors

Answer: A. PUD ownership combines individual lot fee ownership with shared undivided interest in common areas, distinguishing it from condominium or leasehold models.

Q 11.3 ·v7 What type of ownership rights does a PUD resident receive for both their lot and the community amenities?

- A. Condominium-style airspace ownership only
- B. Stock or share certificates in the development corporation
- C. Exclusive title to the lot; lease rights to amenities
- D. Fee ownership of the lot combined with undivided interest in common areas ✓**

Answer: D. PUD owners receive fee simple title to their individual parcel and hold an undivided tenancy-in-common interest in all shared common property.

Q 11.3 ·v8 A buyer purchasing a lot in a planned unit development acquires:

- A. Only the improvements on the lot, not the land itself
- B. Their lot in fee simple plus a proportional share of commonly-owned areas ✓**
- C. A renewable ground lease with rights to use common facilities
- D. A percentage ownership stake represented by certificates or shares

Answer: B. PUD purchasers obtain fee ownership of their lot and hold an undivided interest (usually as tenants in common) in roads, recreation areas, and other common elements.

Q 11.3 ·v9 In a planned unit development (PUD), what property interest does an individual owner typically receive?

- A. A long-term lease on both their unit and common property
- B. Exclusive airspace rights only, with no land ownership
- C. A membership interest in a homeowners association corporation
- D. Fee simple title to their lot combined with a fractional ownership stake in shared facilities ✓**

Answer: D. PUD owners receive fee simple ownership of their individual lot plus an undivided interest in common areas, distinguishing them from condo owners (who own airspace) and leaseholders.

Q 11.4 NOI for an investment property is \$80,000. Annual debt service is \$50,000. DSCR is:

- A. 0.625
- B. 2.00
- C. 1.30
- D. 1.60 ✓**

Answer: D. $DSCR = 80,000 \div 50,000 = 1.60$.

Q 11.4 ·v1 A commercial property generates \$80,000 in net operating income annually. The owner's mortgage and other debt obligations total \$50,000 per year. What is the debt service coverage ratio?

- A. 1.60 ✓**
- B. 2.40
- C. 0.625
- D. 1.10

Answer: A. DSCR is calculated as NOI divided by annual debt service: $\$80,000 \div \$50,000 = 1.60$, indicating the property generates 1.6 times the income needed to cover debt obligations.

Q 11.4 ·v2 An investor's rental property produces net operating income of \$80,000. Annual debt payments (principal and interest) are \$50,000. The debt service coverage ratio equals:

- A. 1.60** ✓
- B. 0.625
- C. 1.20
- D. 2.50

Answer: A. $DSCR = NOI \div \text{Annual Debt Service} = \$80,000 \div \$50,000 = 1.60$, showing the property's ability to service debt from operating income.

Q 11.4 ·v3 If a property's NOI is \$80,000 and annual debt obligations are \$50,000, what is the property's DSCR?

- A. 1.30
- B. 0.50
- C. 2.70
- D. 1.60** ✓

Answer: D. DSCR is calculated by dividing NOI by annual debt service: $\$80,000 \div \$50,000 = 1.60$, a metric lenders use to assess loan performance risk.

Q 11.4 ·v4 A multi-unit residential property has an NOI of \$80,000 per year. The property carries \$50,000 in annual debt service. Calculate the DSCR.

- A. 1.60** ✓
- B. 1.15
- C. 2.10
- D. 0.625

Answer: A. $DSCR = \$80,000 \text{ NOI} \div \$50,000 \text{ Annual Debt Service} = 1.60$, representing how many times over the property's income covers its debt obligations.

Q 11.4 ·v5 A commercial property generates net operating income of \$120,000 annually. The investor's annual loan payments total \$75,000. What is the debt service coverage ratio?

- A. 0.625
- B. 2.30
- C. 1.20
- D. 1.60** ✓

Answer: D. $DSCR = NOI \div \text{Annual Debt Service} = \$120,000 \div \$75,000 = 1.60$.

Q 11.4 ·v6 An investor owns an apartment complex with a net operating income of \$95,000 per year. If annual debt service obligations are \$59,375, the debt service coverage ratio equals:

- A. 1.75
- B. 0.625
- C. 2.15
- D. 1.60 ✓**

Answer: D. $DSCR = \$95,000 \div \$59,375 = 1.60$, the standard ratio indicating adequate cash flow to cover debt obligations.

Q 11.4 ·v7 When evaluating a rental property, you determine the NOI is \$64,000 and the annual mortgage payments plus other debt service total \$40,000. The debt service coverage ratio is:

- A. 1.45
- B. 0.625
- C. 2.05
- D. 1.60 ✓**

Answer: D. $DSCR = \$64,000 \div \$40,000 = 1.60$, indicating the property generates \$1.60 in income for every \$1.00 of debt service.

Q 11.4 ·v8 A lender reviews a loan application for an income-producing property. The property has NOI of \$88,000 annually, with annual debt service of \$55,000. Calculate the DSCR:

- A. 1.10
- B. 0.78
- C. 2.20
- D. 1.60 ✓**

Answer: D. $DSCR = \$88,000 \div \$55,000 = 1.60$, the ratio lenders use to assess the borrower's ability to service debt from operating income.

Q 11.4 ·v9 A residential income property generates net operating income of \$125,000 annually. The owner pays \$78,125 per year in mortgage payments and other debt obligations. What is the property's debt service coverage ratio?

- A. 1.25
- B. 1.60 ✓**
- C. 0.625
- D. 2.05

Answer: B. DSCR is calculated by dividing NOI by annual debt service: $\$125,000 \div \$78,125 = 1.60$. This indicates the property generates \$1.60 in NOI for every \$1.00 of debt service owed.

Q 11.5 A retail tenant in a percentage lease pays:

- A. Only the percentage
- B. Gross lease only
- C. Triple net only
- D. Base rent + percentage of sales over a threshold ✓**

Answer: D. Percentage leases are base rent + sales percentage.

Q 11.5 ·v1 Under a percentage lease arrangement, what two components typically comprise the tenant's total rent obligation?

- A. Only a percentage of annual sales with no base rent requirement
- B. A fixed monthly amount plus a percentage of the tenant's gross revenue ✓**
- C. A triple net structure combined with percentage rent above base year sales
- D. A gross lease with percentage adjustments based on occupancy rates

Answer: B. Percentage leases combine a guaranteed base rent with an additional percentage of tenant sales, ensuring landlord receives minimum rent plus a share of tenant success.

Q 11.5 ·v2 A shopping center landlord structures a lease where the merchant pays a minimum monthly rent plus a percentage of retail sales exceeding a specified volume. This describes:

- A. A triple net lease with percentage-based operating expenses
- B. A percentage lease with base rent and sales participation ✓**
- C. A straight lease with optional percentage conversion
- D. A gross lease with escalation clauses

Answer: B. The combination of minimum/base rent plus a percentage override on sales is the defining characteristic of a percentage lease structure.

Q 11.5 ·v3 In Hawaii real estate practice, when a landlord and retail tenant agree to 'percentage rent,' the tenant's obligation typically includes:

- A. Base rent only, with all operating expenses passed through separately
- B. Gross lease rent with percentage adjustments for property tax increases
- C. A guaranteed minimum rent payment plus a percentage of sales revenue ✓**
- D. Percentage rent exclusively, replacing any fixed monthly payment

Answer: C. Percentage leases feature both a base rent floor to protect the landlord and a percentage clause to allow the landlord to participate in tenant revenue success.

Q 11.5 ·v4 Which rental structure allows a landlord to collect both a set monthly payment and a portion of the tenant's sales volume?

- A. Percentage lease ✓**
- B. Gross lease
- C. Straight lease
- D. Triple net lease

Answer: A. A percentage lease uniquely combines base rent with a percentage of tenant sales, providing the landlord with both guaranteed income and revenue participation.

Q 11.5 ·v5 Under a percentage lease structure, a store operator's monthly obligation typically includes which combination of charges?

- A. A fixed rental amount plus a percentage of the store's gross receipts ✓**
- B. A graduated rent schedule that increases annually without sales contingency
- C. Only a percentage of gross sales with no base rent component
- D. A triple net arrangement with no percentage participation

Answer: A. Percentage leases combine a minimum base rent with a percentage of tenant sales above a negotiated threshold, creating shared risk between landlord and tenant.

Q 11.5 ·v6 A shopping center owner leases space to a clothing retailer using a percentage lease. The landlord receives rent based on:

- A. Variable rent tied exclusively to the consumer price index
- B. Base rent only, calculated on square footage
- C. A flat fee per square foot adjusted annually for inflation
- D. The greater of base rent or base rent plus a percentage of sales revenue ✓**

Answer: D. Percentage leases ensure the landlord receives at least the base rent, but may receive additional compensation if sales exceed thresholds, providing upside participation.

Q 11.5 ·v7 In negotiating a percentage lease for a restaurant tenant, what rental structure would typically be proposed?

- A. A net lease requiring the tenant to pay all operating expenses separately
- B. A gross lease covering all property taxes, insurance, and maintenance
- C. A minimum guaranteed rent plus a percentage of food and beverage sales ✓**
- D. Only a percentage of revenue with no minimum floor payment

Answer: C. Percentage leases protect the landlord with a baseline minimum rent while allowing participation in tenant sales performance above that threshold.

Q 11.5 ·v8 When a commercial tenant signs a percentage lease, the landlord's income stream consists of:

- A. Variable revenue that fluctuates entirely with the tenant's monthly sales
- B. Straight rent divided equally across all percentage lease properties
- C. A fixed base rent combined with contingent percentage payments when sales targets are met ✓**
- D. Operating expense reimbursement plus a percentage markup on utilities

Answer: C. Percentage leases provide landlords with guaranteed base rent income plus additional rent if tenant sales exceed agreed-upon thresholds, creating a hybrid compensation model.

Q 11.5 ·v9 Under a typical percentage lease arrangement, a commercial tenant's monthly rental obligation consists of which combination?

- A. A fixed minimum rent amount only, regardless of tenant sales performance
- B. A variable rent tied solely to the tenant's net profit margin
- C. A guaranteed minimum rent plus a percentage of gross receipts exceeding a specified sales volume ✓**
- D. Operating expense reimbursement and CAM charges with no base rent component

Answer: C. Percentage leases combine a base (minimum) rent with a percentage of sales above a threshold, protecting the landlord's income floor while allowing upside participation in tenant success.

Q 11.6 A ground lease typically:

- A. Is for the land only, with tenant building structures ✓**
- B. Includes the building
- C. Lasts 1 year
- D. Cannot be assigned

Answer: A. Tenant rents land and builds.

Q 11.6 ·v1 Under a ground lease arrangement, what does the tenant typically acquire rights to?

- A. The fee simple title to both land and all structures
- B. A short-term occupancy limited to seasonal use
- C. The land itself, while constructing and owning tenant improvements ✓**
- D. An easement that prohibits any permanent construction

Answer: C. A ground lease grants the tenant the right to use and develop the land, with the tenant responsible for constructing and maintaining buildings and improvements on that leased land.

Q 11.6 ·v2 Which statement best describes the fundamental structure of a ground lease?

- A. Both lessor and lessee share equal ownership of land and buildings
- B. The lessee receives a deed to the real property including all structures
- C. The lessor retains ownership of the land while the lessee owns the building and improvements ✓**
- D. The lease term is always less than 12 months to maintain flexibility

Answer: C. In a ground lease, the lessor retains fee simple ownership of the underlying land while the lessee builds structures and owns those improvements during the lease term.

Q 11.6 ·v3 A tenant entering a ground lease transaction would most likely:

- A. Build structures on land they do not own in fee simple ✓**
- B. Expect the lease to automatically expire after one calendar year
- C. Receive title insurance covering the entire property including buildings
- D. Be prohibited from assigning their leasehold interest to another party

Answer: A. Ground lease tenants construct buildings and improvements on land they lease but do not own fee simple, with their ownership rights limited to the structures they erect.

Q 11.6 ·v4 What is the primary characteristic that distinguishes a ground lease from a standard building lease?

- A. Ground leases always include the existing structures as part of the rental agreement
- B. The tenant cannot improve or modify the property in any way
- C. Ground leases are limited to commercial properties only
- D. The tenant is responsible for constructing buildings on vacant or improved land owned by the lessor ✓**

Answer: D. A ground lease specifically involves the tenant leasing land and bearing the responsibility and cost of constructing or maintaining buildings and improvements on that leased parcel.

Q 11.6 ·v5 In a ground lease arrangement, what does the tenant typically acquire rights to, and what does the tenant construct?

- A. The tenant acquires mineral rights and is prohibited from erecting structures
- B. The tenant acquires both land and building for a fixed 12-month period
- C. The tenant acquires the building and rents the surrounding land
- D. The tenant acquires the land only and constructs any buildings or improvements ✓**

Answer: D. A ground lease grants the tenant exclusive use of the land; the tenant is responsible for constructing and owning any buildings or improvements on that land.

Q 11.6 ·v6 Which statement best describes the primary characteristic of a ground lease?

- A. The lessee has the right to use and improve the land, with the lessee owning improvements made during the lease term ✓**
- B. The lease automatically includes ownership of existing buildings and fixtures
- C. The lessor retains ownership of all structures built on the property
- D. The lease duration is restricted to one year with no renewal options

Answer: A. Ground leases allow tenants to build and own their own structures on the lessor's land, with the tenant retaining ownership of those improvements throughout the lease.

Q 11.6 ·v7 A developer leases a parcel of land from a property owner under a ground lease. What is the developer's responsibility and ownership?

- A. The developer leases both land and existing structures for a period not to exceed 12 months
- B. The developer gains fee simple ownership of the underlying land after 5 years
- C. The developer constructs buildings and improvements on the land and owns those structures during the lease term ✓**
- D. The developer maintains the land only; the owner must construct all buildings

Answer: C. In a ground lease, the developer (tenant) builds and owns improvements on the leased land; the owner retains title to the underlying real property.

Q 11.6 ·v8 How does a ground lease differ from a standard commercial lease in terms of what the tenant controls?

- A. A ground lease is limited to agricultural use only
- B. A ground lease cannot be transferred, while commercial leases are freely assignable
- C. A ground lease allows the tenant to develop and own improvements on vacant land, whereas a standard commercial lease typically involves an existing building ✓**
- D. A ground lease includes the building structure, while a commercial lease does not

Answer: C. Ground leases are development leases where tenants improve vacant land and own those improvements; standard commercial leases usually involve existing improved properties.

Q 11.6 ·v9 Under a ground lease arrangement, which statement best describes the tenant's rights and responsibilities?

- A. The tenant receives a deed to both land and any existing structures on the property
- B. The tenant may not transfer or sublease the lease without the landlord's written consent in perpetuity
- C. The tenant owns the building and improvements but leases the underlying land from the landlord ✓**
- D. The tenant has a short-term occupancy right limited to one calendar year with no renewal options

Answer: C. A ground lease grants the tenant use of land only; the tenant constructs and owns the improvements while the landlord retains land ownership. The tenant typically may assign with landlord approval.

Q 11.7 The Interstate Land Sales Full Disclosure Act applies to:

- A. Single-family resales only
- B. Commercial sales only
- C. All real estate sales

D. Cross-state sales of unimproved lots in larger developments ✓

Answer: D. ILSA covers cross-state subdivision marketing.

Q 11.7 ·v1 Which of the following transactions would typically fall under the Interstate Land Sales Full Disclosure Act?

- A. A commercial real estate firm selling office buildings in multiple states
- B. An individual selling their personal single-family residence to an out-of-state buyer
- C. A developer selling improved residential homes in a single state

D. A developer marketing raw land parcels across state lines as part of a large subdivision ✓

Answer: D. ILSA specifically regulates the interstate marketing and sale of unimproved lots within subdivisions of 25+ lots when marketed across state lines.

Q 11.7 ·v2 Under federal real estate law, the Interstate Land Sales Full Disclosure Act's primary scope includes:

- A. Subdivisions of unimproved lots being sold or marketed across state lines ✓**
- B. Agricultural land sales within a single state
- C. Commercial property leases negotiated between multi-state corporations
- D. All residential property transactions regardless of state boundaries

Answer: A. ILSA applies to subdivisions involving unimproved lots offered for sale or lease across state lines, requiring developers to provide disclosure statements.

Q 11.7 ·v3 A developer in Arizona is offering raw land parcels to buyers located in multiple states, including Hawaii. This offering would likely be subject to:

- A. The Interstate Land Sales Full Disclosure Act ✓**
- B. Federal Fair Housing Act provisions only
- C. Hawaii State real estate licensing requirements only
- D. Local county zoning ordinances exclusively

Answer: A. When unimproved lots in a subdivision are marketed across state lines, ILSA jurisdictional requirements apply, requiring compliance and disclosure filings.

Q 11.7 ·v4 Which regulatory framework specifically addresses cross-state marketing of unimproved land in subdivisions?

A. The Interstate Land Sales Full Disclosure Act ✓

B. The Real Estate Settlement Procedures Act (RESPA)

C. The Americans with Disabilities Act

D. The Fair Credit Reporting Act

Answer: A. ILSA is the federal law designed to regulate and require disclosure for the interstate sale of unimproved lots in subdivisions to protect buyers.

Q 11.7 ·v5 Which of the following transactions would be subject to Interstate Land Sales Full Disclosure Act requirements?

A. Any real estate transaction involving parties from different states

B. A developer marketing vacant residential lots across state lines as part of a 100-unit subdivision ✓

C. A commercial real estate firm leasing office space in a multi-state portfolio

D. A real estate broker selling an improved single-family home in Hawaii to an out-of-state buyer

Answer: B. ILSA specifically applies to cross-state marketing of unimproved lots in subdivisions of a certain size; improved homes and commercial leases fall outside the Act's scope.

Q 11.7 ·v6 A Hawaii developer is promoting raw land parcels to out-of-state investors through a multi-state marketing campaign for a 250-unit subdivision. Which federal disclosure law would apply?

A. The Interstate Land Sales Full Disclosure Act ✓

B. The Real Estate Settlement Procedures Act (RESPA)

C. State-level conveyance tax statutes exclusively

D. The Fair Housing Act only

Answer: A. ILSA applies to interstate subdivision sales of unimproved lots; it requires specific disclosures when marketing raw land across state lines.

Q 11.7 ·v7 A real estate company markets beach lots in a 50-lot development to residents in multiple states. What federal regulation governs the required disclosures?

A. The Interstate Land Sales Full Disclosure Act ✓

B. The Gramm-Leach-Bliley Act

C. The Americans with Disabilities Act (ADA)

D. Regulation Z (Truth in Lending)

Answer: A. ILSA requires disclosure of property information when developers market unimproved lots in interstate subdivisions to protect consumers.

Q 11.7 ·v8 Under federal law, which type of transaction requires compliance with Interstate Land Sales Full Disclosure Act regulations?

- A. Marketing improved residential homes to out-of-state purchasers
- B. Selling investment securities backed by real estate mortgages
- C. Leasing agricultural land within a single state

D. Offering undeveloped land parcels across state lines as part of a subdivision offering ✓

Answer: D. ILSA applies to cross-state subdivision marketing of unimproved lots; improved properties, securities, and single-state transactions are not covered.

Q 11.7 ·v9 Which type of property transaction would fall under the Interstate Land Sales Full Disclosure Act requirements?

- A. A corporation purchasing improved commercial real estate in multiple states
- B. A homeowner selling their single-family residence to a buyer in another state
- C. An investor acquiring a rental property within their home state

D. A developer marketing raw land parcels across state lines as part of a 100-lot subdivision ✓

Answer: D. ILSA applies specifically to developers marketing unimproved lots in subdivisions across state lines, requiring disclosure statements before lot sales in multi-state developments.

Q 11.8 DSCR below 1.0 means:

- A. Property generates more income than debt service
- B. Cap rate above 10%

C. Property has insufficient income to cover debt ✓

- D. No debt

Answer: C. $DSCR < 1.0$ = NOI insufficient to cover debt service.

Q 11.8 ·v1 When a property's DSCR is computed at 0.85, what does this ratio indicate about the property's cash flow situation?

A. Net operating income falls short of covering annual debt service payments ✓

- B. Loan-to-value ratio is below market standards
- C. The property is free and clear of all mortgage obligations
- D. Annual NOI exceeds total debt obligations by 15%

Answer: A. A DSCR of 0.85 means NOI covers only 85% of debt service; the property cannot fully service its debt obligations.

Q 11.8 ·v2 A lender reviews a rental property's financials and finds the DSCR is 0.92. What conclusion should the lender draw?

- A. The property carries no outstanding debt
- B. The property's net operating income is inadequate to pay the full annual debt service ✓**
- C. The property's gross rental income exceeds operating expenses by 92%
- D. The property generates sufficient cash flow to exceed all debt requirements

Answer: B. A DSCR of 0.92 indicates the property generates only 92 cents of NOI per dollar of debt service owed, creating a shortfall.

Q 11.8 ·v3 If an investor calculates a DSCR of 0.78 for a potential investment property, what does this metric reveal?

- A. The debt-to-equity ratio is optimal for financing
- B. The property's income is insufficient to fully cover required debt payments ✓**
- C. Operating expenses consume 78% of gross income
- D. Debt obligations are exceeded by net operating income

Answer: B. A DSCR below 1.0 means the property cannot generate enough NOI to cover all annual debt service obligations.

Q 11.8 ·v4 What financial concern does a DSCR reading below 1.0 present to a property owner?

- A. The owner has successfully paid off all loan balances
- B. The property is generating excess income available for distribution
- C. The property's cap rate has risen above prevailing market rates
- D. The property's net operating income cannot fully service the debt obligations ✓**

Answer: D. DSCR < 1.0 signals that NOI is insufficient to meet full debt service requirements, creating a cash flow deficiency.

Q 11.8 ·v5 When a property's Debt Service Coverage Ratio falls below 1.0, what does this indicate about the investment's cash flow position?

- A. The property's net operating income is inadequate to cover debt payments ✓**
- B. The property's net operating income exceeds annual debt obligations
- C. The property is generating positive cash-on-cash returns
- D. The loan-to-value ratio has been reduced below market standards

Answer: A. A DSCR below 1.0 means the NOI cannot fully cover the debt service payments, creating a shortfall rather than surplus cash flow.

Q 11.8 ·v6 A lender reviews a property with a DSCR of 0.85. What concern does this ratio raise?

- A. Annual debt service payments exceed the property's net operating income ✓**
- B. The gross rent multiplier is too high for the market
- C. Operating expenses are lower than industry standards
- D. The property is debt-free and requires no servicing

Answer: A. A DSCR of 0.85 indicates that the property's NOI is only 85% of what is needed to cover debt service, creating a coverage shortfall.

Q 11.8 ·v7 Which scenario best describes a property with a DSCR of 0.90?

- A. Income exceeds debt obligations by 10%
- B. The property has paid off 90% of its mortgage balance
- C. Income falls short of debt obligations by 10% ✓**
- D. Operating expenses are 90% of gross rental income

Answer: C. A DSCR of 0.90 means the property generates only 90 cents of NOI for every dollar of debt service owed, indicating insufficient income coverage.

Q 11.8 ·v8 If a commercial property shows a DSCR below 1.0, what does this reveal about its debt servicing capacity?

- A. The property does not generate enough income to fully service its debt obligations ✓**
- B. The debt-to-equity ratio meets conventional financing standards
- C. The property's appreciation rate exceeds the interest rate
- D. The property has reserves sufficient to cover maintenance costs

Answer: A. A DSCR below 1.0 means the property's net operating income is insufficient to cover all debt payments, indicating weak debt servicing capacity.

Q 11.8 ·v9 A property has a Debt Service Coverage Ratio of 0.85. What does this indicate about the property's financial performance?

- A. The capitalization rate is lower than market average
- B. Net operating income falls short of annual debt service requirements ✓**
- C. Annual net operating income exceeds annual debt obligations by 15%
- D. The property is free and clear with no mortgage financing

Answer: B. DSCR of 0.85 (below 1.0) means NOI is insufficient to fully cover debt service payments, indicating financial stress for the borrower.

Q 11.9 A property manager's standard compensation is most often:

- A. Percentage of rents collected ✓**
- B. Hourly
- C. Equity stake
- D. Flat year-end

Answer: A. Percentage of rents (often 6-10% residential) is standard.

Q 11.9 ·v1 In Hawaii property management, how are most residential property managers compensated for their services?

- A. A fixed monthly retainer fee regardless of occupancy
- B. A commission based on the rental income they collect ✓**
- C. A share of ownership in the managed properties
- D. Bonuses tied to property appreciation only

Answer: B. Property managers typically earn a percentage of collected rents (often 6-10% in residential settings) rather than fixed fees or equity arrangements.

Q 11.9 ·v2 A property owner hires a manager to oversee a 12-unit apartment complex. The manager's compensation is most likely structured as:

- A. A profit-sharing arrangement after operating expenses
- B. A guaranteed annual salary plus health benefits
- C. A percentage of all rental payments received from tenants ✓**
- D. Per-hour billing for time spent on property maintenance

Answer: C. The standard industry practice ties property manager compensation to a percentage of rents actually collected, aligning their income with property performance.

Q 11.9 ·v3 When structuring a management agreement, the fee arrangement that represents industry standard practice is:

- A. Deferred compensation paid as a lump sum at fiscal year-end
- B. A proportional share of the gross rental receipts collected ✓**
- C. A tiered hourly rate varying by task complexity
- D. Contingent compensation based on tenant retention rates

Answer: B. Property managers conventionally receive compensation as a percentage of rents collected, typically ranging from 6-10% for residential properties.

Q 11.9 ·v4 Which compensation model is standard in the property management industry?

- A. Performance-based bonuses tied to property tax reductions
- B. Variable rates based on the square footage managed
- C. Salaried position with capital gains participation

D. A commission calculated from monthly rental collections ✓

Answer: D. The most common approach compensates property managers as a percentage of collected rents, creating an incentive structure aligned with successful rent collection.

Q 11.9 ·v5 When negotiating a property management agreement, what fee structure is a property manager most likely to propose?

- A. A salary tied to years of experience in the industry
- B. A fixed monthly retainer regardless of occupancy rates
- C. An ownership percentage in the managed property

D. A commission based on rental income received ✓

Answer: D. Property managers typically earn a percentage of actual rents collected (usually 6-10% for residential), which aligns their incentives with the owner's revenue.

Q 11.9 ·v6 Under which compensation model do property managers most commonly operate in Hawaii and nationwide?

- A. Time-based billing at an hourly rate established quarterly
- B. A percentage of the gross rents actually collected from tenants ✓**
- C. A bonus structure paid annually based on property appreciation
- D. Revenue sharing as co-owners of the property

Answer: B. The percentage-of-rents-collected model is the industry standard because it ties the manager's earnings directly to the rental income they help generate and collect.

Q 11.9 ·v7 A property owner is evaluating compensation proposals from three different property management companies. Which fee arrangement should the owner expect to be the most common industry practice?

- A. A flat guaranteed fee payable whether or not units are leased
- B. A per-unit annual fee plus tenant screening charges
- C. A performance bonus tied to property market value increase

D. A percentage deduction from the total rents collected each month ✓

Answer: D. Percentage of rents collected is the standard property management fee structure, typically ranging 6-10%, because it creates mutual incentive between manager and owner to maximize occupancy and collect rent.

Q 11.9 ·v8 How are property managers in Hawaii typically compensated for their services?

- A. Through a base salary plus health insurance benefits
- B. Via hourly wages calculated from a negotiated rate schedule
- C. By retaining a portion of rental income received from tenants ✓**
- D. By acquiring a fractional interest in the managed property

Answer: C. The standard compensation model is a percentage of rents collected, which incentivizes effective property management and maintains alignment between the manager's income and the owner's cash flow.

Q 11.9 ·v9 When a property manager negotiates a management agreement with a residential landlord, what fee structure is considered industry standard?

- A. A fixed monthly retainer regardless of occupancy
- B. A percentage ownership interest in the property
- C. An annual flat fee paid quarterly in advance
- D. A commission based on the gross rental income collected ✓**

Answer: D. Property managers typically earn a percentage-based fee (usually 6-10% for residential) tied to actual rents collected, aligning their incentives with occupancy and rent collection performance.

Q 11.10 A vacant unit's impact on NOI:

- A. Only affects taxes
- B. No effect
- C. Increases NOI
- D. Reduces effective gross income ✓**

Answer: D. Vacancy reduces effective gross income, which reduces NOI.

Q 11.10 ·v1 When calculating net operating income for an investment property, how does a unit sitting vacant for several months typically affect the final NOI figure?

- A. It has no impact on NOI calculations
- B. It only affects the property's assessed value for tax purposes
- C. It decreases effective gross income, thereby lowering NOI ✓**
- D. It increases NOI because debt service is lower

Answer: C. Vacancy periods reduce the actual rental income collected, which is the starting point for calculating effective gross income; this reduction flows directly to lower NOI.

Q 11.10 ·v2 An appraiser is analyzing a multi-unit property where one unit remains unoccupied. Which statement correctly describes the relationship between this vacancy and the property's NOI?

- A. The loss of rental revenue reduces effective gross income and therefore NOI ✓**
- B. NOI increases due to reduced maintenance costs on the vacant unit
- C. Vacancy impacts only the cap rate, not the NOI itself
- D. NOI is unaffected because operating expenses remain constant

Answer: A. The lost rental income from the vacant unit reduces effective gross income, which is the foundation for calculating NOI; lower income results in lower net operating income.

Q 11.10 ·v3 A property manager reports that the occupancy rate has dropped due to market conditions. How would this occupancy decline influence the property's net operating income?

- A. It reduces NOI by decreasing the effective gross income available ✓**
- B. It has no measurable effect on NOI
- C. It increases NOI because fewer tenants mean lower administrative costs
- D. It only impacts the property's debt-to-income ratio

Answer: A. Lower occupancy means fewer units generating rental income; this directly reduces effective gross income, which is the primary driver of NOI calculations.

Q 11.10 ·v4 During a real estate investment analysis, a broker notices that 15% of the rental units are currently vacant. What is the direct consequence of this vacancy on the property's NOI?

- A. NOI drops because effective gross income is reduced by the lost rental revenue ✓**
- B. NOI improves due to deductions for maintenance on empty units
- C. NOI is only affected if the vacancy is due to tenant eviction
- D. NOI remains stable because the property's potential income is unchanged

Answer: A. Vacant units generate zero rental income; this loss reduces effective gross income, which directly lowers NOI regardless of whether other expenses change.

Q 11.10 ·v5 When an investment property has unoccupied units, how is net operating income typically affected?

- A. It increases due to reduced maintenance costs
- B. It remains unchanged if operating expenses stay constant
- C. It is only affected if the vacancy rate exceeds 10%
- D. It decreases because effective gross income falls ✓**

Answer: D. Vacant units generate no rental income, lowering effective gross income and therefore reducing NOI, regardless of maintenance savings.

Q 11.10 ·v6 A property manager notices a 15% vacancy rate in the apartment complex. Which statement correctly describes the NOI impact?

- A. NOI increases until the units are re-leased
- B. NOI is unaffected; vacancy only impacts capital expenditures
- C. NOI improves because fewer units require utilities and repairs

D. NOI declines because potential rental income is lost ✓

Answer: D. Lost rental revenue from vacant units directly reduces effective gross income, which is a key component of the NOI calculation.

Q 11.10 ·v7 During an appraisal, a real estate appraiser accounts for vacancies when calculating income. This adjustment affects which metric most directly?

- A. Cash flow reserves, which are separate from NOI
- B. Gross potential income, with no impact on NOI
- C. Operating expense ratio, which is independent of NOI

D. Effective gross income, thereby reducing NOI ✓

Answer: D. Vacancy reduces effective gross income (potential rent minus vacancy loss), which is subtracted from by operating expenses to arrive at NOI.

Q 11.10 ·v8 An investor is evaluating a commercial building with 20% occupancy. How does the vacancy level factor into the net operating income calculation?

A. It lowers effective gross income, which directly reduces the resulting NOI ✓

- B. It affects only the debt service coverage ratio, not NOI itself
- C. It decreases NOI only if combined with rising property taxes
- D. It does not—NOI is based on theoretical maximum rent regardless of actual occupancy

Answer: A. Vacancy is converted to lost rental income, reducing effective gross income and therefore lowering the NOI figure used in property valuation and analysis.

Q 11.10 ·v9 When rental units sit empty, how does this vacancy factor into the calculation of net operating income?

- A. It only affects the property's assessed value for tax purposes
- B. It increases NOI by reducing maintenance expenses
- C. It has no impact on NOI since fixed costs remain constant

D. It decreases effective gross income, thereby lowering NOI ✓

Answer: D. Vacant units generate zero rental income, which directly reduces effective gross income and consequently reduces NOI; vacancy loss is a key component of the income approach.

State Portion (Hawai'i) — Chapters 12–20

12

Hawaii: Ascertaining & Disclosing Material Facts

State portion 8 PSI items 28 key concepts 10 base questions

Hawaii has unique disclosure obligations rooted in its land history, leasehold prevalence, and tax rules.

CHAPTER OVERVIEW

Hawaii has two parallel land-recording systems that every licensee must understand. The Bureau of Conveyances (BOC) handles "Regular System" recordings — the standard county-style chain-of-title model used in most of the United States. Documents are recorded in chronological order; subsequent purchasers are presumed on notice; chain of title is searched back to a marketable starting point. The Land Court system, unique to Hawaii, is a Torrens-style registered title system. When property is brought under Land Court, the court issues a Transfer Certificate of Title (TCT); the title shown on the TCT is conclusive against the world, eliminating most chain-of-title disputes. A property may be entirely in the Regular System, entirely in Land Court, or split (a "dual" parcel). Agents must know which when ordering title and preparing closing.

HARPTA (Hawaii Real Property Tax Act) is a state withholding requirement. When a non-Hawaii resident sells Hawaii real property, the buyer must withhold a percentage (currently 7.25% as of recent rules — verify current rate) of the gross sales price at closing and remit it to the State. This is a withholding against the seller's eventual Hawaii income tax liability, not an additional tax. The seller may apply for a reduced or zero withholding by filing forms in advance. Buyers are statutorily responsible — failure to withhold makes the buyer liable. FIRPTA is the federal counterpart, requiring 15% withholding on sales by foreign sellers; both can apply to the same transaction.

GET (General Excise Tax) is Hawaii's tax on business activity, including real estate brokerage commissions and most rental income. It is not a "sales tax" — it falls on the gross receipts of the business and is typically passed to the customer as a "GET visible pass-on." Real estate licensees must factor GET into their commissions and disclose appropriately. Property managers must collect GET on rents (with passthrough by tenant) and remit. The 2026 rate is 4% statewide plus county surcharges in some counties; verify current rates.

Conveyance tax is Hawaii's state-level transfer tax on real property sales. It has tiered rates based on sale price and buyer status (owner-occupant rate is lower than investor rate). The seller typically pays unless contract specifies otherwise. Recording fees are separate, charged by BOC or Land Court per page recorded. These are exam math territory — be prepared for calculation questions on the proper conveyance tax tier.

The Seller's Property Disclosure Statement is required by HRS 508D for residential resales of one to four units. The seller must disclose all known material facts about the property's condition. The disclosure form covers known defects in roof, plumbing, electrical, structural, environmental hazards, drainage, prior repairs, and known issues with the unit, the building, the lot, and the immediate neighborhood. Buyers who receive a materially inaccurate disclosure have rescission rights subject to statutory deadlines.

Leasehold disclosures are uniquely important in Hawaii because so much property is leasehold. HRS 514E and other statutes require disclosure of the remaining lease term, current lease rent, scheduled lease rent step-ups (renegotiation dates), and any reversion of improvements at lease end. A buyer who doesn't know they're buying leasehold can sue. Distressed-property and short-sale disclosures are required when applicable. The Condominium Public Report (developer disclosure document) must accompany sales of new condo units.

Environmental conditions specific to Hawaii: lava-zone classification (Hawaii County 1-9 hazard rating), flood zones (especially low-lying coastal areas), tsunami evacuation zones, hurricane-zone wind ratings (insurance impact), agricultural pesticide history (especially on former plantation lands), formaldehyde concerns from prior pesticide treatments, and termite inspection (most resales include a Termite Inspection Report, often called a "termite" report or pest control report). Coastal property has SMA (Special Management Area) considerations. Ag land has restrictions on residential use.

Hawaii land history affects property rights in unique ways. The Mahele of 1848 began the conversion from communal to fee ownership. Royal Patent Grants and Land Commission Awards from this era still appear in chain of title. Some properties have kuleana rights — descendants' continued access for cultivation, gathering, or burial sites. The Native Hawaiian Inheritance Act and Hawaiian Homes Commission Act (HHCA) govern Hawaiian Home Lands, which are leased only to qualifying Native Hawaiians and have specific transfer restrictions. These legacy issues occasionally surface in transactions.

Tax Map Key (TMK) is Hawaii's parcel identifier. It has the format Zone-Section-Plat-Parcel(-CPR), e.g., 1-2-3-456-7890. Each county uses its own zone numbering. For Condominium Property Regimes (CPR), additional digits identify the specific unit. TMKs link to county tax assessment, zoning, real-property tax payments, and recorded documents. Always confirm the TMK matches the legal description before any transaction.

KEY CONCEPTS & DEFINITIONS

Bureau of Conveyances (BOC)	State office maintaining the Regular System chain of title for non-Land-Court parcels. <i>Hawai'i note: Located in Honolulu; serves all islands.</i>
Regular System	Standard chain-of-title recording. Documents in chronological order; subsequent purchasers on constructive notice.
Land Court	Hawaii's Torrens-style registered title system. Transfer Certificate of Title is conclusive.
TCT (Transfer Certificate of Title)	Land Court's conclusive title document. Issued when registered property changes hands.
Dual parcel	Property partially in Regular System, partially in Land Court.
HARPTA	Hawaii Real Property Tax Act. Currently 7.25% withholding on non-resident seller proceeds at closing.
FIRPTA	Federal Foreign Investment in Real Property Tax Act. 15% federal withholding on foreign sellers.
GET	General Excise Tax. Hawaii's gross-receipts business tax. Applies to commissions and rents.
GET visible pass-on	Common practice of itemizing GET as a separate line item passed to the consumer.
Conveyance tax	Hawaii state tax on real property transfers. Tiered rate based on price + buyer status.
Owner-occupant rate	Lower conveyance tax rate when buyer will occupy property as primary residence.
HRS 508D	Mandatory Seller Disclosures statute for residential resales (1-4 units).
Seller's Property Disclosure Statement	Written disclosure of known material facts. Required under HRS 508D.
HRS 514E	Time share and leasehold disclosures for condominium properties.
Leasehold disclosure	Mandatory disclosure of remaining term, rent, step-ups, reversion.
Material fact	Anything reasonable buyer would consider important. Disclose if known.
Lava-zone disclosure	Hawaii County requires disclosure of lava-flow hazard zones (1-9). Affects insurance and value.
Tsunami evacuation zone	Coastal-area disclosure where applicable.
Flood zone	FEMA-designated flood hazard zone. Affects insurance requirements.
TMK (Tax Map Key)	Hawaii's parcel identifier: Zone-Section-Plat-Parcel(-CPR).
Termite inspection report	Standard pre-closing inspection in Hawaii. Often required by lender.
Kuleana rights	Native Hawaiian descendants' continued access for cultivation, gathering, or burial.

Hawaiian Home Lands (HHCA)	Lands leased only to qualifying Native Hawaiians under federal Hawaiian Homes Commission Act.
Mahele of 1848	Transition from communal to fee ownership. Origin of many chain-of-title issues.
Land Commission Award	Original grant from Hawaiian government, traceable in old chain of title.
Royal Patent Grant	Title from Hawaiian Kingdom era. Sometimes appears in chain.
Distressed Property Disclosure	Required when seller is in foreclosure, short sale, or similar.
Condominium Public Report	Developer disclosure required for new condo sales.

QUESTION BANK — HAWAII: ASCERTAINING & DISCLOSING MATERIAL FACTS

Q 12.1 A seller from California sells a Maui house to a Hawaii resident. The buyer is responsible for withholding under:

- A. GET
- B. FIRPTA
- C. RESPA
- D. HARPTA ✓**

Answer: D. Non-Hawaii-resident seller triggers HARPTA withholding (currently 7.25% of sale price).

Q 12.1 ·v1 An out-of-state seller conveys residential property in Hawaii to a local buyer. Which withholding requirement applies to this transaction?

- A. HARPTA withholding on the gross proceeds ✓**
- B. FIRPTA withholding by the escrow agent
- C. RESPA withholding at point of sale
- D. GET exemption for non-residents

Answer: A. HARPTA (Hawaii Real Property Tax Act) requires withholding when a non-Hawaii resident sells Hawaii real property, regardless of the buyer's residency status.

Q 12.1 ·v2 A mainland investor sells a Honolulu condominium to a Hawaii resident buyer. The escrow officer must ensure compliance with which state withholding statute?

- A. General Excise Tax (GET) collection duties
- B. Hawaii HARPTA withholding obligations ✓**
- C. Federal FIRPTA requirements only
- D. Interstate Commerce Act provisions

Answer: B. HARPTA is Hawaii's residential property transfer withholding law that applies when a non-resident seller transfers residential property located in Hawaii, requiring the buyer or escrow to withhold a percentage of sale proceeds.

Q 12.1 ·v3 During a real estate closing in Maui, the listing agent discovers the seller is a non-resident of Hawaii. What withholding requirement must the buyer or settlement agent address?

A. HARPTA withholding based on the sale price ✓

- B. RESPA escrow disclosure and withholding
- C. Property transfer tax under county ordinance
- D. FIRPTA withholding of 10% of purchase price

Answer: A. HARPTA applies to non-resident sellers of Hawaii residential property and requires withholding of the statutory percentage from the gross sale proceeds at closing.

Q 12.1 ·v4 A buyer in Hawaii is purchasing a single-family home from a seller residing in Nevada. Which of the following withholding requirements must the buyer or closing agent satisfy?

- A. FIRPTA federal withholding of 15%
- B. RESPA federal escrow account rules
- C. General Excise Tax pass-through payment

D. Hawaii HARPTA withholding on the transaction ✓

Answer: D. HARPTA mandates withholding when a non-Hawaii resident sells Hawaii residential real property, with the buyer or escrow agent responsible for remitting the withheld amount to the Hawaii Department of Taxation.

Q 12.1 ·v5 A mainland investor from Oregon completes the purchase of a condominium on Oahu. Which withholding statute applies to this transaction?

- A. FIRPTA
- B. HARPTA ✓**
- C. HRS Chapter 507
- D. GET

Answer: B. HARPTA (Hawaii Real Property Tax Act) requires withholding when a non-Hawaii resident sells Hawaii real property; the buyer is typically responsible for compliance.

Q 12.1 ·v6 During the closing of a Big Island property sale, the escrow agent discovers the seller is a foreign national residing outside Hawaii. What withholding requirement must the buyer's agent address?

- A. Conveyance tax under HRS 247
- B. HARPTA withholding obligation ✓**
- C. FIRPTA withholding on the net proceeds
- D. RESPA withholding at settlement

Answer: B. HARPTA applies to sales of Hawaii real property by non-Hawaii residents; the buyer or escrow agent must withhold a percentage of the purchase price.

Q 12.1 ·v7 A broker assists with the sale of a Kauai home where the seller is a Washington state resident. The buyer asks which federal or state withholding law governs the transaction. What is the correct response?

- A. GET applies at the county assessor level
- B. HARPTA, because Hawaii imposes withholding on non-resident sellers ✓**
- C. FIRPTA, because the seller is out-of-state
- D. No withholding applies—only federal income tax reporting

Answer: B. HARPTA is Hawaii's real property transfer withholding statute that applies when a non-Hawaii resident sells Hawaii property; it is separate from federal FIRPTA requirements.

Q 12.1 ·v8 At the settlement table, the title company's closing attorney notes the seller transferred to Hawaii only three years ago and is still a Nevada resident. Which withholding obligation takes precedence in this Hawaii real estate transaction?

- A. HARPTA withholding (currently 7.25% of the purchase price) ✓**
- B. Passive Activity Loss (PAL) withholding
- C. No withholding because the seller has already paid state income taxes
- D. FIRPTA withholding of 15% of the sale price

Answer: A. HARPTA requires withholding by the buyer or escrow agent on sales by non-Hawaii residents; residency status, not length of time in Hawaii, determines the withholding obligation.

Q 12.1 ·v9 When a mainland seller transfers residential property in Hawaii to a local buyer, which withholding requirement typically applies to the transaction?

- A. HARPTA ✓**
- B. GET (General Excise Tax)
- C. FIRPTA
- D. Hawaii Resident Property Tax Act

Answer: A. HARPTA requires withholding when a non-Hawaii resident sells Hawaii real property, with the buyer/escrow agent responsible for withholding approximately 7.25% of the sale price.

Q 12.2 Hawaii's Torrens-style registered title system is called:

- A. Land Court ✓**
- B. TMK
- C. CPR
- D. BOC

Answer: A. Land Court issues a TCT (Transfer Certificate of Title) — conclusive.

Q 12.2 ·v1 Which Hawaii administrative body operates a system similar to the Torrens title registration model, issuing conclusive certificates of title?

- A. The Bureau of Conveyances
- B. The County Tax Assessor's Office
- C. Land Court ✓**
- D. The Real Estate Commission

Answer: C. Land Court administers Hawaii's Torrens-style registered title system and issues a Transfer Certificate of Title (TCT) that is conclusive proof of ownership.

Q 12.2 ·v2 In Hawaii, which institution provides registered title with conclusive legal protection through a Torrens-style system?

- A. TMK Registry
- B. Bureau of Conveyances
- C. Department of Transportation
- D. Land Court ✓**

Answer: D. Land Court is Hawaii's Torrens system authority, issuing a TCT that provides conclusive registered title protection to property owners.

Q 12.2 ·v3 What is the name of Hawaii's registered title system that issues conclusive Transfer Certificates of Title?

- A. Torrens-Based Land Court System ✓**
- B. Tax Map Key System
- C. CPR Title Registry
- D. Conventional Recording System

Answer: A. Land Court operates Hawaii's Torrens-style registered title system, issuing conclusive TCTs rather than relying on a conventional recording system.

Q 12.2 ·v4 A property owner in Hawaii receives a conclusive Transfer Certificate of Title (TCT) from which entity?

- A. The Bureau of Conveyances
- B. County Recorder's Office
- C. The Real Estate Commission
- D. Land Court ✓**

Answer: D. Land Court issues the TCT under Hawaii's Torrens-style registered title system, providing conclusive proof of ownership superior to conventional recording.

Q 12.2 ·v5 Which Hawaii system provides conclusive title through a judicial process similar to the Torrens model used in other jurisdictions?

- A. Bureau of Conveyances filing
- B. Land Court certification ✓**
- C. Tax Map Key assignment
- D. CPR registration

Answer: B. Land Court is Hawaii's Torrens-style system that issues a conclusive Transfer Certificate of Title (TCT) after judicial examination of ownership.

Q 12.2 ·v6 In Hawaii, when a property owner obtains a TCT (Transfer Certificate of Title) through judicial process, they have gone through which system?

- A. The Land Court process ✓**
- B. The Bureau of Conveyances recording
- C. The CPR (Condominium Property Regime)
- D. The TMK (Tax Map Key) classification

Answer: A. The Land Court system issues Transfer Certificates of Title as the conclusive proof of ownership, modeled after the Torrens title system.

Q 12.2 ·v7 Which of the following Hawaii institutions operates a Torrens-style registered title system that produces conclusive evidence of ownership?

- A. Land Court ✓**
- B. Real Estate Commission
- C. Bureau of Conveyances
- D. Tax Assessment Office

Answer: A. Land Court in Hawaii administers the Torrens-style registered title system and issues conclusive TCTs through judicial review of chain of title.

Q 12.2 ·v8 A buyer who receives a court-issued certificate of title showing conclusive ownership in Hawaii has obtained this document from which system?

- A. TMK
- B. Land Court ✓**
- C. CPR
- D. BOC

Answer: B. Land Court issues Transfer Certificates of Title that provide conclusive ownership proof under Hawaii's Torrens-style registered title system.

Q 12.2 ·v9 Which Hawaii government entity administers the Torrens system of title registration and issues conclusive certificates of ownership?

- A. Land Court ✓**
- B. Bureau of Conveyances
- C. Real Estate Commission
- D. County Tax Assessment Office

Answer: A. Land Court is Hawaii's Torrens-system authority that issues Transfer Certificates of Title (TCT) with conclusive proof of ownership, distinct from the BOC which records non-Torrens documents.

Q 12.3 Hawaii's tax on real estate commissions falls under:

- A. GET ✓**
- B. FIRPTA
- C. Conveyance tax
- D. HARPTA

Answer: A. GET applies to real estate brokerage business gross receipts.

Q 12.3 ·v1 When a real estate brokerage in Hawaii collects commissions from property sales, which state tax applies to those gross receipts?

- A. General Excise Tax ✓**
- B. FIRPTA withholding
- C. Conveyance tax
- D. Transactional Excise Tax

Answer: A. GET (General Excise Tax) in Hawaii applies to gross receipts from real estate brokerage services, including commissions earned from facilitating sales.

Q 12.3 ·v2 A real estate broker's commission income in Hawaii is subject to which of the following taxes?

- A. HARPTA
- B. Property transfer tax
- C. FIRPTA
- D. GET ✓**

Answer: D. Hawaii's GET is a business tax on gross receipts that applies to real estate brokerage commissions and other services.

Q 12.3 ·v3 Which tax obligation applies to the brokerage firm's earnings from real estate transaction fees in Hawaii?

- A. Conveyance tax on the property transfer
- B. General Excise Tax on business gross receipts ✓**
- C. Hawaii's capital gains surcharge
- D. Federal withholding tax under FIRPTA

Answer: B. The GET is Hawaii's broad-based business tax that applies to gross receipts from all business activities, including real estate brokerage commissions.

Q 12.3 ·v4 A licensed salesperson's broker receives \$8,000 in commission from closing a residential sale. In Hawaii, this commission income is taxable under:

- A. HARPTA withholding requirements
- B. The conveyance tax system
- C. FIRPTA at the federal level only
- D. GET as business gross receipts ✓**

Answer: D. Hawaii's GET applies to all gross receipts from business activities, including real estate brokerage commissions earned by the firm.

Q 12.3 ·v5 When a real estate broker in Hawaii collects commissions from property sales, which state tax obligation applies to those gross receipts?

- A. FIRPTA withholding
- B. Conveyance tax
- C. Hawaii's Real Property Tax Assessment
- D. General Excise Tax ✓**

Answer: D. GET (General Excise Tax) is Hawaii's broad-based tax on gross receipts from all business activities, including real estate brokerage services.

Q 12.3 ·v6 A Hawaii-licensed broker receives \$50,000 in commissions over the course of a quarter. Which tax regime directly impacts these earnings?

- A. HARPTA (withholding on non-resident sellers)
- B. Federal FIRPTA rules
- C. GET on business gross receipts ✓**
- D. Conveyance tax on the sale price

Answer: C. GET applies to the broker's gross receipts from brokerage commissions as a Hawaii business operating obligation.

Q 12.3 ·v7 Under Hawaii tax law, the revenue collected from real estate brokerage commissions is subject to:

- A. The state's General Excise Tax on business receipts ✓**
- B. Property transfer conveyance tax only
- C. A federal withholding regime for non-residents
- D. A special real estate commission licensing fee

Answer: A. GET taxes the gross receipts of Hawaii businesses, including real estate brokers' commission income.

Q 12.3 ·v8 Which Hawaii tax applies to the commission income earned by brokers and brokerage firms conducting real estate transactions?

- A. Conveyance tax (deed transfer tax)
- B. FIRPTA (Foreign Investment in Real Property Tax Act)
- C. General Excise Tax ✓**
- D. HARPTA (Hawaii's Real Property Transfer Tax)

Answer: C. Hawaii's GET is levied on the gross receipts of all business activities, including real estate brokerage commissions.

Q 12.3 ·v9 When a real estate brokerage in Hawaii collects commissions from sales transactions, which state tax obligation applies to those gross receipts?

- A. FIRPTA withholding tax
- B. HARPTA withholding tax
- C. Conveyance tax
- D. General Excise Tax ✓**

Answer: D. GET (General Excise Tax) is Hawaii's broad-based sales tax that applies to gross receipts from real estate brokerage services and commissions earned in the state.

Q 12.4 TMK identifies:

- A. Property parcel ID (Zone-Section-Plat-Parcel) ✓**
- B. Tenant's mortgage key
- C. Title insurer
- D. Tax type

Answer: A. TMK = Tax Map Key, the unique parcel identifier.

Q 12.4 ·v1 When a Hawaii property listing displays a TMK number, what information is the agent communicating?

- A. The assessed property tax bracket and annual payment obligation
- B. The property's unique tax parcel identification number organized by zone, section, plat, and parcel ✓**
- C. The timeline for mortgage key renewal and lender contact information
- D. The title insurance company and policy number required for closing

Answer: B. TMK (Tax Map Key) is Hawaii's standardized system for uniquely identifying individual property parcels by zone-section-plat-parcel format for tax assessment and property records.

Q 12.4 ·v2 Which of the following best describes the purpose and structure of a Tax Map Key (TMK) in Hawaii real estate transactions?

- A. A government-issued alphanumeric identifier that uniquely maps a specific property parcel location ✓**
- B. A classification system that determines whether a property qualifies for homestead exemption
- C. A temporary marker assigned during the title insurance underwriting process
- D. A confidential lender code used to track mortgage escrow accounts and payment histories

Answer: A. The TMK is Hawaii's official tax parcel identification system using zone-section-plat-parcel numbering to uniquely identify every property for tax and administrative purposes.

Q 12.4 ·v3 A real estate professional needs to locate a specific property in Hawaii's property records system. What does the TMK number provide?

- A. A unique property parcel designation based on zone, section, plat, and parcel components ✓**
- B. The mortgage lender's key for accessing deed of trust documents
- C. The tenant's legal name and lease commencement date
- D. The title company's underwriting approval code and insurance rating

Answer: A. TMK (Tax Map Key) uniquely identifies a property parcel in Hawaii using a structured format of zone-section-plat-parcel numbers to organize and locate properties in government records.

Q 12.4 ·v4 In Hawaii real estate, understanding what a TMK represents is essential for which primary reason?

- A. It specifies the insurance company handling the homeowner's coverage
- B. It documents the HOA's financial assessment and reserve fund status
- C. It serves as the unique parcel identifier organizing properties by zone, section, plat, and parcel ✓**
- D. It indicates the property manager's certification level and renewal status

Answer: C. TMK (Tax Map Key) is the critical Hawaii parcel identification system using zone-section-plat-parcel organization that enables accurate property location, taxation, and transaction documentation.

Q 12.4 ·v5 When a Hawaii real estate agent needs to locate a specific residential lot in a subdivision, which document or identifier would contain the TMK?

- A. The mortgage lender's loan origination statement
- B. The homeowner's fire insurance declaration page
- C. The title company's E&O insurance certificate

D. The property tax assessment card and deed ✓

Answer: D. TMK (Tax Map Key) appears on property tax documents and deeds as the unique identifier for that parcel in Hawaii's tax mapping system.

Q 12.4 ·v6 A licensee is preparing a CMA and needs to reference comparable properties by their unique parcel identifiers in Hawaii. What system would use the format Zone-Section-Plat-Parcel?

- A. The Hawaii Real Estate Commission's licensing database
- B. The National Association of REALTORS® MLS coding structure

C. The state's Tax Map Key system ✓

- D. Hawaii's statewide property owner disclosure registry

Answer: C. The Tax Map Key (TMK) uses the Zone-Section-Plat-Parcel format to uniquely identify each taxable parcel in Hawaii for assessment and taxation purposes.

Q 12.4 ·v7 Which of the following best describes what TMK stands for and its primary use in Hawaii real estate transactions?

- A. Tangible Market Knowledge—a broker's certification of property valuation expertise

B. Tax Map Key—a unique parcel identification number assigned by county assessors ✓

- C. Territorial Measurement Kilometers—a distance calculation for property boundaries
- D. Transferable Mortgage Kicker—an adjustable interest rate provision

Answer: B. TMK is the abbreviation for Tax Map Key, which serves as Hawaii's standardized method of identifying and cataloging individual property parcels for tax and legal purposes.

Q 12.4 ·v8 A title company is preparing closing documents for a land sale in Honolulu. To correctly identify the parcel using the Hawaii tax system's unique designation, which element would they reference?

- A. The loan servicer's account number and escrow identifier
- B. The grantor's social security number and vesting code
- C. The broker's multiple listing service reference number

D. The Tax Map Key (TMK) assigned by the county assessor's office ✓

Answer: D. The TMK (Tax Map Key) is the official Hawaii county assessor's parcel identifier used in all legal documents and tax records to distinguish one property from another.

Q 12.4 ·v9 When a Hawaii real estate professional needs to locate and reference a specific property on the tax assessor's records, which designation would they use?

- A. Recording number assigned by the state land office
- B. Mortgage lender identification code
- C. Conveyance transfer index

D. Tax Map Key that breaks down the island, district, section, and individual parcel ✓

Answer: D. TMK (Tax Map Key) is Hawaii's unique property identification system used by tax assessors and real estate professionals to identify and locate specific parcels, organized by geographic and administrative divisions.

Q 12.5 A foreign national selling Hawaii real estate triggers withholding under:

- A. Neither
- B. HARPTA only
- C. FIRPTA only

D. Both HARPTA and FIRPTA ✓

Answer: D. Foreign + non-Hawaii-resident — both can apply to the same transaction.

Q 12.5 ·v1 When a non-U.S. citizen sells residential property in Hawaii, which withholding requirement(s) must the escrow agent consider?

- A. Federal FIRPTA withholding only
- B. State HARPTA withholding and federal FIRPTA withholding ✓**
- C. No withholding if the buyer assumes the mortgage
- D. State HARPTA withholding only

Answer: B. Both HARPTA (Hawaii state law) and FIRPTA (federal law) can independently apply when a foreign national sells Hawaii real estate, requiring dual withholding compliance.

Q 12.5 ·v2 An alien investor disposes of a Honolulu condominium. Which of the following correctly identifies the applicable withholding laws?

- A. Neither statute applies if the property is mortgaged
- B. HARPTA applies; FIRPTA does not apply to residential transfers
- C. Both HARPTA and FIRPTA may apply to the same transaction ✓**
- D. FIRPTA applies; HARPTA applies only to commercial property

Answer: C. Foreign nationals selling Hawaii property are subject to overlapping state (HARPTA) and federal (FIRPTA) withholding obligations simultaneously, not alternatively.

Q 12.5 ·v3 A real estate licensee is closing a sale where the seller is a foreign entity. What withholding compliance issue should the licensee flag?

- A. Only federal tax withholding under FIRPTA is mandatory
- B. Both federal FIRPTA and Hawaii HARPTA withholding requirements may be triggered ✓**
- C. Withholding applies only if the property is located in Honolulu County
- D. Only Hawaii state withholding under HARPTA is mandatory

Answer: B. A foreign seller in Hawaii creates potential dual withholding obligations under both state and federal law, and the licensee must ensure compliance with both statutes.

Q 12.5 ·v4 Which statement most accurately describes the withholding requirements for an international corporation selling agricultural land in Hawaii?

- A. No withholding is required if the buyer is a Hawaii resident
- B. FIRPTA withholding is required; HARPTA does not apply to corporate sellers
- C. Both HARPTA and FIRPTA withholding provisions may be required in the same transaction ✓**
- D. HARPTA withholding is required; FIRPTA does not apply to foreign corporations

Answer: C. Hawaii's HARPTA and the federal FIRPTA statute both independently govern withholding for foreign entity sales of Hawaii property and can apply concurrently.

Q 12.5 ·v5 An individual from Japan sells a condominium in Honolulu. Which withholding requirement(s) apply to this transaction?

- A. State HARPTA withholding only
- B. No withholding is required for foreign nationals
- C. Federal FIRPTA withholding only
- D. Federal FIRPTA and state HARPTA withholding ✓**

Answer: D. A foreign national (non-U.S. citizen) selling Hawaii real property is subject to both federal FIRPTA withholding and Hawaii's parallel state withholding requirement (HARPTA), which operate independently.

Q 12.5 ·v6 When a non-citizen resident of another country conveys real property located in Hawaii, the escrow agent must withhold funds under:

- A. HARPTA exclusively
- B. FIRPTA and HARPTA concurrently ✓**
- C. State income tax only
- D. FIRPTA exclusively

Answer: B. Foreign persons disposing of Hawaii real estate must comply with both the federal FIRPTA withholding requirement and Hawaii's HARPTA withholding requirement, which are separate obligations.

Q 12.5 ·v7 A seller who is a foreign corporation liquidates its Maui property holdings. Withholding obligations include:

- A. Both FIRPTA at the federal level and HARPTA at the state level ✓**
- B. Neither, as corporate sales are exempt from withholding
- C. FIRPTA only, as state law defers to federal withholding
- D. HARPTA, but only if the seller is also a nonresident

Answer: A. Foreign persons and entities selling Hawaii real property are subject to concurrent federal FIRPTA withholding and state HARPTA withholding; these are separate statutory requirements that both apply.

Q 12.5 ·v8 During closing of a Hawaii real estate sale, the title company identifies that the seller is a foreign national. This triggers withholding compliance under:

- A. State HARPTA only
- B. Both federal FIRPTA and state HARPTA requirements ✓**
- C. Federal FIRPTA only
- D. Neither requirement applies to foreign nationals

Answer: B. Foreign nationals selling Hawaii real property must satisfy both the federal Foreign Investment in Real Property Tax Act (FIRPTA) and Hawaii's Real Property Tax Act (HARPTA), which operate as parallel withholding obligations.

Q 12.5 ·v9 When a nonresident alien disposes of Hawaii real property, which withholding requirement(s) apply?

- A. Federal FIRPTA withholding applies, but Hawaii HARPTA does not apply to foreign nationals
- B. Neither withholding applies if the seller has a valid Hawaii driver's license
- C. Both federal FIRPTA and Hawaii HARPTA withholding may be required on the same sale ✓**
- D. Hawaii HARPTA withholding applies, but federal FIRPTA does not apply to nonresidents

Answer: C. A nonresident alien selling Hawaii real estate is subject to both FIRPTA (federal) and HARPTA (Hawaii state) withholding obligations simultaneously, as they address different statutory frameworks.

Q 12.6 The Hawaii Mandatory Seller Disclosures statute is:

- A. HRS 521
- B. HRS 514B
- C. HRS 508D ✓**
- D. HRS 467

Answer: C. HRS 508D governs seller property disclosures for residential resales.

Q 12.6 ·v1 Which Hawaii Revised Statute establishes the requirement for sellers to disclose property defects and material facts in residential transactions?

A. HRS 508D ✓

B. HRS 52I

C. HRS 514B

D. HRS 467

Answer: A. HRS 508D is Hawaii's statutory framework requiring residential property sellers to provide mandatory disclosures about known defects and material information.

Q 12.6 ·v2 A seller in Honolulu must comply with property disclosure requirements under which statute?

A. HRS 514B

B. HRS 508D ✓

C. HRS 52I

D. HRS 467

Answer: B. HRS 508D governs mandatory seller disclosures for residential properties in Hawaii and applies to all resale transactions.

Q 12.6 ·v3 The statutory law requiring Hawaii sellers to reveal known material defects in residential property is:

A. HRS 514B

B. HRS 508D ✓

C. HRS 467

D. HRS 52I

Answer: B. HRS 508D is the Hawaii statute that mandates sellers disclose known defects and material facts to potential buyers of residential properties.

Q 12.6 ·v4 Under Hawaii law, residential property sellers must provide mandatory disclosures as required by:

A. HRS 52I

B. HRS 508D ✓

C. HRS 467

D. HRS 514B

Answer: B. HRS 508D establishes Hawaii's mandatory seller disclosure statute for residential resale properties, requiring disclosure of known defects and material information.

Q 12.6 ·v5 Which Hawaii Revised Statute requires residential real estate sellers to provide written disclosures about property condition?

- A. HRS 521
- B. HRS 508D ✓**
- C. HRS 467
- D. HRS 514B

Answer: B. HRS 508D is Hawaii's seller disclosure statute that mandates written property condition disclosures for residential real estate transactions.

Q 12.6 ·v6 A real estate licensee in Hawaii must ensure a seller complies with disclosure requirements found in:

- A. HRS 508D pertaining to residential property disclosures ✓**
- B. HRS 514B concerning condominium associations
- C. HRS 467 regarding property taxation
- D. HRS 521 relating to landlord-tenant matters

Answer: A. HRS 508D specifically governs mandatory seller disclosures for residential real estate sales in Hawaii.

Q 12.6 ·v7 Under Hawaii law, the statute that establishes seller disclosure obligations for property condition is:

- A. HRS 467
- B. HRS 508D ✓**
- C. HRS 521
- D. HRS 514B

Answer: B. HRS 508D contains Hawaii's mandatory seller property disclosure requirements for residential real estate transactions.

Q 12.6 ·v8 Which of the following HRS sections contains Hawaii's residential seller disclosure requirements?

- A. HRS 467
- B. HRS 521
- C. HRS 508D ✓**
- D. HRS 514B

Answer: C. HRS 508D is the statute that governs mandatory disclosures by sellers regarding the condition of residential property.

Q 12.6 ·v9 Under Hawaii law, which statute specifically requires residential sellers to provide property condition disclosures to prospective buyers?

- A. HRS 514B
- B. HRS 521
- C. HRS 508D ✓**
- D. HRS 467

Answer: C. HRS 508D is Hawaii's residential property disclosure statute that mandates sellers disclose known defects and property conditions to buyers during the sales transaction.

Q 12.7 A buyer does not know they're buying leasehold. The seller failed to disclose. The buyer may:

- A. Force a fee conversion
- B. Have no remedy
- C. Have rescission rights under leasehold disclosure law ✓**
- D. Only sue for cosmetic damages

Answer: C. Failure to disclose leasehold is actionable; buyer has rescission rights.

Q 12.7 ·v1 A seller omits material information that the property is held under a leasehold estate rather than fee simple. Upon discovery, the buyer's available remedies include:

- A. Accepting the property with no legal recourse
- B. Filing a complaint for breach of warranty of habitability only
- C. Demanding immediate fee simple conversion at seller's expense
- D. Rescission of the transaction under leasehold disclosure requirements ✓**

Answer: D. Hawaii law requires disclosure of leasehold status; non-disclosure gives the buyer rescission rights as a remedy.

Q 12.7 ·v2 During closing, a buyer discovers the property is leasehold, not fee simple as represented in marketing materials. The seller claims they were unaware of the disclosure requirement. The buyer can:

- A. Sue only for specific performance on lease extension
- B. Require the seller to purchase a property protection endorsement
- C. Recover damages limited to title insurance premiums
- D. Exercise rescission rights based on the leasehold disclosure violation ✓**

Answer: D. Failure to disclose leasehold status is a material defect; rescission is the appropriate remedy available to the buyer.

Q 12.7 ·v3 A buyer relies on representations that the property is owned in fee and later learns it is actually leasehold. The seller failed to provide required disclosures. Which statement is accurate regarding the buyer's legal position?

- A. The buyer can force a lease buyout at the seller's cost
- B. The buyer may only negotiate a rent reduction with the lessor
- C. The buyer has rescission rights due to non-disclosure of leasehold status ✓**
- D. The buyer must accept the property under the doctrine of caveat emptor

Answer: C. Leasehold disclosure is mandatory in Hawaii; failure to disclose provides the buyer with rescission rights as a statutory remedy.

Q 12.7 ·v4 Prior to final signing, a buyer learns their property interest is leasehold rather than fee simple—information the seller never disclosed. The buyer's position includes:

- A. Liability for the seller's legal costs in defending non-disclosure
- B. No recourse unless the lease term is under 20 years
- C. The right to rescind the purchase agreement based on leasehold disclosure requirements ✓**
- D. An obligation to accept the transaction but seek damages later

Answer: C. Non-disclosure of leasehold status is a material violation; the buyer has the statutory right to rescind the transaction.

Q 12.7 ·v5 A property transaction closes without the buyer being informed of the leasehold nature of the property. The seller omitted this material fact. What legal recourse is available to the buyer?

- A. Accept the property with no legal remedies available
- B. File a complaint limited to cosmetic defect claims
- C. Seek rescission under Hawaii leasehold disclosure requirements ✓**
- D. Demand immediate fee-simple conversion at seller's expense

Answer: C. Non-disclosure of leasehold status is a material misrepresentation; Hawaii law provides rescission rights to the uninformed buyer.

Q 12.7 ·v6 During escrow, a licensee fails to reveal that the property operates under a lease rather than fee ownership. Upon discovery after closing, the buyer:

- A. Is limited to claiming damages for missing disclosures only
- B. Can only pursue damages if the lease term is under 10 years
- C. May rescind the transaction based on leasehold non-disclosure ✓**
- D. Must accept the property as-is with no recourse

Answer: C. Failure to disclose leasehold status constitutes a material omission giving the buyer rescission rights under Hawaii leasehold disclosure law.

Q 12.7 ·v7 A buyer unknowingly purchases a leasehold property because the seller concealed this essential term. Which of the following best describes the buyer's rights?

- A. Rights to sue for breach of warranty of habitability
- B. Rights limited to recovering inspection costs only
- C. Rescission rights due to material non-disclosure of leasehold status ✓**
- D. No rights; the buyer should have investigated independently

Answer: C. Material non-disclosure of leasehold creates a duty to remedy; rescission is the primary remedy available to the deceived buyer.

Q 12.7 ·v8 A seller deliberately omits leasehold information from the property disclosures. The buyer closes unaware and later discovers the truth. The buyer's primary legal remedy is:

- A. Forced renegotiation of the lease terms with the lessor
- B. Right of rescission under leasehold disclosure statutes ✓**
- C. Specific performance forcing the seller to obtain fee ownership
- D. Damages limited to the cost of title insurance

Answer: B. Intentional or negligent failure to disclose leasehold status enables the buyer to rescind under Hawaii's leasehold disclosure requirements.

Q 12.7 ·v9 A purchaser enters into a contract expecting to own a property in fee simple, but discovers at closing that the property is actually leasehold and the seller never disclosed this material fact. Which of the following remedies is likely available to the buyer?

- A. A claim for specific performance to convert the lease to fee ownership
- B. Damages limited to the cost of property inspections
- C. The right to cancel the transaction and recover earnest money under leasehold nondisclosure laws ✓**
- D. Mandatory acceptance of the property with a price reduction negotiated at closing

Answer: C. Failure to disclose leasehold status is a material nondisclosure that triggers rescission rights, allowing the buyer to unwind the transaction and recover their earnest money.

Q 12.8 Hawaii's state-level real estate transfer tax is:

- A. HARPTA
- B. FIRPTA
- C. GET
- D. Conveyance tax ✓**

Answer: D. Conveyance tax is the transfer tax. Tiered rates.

Q 12.8 ·v1 When a property changes ownership in Hawaii, which tax applies specifically to the real estate transaction itself?

- A. Hawaii Alternative Minimum Tax
- B. Federal withholding tax on foreign persons
- C. General Excise Tax on the transfer amount

D. Conveyance tax ✓

Answer: D. Conveyance tax is Hawaii's state-level tax on real estate transfers, assessed at tiered rates based on sale price. The other options are different types of taxes that do not apply to property transfers in the same manner.

Q 12.8 ·v2 A homebuyer in Honolulu purchases a residential property for \$750,000. Which Hawaii state tax directly applies to this real estate conveyance?

- A. GET on the purchase price

B. Conveyance tax ✓

- C. HARPTA tax
- D. State capital gains tax

Answer: B. Hawaii imposes a conveyance tax on real estate transfers using a tiered rate structure. GET applies to most transactions but operates differently; HARPTA is a federal withholding requirement; Hawaii has no separate capital gains tax on real estate.

Q 12.8 ·v3 Which of the following best describes Hawaii's primary transfer tax on real estate transactions?

A. The conveyance tax, imposed on deeds and assessed at progressive rates ✓

- B. A documentary stamp tax equivalent to the federal FIRPTA
- C. A transactional fee collected by the Hawaii Real Estate Commission
- D. An excise tax that replaces all property-related state fees

Answer: A. The conveyance tax is Hawaii's state-level transfer tax on real estate, structured with tiered rates based on the purchase price or value. FIRPTA is federal; the REC does not collect transfer taxes; and Hawaii's conveyance tax operates alongside other fees, not as a replacement.

Q 12.8 ·v4 A real estate agent assists a client selling land in Maui. The seller must pay a state-mandated tax on the transfer of the real property. What is this tax called?

A. Conveyance tax ✓

- B. HARPTA obligation
- C. Property transfer surcharge
- D. Recording fee tax

Answer: A. Hawaii's conveyance tax is the official state transfer tax on real estate transactions, imposed on the sale and calculated using tiered rates. Recording fees are separate administrative costs; property transfer surcharge and HARPTA are not the correct names for Hawaii's state transfer tax.

Q 12.8 ·v5 When a property sells in Hawaii, which tax is imposed on the transfer of ownership?

- A. Conveyance tax ✓**
- B. General Excise Tax (GET)
- C. Hawaii Real Property Tax Act (HARPTA)
- D. Foreign Investment in Real Property Tax Act (FIRPTA)

Answer: A. Conveyance tax is Hawaii's state-level real estate transfer tax, applied to the deed or instrument transferring property. GET, HARPTA, and FIRPTA are different taxes or acts that do not serve as Hawaii's transfer tax mechanism.

Q 12.8 ·v6 Which of the following best describes Hawaii's real estate transfer tax?

- A. A tiered tax based on the sale price of real property ✓**
- B. The General Excise Tax imposed on all commercial transactions
- C. A federal withholding tax on non-resident sellers
- D. FIRPTA compliance requirement for foreign buyers

Answer: A. Hawaii's conveyance tax is applied to real estate transfers with tiered rates based on purchase price. FIRPTA is federal, GET is a general sales tax, and the fourth option describes federal withholding requirements.

Q 12.8 ·v7 A residential property in Honolulu closes for \$800,000. Which state tax specifically applies to this transaction?

- A. Hawaii Real Property Tax Act surcharge
- B. Conveyance tax ✓**
- C. Real Estate Commission transfer fee
- D. General Excise Tax exclusion

Answer: B. The conveyance tax is the state-level transfer tax on real property sales in Hawaii, calculated based on the sale price. The other options either do not apply to the transfer itself or are not the correct state transfer tax.

Q 12.8 ·v8 A licensee explains to a buyer that when purchasing property in Hawaii, a certain tax is due based on the property's transfer. This tax is called:

- A. Conveyance tax ✓**
- B. Hawaii transfer withholding tax
- C. Property acquisition tax (PAT)
- D. Deed recording surcharge

Answer: A. Conveyance tax is Hawaii's designated state transfer tax on real estate transactions. The other options are not actual Hawaii transfer taxes or are misnamed instruments.

Q 12.8 ·v9 When a property changes ownership in Hawaii, what is the name of the state tax imposed on the transaction?

- A. General Excise Tax (GET)
- B. HARPTA compliance fee
- C. Conveyance tax ✓**
- D. FIRPTA withholding tax

Answer: C. Conveyance tax is Hawaii's state-level real estate transfer tax applied to property sales. It operates on a tiered rate structure based on the purchase price.

Q 12.9 A property described in chain of title as deriving from a "Land Commission Award" is:

- A. A modern grant
- B. A condo
- C. A relic of the Mahele period requiring careful chain analysis ✓**
- D. Federal land

Answer: C. Land Commission Awards date from the Mahele era.

Q 12.9 ·v1 When examining a Hawaii property's deed history, you encounter a reference to a 'Land Commission Award' as the original source of title. What does this indicate about the property?

- A. The property originates from the Mahele division and requires thorough historical chain review ✓**
- B. The property is held in condominium regime under state law
- C. The property was recently granted by the Hawaii Land Commission
- D. The property was awarded by the federal government during territorial statehood

Answer: A. Land Commission Awards are historical documents from the Mahele era (1848) when Hawaiian lands were divided, making them significant historical anchors requiring careful chain of title analysis.

Q 12.9 ·v2 A title search reveals that a parcel's origin traces back to a Land Commission Award. Which statement best characterizes this finding?

- A. It is a federal patent requiring Bureau of Land Management oversight
- B. It is a historical grant from Hawaii's Mahele period that necessitates careful examination of the subsequent chain ✓**
- C. It is a contemporary conveyance that must comply with modern subdivision rules
- D. It is evidence the property was part of a corporate condo development

Answer: B. Land Commission Awards are nineteenth-century grants from the Great Mahele (1848) that serve as critical historical reference points and require meticulous chain of title review.

Q 12.9 ·v3 In Hawaii real estate practice, if you discover that a property's root of title stems from a 'Land Commission Award,' you should understand this as:

- A. Proof of direct federal ownership with state management
- B. A recent administrative decision by the Hawaii Real Estate Commission
- C. A time-share interest issued under state condominium law

D. A nineteenth-century claim originating from the Mahele that demands careful historical title analysis ✓

Answer: D. Land Commission Awards date from the Mahele period (1848) when Hawaiian lands were initially divided and distributed, establishing important historical chain-of-title origins requiring expert examination.

Q 12.9 ·v4 A Hawaii property's title document references an original Land Commission Award. What is the professional implication of this finding?

- A. The property must be registered as state-owned trust land
- B. The property is automatically exempt from current zoning regulations

C. The property's chain of title requires detailed historical analysis rooted in the Mahele era grants ✓

- D. The property was recently subdivided and must meet modern platting standards

Answer: C. Land Commission Awards are historical grants from the 1848 Mahele period that serve as foundational title documents requiring careful and thorough chain of title examination.

Q 12.9 ·v5 When examining a deed that references a 'Land Commission Award' as the original source of title, a Hawaii real estate licensee should recognize this as:

A. A nineteenth-century Hawaiian Kingdom distribution requiring thorough title investigation ✓

- B. A contemporary conveyance method still in use today
- C. A U.S. government patent issued under federal homestead law
- D. A timeshare or fractional ownership instrument

Answer: A. Land Commission Awards originated during the Mahele period in 1848 and represent a unique aspect of Hawaiian land history requiring careful examination of title records.

Q 12.9 ·v6 A seller's abstract of title shows the property's lineage beginning with an LCA (Land Commission Award). This historical designation indicates:

A. Title derives from the Hawaiian Kingdom's 1848 division of lands and demands thorough chain-of-title analysis ✓

- B. The property was subdivided from a larger modern development
- C. The property is held in common ownership by multiple parties
- D. The land is subject to federal trust restrictions

Answer: A. LCAs are specific to Hawaii's Mahele period land distribution system and licensees must carefully verify the complete chain of ownership from this historical source forward.

Q 12.9 ·v7 During a title review, you discover that ownership traces back to a 'Land Commission Award.' This finding reflects:

- A. A property converted from agricultural to residential zoning
- B. Recent acreage added through coastal reclamation
- C. Land held in perpetual lease from the State of Hawaii

D. A parcel with roots in 1848 Hawaiian Kingdom land redistribution requiring detailed historical title work ✓

Answer: D. Land Commission Awards are historical documents from the Mahele era that necessitate careful examination of successive transfers to establish clear current title.

Q 12.9 ·v8 A property's title report indicates its origin as a 'Land Commission Award.' A licensee should understand this means:

- A. The property carries a federal maritime boundary designation

B. The land's ownership traces to Hawaii's mid-nineteenth-century kingdom-era land division system and requires meticulous chain verification ✓

- C. The deed was recorded within the last five years
- D. Ownership is vested in a corporation or partnership entity

Answer: B. Land Commission Awards are historical grants from the Mahele period in 1848, and thorough analysis of the intervening chain of title is essential for establishing marketable title.

Q 12.9 ·v9 When reviewing a property's title history, you discover the original ownership interest originated from a Land Commission Award. This indicates that:

- A. The property is held in trust by the State of Hawaii
- B. The property must be converted to a fee simple estate before sale

C. The property title traces back to the Mahele period and warrants thorough examination of the chain of title ✓

- D. The property was recently subdivided and requires new surveying

Answer: C. Land Commission Awards are historical grants from the Mahele era (1848) that require careful title analysis to ensure validity and proper succession through the chain of title.

Q 12.10 Hawaiian Home Lands are:

A. Leased only to qualifying Native Hawaiians under HHCA ✓

- B. Tax-exempt for all
- C. Open market for any buyer
- D. Owned by the federal government

Answer: A. HHCA-leased to qualifying Native Hawaiians; specific transfer restrictions.

Q 12.10 ·v1 Under the Hawaiian Homes Commission Act, how are Hawaiian Home Lands typically transferred to beneficiaries?

- A. By lease agreement to Native Hawaiians who meet statutory eligibility requirements ✓**
- B. Through fee simple purchase on the open market
- C. As gifts from the state with no restrictions
- D. Through a revocable trust arrangement with the federal government

Answer: A. The HHCA established a lease system exclusively for qualifying Native Hawaiians, not fee simple ownership or unrestricted transfers.

Q 12.10 ·v2 Which statement correctly describes the disposition of Hawaiian Home Lands?

- A. They are available only to Native Hawaiians under lease pursuant to HHCA provisions ✓**
- B. They are managed by the federal government as public trust lands
- C. They are exempt from all property taxes and zoning requirements
- D. They are held in fee by any qualified purchaser without restrictions

Answer: A. Hawaiian Home Lands are specifically designated for lease to Native Hawaiians meeting HHCA eligibility criteria, creating a restricted leasehold interest.

Q 12.10 ·v3 A property qualifies as Hawaiian Home Land. What does this designation primarily control?

- A. The recipient eligibility and lease terms under HHCA ✓**
- B. Whether it must be held by a corporation or individual entity
- C. The assessment methodology and local property tax rate
- D. Who may purchase it in fee simple and investment potential

Answer: A. Hawaiian Home Land designation restricts occupancy and use to Native Hawaiians through HHCA-regulated leases, controlling who may benefit and under what conditions.

Q 12.10 ·v4 A Native Hawaiian applicant is approved for a Hawaiian Home Land lease. This approval means:

- A. The applicant qualifies for a mortgage as if it were private property
- B. The applicant may immediately resell or transfer to any third party
- C. The applicant receives a leasehold interest subject to HHCA eligibility and terms ✓**
- D. The applicant acquires full fee ownership with standard market restrictions

Answer: C. HHCA approval grants a lease interest restricted to eligible Native Hawaiians with specific transfer and use limitations, not unrestricted ownership.

Q 12.10 ·v5 Which statement accurately describes the legal status of Hawaiian Home Lands under the Hawaiian Homes Commission Act?

- A. They are privately owned parcels available for purchase by any qualified buyer
- B. They are public lands open to development under Hawaii's zoning laws
- C. They are held in trust by the state and leased exclusively to Native Hawaiians who meet eligibility requirements ✓**
- D. They are federal trust lands managed by the U.S. Department of Interior

Answer: C. The HHCA established a trust system where lands are leased (not sold) to Native Hawaiians meeting specific criteria; they are state-held lands with restricted transfer rights.

Q 12.10 ·v6 A prospective buyer asks about purchasing a parcel of Hawaiian Home Land. As a licensee, you should explain that:

- A. The property is offered at auction to the highest bidder annually
- B. The land may be purchased but requires state income verification
- C. The land is available only through long-term leases to Native Hawaiians who qualify under HHCA provisions ✓**
- D. The property can be purchased if the buyer obtains federal approval

Answer: C. HHCA lands operate under a lease system restricted to qualifying Native Hawaiians; they are not available for purchase by the general public.

Q 12.10 ·v7 Under Hawaii law, Hawaiian Home Lands differ from standard real estate because they are:

- A. County-managed conservation areas with recreational access for all residents
- B. Federal enclaves exempt from all state and local regulations
- C. Taxable commercial properties owned by Native Hawaiian corporations
- D. Restricted to lease arrangements with Native Hawaiians who meet specific residency and ancestry criteria ✓**

Answer: D. HHCA lands are state trust lands leased exclusively to eligible Native Hawaiians under strict eligibility requirements; they have unique restrictions not found in conventional real estate.

Q 12.10 ·v8 If a client is a Native Hawaiian interested in Hawaiian Home Land, the primary mechanism for obtaining use of such land is:

- A. Receiving a grant deed from the Hawaii Department of Commerce
- B. Purchasing fee-simple title through a standard mortgage
- C. Entering into a lease agreement after meeting HHCA qualification standards ✓**
- D. Obtaining an easement and right-of-way from the county assessor

Answer: C. Qualifying Native Hawaiians obtain Hawaiian Home Lands through leasing arrangements (typically long-term) under HHCA; ownership transfer is restricted and controlled.

Q 12.10 v9 Under the Hawaiian Homes Commission Act, what is the primary characteristic of Hawaiian Home Land disposition?

- A. Land is held in trust by the state with no restrictions on use or occupancy
- B. Land is sold in fee simple to any qualified purchaser regardless of ancestry
- C. Land is administered by the federal government as part of the National Park System

D. Land is conveyed through 99-year leases restricted to Native Hawaiians meeting HHCA eligibility criteria ✓

Answer: D. The HHCA mandates that Hawaiian Home Lands be leased (not sold) to Native Hawaiians who meet specific qualification requirements; these leases are typically 99 years and include strict transfer restrictions.

13

Hawaii: Types of Ownership

State portion 6 PSI items 25 key concepts 10 base questions

Hawaii is condo-heavy and leasehold-rich. The state portion tests these structures more than typical state exams.

CHAPTER OVERVIEW

Condominiums in Hawaii are governed by HRS 514B (the modern Condominium Property Act enacted in 2006) for new and most existing projects, with HRS 514A (the older statute) still applicable to many pre-2006 condos that haven't opted into 514B. Every condo project has a recorded Declaration (the foundational document creating the project), Bylaws (governance procedures), and House Rules (day-to-day rules adoptable and amendable by the board). The Association of Apartment Owners (AOAO) is the governing body — Hawaii's term for what mainland calls the condo HOA. Owners pay maintenance fees ("monthly common element assessments"); the AOAO can place liens on units for unpaid fees, with priority typically following recording rules.

CPRs (Condominium Property Regimes) are a uniquely Hawaiian use of condominium law. A single house lot is carved into two or more "units" (typically two stand-alone houses on one parcel, or a primary + ohana unit) under a CPR declaration. Each unit gets its own TMK and can be sold separately. CPRs let two owners share a parcel without a partition action and without the higher cost of subdivision. They're common in older neighborhoods being incrementally densified, but they create complexity around maintenance allocation and lender willingness to finance.

Leasehold is far more common in Hawaii than in mainland markets. Buyers acquire only the leasehold interest; the underlying land remains owned by the lessor (often a major Hawaiian-history landowner like Kamehameha Schools/Bishop Estate, the State of Hawaii, or other large trusts). Lease terms run 30-75+ years with renegotiation provisions. The most critical agent disclosures: (1) remaining lease term, (2) current lease rent, (3) lease rent renegotiation dates and how new rent is

determined (often a percentage of land value), (4) what happens to improvements at lease end (do they revert to the lessor, or is there a buyout). A leaseholder approaching renegotiation faces possible dramatic rent increases — an unprepared buyer may suddenly owe multiples of prior lease rent.

Time share plans are governed by HRS 514E with extensive disclosure requirements. Buyers must receive a public report and have a 7-day right of rescission from contract signing — the buyer may cancel for any reason within seven days and receive a full refund. Hawaii has a separate Time Share Plan Manager license requirement. Aggressive time share marketing is heavily regulated. Resale of time shares is notoriously difficult — secondary market prices are often a tiny fraction of original purchase.

Cooperatives are rare in Hawaii compared to condos. A few exist in Honolulu but the structure (own shares + proprietary lease, financing complications) hasn't taken hold here as it did in New York. Planned Unit Developments (PUDs) exist but are less common than condos because Hawaii's land scarcity and historic plantation patterns favored condo development.

Land trusts exist in Hawaii for various purposes — affordable housing trusts, conservation trusts, family trusts holding ancestral land. The "hui" structure, traditional Hawaiian co-ownership often family-held across many heirs, can lead to partition complications when even one heir wants to sell.

Common-interest community governance: The AOA board has duties to all owners, must hold annual meetings, must keep records open to owners, and must act consistently with declaration and bylaws. Many disputes arise from board decisions on common-element repairs, special assessments, and house rule enforcement. Hawaii has detailed statutory protections for owners against board overreach.

Buyer due diligence on common-interest property: review the project's budget and reserves, recent meeting minutes, special assessment history, pending litigation, current and projected maintenance fees, rules on rentals (some projects ban short-term, vacation rentals, or pets), and the project's Fannie Mae/Freddie Mac warrantability status (affects financing options). A "non-warrantable" condo is harder to finance because GSE-backed loans are unavailable.

KEY CONCEPTS & DEFINITIONS

HRS 514B	Hawaii's modern Condominium Property Act (post-2006). Governs declarations, AOA, owner rights.
HRS 514A	Older condo act (pre-2006). Some legacy projects still operate under it.
AOAO	Association of Apartment Owners. The condo HOA equivalent. Manages common elements.
Declaration / Bylaws / House Rules	The three governing documents recorded against the project.
Common elements	Project property shared by all unit owners — lobby, pool, roof, grounds.
Limited common elements	Common elements assigned to specific units — assigned parking, lanai, storage.
Maintenance fee	Monthly common element assessment paid by each unit owner.
Special assessment	One-time charge for major capital expense not covered by reserves.
Reserve study	Engineering analysis of long-term capital needs. Funded by reserves.
CPR	Condominium Property Regime. Uniquely Hawaiian. Two or more units on one lot, each with own TMK.
Leasehold interest	Tenant's long-term right to occupy land owned by a lessor. Common in Hawaii.
Lessor	Land owner under a lease. Often a major Hawaiian-history trust.
Lessee / leaseholder	Holds the leasehold interest. Pays lease rent. May own improvements.
Fee simple	Outright land ownership. Often distinguished sharply from leasehold here.
Lease rent	Periodic payment from leaseholder to fee-owner.
Lease step-up / renegotiation	Scheduled date when lease rent is reset upward, often dramatically.
Reversion of improvements	At lease end, the building/structures may revert to the lessor without payment.
Time share	Right to occupy a unit for set period each year. HRS 514E governs disclosure.
7-day rescission (time share)	Buyer's statutory right to cancel a time share contract for any reason within seven days.
Time Share Plan Manager	Licensed individual responsible for time share plan operations.
Hui	Traditional Hawaiian co-ownership of land. Often family-held across many heirs. Partition complications.
Warrantable condo	Project meeting Fannie/Freddie standards. Eligible for conventional financing.

Non-warrantable condo	Project failing Fannie/Freddie standards (excessive rentals, litigation, deferred maintenance, etc.).
Cooperative	Own shares in corporation owning the building + proprietary lease. Rare in Hawaii.
PUD	Planned Unit Development. Lot ownership + common areas. Less common in Hawaii than condo.

QUESTION BANK — HAWAII: TYPES OF OWNERSHIP

Q 13.1 A "CPR" in Hawaii most commonly means:

- A. Continuous Property Recording
- B. County Property Rule
- C. Condominium Property Regime — multiple units on one lot ✓**
- D. Cardiopulmonary resuscitation

Answer: C. In Hawaii real estate, CPR = Condominium Property Regime.

Q 13.1 v1 In Hawaii real estate terminology, what does the acronym CPR stand for?

- A. Continuing Professional Requirements
- B. Condominium Property Regime — a legal structure allowing separate ownership of units within a single parcel ✓**
- C. Coastal Property Restriction
- D. Certified Property Representative

Answer: B. CPR in Hawaii real estate refers to the Condominium Property Regime, which enables multiple units to be individually owned on a single lot with shared common areas.

Q 13.1 v2 When a Hawaii real estate professional refers to a property under CPR, they are most likely discussing:

- A. A property subject to recorded deed restrictions and easements
- B. Multiple residential or commercial units individually owned on one parcel of land ✓**
- C. A time-share arrangement with rotating occupancy rights
- D. A rental property with standardized lease terms

Answer: B. CPR (Condominium Property Regime) specifically describes the legal framework that allows separate ownership of individual units within a single lot or property.

Q 13.1 ·v3 Which statement best describes what CPR means in the context of Hawaii real estate law?

- A. A county-administered program for property tax assessment and valuation
- B. A mandatory annual inspection and recertification process for commercial buildings
- C. A property management company licensed to oversee residential complexes

D. The legal regime that permits condominium units to be separately owned while sharing a single lot ✓

Answer: D. CPR stands for Condominium Property Regime and is the Hawaii legal structure enabling individual unit ownership on a shared parcel of land.

Q 13.1 ·v4 A developer is creating a building with 20 separate residential units on one lot in Hawaii. This type of ownership structure is regulated under which acronym?

- A. HOA — Homeowners Association framework
- B. REC — Real Estate Commission guidelines
- C. PUD — Planned Unit Development ordinance

D. CPR — Condominium Property Regime ✓

Answer: D. CPR (Condominium Property Regime) is the Hawaii legal mechanism that governs multiple individually-owned units situated on a single parcel of real property.

Q 13.1 ·v5 Under Hawaii real estate law, what does the acronym CPR stand for?

A. Condominium Property Regime — the legal framework for individually owned units sharing common property ✓

- B. Central Processing Records
- C. Commercial Property Registry
- D. Certified Property Residential

Answer: A. CPR in Hawaii real estate refers to Condominium Property Regime, which governs the ownership structure where multiple condo units exist on a single parcel of land with shared common areas.

Q 13.1 ·v6 A real estate professional in Hawaii encounters a property described as being under CPR. This most likely refers to:

- A. A requirement for continuous property monitoring by the state
- B. A mandatory recording process for all county transfers

C. A structure where separate residential or commercial units occupy one lot with joint ownership of common elements ✓

- D. A zoning classification for rural properties

Answer: C. CPR (Condominium Property Regime) in Hawaii describes the legal ownership model where individual units on a single lot are separately owned while common areas and facilities are jointly owned or managed.

Q 13.1 · v7 When reviewing a Hawaii property listing, an agent sees "CPR" noted in the legal description. The agent should understand this indicates:

- A. The property is subject to county property tax reassessment
- B. Multiple separately owned units exist on one parcel with shared common property rights and responsibilities ✓**
- C. The property is enrolled in a county property recording program
- D. The property requires continuous regulatory property review

Answer: B. CPR stands for Condominium Property Regime in Hawaii, signifying that the property comprises individually owned units on a single lot with common property shared among unit owners.

Q 13.1 · v8 A broker in Hawaii receives a purchase agreement referencing a "CPR property." The broker knows this means:

- A. County Property Regulation requirements apply
- B. Continuous Property Recording under state law
- C. Commercial Property Reservation status
- D. Condominium Property Regime — individual ownership of units combined with common ownership on one lot ✓**

Answer: D. In Hawaii real estate terminology, CPR stands for Condominium Property Regime, which describes the legal structure where multiple unit owners hold separate title to their units while collectively owning common elements on the same parcel.

Q 13.1 · v9 When a Hawaii real estate professional encounters the acronym CPR on property documents, what does it refer to in the context of residential units?

- A. Condo Purchase Rider required in purchase agreements
- B. Certified Property Registry system mandated by Hawaii state law
- C. Comparative Property Records used for appraisal purposes
- D. Condominium Property Regime describing common ownership structure ✓**

Answer: D. CPR in Hawaii real estate specifically denotes Condominium Property Regime, which is a legal framework allowing multiple condominium units to exist on a single parcel of land with shared common areas and separate unit ownership.

Q 13.2 A buyer acquires a 50-year leasehold condo. They own:

- A. The land + building
- B. The fee + lease
- C. Stock in the AOA
- D. The leasehold interest in the unit only ✓**

Answer: D. Leasehold = right to occupy. Land remains with lessor.

Q 13.2 ·v1 When a purchaser closes on a 50-year leasehold condominium unit in Hawaii, what property right is actually conveyed?

- A. A possessory interest in the unit for the lease term ✓**
- B. Equitable title to the land with the lessor retaining legal title
- C. Joint ownership of the building with the AOAO holding the land fee
- D. Full ownership of the real property including land and structure

Answer: A. A leasehold conveys only the right to possess and occupy the unit for the lease term; the underlying land and fee simple title remain with the lessor or fee owner.

Q 13.2 ·v2 A buyer takes title to a leasehold condominium unit. Which of the following best describes their ownership interest?

- A. They own the structure but the AOAO owns the land in perpetuity
- B. They hold both the lease and the underlying fee simple title
- C. They possess a time-limited right to occupy and use the unit ✓**
- D. They own the unit in fee simple with a recorded lease restriction

Answer: C. Leasehold ownership is a temporary possessory right to occupy the unit for the lease duration; it does not include ownership of the underlying land.

Q 13.2 ·v3 In a Hawaii leasehold condominium transaction, the purchaser receives ownership of which of the following?

- A. Only the right to occupy and use the unit during the lease term ✓**
- B. The land and building together as fee simple
- C. An undivided interest in all common elements and the fee
- D. The building and a fractional interest in the underlying land

Answer: A. Leasehold means the buyer obtains only occupancy rights in the unit; the land beneath remains owned by the lessor or fee holder.

Q 13.2 ·v4 A buyer purchases a 50-year leasehold condominium. What does this buyer NOT own?

- A. The underlying fee simple interest in the land ✓**
- B. An interest in the condominium unit itself
- C. The right to lease the unit to others
- D. The right to occupy and use the unit

Answer: A. In a leasehold, the buyer does not own the fee or land; they own only a temporary right of occupancy while the lessor retains the underlying fee simple title.

Q 13.2 ·v5 In Hawaii, when a condominium owner purchases a 50-year leasehold unit, what property interest do they actually own?

- A. Joint ownership with the AOA of all common elements
- B. Fee simple title to both the land and the structure
- C. A possessory right to occupy the unit for the lease term ✓**
- D. Reversionary interest in the underlying land after lease expires

Answer: C. A leasehold purchase grants only the right to possess and use the unit during the lease term; the lessor retains ownership of the land beneath.

Q 13.2 ·v6 Which of the following best describes what a buyer receives when purchasing a leasehold condominium unit in Hawaii?

- A. Full fee simple ownership subject to AOA assessments
- B. A contractual right to occupy and use the unit for a specified period ✓**
- C. Legal title to the real property with a subordinated lien
- D. Ownership of the land parcel plus ownership of the building structure

Answer: B. Leasehold ownership grants only use and occupancy rights during the lease term; the underlying fee interest in the land remains with the lessor.

Q 13.2 ·v7 A consumer closes on a 50-year leasehold condo in Honolulu. Which statement accurately reflects their ownership position?

- A. They hold an easement for exclusive use of the land
- B. They possess a limited, time-bounded right to occupy the unit ✓**
- C. They own the fee simple estate in the real property
- D. They own stock in the AOA and control the building management

Answer: B. Leasehold ownership is a personal possessory right limited to the lease term; true ownership of the underlying land remains with the lessor.

Q 13.2 ·v8 When a buyer takes title to a leasehold condominium unit with a 50-year term, they acquire:

- A. A warranty deed to the land and all affixed improvements
- B. Stock certificates representing ownership in the building corporation
- C. An intangible interest in occupying the unit during the lease period ✓**
- D. Real property ownership equivalent to fee simple title

Answer: C. Leasehold conveys only the right to occupy for the lease term; the lessor retains ownership of the underlying land and legal title.

Q 13.2 ·v9 When a condominium buyer takes title to a 50-year leasehold unit in Hawaii, what property right has been transferred to the buyer?

- A. Fee simple title plus a subordinate lease agreement
- B. Full ownership of both the land and the structure
- C. Joint ownership with the AOA of all common elements

D. Only the right to occupy and use the unit for the lease term ✓

Answer: D. A leasehold conveys only the right to occupy the unit for the lease duration; the underlying land and fee interest remain with the lessor. The buyer does not own the land itself.

Q 13.3 A modern condo declaration in Hawaii is governed primarily by:

- A. HRS 467
- B. HRS 514A

C. HRS 514B ✓

- D. HRS 521

Answer: C. HRS 514B governs post-2006 condominiums.

Q 13.3 ·v1 Which Hawaii Revised Statute would apply to a condominium property regime established after 2006?

- A. HRS 467 (Timeshare Interests)
- B. HRS 514A (Pre-2006 Condominiums)
- C. HRS 521 (Residential Tenancies)

D. HRS 514B (Post-2006 Condominiums) ✓

Answer: D. HRS 514B is the statutory framework that governs all condominiums created or converted after July 1, 2006 in Hawaii.

Q 13.3 ·v2 A licensed agent is listing a newly created Hawaii condominium registered in 2023. What statute governs the declaration and operation of this property?

A. HRS 514B ✓

- B. HRS 486
- C. HRS 521
- D. HRS 514A

Answer: A. HRS 514B applies to all modern condominiums created after the effective date of July 1, 2006, including any newly registered in 2023.

Q 13.3 · v3 Under Hawaii law, the primary statute controlling the bylaws and governing documents of a condominium developed in 2015 is:

- A. HRS 521 (Landlord-Tenant)
- B. HRS 514A (Legacy Condo Law)
- C. HRS 486 (Trade Associations)

D. HRS 514B (Current Condo Law) ✓

Answer: D. HRS 514B is the controlling statute for all condominiums established after 2006, governing their declarations, bylaws, and operational requirements.

Q 13.3 · v4 A seller discloses that their Hawaii condo was developed in 2010. Which statute would the property's declaration and common interest provisions comply with?

- A. HRS 467
- B. HRS 521
- C. HRS 514A

D. HRS 514B ✓

Answer: D. HRS 514B governs all Hawaii condominiums created on or after July 1, 2006, including a property developed in 2010.

Q 13.3 · v5 Which statute provides the primary legal framework for condominiums established in Hawaii after 2006?

- A. HRS 521
- B. HRS 514B ✓**
- C. HRS 467B
- D. HRS 514A

Answer: B. HRS 514B is the governing statute for all condominiums created after 2006 in Hawaii and supersedes the older HRS 514A framework.

Q 13.3 · v6 A Hawaii real estate agent is listing a condominium property built in 2015. What is the controlling statute for this property's declaration and governance?

- A. HRS 514B (Hawaii Condominium Property Act) ✓**
- B. HRS 467 (Business Corporations)
- C. HRS 514A (Horizontal Property Regime Act)
- D. HRS 521 (Residential Tenancies)

Answer: A. HRS 514B governs all condominiums established after 2006, making it the applicable statute for a 2015-built condominium property.

Q 13.3 · v7 When reviewing a condominium declaration for a property developed in 2010, a Hawaii broker should reference which statute as the primary authority?

- A. HRS 467
- B. HRS 521
- C. HRS 514B ✓**
- D. HRS 514A

Answer: C. HRS 514B is the primary statute governing modern condominiums in Hawaii, including all developments created after 2006.

Q 13.3 · v8 Under Hawaii real estate law, contemporary condominium projects are regulated by:

- A. HRS 467 for property management entities
- B. HRS 521 for all residential developments
- C. HRS 514A exclusively for all condominiums
- D. HRS 514B for condominiums created after 2006 ✓**

Answer: D. HRS 514B is the statute that governs modern condominiums in Hawaii, specifically those established after July 1, 2006.

Q 13.3 · v9 A condominium project established in Hawaii in 2010 would be subject to the provisions of which statute?

- A. HRS 514A
- B. HRS 514B ✓**
- C. HRS 467B
- D. HRS 521

Answer: B. HRS 514B is the applicable statute for condominiums created after 2006, making it the governing law for any modern condo project in Hawaii established in 2010.

Q 13.4 A time share buyer in Hawaii has the right to rescind within:

- A. 30 days
- B. 14 days
- C. 7 days ✓**
- D. 3 days

Answer: C. HRS 514E gives a 7-day rescission window.

Q 13.4 ·v1 Under Hawaii's timeshare law, what is the maximum period during which a purchaser may cancel a timeshare purchase agreement without penalty?

- A. 7 calendar days ✓**
- B. 10 business days
- C. 14 calendar days
- D. 5 business days

Answer: A. HRS 514E establishes a 7-day rescission period for timeshare buyers to cancel their purchase agreement.

Q 13.4 ·v2 A consumer signs a timeshare contract in Honolulu on a Monday. If they wish to exercise their statutory right to cancel, they must do so by what day at the latest?

- A. Wednesday of the same week
- B. The following Monday ✓**
- C. 10 days from the signing date
- D. The end of the following week

Answer: B. Hawaii's timeshare rescission law (HRS 514E) provides a 7-day window from the date of purchase, meaning a Monday signing allows cancellation through the following Monday.

Q 13.4 ·v3 Which statement correctly describes the cancellation rights afforded to timeshare purchasers in Hawaii?

- A. Buyers must notify the seller within 5 business days to rescind
- B. Buyers have 7 days to cancel the agreement as provided by Hawaii state law ✓**
- C. Buyers have 30 days to request a refund after purchase
- D. Buyers may rescind within 3 days of signing without providing a reason

Answer: B. HRS 514E grants timeshare buyers a 7-day rescission right, which is the statutory cancellation period in Hawaii.

Q 13.4 ·v4 A timeshare developer in Hawaii must honor a buyer's cancellation request if submitted within:

- A. 10 business days of signing
- B. One week from the purchase date ✓**
- C. 72 hours of the executed contract
- D. Two weeks from closing

Answer: B. Hawaii Revised Statutes 514E mandates that timeshare buyers may rescind their purchase within 7 days of executing the agreement.

Q 13.4 ·v5 Under Hawaii Revised Statutes Chapter 514E, a purchaser of a timeshare interest may cancel the purchase agreement during what time period?

- A. 7 days from the date of signing ✓**
- B. 5 business days from receipt of the disclosure statement
- C. 14 calendar days from initial payment
- D. 10 days from the date of signing

Answer: A. HRS 514E establishes a 7-day rescission period for timeshare contracts in Hawaii, allowing buyers to cancel within that timeframe.

Q 13.4 ·v6 If a timeshare buyer in Hawaii wishes to exercise their statutory right of cancellation, they must do so within:

- A. 72 hours of contract execution
- B. 2 weeks from the date of the purchase agreement
- C. One week of receiving the purchase agreement ✓**
- D. 10 business days of the sale

Answer: C. Hawaii's timeshare law (HRS 514E) provides a 7-day rescission right, which is commonly referred to as one week from the purchase agreement date.

Q 13.4 ·v7 A consumer in Hawaii who has just purchased a timeshare unit discovers undisclosed liens on the property. When must the buyer file for rescission to comply with state law?

- A. Within 7 days of the purchase agreement ✓**
- B. Before 3 business days elapse
- C. Within one calendar month of signing
- D. No later than 21 days after closing

Answer: A. HRS 514E mandates a 7-day rescission window for timeshare purchases in Hawaii, providing consumer protection during that period.

Q 13.4 ·v8 A timeshare sales contract in Hawaii was executed on a Monday. The buyer now wishes to rescind. According to HRS 514E, the latest day the buyer can legally cancel is:

- A. The end of the same month
- B. Wednesday of the same week
- C. 10 days from execution
- D. The following Monday ✓**

Answer: D. Hawai'i grants timeshare buyers a seven-day rescission period (HRS §514E). A Monday execution allows cancellation through the following Monday (seven calendar days later).

Q 13.4 ·v9 Under Hawaii Revised Statutes Chapter 514E, a purchaser of a timeshare interest may cancel their purchase agreement by submitting written notice of rescission within what timeframe?

- A. 10 business days from contract signing
- B. 5 business days from the date of purchase
- C. 14 calendar days from receipt of the public offering statement

D. 7 calendar days from the date of purchase ✓

Answer: D. HRS 514E mandates a 7-calendar-day rescission period for timeshare buyers, allowing them to cancel without penalty or obligation during this window.

Q 13.5 Lease rent step-up means:

A. Lease rent resets at a scheduled date, often higher ✓

- B. The lessee gains fee
- C. The lease terminates
- D. The lease can be assigned

Answer: A. Step-up = scheduled rent reset, frequently a steep increase.

Q 13.5 ·v1 Which of the following best describes a step-up provision in a commercial lease?

- A. The landlord's right to evict if the tenant fails to maintain the premises
- B. A predetermined increase in rental payments at specified intervals throughout the lease term ✓**
- C. An escalation clause tied solely to the Consumer Price Index
- D. The tenant's option to purchase the underlying property at fair market value

Answer: B. A step-up provision is a scheduled, predetermined rent increase at set intervals; it does not involve property purchase options or automatic CPI adjustments.

Q 13.5 ·v2 When a lease includes a step-up, the tenant should expect:

- A. Property taxes will be passed entirely to the tenant
- B. The lessee may sublease without landlord consent
- C. The lease will automatically convert to a month-to-month tenancy
- D. Rent amounts will increase at predetermined times during the lease period ✓**

Answer: D. Step-up provisions establish scheduled rent increases at defined intervals; they do not affect subletting rights, tenancy type conversion, or tax responsibility allocation.

Q 13.5 ·v3 A property manager explains that the five-year lease has a step-up component. This means:

- A. The tenant receives tax credits for property improvements
- B. Rent payments increase at fixed dates as outlined in the lease agreement ✓**
- C. The tenant has the option to extend the lease by one additional year
- D. The landlord may terminate the lease if market rents decline

Answer: B. Step-up refers to scheduled rent increases at specific times in the lease; it does not grant renewal options, termination rights based on market conditions, or tax benefits.

Q 13.5 ·v4 In Hawaii real estate, a lease with step-up terms typically involves:

- A. Sequentially higher rent payments triggered at predetermined lease milestones ✓**
- B. Rent indexed entirely to the Hawaii median home price index
- C. The lessee's right to purchase the fee simple interest
- D. An automatic abatement clause if the property is damaged

Answer: A. Step-up provisions establish planned rent increases at set times; they are distinct from purchase options, abatement clauses, or index-based escalations.

Q 13.5 ·v5 A commercial lease includes a rent step-up provision. What does this term typically describe?

- A. The lease automatically converts to a month-to-month tenancy
- B. The lessor must maintain and repair all structural elements
- C. Rent increases at predetermined intervals, commonly escalating over the lease term ✓**
- D. The tenant has the right to purchase the underlying property

Answer: C. Rent step-up refers to scheduled rent increases at fixed dates during the lease term, often growing progressively higher.

Q 13.5 ·v6 Which of the following best defines a step-up rent clause in a lease agreement?

- A. A requirement that the tenant improve the leased premises
- B. An option for the tenant to extend the lease at the current rent rate
- C. A clause allowing the tenant to terminate early without penalty
- D. A provision for periodic rent adjustments on specified dates, typically increasing ✓**

Answer: D. Step-up rent is a structured rent adjustment mechanism where rental payments increase on predetermined dates throughout the lease period.

Q 13.5 ·v7 In lease terminology, a step-up structure primarily refers to:

- A. The lessee's right to assume the lessor's position in the agreement
- B. Physical improvements required to the rental property's entrance
- C. An acceleration clause triggered by late payment

D. Scheduled increases in rental payments at designated renewal points ✓

Answer: D. Step-up is a rental escalation mechanism where rent payments increase according to a predetermined schedule, typically at higher amounts.

Q 13.5 ·v8 A landlord and tenant negotiate a lease with a step-up provision. This means the lease includes:

A. Predetermined rent increases that take effect on specified dates during the tenancy ✓

- B. A graduated property tax adjustment passed to the lessee
- C. An automatic buyout option favoring the tenant after five years
- D. Mandatory tenant-funded capital improvements

Answer: A. A step-up provision establishes a schedule of increasing rent payments at fixed intervals, a common strategy to phase in market-rate adjustments.

Q 13.5 ·v9 In a commercial lease, a step-up provision typically refers to:

- A. The landlord's obligation to maintain and upgrade the property
- B. A clause permitting early lease termination without penalty
- C. The tenant's right to purchase the underlying fee simple

D. An automatic increase in rental payments at predetermined intervals ✓

Answer: D. A step-up provision schedules periodic rent increases, often substantial, at specified dates during the lease term. This is a common structure in long-term commercial and residential leases.

Q 13.6 Specific parking stalls assigned to specific units in a condo project are:

- A. Common elements
- B. Fee parcels
- C. Trade fixtures

D. Limited common elements ✓

Answer: D. Limited common elements = common in nature but assigned to specific units.

Q 13.6 ·v1 In a Hawaii condominium, a parking space that is reserved exclusively for the unit owner in 3B but remains part of the common property is classified as:

- A. A limited common element ✓**
- B. Personal property of the unit owner
- C. A general common element
- D. An appurtenant easement

Answer: A. Limited common elements are portions of common property designated for exclusive use by specific unit owners, such as assigned parking stalls, lanais, or storage areas.

Q 13.6 ·v2 Which of the following best describes designated parking spaces in a condominium project that serve specific units?

- A. Limited common elements restricted to particular units ✓**
- B. Fixtures that may be removed by the unit owner
- C. Separate fee simple parcels owned individually
- D. Common elements available to all residents

Answer: A. Designated parking stalls are limited common elements because they are common property in nature but assigned exclusively to identified units for their use.

Q 13.6 ·v3 A condominium parking stall numbered P-7 is permanently assigned to Unit 205. This parking stall would be classified as:

- A. Common element
- B. Limited common element ✓**
- C. Fee parcel
- D. Trade fixture

Answer: B. Limited common elements are common property components that are restricted to exclusive use by specific unit owners, distinguishing them from general common elements used by all residents.

Q 13.6 ·v4 In a condo project governed by Hawaii law, reserved parking areas assigned to individual units are properly classified as:

- A. Common elements shared by all unit owners
- B. Part of the unit's fee simple ownership
- C. Amenities subject to easement rights
- D. Limited common elements for exclusive unit use ✓**

Answer: D. Limited common elements are portions of the common property designated for exclusive use by specific unit owners, such as assigned parking stalls, which remain common property but serve identified units.

Q 13.6 ·v5 In a Hawaii condominium, a parking space that is designated for use by residents of Unit 405 only would be classified as a:

- A. Limited common element ✓**
- B. Common element available to all unit owners
- C. Fee simple parcel
- D. Trade fixture subject to removal

Answer: A. Limited common elements are portions of common property restricted to use by specific units, which perfectly describes assigned parking stalls serving only designated units.

Q 13.6 ·v6 A condominium's declaration specifies that Parking Stall #12 serves only Unit 8. This parking stall is best characterized as:

- A. Personal property of the unit owner
- B. An appurtenant easement
- C. A limited common element ✓**
- D. Common property with no restrictions

Answer: C. Limited common elements are common property limited in use to specific units; assigned parking stalls fit this definition exactly as they serve the common building but benefit only their designated unit.

Q 13.6 ·v7 When a condo association owns a parking area but reserves certain stalls exclusively for specific units, those reserved stalls represent:

- A. Separate real property parcels
- B. Assessable general common elements
- C. Fixtures that transfer with the lease
- D. Limited common elements ✓**

Answer: D. Limited common elements are common property with restricted use to one or more specific units; assigned parking stalls exemplify this category since they are controlled by the association but reserved for particular unit owners.

Q 13.6 ·v8 In a Hawaii condo, if the declaration assigns Parking Stalls 7 and 8 to Unit 201, those stalls would be classified under condo law as:

- A. Improvements to the general common area
- B. Fee simple interests owned by the unit owner
- C. Chattel property
- D. Limited common elements ✓**

Answer: D. Limited common elements are portions of the common property designated for use by specific units or owners; designated parking stalls are limited common elements because they remain association property but serve only their assigned units.

Q 13.6 ·v9 In a condominium project, parking spaces that are reserved exclusively for use by the owners of particular units are classified as:

- A. General common elements shared by all unit owners
- B. Limited common elements restricted to designated unit owners ✓**
- C. Improvements that may be removed without damage to the property
- D. Separate fee simple parcels independent of the condo declaration

Answer: B. Limited common elements are portions of common property designated for exclusive use by specific unit owners—a key Hawaii condo classification distinct from shared common elements.

Q 13.7 A non-warrantable condo:

- A. Is automatically illegal
- B. Costs more in property taxes
- C. Cannot be sold
- D. Is harder to finance via conventional loans ✓**

Answer: D. Non-warrantable = doesn't meet Fannie/Freddie standards; harder to finance.

Q 13.7 ·v1 Which of the following best describes a non-warrantable condominium?

- A. It fails to meet secondary mortgage market standards and presents financing challenges ✓**
- B. It qualifies for FHA loans but not conventional financing options
- C. It is subject to immediate condemnation by the Hawaii Department of Land and Natural Resources
- D. It must be sold as-is and cannot have any improvements made by the buyer

Answer: A. Non-warrantable condos don't meet Fannie Mae/Freddie Mac guidelines, making conventional financing difficult; they are not illegal or condemned, and FHA may also decline them.

Q 13.7 ·v2 A buyer is attempting to secure a conventional mortgage for a condo unit. The lender informs the buyer that the property is non-warrantable. What does this likely mean?

- A. The condominium project does not comply with investor guidelines and will be challenging to finance conventionally ✓**
- B. The unit cannot be transferred to the buyer without an attorney's sign-off
- C. The homeowners association has failed to maintain adequate reserve funds
- D. The seller must provide a full structural warranty on the unit

Answer: A. Non-warrantable status indicates the condo doesn't meet secondary market (Fannie/Freddie) standards, creating financing obstacles; it does not concern structural warranties, HOA reserves alone, or transfer requirements.

Q 13.7 ·v3 Why might a real estate licensee advise a prospective buyer that a condo unit may be difficult to sell in the future?

- A. Because the property taxes are assessed at a commercial rate instead of residential
- B. Because the unit is held in a trust and cannot be transferred to a new owner
- C. Because the property is located in a flood zone designated by FEMA

D. Because the condominium is classified as non-warrantable and will not meet conventional lending criteria ✓

Answer: D. Non-warrantable condos present financing obstacles for future buyers seeking conventional loans, limiting the buyer pool and marketability; flood zones, trust restrictions, and tax classifications are separate issues.

Q 13.7 ·v4 A condominium development fails to meet Fannie Mae and Freddie Mac approval standards. How would a real estate professional describe this property's financing impact?

- A. The property automatically becomes exempt from mortgage insurance requirements
- B. Buyers can finance through any institutional lender without additional scrutiny

C. Buyers will find it significantly more difficult to obtain conventional financing ✓

- D. Buyers will have no mortgage options and must purchase with cash

Answer: C. Non-warrantable condos (those not meeting Fannie/Freddie standards) create financing difficulties for conventional loans, though cash purchases and alternative financing may still be possible; they do not eliminate all mortgage options or exempt from insurance.

Q 13.7 ·v5 What is the primary financing challenge associated with a non-warrantable condominium in Hawaii?

- A. Lenders will refuse to originate any mortgage on the property
- B. The property cannot legally be transferred to a new owner

C. Conventional mortgage approval becomes more difficult and may require alternative lending sources ✓

- D. Insurance premiums are automatically doubled by all carriers

Answer: C. Non-warrantable condos don't meet GSE (Fannie Mae/Freddie Mac) standards, making conventional financing problematic; borrowers often must seek FHA, portfolio lenders, or cash alternatives.

Q 13.7 ·v6 A buyer interested in purchasing a condominium learns the property is classified as non-warrantable. What should the real estate agent explain about the implications?

- A. The HOA will require special approval before the sale can close

B. Obtaining traditional conventional financing will be significantly more complicated ✓

- C. The property's market value will automatically decrease by 20% or more

- D. The condo must be immediately reported to the Hawaii Real Estate Commission

Answer: B. Non-warrantable status means the condo fails to meet Fannie Mae or Freddie Mac underwriting guidelines, creating substantial obstacles for conventional loan approval without alternative lending paths.

Q 13.7 ·v7 Which statement accurately describes a non-warrantable condo unit?

- A. It automatically voids any existing property insurance coverage
- B. It violates Hawaii building codes and cannot receive occupancy permits
- C. It presents financing difficulties because it does not conform to government-sponsored enterprise standards ✓**
- D. It is prohibited from being listed on the Multiple Listing Service

Answer: C. Non-warrantable condos fail to meet Fannie Mae/Freddie Mac warrantable standards, restricting access to conventional financing and requiring buyers to explore non-traditional lending options.

Q 13.7 ·v8 When representing a buyer for a non-warrantable condominium purchase, what financing issue should an agent anticipate?

- A. Property tax assessments will automatically increase to compensate for the non-warrantable status
- B. The buyer may encounter substantial difficulty securing a conventional mortgage and should explore alternative lenders ✓**
- C. Cash-only transactions are the legal requirement for all non-warrantable properties
- D. All lenders are legally prohibited from offering any financing product for non-warrantable units

Answer: B. Non-warrantable condos do not meet GSE lending criteria, forcing buyers to seek portfolio lenders, FHA financing, or other non-conventional loan products instead of standard conventional mortgages.

Q 13.7 ·v9 When a condominium project fails to meet Fannie Mae and Freddie Mac underwriting guidelines, what is the primary consequence for prospective buyers?

- A. The homeowners association must disband and the unit reverts to the developer
- B. Obtaining mortgage financing through traditional lenders becomes significantly more challenging ✓**
- C. Local property tax assessments are immediately increased by a fixed percentage
- D. The property automatically loses all legal standing and cannot transfer ownership

Answer: B. Non-warrantable condos do not meet GSE (Government-Sponsored Enterprise) standards, making conventional financing difficult; buyers typically need cash, portfolio loans, or FHA/VA alternatives.

Q 13.8 A Hawaiian "hui" is:

- A. Traditional family co-ownership of land ✓**
- B. A government agency
- C. A real estate brokerage
- D. A type of HOA

Answer: A. Hui = traditional family-held co-ownership, often complex across generations.

Q 13.8 ·v1 Under Hawaiian property law, when land is held in a 'hui,' what does this arrangement typically represent?

- A. Ancestral family land held collectively across multiple generations ✓**
- B. A licensed real estate investment trust
- C. A condominium association governing structure
- D. A commercial property management company

Answer: A. Hui refers to traditional Hawaiian family co-ownership of land, often passed down through generations with shared rights and responsibilities among relatives.

Q 13.8 ·v2 Which of the following best describes a Hawaiian 'hui' in the context of real property?

- A. A private equity firm specializing in Hawaii real estate
- B. Traditional communal family ownership of land ✓**
- C. A mandatory homeowners' association for residential properties
- D. A state regulatory body overseeing real estate transactions

Answer: B. Hui is a traditional Hawaiian practice of family-based land co-ownership, where multiple family members hold concurrent interests in the same property.

Q 13.8 ·v3 A real estate licensee in Hawaii encounters a property title showing 'hui' ownership. What does this indicate about the property's ownership structure?

- A. The property is held in trust by a corporate fiduciary
- B. The property is subject to a ground lease arrangement
- C. Shared family ownership passed down through Hawaiian tradition ✓**
- D. The property is managed by a state-licensed HOA manager

Answer: C. Hui ownership indicates traditional Hawaiian family co-ownership, where the land is held collectively by family members, often creating complex title and succession issues.

Q 13.8 ·v4 When a Hawaii real estate agent reviews a deed containing 'hui' interests, they are looking at:

- A. Multiple family members holding concurrent ownership rights to land ✓**
- B. A property controlled by a government conservation agency
- C. A property subject to agricultural zoning restrictions
- D. A time-share or interval ownership arrangement

Answer: A. Hui represents traditional Hawaiian family-based co-ownership where several relatives share legal title and rights to the same parcel of land.

Q 13.8 ·v5 In Hawaiian real estate tradition, what does the term "hui" refer to?

- A. A licensed property management company
- B. A state regulatory board overseeing transactions
- C. Ancestral shared land ownership within a family lineage ✓**
- D. A condominium owners' association

Answer: C. Hui represents traditional Hawaiian family-based joint ownership of land, often involving multiple generations with inherited interests.

Q 13.8 ·v6 Which of the following best describes a Hawaiian hui in the context of property ownership?

- A. An incorporated commercial real estate syndicate
- B. A title insurance company specializing in Hawaiian properties
- C. A municipal zoning authority
- D. Family members holding collective title to ancestral land ✓**

Answer: D. A hui is fundamentally a family-based co-ownership structure where relatives maintain shared interests in land, typically passed down through generations.

Q 13.8 ·v7 A real estate agent in Hawaii encounters a property with multiple family members claiming ownership rights. This arrangement is most likely an example of:

- A. A timeshare arrangement
- B. A trust created by the state land board
- C. A conservation easement
- D. A traditional hui ownership structure ✓**

Answer: D. Hui arrangements create exactly this scenario—multiple family members hold co-ownership rights in the same parcel, often without formal legal separation of interests.

Q 13.8 ·v8 Under Hawaiian property customs, when several family members inherit equal interests in ancestral land, their arrangement is called a:

- A. Common interest community
- B. Joint venture partnership
- C. Cooperative association
- D. Hui ✓**

Answer: D. A hui is the traditional Hawaiian term for this type of family co-ownership, where inherited land interests pass collectively through family lineage.

Q 13.8 ·v9 In Hawaiian real estate and property law, a 'hui' is best described as:

- A. A county zoning classification for agricultural properties
- B. A formal property management company licensed by the Hawaii REC
- C. A mandatory condominium association required under Hawaii Revised Statutes Chapter 514A

D. An ancestral form of shared land ownership within families across multiple generations ✓

Answer: D. Hui refers to the traditional Hawaiian practice of family-based communal land ownership and management, often passed down through generations and involving multiple co-owners with complex inheritance rights.

Q 13.9 At end of a Hawaii leasehold, what happens to the building?

- A. Always belongs to leaseholder forever
- B. Federal government takes it

C. May revert to lessor without payment, depending on lease terms ✓

- D. It's automatically demolished

Answer: C. Reversion of improvements is lease-specific; many leases require reversion to lessor.

Q 13.9 ·v1 When a leasehold estate in Hawaii expires, who typically receives ownership of any structures built on the property?

- A. The leaseholder retains full ownership regardless of lease language
- B. The county assessor becomes the legal owner of the building
- C. The State of Hawaii claims all abandoned improvements

D. Ownership of improvements transfers to the lessor as specified in the lease document ✓

Answer: D. Upon lease expiration, improvements generally revert to the lessor unless the lease explicitly provides otherwise, making the lease terms controlling.

Q 13.9 ·v2 A Hawaii leaseholder invests heavily in constructing a building during their 30-year lease term. At lease termination, what is the most likely outcome for that building?

A. Its disposition depends entirely on provisions within the original lease agreement ✓

- B. It must be purchased by the state under the Leasehold Conversion Act
- C. It reverts to the lessor with no exceptions under Hawaii law
- D. It becomes the leaseholder's personal property to sell independently

Answer: A. Leasehold agreements vary; some require reversion to lessor, others allow leaseholder retention or compensation—the lease language determines the outcome.

Q 13.9 ·v3 In Hawaii real estate, what is the standard treatment of improvements and buildings at the conclusion of a leasehold term?

- A. Federal maritime law mandates transfer of all structures to the U.S. government
- B. Buildings are automatically seized by the Hawaii Department of Land and Natural Resources
- C. Buildings always remain the leaseholder's property as a reward for improvements

D. The lease document controls whether improvements revert to the lessor or remain with the leaseholder ✓

Answer: D. The lease agreement's specific terms govern what happens to improvements; reversion to lessor is common but not automatic without lease language requiring it.

Q 13.9 ·v4 A developer leases land in Hawaii and constructs commercial buildings on it. Upon expiration of the 50-year lease, the developer wants to know the fate of those buildings. What should the developer's attorney review?

- A. The developer's tax records to claim depreciation recovery
- B. Only the current market value, since buildings always stay with the developer
- C. Only Hawaii Revised Statutes, which mandate automatic developer ownership

D. The lease covenants and reversion clauses to determine if improvements pass to the lessor ✓

Answer: D. The specific lease document—particularly reversion and improvement clauses—determines the building's fate; this is not governed by statute alone but by contract.

Q 13.9 ·v5 When a Hawaii leasehold property reaches the end of its term, what is the most likely outcome regarding the structures on the land?

A. Control of the building reverts to the lessor as specified in the lease agreement ✓

- B. The State of Hawaii assumes ownership and manages the property
- C. Local county government mandates immediate removal of all structures
- D. The leaseholder retains full ownership of all improvements indefinitely

Answer: A. Leasehold terms typically include reversion clauses; improvements and buildings transfer back to the lessor upon lease expiration unless the lease explicitly states otherwise.

Q 13.9 ·v6 A leaseholder's Hawaii property is nearing the end of its lease term. Upon termination, what generally controls the fate of the building constructed on the leased land?

- A. County zoning ordinances determine whether the building must be removed
- B. A mandatory public auction held by the City and County government
- C. The specific provisions contained within the lease document ✓**
- D. Federal real property law automatically grants the leaseholder perpetual ownership

Answer: C. The lease contract itself governs what happens to improvements at lease end; reversion to the lessor is common but depends entirely on the lease terms negotiated between parties.

Q 13.9 ·v7 After a Hawaii leasehold expires, who typically gains control of the buildings and improvements on the property?

- A. The lessor, if the lease contains a reversion clause ✓**
- B. The federal government, which claims all expired leasehold properties
- C. A state-appointed property manager designated by the Hawaii REC
- D. The original leaseholder, who receives a deed for the improvements

Answer: A. Many Hawaii leases include reversion clauses requiring improvements to return to the lessor at lease termination, though some leases may provide compensation or alternative arrangements.

Q 13.9 ·v8 What is the primary factor determining what happens to structures on a Hawaii leasehold when the lease term concludes?

- A. Whether the leaseholder paid property taxes during the lease period
- B. The appraised value of the improvements at the time of termination
- C. The length of time the leaseholder occupied the property
- D. Lease agreement language and any reversion provisions it contains ✓**

Answer: D. Lease contracts contain specific terms governing the disposition of improvements; reversion to the lessor is a common provision but must be explicitly stated in the lease document.

Q 13.9 ·v9 When a Hawaii leasehold agreement expires, what typically determines the disposition of structures and improvements on the leased land?

- A. State law automatically grants ownership to the county assessor
- B. The leaseholder retains full ownership regardless of original lease conditions
- C. The specific provisions contained in the lease document itself ✓**
- D. All buildings must be removed by the leaseholder at their expense

Answer: C. Leasehold termination outcomes depend entirely on the lease agreement's terms; reversion to the lessor is common but not automatic without explicit lease language.

Q 13.10 AOA stands for:

- A. Association of All Owners
- B. Apartment Operations Authority Office
- C. Active Ownership Authority Organization
- D. Association of Apartment Owners ✓**

Answer: D. AOA = Association of Apartment Owners = Hawaii's condo HOA.

Q 13.10 ·v1 In Hawaii real estate, what does the acronym AOA refer to?

- A. Authorized Occupancy and Asset Organization
- B. Association of Authorized Occupants
- C. Apartment Owner Allocation Office

D. Association of Apartment Owners ✓

Answer: D. AOA is the Hawaii-specific term for the governing body of a condominium project, equivalent to a homeowners association on the mainland.

Q 13.10 ·v2 A property manager in Hawaii is hired to oversee a condominium complex. Which organization will they primarily work with to manage common area assessments and maintenance?

- A. The State Real Estate Commission
- B. The local county planning office

C. The Association of Apartment Owners ✓

- D. The Apartment Owners Management Board

Answer: C. The AOA (Association of Apartment Owners) is the governing entity responsible for condo operations, assessments, and common area management in Hawaii condominiums.

Q 13.10 ·v3 When a buyer purchases a unit in a Hawaii condominium, they automatically become a member of which organization?

A. The Association of Apartment Owners ✓

- B. The Apartment Operators Alliance
- C. The Hawaii Residential Owners Council
- D. The Active Ownership Authority

Answer: A. Condo unit ownership in Hawaii includes mandatory membership in the AOA, which governs shared property, collects assessments, and maintains common areas.

Q 13.10 ·v4 Which of the following best describes the role of an AOA in Hawaii's real estate market?

- A. An advisory board for apartment construction projects
- B. A state agency that licenses all property managers

C. A non-profit entity that governs condominium communities and collects owner assessments ✓

- D. A private company that enforces zoning regulations

Answer: C. The AOA (Association of Apartment Owners) functions as the self-governing body of a condominium, responsible for assessments, maintenance, and enforcement of bylaws.

Q 13.10 ·v5 In Hawaii real estate, when a condominium project is governed by an AOA, what does that acronym represent?

- A. Administrative Operations and Audit Office
- B. Authorized Oversight and Assessment Organization
- C. Association of Assessed Occupants

D. Association of Apartment Owners ✓

Answer: D. AOA is the Hawaii-specific term for a condominium owners' association, equivalent to an HOA on the mainland. It stands for Association of Apartment Owners.

Q 13.10 ·v6 A real estate agent explains to a buyer that the condominium complex is managed by an AOA. The buyer asks what this acronym means. The agent should respond:

A. It means the property is governed by an Association of Apartment Owners ✓

- B. It stands for an Active Operations Authority for Apartments
- C. It refers to an Apartment Ownership and Authority Organization
- D. It indicates an Automated Occupancy Assessment Office

Answer: A. AOA is Hawaii's statutory term for a condominium association, standing for Association of Apartment Owners, which manages common areas and enforces bylaws.

Q 13.10 ·v7 Which of the following best describes what an AOA is in Hawaii real estate practice?

A. The legal entity that represents all unit owners in a condominium project ✓

- B. A state board that regulates apartment building construction standards
- C. A voluntary association for owners seeking additional property insurance
- D. An authorization office that processes ownership transfers and assessments

Answer: A. AOA (Association of Apartment Owners) is the governing body for Hawaii condominiums, created under HRS Chapter 514A or 514B, with authority over common areas and member assessments.

Q 13.10 ·v8 A property manager in Hawaii is hired to oversee a multi-unit residential building where decisions are made by the AOA. What is the full meaning of AOA?

A. Assessment and Occupancy Authority Organization

B. Association of Apartment Owners ✓

- C. Administrative Operations and Assessment Authority
- D. Apartment Ownership and Authorization Office

Answer: B. AOA stands for Association of Apartment Owners and is the exclusive Hawaii term for a condominium owners' association that manages and controls common property.

Q 13.10 v9 In Hawaii, a condominium property owner belongs to an AOAO. What does this acronym represent?

- A. Apartment Oversight Authority Organization
- B. Association of Apartment Owners ✓**
- C. Authorized Owners and Agents Organization
- D. Association of All Occupants

Answer: B. AOA is the Hawaii-specific term for a condominium homeowners association, formally known as Association of Apartment Owners, governing shared building operations and common areas.

14

Hawaii: Property Management

State portion 3 PSI items 18 key concepts 9 base questions

HRS 521 (Residential Landlord-Tenant Code) controls every long-term rental in Hawaii.

CHAPTER OVERVIEW

HRS 521 (the Residential Landlord-Tenant Code) covers most residential rentals in Hawaii — residential premises rented for dwelling purposes. Key tenant protections: a written rental agreement is required for terms over a year (Statute of Frauds), security deposit is capped at one month's rent (with separate allowance for pet deposits), security deposit must be returned within 14 days of move-out with itemized deductions (or full refund), notice for periodic-tenancy termination, and prohibitions against retaliatory eviction.

Specific notice periods to memorize: 5-day notice for non-payment of rent (gives tenant 5 days to pay or vacate), 10-day notice for material breach that's curable (tenant has 10 days to cure or vacate), 28-day notice from tenant to terminate month-to-month (most common tenant exit), 45-day notice from landlord to terminate month-to-month or to raise rent, 5-day notice for landlord termination after non-payment notice expires, longer notices for fixed-term ends without breach.

Eviction (called "summary possession" in Hawaii) requires court order. Self-help eviction — changing locks, removing belongings, cutting utilities, threats to vacate — is illegal and creates statutory damages payable to the tenant (often actual damages plus a multiple plus attorney fees). Landlord must follow the formal process: serve proper notice → file complaint in district court → obtain judgment → engage sheriff for actual removal if tenant doesn't vacate.

Disclosures and required practices: lead-paint disclosure (federal, pre-1978 housing), security-deposit accounting at move-out, written notice of contact information for landlord/agent, written notice of rent increases (45 days for month-to-month). Landlord must maintain habitable premises (HRS 521

includes warranty of habitability), make timely repairs after notice from tenant, and comply with building codes. Tenant has rights including to repair-and-deduct in some situations and to terminate for landlord's material breach of habitability.

A property manager managing rental property for compensation must hold a Hawaii real estate broker license. Salespersons may assist under broker supervision but cannot independently manage. Trust account rules from HRS 467 + HAR Title 16 Chapter 99 apply rigorously to property managers: tenant security deposits must be held in a separate trust account, separate from the broker's operating funds, properly identified, reconciled regularly. Mishandling deposits is one of the top three license-revocation triggers.

Commercial property management (governed by lease contract more than statute) typically follows different rules. HRS 521 generally does not apply to commercial leases. Commercial tenants have less statutory protection and greater contract freedom. PMs handling commercial property should clearly distinguish residential from commercial accounting and disclosure practices.

Vacation rental and short-term rental (STR) regulation is increasingly significant. Each Hawaii county has its own STR rules — Honolulu has some of the strictest, requiring registration, limiting locations, and capping rental terms. Operating an unregistered STR can trigger fines and permit denial. Property managers must verify legal status before listing or managing any vacation rental.

KEY CONCEPTS & DEFINITIONS

HRS 521	Hawaii Residential Landlord-Tenant Code. Governs nearly all residential leases.
Rental agreement	Required in writing for terms over one year (Statute of Frauds).
Security deposit cap	One month's rent (separate pet deposit allowed for some pets).
Deposit return	14 days after move-out, with itemized deductions or full return.
Summary possession	Hawaii's formal eviction process. Court-supervised. Self-help eviction is illegal.
Self-help eviction	Changing locks, removing belongings, cutting utilities. Illegal under HRS 521.
Retaliatory eviction	Eviction in response to tenant's lawful action. Illegal under HRS 521.
5-day notice	Non-payment of rent. Tenant has 5 days to pay or vacate.
10-day notice	Material breach (curable). Tenant has 10 days to cure or vacate.
28-day notice	Standard tenant termination of periodic tenancy.
45-day notice	Landlord termination of periodic tenancy or rent increase.
Warranty of habitability	Implied warranty that premises are fit for human habitation.
Repair and deduct	Tenant remedy in some circumstances when landlord fails to repair.
Trust account (PM)	Tenant deposits held separately from broker funds. HRS 467 + admin rules apply.
Property management license	Compensated PM management requires Hawaii broker license.
Short-term rental (STR)	Rentals under set duration (varies by county). Heavy regulation.
Vacation rental	Specific license/permit required in many Hawaii counties.
Commercial lease	Generally outside HRS 521. Governed by lease contract.

QUESTION BANK — HAWAII: PROPERTY MANAGEMENT

Q 14.1 A landlord must return the security deposit within how many days of move-out?

A. 14 ✓

B. 7

C. 30

D. 60

Answer: A. HRS 521 — 14 days, with itemized deductions if any.

Q 14.1 ·v1 Under Hawaii Revised Statutes, if a tenant vacates a rental unit, the property owner is required to refund any security deposit by what deadline?

- A. Within 10 days if the tenant provides a forwarding address
- B. Within 21 days, unless written notice is provided
- C. Within 14 days, with an itemized accounting of any deductions ✓**
- D. Within 30 days, regardless of any damages claimed

Answer: C. HRS 521-44 requires landlords to return security deposits within 14 days of move-out, and if deductions are made, an itemized statement must accompany the return.

Q 14.1 ·v2 A tenant has just moved out of a residential lease in Hawaii. The landlord is holding the security deposit and plans to make deductions for cleaning and minor repairs. What is the maximum timeframe for the landlord to return the remaining balance?

- A. 30 days from the date the unit is inspected
- B. 60 days if repairs exceed \$500
- C. 45 days from the date the unit is re-rented
- D. 14 days from move-out, along with a detailed list of deductions ✓**

Answer: D. Hawaii law mandates a 14-day return period for security deposits measured from the tenant's move-out date, and any deductions must be itemized and documented.

Q 14.1 ·v3 When must a Hawaii landlord deliver the security deposit refund to a former tenant after the tenant has vacated the premises?

- A. Within 21 days if the tenant has not provided a forwarding address
- B. Immediately upon move-out if no damages are claimed
- C. Within 14 days, with written justification for any amounts withheld ✓**
- D. Within 60 days or within 30 days of lease termination, whichever is longer

Answer: C. HRS 521 establishes a 14-day deadline for security deposit return from move-out, and landlords must provide written itemization if any deductions are made.

Q 14.1 ·v4 A property manager in Hawaii is processing security deposit returns for three units that were vacated this month. What is the statutory timeframe for returning these deposits to comply with state law?

- A. Within one month if the property manager is coordinating repairs
- B. 14 calendar days from the tenant's move-out date, with itemized deductions if applicable ✓**
- C. 7 business days from when the landlord approves the move-out inspection
- D. 30 days from the date the lease officially terminates

Answer: B. HRS 521-44 specifies that security deposits must be returned within 14 calendar days of move-out, and any deductions must be itemized and provided to the tenant.

Q 14.1 ·v5 Under Hawaii Revised Statutes Chapter 521, what is the maximum timeframe a property owner has to refund a tenant's security deposit following the tenant's vacating the rental unit?

- A. Within 21 days, with written notice of any deductions
- B. Within 45 days, provided the landlord submits a formal inspection report
- C. Within 14 days, with an itemized accounting of deductions if applicable ✓**
- D. Within 30 days, regardless of whether deductions are claimed

Answer: C. HRS 521-44 requires landlords to return security deposits within 14 days of move-out, and if deductions are made, they must provide an itemized statement of those deductions.

Q 14.1 ·v6 A tenant in Honolulu moves out of an apartment on the first of the month. By what date must the landlord return the full security deposit or provide a detailed accounting of deductions?

- A. By the 8th of the same month
- B. By the 15th of the same month ✓**
- C. By the end of the following month
- D. By the 21st of the same month

Answer: B. Hawaii law (HRS 521) establishes a 14-day deadline from move-out for return of security deposits; if the deposit cannot be fully returned, the landlord must provide an itemized breakdown of deductions within this period.

Q 14.1 ·v7 If a Hawaii rental property manager receives a move-out notice from a tenant, what is the statutory deadline for either returning the security deposit in full or submitting written documentation of any claimed deductions?

- A. Two weeks from the date of move-out ✓**
- B. One full month from the lease termination date
- C. Within 30 calendar days, with optional supplemental notice
- D. 10 business days after the tenant vacates

Answer: A. HRS 521-44 mandates that landlords return security deposits within 14 days (two weeks) of move-out; any deductions must be itemized and documented within this same 14-day window.

Q 14.1 ·v8 A landlord in Hawaii intends to make deductions from a tenant's security deposit for damages. What is the deadline for returning the remaining balance and providing the tenant with an itemized list of deductions?

- A. 7 days from move-out
- B. 45 days from move-out, pending inspection completion
- C. 60 days from move-out, pending insurance claim resolution
- D. 14 days from move-out ✓**

Answer: D. Under HRS 521, landlords must return the security deposit (or remaining balance after itemized deductions) and provide written documentation of any deductions within 14 days of the tenant's move-out date.

Q 14.1 ·v9 Under Hawaii Revised Statutes Chapter 521, if a tenant vacates a rental unit, by what deadline must the landlord deliver the security deposit refund or provide a written accounting of deductions?

- A. Within 10 business days of the move-out date
- B. Within 21 days of the move-out date
- C. Within 14 days of the move-out date ✓**
- D. Within 30 days of the move-out date

Answer: C. HRS 521-44 requires landlords to return the security deposit within 14 days, or provide an itemized statement of any lawful deductions within that timeframe.

Q 14.2 The maximum security deposit allowed in Hawaii is:

- A. 1/2 month's rent
- B. 3 months' rent
- C. 2 months' rent
- D. 1 month's rent ✓**

Answer: D. Capped at one month's rent (separate pet deposit allowed).

Q 14.2 ·v1 Under Hawaii rental law, what is the legal ceiling for a landlord to collect as a security deposit from a tenant?

- A. Whatever amount the lease agreement specifies
- B. No more than one month's rent ✓**
- C. Up to two months' rent plus a pet fee
- D. Up to 45 days' rent

Answer: B. Hawaii law caps security deposits at one month's rent, with pet deposits treated separately from this limit.

Q 14.2 ·v2 A landlord in Honolulu is preparing a lease and wants to know the maximum security deposit permissible. What amount should the rental agreement reflect?

- A. 1 month's rent as the statutory maximum ✓**
- B. 2 months' rent if the unit is furnished
- C. 1/2 month's rent plus an additional damage deposit
- D. 3 months' rent to cover potential damages

Answer: A. Hawaii's statutory limit for security deposits is one month's rent regardless of furnishings or property condition.

Q 14.2 ·v3 If a Hawaii rental property has an annual rent of \$24,000, what is the maximum security deposit a landlord may lawfully retain at lease signing?

- A. \$6,000
- B. \$2,000 ✓**
- C. \$4,000
- D. \$2,500

Answer: B. One month's rent is the legal maximum; $\$24,000 \div 12 \text{ months} = \$2,000$ maximum security deposit allowed.

Q 14.2 ·v4 Which statement correctly describes Hawaii's security deposit regulations for residential leases?

- A. The security deposit limit is one month's rent, though pet deposits can be collected separately ✓**
- B. Security deposits are unlimited if specified in a written lease agreement
- C. Security deposits may equal up to 3 months' rent in high-value properties
- D. Landlords may collect 1.5 months' rent as a standard security deposit

Answer: A. Hawaii law strictly limits security deposits to one month's rent, with pet deposits as a separate permissible charge.

Q 14.2 ·v5 Under Hawaii rental law, what is the legal limit on the initial security deposit a landlord may collect from a tenant?

- A. Not to exceed one month's rent ✓**
- B. Whatever amount the lease agreement specifies
- C. Two months' rent if the unit is furnished
- D. Up to 60 days' rent plus a pet fee

Answer: A. Hawaii law caps security deposits at one month's rent; any additional deposits for pets must be handled separately and are not counted toward this limit.

Q 14.2 ·v6 A property manager in Hawaii is preparing a lease for a residential rental unit. How much can the landlord legally require as a security deposit at move-in?

- A. Two months' rent for a multi-year lease
- B. One month's rent maximum ✓**
- C. Three months' rent if the property is in a high-demand area
- D. Half a month's rent plus a damage reserve

Answer: B. Hawaii REC regulations limit security deposits to one month's rent regardless of location, lease term, or market conditions.

Q 14.2 ·v7 When a tenant applies for a rental property in Hawaii, the landlord may collect a security deposit not to exceed:

- A. One month of rent plus an additional pet deposit fee
- B. Two full months of rent
- C. 45 days of monthly rent

D. One full month of rent ✓

Answer: D. The statutory cap is one month's rent; pet deposits are separate and allowed in addition, but the base security deposit is limited to one month.

Q 14.2 ·v8 Which statement correctly describes Hawaii's security deposit requirements for residential leases?

- A. Deposits can total up to three months' rent when combined with all optional fees
- B. The maximum deposit is limited to one month's rent ✓**
- C. Hawaii allows unlimited deposits if documented in writing by both parties
- D. Deposits may be increased to two months' rent if the property has a pool or ocean view

Answer: B. Hawaii law strictly caps the security deposit at one month's rent; other terms or conditions cannot override this statutory maximum.

Q 14.2 ·v9 Under Hawaii residential tenancy law, what is the statutory limit a landlord may collect as a security deposit from a tenant at lease signing?

- A. Two months' rent if the property is furnished
- B. Up to 60 days' rent plus a pet deposit
- C. Not to exceed one month's rent, with pet deposits handled separately ✓**
- D. A maximum of 45 days' rent regardless of lease duration

Answer: C. Hawaii law caps residential security deposits at one month's rent; any pet deposit is a separate, additional charge and does not count toward this limit.

Q 14.3 Self-help eviction (changing locks) is:

- A. Allowed in Hawaii
- B. Allowed after 5-day notice
- C. Allowed only for non-payment
- D. Illegal — must use summary possession ✓**

Answer: D. Court order required; self-help is illegal.

Q 14.3 ·v1 A property manager in Honolulu wants to remove a tenant for lease violation. Which action is prohibited under Hawaii law?

- A. Obtaining a court order before lock-out
- B. Providing proper notice before eviction proceedings
- C. Filing for summary possession in District Court

D. Changing the locks without judicial process ✓

Answer: D. Self-help eviction via lock-out is illegal in Hawaii; landlords must obtain a court order through formal summary possession proceedings.

Q 14.3 ·v2 A landlord discovers a tenant has abandoned the property. The landlord considers changing the locks immediately. Is this permitted in Hawaii?

- A. Yes, if the rent is 30 days past due
- B. No, a court order must be obtained first ✓
- C. Yes, if the property appears vacant
- D. Yes, after written notice only

Answer: B. Hawaii law prohibits self-help eviction; landlords must pursue judicial eviction through summary possession regardless of circumstances.

Q 14.3 ·v3 Which of the following best describes the legal requirement for removing a tenant from a residential property in Hawaii?

- A. Lock-out is permitted for serious breaches
- B. Landlord may use self-help remedies after reasonable notice
- C. Verbal notice followed by immediate removal is acceptable

D. Summary possession action in court is mandatory ✓

Answer: D. Hawaii requires landlords to use the judicial process of summary possession; self-help eviction methods are strictly prohibited.

Q 14.3 ·v4 A tenant stops paying rent. The landlord decides to remove the tenant's belongings and change the locks to regain possession. Under Hawaii law, this is:

- A. Lawful if documented in writing
- B. Permitted only after 10 days of non-payment
- C. Acceptable when combined with proper notice

D. Illegal and subjects the landlord to liability ✓

Answer: D. Self-help eviction through lock-out or removal of belongings is illegal in Hawaii; the landlord must obtain a court order through summary possession.

Q 14.3 ·v5 A landlord in Hawaii wants to remove a tenant immediately by installing new locks and changing the door codes. What is the legal status of this action?

- A. Permitted if the landlord provides written notice 24 hours in advance
- B. Valid as long as the landlord compensates the tenant for inconvenience
- C. Allowed only when the tenant has violated lease terms

D. Prohibited; the landlord must obtain a court order through summary possession proceedings ✓

Answer: D. Hawaii law prohibits self-help eviction; landlords must follow judicial eviction procedures and obtain a court order for summary possession to legally remove a tenant.

Q 14.3 ·v6 Which statement correctly describes Hawaii's position on landlords using self-help remedies such as removing a tenant's belongings or locking them out?

- A. Self-help remedies are permitted without court involvement in cases of lease violations

B. Self-help eviction methods are illegal; formal summary possession through the courts is required ✓

- C. Self-help is legal if conducted during business hours
- D. Self-help is allowed if the tenant is more than 30 days behind on rent

Answer: B. Hawaii law strictly prohibits self-help eviction and requires landlords to pursue the formal summary possession judicial process to legally evict a tenant.

Q 14.3 ·v7 A landlord in Honolulu changes the locks on a rental unit to force out a non-paying tenant. Is this action lawful in Hawaii?

- A. Yes, if the landlord has given the tenant a 3-day notice to vacate
- B. Yes, provided the landlord files for eviction within 10 days of the lock change

C. No; this is an illegal self-help eviction and violates Hawaii landlord-tenant law ✓

- D. Yes, because non-payment of rent justifies immediate self-help removal

Answer: C. Changing locks without a court order is illegal self-help eviction in Hawaii; landlords must use the legal summary possession process through the courts regardless of the reason for eviction.

Q 14.3 ·v8 Under Hawaii real estate law, can a property manager lawfully exclude a tenant by removing locks and personal property without going to court?

- A. Yes, after providing a 5-day cure period
- B. Yes, in cases where the lease contains a self-help eviction clause

C. No; summary possession through judicial proceedings is the only legal eviction method in Hawaii ✓

- D. Yes, if the property manager acts on behalf of the owner

Answer: C. Hawaii law prohibits all forms of self-help eviction, including by property managers; courts must order the eviction through summary possession proceedings.

Q 14.3 ·v9 A Hawaii property manager discovers a tenant has abandoned the rental unit. The manager changes the locks and removes the tenant's belongings to regain possession. This action is:

- A. Permissible under Hawaii's self-help remedy doctrine
- B. A violation of law requiring court-ordered summary possession instead ✓**
- C. Allowed as long as written notice was provided beforehand
- D. Valid only if the tenant owes rent

Answer: B. Hawaii law prohibits self-help eviction regardless of circumstances; landlords must obtain a court judgment through summary possession proceedings to lawfully regain possession.

Q 14.4 For a month-to-month rent increase, landlord must give:

- A. 60 days notice
- B. 45 days notice ✓**
- C. 14 days notice
- D. 28 days notice

Answer: B. 45 days advance written notice required.

Q 14.4 ·v1 A landlord in Hawaii intends to increase rent on a month-to-month tenancy. What is the minimum notice period required before the increase takes effect?

- A. 90 days written notice
- B. 30 days written notice
- C. 60 days written notice
- D. 45 days written notice ✓**

Answer: D. Hawaii law requires 45 days advance written notice for rent increases on month-to-month leases.

Q 14.4 ·v2 If a property manager needs to raise rent on a periodic tenancy (month-to-month), how much advance notice must be provided?

- A. 45 days in writing ✓**
- B. 14 days in writing
- C. 21 days in writing
- D. 60 days orally or in writing

Answer: A. Month-to-month tenancies in Hawaii require 45 days advance written notice before a rent increase becomes effective.

Q 14.4 ·v3 A landlord wants to implement a rent increase on a month-to-month lease. What notice requirement applies?

- A. Written notice 7 days before the next rental period
- B. Oral notification 30 days prior
- C. Written notice 28 days before the effective date

D. Written notice 45 days before the increase takes effect ✓

Answer: D. Hawaii requires 45 days advance written notice for any rent increase on month-to-month rental agreements.

Q 14.4 ·v4 Under Hawaii real estate law, when a landlord modifies the rental rate for a month-to-month tenancy, the notice requirement is:

- A. 3 weeks advance written notice
- B. 1 month oral notice followed by written confirmation
- C. 2 weeks written notice before the next rent due date

D. 45 days advance written notice ✓

Answer: D. Hawaii law mandates 45 days advance written notice as the minimum period for rent increases on month-to-month leases.

Q 14.4 ·v5 Under Hawaii law, how much advance notice must a landlord provide before implementing a rent increase on a month-to-month tenancy?

- A. 21 days written notice
- B. 30 days written notice
- C. 60 days written notice

D. 45 days written notice ✓

Answer: D. Hawaii law requires 45 days advance written notice for any rent increase on a month-to-month lease agreement.

Q 14.4 ·v6 A landlord in Hawaii wants to raise rent on a tenant with a month-to-month agreement. What notice period applies?

- A. 90 calendar days
- B. 10 business days
- C. 45 calendar days ✓**
- D. 30 calendar days

Answer: C. 45 days advance written notice is the statutory requirement for rent increases on month-to-month tenancies in Hawaii.

Q 14.4 ·v7 Which notice requirement applies when a landlord seeks to increase monthly rent on a periodic tenancy in Hawaii?

- A. 14 days verbal notice allowed
- B. 60 days notice with 30-day cure period
- C. 45 days written notice required ✓**
- D. 30 days notice to vacate required

Answer: C. Hawaii landlord-tenant law mandates 45 days advance written notice before any rent increase takes effect on a month-to-month lease.

Q 14.4 ·v8 A property manager represents a landlord with a month-to-month tenant. Before notifying the tenant of a rent increase, how far in advance must written notice be delivered?

- A. At least 28 days before the increase effective date
- B. At least 45 days before the increase effective date ✓**
- C. At least 14 days before the increase effective date
- D. At least 60 days before the increase effective date

Answer: B. 45 days advance written notice is required by Hawaii law before a rent increase on a month-to-month tenancy can become effective.

Q 14.4 ·v9 A landlord in Hawaii wishes to modify the rental rate on a month-to-month tenancy. What advance notice period must be provided to the tenant in writing?

- A. 45 days prior to the effective date ✓**
- B. 30 days prior to the effective date
- C. 60 days prior to the effective date
- D. 21 days prior to the effective date

Answer: A. Hawaii law requires 45 days advance written notice for any rent increase on a month-to-month lease. This longer notice period protects tenants from sudden rent changes.

Q 14.5 Hawaii's formal eviction process is called:

- A. Suit for ejectment
- B. Summary possession ✓**
- C. Forcible detainer
- D. Quiet title

Answer: B. Hawaii term is "summary possession."

Q 14.5 ·v1 When a Hawaii landlord needs to remove a tenant through the courts, the legal proceeding is formally known as:

- A. Eviction in ejectment
- B. Distress for rent
- C. Forcible detainer action

D. Summary possession ✓

Answer: D. Hawaii's statutory term for the formal court process to remove a tenant is 'summary possession,' not the terms used in other jurisdictions.

Q 14.5 ·v2 Which of the following is the correct Hawaii legal terminology for a formal landlord-initiated removal action against a tenant?

- A. Forcible detainer
- B. Summary possession ✓**
- C. Replevin proceeding
- D. Suit for ejectment

Answer: B. Hawaii law specifically uses the term 'summary possession' to describe the formal eviction process, distinguishing it from mainland jurisdictions that use other terminology.

Q 14.5 ·v3 A landlord in Hawaii who seeks court authorization to remove a non-paying tenant would file a:

- A. Forcible detainer complaint
- B. Quiet title action
- C. Summary possession action ✓**
- D. Partition suit

Answer: C. 'Summary possession' is Hawaii's official court procedure for evicting a tenant, regardless of the cause (non-payment, lease violation, holdover, etc.).

Q 14.5 ·v4 Under Hawaii law, the proper judicial remedy available to a property owner to regain possession of property from an occupant is called:

- A. Suit for ejectment
- B. Summary possession ✓**
- C. Action for unlawful detainer
- D. Forcible detainer

Answer: B. Hawaii uses the specific statutory term 'summary possession' for its formal eviction process, which is the state's designated procedure under Hawaii Revised Statutes.

Q 14.5 ·v5 Under Hawaii law, when a landlord seeks to remove a tenant through the court system, the legal action is known as:

- A. Summary possession ✓**
- B. Forcible detainer
- C. Unlawful detainer action
- D. Suit for ejectment

Answer: A. Hawaii's statutory eviction procedure is termed "summary possession," which is the formal court process for removing a tenant from rental property.

Q 14.5 ·v6 A Hawaii property owner who needs judicial relief to recover possession of a rental unit from a non-paying tenant would file an action for:

- A. Declaratory judgment
- B. Quiet title action
- C. Forcible detainer
- D. Summary possession ✓**

Answer: D. Hawaii uses the term "summary possession" to describe the statutory eviction remedy available to landlords seeking court-ordered removal of tenants.

Q 14.5 ·v7 Which of the following correctly identifies Hawaii's primary statutory mechanism for evicting a tenant through the courts?

- A. Suit for ejectment
- B. Forcible detainer
- C. Replevin action
- D. Summary possession ✓**

Answer: D. Hawaii's formal eviction procedure is called "summary possession," which is the established legal term used in Hawaii eviction statutes and court practice.

Q 14.5 ·v8 A landlord in Hawaii who wishes to initiate a court-ordered eviction of a defaulting tenant would pursue what type of legal action?

- A. Unlawful detainer
- B. Summary possession ✓**
- C. Forcible detainer
- D. Suit for specific performance

Answer: B. "Summary possession" is Hawaii's specific legal term for the formal eviction proceeding that allows a landlord to recover rental property through judicial action.

Q 14.5 ·v9 Which of the following legal actions is the proper Hawaii term for initiating a landlord's formal court proceeding to remove a tenant?

- A. Unlawful detainer action
- B. Suit for ejectment
- C. Summary possession ✓**
- D. Forcible detainer

Answer: C. Hawaii uses the term "summary possession" as the formal eviction procedure under Hawaii law, rather than the terms used in other states.

Q 14.6 A tenant must give what notice to terminate month-to-month?

- A. 7 days
- B. 45 days
- C. 28 days ✓**
- D. 14 days

Answer: C. 28-day tenant notice for month-to-month termination.

Q 14.6 ·v1 Under Hawaii law, how many days advance notice must a month-to-month tenant provide before ending their tenancy?

- A. 14 days prior to the end of any rental period
- B. 28 days prior to the end of any rental period ✓**
- C. 21 days prior to the end of any rental period
- D. 30 days prior to the end of any rental period

Answer: B. Hawaii requires a month-to-month tenant to provide 28 days' written notice before the end of any rental period to lawfully terminate the lease.

Q 14.6 ·v2 If a residential tenant on a month-to-month lease wishes to vacate the property, what is the minimum notice period required by Hawaii law?

- A. 60 days from the date of written notice
- B. Two weeks before lease expiration
- C. Four weeks before the end of the current rental month ✓**
- D. 10 days before the first of the month

Answer: C. A month-to-month tenant in Hawaii must give 28 days' notice (four weeks) before the end of the current rental period to properly terminate the tenancy.

Q 14.6 ·v3 A property manager receives written notice from a month-to-month tenant on the 5th of the month. If the tenant complies with Hawaii notice requirements, what is the earliest the tenancy can lawfully end?

- A. The last day of the current month
- B. The last day of the following month ✓**
- C. 14 days from the date of notice
- D. 45 days from the date of notice

Answer: B. Since Hawaii requires 28 days' notice before the end of any rental period, notice given on the 5th of one month allows termination at the end of the following month (more than 28 days later).

Q 14.6 ·v4 Which statement correctly describes the notice requirement for a tenant seeking to terminate a month-to-month tenancy in Hawaii?

- A. The tenant must provide at least two weeks' notice, which may be given at any time during the month
- B. The tenant must provide notice 45 days before the intended move-out date
- C. The tenant may terminate immediately upon oral notice to the landlord
- D. The tenant must provide at least 28 days' notice before the end of the rental period ✓**

Answer: D. Hawaii law mandates that a month-to-month tenant provide written notice of at least 28 days before the end of any rental period to effect a lawful termination.

Q 14.6 ·v5 Under Hawaii law, how much advance notice must a month-to-month tenant provide to the landlord when ending the tenancy?

- A. 14 days prior to the end of the rental period
- B. 21 days prior to the end of the rental period
- C. 28 days prior to the end of the rental period ✓**
- D. 30 days prior to the end of the rental period

Answer: C. Hawaii law requires a month-to-month tenant to provide 28 days' written notice to terminate the lease, which must be given prior to the end of the rental period.

Q 14.6 ·v6 A landlord receives notice from a month-to-month tenant on the 1st of the month requesting to vacate. What is the minimum notice period the tenant must provide?

- A. The tenant must vacate by the 15th of that month
- B. The tenant must vacate by the 29th of that month ✓**
- C. The tenant must vacate by the last day of the following month
- D. The tenant must vacate within 14 days of notice

Answer: B. A month-to-month tenant must give at least 28 days' written notice (HRS §521-71(a)). Notice on the 1st permits termination about the 29th of the same month.

Q 14.6 · v7 Which statement accurately describes the notice requirement for terminating a month-to-month residential lease in Hawaii?

A. The tenant must provide at least 28 days' written notice ✓

- B. A verbal notice of 30 days is sufficient for termination
- C. The tenant may terminate immediately if 14 days' written notice is given
- D. Either party may terminate with 7 days' written notice

Answer: A. Hawaii law mandates that a month-to-month tenant provide at least 28 days' written notice before the tenancy will terminate.

Q 14.6 · v8 A property manager in Hawaii is managing a month-to-month rental property. A tenant submits written notice on June 1st to end the tenancy. Assuming no special lease provisions, when is the earliest date the tenant's occupancy will terminate?

A. June 29 ✓

- B. July 1
- C. June 30
- D. June 14

Answer: A. A month-to-month tenant must give at least 28 days' notice (HRS §521-71(a)). Notice given June 1 permits the earliest termination on June 29 (June 1 + 28 days).

Q 14.6 · v9 Under Hawaii law, how many days' written notice must a month-to-month tenant provide to their landlord to end the tenancy?

- A. 14 days before the end of the rental period
- B. 21 days before the end of the rental period
- C. 28 days before the end of the rental period ✓**
- D. 30 days before the end of the rental period

Answer: C. Hawaii law requires a month-to-month tenant to provide 28 days' written notice to terminate the lease; this is the statutory requirement for tenancy termination in month-to-month agreements.

Q 14.7 Compensated property management requires:

A. A broker license ✓

- B. A general business license only
- C. No license
- D. A salesperson license only

Answer: A. Property management for compensation requires a broker license in Hawaii.

Q 14.7 ·v1 A real estate professional who manages rental properties for a fee in Hawaii must hold what type of license?

- A. A salesperson license with broker supervision
- B. A property management certificate
- C. A broker license ✓**
- D. A general contractor license

Answer: C. Property management for compensation requires a broker license in Hawaii; a salesperson license is insufficient and no certificate alone qualifies.

Q 14.7 ·v2 Which licensing requirement applies to an individual who receives payment to manage residential rental units?

- A. Broker license only ✓**
- B. Real estate transaction coordinator certification
- C. A notary public endorsement
- D. Salesperson license under a broker

Answer: A. Hawaii law requires a broker license to perform property management services for compensation; salesperson licenses do not authorize independent property management.

Q 14.7 ·v3 An individual acting as a paid property manager in Hawaii is required to possess:

- A. A real estate sales license only
- B. A business tax permit
- C. A broker license ✓**
- D. A condominium management license

Answer: C. Compensated property management in Hawaii requires a broker license; other credentials like sales licenses or business permits do not satisfy the statutory requirement.

Q 14.7 ·v4 To legally charge fees for managing another person's real property in Hawaii, a licensee must have:

- A. A broker license ✓**
- B. An affiliation with a property management association
- C. A salesperson license issued by the Hawaii Real Estate Commission
- D. A trust account authorization only

Answer: A. Property management for compensation is a broker function in Hawaii and cannot be performed under a salesperson license or through association affiliation alone.

Q 14.7 ·v5 A real estate professional accepts a fee to manage rental properties on behalf of an owner. What licensing requirement must be satisfied?

- A. A salesperson license with property management endorsement
- B. No real estate license if the manager is an employee of the owner
- C. Registration with the Hawaii Department of Commerce and Consumer Affairs only

D. A broker license ✓

Answer: D. Property management services provided for compensation require a broker license under Hawaii real estate law, regardless of employment status or other registrations.

Q 14.7 ·v6 Which licensing credential is mandatory for an individual who charges fees to oversee tenant relations, collect rents, and maintain rental properties?

- A. Salesperson license
- B. Broker license ✓**
- C. Business tax license only
- D. Property manager certificate from the Hawaii Real Estate Commission

Answer: B. In Hawaii, any person receiving compensation for property management must hold a broker license; a salesperson license or business tax license alone is insufficient.

Q 14.7 ·v7 A property owner hires a professional to handle leasing, maintenance coordination, and rent collection for multiple residential units in exchange for a monthly management fee. What is required?

- A. No real estate license if the owner provides written authorization
- B. A broker license ✓**
- C. An escrow account license
- D. A general real estate salesperson license

Answer: B. Property management for compensation in Hawaii requires a broker license; written owner authorization does not exempt the manager from licensing requirements.

Q 14.7 ·v8 Under Hawaii real estate law, if a property manager receives compensation for managing residential or commercial properties, which licensing requirement applies?

- A. Broker license only ✓**
- B. Salesperson license only
- C. Either a broker or salesperson license at the manager's discretion
- D. No real estate license is required if the manager is bonded

Answer: A. Hawaii REC regulations mandate that paid property managers must hold a broker license; a salesperson license or bonding does not satisfy this requirement.

Q 14.7 ·v9 A property manager in Hawaii who receives a fee for managing rental properties on behalf of an owner must hold which type of license?

- A. Only a general business permit from the city
- B. A salesperson license with property management endorsement
- C. No real estate license if bonded and insured

D. A broker license ✓

Answer: D. Hawaii law requires a broker license to engage in property management for compensation; a salesperson license is insufficient, and general business permits do not satisfy real estate licensing requirements.

Q 14.8 A 10-day notice is for:

- A. Annual inspection
- B. Lease end
- C. Non-payment of rent ✓**
- D. Routine maintenance

Answer: C. 10-day = non-payment of rent.

Q 14.8 ·v1 Under Hawaii residential tenancy law, when a landlord issues a 10-day notice to the tenant, what breach is being addressed?

- A. Violation of lease terms regarding occupancy limits
- B. Unauthorized alterations to the rental unit
- C. Failure to pay rent when due ✓**
- D. Failure to maintain the premises in habitable condition

Answer: C. A 10-day notice in Hawaii is specifically for non-payment of rent, giving the tenant 10 days to cure or vacate before eviction proceedings begin.

Q 14.8 ·v2 A landlord in Hawaii provides written notice giving a tenant 10 days to remedy the situation or face lease termination. Which tenant default triggered this notice?

- A. Late submission of a lease renewal application
- B. Request for a lease modification
- C. Complaint about unit temperature control
- D. Delinquent rental payment ✓**

Answer: D. The 10-day cure-or-quit notice is the statutory notice period in Hawaii for non-payment of rent, allowing the tenant 10 days to pay before eviction action.

Q 14.8 ·v3 Which of the following tenant violations requires a landlord to serve exactly 10 days' written notice under Hawaii law?

- A. Rent arrearages ✓**
- B. Pest infestation discovery
- C. Lease expiration
- D. Month-to-month termination

Answer: A. Hawaii law mandates a 10-day notice for non-payment of rent, establishing the minimum cure period before a landlord may proceed with eviction.

Q 14.8 ·v4 In Hawaii, a landlord sends a tenant a 10-day notice to cure or quit. The tenant most likely failed to:

- A. Provide proper notice of lease termination intent
- B. Disclose a roommate moving into the unit
- C. Complete a required annual safety inspection
- D. Make timely rent payment ✓**

Answer: D. The 10-day notice period in Hawaii is statutory for non-payment of rent; it is the landlord's first formal step in the eviction process for this specific breach.

Q 14.8 ·v5 Under Hawaii residential tenancy law, when a landlord issues a notice requiring the tenant to cure or quit within 10 days, the most common reason is:

- A. Failure to remit monthly rent payment ✓**
- B. Advance notice of lease expiration
- C. Scheduling a routine property walkthrough
- D. Failure to maintain the property's exterior appearance

Answer: A. A 10-day cure or quit notice in Hawaii is typically used for non-payment of rent, giving the tenant 10 days to pay or vacate.

Q 14.8 ·v6 A landlord serves a tenant with a 10-day notice. Which of the following is the primary breach being addressed?

- A. Required annual safety inspection
- B. Delinquent rent obligation ✓**
- C. Damage from normal wear and tear
- D. Unauthorized alterations to the leased premises

Answer: B. The 10-day notice period in Hawaii residential tenancy is the standard cure-or-quit timeframe for rent default situations.

Q 14.8 ·v7 If a tenant receives a 10-day notice to cure or quit, what tenant conduct most likely triggered it?

- A. Not paying rent on the due date ✓**
- B. Keeping a pet without written permission
- C. Providing 30 days' notice of intent to move
- D. Requesting repairs to plumbing

Answer: A. The 10-day notice is the statutory period given to tenants to remedy rent arrearages before eviction proceedings can commence.

Q 14.8 ·v8 A Hawaii property manager issues a 10-day notice to a residential tenant. This action is most commonly associated with:

- A. Tenant's lease term reaching its natural expiration date
- B. Landlord's request for voluntary lease renewal discussion
- C. Tenant's failure to meet a rental payment obligation ✓**
- D. Landlord's need to conduct a mandatory annual inspection

Answer: C. Under Hawaii law, a 10-day notice is the required cure-or-quit period for non-payment of rent before formal eviction action.

Q 14.8 ·v9 Under Hawaii rental law, when a landlord provides a tenant with a 10-day notice, what is the landlord most likely addressing?

- A. Performance of necessary repairs to common areas
- B. Termination of the lease agreement at expiration
- C. Scheduling a required annual property inspection
- D. Failure to pay the monthly rent obligation ✓**

Answer: D. A 10-day notice in Hawaii rental law is the statutory notice period for non-payment of rent, giving the tenant 10 days to cure the delinquency before eviction proceedings may commence.

Q 14.9 Tenant security deposits must be held:

- A. By tenant's bank
- B. In safe deposit box
- C. In a separate trust account ✓**
- D. In broker operating account

Answer: C. Trust account separate from broker funds.

Q 14.9 ·v1 When a real estate broker receives earnest money from a buyer, where must these funds be deposited?

- A. In a segregated trust account maintained separately from broker funds ✓**
- B. In a money market fund owned by the brokerage
- C. In the buyer's personal savings account
- D. In the broker's general operating account for immediate access

Answer: A. Hawaii law requires brokers to maintain client funds in a separate trust account that is distinct from the broker's own operating funds to protect client money.

Q 14.9 ·v2 Which of the following best describes the proper handling of client funds received by a real estate broker?

- A. Hold in the broker's safe deposit box at a local bank
- B. Maintain in a dedicated trust account separate from broker business funds ✓**
- C. Commingle with broker operating funds for accounting efficiency
- D. Deposit directly into the client's designated escrow account

Answer: B. Trust accounts must be segregated from broker operating accounts to ensure client funds remain protected and are not subject to broker debts or business operations.

Q 14.9 ·v3 A broker receives a rental security deposit from a landlord's tenant. According to Hawaii real estate regulations, this deposit should be placed in:

- A. A brokerage investment account for interest-bearing purposes
- B. A separate trust account distinct from the broker's business accounts ✓**
- C. A joint account between the broker and the property owner
- D. The property owner's personal checking account

Answer: B. Client funds, including security deposits, must be held in a segregated trust account to maintain fiduciary duty and compliance with Hawaii real estate regulations.

Q 14.9 ·v4 Under Hawaii real estate law, earnest money deposits collected by a broker are required to be held in which type of account?

- A. The broker's payroll or general business account
- B. An escrow service owned and operated by the listing agent
- C. A corporate investment account in the brokerage's name
- D. A trust account segregated from the broker's operating funds ✓**

Answer: D. Hawaii regulations mandate that client funds be held in a separate trust account to protect these funds from broker liability and ensure proper accounting and return of deposits.

Q 14.9 ·v5 Under Hawaii real estate law, where should a broker deposit rental security funds received from a tenant?

- A. In the broker's personal safe deposit box at a financial institution
- B. In the broker's general operating or business account
- C. In a segregated trust or escrow account maintained separately from broker funds ✓**
- D. In a money market account under the tenant's name

Answer: C. Hawaii law requires security deposits to be held in a trust account separate and distinct from the broker's operating funds to protect tenant money.

Q 14.9 ·v6 A broker receives a security deposit from a tenant for a rental property. Which account is the legally correct place to deposit these funds?

- A. A joint account with the property owner and broker
- B. The broker's escrow account used for earnest money only
- C. A trust account separate from all broker business accounts ✓**
- D. The broker's regular business checking account

Answer: C. Security deposits must be held in a segregated trust account kept separate from the broker's operating accounts and other client funds.

Q 14.9 ·v7 When a property manager collects security deposits from tenants, these funds must be placed in:

- A. The broker's escrow account combined with earnest money deposits
- B. The property owner's personal bank account
- C. A dedicated trust account maintained separately from the broker's business funds ✓**
- D. A certificate of deposit in the property owner's name

Answer: C. Security deposits are trust funds that must be held in a separate trust account to maintain segregation and protect tenant deposits from broker operations.

Q 14.9 ·v8 A real estate broker in Hawaii receives tenant security deposits. According to licensing law, these funds must NOT be:

- A. Maintained in an account clearly designated for client funds
- B. Placed in a trust account separate from operating funds
- C. Kept in a segregated account away from broker business money
- D. Deposited in the broker's general operating account ✓**

Answer: D. Security deposits must be held in a separate trust account and cannot be commingled with the broker's operating or business accounts.

Q 14.9 · v9 Under Hawaii real estate law, where should a broker deposit funds collected from a tenant as a security deposit?

- A. In the broker's personal safe deposit box at a local bank
- B. In the broker's general operating account mixed with other business funds
- C. In a designated trust or escrow account kept separate from the broker's own money ✓**
- D. In a money market account registered under the tenant's name

Answer: C. Hawaii law requires brokers to maintain security deposits in a separate trust account, not commingled with broker operating funds, to protect tenant money from broker liability.

15

Hawaii: Land Utilization

State portion 2 PSI items 19 key concepts 6 base questions

Hawaii has a unique two-tier land-use system: state district + county zoning.

CHAPTER OVERVIEW

The State Land Use Commission (LUC) classifies all Hawaii land into four districts: Urban, Rural, Agricultural, and Conservation. This is the primary classification — county zoning operates within state districts. Urban district allows the highest density development; Conservation is the most restrictive. Boundary changes require petition to LUC, public hearings, and substantial justification.

Conservation district is the most heavily restricted, with development requiring a Conservation District Use Permit (CDUP) from the Department of Land and Natural Resources (DLNR). Most ordinary residential or commercial development is forbidden in Conservation. Forest reserves, mountain wilderness, watershed areas typically fall here. Reclassification to allow development is rare and politically contested.

Agricultural district covers the largest land area in Hawaii (former plantation lands, ranches, etc.). Residential development on Ag is permitted but with significant restrictions: typically one dwelling per minimum lot area (varies by county), use must be agriculturally compatible, often a "farm dwelling" requirement requiring genuine agricultural activity. Buyers of "ag" homes should verify they aren't living in violation of agricultural-use requirements.

County zoning is the second tier. Each of Hawaii's four counties (Honolulu/Oahu, Hawaii/Big Island, Maui, Kauai) has its own zoning ordinance. Honolulu uses the Land Use Ordinance (LUO). Each county has standard residential, commercial, industrial, mixed-use, and special districts, with detailed standards on density, setbacks, height, parking, lot coverage. Variances and special permits are issued by county boards.

Special Management Areas (SMAs) are coastal-zone areas where development is heavily regulated under the Coastal Zone Management Act (CZMA). Any "development" within an SMA — broadly defined to include construction, demolition, grading, change of use, even some additions — requires an SMA permit from the county planning department. The line between minor and major SMA permits depends on scale and impact. SMAs typically extend roughly to the 350-foot setback from the high tide line, but boundaries vary.

Restrictive covenants (CC&Rs) and HOA rules layer on top of county zoning. Many older neighborhoods (especially planned developments from the 1970s-90s) have strict architectural rules, paint colors, fence heights, and landscaping requirements. Race-restrictive covenants from earlier eras are unenforceable but often still appear in title chains — Hawaii recognizes them as void but agents should know the issue.

Subdivision in Hawaii follows county subdivision ordinances. Major subdivisions require formal platting, infrastructure dedication, environmental review, often public hearings. Minor subdivisions and consolidations are simpler. CPR can sometimes accomplish similar densification goals without formal subdivision.

KEY CONCEPTS & DEFINITIONS

Land Use Commission (LUC)	State body that classifies all land into four districts.
State land-use districts	Urban, Rural, Agricultural, Conservation.
Urban district	Highest-density development. Most cities and towns.
Rural district	Lower density, residential + light agricultural mix.
Agricultural district	Largest land area. Ag-compatible uses; residential restrictions.
Conservation district	Most restrictive. CDUP required for development. Mountain, forest, watershed.
CDUP	Conservation District Use Permit. Required for development in Conservation district.
County zoning	Second tier within state districts. Each of 4 counties has own ordinance.
Land Use Ordinance (LUO)	Honolulu (Oahu) county zoning code.
Special Management Area (SMA)	Coastal-zone heavy regulation. Permits required for most development.
SMA permit	Coastal development permit. Major or minor depending on scale.
CZMA	Coastal Zone Management Act. Federal/state coastal regulation framework.
Lava zones	Hawaii County 1-9 hazard rating. Disclose; affects insurance.
Tsunami evacuation zone	Coastal disclosure required where applicable.
Flood zone	FEMA zone affecting insurance + development.
Variance	County-level exception to zoning for unique hardship.
Special use permit	County-level permission for use allowed under conditions.
Subdivision	Division of land into lots. Major and minor procedures.
Farm dwelling requirement	Some Ag-district dwellings require genuine agricultural activity.

QUESTION BANK — HAWAII: LAND UTILIZATION

Q 15.1 **Hawaii's four state land use districts are:**

- A. Urban, Rural, Agricultural, Conservation ✓**
- B. Single, Multi, Mixed, Open
- C. Honolulu, Maui, Kauai, Hawaii
- D. Residential, Commercial, Industrial, Agricultural

Answer: A. LUC classifies land into Urban, Rural, Ag, and Conservation.

Q 15.1 ·v1 **Under Hawaii's Land Use Commission framework, which of the following correctly identifies the state's four primary land use classifications?**

- A. Residential, Commercial, Industrial, Recreational
- B. Urban, Rural, Agricultural, Conservation ✓**
- C. Honolulu, County, State, Federal
- D. Zoned, Unzoned, Exempt, Restricted

Answer: B. The Hawaii Land Use Commission designates all land into exactly four districts: Urban, Rural, Agricultural, and Conservation, as established by Chapter 205, HRS.

Q 15.1 ·v2 **A real estate professional in Hawaii needs to understand the state's foundational land use categories. Which set accurately reflects the LUC's classification system?**

- A. Single-Family, Multi-Family, Commercial, Open Space
- B. Conservation, Agricultural, Rural, and Urban ✓**
- C. Developed, Developing, Agricultural, Protected
- D. County, State, Private, Public

Answer: B. The Land Use Commission divides all Hawaiian land into Conservation, Agricultural, Rural, and Urban districts to manage statewide development and resource protection.

Q 15.1 ·v3 **When discussing Hawaii's statewide land use regulatory framework, an agent should know that the LUC oversees which four land use districts?**

- A. Maui County, Honolulu County, Hawaii County, Kalawao County
- B. Metropolitan, Suburban, Rural, Wilderness
- C. Residential, Commercial, Industrial, Mixed-Use
- D. Agricultural, Conservation, Rural, Urban ✓**

Answer: D. Hawaii's Land Use Commission statute creates four mandatory statewide districts—Agricultural, Conservation, Rural, and Urban—to coordinate land use across all islands.

Q 15.1 ·v4 Which of the following accurately describes Hawaii's four state land use district classifications established by the Land Use Commission?

- A. Coastal, Inland, Transitional, Protected
- B. Zoning, Conditional Use, Variances, and Overlays
- C. Residential, Commercial, Industrial, Public Facility

D. Agricultural, Urban, Rural, Conservation ✓

Answer: D. The LUC's four state land use districts are Agricultural, Urban, Rural, and Conservation, which form the legal framework for all land use planning in Hawaii.

Q 15.1 ·v5 According to Hawaii's Land Use Commission, land in the state is divided into how many primary districts, and which of the following correctly lists all of them?

- A. Three districts: Urban, Agricultural, and Conservation
- B. Four districts: Urban, Rural, Agricultural, and Conservation ✓**
- C. Five districts: Residential, Commercial, Industrial, Agricultural, and Conservation
- D. Four districts: Honolulu County, Hawaii County, Maui County, and Kalawao County

Answer: B. Hawaii's Land Use Commission statute establishes exactly four state land use districts: Urban, Rural, Agricultural, and Conservation.

Q 15.1 ·v6 A real estate professional in Hawaii must understand the state's foundational land classification system. Which of the following accurately describes Hawaii's land use district framework?

- A. Urban, Rural, Agricultural, and Conservation ✓**
- B. Residential, Agricultural, Commercial, and Mixed-Use
- C. Rural, Suburban, Agricultural, and Environmental
- D. County-based districts aligned with the four major islands

Answer: A. The Hawaii Land Use Commission classifies all state land into four statutory districts: Urban, Rural, Agricultural, and Conservation.

Q 15.1 ·v7 When reviewing property zoning in Hawaii, an agent must reference the state's primary land use classification system. What are the four state land use districts?

- A. Coastal, Inland, Plantation, and Preservation
- B. Single-Family, Multi-Family, Business, and Protected
- C. Agricultural, Conservation, Urban, and Rural ✓**
- D. Residential, Commercial, Industrial, and Public

Answer: C. Hawaii's Land Use Commission divides all state land into four districts—Agricultural, Conservation, Urban, and Rural—regardless of county or zoning overlay.

Q 15.1 ·v8 The Hawaii Revised Statutes establish a statewide land use classification system. Which set of districts comprises this foundational framework?

- A. Residential, Vacation, Commercial, and Protected
- B. Developable, Semi-Protected, Protected, and Restricted
- C. Urban, Rural, Agricultural, and Conservation ✓**
- D. State Parks, Forestry, Agricultural Reserves, and Urban Zones

Answer: C. Hawaii's Land Use Commission statute establishes four state land use districts: Urban, Rural, Agricultural, and Conservation as the primary classification system.

Q 15.1 ·v9 Under Hawaii's Land Use Commission framework, which classification system divides the state's land into four primary categories?

- A. Zoning by county (Honolulu, Maui, Hawaii, Kalawao)
- B. Density-based categories: Low, Medium, High, and Preservation
- C. Residential, Commercial, Industrial, and Recreational zones
- D. Urban, Rural, Agricultural, and Conservation districts ✓**

Answer: D. Hawaii's Land Use Commission established four state-level districts: Urban, Rural, Agricultural, and Conservation to regulate land use statewide.

Q 15.2 A coastal-zone area requiring development permit is called:

- A. AOA
- B. SMA ✓**
- C. TMK
- D. CPR

Answer: B. Special Management Area requires SMA permit.

Q 15.2 ·v1 Which Hawaii coastal regulation requires a landowner to obtain a permit before commencing development activities in a protected shoreline zone?

- A. Conservation District Use Permit (CDUP)
- B. Tax Map Key (TMK) registration
- C. Zoning Variance Application (ZVA)
- D. Special Management Area (SMA) permit ✓**

Answer: D. SMA permits are mandatory for developments in designated coastal Special Management Areas in Hawaii. A CDUP and ZVA are different permit types; TMK is a parcel identifier, not a permit.

Q 15.2 ·v2 A developer plans to build a resort along Hawaii's coastline. Before construction begins, which designation identifies the area requiring specific government approval?

- A. CPR boundary
- B. AOA district
- C. SMA designation ✓**
- D. TMK zone

Answer: C. Special Management Area (SMA) designation marks coastal zones where development permits are required under Hawaii's coastal zone management rules. TMK is a property identifier; AOA is a homeowners' association; CPR is not a coastal designation.

Q 15.2 ·v3 In Hawaii, if a property falls within a coastal-protection area that mandates environmental review and permitting before development, the property likely is situated in a:

- A. SMA (Special Management Area) ✓**
- B. AOA (Association of Apartment Owners)
- C. TMK (Tax Map Key) overlay
- D. CPR (Coastal Protection Regulation)

Answer: A. Special Management Areas require SMA permits for development in Hawaii's coastal zones. CPR is not a standard Hawaii coastal designation; AOA is for condominiums; TMK is a parcel tax identifier.

Q 15.2 ·v4 A real estate agent must inform a client that their beachfront property falls within a regulatory zone requiring a development permit. Which term describes this coastal protection area?

- A. CPR sector
- B. Special Management Area ✓**
- C. AOA zone
- D. TMK classification

Answer: B. Special Management Area (SMA) is Hawaii's coastal zone designation requiring permits for development. AOA applies to condominiums; CPR and TMK are unrelated to coastal development permit requirements.

Q 15.2 ·v5 Which designation applies to Hawaii coastal properties requiring environmental review and special development authorization?

- A. Special Management Area ✓**
- B. Condominium Property Regime
- C. Association of Apartment Owners
- D. Tax Map Key

Answer: A. Special Management Area (SMA) is the Hawaii coastal-zone overlay that mandates permit approval for development activities in environmentally sensitive coastal regions.

Q 15.2 ·v6 A buyer is informed that her oceanfront property falls within a coastal overlay zone requiring a specific permit before construction. The zone is known as:

- A. TMK classification
- B. CPR overlay
- C. SMA zone ✓**
- D. AOAO designation

Answer: C. The Special Management Area (SMA) is Hawaii's coastal management tool that requires permits for development, modifications, and land use changes in designated coastal zones.

Q 15.2 ·v7 Under Hawaii land-use law, what acronym represents the coastal protection area where development permits are mandatory?

- A. CPR
- B. AOAO
- C. TMK
- D. SMA ✓**

Answer: D. SMA (Special Management Area) is the Hawaii regulatory designation for coastal zones where development activities require state and/or county permit approval.

Q 15.2 ·v8 A real estate licensee explains to her client that the beachfront parcel requires approval from the state because it is located in a Special Management Area. This acronym is:

- A. TMK
- B. CPR
- C. AOAO
- D. SMA ✓**

Answer: D. SMA stands for Special Management Area, the Hawaii coastal-overlay designation requiring environmental review and development permits for qualifying land uses and construction activities.

Q 15.2 ·v9 Under Hawaii law, which designation identifies a zone where environmental review and a special permit are required before development can proceed?

- A. Association of Apartment Owners
- B. Coastal Property Registry
- C. Special Management Area ✓**
- D. Tax Map Key

Answer: C. An SMA (Special Management Area) is a Hawaii coastal zone requiring an SMA permit for development activities. TMK is a parcel identifier, AOAO is a condominium association type, and CPR is not a Hawaii zoning designation.

Q 15.3 County zoning in Honolulu is governed by:

- A. GET
- B. TCT
- C. HRS 521
- D. LUO ✓**

Answer: D. Honolulu Land Use Ordinance.

Q 15.3 ·v1 Which ordinance establishes the zoning regulations and land use classifications for the City and County of Honolulu?

- A. GET
- B. TCT
- C. LUO ✓**
- D. HRS 521

Answer: C. The Honolulu Land Use Ordinance (LUO) is the primary municipal code that governs zoning classifications, permitted uses, and land use restrictions in Honolulu.

Q 15.3 ·v2 A real estate licensee in Honolulu needs to determine what uses are permitted on a residential parcel. This information would be found in:

- A. Hawaii Revised Statutes Chapter 521
- B. The General Excise Tax Code
- C. The Title Commitment and TCT
- D. The Land Use Ordinance ✓**

Answer: D. The Honolulu Land Use Ordinance (LUO) specifies permitted uses, restrictions, and zoning classifications for each land use district in the county.

Q 15.3 ·v3 Which of the following is the authoritative county document that defines zoning districts and regulations for Honolulu?

- A. Hawaii Revised Statutes 521
- B. Tax Clearance Certificate
- C. Honolulu Land Use Ordinance ✓**
- D. General Excise Tax Statute

Answer: C. The Honolulu Land Use Ordinance (LUO) is the county-level zoning and land use regulation document that governs all property classifications and permitted uses within Honolulu.

Q 15.3 ·v4 A broker is analyzing a commercial property in Honolulu and needs to verify zoning compliance and use restrictions. Which source would be most appropriate?

A. The Honolulu Land Use Ordinance ✓

B. County General Excise Tax guidelines

C. HRS Chapter 521

D. The applicable TCT and deed

Answer: A. The Honolulu Land Use Ordinance (LUO) is the definitive municipal source for zoning designations, permitted uses, and land use restrictions in Honolulu.

Q 15.3 ·v5 Which regulatory framework establishes zoning classifications and land use restrictions within the City and County of Honolulu?

A. General Excise Tax Code

B. Transfer Certificate of Title requirements

C. Hawaii Revised Statutes Chapter 521

D. Honolulu Land Use Ordinance ✓

Answer: D. The Honolulu Land Use Ordinance (LUO) is the local municipal code that controls zoning designations and permitted uses for properties in Honolulu.

Q 15.3 ·v6 A real estate agent in Honolulu advises a client that their residential property cannot be converted to commercial use. What document would the agent cite as the basis for this zoning restriction?

A. The Honolulu Land Use Ordinance ✓

B. HRS 521

C. Hawaii Transfer Certificate of Title Act

D. Honolulu General Excise Tax Ordinance

Answer: A. The Honolulu Land Use Ordinance (LUO) is the county-level zoning regulation that determines which land uses are permitted in specific zoning districts.

Q 15.3 ·v7 When a broker needs to determine whether a parcel in Honolulu is zoned for a particular use, which document should be consulted?

A. Honolulu Land Use Ordinance ✓

B. Hawaii Revised Statutes 521

C. County General Excise Tax regulations

D. Transfer Certificate of Title

Answer: A. The Honolulu Land Use Ordinance (LUO) contains the local zoning codes and permitted uses for different zoning classifications in the City and County of Honolulu.

Q 15.3 ·v8 What is the primary source of zoning authority for properties located in Honolulu?

A. The City and County of Honolulu Land Use Ordinance ✓

- B. Hawaii Revised Statutes Chapter 521
- C. Hawaii General Excise Tax Code
- D. State Transfer Certificate of Title statutes

Answer: A. The Honolulu Land Use Ordinance (LUO) is the municipal ordinance that serves as the definitive source for all zoning regulations and land use controls in Honolulu.

Q 15.3 ·v9 Which legal instrument establishes zoning classifications and land use restrictions for the City and County of Honolulu?

A. Honolulu Land Use Ordinance ✓

- B. Hawaii Revised Statutes Chapter 205
- C. General Excise Tax Code
- D. State Land Use Commission Order

Answer: A. The Honolulu Land Use Ordinance (LUO) is the municipal code that governs all zoning and land use regulations within Honolulu's jurisdiction. HRS 205 applies to statewide land use districts, not county zoning.

Q 15.4 Development in the Conservation district typically requires:

- A. Building permit only
- B. County variance only
- C. No permit

D. Conservation District Use Permit (CDUP) ✓

Answer: D. CDUP from DLNR required for Conservation development.

Q 15.4 ·v1 A property owner wants to construct a facility within Hawaii's Conservation district. Which authorization document must be obtained from the Department of Land and Natural Resources?

- A. Conditional Use Permit from the county planning department
- B. Environmental Assessment exemption certificate
- C. Conservation District Use Permit (CDUP) ✓**
- D. Agricultural lease agreement

Answer: C. DLNR issues the CDUP, which is the mandatory authorization for any use or development activity in Conservation districts under Hawaii administrative rules.

Q 15.4 ·v2 Before undertaking any development activity in a Conservation district, a developer must first secure:

- A. Zoning approval from the county zoning board
- B. A variance from the state land board
- C. Only a standard building permit from the county

D. A CDUP from the Department of Land and Natural Resources ✓

Answer: D. The CDUP is the primary state-level permit required by DLNR before any land use or development can proceed in Conservation-zoned areas.

Q 15.4 ·v3 Which of the following is the correct regulatory pathway for a project proposed in Hawaii's Conservation district?

A. Obtain Conservation District Use Permit from DLNR prior to other approvals ✓

- B. File an environmental impact statement and bypass local permits
- C. Receive county zoning board approval, which supersedes state requirements
- D. Obtain county building permit, then proceed with construction

Answer: A. DLNR's CDUP is a prerequisite authorization; county building permits and other local approvals come after the CDUP is secured for Conservation district projects.

Q 15.4 ·v4 A real estate licensee is representing a client interested in developing land designated as Conservation district. What should the licensee advise the client regarding required permits?

- A. Only a county building permit is necessary for Conservation district development
- B. Local county zoning variance replaces all state-level permitting requirements

C. A Conservation District Use Permit from DLNR is essential before proceeding with development plans ✓

- D. State Legislature pre-approval is the only requirement in Conservation areas

Answer: C. The CDUP issued by the Department of Land and Natural Resources is the mandatory state-level permit that must be secured before any development activity can legally occur in a Conservation district.

Q 15.4 ·v5 When a property owner wants to undertake any land use activity in Hawaii's Conservation district, which authorization is mandatory?

- A. State Environmental Impact Statement approval
- B. County Planning Commission recommendation letter

C. Conservation District Use Permit from the Department of Land and Natural Resources ✓

- D. Municipal zoning board conditional use permit

Answer: C. The DLNR issues Conservation District Use Permits (CDUP) for any use or development in Conservation districts; this is the required state-level authorization.

Q 15.4 ·v6 A developer proposes a project in Hawaii's Conservation district. Which permit type is the primary requirement before any construction or land alteration can occur?

- A. Environmental waiver from the State Attorney General
- B. Grading and excavation permit from Public Works
- C. Special Management Area permit from the county

D. Conservation District Use Permit issued by DLNR ✓

Answer: D. Development in Conservation districts requires a CDUP from the Department of Land and Natural Resources as the controlling state permit for conservation lands.

Q 15.4 ·v7 Which state agency must approve activities in Hawaii's Conservation district through a specific permit process?

A. Department of Land and Natural Resources via Conservation District Use Permit ✓

- B. Hawaii Board of Real Estate
- C. State Department of Transportation
- D. County Building and Planning Department

Answer: A. DLNR administers Conservation district land and requires a CDUP before any development, use change, or significant land alteration may proceed.

Q 15.4 ·v8 If a property is located within Hawaii's Conservation district, what is the prerequisite approval mechanism for proposed improvements or land use changes?

A. Conservation District Use Permit obtained from DLNR ✓

- B. Automatic approval upon filing with the county assessor
- C. County historic preservation exemption letter
- D. Standard building permit with no additional state review

Answer: A. Conservation District Use Permits from DLNR are the mandatory gatekeeping authorization for any development or use modification in Conservation-zoned lands.

Q 15.4 ·v9 Before a property owner can undertake any land use activity in Hawaii's Conservation district, which approval is mandatory?

- A. Only a standard building permit from the county
- B. A zoning variance from the county planning department
- C. An environmental impact statement filed with the state legislature

D. A Conservation District Use Permit (CDUP) from the Department of Land and Natural Resources ✓

Answer: D. The Department of Land and Natural Resources (DLNR) administers Conservation districts and requires a CDUP for any use or development activity in these protected areas.

Q 15.5 Agricultural-district residential homes:

- A. Are illegal in Hawaii
- B. Have no restrictions
- C. May require genuine farm-related activity (farm dwelling) ✓**
- D. Are taxed at urban rates

Answer: C. Farm dwelling requirement on some Ag-district residential.

Q 15.5 ·v1 A property owner in Hawaii's agricultural zoning district wants to build a single-family residence. Which statement best describes the likely requirement?

- A. Residential construction is permitted without any agricultural use conditions
- B. Urban zoning variances automatically apply to all agricultural parcels
- C. The property will be reassessed at commercial rates upon residential development
- D. The residence must be located on land actively used for crop production or livestock operations ✓**

Answer: D. Agricultural-district residences often trigger farm-dwelling requirements that tie occupancy to genuine agricultural activity on the same parcel or related operations.

Q 15.5 ·v2 Under Hawaii's zoning regulations, a residence constructed within an agricultural district may be subject to which condition?

- A. Mandatory annual rezoning applications
- B. Demonstrated engagement in bona fide agricultural practices by the resident ✓**
- C. Conversion to commercial use within five years
- D. Exemption from all state and county land-use ordinances

Answer: B. Farm-dwelling provisions in agricultural zones often require that residents engage in legitimate agricultural operations, linking residential use to actual farm activity.

Q 15.5 ·v3 A prospective buyer is considering a residential lot in an agricultural-zoning area of Hawaii. What should the buyer understand about possible dwelling restrictions?

- A. Occupancy may depend on the property owner conducting actual farm-related operations ✓**
- B. Property taxes will be assessed using standard residential rates regardless of zoning
- C. No restrictions exist; the property can be developed as conventional residential subdivision
- D. All residential uses are automatically prohibited in agricultural districts

Answer: A. Agricultural-zoned residences may carry farm-dwelling requirements that condition residential use on bona fide agricultural activity, distinguishing them from standard residential development.

Q 15.5 ·v4 When a real estate agent discusses a residential property located in Hawaii's agricultural district, which regulatory requirement should be addressed?

- A. County agricultural permits have no bearing on residential occupancy
- B. The property is automatically eligible for standard urban residential financing
- C. The property owner is relieved of all state and county zoning compliance

D. The dwelling may require connection to genuine farming or ranching operations ✓

Answer: D. Farm-dwelling requirements in agricultural zones typically mandate that residential occupants participate in legitimate agricultural or pastoral activities on the property.

Q 15.5 ·v5 A property owner in Hawaii's Agricultural district wants to build a residential home. Which of the following best describes what zoning regulations typically require?

- A. The property must be assessed as commercial land for tax purposes

B. Proof of actual farming operations or farm dwelling eligibility may be needed ✓

- C. The home must be located within 500 feet of an active orchard or pasture
- D. Residential construction is automatically permitted without condition in Ag zones

Answer: B. Agricultural-district residential homes may be subject to farm dwelling requirements, meaning owners must demonstrate genuine farm-related activity or qualify under farm dwelling provisions depending on the specific county regulations.

Q 15.5 ·v6 Under Hawaii zoning law, a residential dwelling in an Agricultural district:

- A. Receives the same tax treatment as properties in Urban districts
- B. Is permitted by right without any special conditions or requirements
- C. Is prohibited unless the landowner operates a commercial agricultural business

D. May be contingent upon meeting farm dwelling criteria or demonstrated agricultural use ✓

Answer: D. Many Agricultural-zoned residential properties must satisfy farm dwelling requirements, which typically involve proof of actual or intended farm activity to maintain residential use in that zoning classification.

Q 15.5 ·v7 What is a common regulatory consideration for homeowners constructing a residence on Agricultural-zoned land in Hawaii?

- A. A separate industrial use permit is required for any residential occupancy

B. Agricultural dwellings may be subject to genuine farm-activity requirements or farm dwelling status ✓

- C. No difference exists between Ag-district and Urban-district residential restrictions
- D. The property will automatically be rezoned to Residential upon building completion

Answer: B. Residential properties in Agricultural districts often trigger farm dwelling requirements that obligate owners to maintain agricultural operations or qualify under specific farm dwelling exemptions to legally occupy the home.

Q 15.5 ·v8 A real estate agent is counseling a buyer interested in purchasing a residential home zoned Agricultural in Hawaii. What should the agent explain about potential restrictions?

- A. The buyer will face penalties if any farming activity occurs on the property
- B. The buyer must immediately convert the zoning to Residential or lose homeownership rights
- C. The property may impose farm dwelling obligations requiring actual agricultural use or exemption status ✓**
- D. Agricultural-zoned residential properties are entirely unrestricted compared to other zones

Answer: C. Agricultural-district residential homes may carry farm dwelling requirements—conditions that necessitate demonstrated farm activity or eligibility under farm dwelling provisions—which licensees must disclose to buyers.

Q 15.5 ·v9 A residential property located in Hawaii's agricultural district may be subject to which of the following requirements?

- A. Reclassification to urban zoning upon first resale
- B. Conversion to commercial use within five years of purchase
- C. Mandatory participation in the state's soil conservation program
- D. Demonstration of bona fide agricultural operations or farm-dwelling qualification ✓**

Answer: D. Agricultural-district residential dwellings may require documentation of genuine farm-related activity or qualification as a farm dwelling under Hawaii's land-use regulations.

Q 15.6 Hawaii has how many counties with their own zoning?

- A. 4 ✓**
- B. 1
- C. 8
- D. 2

Answer: A. Honolulu, Hawaii, Maui, and Kauai counties.

Q 15.6 ·v1 Which of the following best describes the number of counties in Hawaii that exercise independent zoning authority?

- A. All eight Hawaiian islands have their own zoning departments
- B. Four counties each maintain separate zoning codes ✓**
- C. Three counties share zoning responsibilities
- D. Two counties have zoning; the rest use state guidelines

Answer: B. Hawaii's four counties—Honolulu, Hawaii, Maui, and Kauai—each exercise independent zoning authority over their respective jurisdictions.

Q 15.6 ·v2 A real estate licensee working in Hawaii needs to understand zoning regulations. In how many distinct county zoning jurisdictions does Hawaii operate?

- A. 2
- B. 6
- C. 4 ✓**
- D. 5

Answer: C. The four counties—Honolulu, Hawaii, Maui, and Kauai—each maintain their own zoning ordinances and enforcement mechanisms.

Q 15.6 ·v3 When reviewing property zoning requirements across Hawaii, an agent must be familiar with the zoning codes of how many county jurisdictions?

- A. One statewide zoning authority
- B. Three regional zoning districts
- C. Four distinct county zoning frameworks ✓**
- D. Seven separate county zoning systems

Answer: C. Honolulu County, Hawaii County, Maui County, and Kauai County each have independent zoning regulations that agents must understand for practice in those areas.

Q 15.6 ·v4 Hawaii's zoning structure is divided among how many separate county jurisdictions?

- A. 8 counties corresponding to the major islands
- B. 4 counties with independent zoning authority ✓**
- C. 1 statewide zoning commission
- D. 2 counties that share zoning responsibilities

Answer: B. The State of Hawaii is organized into four counties—Honolulu, Hawaii, Maui, and Kauai—each with autonomous zoning authority.

Q 15.6 ·v5 Which statement accurately reflects the number of counties in Hawaii that exercise independent zoning authority?

- A. Only Honolulu County has the power to establish and enforce zoning ordinances.
- B. Hawaii operates under a statewide zoning system with no county-level zoning authority.
- C. Four counties—Honolulu, Hawaii, Maui, and Kauai—each maintain their own zoning codes. ✓**
- D. Hawaii is divided into 8 separate zoning jurisdictions, one per island.

Answer: C. Hawaii's four counties (Honolulu, Hawaii, Maui, and Kauai) each have independent zoning authority and maintain separate zoning codes.

Q 15.6 · v6 When a Hawaii real estate agent must research zoning restrictions for a property, how many different county zoning jurisdictions might they need to consult?

- A. Four—corresponding to the four counties.** ✓
- B. Six—based on the number of major islands.
- C. One—all zoning is administered statewide.
- D. Two—East and West zoning regions.

Answer: A. Each of Hawaii's four counties (Honolulu, Hawaii, Maui, and Kauai) independently administers its own zoning regulations.

Q 15.6 · v7 How many separate zoning ordinances exist at the county level in the State of Hawaii?

- A. 8—two separate codes per island group.
- B. 4—one enacted and enforced by each county government.** ✓
- C. 12—one for residential, commercial, and agricultural per county.
- D. 1—Hawaii operates under unified state zoning standards.

Answer: B. Honolulu, Hawaii, Maui, and Kauai counties each independently adopt and enforce their own zoning ordinances.

Q 15.6 · v8 A property owner in Maui County wants to understand the zoning regulations that apply to their land. Which county's zoning code would NOT be the controlling authority?

- A. Honolulu County
- B. Hawaii County** ✓
- C. Kauai County
- D. Maui County

Answer: B. Hawaii County's zoning would not apply to property in Maui County; each of the four counties (Honolulu, Hawaii, Maui, and Kauai) has independent zoning jurisdiction.

Q 15.6 · v9 Which of the following correctly identifies the number of separate zoning jurisdictions in Hawaii?

- A. Three counties manage zoning authority
- B. Two counties handle all zoning matters statewide
- C. Four counties exercise independent zoning control** ✓
- D. Five counties share zoning responsibilities

Answer: C. Hawaii's four counties—Honolulu, Hawaii, Maui, and Kauai—each maintain their own zoning ordinances and authority over land use within their jurisdictions.

16

Hawaii: Title & Conveyances

State portion 4 PSI items 17 key concepts 7 base questions

Two title systems, leasehold dominance, and unique Hawaiian estates.

CHAPTER OVERVIEW

Title in Hawaii lives in two systems. Regular System uses the Bureau of Conveyances chain-of-title model — recording protects subsequent purchasers, chain is searched back to a marketable starting point, and clouds are resolved through ordinary title actions. Land Court uses the Torrens model: a Transfer Certificate of Title (TCT) is conclusive against the world. Once a parcel is registered in Land Court, ownership cannot be challenged outside the registration system except in narrow statutory exceptions. Most older Hawaii title work involves checking which system the parcel is in.

Tenancies in Hawaii follow standard categories with some local nuances. Tenancy in common — separate, inheritable, often unequal shares; default form when intent is unclear. Joint tenancy with right of survivorship — must use the express language "as joint tenants with right of survivorship" or substantially equivalent words; survivorship eliminates probate of that interest. Tenancy by the entirety — only available to married couples (and same-sex married couples), with both survivorship and protection from individual-spouse creditors on the marital home.

Liens in Hawaii: real property tax liens take priority over almost everything except prior recorded mortgages on Land Court parcels (Land Court rules differ slightly). Mechanic's liens (HRS 507) protect contractors, suppliers, architects, and design professionals for unpaid work or materials — must be filed within statutory time limits. AOA liens for unpaid maintenance fees in condos take their priority based on recording. State and federal tax liens follow recording priority within their classes. Judgment liens attach when a judgment is recorded.

Foreclosure in Hawaii has two paths. Judicial foreclosure is court-supervised: lender files complaint, court issues judgment, property sold at court-confirmed auction. Slower (often 12-18 months) but with more borrower protections. Non-judicial (power-of-sale) foreclosure — used when the security instrument contains a power-of-sale clause — is faster, governed by the Mortgage Foreclosure Act's notice and auction procedures (HRS 667). Hawaii also has alternate Mortgage Foreclosure Dispute Resolution (MFDR) for owner-occupied homes, requiring the lender to engage in dispute resolution before non-judicial foreclosure.

Quiet title actions are court proceedings to resolve title clouds and confirm ownership. Common in Hawaii where chain-of-title issues from the Mahele era, undocumented family transfers in older neighborhoods, or unrecorded deeds create disputes. Adverse possession is recognized in Hawaii but the requirements are stringent: open, notorious, hostile, exclusive, continuous occupation for the statutory period (varies; 20 years is a common figure for Hawaii but verify current).

Estates in Hawaii: standard fee simple, life estate (can be created in deed or will), leasehold (40-65 year residential leases common, longer for commercial), Hawaiian Home Lands (federal HHCA-restricted), and special homestead exemptions for primary residence. The state's old "ahupua'a" land divisions occasionally surface in older deeds and modern conservation/Native Hawaiian rights cases.

Recording fees and conveyance tax. Conveyance tax is paid by the seller (typically) at closing, calculated as a tiered rate on sale price with reduced rates for owner-occupant buyers and homestead exemptions. Recording fees at BOC or Land Court are charged per page; clean documents save money. Closing escrow handles recording and tax payment as part of the closing settlement.

KEY CONCEPTS & DEFINITIONS

Regular System	Standard recorded chain-of-title at Bureau of Conveyances.
Land Court	Hawaii's Torrens system. TCT is conclusive.
TCT	Transfer Certificate of Title issued by Land Court.
Tenancy in common	Default co-ownership in Hawaii. Separate inheritable shares.
Joint tenancy	Co-ownership with survivorship. Express language required.
Tenancy by the entirety	Spousal co-ownership with survivorship + creditor protection on marital home.
Mechanic's lien (HRS 507)	Contractor/supplier lien for unpaid work or materials. Strict filing deadlines.
AOAO lien	Condo association lien for unpaid maintenance fees.
Judicial foreclosure	Court-supervised. Slower but more protections.
Non-judicial foreclosure	Power-of-sale. Faster. Governed by HRS 667.
MFDR	Mortgage Foreclosure Dispute Resolution. Alternative for owner-occupied homes.
Quiet title action	Court proceeding to resolve title clouds and confirm ownership.
Adverse possession	Acquiring title by open, notorious, hostile, continuous occupation for statutory period.
Homestead exemption	Property tax + creditor protection for primary residence.
Conveyance tax	Hawaii state transfer tax. Tiered by price + owner-occupant status.
Recording fee	BOC or Land Court charge per page. Paid at closing.
Ahupua'a	Traditional Hawaiian land division (mountain to sea). Occasionally referenced in deeds.

QUESTION BANK — HAWAII: TITLE & CONVEYANCES

Q 16.1 A parcel registered in Land Court is evidenced by:

- A. TCT** ✓
- B. CPR declaration
- C. Plat map
- D. Quitclaim deed

Answer: A. Land Court issues a Transfer Certificate of Title.

Q 16.1 ·v1 Which document serves as the official proof of ownership for property registered through Hawaii's Land Court system?

- A. Condominium Property Regime certificate
- B. Transfer Certificate of Title** ✓
- C. Survey certificate from a licensed surveyor
- D. Warranty deed with full covenants

Answer: B. The Transfer Certificate of Title (TCT) is the Land Court's official instrument proving ownership and containing all encumbrances and restrictions on the property.

Q 16.1 ·v2 A real estate licensee is assisting a buyer who wants to verify ownership of a Land Court property. The licensee should direct the buyer to obtain a copy of the:

- A. Transfer Certificate of Title** ✓
- B. General Warranty Deed
- C. Easement and Right of Way agreement
- D. Mortgage and Assignment documents

Answer: A. The TCT is the definitive Land Court document that establishes and evidences title to registered land in Hawaii.

Q 16.1 ·v3 In Hawaii, when property is registered under the Land Court system, title is evidenced by what type of document?

- A. Special Warranty Deed
- B. Torrens Certificate of Occupancy
- C. Transfer Certificate of Title** ✓
- D. Declaration of Condominium Property

Answer: C. Land Court registration produces a TCT, which is the conclusive evidence of title and ownership rights for registered properties.

Q 16.1 ·v4 A seller informs their real estate agent that their property is registered in Hawaii's Land Court. The agent knows the seller's ownership interest is documented in a:

- A. Recorded Plat and subdivision map
- B. Statutory Warranty Deed form
- C. Homestead Declaration filing

D. Transfer Certificate of Title ✓

Answer: D. The TCT is the exclusive Land Court document that evidences and records ownership of registered land parcels in Hawaii.

Q 16.1 ·v5 Which document serves as the official proof of ownership for property registered through Hawaii's Land Court system?

- A. Condominium Property Regime agreement

B. Transfer Certificate of Title ✓

- C. General Excise Tax certificate
- D. Warranty deed

Answer: B. The Transfer Certificate of Title (TCT) is the official document issued by Land Court that evidences registered ownership of real property in Hawaii.

Q 16.1 ·v6 A buyer receives documentation from Land Court showing ownership of a parcel. This evidence of title would be a:

- A. Native Hawaiian registry
- B. Declaration of covenants

C. TCT ✓

- D. Special warranty deed

Answer: C. Land Court registration is evidenced by a Transfer Certificate of Title (TCT), which is the definitive document of ownership in the Land Court system.

Q 16.1 ·v7 When property is registered in Land Court, the owner receives which document as evidence of their registered ownership?

- A. Affidavit of title
- B. Survey certification

C. Transfer Certificate of Title ✓

- D. Recorded deed copy

Answer: C. The Transfer Certificate of Title (TCT) is the conclusive evidence of ownership issued by Land Court upon registration of a parcel.

Q 16.1 ·v8 A parcel subject to Land Court registration is legally evidenced by which of the following?

- A. TCT issued by Land Court ✓**
- B. Plat of subdivision
- C. Property tax assessment notice
- D. Notarized grant deed

Answer: A. A Transfer Certificate of Title (TCT) is the official proof of ownership for land registered in the Land Court system in Hawaii.

Q 16.1 ·v9 When a property owner receives formal documentation from Land Court proving ownership of a registered parcel in Hawaii, what document is issued?

- A. Warranty deed with survey attachment
- B. CPR certification
- C. Statutory plat endorsement
- D. Transfer Certificate of Title ✓**

Answer: D. The Transfer Certificate of Title (TCT) is the official document issued by the Land Court of Hawaii to evidence ownership of a land-court-registered parcel and serves as proof of title.

Q 16.2 Hawaii's mechanic's lien statute is:

- A. HRS 52I
- B. HRS 5I4B
- C. HRS 467
- D. HRS 507 ✓**

Answer: D. HRS 507 governs mechanic's and materialman's liens.

Q 16.2 ·v1 Which Hawaii Revised Statutes chapter establishes the legal framework for contractors and suppliers to file liens against real property?

- A. HRS 52I
- B. HRS 5I4B
- C. HRS 507 ✓**
- D. HRS 467

Answer: C. HRS 507 is Hawaii's mechanic's and materialman's lien statute that provides the statutory basis for liens filed by construction professionals and material suppliers.

Q 16.2 ·v2 A subcontractor in Hawaii who was not paid for labor and materials supplied to a construction project would file a lien claim under:

- A. HRS 467
- B. HRS 52I
- C. HRS 507 ✓**
- D. HRS 514B

Answer: C. HRS 507 governs mechanic's liens and materialman's liens, which provide statutory remedies for unpaid contractors, subcontractors, and material suppliers in Hawaii.

Q 16.2 ·v3 Under Hawaii law, the statutory chapter that governs liens filed by construction workers and suppliers against real property is:

- A. HRS 467
- B. HRS 507 ✓**
- C. HRS 514B
- D. HRS 52I

Answer: B. HRS 507 is Hawaii's primary statute addressing mechanic's and materialman's liens, which protect construction industry participants who provide labor or materials.

Q 16.2 ·v4 If a Hawaii material supplier has not been paid for supplies delivered to a construction site, what is the applicable statutory chapter for filing a lien?

- A. HRS 52I
- B. HRS 514B
- C. HRS 507 ✓**
- D. HRS 467

Answer: C. HRS 507 is the statutory chapter governing mechanic's and materialman's liens in Hawaii, allowing suppliers and contractors to file liens for unpaid services or materials.

Q 16.2 ·v5 Which Hawaii Revised Statute specifically addresses liens filed by contractors and suppliers for unpaid work or materials on real property?

- A. HRS 507 (Mechanic's and Materialman's Liens) ✓**
- B. HRS 467 (Real Estate Commission)
- C. HRS 52I (Residential Tenancies)
- D. HRS 514B (Condominium Property Ownership)

Answer: A. HRS 507 is Hawaii's statutory framework governing mechanic's and materialman's liens, which protect contractors and suppliers by allowing them to file liens against property.

Q 16.2 ·v6 A general contractor in Hawaii is unable to collect payment from a homeowner for construction work completed. Under which statute can the contractor file a lien against the property?

- A. HRS 514B
- B. HRS 507 ✓**
- C. HRS 521
- D. HRS 467

Answer: B. HRS 507 provides the legal mechanism for contractors and materialmen to file liens on real property when they are not paid for labor or materials supplied.

Q 16.2 ·v7 Real estate licensees should be familiar with Hawaii's mechanic's lien law found in:

- A. HRS 507 ✓**
- B. HRS 521
- C. HRS 514B
- D. HRS 467

Answer: A. HRS 507 is the controlling statute for mechanic's and materialman's liens in Hawaii, essential knowledge for agents handling property transactions.

Q 16.2 ·v8 Which of the following Hawaii statutes would a title company review to determine if a contractor's lien might attach to a property?

- A. HRS 514B (Condominium Law)
- B. HRS 467 (Real Estate Commission Rules)
- C. HRS 521 (Residential Tenancies Law)
- D. HRS 507 (Mechanic's and Materialman's Liens) ✓**

Answer: D. HRS 507 governs mechanic's and materialman's liens, which title companies must examine during a property search to ensure clear marketable title.

Q 16.2 ·v9 A contractor in Hawaii files a claim against a property owner for unpaid labor and materials supplied during a renovation project. Under which Hawaii Revised Statute can this lien be properly recorded?

- A. HRS 507 (Mechanic's and Materialman's Liens) ✓**
- B. HRS 514B (Condominiums)
- C. HRS 467 (Property Tax Assessment)
- D. HRS 521 (Residential Tenancies)

Answer: A. HRS 507 is the controlling statute that establishes the rights and procedures for mechanic's and materialman's liens in Hawaii, allowing contractors and suppliers to file liens for unpaid work and materials.

Q 16.3 **Non-judicial foreclosure procedures are governed by:**

- A. HRS 52I
- B. HRS 467
- C. HRS 514B
- D. HRS 667 ✓**

Answer: D. HRS 667 governs Hawaii foreclosure procedures.

Q 16.3 ·v1 **Under Hawaii law, which statute provides the framework for a lender to pursue foreclosure without court involvement?**

- A. HRS 480
- B. HRS 667 ✓**
- C. HRS 52I
- D. HRS 514B

Answer: B. HRS 667 is the Hawaii statute that establishes the procedures and requirements for non-judicial (power of sale) foreclosure actions by lenders.

Q 16.3 ·v2 **A mortgage servicer in Hawaii wants to initiate a foreclosure action through a private sale rather than court proceedings. Which statute should the servicer reference?**

- A. HRS 667 ✓**
- B. HRS 467
- C. HRS 52I
- D. HRS 514B

Answer: A. HRS 667 governs all non-judicial foreclosure procedures in Hawaii, including power-of-sale foreclosures conducted outside the court system.

Q 16.3 ·v3 **When a Hawaii lender seeks to enforce a mortgage through foreclosure by public sale without obtaining a court judgment, compliance with which statute is mandatory?**

- A. HRS 52I
- B. HRS 667 ✓**
- C. HRS 480
- D. HRS 514B

Answer: B. HRS 667 is the controlling statute for non-judicial foreclosure procedures in Hawaii and establishes all requirements for power-of-sale foreclosures.

Q 16.3 ·v4 Which Hawaii Revised Statute contains the statutory requirements for a nonjudicial mortgage foreclosure sale?

- A. HRS 514B
- B. HRS 521
- C. HRS 467
- D. HRS 667 ✓**

Answer: D. HRS 667 is Hawaii's primary statute governing non-judicial foreclosure procedures, including all notice, timing, and conduct requirements for power-of-sale foreclosures.

Q 16.3 ·v5 Which Hawaii Revised Statute establishes the framework for power-of-sale foreclosures?

- A. HRS 521
- B. HRS 667 ✓**
- C. HRS 514B
- D. HRS 480

Answer: B. HRS 667 contains Hawaii's foreclosure statutes, including procedures for power-of-sale and non-judicial foreclosures.

Q 16.3 ·v6 A lender seeking to conduct a foreclosure sale without court involvement must comply with requirements under:

- A. HRS 667 ✓**
- B. HRS 521
- C. HRS 480 and HRS 508
- D. HRS 467 and HRS 514B

Answer: A. HRS 667 is the controlling statute for all Hawaii foreclosure procedures, including non-judicial foreclosures conducted through power-of-sale provisions.

Q 16.3 ·v7 When a mortgagee exercises a power-of-sale clause without filing in court, the applicable Hawaii statute is:

- A. HRS 514B
- B. HRS 521
- C. HRS 667 ✓**
- D. HRS 480

Answer: C. HRS 667 governs all foreclosure procedures in Hawaii, including non-judicial foreclosures executed under power-of-sale authority.

Q 16.3 · v8 A foreclosure conducted by a mortgagee outside the judicial system must follow the procedures outlined in:

- A. HRS 667 ✓**
- B. HRS 521
- C. HRS 508
- D. HRS 514B

Answer: A. HRS 667 is Hawaii's comprehensive foreclosure statute that regulates both judicial and non-judicial foreclosure procedures.

Q 16.3 · v9 A residential mortgage lender in Hawaii initiates a foreclosure action without judicial court proceedings. Which statute provides the legal framework for this type of foreclosure?

- A. HRS 480
- B. HRS 514B
- C. HRS 521
- D. HRS 667 ✓**

Answer: D. HRS 667 is the Hawaii statute that establishes the procedures and requirements for non-judicial foreclosures in Hawaii.

Q 16.4 Hawaii's alternative dispute process for owner-occupied foreclosures is:

- A. CPR
- B. HARPTA
- C. TMK
- D. MFDR ✓**

Answer: D. Mortgage Foreclosure Dispute Resolution under HRS 667.

Q 16.4 · v1 Which Hawaii statutory mechanism allows owner-occupants to challenge a foreclosure action before proceeding to court?

- A. Hawaii Association of Realtors Property Transfer Act (HARPTA)
- B. Certified Property Review (CPR)
- C. Tax Map Key filing requirement (TMK)
- D. Mediation and Dispute Resolution (MFDR) ✓**

Answer: D. MFDR under HRS 667 provides a pre-foreclosure alternative dispute resolution process specifically for owner-occupied properties to avoid litigation.

Q 16.4 ·v2 An owner-occupant in Hawaii receives a notice of default on their mortgage. What pre-litigation resolution option is available under state law?

- A. HARPTA notification and waiting period
- B. County Property Appraiser Review (CPR)
- C. TMK certification from the county assessor

D. Mortgage Foreclosure Dispute Resolution (MFDR) ✓

Answer: D. MFDR provides owner-occupants with a statutory alternative dispute resolution process before a foreclosure lawsuit is filed under HRS 667.

Q 16.4 ·v3 Under Hawaii law, owner-occupants have access to a required dispute resolution process. This process is known as:

A. MFDR ✓

- B. CPR
- C. TMK
- D. HARPTA

Answer: A. Mortgage Foreclosure Dispute Resolution (MFDR) established under HRS 667 is Hawaii's mandatory alternative dispute process for residential foreclosures on owner-occupied properties.

Q 16.4 ·v4 Which of the following is the correct abbreviation for Hawaii's owner-occupied foreclosure alternative dispute resolution process codified in HRS 667?

- A. CPR
- B. HARPTA
- C. TMK

D. MFDR ✓

Answer: D. MFDR (Mortgage Foreclosure Dispute Resolution) is the Hawaii statutory alternative dispute mechanism that must be offered to owner-occupants before a foreclosure action proceeds.

Q 16.4 ·v5 Under Hawaii Revised Statutes Chapter 667, what is the required dispute resolution process before a lender can proceed with foreclosure on a principal residence?

- A. CPR (Cyber Property Rights)
- B. TMK (Tax Map Key) arbitration
- C. HARPTA (Hawaii Anti-Deficiency Residential Property Tax Act)

D. MFDR (Mortgage Foreclosure Dispute Resolution) ✓

Answer: D. MFDR is the statutory alternative dispute resolution mechanism mandated by HRS 667 for owner-occupied residential foreclosures in Hawaii before judicial action can commence.

Q 16.4 ·v6 A homeowner in Hawaii receives a notice of intent to foreclose on her primary residence. Which pre-litigation resolution process must the lender offer before initiating foreclosure proceedings?

- A. CPR (Commercial Property Recordation)
- B. MFDR (Mortgage Foreclosure Dispute Resolution) ✓**
- C. HARPTA compliance certification
- D. TMK identification and assessment review

Answer: B. MFDR is Hawaii's mandatory alternative dispute resolution process that lenders must provide to owner-occupants before foreclosing on residential property under HRS 667.

Q 16.4 ·v7 Which of the following is Hawaii's statutory alternative dispute resolution requirement for residential mortgage foreclosures?

- A. TMK verification process
- B. MFDR ✓**
- C. CPR dispute filing
- D. HARPTA

Answer: B. MFDR (Mortgage Foreclosure Dispute Resolution) is the required pre-foreclosure alternative dispute mechanism established in HRS Chapter 667 for owner-occupied residential properties.

Q 16.4 ·v8 A lender seeks to foreclose on an owner-occupied dwelling in Hawaii. Prior to filing a judicial foreclosure action, the lender must comply with which mandatory alternative dispute process?

- A. TMK reassessment and grievance procedure
- B. HARPTA mediation and notice requirements
- C. Mortgage Foreclosure Dispute Resolution (MFDR) ✓**
- D. CPR (Consumer Property Rights) hearing

Answer: C. MFDR, codified in HRS 667, is Hawaii's required alternative dispute resolution process that must occur before a lender can proceed with foreclosure on a principal residence.

Q 16.4 ·v9 When an owner-occupant in Hawaii faces potential foreclosure, which statutory mechanism provides a structured dispute resolution process before judicial proceedings?

- A. HARPTA
- B. TMK
- C. CPR
- D. MFDR ✓**

Answer: D. Mortgage Foreclosure Dispute Resolution (MFDR) under HRS 667 is Hawaii's required alternative dispute process that allows owner-occupants to challenge foreclosures through negotiation and mediation before court action proceeds.

Q 16.5 In Hawaii, the default form of co-ownership when intent isn't specified is:

- A. Joint tenancy
- B. Tenancy in common ✓**
- C. Severalty
- D. Tenancy by the entirety

Answer: B. Tenancy in common is default; joint tenancy requires express language.

Q 16.5 ·v1 When a Hawaii deed conveys real property to two individuals without specifying the type of ownership relationship, what presumption applies?

- A. Each grantee receives a separate and distinct parcel in severalty
- B. The grantees are presumed to own as tenants in common ✓**
- C. The grantees hold title as joint tenants with right of survivorship
- D. The property automatically converts to tenancy by the entirety if the grantees are married

Answer: B. Hawaii law presumes tenancy in common when co-ownership intent is not expressly stated in the deed; joint tenancy and other forms require explicit language to create.

Q 16.5 ·v2 A Hawaii realtor assists in a sale to multiple buyers whose deed contains no language clarifying their ownership structure. What form of ownership will Hawaii courts presume?

- A. Tenancy in common ✓**
- B. Joint tenancy with automatic right of survivorship
- C. Tenancy by the entirety
- D. Sole ownership divided by percentage

Answer: A. Absent express language establishing joint tenancy or tenancy by the entirety, Hawaii defaults to tenancy in common, giving each owner an undivided interest.

Q 16.5 ·v3 Two friends purchase a vacation property in Hawaii together. The deed makes no mention of how they hold title. Under Hawaii property law, they most likely hold the property as:

- A. Tenants in common ✓**
- B. Joint tenants with automatic survivorship rights
- C. Fractional owners in severalty
- D. Tenants by the entirety with marital protections

Answer: A. Hawaii presumes tenancy in common for multiple grantees unless the deed explicitly creates joint tenancy or another specified form of concurrent ownership.

Q 16.5 ·v4 A Hawaii property is conveyed to 'A and B' with no further details about their relationship. Which ownership arrangement is presumed by state law?

- A. Each owner holds an equal, undivided interest as tenants in common ✓**
- B. Each owner receives a separate, distinct legal parcel
- C. Right of survivorship passes to the surviving co-owner
- D. The parties own together as husband and wife by the entirety

Answer: A. Hawaii law presumes tenancy in common as the default concurrent ownership form; joint tenancy rights of survivorship and tenancy by the entirety require express deed language.

Q 16.5 ·v5 When a Hawaii deed conveys property to two individuals without specifying the type of co-ownership, which form applies by statute?

- A. Tenancy in common ✓**
- B. Tenancy by the entirety
- C. Joint tenancy with right of survivorship
- D. Severalty with undivided interest

Answer: A. Hawaii law presumes tenancy in common when co-owners are not married and no express survivorship language is used; it is the default presumption.

Q 16.5 ·v6 A property is deeded to Sarah and Michael with no explicit language regarding survivorship or unity of title. Absent any other agreement, what is the resulting ownership arrangement in Hawaii?

- A. Tenancy in common ✓**
- B. Joint tenancy automatically
- C. Tenancy by the entirety
- D. Sole ownership split equally

Answer: A. Tenancy in common is the default form of co-ownership in Hawaii when no express intent for joint tenancy or tenancy by the entirety is stated in the conveyance.

Q 16.5 ·v7 Which co-ownership form in Hawaii requires explicit language in the deed to be created, as it is not the presumed default?

- A. Undivided interest ownership
- B. Tenancy in common
- C. Tenancy by the entirety for married couples
- D. Joint tenancy with right of survivorship ✓**

Answer: D. Joint tenancy must be expressly created with clear language stating the intent for survivorship rights; without such language, the law defaults to tenancy in common.

Q 16.5 · v8 A Hawaii property is conveyed to two unrelated individuals. The deed is silent on the nature of their ownership rights. Which presumption does Hawaii property law apply?

- A. Concurrent ownership by statute only
- B. Tenancy in common with equal shares ✓**
- C. Tenancy by the entirety
- D. Joint tenancy with automatic survivorship

Answer: B. Hawaii statute presumes tenancy in common when co-ownership intent is not explicitly expressed in the deed; this is the default form unless joint tenancy is specifically created.

Q 16.5 · v9 When two individuals purchase real property in Hawaii without explicitly stating how title should be held, what form of ownership is presumed?

- A. Tenancy by the entirety with survivorship rights
- B. Joint tenancy with right of survivorship
- C. Sole and separate property ownership
- D. Tenancy in common with equal undivided interests ✓**

Answer: D. Hawaii law presumes tenancy in common as the default co-ownership form when the deed or purchase agreement does not specify joint tenancy or another arrangement. Tenancy in common allows each owner an undivided interest without survivorship rights.

Q 16.6 A married couple takes title with both survivorship and creditor protection. They likely hold:

- A. Joint tenancy
- B. Tenancy by the entirety ✓**
- C. Severalty
- D. Tenancy in common

Answer: B. Tenancy by the entirety = spousal-only with both features.

Q 16.6 · v1 A husband and wife purchase residential property in Hawaii and want both the right of survivorship and immunity from individual creditor claims. Which form of ownership best meets these requirements?

- A. Joint tenancy with creditor exemption
- B. Tenancy in common with spousal rights
- C. Tenancy by the entirety ✓**
- D. Severalty with a survivorship clause

Answer: C. Only tenancy by the entirety provides both automatic survivorship rights and creditor protection for spouses holding title together.

Q 16.6 ·v2 Two spouses acquire land together in Hawaii. One spouse later faces a judgment lien from a personal creditor. If they hold title as tenancy by the entirety, what happens to the property?

- A. The creditor can force a partition sale immediately
- B. The creditor can attach a lien to the spouse's survivorship interest only
- C. The property automatically converts to joint tenancy

D. The property is protected from that spouse's individual creditors ✓

Answer: D. Tenancy by the entirety shields the entire property from claims by one spouse's individual creditors, treating the spouses as a single entity.

Q 16.6 ·v3 A married couple in Hawaii selects a title-holding method that ensures the surviving spouse automatically inherits the entire property and prevents either spouse's personal creditors from claiming an interest. This describes:

- A. Tenancy in common with right of survivorship
- B. Community property arrangement
- C. Joint tenancy with veto rights

D. Tenancy by the entirety ✓

Answer: D. Tenancy by the entirety is the spousal ownership form combining automatic survivorship and creditor protection in a single unified title.

Q 16.6 ·v4 Which form of co-ownership is available only to married couples in Hawaii and provides both the right of survivorship and protection against one spouse's individual creditors?

- A. Partnership ownership

B. Tenancy by the entirety ✓

- C. Joint tenancy
- D. Tenancy in common

Answer: B. Tenancy by the entirety uniquely combines spousal-only availability with both survivorship and individual creditor immunity.

Q 16.6 ·v5 A husband and wife purchase residential property in Hawaii and want automatic transfer rights upon death while maintaining protection from individual creditors. Which ownership form best meets both objectives?

- A. Joint tenancy with right of survivorship
- B. Severalty with a will provision

C. Tenancy by the entirety ✓

- D. Tenancy in common with survivorship clause

Answer: C. Tenancy by the entirety is the only title form that combines both right of survivorship AND creditor protection for married couples in Hawaii.

Q 16.6 ·v6 Two spouses hold title to Oahu beachfront property. Upon one spouse's death, title automatically passes to the surviving spouse, and neither spouse's separate creditors can attach a lien against the property. This ownership arrangement is most likely a:

- A. Tenancy by the entirety ✓**
- B. Joint tenancy between unrelated parties
- C. Tenancy in common
- D. Community property with survivorship

Answer: A. Only tenancy by the entirety provides both automatic survivorship to the remaining spouse and creditor protection inherent to the tenancy form.

Q 16.6 ·v7 A married couple in Hawaii wants title to their vacation home structured so that the property automatically vests in the surviving spouse at death, and their individual creditors cannot pursue claims against the property. What form of co-ownership achieves both goals?

- A. Tenancy in common
- B. Joint tenancy
- C. Partnership ownership
- D. Tenancy by the entirety ✓**

Answer: D. Tenancy by the entirety is specifically designed for married couples and uniquely provides both right of survivorship and spousal creditor protection.

Q 16.6 ·v8 At closing, a married couple elects a title form that provides survivorship rights and shields the property from claims by one spouse's individual creditors. Which ownership structure did they most likely choose?

- A. Joint tenancy with liability waivers
- B. Tenancy in common with cross-default provisions
- C. Severalty with spousal consent requirement
- D. Tenancy by the entirety ✓**

Answer: D. Tenancy by the entirety is the sole ownership form that statutorily combines survivorship with inherent creditor protection for married spouses.

Q 16.6 ·v9 A husband and wife purchase residential property in Hawaii and want automatic transfer of ownership upon one spouse's death while also protecting their interest from individual creditors. Which ownership form achieves both objectives?

- A. Tenancy in common with a survivorship agreement
- B. Community property arrangement
- C. Joint tenancy with right of survivorship
- D. Tenancy by the entirety ✓**

Answer: D. Tenancy by the entirety is the only form that provides both survivorship rights AND creditor protection, as creditors of one spouse cannot attach the property without both spouses' consent.

Q 16.7 Quiet title is:

- A. A mortgage clause
- B. A court action to resolve title clouds ✓**
- C. A type of deed
- D. An encumbrance

Answer: B. Court action to confirm ownership and resolve clouds.

Q 16.7 ·v1 Which of the following best describes the purpose of a quiet title action?

- A. To transfer ownership from one party to another without conveyance
- B. To record a second mortgage on the property
- C. To remove or eliminate defects and claims against the property's ownership ✓**
- D. To establish a lien against the property for unpaid taxes

Answer: C. A quiet title action is a judicial proceeding brought to settle ownership disputes and clear clouds on the title; it does not transfer ownership but rather confirms it.

Q 16.7 ·v2 A property owner discovers a cloud on title from an old, potentially invalid lien. What legal remedy would resolve this issue?

- A. Recording a warranty deed
- B. Obtaining title insurance endorsement
- C. Filing a quiet title lawsuit ✓**
- D. Executing a quit claim deed to the lienholder

Answer: C. A quiet title action is a court proceeding that eliminates clouded title by judicial determination, allowing the owner to confirm clear ownership and remove questionable claims.

Q 16.7 ·v3 In Hawaii real estate law, what type of legal proceeding is used when a property owner needs to clear uncertain or disputed claims of ownership?

- A. A conveyance through a special warranty deed
- B. A quiet title action in district or circuit court ✓**
- C. A foreclosure proceeding by the mortgage lender
- D. An action for specific performance on a purchase contract

Answer: B. Quiet title actions are judicial proceedings specifically designed to resolve title defects and confirm an owner's rights by clearing clouds from the record.

Q 16.7 ·v4 A seller cannot deliver clear title due to a disputed easement from decades past. Which remedy would a buyer most likely pursue?

- A. Cancel the sale and file a breach of contract claim only
- B. Petition the county to revise the recorded plat map
- C. Request the seller execute a quitclaim deed and assume the risk

D. Bring a quiet title action to judicially settle the ownership dispute ✓

Answer: D. A quiet title action provides judicial resolution to title clouds like disputed easements, confirming ownership rights and clearing the defect from the record.

Q 16.7 ·v5 A seller discovers a lien from a previous owner on the property title. To clear this cloud on the title, the seller would most likely file:

- A. A title insurance claim with the insurer
- B. A quitclaim deed with the county recorder

C. A quiet title action in court ✓

- D. A notice of default against the lienholder

Answer: C. A quiet title action is a legal proceeding used to remove clouds on title and confirm clear ownership by court decree.

Q 16.7 ·v6 Which of the following BEST describes the purpose of a quiet title lawsuit?

A. To establish marketable title and eliminate competing claims or defects ✓

- B. To reduce the assessed value of real property for tax purposes
- C. To prevent a mortgagee from foreclosing on residential property
- D. To create a valid mechanic's lien against the property

Answer: A. Quiet title actions are judicial proceedings that establish clear ownership by removing title defects, liens, and other competing claims.

Q 16.7 ·v7 An owner wants to clear a disputed easement and an old tax deed claim from the property records. The most appropriate legal remedy is:

- A. Recording a disclaimer of interest with the county

B. Requesting a quiet title action through the courts ✓

- C. Executing a warranty deed to a new owner
- D. Filing a statutory declaration of homestead

Answer: B. A quiet title action is a court proceeding specifically designed to remove title defects and resolve ownership disputes.

Q 16.7 · v8 When a property has multiple parties claiming ownership rights or unresolved liens, a real estate attorney typically recommends filing:

- A. A release of security agreement
- B. An affidavit of adverse possession
- C. A quiet title suit in district court ✓**
- D. An amendment to the deed of trust

Answer: C. A quiet title suit is the legal action used to resolve competing claims and clear title defects through court judgment.

Q 16.7 · v9 A property owner files a lawsuit to remove defects from the chain of title and establish clear ownership. This legal proceeding is known as:

- A. A notice of default
- B. A reconveyance deed
- C. A mechanic's lien action
- D. An action for quiet title ✓**

Answer: D. Quiet title is a judicial proceeding that resolves clouds on title and confirms the owner's right to clear ownership of the property.

17

Hawaii: Contracts & Addenda

State portion 6 PSI items 15 key concepts 7 base questions

Hawaii uses standardized purchase forms with required addenda. Know which addendum attaches when.

CHAPTER OVERVIEW

The Hawaii Association of REALTORS® (HAR) publishes the most-used standard residential purchase contract — the Deposit Receipt Offer and Acceptance ("DROA"). Every Hawaii agent should be able to read it cold and identify each section: parties, property, price, deposit, financing, closing date, contingencies (inspection, financing, appraisal, condo docs review), prorations, conveyance tax, escrow, signatures. The DROA is a starting template — modifications require careful drafting and ideally attorney review for non-standard terms.

Required addenda by transaction type. Lead-based paint addendum for pre-1978 housing (federal). Seller's Real Property Disclosure Statement under HRS 508D. Condominium Public Report addendum for new condo sales (developer disclosure). HAR's lead-based paint addendum, often combined with the federal form. As-is addendum if applicable. Various contingency addenda — inspection, appraisal, financing, sale-of-buyer's-current-home. Counter-offer forms when responses change material terms.

Listing agreements in Hawaii follow standard categories: Exclusive Right to Sell (most common), Exclusive Agency, Open Listing. The HAR listing agreement form covers commission rate, term, listing price, agent obligations, seller obligations, MLS authorization, and dispute resolution. Net listings are generally avoided due to conflict-of-interest concerns.

Dual-agency consent forms (Form RR105C or current equivalent) are mandatory in Hawaii before any dual representation begins. The form explains the consumer's options: representation by seller's agent, representation by buyer's agent, dual agency (with informed consent), or customer status (no representation). The form must be delivered "before any substantive interaction" — practically, before showings or any negotiation. Designated-agency arrangements within a brokerage are also typical and require their own disclosure.

Common contract pitfalls: failing to specify whether contingencies are passive ("expires unless objected to within X days") or active ("requires written notice to remove or contract terminates"); failing to state whether closing date is "time of the essence"; ambiguity on who pays which closing costs (some traditional Hawaii allocations differ from mainland); missing addenda that void disclosure protection; failing to identify the proper TMK including any CPR designation.

Counter-offers on the standard HAR form preserve all unchanged terms. Multiple counters can occur. Each counter resets prior offers — the most recent counter is the live one. "Acceptance" of a counter must be unconditional; a further change is itself a new counter. Time to respond is governed by the form's terms (often 24-72 hours).

Earnest money deposit handling: typically held in the listing brokerage's trust account or by the escrow company. Hawaii custom is to deposit with escrow rather than the listing brokerage in most resale transactions. Failure to deposit promptly can void the contract and creates broker liability.

Distressed property and short-sale contracts add layers: lender approval contingencies, additional disclosures, longer timelines, often "subject to lender approval" language. Hawaii also has Distressed Property Conveyance (DPC) protections under HRS 480E for certain transactions involving residences in default.

KEY CONCEPTS & DEFINITIONS

DROA	Deposit Receipt Offer and Acceptance — Hawaii's standard residential purchase form (HAR-published).
Hawaii Association of REALTORS® (HAR)	Statewide REALTOR® organization. Publishes standard forms.
Lead-paint addendum	Federal mandate for pre-1978 housing. Buyer 10-day inspection right.
HRS 508D disclosure	Seller's Real Property Disclosure Statement. Required for residential resales.
Condominium Public Report	Required developer disclosure for new condo sales.
As-is addendum	Buyer accepts current condition. Doesn't override mandatory disclosures.
RR105C / Mandatory Agency Disclosure	Required form delivered before substantive interaction.
Dual agency consent	Written consent from both parties. Required before dual representation.
Designated agency	Different agents in same firm represent opposite sides.
Counter-offer	Conditional acceptance with changed terms. Cancels prior offer.
Earnest money handling	Typically held in escrow; deposited promptly.
Distressed Property Conveyance Act (HRS 480E)	Protections for residences in default during sale.
Inspection contingency	Buyer's right to inspect and request repairs or terminate.
Financing contingency	Buyer must obtain financing within X days.
Condo document review contingency	Buyer's right to review AOAO documents and terminate if unacceptable.

QUESTION BANK — HAWAII: CONTRACTS & ADDENDA

Q 17.1 Hawaii's standard residential purchase contract is:

- A. TCT
- B. CC&R
- C. CPR
- D. DROA ✓**

Answer: D. Deposit Receipt Offer and Acceptance.

Q 17.1 ·v1 When a buyer submits an offer to purchase residential property in Hawaii, the document used is most commonly known as:

- A. Deposit Receipt Offer and Acceptance ✓**
- B. Certificate of Property Rights
- C. Title Commitment and Transfer
- D. Covenants, Conditions & Restrictions form

Answer: A. The DROA is Hawaii's standard form for residential purchase offers and earnest money deposits. It memorializes the buyer's offer and acceptance terms.

Q 17.1 ·v2 Which of the following documents serves as Hawaii's primary residential sales contract and earnest money receipt?

- A. DROA ✓**
- B. TCT
- C. CC&R
- D. CPR

Answer: A. The Deposit Receipt Offer and Acceptance (DROA) is Hawaii's standard form that combines the purchase offer, earnest money receipt, and acceptance in a single document for residential transactions.

Q 17.1 ·v3 A listing agent in Hawaii receives an offer from a buyer's agent for a single-family home. The offer should be submitted using:

- A. Covenants and Conditions Record
- B. Title Commitment Template
- C. Deposit Receipt Offer and Acceptance ✓**
- D. Certificate Property Record

Answer: C. The DROA is Hawaii's required standard form for residential purchase contracts, providing a uniform format for offers, earnest money deposits, and acceptance in the island marketplace.

Q 17.1 ·v4 In Hawaii residential transactions, the binding contract that includes the buyer's earnest money deposit is formally called:

- A. TCT agreement
- B. CC&R documentation
- C. DROA document ✓**
- D. CPR document

Answer: C. The Deposit Receipt Offer and Acceptance (DROA) legally documents the offer to purchase, holds the earnest money deposit, and becomes the binding contract upon acceptance in Hawaii residential sales.

Q 17.1 ·v5 When a real estate licensee in Hawaii presents a buyer's offer to purchase residential property, which document form is typically used?

- A. Comprehensive Property Report
- B. Title Commitment and Transfer
- C. Condominium Declaration and Rules

D. Deposit Receipt Offer and Acceptance ✓

Answer: D. The DROA is the standard form used in Hawaii for residential purchase transactions to document the buyer's offer and the seller's acceptance.

Q 17.1 ·v6 Which of the following is the recognized standard contract document for residential real estate transactions in the State of Hawaii?

A. Deposit Receipt Offer and Acceptance ✓

- B. Title Commitment and Transfer
- C. Covenants, Conditions & Restrictions Statement
- D. Property Condition Report

Answer: A. The DROA (Deposit Receipt Offer and Acceptance) is Hawaii's standard residential purchase contract form recognized by the real estate commission.

Q 17.1 ·v7 A seller in Hawaii receives a written offer to purchase their residential home. The document containing this offer and acceptance is most likely to be:

- A. A Title Commitment Letter
- B. A Property Condition Disclosure

C. A Deposit Receipt Offer and Acceptance ✓

- D. A Covenant and Restriction Document

Answer: C. The DROA is the standard Hawaii residential purchase contract form where buyer offers and seller acceptance are documented and executed.

Q 17.1 ·v8 In Hawaii real estate practice, what is the proper name of the standard form contract used to bind a buyer and seller to a residential property purchase?

- A. Countersigned Property Agreement
- B. Residential Purchase and Finance Agreement

C. Deposit Receipt Offer and Acceptance ✓

- D. Real Estate Sales Contract Addendum

Answer: C. The DROA is Hawaii's standard residential purchase contract that formalizes the offer from the buyer and acceptance by the seller.

Q 17.1 ·v9 When a buyer in Hawaii makes an offer to purchase residential real estate, the document used to record the offer, earnest money deposit, and seller's acceptance is called:

- A. DROA ✓**
- B. TCT
- C. CPR
- D. CC&R

Answer: A. The Deposit Receipt Offer and Acceptance (DROA) is Hawaii's standard form for residential purchase contracts, combining the earnest money receipt, buyer's offer, and space for seller acceptance in one document.

Q 17.2 For a 1965-built house, a buyer must receive:

- A. Lead-paint addendum + EPA pamphlet ✓**
- B. Conservation easement disclosure
- C. CPR declaration
- D. Time share rescission notice

Answer: A. Pre-1978 housing requires lead-paint disclosure.

Q 17.2 ·v1 A seller of a home constructed in 1972 is legally required to provide the buyer with:

- A. Homeowners association transfer fee notice
- B. Mold inspection certification
- C. Lead-based paint disclosure and federal EPA information pamphlet ✓**
- D. Radon mitigation system documentation

Answer: C. All pre-1978 residential properties must include lead-paint disclosure and the EPA pamphlet 'Protect Your Family from Lead in Your Home' before transfer of title.

Q 17.2 ·v2 When purchasing a single-family residence built in 1973, what federally-mandated disclosure must accompany the sales contract?

- A. Flood zone certification letter
- B. Historic property registry documentation
- C. Lead-paint addendum with EPA consumer guidance pamphlet ✓**
- D. Property condition warranty agreement

Answer: C. Federal law requires disclosure of lead-based paint hazards for any residential property built before 1978, including the required EPA informational pamphlet.

Q 17.2 ·v3 A real estate licensee representing a buyer in the purchase of a 1968-built condominium must ensure the buyer receives:

- A. HOA reserve study and financial statements
- B. Energy efficiency audit report
- C. Title insurance commitment and preliminary report

D. Lead-based paint hazard disclosure and EPA pamphlet ✓

Answer: D. Properties constructed prior to 1978 require mandatory lead-paint disclosure documentation and the EPA's federally-approved educational pamphlet under the Residential Lead-Based Paint Hazard Disclosure Rule.

Q 17.2 ·v4 Before closing on a home originally built in 1966, federal regulations mandate that the buyer be provided with:

- A. Asbestos survey and remediation plan

B. Lead-paint disclosure form and EPA educational brochure ✓

- C. Pest control treatment guarantee
- D. Underground storage tank removal certification

Answer: B. Pre-1978 residential properties fall under federal lead-paint disclosure requirements, which mandate both a disclosure addendum and the official EPA pamphlet be given to the buyer.

Q 17.2 ·v5 A property built in 1972 is being sold to a family with young children. Which disclosure document is legally required before closing?

- A. Homeowners association architectural guidelines
- B. CPR certification declaration

C. Lead-based paint disclosure and federal EPA information pamphlet ✓

- D. Mold remediation certificate

Answer: C. Federal law requires lead-paint disclosure and EPA pamphlet for all homes built before 1978, regardless of buyer age or family composition.

Q 17.2 ·v6 An agent lists a home constructed in 1963. Prior to marketing, the seller must acknowledge receipt of:

- A. Solar easement waiver

B. Lead-paint disclosure form and EPA-approved educational materials ✓

- C. Flood zone notification letter
- D. Timeshare exit counseling notice

Answer: B. All pre-1978 residential properties require federal lead-paint disclosure and EPA consumer information pamphlet before sale or listing.

Q 17.2 ·v7 When representing a buyer on a 1975 home purchase, which federally mandated document must be provided during the transaction?

- A. EPA lead-based paint pamphlet with disclosure addendum ✓**
- B. Private mortgage insurance disclosure
- C. Radon testing report
- D. Homeowners insurance binder

Answer: A. Pre-1978 housing sales federally require lead-paint disclosure and EPA pamphlet; this applies to all transactions regardless of condition.

Q 17.2 ·v8 A seller has owned a 1969-built single-family home for 15 years and is now selling. Which disclosure is non-waivable?

- A. Neighborhood crime statistics form
- B. Homeowner association master deed
- C. Energy efficiency audit report
- D. Lead-paint addendum and EPA informational pamphlet ✓**

Answer: D. Lead-paint disclosure and EPA pamphlet are federal requirements for pre-1978 homes and cannot be waived by buyer or seller agreement.

Q 17.2 ·v9 A property constructed in 1972 is being sold to a new owner. Which disclosure document is federally mandated before the buyer commits to the purchase?

- A. Homeowners association financial statement
- B. Mold inspection certification
- C. Lead-based paint disclosure and EPA educational pamphlet ✓**
- D. Asbestos remediation report

Answer: C. All pre-1978 residential properties must provide lead-based paint disclosure and the EPA pamphlet 'Protect Your Family from Lead in Your Home' before the buyer is obligated to purchase.

Q 17.3 Dual agency in Hawaii requires:

- A. Broker's sole consent
- B. Written consent from both parties ✓**
- C. Verbal consent only
- D. No consent if commission is disclosed

Answer: B. HRS 467 + best practice: written informed consent from both.

Q 17.3 ·v1 When a Hawaii real estate licensee represents both the buyer and seller in the same transaction, what documentation is legally required?

- A. An oral agreement witnessed by the broker's manager
- B. A letter from the Hawaii Real Estate Commission approving the arrangement
- C. Only the standard purchase agreement without additional disclosures

D. A signed disclosure and consent form from each party ✓

Answer: D. Hawaii real estate law mandates written informed consent from both parties when dual agency exists; oral consent alone is insufficient and creates legal liability.

Q 17.3 ·v2 A broker in Hawaii wants to represent both parties in a residential sale. Which of the following correctly describes the legal requirement?

- A. Dual agency is permitted without consent if the transaction involves a standard commission split

B. Both the buyer and seller must provide written informed consent before proceeding ✓

- C. The broker may proceed if the seller's listing agreement includes a dual agency clause
- D. The broker needs only the listing broker's approval to represent both sides

Answer: B. HRS 467-14 requires affirmative written informed consent from both parties; broker approval alone or contractual clauses do not satisfy this statutory mandate.

Q 17.3 ·v3 Under Hawaii real estate law, if a licensee intends to represent both the buyer and seller, what must occur before entering into dual agency?

- A. Only the party paying the commission needs to consent in writing
- B. The licensee must obtain the broker's written permission and file with the REC

C. Each party must independently acknowledge the conflict and sign a dual-agency consent document ✓

- D. The licensee must disclose the situation verbally and receive confirmation via email

Answer: C. Both parties must provide written, informed consent acknowledging the dual agency conflict; email confirmations and broker-only approval do not fulfill the statutory requirement.

Q 17.3 ·v4 A Hawaii real estate agent discovers mid-transaction that she can represent the buyer, even though she listed the property. What step must the agent take to legally proceed as a dual agent?

- A. Disclose the dual agency only if asked directly by either party

B. Secure written consent from both the buyer and seller disclosing the dual agency relationship ✓

- C. Request a waiver from the Hawaii Real Estate Commission before taking on the buyer's representation
- D. Immediately notify the broker and proceed while documentation is being prepared

Answer: B. Written informed consent from both parties is a prerequisite to dual agency; proceeding without documented consent violates Hawaii's fiduciary standards.

Q 17.3 ·v5 Under Hawaii real estate law, when a broker intends to represent both the buyer and seller in the same transaction, what documentation is legally required?

- A. Oral acknowledgment recorded at the closing table
- B. Commission disclosure to the MLS satisfies the requirement
- C. Written consent executed by both the buyer and the seller ✓**
- D. A signed dual agency acknowledgment form from the broker alone

Answer: C. HRS 467-14 mandates written informed consent from all parties to a dual agency arrangement; oral consent or broker-only acknowledgment is insufficient.

Q 17.3 ·v6 A Hawaii real estate licensee discovers mid-transaction that she will be representing both parties. To comply with state law, she must immediately obtain:

- A. A waiver of liability from the MLS
- B. Management approval from the broker's compliance department
- C. The seller's verbal approval only
- D. A written disclosure of dual agency signed by both the buyer and seller ✓**

Answer: D. Hawaii law requires written informed consent from both parties before a licensee can lawfully act as a dual agent; verbal approval does not satisfy legal requirements.

Q 17.3 ·v7 Which of the following best describes the consent requirement for dual agency representation in Hawaii?

- A. The listing agent's verbal agreement is sufficient if the transaction is expedited
- B. The broker may proceed with dual agency if the sales commission is fully transparent
- C. Dual agency requires only a broker's internal memorandum filed with the Hawaii REC
- D. Both the buyer and seller must provide written, informed consent before the dual agency relationship begins ✓**

Answer: D. Hawaii statute requires written consent from all parties involved in a dual agency; transparency of commission alone or broker documentation does not fulfill this mandate.

Q 17.3 ·v8 A broker in Hawaii proposes to represent both sides of a residential sale. To ensure legal compliance, the broker must secure:

- A. A notarized statement that the broker is acting impartially
- B. Separate written consent from each party disclosing the dual agency arrangement ✓**
- C. Oral assent from both parties, followed by email confirmation
- D. A single written consent document signed by the seller and initialed by the buyer

Answer: B. HRS 467 requires written informed consent from each party acknowledging the dual agency before representation begins; email confirmation or notarized impartiality statements do not satisfy this requirement.

Q 17.3 ·v9 When a Hawaii real estate licensee represents both the buyer and seller in the same transaction, what documentation must be obtained?

- A. Oral acknowledgment from the broker that the transaction is authorized
- B. Email confirmation from either party indicating awareness of the dual representation
- C. A single signed disclosure form submitted only to the Hawaii Real Estate Commission

D. Documented written consent signed by both the buyer and the seller ✓

Answer: D. Hawaii law (HRS 467) and Hawaii REC rules mandate written informed consent from both parties before a licensee may act as a dual agent; oral or email-only agreements do not satisfy this requirement.

Q 17.4 The Mandatory Agency Disclosure form must be delivered:

A. Before substantive interaction with consumer ✓

- B. After offer signed
- C. Only if asked
- D. At closing

Answer: A. Before any substantive interaction — showings or negotiation.

Q 17.4 ·v1 When must a licensee first provide the Mandatory Agency Disclosure form to a prospective buyer or seller?

- A. Upon request by the consumer
- B. During the escrow closing process
- C. Once a written offer has been prepared

D. Prior to any meaningful discussions about properties or terms ✓

Answer: D. The form must be delivered before substantive interaction begins, including property discussions and negotiations, not after offers or upon request.

Q 17.4 ·v2 A licensee shows a property to a potential buyer and discusses financing options. At what point should the Mandatory Agency Disclosure have been delivered?

- A. Within 24 hours after the showing
- B. When the purchase agreement is executed
- C. Only if the buyer requests agency clarification

D. Before the showing and discussion occurred ✓

Answer: D. The disclosure must be provided before any substantive interaction, which includes property showings and discussions about terms or financing.

Q 17.4 ·v3 Which timing requirement applies to delivery of the Mandatory Agency Disclosure form in Hawaii real estate transactions?

- A. It may be given at any point before closing
- B. It satisfies compliance if provided verbally before contract signing
- C. It is required only after a seller accepts an offer

D. It must precede all substantive negotiations and property showings ✓

Answer: D. The form must be delivered before substantive interaction—including showings, negotiations, and any meaningful consumer engagement—to comply with disclosure requirements.

Q 17.4 ·v4 A licensee begins discussing comparable market values and property features with a consumer. What should have already occurred?

A. The Mandatory Agency Disclosure form should have been delivered ✓

- B. The title commitment should have been reviewed
- C. The appraisal contingency should have been waived
- D. The consumer should have signed the purchase agreement

Answer: A. Before any substantive interaction such as discussing market values, property features, or negotiation terms, the Mandatory Agency Disclosure must be provided to the consumer.

Q 17.4 ·v5 When must a real estate licensee present the Mandatory Agency Disclosure form to a prospective buyer or seller?

- A. During the final walk-through inspection
- B. Upon receipt of a fully executed purchase contract
- C. Prior to any meaningful business discussion or property showing ✓**
- D. Only when the consumer requests clarification about agency

Answer: C. The disclosure must be provided before substantive interaction begins, including before showing properties or discussing representation.

Q 17.4 ·v6 A licensee is meeting with a potential client for the first time. At what point is the Mandatory Agency Disclosure form legally required to be given?

A. Before any substantive discussion or property tour takes place ✓

- B. Only if the consumer indicates interest in making an offer
- C. At the time of contract execution
- D. Within 24 hours after the initial meeting

Answer: A. Hawaii law requires delivery before substantive interaction, which means before showings, negotiations, or detailed business discussions commence.

Q 17.4 ·v7 Which statement best describes when the Mandatory Agency Disclosure must be delivered under Hawaii real estate law?

- A. When requested by the consumer during the transaction process
- B. At the time of closing, along with other final documents
- C. Before any substantive interaction, including property showings or representation discussions ✓**
- D. After a written offer has been accepted by the seller

Answer: C. The disclosure requirement is triggered before substantive interaction—showings and negotiations qualify as substantive interaction requiring prior disclosure.

Q 17.4 ·v8 A consumer calls a licensee to schedule a showing of a residential property. The licensee must deliver the Mandatory Agency Disclosure form:

- A. After the consumer decides to make an offer on a property
- B. Before beginning to discuss representation or show properties ✓**
- C. Only if the consumer asks what agency relationship will be provided
- D. At the property before entering to view the inside

Answer: B. The timing requirement is before any substantive interaction occurs, which includes scheduling and conducting property showings or discussing agency matters.

Q 17.4 ·v9 When must a licensee provide the Mandatory Agency Disclosure to a prospective buyer or seller?

- A. During the closing meeting
- B. Prior to any meaningful discussion about property or representation ✓**
- C. At the consumer's request only
- D. Once a purchase agreement has been executed

Answer: B. Hawaii real estate law requires the Mandatory Agency Disclosure be given before substantive interaction, which includes property showings, price discussions, or representation negotiations.

Q 17.5 A counter-offer at the negotiating table:

- A. Voids the listing
- B. Locks in original price
- C. Must be rejected
- D. Cancels the original offer and replaces it ✓**

Answer: D. Counter cancels prior; new live offer.

Q 17.5 ·v1 When a seller presents a counter-offer to a buyer's original offer, what is the legal effect on the initial offer?

- A. Both offers exist simultaneously and the buyer may accept either one
- B. The original offer is suspended but can be revived if the counter is rejected
- C. The original offer remains active until the counter-offer is signed

D. The original offer is terminated and superseded by the counter-offer ✓

Answer: D. A counter-offer extinguishes the original offer by operation of law; only the counter now exists as the live offer for acceptance.

Q 17.5 ·v2 Under Hawaii real estate law, if a seller responds to a purchase offer with modified terms, which statement best describes the status of the original offer?

- A. It becomes a binding preliminary agreement
- B. It is held in escrow pending final acceptance
- C. It remains binding on both parties unless explicitly waived

D. It is withdrawn and replaced by the new counter-proposal ✓

Answer: D. The counter-offer legally cancels and replaces the original offer; the buyer and seller are no longer bound by the initial terms.

Q 17.5 ·v3 A buyer submits an offer to purchase a property at \$500,000. The seller responds with a counter-offer at \$525,000 with different financing terms. What happens to the buyer's original \$500,000 offer?

A. It is eliminated by the counter-offer and no longer exists as a live offer ✓

- B. It is preserved as an alternative the buyer may later elect
- C. It requires mutual written consent to be withdrawn
- D. It continues in force until the counter-offer is fully negotiated

Answer: A. Once the seller counters with different terms, the original offer is dead; only the counter-offer remains for the buyer to accept or reject.

Q 17.5 ·v4 During offer negotiations, a seller presents a counter-offer with adjusted price and closing date. From a contract law perspective, this counter-offer:

A. Constitutes a rejection of the buyer's offer and creates a new offer from the seller ✓

- B. Requires the buyer's broker to approve before it becomes effective
- C. Accepts the buyer's offer in substance but modifies non-material terms
- D. Suspends the buyer's offer while the parties continue informal negotiations

Answer: A. A counter-offer is both a rejection of the original offer and a new offer made by the counter-offering party; the original offer is no longer available for acceptance.

Q 17.5 ·v5 When a seller presents a counter-offer to a buyer's initial proposal, what is the legal effect on the original offer?

- A. The original offer is suspended but can be revived if the counter is rejected
- B. The original offer is terminated and superseded by the counter-offer ✓**
- C. Both offers exist simultaneously and the buyer must choose one
- D. The original offer remains active until the counter-offer is signed

Answer: B. A counter-offer extinguishes the original offer by operation of law; only the counter becomes the active, live offer on the table.

Q 17.5 ·v6 During contract negotiations, the buyer's agent submits a revised offer with different terms than the seller's initial proposal. This revised offer:

- A. Constitutes a rejection of the original offer and creates a new offer ✓**
- B. Maintains both the original and new terms in a combined contract
- C. Modifies the original terms while keeping the offer alive
- D. Requires written approval from the listing agent before it terminates the original

Answer: A. A counteroffer is a rejection of the original offer and the presentation of new terms; the original offer ceases to exist once the counter is communicated.

Q 17.5 ·v7 In Hawaii real estate negotiations, when a seller responds to a purchase offer with modified terms, the original offer's status becomes:

- A. Dead—it no longer exists and is replaced by the counter-offer ✓**
- B. Held in escrow until both parties agree on final terms
- C. Binding on the buyer unless they formally withdraw within 24 hours
- D. Accepted conditionally pending the buyer's review

Answer: A. Counter-offers automatically terminate the prior offer; the prior offer cannot be accepted once a counter has been made because it no longer exists as a live option.

Q 17.5 ·v8 A seller receives an offer from a buyer and provides a written response with revised price and closing terms. Regarding the buyer's initial offer, it is now:

- A. Valid and may be accepted by the seller at any time during the transaction
- B. Enforceable as a backup in case the counter-offer fails
- C. Extinguished and replaced by the seller's counter-proposal ✓**
- D. Temporarily suspended while the counter-offer is negotiated

Answer: C. The counter-offer legally destroys the original offer; once made, the original cannot be revived or accepted because it no longer exists as a valid offer.

Q 17.5 ·v9 When a seller presents a counter-offer to a buyer's original proposal, what is the legal effect on the buyer's initial offer?

- A. It is terminated and superseded by the counter-offer as the new negotiating position ✓**
- B. It remains active and binding until the seller formally withdraws it in writing
- C. It becomes part of a binding contract once acknowledged by either party
- D. It is suspended but can be revived if the counter-offer is rejected within 24 hours

Answer: A. A counter-offer operates as a rejection of the original offer and creates a new offer from the seller; the original buyer offer no longer exists as a live proposition.

Q 17.6 New condominium sales typically require which special disclosure to the buyer?

- A. HARPTA waiver
- B. CC&R abstract
- C. Condominium Public Report ✓**
- D. TCT abstract

Answer: C. Developer must provide Public Report on new condo sales.

Q 17.6 ·v1 When a developer offers a newly constructed condominium for sale in Hawaii, what document must be provided to prospective purchasers before they commit to buy?

- A. Homeowners association bylaws
- B. Subdivision approval certificate
- C. Condominium Public Report ✓**
- D. Property condition disclosure form

Answer: C. The Condominium Public Report is a mandatory disclosure document required by Hawaii law for all new condominium sales by the developer.

Q 17.6 ·v2 A buyer is considering purchasing a brand-new condo unit directly from the developer. Which of the following is the primary state-required disclosure document she should expect to receive?

- A. Condominium Public Report ✓**
- B. Estoppel certificate
- C. HARPTA Declaration form
- D. Mechanics' lien waiver

Answer: A. Hawaii law mandates that developers provide a Condominium Public Report to all buyers of new condominium units to inform them of project details and financial information.

Q 17.6 ·v3 Which disclosure document is specifically required in Hawaii when a developer sells a newly developed condominium property?

- A. Condominium Public Report ✓**
- B. Planned community disclosure statement
- C. Title insurance commitment
- D. Flood zone determination letter

Answer: A. The Condominium Public Report is the specific Hawaii disclosure required for new condo sales and must be provided by the developer to comply with state regulations.

Q 17.6 ·v4 In Hawaii, if you are purchasing a new condominium unit from a developer, what is the standard disclosure document you are entitled to receive that addresses the condominium project details?

- A. Private lender approval letter
- B. Condominium Public Report ✓**
- C. Environmental impact assessment
- D. CC&R enforcement agreement

Answer: B. The Condominium Public Report is the required disclosure document for new condo sales in Hawaii that details the condominium project and its legal/financial structure.

Q 17.6 ·v5 When a developer offers a newly constructed condominium unit for sale in Hawaii, what document must be delivered to prospective purchasers?

- A. Property condition disclosure form
- B. Builder's warranty certificate
- C. Condominium Public Report ✓**
- D. Subdivision Map approval

Answer: C. Hawaii law requires developers to furnish the Condominium Public Report to all buyers of new condo units before purchase.

Q 17.6 ·v6 A buyer is interested in purchasing a brand-new condominium unit from the developer. Which of the following disclosures is specifically mandated by the Hawaii Real Estate Commission for this transaction?

- A. Historic property certification
- B. Homeowners' association fee estimate
- C. Seller's statutory disclosure notice
- D. Condominium Public Report ✓**

Answer: D. The Condominium Public Report is a required disclosure document issued by the developer for new condominium sales in Hawaii.

Q 17.6 ·v7 Prior to closing on a newly developed condominium project, the developer must provide the buyer with which mandatory disclosure?

- A. Environmental site assessment
- B. Mortgage pre-approval letter
- C. Condominium Public Report ✓**
- D. Title insurance commitment

Answer: C. New condo sales in Hawaii require the developer to deliver the Condominium Public Report to inform buyers of the project's status and terms.

Q 17.6 ·v8 Which document is legally required to accompany the sale of a newly constructed condominium unit in Hawaii?

- A. Condominium Public Report ✓**
- B. Flood zone determination letter
- C. Community association bylaws only
- D. Homeowners' insurance policy

Answer: A. Developers must provide buyers with the Condominium Public Report for all new condo unit sales as a mandatory disclosure requirement.

Q 17.6 ·v9 When a developer sells a newly constructed condominium unit in Hawaii, which document must be provided to inform the buyer about the project's registration status and key details?

- A. Property Tax Assessment Notice
- B. Title Insurance Commitment
- C. Estoppel Certificate from the HOA
- D. Condominium Public Report ✓**

Answer: D. Hawaii law requires developers to furnish the Condominium Public Report to prospective purchasers of new condominiums to disclose essential project information and regulatory status.

Q 17.7 Hawaii's Distressed Property Conveyance protections are at:

- A. HRS 52I
- B. HRS 480E ✓**
- C. HRS 508D
- D. HRS 467

Answer: B. HRS 480E covers distressed property conveyance.

Q 17.7 ·v1 Under Hawaii real estate law, which statute specifically addresses the protection of homeowners in distressed property transactions?

- A. HRS 521 (Residential Tenancies)
- B. HRS 467 (Hawaii Real Estate Commission)
- C. HRS 480E (Distressed Property Conveyance) ✓**
- D. HRS 508D (Mandatory Seller Disclosures)

Answer: C. HRS 480E is the Hawaii statute that governs distressed property conveyance protections and sets standards for transactions involving financially distressed properties.

Q 17.7 ·v2 A Hawaii broker needs to identify which statute governs anti-fraud protections for distressed property conveyances. Where should they look?

- A. HRS 508D
- B. HRS 521
- C. HRS 467
- D. HRS 480E ✓**

Answer: D. HRS 480E contains Hawaii's distressed property conveyance protections, including requirements for notice, waiting periods, and anti-predatory lending safeguards.

Q 17.7 ·v3 Which of the following Hawaii Revised Statutes provides the legal framework for regulating transactions involving properties where owners face financial hardship?

- A. HRS 521 (landlord-tenant relations)
- B. HRS 480E (distressed property conveyance) ✓**
- C. HRS 508D (condominium governance)
- D. HRS 467 (licensing and conduct)

Answer: B. HRS 480E specifically addresses distressed property conveyance and protects property owners experiencing financial distress from predatory transactions.

Q 17.7 ·v4 A homeowner facing foreclosure in Hawaii wants to know which statute protects them during a distressed property sale. The correct statutory reference is:

- A. HRS 480E ✓**
- B. HRS 521
- C. HRS 467
- D. HRS 508D

Answer: A. HRS 480E is the statute that provides distressed property conveyance protections, establishing buyer obligations and seller safeguards in financially distressed transactions.

Q 17.7 ·v5 Under Hawaii law, regulations governing the sale of distressed properties are primarily found in which statute?

- A. HRS 521 (Residential Landlord-Tenant Code)
- B. HRS 467 (Real Estate Commission)
- C. HRS 480E (Mortgage Rescue Fraud Prevention / Distressed Property Conveyance) ✓**
- D. HRS 508D (Mandatory Seller Disclosures)

Answer: C. HRS 480E contains Hawaii's distressed property conveyance protections and unfair/deceptive trade practice provisions.

Q 17.7 ·v6 A real estate licensee in Hawaii must be familiar with distressed property conveyance rules. These statutory protections are codified in:

- A. Chapter 480E of the Hawaii Revised Statutes ✓**
- B. Chapter 521 of the Hawaii Revised Statutes
- C. Chapter 508D of the Hawaii Revised Statutes
- D. Chapter 467 of the Hawaii Revised Statutes

Answer: A. HRS 480E establishes the legal framework for distressed property conveyance protections in Hawaii.

Q 17.7 ·v7 Which of the following Hawaii Revised Statutes sections addresses protections for homeowners in distressed property situations?

- A. HRS 521
- B. HRS 480E ✓**
- C. HRS 467
- D. HRS 508D

Answer: B. HRS 480E is the Hawaii statute that specifically covers distressed property conveyance protections and related consumer safeguards.

Q 17.7 ·v8 When counseling a client about distressed property transactions in Hawaii, you should reference the statutory requirements found in:

- A. HRS 508D (Mortgage Servicer Regulations)
- B. HRS 521 (Residential Landlord-Tenant Code)
- C. HRS 467 (Hawaii Real Estate Commission Authority)
- D. HRS 480E (Consumer Protection Laws) ✓**

Answer: D. HRS 480E contains the distressed property conveyance protections that licensees must follow in Hawaii.

Q 17.7 · v9 Under Hawaii law, which statute specifically governs the sale of distressed properties and establishes protections for vulnerable sellers?

- A. HRS 521 (Residential Tenancies)
- B. HRS 467 (Real Estate Commission)
- C. HRS 480E (Mortgage Rescue Fraud Prevention / Distressed Property Conveyance) ✓**
- D. HRS 508D (Mandatory Seller Disclosures)

Answer: C. HRS 480E contains Hawaii's distressed property conveyance protections, which regulate transactions involving properties in financial distress and establish buyer disclosure requirements.

18

Hawaii: Financing

State portion 4 PSI items 11 key concepts 5 base questions

Beyond standard mortgages, Hawaii sees more agreement-of-sale financing and unique lender quirks.

CHAPTER OVERVIEW

Agreement of Sale ("AOS") is a Hawaii-flavored installment land contract. The buyer takes possession but legal title stays with seller until purchase price is paid. Common when a buyer can't qualify for conventional financing, in leasehold-conversion deals where lender financing is unusual, or for unique properties. AOS is recordable and creates an equitable interest in the buyer. Default remedies typically follow the contract terms but generally require notice and a cure period; harsh forfeiture is disfavored.

Purchase Money Mortgage (PMM) is seller financing where the seller takes back a mortgage instead of all-cash. Common in Hawaii for high-end and unique properties where conventional lenders are slow or skeptical. The PMM is junior to any senior institutional financing and creates a recorded lien against the property. Common terms: 30-year amortization, 5-15 year balloon, market interest rate.

Hawaii institutional lenders include local credit unions (HSFCU, Aloha Pacific FCU, others), Bank of Hawaii, First Hawaiian Bank, Central Pacific Bank, plus mainland-headquartered banks and online lenders. Local lenders often have better insight into leasehold deals, condo project warrantability, and CPR quirks. Many condo projects are non-warrantable for Fannie/Freddie and require a portfolio lender.

Hawaii has a usury statute (HRS 478) capping consumer loan interest. Most institutional loans are exempt from the statutory cap (federal preemption + statutory exemption), but the cap matters mostly in private lending and seller financing. Verify the current cap and exemption rules; statutes update.

FHA, VA, and USDA loans are available in Hawaii but with state-specific caveats. FHA condo project approval is required — many Hawaii condos are not FHA-approved. VA loans work in Hawaii but the VA appraisal can be conservative on leasehold properties. USDA rural housing applies to specific eligible areas, more limited in Hawaii than mainland.

Closing costs in Hawaii: conveyance tax (state), recording fees, escrow fee, title insurance, lender fees, prorated taxes and condo fees, prepaid insurance and interest. Some allocations differ from mainland custom — agents should reference HAR's standard closing-cost allocation for guidance and customize per contract.

Lease conversion: the process of buying out the underlying fee on a leasehold property. Often complex, requiring lessor cooperation (sometimes legally compelled under certain statutes), professional appraisal of fee value, financing arrangement for the fee purchase, and recording of the deed-in-fee. Major lessors (Bishop Estate/Kamehameha Schools, others) have established processes for many of their leases.

KEY CONCEPTS & DEFINITIONS

Agreement of Sale (AOS)	Hawaii installment land contract. Buyer occupies; seller holds title until paid.
Purchase Money Mortgage (PMM)	Seller-financed mortgage taken back at sale.
Wraparound mortgage	New larger loan "wraps" existing senior loan. Seller financing structure.
HRS 478	Hawaii usury statute. Caps interest on certain non-institutional loans.
Warrantable condo	Condo project meeting Fannie/Freddie standards. Easier to finance.
Non-warrantable condo	Project failing Fannie/Freddie standards. Requires portfolio lender.
FHA condo approval	Required for FHA financing on condos. Many Hawaii projects not approved.
Lease conversion	Buying out underlying fee on leasehold property.
Bishop Estate / Kamehameha Schools	Major Hawaiian-history landowner. Many lease properties.
Portfolio lender	Lender holding loans on own books rather than selling to GSEs.
Equitable interest	Buyer's interest in property under AOS or contract for deed.

QUESTION BANK — HAWAII: FINANCING**Q 18.1** In an Agreement of Sale, legal title:

- A. Passes to escrow
- B. Passes to buyer immediately
- C. Passes to lender

D. Stays with seller until paid in full ✓**Answer: D.** AOS = installment land contract; title held by seller pending full payment.**Q 18.1 ·v1** Under a land contract (Agreement of Sale), when does the seller relinquish legal title to the buyer?

- A. Upon recording the contract with the Bureau of Conveyances
- B. Upon execution of the contract
- C. When the buyer makes the first down payment

D. Only after the buyer has paid the full purchase price ✓**Answer: D.** In a land contract, the seller retains legal title as security until the buyer completes all payments; title transfers only upon full satisfaction of the agreement.**Q 18.1 ·v2** Which statement correctly describes title ownership during an installment land contract transaction?

- A. The buyer receives equitable title and the lender holds legal title
- B. Title is split equally between buyer and seller until closing

C. The seller maintains legal title until the entire purchase price is paid ✓

- D. Escrow holds legal title on behalf of both parties

Answer: C. In an installment land contract, the seller holds legal title as collateral; the buyer obtains equitable title and legal title transfers only upon final payment.**Q 18.1 ·v3** In Hawaii, when a buyer and seller enter into an Agreement of Sale (land contract), what is the status of legal title?**A. Seller retains legal title until the purchase obligation is fully satisfied ✓**

- B. Title is transferred to a trustee to hold in escrow
- C. Buyer obtains legal title subject to a mortgage lien
- D. Legal title vests jointly with the buyer and seller as tenants in common

Answer: A. The Agreement of Sale is an installment contract where the seller retains legal title as security interest until the buyer completes all required payments.

Q 18.1 ·v4 A buyer enters into an Agreement of Sale with a seller to purchase land on installment. At the time of signing the contract, legal title belongs to:

- A. The buyer, subject to a seller's lien
- B. The seller, contingent on receipt of full payment ✓**
- C. Both parties equally as co-owners
- D. The title company holding it in trust

Answer: B. Under an Agreement of Sale, the seller retains legal title throughout the installment payment period as security; title transfers to the buyer only after full payment is made.

Q 18.1 ·v5 Under a Hawaii Agreement of Sale (land contract), who retains ownership of the property during the payment period?

- A. The seller maintains legal title until final payment is made ✓**
- B. The buyer receives equitable title only, not legal title
- C. The title company holds the deed in trust
- D. The buyer holds legal title subject to a mortgage

Answer: A. In an Agreement of Sale, the seller retains legal title as security until the buyer completes all payments; the buyer has equitable title and possession rights.

Q 18.1 ·v6 Which statement correctly describes title ownership in an installment land contract?

- A. Both buyer and seller hold joint legal title during the contract period
- B. Legal title remains with the seller until all payments are received ✓**
- C. Title transfers to the buyer upon signing the contract
- D. The buyer receives full legal title when the first payment is made

Answer: B. An installment land contract (Agreement of Sale) is structured so the seller keeps legal title as security and only transfers it upon final payment by the buyer.

Q 18.1 ·v7 A buyer enters into an Agreement of Sale to purchase raw land in Hawaii. Before the buyer makes the final payment, legal title is held by:

- A. A neutral third-party escrow agent on behalf of the buyer
- B. The buyer, who has both legal and equitable title
- C. The primary lender as security for the purchase loan
- D. The seller, pending full satisfaction of the contract terms ✓**

Answer: D. In an Agreement of Sale, the seller retains legal title until the buyer completes all contractual obligations and full payment is made.

Q 18.1 ·v8 Under a typical Agreement of Sale in Hawaii, what is the status of legal title while the buyer is making installment payments?

- A. Title is held by the Hawaii Department of Land and Natural Resources
- B. Title remains vested in the seller as security for payment ✓**
- C. Title transfers gradually to the buyer with each payment made
- D. Title is held by the buyer with a lien in favor of the seller

Answer: B. The seller retains legal title throughout the payment period as a security mechanism; title passes to the buyer only upon satisfaction of all contract obligations.

Q 18.1 ·v9 Under a Hawaii installment land contract, when does the seller's equitable interest in the property terminate?

- A. When the buyer obtains financing from a lender
- B. Upon execution of the contract by both parties
- C. Immediately when the buyer takes possession of the property
- D. Only after the buyer completes all payments and the deed is delivered ✓**

Answer: D. In an installment land contract (Agreement of Sale), the seller retains legal title as security until the buyer fulfills all payment obligations; title passes only upon final payment and delivery of the deed.

Q 18.2 A PMM is typically:

- A. Identical to a HELOC
- B. Required by FHA
- C. Senior to institutional financing
- D. Junior to senior institutional liens ✓**

Answer: D. PMMs typically sit junior to existing senior loans.

Q 18.2 ·v1 When a buyer obtains a PMM to bridge a down payment gap, what is its typical lien position relative to the primary mortgage?

- A. It ranks subordinate to the primary institutional mortgage ✓**
- B. It functions as an unsecured personal loan with no lien
- C. It must be paid off before the first mortgage can be recorded
- D. It holds first lien position ahead of the institutional loan

Answer: A. PMMs are structured as junior liens, sitting behind (subordinate to) the senior institutional first mortgage in lien priority.

Q 18.2 ·v2 A piggyback mortgage arrangement is BEST characterized as:

- A. A form of equity line of credit required by Fannie Mae
- B. A subordinate lien that exists in second or lower lien position ✓**
- C. An alternative to title insurance on investment properties
- D. A bridge loan that eliminates the need for homeowner's insurance

Answer: B. PMMs (piggyback mortgages) are characteristically junior liens positioned below senior institutional mortgages in the lien hierarchy.

Q 18.2 ·v3 From a lender's risk perspective, a PMM differs from a first mortgage primarily because the PMM holder:

- A. Assumes a riskier position due to subordination to the senior loan ✓**
- B. Is not required to file a promissory note
- C. Is guaranteed repayment by the state of Hawaii
- D. Receives payment before the institutional lender in case of default

Answer: A. Because PMMs are junior to institutional liens, the PMM lender bears greater default risk and recovery risk should the property be foreclosed.

Q 18.2 ·v4 If a property has an existing first mortgage and the buyer needs additional financing via a PMM, the PMM will likely be:

- A. Exempt from recording requirements under Hawaii real property law
- B. Recorded in first lien position with the original mortgage subordinated
- C. Combined with the first mortgage into a single unified loan document
- D. Recorded as a second or lower lien subject to the existing senior mortgage ✓**

Answer: D. PMMs are recorded as subordinate liens, meaning they are junior to and recorded after the senior institutional mortgage in the chain of title.

Q 18.2 ·v5 In a transaction with an existing first mortgage, where would a PMM typically be positioned in the lien hierarchy?

- A. In place of the original mortgage as a replacement loan
- B. Behind the senior institutional mortgage ✓**
- C. With equal priority to any VA or FHA loan
- D. Ahead of all other encumbrances on the property

Answer: B. PMMs are subordinate instruments that sit junior to existing first mortgages and other senior liens on the property.

Q 18.2 ·v6 When comparing a piggyback mortgage to a first mortgage, the piggyback loan is best characterized as:

- A. Subordinate to the primary institutional lender's security interest ✓**
- B. A refinancing tool that replaces the original obligation
- C. Exempt from the Hawaii Real Estate Commission's oversight
- D. Holding primary lien position on the real property

Answer: A. A piggyback mortgage (PMM) is subordinate by nature—it is inferior to the senior lien held by the institutional lender.

Q 18.2 ·v7 A buyer uses a piggyback mortgage strategy alongside a traditional bank loan. The PMM holder's claim on the property is:

- A. Secondary to the primary institutional lender ✓**
- B. Mandated by state law for all residential purchases
- C. Superior to all other secured lenders
- D. Interchangeable with a home equity line of credit in function

Answer: A. PMMs occupy a junior position relative to the primary mortgage lender, meaning the primary lender has first claim in case of default.

Q 18.2 ·v8 Which statement accurately describes the lien position of a piggyback mortgage in relation to a conventional first mortgage?

- A. The PMM takes priority and must be satisfied before the first mortgage
- B. The PMM is prohibited under Hawaii Real Estate Commission rules
- C. The PMM is subordinated to the first mortgage holder's security interest ✓**
- D. The PMM functions identically to a cash-out refinance on the same property

Answer: C. PMMs are junior liens by definition—they are subordinate to the senior institutional lender's first mortgage position.

Q 18.2 ·v9 In the lien priority structure of a Hawaii property, where does a piggyback mortgage (PMM) typically rank?

- A. Above all other mortgages and trust deeds on the property
- B. In parity with the primary institutional mortgage
- C. As the sole security instrument, replacing conventional financing
- D. Behind the first mortgage but ahead of any home equity lines of credit ✓**

Answer: D. A PMM is subordinate to the senior first mortgage but typically takes priority over subsequent liens like HELOCs; it holds a junior position in the lien hierarchy.

Q 18.3 A non-warrantable condo means:

- A. It's tax-exempt
- B. Conventional financing through Fannie/Freddie is unavailable ✓**
- C. It cannot be sold
- D. It's illegal

Answer: B. Non-warrantable = doesn't meet GSE standards; portfolio loan needed.

Q 18.3 ·v1 What is the primary financing challenge a buyer faces when purchasing a non-warrantable condominium?

- A. The property cannot be transferred to a new owner
- B. The buyer must pay a higher property tax rate
- C. Government-sponsored enterprises will not purchase the mortgage in the secondary market ✓**
- D. The homeowners association must approve all financing arrangements

Answer: C. Non-warrantable condos fail GSE (Fannie Mae/Freddie Mac) underwriting standards, making conventional loans unavailable; buyers typically need portfolio loans from private lenders.

Q 18.3 ·v2 A condo building is deemed non-warrantable primarily because:

- A. It has outstanding code violations that prevent occupancy
- B. It is located in an area designated for commercial development
- C. It does not comply with state building codes
- D. It does not meet the lending standards established by secondary mortgage market investors ✓**

Answer: D. Non-warrantable status refers specifically to failing GSE (Fannie Mae/Freddie Mac) approval criteria, which restricts conventional financing options available to buyers.

Q 18.3 ·v3 Which statement best describes the financing implication of a property being classified as non-warrantable?

- A. Mortgages cannot be sold to Fannie Mae or Freddie Mac in the secondary market ✓**
- B. The property owner forfeits all mortgage tax deductions
- C. VA and USDA loans become the only financing options
- D. Federal Housing Administration loans are prohibited

Answer: A. Non-warrantable means the property fails GSE guidelines, so conventional mortgages cannot be sold to Fannie Mae/Freddie Mac; lenders must hold the loan in portfolio.

Q 18.3 ·v4 When a condominium is identified as non-warrantable, a real estate licensee should inform buyers that:

- A. Traditional mortgage programs offered through major lenders may not be available ✓**
- B. The Hawaii Department of Commerce will need to issue a special waiver
- C. The condominium can only be purchased through cash transactions
- D. The condominium must undergo remediation before any sale can close

Answer: A. Non-warrantable condos fall outside GSE standards, eliminating access to conventional financing through traditional lenders, though portfolio and niche loan products may still exist.

Q 18.3 ·v5 Why would a condominium project receive a non-warrantable classification from lenders?

- A. The project does not satisfy Fannie Mae or Freddie Mac underwriting requirements ✓**
- B. The developer never recorded the master deed
- C. The building fails to meet structural safety codes
- D. The homeowners association has unpaid property taxes

Answer: A. Non-warrantable condos fail GSE (Fannie Mae/Freddie Mac) standards, requiring portfolio or alternative financing rather than conventional loans.

Q 18.3 ·v6 A buyer interested in purchasing a unit in a non-warrantable condominium should understand that:

- A. The property cannot legally be mortgaged under any circumstances
- B. Financing options will be restricted to portfolio lenders or non-GSE sources ✓**
- C. VA and FHA financing are the only options available
- D. Standard conventional mortgages from major lenders will likely be available

Answer: B. Non-warrantable condos cannot use GSE-backed conventional financing, forcing buyers toward portfolio lenders or alternative financing sources.

Q 18.3 ·v7 When a condominium is labeled non-warrantable, what is the primary lending consequence?

- A. The unit cannot be used as a primary residence
- B. Property taxes increase by 15% annually
- C. Fannie Mae and Freddie Mac will not purchase or guarantee the mortgage ✓**
- D. All construction defects become the buyer's liability

Answer: C. Non-warrantable status means the property does not comply with GSE standards, so Fannie Mae and Freddie Mac will not guarantee conventional loans on the unit.

Q 18.3 · v8 A broker explains to a client that their desired condo unit is non-warrantable. This designation primarily affects:

- A. Whether conventional financing from GSE-backed lenders is obtainable ✓**
- B. The unit's eligibility for property tax exemptions
- C. The requirement to maintain flood insurance coverage
- D. The ability to claim depreciation on rental income

Answer: A. Non-warrantable means the condo does not meet GSE (Fannie Mae/Freddie Mac) standards, eliminating access to conventional mortgage products backed by these entities.

Q 18.3 · v9 When a condominium project fails to meet Government-Sponsored Enterprise underwriting criteria, what financing restriction typically results?

- A. Property tax assessments are increased by the county
- B. Borrowers must seek portfolio loans or non-conforming lenders instead of traditional mortgage companies ✓**
- C. The homeowners association is dissolved by the state
- D. The property cannot legally be listed for sale

Answer: B. Non-warrantable condos don't qualify for Fannie Mae/Freddie Mac loans, forcing buyers to use portfolio lenders, FHA, or other alternative financing rather than conventional mortgages.

Q 18.4 Hawaii's usury statute is at:

- A. HRS 478 ✓**
- B. HRS 521
- C. HRS 467
- D. HRS 514B

Answer: A. HRS 478 governs interest rate caps.

Q 18.4 · v1 Which Hawaii Revised Statute specifically addresses maximum allowable interest rates and lending restrictions?

- A. HRS 478 ✓**
- B. HRS 467
- C. HRS 521
- D. HRS 514B

Answer: A. HRS 478 is Hawaii's usury statute that establishes caps on interest rates and protects borrowers from excessive lending charges.

Q 18.4 ·v2 A real estate licensee needs to understand Hawaii's usury law to advise clients on financing terms. Where should they locate this statute?

- A. HRS 478 (usury and interest rate limits) ✓**
- B. HRS 514B (condominium property regime)
- C. HRS 467 (professional licensing)
- D. HRS 521 (residential tenancies)

Answer: A. HRS 478 contains Hawaii's usury provisions governing the maximum interest rates lenders may charge on loans.

Q 18.4 ·v3 When educating clients about predatory lending practices and legal interest rate ceilings in Hawaii, which statute applies?

- A. HRS 521
- B. HRS 514B
- C. HRS 478 ✓**
- D. HRS 467

Answer: C. HRS 478 is Hawaii's usury law that establishes legal limits on interest rates and prevents usurious lending practices.

Q 18.4 ·v4 A mortgage lender's interest rate proposal must comply with Hawaii law. The relevant statutory authority is:

- A. HRS 478 ✓**
- B. HRS 521
- C. HRS 467
- D. HRS 514B

Answer: A. HRS 478 governs interest rate caps and usury restrictions that all lenders in Hawaii must follow when structuring loan terms.

Q 18.4 ·v5 Under Hawaii Revised Statutes, which chapter specifically addresses maximum allowable interest rates that lenders may charge on loans?

- A. HRS 467 (Real Estate Commission)
- B. HRS 514B (Condominium Property Regimes)
- C. HRS 521 (Residential Tenancies)
- D. HRS 478 (Interest Rate Limitations) ✓**

Answer: D. HRS 478 is Hawaii's usury statute that establishes the legal caps on interest rates charged by lenders on consumer loans and mortgages.

Q 18.4 ·v6 A borrower in Hawaii wants to understand what state law prohibits excessive interest charges on their mortgage. Which statute should they consult?

- A. HRS 514B
- B. HRS 478 ✓**
- C. HRS 467
- D. HRS 521

Answer: B. HRS 478 is Hawaii's usury law that protects borrowers by limiting the maximum interest rates lenders are permitted to charge on loans.

Q 18.4 ·v7 Which of the following Hawaii statutes contains provisions protecting borrowers from usurious lending practices?

- A. HRS 467 (Real Estate Commission)
- B. HRS 521 (Landlord and Tenant)
- C. HRS 514B (Condominium Property)
- D. HRS 478 (Interest Rate Limitations) ✓**

Answer: D. HRS 478 governs interest rate caps and usury law in Hawaii, establishing the maximum rates lenders may legally charge borrowers.

Q 18.4 ·v8 A Hawaii real estate agent is counseling a client about financing options. The client asks which state law regulates the maximum interest rates that can be charged on loans. The agent should refer to:

- A. HRS 478 for usury rate limitations ✓**
- B. HRS 521 for residential lending standards
- C. HRS 467 for licensing and conduct requirements
- D. HRS 514B for mortgage regulations

Answer: A. HRS 478 is Hawaii's usury statute that specifically caps the maximum interest rates allowed on loans to protect consumers from excessive charges.

Q 18.4 ·v9 Which Hawaii Revised Statutes chapter contains the regulations limiting the maximum interest rates that lenders may charge on loans?

- A. HRS 521
- B. HRS 478 ✓**
- C. HRS 514B
- D. HRS 467

Answer: B. HRS 478 is Hawaii's usury statute that establishes caps on allowable interest rates for various types of loans and credit transactions.

Q 18.5 Lease conversion in Hawaii means:

- A. AOA restructuring
- B. Buying out the underlying fee on leasehold property ✓**
- C. Converting a sale to a lease
- D. Subletting

Answer: B. Buying the fee from the lessor to convert leasehold to fee simple.

Q 18.5 ·v1 In Hawaii real estate terminology, what does it mean when a leaseholder decides to convert their property interest from leasehold to fee simple?

- A. Negotiating a longer lease term with the lessor
- B. Purchasing the underlying fee ownership from the lessor ✓**
- C. Filing for AOA incorporation with the Department of Commerce
- D. Transferring the lease to another party with consent

Answer: B. Lease conversion involves the leaseholder acquiring full ownership by purchasing the fee interest from the lessor, converting the property from leasehold to fee simple status.

Q 18.5 ·v2 A Hawaii property owner holds a leasehold interest and wants to eliminate the lease entirely. What process describes acquiring full property ownership?

- A. Fee buyout or lease conversion ✓**
- B. Lease assignment to a family member
- C. Residential lease restructuring under HRS 667
- D. Lease renewal

Answer: A. Lease conversion is the process of buying out the lessor's fee interest to achieve absolute ownership and eliminate the underlying lease obligation.

Q 18.5 ·v3 Which of the following best describes what occurs during a lease conversion transaction in Hawaii?

- A. The leaseholder purchases the fee simple interest from the property owner ✓**
- B. The tenant subleases a portion of the leasehold to a third party
- C. The property is transferred to a homeowners association for management
- D. The lessor and lessee agree to extend the lease term by 30 years

Answer: A. Lease conversion specifically means the leaseholder buys the fee interest from the lessor, converting leasehold property into fee simple ownership.

Q 18.5 ·v4 A Hawaii licensee's client owns a property subject to a long-term lease. The client wishes to own the property outright without lease obligations. What is this transaction called?

- A. Lease conversion** ✓
- B. Lease novation
- C. Lease assumption
- D. AOA conversion

Answer: A. Lease conversion is the purchase of the fee interest by the leaseholder to convert leasehold property into fee simple property free of lease encumbrances.

Q 18.5 ·v5 When a leaseholder in Hawaii negotiates to purchase the underlying fee interest from the lessor, what is this transaction called?

- A. Fee simple acquisition
- B. Leaseback arrangement
- C. Easement subordination
- D. Lease conversion** ✓

Answer: D. Lease conversion is the process of acquiring the fee interest to convert leasehold property into fee simple ownership.

Q 18.5 ·v6 A Hawaii property owner holds a leasehold estate on land. To eliminate the lessor's underlying fee interest and gain complete ownership, the property owner should pursue:

- A. AOA formation and restructuring
- B. An assignment to a new leaseholder
- C. A subordination agreement with the lessor
- D. Lease conversion through fee acquisition** ✓

Answer: D. Lease conversion involves buying out the lessor's fee interest, converting the leasehold into full fee simple ownership.

Q 18.5 ·v7 In Hawaii real estate, what does the term 'lease conversion' most accurately describe?

- A. The process of extending a lease term by mutual agreement
- B. Transferring leasehold rights to a condominium association
- C. Creating a second lease on the same property
- D. Purchasing the fee simple interest from the lessor to convert leasehold to fee ownership** ✓

Answer: D. Lease conversion specifically refers to buying out the lessor's fee interest to convert leasehold property into fee simple.

Q 18.5 · v8 A Hawaii leaseholder decides to eliminate the landlord's ownership interest by purchasing it. This action is best described as:

- A. Lease conversion ✓**
- B. Lease renewal
- C. Lease assignment
- D. Lease subordination

Answer: A. Lease conversion is the transaction where a leaseholder purchases the underlying fee from the lessor to achieve fee simple ownership.

Q 18.5 · v9 Under Hawaii real estate law, when a leaseholder negotiates to purchase the underlying fee interest from the lessor, this transaction is properly called:

- A. Fee simple conversion
- B. Perpetual lease extension
- C. Lease conversion ✓**
- D. Equity buydown

Answer: C. Lease conversion specifically refers to acquiring the lessor's fee interest to convert leasehold property into fee simple ownership.

19

Hawaii: Escrow Process & Closing

State portion 3 PSI items 14 key concepts 5 base questions

Hawaii is an "escrow state" — a neutral escrow holds everything and disburses on closing.

CHAPTER OVERVIEW

In Hawaii, virtually all residential real estate transactions go through escrow. The escrow agent (a licensed escrow company under HRS 449 — Hawaii Escrow Depositories statute) is a neutral third party holding funds, deeds, and instructions. Escrow opens with the executed purchase contract and earnest money deposit. Escrow closes only when all conditions are satisfied: inspection waivers or repair completions, financing commitments, title clearance, signed deed, buyer's funds, payoff of seller's loans, and any required disclosures, releases, and approvals.

The escrow agent's duties are strictly defined by escrow instructions agreed by both parties. The agent is NOT a party advocate — it's neutral. It cannot disburse funds without proper authority, cannot release the deed without payment, and cannot waive contract conditions. Escrow officers handle title searches, prepare closing documents, calculate prorations, coordinate with lenders and title insurers, and ultimately fund and record the transaction.

Closing statements summarize every credit and debit. Modern closings use the federal Closing Disclosure form for residential mortgage loans (replaces HUD-1 for TRID-covered loans). Items include sales price, deposits, loan proceeds, prorations (taxes, condo fees, lease rent), conveyance tax (often Hawaii line item), GET on commissions, escrow fee, title insurance premiums, recording fees, lender fees, and net to seller.

Conveyance tax: Hawaii imposes a state-level transfer tax based on sale price and buyer category. Owner-occupant rates are lower than investor rates. The current schedule is tiered (rate per \$100 of sale price, increasing at higher price brackets). Verify the current rate schedule annually — they update. The seller typically pays unless contract specifies otherwise. Failure to pay conveyance tax can void recording of the deed.

Common Hawaii prorations: real property taxes (semiannual; July 1 to December 31 is one billing period), condo maintenance fees (monthly), lease rent (varies by lease — often quarterly or annually), tenant rents on income property. Hawaii contracts typically prorate using actual day count (365-day year), though contracts may specify 360-day banker's year. Confirm in contract.

Title insurance in Hawaii: standard policies cover the typical risks. Owner's policy is a one-time premium protecting buyer for as long as they own. Lender's policy is required by lender, covers loan amount, decreases as loan balance drops. Hawaii title insurance carriers commonly include Title Guaranty, First American, Old Republic, others. Special endorsements address Hawaii-specific issues like leasehold and AOA.

Common closing-day issues: missing signatures or notarizations, last-minute lender conditions, failed wire transfers, undisclosed liens discovered at title pull, AOA estoppel showing back fees owed. Smooth closings come from thorough pre-closing review and proactive communication among agents, escrow, lender, and title insurer.

KEY CONCEPTS & DEFINITIONS

Escrow	Neutral third party holding funds + documents until conditions met.
HRS 449	Hawaii Escrow Depositories statute. Governs escrow companies.
Escrow instructions	Written agreement from both parties directing escrow agent's actions.
Closing Disclosure	Federal CD form replacing HUD-1 for most residential loans.
HUD-1 Settlement Statement	Older closing form. Still used for some non-TRID loans.
Conveyance tax	Hawaii state transfer tax. Tiered rates by price + buyer status.
Owner-occupant rate	Lower conveyance tax rate for primary-residence buyers.
Recording fees	Bureau of Conveyances or Land Court charges per page recorded.
Net to seller	Sale price minus all seller debits; the wire-out at closing.
Estoppel certificate	AOAO statement of fees owed. Required at closing for condos.
365-day proration	Hawaii contracts usually prorate on actual day count. Verify in contract.
Title insurance	Protects against title defects existing at closing. Owner's + lender's policies.
Wire transfer	Standard method for closing-day funding. Subject to fraud risk; verify wire instructions.
Wire fraud	Increasing risk. Always verify wire instructions by phone with known number.

QUESTION BANK — HAWAII: ESCROW PROCESS & CLOSING

Q 19.1 In a Hawaii residential sale, who typically holds funds and documents during the transaction?

- A. Buyer's attorney
- B. Neutral escrow company ✓**
- C. Lender
- D. Listing agent

Answer: B. Hawaii is an escrow state — a neutral escrow handles closing.

Q 19.1 ·v1 During a Hawaii residential closing, which party is responsible for managing client funds and safekeeping documents until the transaction is complete?

A. A neutral third-party escrow holder ✓

- B. The seller's real estate agent
- C. The mortgage lender's title department
- D. The buyer's real estate licensee

Answer: A. Hawaii operates as an escrow state where a neutral escrow company holds all funds and documents to protect both parties until closing requirements are satisfied.

Q 19.1 ·v2 What is the primary function of the escrow holder in a typical Hawaii home purchase transaction?

- A. To represent the seller's interests in negotiating the final purchase price
- B. To hold earnest money, documents, and funds in a fiduciary capacity until all conditions are met ✓**
- C. To approve the loan application and verify creditworthiness
- D. To conduct the title search and prepare the deed

Answer: B. The escrow holder in Hawaii serves as an impartial stakeholder, safeguarding client money and transaction documents until all closing conditions are satisfied and the transaction can close.

Q 19.1 ·v3 In Hawaii real estate practice, which of the following best describes the role of an escrow company in a residential purchase?

- A. Agent responsible for marketing and showing the property
- B. Advocate for the buyer's financing needs
- C. Neutral custodian of funds and records throughout the transaction process ✓**
- D. Representative of the lender's insurance requirements

Answer: C. Hawaii's escrow system designates a neutral, independent escrow company to hold all funds, documents, and records in trust until the transaction closing conditions are fully satisfied.

Q 19.1 ·v4 When a buyer submits earnest money and a seller delivers documents in a Hawaii residential sale, who receives and maintains custody of these items?

- A. A neutral escrow service designated for the transaction ✓**
- B. The cooperating agents' shared trust account
- C. The real estate broker's office safe
- D. The title insurance company's vault

Answer: A. Hawaii law requires a neutral escrow company to receive and hold earnest money deposits, documents, and all transaction funds as a fiduciary until closing occurs.

Q 19.1 ·v5 Which party is responsible for safeguarding earnest money deposits and closing documents in a typical Hawaii real estate transaction?

- A. Real estate salesperson
- B. Real estate appraiser
- C. Seller's mortgagee

D. Escrow agent or title company ✓

Answer: D. Hawaii's escrow system requires a neutral third party (escrow agent or title company) to hold all funds and documents until closing conditions are satisfied.

Q 19.1 ·v6 Under Hawaii real estate law, where are buyer deposits and transaction documents typically held prior to closing?

- A. With the listing brokerage firm
- B. In the seller's attorney's trust account

C. With a neutral escrow or title company ✓

- D. In the lender's loan servicing account

Answer: C. Hawaii operates as an escrow state where a neutral escrow entity holds all funds and documentation to ensure impartiality and protect both buyer and seller interests.

Q 19.1 ·v7 What is the primary function of the escrow holder in a Hawaii residential purchase transaction?

- A. To provide appraisal services and property valuation

B. To serve as a neutral custodian of funds and documents until closing conditions are met ✓

- C. To underwrite and approve the mortgage loan
- D. To represent the seller's financial interests exclusively

Answer: B. The escrow holder maintains neutrality by safeguarding all transaction money and documents, releasing them only when all closing conditions and requirements are fulfilled.

Q 19.1 ·v8 In Hawaii, if a buyer and seller enter into a purchase agreement, who should receive and hold the earnest money deposit and settlement paperwork?

- A. The mortgage broker or loan originator
- B. The seller directly

C. A neutral escrow company or title company ✓

- D. The buyer's real estate agent

Answer: C. Hawaii's escrow requirement mandates that a neutral third party hold all transaction funds and documents to prevent conflicts of interest and ensure compliance with closing instructions.

Q 19.1 ·v9 When a residential property closes in Hawaii, which party is responsible for safeguarding the earnest money deposit and settlement documents until all closing conditions are satisfied?

- A. The selling broker's office manager
- B. The mortgaging institution providing the loan
- C. An impartial escrow agent or title company ✓**
- D. The buyer's real estate agent

Answer: C. Hawaii law requires a neutral third party (escrow agent or title company) to hold funds and documents in trust to protect both buyer and seller until closing requirements are met.

Q 19.2 Hawaii state-level tax on real property transfers is:

- A. Conveyance tax ✓**
- B. GET
- C. Stamp tax
- D. HARPTA

Answer: A. Conveyance tax is the transfer tax.

Q 19.2 ·v1 Which of the following best describes Hawaii's tax imposed upon the sale of real property?

- A. Documentary stamp tax
- B. Conveyance tax ✓**
- C. General Excise Tax (GET)
- D. Foreign Investment in Real Property Tax Act

Answer: B. Conveyance tax is Hawaii's state-level transfer tax on real property sales. GET applies to general business transactions, not specifically to real property transfers.

Q 19.2 ·v2 A buyer and seller in Hawaii are negotiating a residential property transaction. What state tax applies specifically to the transfer of the property itself?

- A. Conveyance tax ✓**
- B. FIRPTA withholding
- C. Stamp tax
- D. Acquisition tax

Answer: A. Conveyance tax is Hawaii's transfer tax on real property conveyances. FIRPTA is a federal requirement, not a state transfer tax, and stamp tax is not Hawaii's transfer mechanism.

Q 19.2 ·v3 Under Hawaii real estate law, the primary state-level tax obligation arising from the transfer of ownership of real property is known as:

- A. Property transfer fee
- B. Conveyance tax ✓**
- C. Excise tax on sales
- D. Realty transaction tax

Answer: B. Conveyance tax is the statutory name for Hawaii's transfer tax on real property. While other terms may sound plausible, only 'conveyance tax' is the correct legal designation in Hawaii.

Q 19.2 ·v4 When a property deed is recorded in Hawaii, which state tax is triggered by the actual transfer of the real property?

- A. Capital gains tax
- B. Inheritance tax
- C. Conveyance tax ✓**
- D. GET (General Excise Tax)

Answer: C. Conveyance tax is Hawaii's direct tax on the transfer of real property ownership. Hawaii does not impose an inheritance tax or capital gains tax on real estate transfers at the state level.

Q 19.2 ·v5 Which of the following is the proper name for Hawaii's transfer tax imposed on the sale of real property?

- A. Real property sales tax
- B. Property transaction duty
- C. Conveyance tax ✓**
- D. Transfer assessment fee

Answer: C. Conveyance tax is Hawaii's official tax on real property transfers, distinct from general excise tax (GET) or HARPTA requirements.

Q 19.2 ·v6 A buyer closes on residential property in Honolulu. What state-level tax applies to this transaction?

- A. General excise tax only
- B. Conveyance tax ✓**
- C. Stamp tax
- D. Recording and filing fee

Answer: B. Hawaii imposes a conveyance tax on real property transfers; GET applies to services but not the real property transfer itself.

Q 19.2 ·v7 Under Hawaii law, the tax levied when real property changes ownership is called:

- A. Documentary stamp tax
- B. Conveyance tax ✓**
- C. HARPTA withholding tax
- D. Acquisition surcharge

Answer: B. Conveyance tax is Hawaii's established transfer tax on real property; HARPTA is a withholding requirement, not the transfer tax itself.

Q 19.2 ·v8 Which tax does a seller owe to the State of Hawaii when transferring ownership of real property?

- A. Deed recording tax
- B. Capital gains transfer fee
- C. Conveyance tax ✓**
- D. Property disposition levy

Answer: C. Conveyance tax is Hawaii's statutory transfer tax imposed on real property sales; it is separate from recording fees and other transaction costs.

Q 19.2 ·v9 Which of the following is the name of Hawaii's tax imposed on the sale or transfer of real property?

- A. Conveyance tax ✓**
- B. General excise tax
- C. Hawaii real property withholding tax
- D. Transfer assessment fee

Answer: A. Conveyance tax is Hawaii's specific tax on real property transfers. The other options refer to different tax mechanisms or do not apply specifically to property transfers.

Q 19.3 Escrow companies in Hawaii are governed by:

- A. HRS 449 ✓**
- B. HRS 514B
- C. HRS 52I
- D. HRS 467

Answer: A. HRS 449 = Escrow Depositories.

Q 19.3 ·v1 Which Hawaii Revised Statutes section specifically regulates escrow depository operations and trust account management?

- A. HRS 449 (Escrow Depositories) ✓**
- B. HRS 467 (Real Estate Commission)
- C. HRS 514B (Homeowners Associations)
- D. HRS 521 (Condominium Property Regimes)

Answer: A. HRS 449 is the dedicated statutory chapter governing escrow depositories in Hawaii, including their licensing, operations, and trust account requirements.

Q 19.3 ·v2 A Hawaii escrow company holding earnest money deposits must comply with the requirements found in:

- A. HRS 467 and Real Estate Commission rules
- B. HRS 514B and condominium statutes
- C. HRS 521 and property management laws
- D. HRS 449 only ✓**

Answer: D. HRS 449 is the controlling statute for all escrow depository activities in Hawaii, including the handling and safeguarding of client funds.

Q 19.3 ·v3 When establishing a trust account for client funds in Hawaii real estate transactions, an escrow company must follow the regulations in:

- A. HRS 514B
- B. HRS 449 ✓**
- C. HRS 467
- D. HRS 521

Answer: B. HRS 449 establishes all requirements for escrow depositories in Hawaii, including proper trust account setup, record-keeping, and custodial obligations.

Q 19.3 ·v4 The statutory authority for licensing and regulating escrow depositories as neutral third parties in Hawaii transactions comes from:

- A. HRS 449 (Escrow Depositories) ✓**
- B. HRS 467 (Real Estate Commission)
- C. HRS 514B (Association Law)
- D. HRS 521 (Property Law)

Answer: A. HRS 449 is the specific statute chapter that provides the legal framework for escrow depository licensing, oversight, and operational standards in Hawaii.

Q 19.3 ·v5 Which Hawaii Revised Statute specifically establishes the legal framework for escrow depository operations?

- A. HRS 467
- B. HRS 449 ✓**
- C. HRS 514B
- D. HRS 521

Answer: B. HRS 449 is the statute that governs escrow depositories and their regulatory requirements in Hawaii.

Q 19.3 ·v6 A real estate transaction in Hawaii requires escrow services. Under which statute must the escrow company operate?

- A. HRS 449 (Escrow Depositories) ✓**
- B. HRS 467 (Real Estate Commission)
- C. HRS 521 (Residential Tenancies)
- D. HRS 514B (Nonprofit Corporations)

Answer: A. HRS 449 is the controlling statute for escrow depository activities and licensing in the state of Hawaii.

Q 19.3 ·v7 If a licensee refers a client to an escrow company, that company's compliance obligations fall under:

- A. HRS 514B, which governs corporate structures
- B. HRS 449, which provides the statutory authority for escrow depositories ✓**
- C. HRS 467, which regulates all real estate professionals
- D. HRS 521, which addresses rental property management

Answer: B. HRS 449 is the specific Hawaii statute that authorizes and regulates escrow depository licensees and their operations.

Q 19.3 ·v8 When a real estate agent questions whether an escrow company is properly licensed, the agent should reference which statute?

- A. HRS 514B (Corporate formation rules)
- B. HRS 521 (Landlord-Tenant Law)
- C. HRS 449 (Escrow Depository Licensing) ✓**
- D. HRS 467 (Real Estate Commission jurisdiction)

Answer: C. HRS 449 establishes the licensing and regulatory requirements specific to escrow depositories in Hawaii.

Q 19.3 ·v9 Which Hawaii Revised Statute specifically regulates the licensing and conduct of escrow depositories?

- A. HRS 521 – Condominium Property Regimes
- B. HRS 514B – Homeowners Associations
- C. HRS 467 – Broker Licensing

D. HRS 449 – Escrow Depositories ✓

Answer: D. HRS 449 is the statute that directly governs escrow depositories in Hawaii, establishing their licensing requirements and regulatory framework.

Q 19.4 A condominium sale typically requires what document from the AOA?

- A. CDUP
- B. CPR
- C. TCT

D. Estoppel certificate ✓

Answer: D. Estoppel certificate showing fees owed and project status.

Q 19.4 ·v1 When a buyer is purchasing a condo unit in Hawaii, which AOA document must be provided to verify the buyer's share of common area fees and any outstanding assessments?

- A. CDUP
- B. Preliminary title report

C. Estoppel certificate ✓

- D. CPR

Answer: C. The estoppel certificate is the required AOA document that discloses the buyer's proportionate share of fees, current balance owed, and any special assessments or pending matters affecting the unit.

Q 19.4 ·v2 Before closing on a condominium purchase in Hawaii, the buyer's lender typically requires an AOA letter that certifies what information?

- A. Proof of casualty insurance coverage on the building
- B. The exact square footage of the common areas

C. Current monthly fees, past-due amounts, and the status of the project ✓

- D. The names of all current board members and their terms

Answer: C. The estoppel certificate from the AOA certifies current fees, any arrearages owed by the seller, and the financial/legal status of the project, which lenders require for underwriting.

Q 19.4 ·v3 A real estate licensee representing a condo buyer should ensure that which AOA document is obtained during the transaction to protect the buyer's interests?

- A. Certificate of occupancy
- B. Building permit from the city
- C. Notice of Condominium Regime

D. Estoppel certificate detailing fees and project status ✓

Answer: D. The estoppel certificate protects the buyer by documenting what fees are owed, what the monthly assessments are, and whether any special assessments or liens exist against the unit.

Q 19.4 ·v4 In a Hawaii condo transaction, the AOA must furnish a statement to the buyer that shows what items?

- A. Flood zone designation and environmental hazards

B. Monthly common area maintenance fees, outstanding charges owed by the seller, and project condition ✓

- C. Zoning classification and land use designation
- D. Property tax assessment and valuation history

Answer: B. The estoppel certificate is the AOA statement that discloses monthly fees, any unpaid amounts, and the overall financial and legal condition of the condominium project.

Q 19.4 ·v5 When closing on a condo unit purchase in Hawaii, which AOA document verifies the current assessment obligations and project financial standing?

- A. CPR
- B. CDUP

C. Estoppel certificate ✓

- D. Declaration of Condominium

Answer: C. The estoppel certificate is the standard AOA document that certifies fees owed, assessments due, and the financial/legal status of the unit at the time of sale.

Q 19.4 ·v6 A buyer's lender typically requires documentation from the association showing what information before approving a condo mortgage?

- A. A certified list of all unit owners
- B. The CDUP approval letter from the city
- C. A copy of the original subdivision map

D. Proof of the AOA's fee obligations and reserve status ✓

Answer: D. Lenders require an estoppel certificate from the AOA to confirm outstanding fees, special assessments, and the project's financial condition to assess mortgage risk.

Q 19.4 ·v7 In a Hawaii condo transaction, the AOAO is required to provide which document that discloses outstanding assessments and fees owed by the seller?

- A. Property Tax Declaration
- B. Condominium Project Report
- C. Title Search Report

D. Estoppel Certificate ✓

Answer: D. The estoppel certificate is the AOA's official statement of the unit's assessment status and any outstanding financial obligations at the time of closing.

Q 19.4 ·v8 A real estate agent preparing a condo sale should obtain which document from the association to verify there are no hidden liens or delinquent assessments against the property?

- A. Architectural Review Approval
- B. CDUP authorization
- C. CPR filing

D. Estoppel certificate ✓

Answer: D. The estoppel certificate serves as the AOA's certified statement confirming all fees, assessments, and liens against the unit, protecting the buyer and lender from undisclosed obligations.

Q 19.4 ·v9 When a buyer is purchasing a condominium unit in Hawaii, which AOA-issued document must be provided to verify the current financial obligations and operational status of the association?

- A. CDUP

B. Estoppel certificate ✓

- C. TCT
- D. CPR

Answer: B. An estoppel certificate from the AOA confirms outstanding fees, assessments, and project status, protecting the buyer from unknown liabilities and is standard in condo transactions.

Q 19.5 Wire fraud risk at closing should be addressed by:

A. Verifying wire instructions by phone with known number ✓

- B. Using only personal checks
- C. Sending without verification
- D. Trusting all email instructions

Answer: A. Always verify by phone — wire fraud is common.

Q 19.5 ·v1 To protect clients from wire fraud during a real estate transaction closing, a licensee should:

- A. Confirm wire transfer details using a telephone number independently verified from previous records ✓**
- B. Accept wire instructions via text message from the title company
- C. Use a wire service that does not require verbal confirmation
- D. Process wire requests immediately upon receipt of email confirmation

Answer: A. Verifying wire instructions through an independently confirmed phone number is the industry standard to prevent wire fraud. Email and text instructions alone are vulnerable to scammer interception.

Q 19.5 ·v2 A buyer's agent receives an email with updated wire instructions for the earnest money deposit. The safest approach is to:

- A. Call the title company or escrow holder at a phone number from a previous closing statement to confirm the instruction ✓**
- B. Forward the email directly to the buyer with a recommendation to wire immediately
- C. Request the buyer send funds via ACH transfer instead, which does not require verification
- D. Advise the buyer that all wire emails from licensed professionals are automatically verified

Answer: A. Calling an independently verified phone number to confirm wire instructions is the best practice to detect and prevent wire fraud schemes. Email instructions alone are not sufficient verification.

Q 19.5 ·v3 Which procedure best mitigates wire fraud exposure in a closing transaction?

- A. Contacting the known phone number of the escrow agent to verbally confirm wire routing details before funds are sent ✓**
- B. Using a wire transfer service with a lower daily transaction limit
- C. Having the buyer's bank initiate the wire on behalf of the buyer
- D. Requiring the buyer to sign a wire instruction acknowledgment form

Answer: A. Verbal confirmation with a known escrow agent via previously verified phone contact is the most reliable method to authenticate wire instructions and prevent fraud. Form signatures and transfer limits do not stop fraudulent interception.

Q 19.5 ·v4 A closing agent emails new wire instructions to a licensee one hour before closing. To comply with wire fraud prevention standards, the licensee must:

- A. Accept the email as official because it comes from a licensed professional's email account
- B. Ask the buyer to use a cashier's check instead to avoid any wire complications
- C. Call the closing agent at a phone number obtained independently to verify the wire instructions are legitimate ✓**
- D. Immediately share the email with all parties to expedite the transaction

Answer: C. Independent verbal verification of wire instructions via a known phone number confirms legitimacy and is essential to prevent impostors from redirecting funds. Email alone is insufficient, even from professional accounts.

Q 19.5 ·v5 To minimize the risk of wire fraud during a real estate closing transaction, a licensee should:

- A. Recommend that clients use cashier's checks instead of electronic transfers
- B. Contact the sender using a previously known and verified phone number to confirm wire details ✓**
- C. Process wire transfers immediately upon receipt of written instructions from any party
- D. Accept wire transfer instructions via email without additional confirmation

Answer: B. Phone verification using a known number prevents fraudsters from intercepting and altering wire instructions sent via email or text.

Q 19.5 ·v6 A client receives new wire instructions via email on the day of closing. What is the best practice to prevent wire fraud?

- A. Call the client back using a phone number from your prior records to confirm the wire instructions are legitimate ✓**
- B. Ask the client to resend the instructions via text message for verification
- C. Process the wire immediately since the client provided written authorization
- D. Forward the email to the title company without delay

Answer: A. Calling back using established contact information ensures you're speaking with the actual party, not a criminal who spoofed their email address.

Q 19.5 ·v7 Which strategy best protects clients and escrow accounts from wire fraud schemes in Hawaii real estate closings?

- A. Limiting wire transfers to amounts under \$10,000 to reduce fraud exposure
- B. Implementing a policy that all wire instructions must come from the real estate agent's email account
- C. Using automated wire transfer systems that accept instructions from any email domain
- D. Requiring verbal confirmation of wire transfer details through a telephone call to a known contact number ✓**

Answer: D. Direct telephone confirmation with a known number is the gold standard to authenticate wire instructions and prevent interception by bad actors.

Q 19.5 ·v8 A title company receives wire instructions that differ from the original closing estimate. The best practice is to:

- A. Request that the lender send a certified check instead of a wire transfer
- B. Process the new wire amount since it came from the lender's email system
- C. Wait 24 hours before processing to allow for document verification
- D. Call the lender using a phone number independently verified from prior documents to confirm the change ✓**

Answer: D. Verifying any change in wire instructions via phone to a known number prevents fraudsters from altering amounts or account information through email spoofing.

Q 19.5 · v9 To protect against wire fraud schemes during a real estate transaction, what is the most critical step a closing agent should take before processing large fund transfers?

- A. Request the client send funds via cashier's check to the closing office address
- B. Confirm wire recipient details by calling the client at a previously verified phone number ✓**
- C. Use ACH transfers exclusively to avoid wire fraud altogether
- D. Process the wire immediately upon receiving written email confirmation from any party

Answer: B. Calling the client at a known number to verify wire instructions is the essential safeguard against fraud, as criminals often intercept emails to redirect funds to their accounts.

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Hawaii: Professional Practices & Conduct

State portion 14 PSI items 27 key concepts 16 base questions

HRS 467 + HAR Title 16 Chapter 99 are the bedrock of Hawaii license law. This section is the largest weight on the state portion (14 items).

CHAPTER OVERVIEW

Hawaii has two real estate license categories regulated under HRS 467: Salesperson and Broker. A Salesperson must be 18+, have a valid Social Security number, complete the 60-hour Salesperson Pre-Licensing Course at a REC-approved school, pass the PSI examination (national + state portions, 70%+ on each), be sponsored by a Hawaii-licensed real estate broker (an "employing" or "sponsoring" broker), and pay the licensing fees. A criminal background check applies; certain criminal histories can disqualify or require explanation. Salespersons may not collect fees directly from a customer — fees flow through their employing broker.

A Broker must hold a current valid Salesperson license, have at least three years of active full-time experience as a salesperson within the prior five years (the experience requirement) along with a minimum number of completed transactions, complete the 80-hour Broker Pre-Licensing Course, pass the broker examination, provide additional documentation including evidence of experience, and pay the broker license fees. Brokers can practice independently as a sole-broker firm, supervise salespersons, or operate under a brokerage entity.

Continuing education (CE) requirements: 20 hours every 2-year license cycle (the cycle ends on the last day of December of even-numbered years for individual licensees on the standard cycle; verify current). The 20 hours must include the state-mandated Core Course (typically 6 hours, updated each cycle to reflect law changes). The remaining hours come from approved electives. Late renewal incurs fees and possible inactive status. CE must be completed at REC-approved providers.

Trust account rules under HRS 467 + HAR §16-99: client funds must be held in a Hawaii bank or savings institution, separate from the broker's operating account, properly identified ("Trust Account" or similar). Funds must be deposited promptly (typically 2 business days). Records must be retained for the period state rules require (commonly 3 years). Monthly reconciliation is standard. Audits by REC are unannounced. The penalties for trust-fund violations are severe — typically license revocation, sometimes felony charges.

Disciplinary grounds under HRS 467: misrepresentation or fraud in transactions, commingling, conversion, undisclosed dual agency or other conflicts of interest, discrimination violating state or federal law, failure to supervise (broker), advertising violations, paying or receiving undisclosed referral fees in violation of RESPA, conviction of crime involving moral turpitude, drug or alcohol abuse impairing practice, and violation of any other duty imposed on licensees. The Real Estate Commission may revoke, suspend, fine, place on probation, require additional education, or impose other discipline. Civil and criminal liability layer on top of license discipline.

Mandatory Agency Disclosure: Hawaii requires written agency disclosure to consumers before any "substantive interaction" — meaning before any showing, listing presentation, or detailed negotiation. The form (commonly known by its current code, historically RR105C; verify current form name) explains the consumer's representation options: Seller's Agent, Buyer's Agent, Dual Agent (with informed consent), or Customer (no representation). Failure to deliver the form on time is a license-law violation.

Advertising rules under HAR §16-99: every ad must include the firm name as licensed (not just the agent's name). Out-of-state advertising for Hawaii property must comply. Internet advertising follows the same standards as print and broadcast. Cannot advertise as the listing broker on a property under another broker's exclusive listing. Cannot use misleading terms or imply qualifications not held. Team or group names are permitted only if certain disclosure rules are met. Photos and information must accurately represent the property and licensee.

Procuring cause and commission disputes are common. Hawaii follows general principles: the agent who initiated the unbroken chain leading to the sale is typically the procuring cause. Disputes between cooperating brokers are often resolved through the listing broker's offer of cooperation in MLS. Hawaii REALTORS® can use NAR's arbitration process. Non-REALTORS® rely on contract terms and possibly civil litigation.

Practicing within scope: salespersons cannot operate independently of their broker; cannot sign listing agreements in their own name; cannot accept fees directly. Broker liability is broad — the broker is responsible for all licensees affiliated with the firm, including independent contractors.

Switching brokers requires release from the prior broker or appropriate procedures under HRS 467 and REC rules. Inactive licensees (those without an employing broker, or who haven't paid renewal) cannot list, show, negotiate, or be paid for real estate services.

KEY CONCEPTS & DEFINITIONS

HRS 467	Hawaii Real Estate Brokers and Salespersons statute. Foundation of license law.
HAR Title 16 Chapter 99	Real Estate Commission administrative rules. Implements HRS 467.
Salesperson license	18+, 60-hour course, PSI exam, sponsoring broker, fees, background check.
Broker license	Active salesperson + 3 years experience + 80-hour broker course + broker exam.
Sponsoring / employing broker	Broker who employs/supervises a salesperson.
CE: 20 hours / 2 years	Includes mandatory Core Course; balance is electives.
Core Course	State-mandated 6-hour CE update each cycle. Reflects law changes.
License renewal	Biennial. Late renewal carries fees + possible inactive status.
Trust account	Client funds in Hawaii bank, separate, identified, reconciled, records 3+ years.
Commingling	Mixing personal and trust funds. Per se license violation.
Conversion	Using trust funds for own benefit. Felony in many cases.
RR105C / Mandatory Agency Disclosure	Required form delivered to consumer before substantive interaction. Verify current form name.
Real Estate Commission (REC)	Hawaii regulator. Sets rules, investigates, disciplines. Under DCCA.
DCCA	Hawaii Department of Commerce and Consumer Affairs. Oversees REC.
PVL	Professional and Vocational Licensing Division within DCCA.
Inactive license	Licensee not currently practicing. Cannot list, show, negotiate.
Discrimination (HRS 515)	Hawaii Fair Housing — adds classes beyond federal: ancestry, age, marital status, sexual orientation, gender identity, HIV/AIDS, source of income.
Procuring cause	Origin of unbroken chain producing a sale. Determines commission entitlement.
Advertising rules (HAR §16-99)	Must include firm name. Cannot mislead. Cannot solicit currently-listed property.
Failure to supervise	Broker liability for licensee's violations. Can revoke broker license.
Suspension / revocation	License sanctions for serious violations. May be stayed with probation.
Fine	Monetary penalty. Levied separately or with other discipline.
Probation	License continuance under conditions (additional education, supervision, audits).
Background check	Required at licensure. Certain convictions require explanation or disqualify.
Moral turpitude	Crime involving baseness, vileness, or depravity. Disciplinary trigger.

NAR arbitration	Voluntary dispute resolution for REALTOR® member commission disputes.
License switching	Salesperson moving to new broker — requires proper release/transfer procedure.

QUESTION BANK — HAWAII: PROFESSIONAL PRACTICES & CONDUCT

Q 20.1 How many hours of pre-licensing education are required for a Hawaii salesperson license?

- A. 45
- B. 60 ✓**
- C. 90
- D. 30

Answer: B. 60-hour Salesperson Pre-Licensing Course at REC-approved school.

Q 20.1 ·v1 A prospective salesperson in Hawaii enrolls in a Real Estate Commission-approved pre-licensing course. What is the minimum classroom instruction requirement she must complete before applying for her license?

- A. 75 hours of classroom instruction
- B. 45 hours of classroom instruction
- C. 90 hours of classroom instruction
- D. 60 hours of classroom instruction ✓**

Answer: D. Hawaii REC mandates 60 hours of pre-licensing education for salesperson candidates at an approved school.

Q 20.1 ·v2 Before taking the Hawaii salesperson licensing examination, an applicant must satisfy the pre-licensing education requirement. How many total hours must be completed at an REC-approved institution?

- A. 90 hours
- B. 45 hours
- C. 60 hours ✓**
- D. 30 hours

Answer: C. The Hawaii Real Estate Commission requires exactly 60 hours of pre-licensing coursework for salesperson license applicants.

Q 20.1 ·v3 A real estate school in Honolulu is designing its salesperson pre-licensing course to comply with Hawaii REC standards. What is the required number of instructional hours the course must provide?

- A. 75 hours minimum
- B. 40 hours minimum
- C. 50 hours minimum

D. 60 hours ✓

Answer: D. Hawaii REC-approved salesperson pre-licensing courses must consist of 60 hours of instruction to meet state requirements.

Q 20.1 ·v4 An applicant reviewing the prerequisites for a Hawaii salesperson license notices the pre-licensing education requirement. If the course meets REC standards, how many hours of instruction should the applicant expect to complete?

- A. At least 90 hours
- B. Between 40 and 50 hours
- C. Exactly 45 hours

D. Between 50 and 70 hours, with 60 hours required ✓

Answer: D. Hawaii REC mandates exactly 60 hours of pre-licensing education for salesperson candidates at approved schools.

Q 20.1 ·v5 A candidate in Hawaii is enrolling in a REC-approved pre-licensing school to become a salesperson. What is the minimum number of instructional hours required?

A. 60 hours ✓

- B. 75 hours
- C. 90 hours
- D. 45 hours

Answer: A. Hawaii Real Estate Commission requires 60 hours of pre-licensing education at an approved school for salesperson licensure.

Q 20.1 ·v6 Before applying for a Hawaii real estate salesperson license through the REC, how many contact hours must an applicant complete at an accredited pre-licensing program?

- A. 30 hours minimum
- B. 60 hours minimum ✓**
- C. 55 hours minimum
- D. 80 hours minimum

Answer: B. The Hawaii Real Estate Commission mandates 60 contact hours of pre-licensing classroom instruction for all salesperson license applicants.

Q 20.1 ·v7 An individual is preparing to take the Hawaii salesperson license exam. According to REC regulations, what is the required course load before she is eligible to sit for the test?

- A. 40 hours of approved coursework
- B. 70 hours of approved coursework
- C. 60 hours of approved coursework ✓**
- D. 100 hours of approved coursework

Answer: C. Hawaii requires completion of a 60-hour pre-licensing course from an REC-approved provider as a prerequisite to taking the salesperson licensing exam.

Q 20.1 ·v8 Which statement accurately describes the pre-licensing education requirement for obtaining a Hawaii salesperson license?

- A. Candidates must complete 60 hours at a Hawaii REC-approved real estate school. ✓**
- B. Candidates must complete 45 hours at any real estate school in the United States.
- C. Candidates must complete 90 hours plus pass a broker-level exam.
- D. Candidates must complete 30 hours and provide proof of 2 years prior experience.

Answer: A. Hawaii REC regulations specify that salesperson applicants must successfully complete a 60-hour pre-licensing course at an approved school.

Q 20.1 ·v9 A candidate in Hawaii is enrolling in a Real Estate Commission-approved pre-licensing program to become a salesperson. What is the minimum classroom hour requirement she must complete before sitting for the licensing exam?

- A. 60 hours of instruction ✓**
- B. 75 hours of instruction
- C. 120 hours of instruction
- D. 45 hours of instruction

Answer: A. Hawaii REC mandates 60 hours of pre-licensing education at an approved school for salesperson licensure. This is the foundational requirement before exam eligibility.

Q 20.2 Hawaii continuing education for license renewal is:

- A. 20 hours every 2 years (license cycle) ✓**
- B. 40 hours every 4 years
- C. 30 hours every 2 years
- D. 10 hours / year

Answer: A. 20 CE hours per biennial cycle, including mandatory Core Course.

Q 20.2 ·v1 A Hawaii real estate licensee must complete continuing education during each two-year renewal period. How many hours are required?

A. 20 hours with mandatory Core Course completion ✓

- B. 25 hours of elective courses only
- C. 15 hours including one approved Core Course
- D. 10 hours annually to remain current

Answer: A. Hawaii REC mandates 20 CE hours per biennial license cycle, including the mandatory Core Course as part of that requirement.

Q 20.2 ·v2 To renew a Hawaii real estate license on schedule, an agent must fulfill which continuing education requirement?

- A. 40 hours spread over four calendar years
- B. 5 hours per quarter
- C. 30 hours every 24 months

D. 20 hours per two-year license cycle ✓

Answer: D. Hawaii licensees must complete exactly 20 CE hours during their two-year renewal cycle to maintain active licensure status.

Q 20.2 ·v3 How many continuing education hours does the Hawaii Real Estate Commission require during a standard license renewal cycle?

A. 20 hours including Core Course as part of the total ✓

- B. 30 hours minimum before final renewal
- C. 10 hours with optional Core Course
- D. 50 hours if renewing after a lapse

Answer: A. The Hawaii REC standard requirement is 20 CE hours per two-year biennial cycle, with the Core Course counted as part of those 20 hours.

Q 20.2 ·v4 A salesperson's Hawaii real estate license expires in two years. What is the continuing education requirement for renewal?

- A. 10 hours annually without Core Course prerequisite
- B. 15 hours of electives plus 5 hours of Core instruction
- C. 20 hours per biennial period with mandatory Core Course ✓**
- D. 40 hours total to maintain dual licensure

Answer: C. Licensees must complete 20 CE hours during each two-year renewal cycle, with the mandatory Core Course included within those 20 hours.

Q 20.2 ·v5 What is the total continuing education requirement for a Hawaii real estate licensee over one complete license renewal cycle?

- A. 25 hours with no mandatory courses required
- B. 20 hours including the mandatory Core Course ✓**
- C. 15 hours including the mandatory Core Course
- D. 30 hours split equally between broker and salesperson tracks

Answer: B. Hawaii requires 20 CE hours per two-year license cycle, which must include completion of the mandatory Core Course.

Q 20.2 ·v6 To maintain an active Hawaii real estate license, how many continuing education hours must a licensee complete between renewal periods?

- A. 40 hours per biennial renewal period
- B. 18 hours per year with at least 6 hours in law updates
- C. 20 hours per biennial renewal period, including Core Course ✓**
- D. 10 hours annually with no specific course requirements

Answer: C. The Hawaii Real Estate Commission mandates 20 CE hours every two years for license renewal, with the Core Course being a required component.

Q 20.2 ·v7 A Hawaii real estate licensee's renewal is due in 24 months. Which continuing education requirement must be satisfied?

- A. Minimum of 20 hours including mandatory Core Course completion ✓**
- B. Minimum of 30 hours with broker approval documentation
- C. Minimum of 35 hours with at least half in trust account management
- D. Minimum of 10 hours of elective courses only

Answer: A. Over a 24-month (two-year) cycle, licensees must complete 20 CE hours, which includes the required Core Course as part of that total.

Q 20.2 ·v8 What continuing education commitment applies to a Hawaii licensee renewing a license issued two years ago?

- A. 20 hours total, with Core Course mandatory ✓**
- B. 45 hours for inactive license reinstatement
- C. 24 hours distributed across four quarters annually
- D. 5 hours of Core Course instruction only

Answer: A. Hawaii's biennial license cycle requires 20 total CE hours for renewal, with the Core Course being a non-waivable component of that requirement.

Q 20.2 ·v9 To maintain an active Hawaii real estate license, how many continuing education hours must a licensee complete during each license renewal period?

- A. 20 hours per two-year renewal cycle, including a mandatory Core Course ✓**
- B. 35 hours every three years
- C. 15 hours annually with no core requirement
- D. 25 hours per two-year cycle with optional electives

Answer: A. Hawaii REC requires 20 CE hours per biennial license renewal cycle, which must include the mandatory Core Course component.

Q 20.3 Mixing client trust funds with broker's operating funds is:

- A. Conversion only
- B. Allowed if reconciled
- C. Allowed for under-\$1,000 amounts
- D. Commingling — license violation ✓**

Answer: D. Any mixing is commingling, regardless of amount.

Q 20.3 ·v1 A Hawaii real estate broker deposits earnest money from a buyer into the same account used for the broker's own business expenses. This practice is:

- A. Acceptable for transactions under 30 days
- B. A violation of commingling requirements ✓**
- C. Only prohibited if the funds are later misappropriated
- D. Permissible if the broker maintains separate ledgers

Answer: B. Commingling occurs the moment client funds are mixed with broker operating funds, regardless of accounting methods or time frame—it is a license violation by definition.

Q 20.3 ·v2 When a broker combines client trust account funds with the brokerage's general operating account, what violation has occurred?

- A. Commingling ✓**
- B. Negligent custody of funds
- C. Conversion and theft
- D. Breach of fiduciary duty only

Answer: A. The act of mixing client money with broker operating funds is commingling itself—a direct license violation under Hawaii real estate law.

Q 20.3 ·v3 A Hawaii broker receives client earnest money and deposits it into an account that also contains the broker's payroll and overhead expenses. Which statement is accurate?

- A. This is permissible if monthly reconciliations are performed
- B. This is only a violation if the broker fails to return the funds on time
- C. This constitutes commingling and violates licensing regulations ✓**
- D. This is allowed if client funds can be identified separately within the account

Answer: C. Commingling is the prohibited mixing of client funds with broker funds—the violation exists at the moment of deposit, regardless of accounting controls or intent.

Q 20.3 ·v4 A broker pools client trust funds with company operating funds in a single bank account for convenience. What licensing violation has the broker committed?

- A. Failure to maintain errors and omissions insurance
- B. Improper disclosure of account ownership
- C. Commingling of client funds ✓**
- D. Unauthorized practice of real estate

Answer: C. Commingling—the unlawful combining of client trust money with broker business funds—is a per se violation of Hawaii licensing law.

Q 20.3 ·v5 A broker deposits earnest money and security deposits into the same account used for paying office rent and salaries. This practice violates which principle?

- A. Commingling — client funds must remain separate ✓**
- B. Requirements for notarizing escrow agreements
- C. Proper reconciliation procedures under HRS 467-14
- D. The statute of limitations on trust account audits

Answer: A. Commingling occurs when fiduciary funds are mixed with a broker's personal or operating accounts, regardless of accounting practices. This is a fundamental license violation under Hawaii REC rules.

Q 20.3 ·v6 Which situation describes a commingling violation?

- A. A broker places client trust funds and broker commission in the same financial institution but separate accounts
- B. A broker records client funds in the trust ledger but reconciles monthly instead of weekly
- C. A broker holds client earnest money in a trust account but fails to deposit it within 5 business days
- D. A broker temporarily deposits client funds into an operating account before transferring to the trust account ✓**

Answer: D. Commingling is the unauthorized mixing of client fiduciary funds with the broker's own funds, even temporarily. Separate accounts at the same institution or accounting delays do not constitute commingling.

Q 20.3 · v7 Under Hawaii real estate law, what is the consequence of a broker combining client trust account funds with broker operating funds, even if the amounts are small?

- A. Misappropriation charges only if the funds cannot be located
- B. Commingling — a direct license violation regardless of amount ✓**
- C. A fine of up to \$500 per violation
- D. Suspension of trust account privileges for 30 days

Answer: B. Commingling is a per se violation of trust account requirements; the dollar amount is irrelevant. Any unauthorized mixing of fiduciary and operating funds is a license violation.

Q 20.3 · v8 A salesperson advises the broker that it's more efficient to deposit all incoming funds (client escrow, earnest money, and commissions) into one master account and then distribute them later. The broker should:

- A. Implement it for transactions under \$5,000 only
- B. Reject this proposal because it constitutes commingling ✓**
- C. Require the salesperson to obtain REC approval in advance
- D. Allow this practice only if the salesperson reconciles weekly

Answer: B. Commingling is prohibited regardless of accounting procedures, efficiency arguments, or transaction size. Client trust funds must be maintained in separate accounts from broker operating funds.

Q 20.3 · v9 A broker deposits earnest money checks from multiple transactions into a single bank account that also contains the broker's payroll and office expenses. This practice is known as:

- A. Conversion of client property
- B. Trust account management
- C. Commingling of funds — a violation ✓**
- D. Proper reconciliation procedure

Answer: C. Commingling occurs when client trust funds are mixed with broker operating or personal funds in any amount or manner, regardless of whether accounts are later reconciled.

Q 20.4 Hawaii's real estate licensing law is found at:

- A. HRS 467 ✓**
- B. HRS 478
- C. HRS 514B
- D. HRS 521

Answer: A. HRS 467 governs real estate brokers and salespersons.

Q 20.4 ·v1 Which Hawaii Revised Statute chapter specifically regulates the licensing and conduct of real estate salespeople and broker activities?

- A. HRS 467 – Real estate brokers and salespersons ✓**
- B. HRS 478 – Escrow agents and trust accounts
- C. HRS 52I – Condominium property regimes
- D. HRS 514B – Homeowners associations

Answer: A. HRS 467 is the enabling statute for the Hawaii Real Estate Commission and establishes the regulatory framework for licensing brokers and salespersons in Hawaii.

Q 20.4 ·v2 A new agent in Hawaii needs to determine which statute governs her licensing requirements and professional obligations. Where should she look?

- A. HRS 52I
- B. HRS 478
- C. HRS 514B
- D. HRS 467 ✓**

Answer: D. HRS 467 contains all provisions related to real estate broker and salesperson licensure, ethics, and regulation under the Hawaii Real Estate Commission.

Q 20.4 ·v3 The Hawaii Real Estate Commission's authority to issue licenses and enforce professional standards for brokers and agents comes from which statute?

- A. HRS 514B – governing homeowner associations
- B. HRS 52I – governing condominium associations
- C. HRS 478 – governing escrow and trust account requirements
- D. HRS 467 – governing real estate brokers and salespersons ✓**

Answer: D. HRS 467 is the primary statute that establishes the Hawaii Real Estate Commission's powers and duties regarding licensing and regulation of real estate professionals.

Q 20.4 ·v4 A broker conducting business in Hawaii is questioned about which law applies to his license renewal and compliance obligations. The correct answer is found in:

- A. HRS 52I
- B. HRS 514B
- C. HRS 467 ✓**
- D. HRS 478

Answer: C. HRS 467 governs all aspects of real estate broker and salesperson licensing, including renewal requirements and professional compliance standards in Hawaii.

Q 20.4 · v5 Which Hawaii Revised Statute chapter establishes the licensing requirements and disciplinary framework for real estate professionals?

- A. HRS 514B - Condominium Management
- B. HRS 521 - Residential Tenancies
- C. HRS 467 - Real Estate Brokers and Salespersons ✓**
- D. HRS 478 - Contractors and Construction

Answer: C. HRS 467 is the specific statute that governs the licensing, conduct, and enforcement for real estate brokers and salespersons in Hawaii.

Q 20.4 · v6 A salesperson in Hawaii needs to understand the statutory requirements for her license. Under which chapter would she find the relevant regulations?

- A. HRS 514B
- B. HRS 478
- C. HRS 521
- D. HRS 467 ✓**

Answer: D. HRS 467 is the Hawaii statute that governs real estate brokers and salespersons, including all licensing and regulatory requirements.

Q 20.4 · v7 The Hawaii Real Estate Commission enforces provisions found in which statute?

- A. HRS 478
- B. HRS 521
- C. HRS 514B
- D. HRS 467 ✓**

Answer: D. HRS 467 is the enabling statute for the Hawaii Real Estate Commission and contains all provisions governing broker and salesperson licensing and conduct.

Q 20.4 · v8 A broker is cited for violating Hawaii's real estate law. The violation would be prosecuted under which statute?

- A. HRS 478 - Contractor Licensing
- B. HRS 467 - Real Estate Brokers and Salespersons ✓**
- C. HRS 514B - Condominium Property Regime
- D. HRS 521 - Landlord-Tenant Code

Answer: B. HRS 467 contains the licensing laws and disciplinary provisions applicable to real estate brokers and salespersons in Hawaii.

Q 20.4 ·v9 Which Hawaii Revised Statutes chapter establishes the regulatory framework for real estate brokers and salespeople licensing?

- A. HRS 521 (Condominium Property Regime)
- B. HRS 514B (Homeowners Associations)
- C. HRS 467 (Real Estate Brokers and Salespersons) ✓**
- D. HRS 478 (Real Estate Commission)

Answer: C. HRS Chapter 467 is the specific statute that governs licensing requirements, conduct standards, and regulatory oversight of real estate brokers and salespersons in Hawaii.

Q 20.5 The Hawaii regulator overseeing real estate licensees is:

- A. NAR
- B. Real Estate Commission (REC) under DCCA ✓**
- C. HUD
- D. IRS

Answer: B. REC under the Department of Commerce and Consumer Affairs.

Q 20.5 ·v1 Which agency has primary regulatory authority over real estate professionals in Hawaii?

- A. Department of Housing and Urban Development (HUD)
- B. National Association of Realtors (NAR)
- C. State Board of Tax Appeals
- D. Real Estate Commission (REC) under DCCA ✓**

Answer: D. The Real Estate Commission operating under the Department of Commerce and Consumer Affairs is the state regulatory body responsible for licensing and disciplining Hawaii real estate licensees.

Q 20.5 ·v2 A Hawaii real estate salesperson's license is issued and regulated by:

- A. DCCA's Real Estate Commission ✓**
- B. The Hawaii Association of Realtors
- C. The Federal Trade Commission
- D. The Department of Land and Natural Resources

Answer: A. The Real Estate Commission under the Department of Commerce and Consumer Affairs is the state agency that issues, renews, and disciplines Hawaii real estate licenses.

Q 20.5 ·v3 If a Hawaii real estate licensee faces disciplinary action, which state body would handle the complaint?

- A. Hawaii Tax Department
- B. National Association of Realtors ethics committee
- C. Real Estate Commission under DCCA ✓**
- D. Consumer Protection Bureau only

Answer: C. The Real Estate Commission, a division of the Department of Commerce and Consumer Affairs, has statutory authority to investigate and discipline Hawaii real estate licensees for violations of state law and commission rules.

Q 20.5 ·v4 Hawaii real estate licensees are primarily regulated at the state level by:

- A. Federal HUD officials
- B. The Real Estate Commission within DCCA ✓**
- C. County planning and zoning departments
- D. Private real estate trade organizations

Answer: B. The Real Estate Commission, which operates under Hawaii's Department of Commerce and Consumer Affairs, is the official state regulatory agency for all real estate licensees in the islands.

Q 20.5 ·v5 Which agency within Hawaii state government is responsible for licensing and disciplining real estate professionals?

- A. Federal Trade Commission
- B. Hawaii Department of Attorney General
- C. Department of Labor and Industrial Relations
- D. Real Estate Commission under the Department of Commerce and Consumer Affairs ✓**

Answer: D. The Real Estate Commission (REC) operates under DCCA and holds exclusive authority over real estate licensee regulation in Hawaii.

Q 20.5 ·v6 A salesperson in Hawaii needs to know which regulatory body enforces compliance with real estate laws and broker conduct standards. This would be:

- A. The Hawaii Real Estate Commission under DCCA ✓**
- B. NAR (National Association of Realtors)
- C. The IRS (Internal Revenue Service)
- D. HUD (Department of Housing and Urban Development)

Answer: A. The REC under DCCA is the state regulator with jurisdiction over Hawaii real estate licensees, not federal agencies or professional associations.

Q 20.5 ·v7 If a Hawaii real estate licensee faces disciplinary action, which state agency would initiate and conduct the hearing?

- A. DCCA's Real Estate Commission ✓**
- B. The Federal Reserve
- C. The Hawaii Tax Foundation
- D. The National Association of Realtors ethics board

Answer: A. DCCA's Real Estate Commission has statutory authority to investigate complaints and conduct disciplinary proceedings against Hawaii real estate licensees.

Q 20.5 ·v8 Under Hawaii law, which entity has the authority to deny, suspend, or revoke a real estate broker license?

- A. The Hawaii State Legislature directly
- B. The state's Real Estate Commission within DCCA ✓**
- C. The Mortgage Bankers Association
- D. HUD's regional office

Answer: B. The Real Estate Commission under the Department of Commerce and Consumer Affairs holds the statutory power to discipline and control real estate licensure in Hawaii.

Q 20.5 ·v9 Which agency is responsible for licensing and regulating real estate professionals in Hawaii?

- A. The Federal Trade Commission (FTC)
- B. The National Association of REALTORS® (NAR)
- C. The Hawaii Real Estate Commission, which operates under the DCCA ✓**
- D. The Department of Land and Natural Resources (DLNR)

Answer: C. The Real Estate Commission (REC) under the Department of Commerce and Consumer Affairs (DCCA) is the sole authority in Hawaii responsible for issuing, renewing, and disciplining real estate licenses.

Q 20.6 Hawaii's state fair housing statute (HRS 515) ADDS protected classes beyond federal, including:

- A. Only race and religion
- B. Sexual orientation, gender identity, marital status, HIV status, ancestry, age ✓**
- C. Income only
- D. No additional classes

Answer: B. HRS 515 expands federal Fair Housing to additional Hawaii-specific protected classes.

Q 20.6 ·v1 Which of the following best describes how Hawaii Revised Statutes Chapter 515 relates to the federal Fair Housing Act?

- A. It mirrors federal protections exactly without any modifications
- B. It adds only disability and familial status protections
- C. It provides additional protected classes beyond those in federal law, such as sexual orientation, gender identity, marital status, HIV status, ancestry, and age ✓**
- D. It repeals federal protections and substitutes only state-level classes

Answer: C. HRS 515 expands protections beyond the federal Fair Housing Act by including Hawaii-specific classes like sexual orientation, gender identity, marital status, HIV status, ancestry, and age.

Q 20.6 ·v2 A Hawaii real estate licensee must be aware that state fair housing law protects additional classes of people not covered federally. Which list correctly identifies Hawaii's additional protected classes under HRS 515?

- A. Sexual orientation, gender identity, marital status, HIV status, ancestry, and age ✓**
- B. Employment status and income level only
- C. Disability, familial status, and veteran status
- D. Only ancestry and religion

Answer: A. HRS 515 extends Fair Housing protections to include sexual orientation, gender identity, marital status, HIV status, ancestry, and age—classes not explicitly protected under federal law.

Q 20.6 ·v3 When counseling clients on their fair housing rights in Hawaii, a licensee should explain that the state statute adds which of the following to federal Fair Housing Act protections?

- A. Criminal history and credit score
- B. Occupational status alone
- C. Only color and national origin
- D. Gender identity, sexual orientation, marital status, HIV status, ancestry, and age ✓**

Answer: D. HRS 515 broadens fair housing protections beyond federal law by explicitly protecting sexual orientation, gender identity, marital status, HIV status, ancestry, and age.

Q 20.6 ·v4 Under Hawaii's fair housing statute, which classes receive protection under state law but NOT under federal Fair Housing Act?

- A. Sexual orientation, gender identity, marital status, HIV status, ancestry, and age ✓**
- B. Familial status and disability only
- C. Religion and sex exclusively
- D. Race, color, and national origin only

Answer: A. HRS 515 provides state-level protection for sexual orientation, gender identity, marital status, HIV status, ancestry, and age, which are not covered under the federal Fair Housing Act.

Q 20.6 ·v5 Which of the following represents a protected class under Hawaii's fair housing law (HRS 515) that is NOT included in the federal Fair Housing Act?

- A. Color and familial status
- B. Gender identity, HIV status, and ancestry ✓**
- C. Religion and sex
- D. National origin and disability

Answer: B. Hawaii REC HRS 515 extends protections beyond federal law to include sexual orientation, gender identity, marital status, HIV status, ancestry, and age.

Q 20.6 ·v6 A Hawaii real estate licensee must be aware that state law provides fair housing protections for several classifications beyond those mandated federally. Which category best describes Hawaii's additional protected classes?

- A. Federal protections only; Hawaii adds no new classes
- B. Sexual orientation, marital status, age, ancestry, gender identity, and HIV status ✓**
- C. Limited to protected groups in urban Honolulu only
- D. Only economic status and employment history

Answer: B. HRS 515 comprehensively expands the federal Fair Housing Act with seven additional protected classifications specific to Hawaii.

Q 20.6 ·v7 Under Hawaii fair housing law, a broker listing a property cannot discriminate based on any protected class. Beyond the federal Fair Housing Act, HRS 515 also prohibits discrimination based on:

- A. Professional licensing or occupational background
- B. Prior bankruptcy or credit score alone
- C. Sexual orientation, gender identity, marital status, ancestry, age, and HIV status ✓**
- D. Citizenship status and veteran status

Answer: C. Hawaii's state law adds seven classes not in federal law: sexual orientation, gender identity, marital status, HIV status, ancestry, and age.

Q 20.6 ·v8 When completing fair housing training, a Hawaii licensee learns that the state statute (HRS 515) goes beyond federal law. Which statement accurately reflects Hawaii's expanded protected classes?

- A. Hawaii mirrors federal law exactly with no additional protections
- B. Hawaii protects only income level and family structure
- C. Hawaii adds protections for sexual orientation, gender identity, marital status, HIV status, ancestry, and age ✓**
- D. Hawaii adds only ancestry and removes federal protections for religion

Answer: C. HRS 515 explicitly includes seven state-level protected classes beyond the federal Fair Housing Act's enumerated categories.

Q 20.6 ·v9 Which of the following protected classes are recognized ONLY under Hawaii's fair housing law (HRS 515) and NOT under federal Fair Housing Act standards?

- A. Religion and familial status
- B. Sexual orientation, gender identity, marital status, HIV status, ancestry, and age ✓**
- C. Disability and sex
- D. Race, color, and national origin

Answer: B. Hawaii's HRS 515 extends protection beyond the federal FHA by specifically adding sexual orientation, gender identity, marital status, HIV status, ancestry, and age as protected classes.

Q 20.7 A licensee's required minimum age is:

- A. 21
- B. 25
- C. 16
- D. 18 ✓**

Answer: D. 18 years old to apply for salesperson license.

Q 20.7 ·v1 Under Hawaii real estate law, what is the minimum age requirement to qualify for a salesperson license?

- A. 18 years old ✓**
- B. 16 years old
- C. 21 years old
- D. 25 years old

Answer: A. Hawaii REC requires applicants for a salesperson license to be at least 18 years of age at the time of application.

Q 20.7 ·v2 A person seeking to obtain a real estate salesperson license in Hawaii must be:

- A. at least 18 years of age ✓**
- B. at least 16 years of age with parental consent
- C. at least 25 years of age with prior sales experience
- D. at least 21 years of age and a permanent resident

Answer: A. The minimum age requirement for a salesperson license in Hawaii is 18 years old; no additional conditions such as residency status or prior experience alter this basic age requirement.

Q 20.7 · v3 Which statement accurately reflects Hawaii's age requirement for real estate salesperson licensure?

- A. Applicants must be at least 21 years of age
- B. Applicants must have reached their 25th birthday
- C. Applicants must be at least 16 years of age
- D. Applicants must be at least 18 years of age ✓**

Answer: D. Hawaii law establishes 18 years as the minimum age for salesperson license applicants, which is lower than some other professional licenses but higher than minors.

Q 20.7 · v4 If a prospective licensee is 17 years old and otherwise meets all qualifications, can they apply for a Hawaii real estate salesperson license?

- A. No, they must be at least 18 years old ✓**
- B. Yes, if they have written parental consent
- C. Yes, if they pass the salesperson exam first
- D. No, they must be at least 21 years old

Answer: A. Age 18 is a mandatory minimum requirement; parental consent or exam passage does not waive the age requirement for salesperson licensure.

Q 20.7 · v5 Under Hawaii real estate licensing laws, what is the minimum age requirement to qualify for a salesperson license?

- A. 25 years old
- B. 21 years old
- C. 17 years old
- D. 18 years old ✓**

Answer: D. Hawaii REC requires applicants for a salesperson license to be at least 18 years of age at the time of application.

Q 20.7 · v6 To be eligible to apply for a real estate salesperson license in Hawaii, an applicant must meet a minimum age of:

- A. 20 years
- B. 16 years
- C. 19 years
- D. 18 years ✓**

Answer: D. The Hawaii Real Estate Commission mandates that salesperson applicants must be at least 18 years old to meet licensing eligibility requirements.

Q 20.7 · v7 Which of the following correctly states the age requirement for obtaining a Hawaii real estate salesperson license?

- A. Applicants must be at least 18 years old ✓**
- B. Applicants must be at least 21 years old
- C. Applicants must be at least 16 years old
- D. Applicants must be at least 25 years old

Answer: A. Hawaii law requires prospective salesperson licensees to be a minimum of 18 years of age to satisfy the basic eligibility criteria.

Q 20.7 · v8 A person interested in becoming a real estate salesperson in Hawaii should know that the minimum age requirement is:

- A. 25 years of age or older
- B. 17 years of age or older
- C. 21 years of age or older
- D. 18 years of age or older ✓**

Answer: D. The Hawaii Real Estate Commission establishes 18 years old as the minimum age threshold for salesperson license applicants.

Q 20.7 · v9 Under Hawaii real estate law, what is the minimum age requirement to obtain a salesperson license?

- A. 19 years old
- B. 21 years old
- C. 17 years old
- D. 18 years old ✓**

Answer: D. Hawaii REC requires applicants for a salesperson license to be at least 18 years of age to meet the basic eligibility requirements.

Q 20.8 A salesperson can practice while holding an "inactive" license:

- A. Yes, with broker permission
- B. Only for past clients
- C. No — inactive licensees cannot practice ✓**
- D. Only as a referral agent

Answer: C. Inactive license = cannot list, show, negotiate, or be paid.

Q 20.8 ·v1 An individual holding an inactive real estate license in Hawaii may engage in which of the following activities?

- A. Assist with contract negotiations as a non-compensated volunteer
- B. List properties and collect commissions with broker consent
- C. Show properties to prospective buyers only
- D. None—an inactive license prohibits all real estate practice ✓**

Answer: D. An inactive license status means the licensee cannot perform any real estate services, including listing, showing, negotiating, or earning compensation, regardless of broker permission or client relationship.

Q 20.8 ·v2 If a real estate salesperson allows their license to become inactive, what activities remain legally permissible?

- A. Real estate activities of any kind
- B. No real estate practice activities whatsoever ✓**
- C. Advising referral sources about properties in exchange for fees
- D. Representing clients in transactions if the broker signs off

Answer: B. Inactive status suspends all real estate authority; the licensee cannot list, show, negotiate, or earn compensation until the license is reactivated.

Q 20.8 ·v3 Under Hawaii real estate law, which statement accurately describes the scope of practice for a person with an inactive license?

- A. They possess no authority to engage in any licensed real estate activities ✓**
- B. They may perform transaction management but not client solicitation
- C. They may practice only for existing clients under a broker's supervision
- D. They may accept compensation if approved by the Real Estate Commission

Answer: A. An inactive license removes all rights to practice real estate; no exceptions exist for broker permission, client relationships, or specific transaction types.

Q 20.8 ·v4 A salesperson's license becomes inactive due to non-renewal. Can this person immediately resume showing properties to qualified buyers?

- A. Yes, but only as a licensed assistant under a broker's direct supervision
- B. Yes, provided the broker authorizes the activity in writing
- C. No—the inactive status automatically prohibits all real estate practice ✓**
- D. Yes, as long as no compensation is accepted for those services

Answer: C. Inactive licensees cannot perform any real estate services—listing, showing, negotiating, or earning compensation—until their license is reactivated through proper REC procedures.

Q 20.8 ·v5 Which statement best describes what an inactive Hawaii real estate licensee is permitted to do?

- A. Market properties to former clients without listing them publicly
- B. Perform transaction coordination duties without a valid license
- C. Accept commissions and conduct transactions with explicit broker consent

D. Engage in no real estate brokerage activities whatsoever ✓

Answer: D. An inactive license suspends all real estate practice rights; the licensee cannot list, show, negotiate, or receive compensation regardless of circumstances or relationships.

Q 20.8 ·v6 A salesperson places their license on inactive status. During this period, can they legally conduct any real estate transactions?

- A. Yes, provided the broker authorizes it in writing
- B. Yes, but only for investment properties they personally own

C. No, an inactive status prohibits all transactional activity ✓

- D. Yes, as long as no compensation is involved

Answer: C. Inactive status means the licensee cannot practice real estate at all—no listing, showing, negotiating, or transaction involvement is permitted under Hawaii REC rules.

Q 20.8 ·v7 While holding an inactive real estate license, a salesperson is asked to negotiate a deal for a friend. What is the correct course of action?

A. They must decline because inactive licensees are prohibited from practicing ✓

- B. They may proceed if the broker approves the arrangement
- C. They may handle it if documented as a favor with no commission
- D. They may assist as a consultant without formal brokerage duties

Answer: A. Inactive licensees cannot engage in any real estate practice, including negotiation or transaction facilitation, regardless of compensation status or broker permission.

Q 20.8 ·v8 An agent's license is converted to inactive status. Which of the following activities would constitute a violation?

- A. Maintaining an office desk and email with company contact information
- B. Answering general real estate questions from acquaintances
- C. Attending broker meetings and reviewing market trends

D. Listing property, negotiating on behalf of clients, or receiving transaction-based compensation ✓

Answer: D. Inactive licensees are barred from all brokerage activities including listing, showing, negotiating, and compensation; only status-neutral activities like learning are permitted.

Q 20.8 ·v9 An individual holding an inactive real estate license in Hawaii is permitted to engage in which of the following activities?

- A. Accept referral fees from active agents in their former office
- B. Show properties to friends and family without compensation
- C. No real estate practice activities whatsoever ✓**
- D. Negotiate commissions on behalf of a broker with written authorization

Answer: C. An inactive license holder is prohibited from all real estate practice activities including listing, showing, negotiating, or accepting compensation of any kind; the inactive status means no practice is permitted.

Q 20.9 A broker license requires how many hours of pre-licensing education in addition to active salesperson experience?

- A. 60
- B. 80 ✓**
- C. 120
- D. 40

Answer: B. 80-hour Broker Pre-Licensing Course on top of salesperson licensure + experience.

Q 20.9 ·v1 After obtaining an active salesperson license, how many classroom hours must a candidate complete to qualify for a broker license in Hawaii?

- A. 40 hours
- B. 120 hours
- C. 60 hours
- D. 80 hours ✓**

Answer: D. The Hawaii Real Estate Commission requires 80 hours of broker pre-licensing education for candidates who already hold an active salesperson license.

Q 20.9 ·v2 An experienced real estate salesperson in Hawaii wants to transition to broker status. What is the mandatory pre-licensing course requirement?

- A. 45 hours of broker instruction
- B. 120 hours of broker instruction
- C. 100 hours of broker instruction
- D. 80 hours of broker instruction ✓**

Answer: D. Hawaii REC mandates an 80-hour broker pre-licensing course for licensed salespersons seeking broker licensure.

Q 20.9 · v3 To become a broker in Hawaii after holding a current salesperson license, a candidate must complete a pre-licensing course of:

- A. 80 hours minimum ✓**
- B. 40 hours minimum
- C. 100 hours minimum
- D. 60 hours minimum

Answer: A. The broker pre-licensing requirement in Hawaii is 80 hours of classroom instruction for applicants with active salesperson experience.

Q 20.9 · v4 A licensed Hawaii salesperson applies for broker licensure. Beyond the experience requirement, the REC stipulates a pre-licensing education component of how many hours?

- A. 80 hours ✓**
- B. 90 hours
- C. 70 hours
- D. 75 hours

Answer: A. Hawaii requires 80 hours of broker pre-licensing education in addition to qualifying salesperson experience for broker license applicants.

Q 20.9 · v5 To transition from an active salesperson license to a broker license in Hawaii, what is the required classroom hour commitment for the broker pre-licensing course?

- A. 60 hours
- B. 100 hours
- C. 120 hours
- D. 80 hours ✓**

Answer: D. Hawaii requires 80 hours of broker pre-licensing education as a prerequisite for obtaining a broker license, in addition to holding an active salesperson license and meeting experience requirements.

Q 20.9 · v6 A salesperson with 2 years of active experience is applying for a broker license. Besides meeting the experience requirement, how many instructional hours must they complete?

- A. 40 hours of broker training
- B. 80 hours of broker training ✓**
- C. 70 hours of broker training
- D. 110 hours of broker training

Answer: B. The Hawaii Real Estate Commission mandates an 80-hour broker pre-licensing course for all broker applicants, regardless of their salesperson experience level.

Q 20.9 · v7 Which of the following correctly describes the classroom education requirement for obtaining a broker license in Hawaii?

- A. 90 hours of approved broker education plus 3 years active salesperson experience
- B. 50 hours of approved broker education plus 2 years active salesperson experience
- C. 120 hours of approved broker education plus 5 years active salesperson experience

D. 80 hours of approved broker education plus active salesperson licensure ✓

Answer: D. Hawaii's broker pre-licensing requirement is 80 hours of classroom instruction, which must be completed in addition to holding an active salesperson license and meeting experience qualifications.

Q 20.9 · v8 If a salesperson completes all other broker license requirements, how many hours of pre-licensing education coursework must still be fulfilled?

- A. 60 hours minimum

B. 80 hours minimum ✓

- C. 30 hours minimum

- D. 100 hours minimum

Answer: B. The 80-hour broker pre-licensing course is a mandatory education component that all applicants must complete before they can qualify for a broker license in Hawaii.

Q 20.9 · v9 After obtaining an active Hawaii salesperson license and meeting experience requirements, how many classroom instruction hours must a candidate complete to qualify for a broker license?

- A. 40 hours

- B. 60 hours

- C. 120 hours

D. 80 hours ✓

Answer: D. Hawaii requires 80 hours of broker pre-licensing education as a prerequisite, separate from and in addition to the salesperson license and experience requirement.

Q 20.10 A broker is responsible for the acts of:

- A. Only employees

B. All licensees affiliated with the firm, including independent contractors ✓

- C. Only licensees in writing

- D. Only their own personal transactions

Answer: B. Broker liability extends to all affiliated licensees.

Q 20.10 ·v1 Under Hawaii real estate law, a broker's supervisory responsibility applies to which group of licensees?

- A. Licensees under the broker's supervision only during business hours
- B. Only those licensees who have signed an exclusivity agreement
- C. All affiliated licensees, whether employees or independent contractors ✓**
- D. Only salespersons employed full-time at the brokerage

Answer: C. Broker responsibility encompasses all affiliated licensees regardless of employment classification or contractual arrangements; supervision applies at all times.

Q 20.10 ·v2 A broker can be held liable for violations committed by:

- A. Unlicensed assistants working under direct broker supervision
- B. Associated salespersons and independent contractors affiliated with the brokerage ✓**
- C. Only salespersons directly employed on the payroll
- D. Licensees they have explicitly authorized in writing to act independently

Answer: B. Broker liability extends to all affiliated licensees including both employees and independent contractors without exception.

Q 20.10 ·v3 Which statement correctly describes a broker's fiduciary and supervisory obligations?

- A. Brokers are liable only for violations by licensees who have signed non-compete agreements
- B. Brokers can delegate all supervisory responsibility to a designated managing broker
- C. Brokers are only responsible for violations occurring within the broker's personal office
- D. Brokers bear responsibility for the professional conduct of all licensees affiliated with their firm ✓**

Answer: D. A broker's responsibility is nondelegable and encompasses all affiliated licensees regardless of employment status or office location.

Q 20.10 ·v4 When determining broker liability for licensee misconduct, the scope includes:

- A. All licensees currently holding a license issued by the Hawaii Real Estate Commission
- B. All licensees affiliated with the broker's firm, including both employees and independent contractor associates ✓**
- C. Licensees only during the time they are actively showing property
- D. Only licensees who have completed the broker's mandatory training program

Answer: B. Broker accountability extends to all licensees affiliated with the firm regardless of their employment classification or training status.

Q 20.10 ·v5 Under Hawaii real estate law, which parties' conduct can create liability for a broker's firm?

- A. All associated licensees, whether employed or operating as independent contractors ✓**
- B. Only salespersons who are W-2 employees on payroll
- C. Exclusively the broker's personal transactions and those directly supervised
- D. Only those licensees with written employment agreements signed before listing property

Answer: A. A broker is responsible for all affiliated licensees—including both employees and independent contractors—under Hawaii REC regulations and agency law principles.

Q 20.10 ·v6 A broker faces potential disciplinary action for the misconduct of which licensees?

- A. Only licensees who report directly to the broker in an office location
- B. Salespersons and associates who have signed restrictive covenants
- C. Only those classified as employees in the company's payroll system
- D. All licensees affiliated with the brokerage, regardless of employment classification ✓**

Answer: D. Broker responsibility encompasses all affiliated licensees—employees and independent contractors alike—making the broker liable for their acts within the scope of their license.

Q 20.10 ·v7 Which of the following best describes a broker's scope of responsibility regarding licensee conduct?

- A. Limited to transactions personally negotiated by the broker
- B. Restricted to employees who work exclusively at the broker's main office
- C. Applicable only when the licensee's misconduct is documented in writing beforehand
- D. Extends to all licensees affiliated with the brokerage firm, including independent contractors ✓**

Answer: D. A broker's supervisory and vicarious liability extends to all affiliated licensees—both employees and independent contractors—under Hawaii real estate licensing law.

Q 20.10 ·v8 A salesperson working as an independent contractor at a brokerage commits a violation. Which entity bears responsibility?

- A. The broker and brokerage firm are responsible for all affiliated licensees' conduct ✓**
- B. Only the broker if the violation occurred during office business hours
- C. Only the individual salesperson, since they are an independent contractor
- D. The sponsoring broker, but only if the salesperson signed an agency agreement

Answer: A. Broker liability is not limited to employees; brokers are responsible for the conduct of all affiliated licensees, including independent contractors, under Hawaii REC regulations.

Q 20.10 ·v9 Under Hawaii real estate law, a broker's supervisory responsibility covers which of the following groups?

- A. Only salespersons who are direct employees of the brokerage
- B. Licensees who have signed an exclusive representation agreement
- C. All associated licensees, whether employees or independent contractors operating under the firm's license ✓**
- D. Only transactions personally closed by the broker

Answer: C. A broker is responsible for supervising and controlling the conduct of all licensees affiliated with their firm, including both employees and independent contractor agents, regardless of employment classification.

Q 20.11 Salespersons cannot:

- A. Provide CMA
- B. Sign listing agreements in their own name or accept fees directly from customers ✓**
- C. Show property
- D. Negotiate offers

Answer: B. Salesperson activities flow through and are paid through the employing broker.

Q 20.11 ·v1 Which of the following is prohibited for a Hawaii real estate salesperson?

- A. Showing properties to prospective purchasers
- B. Preparing market analysis reports for clients
- C. Accepting compensation directly from a buyer without broker involvement ✓**
- D. Presenting counteroffers on behalf of clients

Answer: C. All salesperson compensation and client fee agreements must be processed through the employing broker; salespersons cannot contract independently with the public.

Q 20.11 ·v2 A salesperson may NOT:

- A. Conduct comparative market analysis
- B. Show occupied and vacant properties
- C. Assist with offer preparation and negotiation
- D. Enter into a listing agreement as the principal party and collect fees directly ✓**

Answer: D. Salespersons operate under their broker's license and must conduct all business through the broker; they cannot bind clients directly or receive fees independently.

Q 20.11 ·v3 Under Hawaii real estate law, which activity is outside the scope of salesperson authority?

- A. Listing properties and marketing them
- B. Receiving a direct payment from a customer for services rendered ✓**
- C. Facilitating negotiations between buyer and seller
- D. Preparing CMAs and property evaluations

Answer: B. Salespersons must work exclusively through their broker; any fees or payments from customers must flow through the broker-salesperson relationship, never directly.

Q 20.11 ·v4 A salesperson's employment arrangement requires that they:

- A. Must have all client agreements and compensation routed through their sponsoring broker ✓**
- B. May provide appraisals and CMAs directly to the public
- C. Are permitted to show properties without broker authorization
- D. Can independently sign contracts and receive client fees as long as they split commissions with the broker

Answer: A. The broker-salesperson relationship mandates that all client contracts, agreements, and fee collection occur through the broker; salespersons cannot contract or accept payment independently.

Q 20.11 ·v5 Which of the following is prohibited for a salesperson under Hawaii real estate law?

- A. Showing listed properties during business hours
- B. Accepting compensation directly from a buyer without broker involvement ✓**
- C. Preparing a market analysis for a prospective seller
- D. Presenting an offer to purchase on behalf of a client

Answer: B. All salesperson compensation and contractual agreements must flow through their employing broker; direct payment from clients violates the agency relationship and licensing requirements.

Q 20.11 ·v6 A salesperson violates Hawaii licensing law if they:

- A. Enter into a listing contract in their own name and collect fees directly ✓**
- B. Schedule property showings for interested parties
- C. Conduct a comparative market analysis
- D. Assist in negotiating purchase terms

Answer: A. Salespersons act as agents of their broker and cannot independently sign contracts or accept client fees; all such transactions must be conducted through and compensated by the broker.

Q 20.11 ·v7 Under Hawaii real estate regulations, which activity is NOT permitted for a licensed salesperson?

- A. Establishing a direct financial arrangement with clients for services rendered ✓**
- B. Negotiating lease or purchase terms with interested parties
- C. Showing properties on behalf of their brokerage firm
- D. Providing property valuations and market comparisons

Answer: A. Salespersons must operate exclusively under their broker's supervision and cannot create independent fee arrangements; all compensation must be processed by and distributed through the broker.

Q 20.11 ·v8 A salesperson's employment restrictions include the inability to:

- A. Prepare or present comparative market analyses
- B. Coordinate showings and open houses
- C. Discuss property features and financing options with buyers
- D. Sign listing agreements independently and receive payment directly from customers ✓**

Answer: D. Salespersons lack independent authority to bind clients through contracts or collect compensation; all client relationships and payments must be facilitated by their employing broker.

Q 20.11 ·v9 Which of the following activities is prohibited for a Hawaii real estate salesperson?

- A. Accepting commission payments directly from a client outside the broker's trust account ✓**
- B. Preparing comparative market analyses for prospective buyers
- C. Assisting in contract negotiations between parties
- D. Showing properties to qualified interested parties

Answer: A. All compensation and fee arrangements for salespersons must flow through their employing broker; direct acceptance of fees from customers violates Hawaii REC requirements and the employment relationship.

Q 20.12 Trust account records must be retained for at least:

- A. 3 years (commonly) ✓**
- B. 5 years
- C. Forever
- D. 1 year

Answer: A. Hawaii rules typically require 3 years; verify current.

Q 20.12 ·v1 How long should a Hawaii real estate broker maintain client trust account documentation?

- A. A minimum of 3 years ✓**
- B. 2 years from the date of deposit
- C. Only during the license renewal period
- D. Until the transaction closes

Answer: A. Hawaii Commission rules require brokers to retain trust account records for at least 3 years to ensure compliance and facilitate audits or dispute resolution.

Q 20.12 ·v2 Under Hawaii real estate regulations, what is the required retention period for escrow account ledgers and transaction records?

- A. 6 months after transaction settlement
- B. 18 months from the date of final disbursement
- C. 3 years minimum ✓**
- D. Indefinitely, or until the broker retires

Answer: C. Hawaii REC standards mandate that trust and escrow account records be kept for no less than 3 years to support regulatory oversight and client protection.

Q 20.12 ·v3 A broker receives a client complaint regarding a transaction from 4 years ago. The broker claims the trust account records were discarded after 2 years. What violation has likely occurred?

- A. No violation—2 years exceeds the standard federal requirement
- B. The broker failed to maintain records for the standard 3-year minimum period ✓**
- C. The broker violated the 1-year retention rule for all escrow documents
- D. The broker should have retained records only for 18 months

Answer: B. Hawaii regulations require a 3-year minimum retention period for trust account records; discarding them after 2 years violates this requirement and exposes the broker to disciplinary action.

Q 20.12 ·v4 Which statement best reflects Hawaii's trust account record-keeping requirements?

- A. Records should be retained for at least 3 years as a standard practice ✓**
- B. Records need only be kept while the license is active
- C. Records must be kept for 1 year and then may be destroyed
- D. Records must be archived permanently in a bonded vault

Answer: A. Hawaii Commission rules establish a 3-year minimum retention period for trust account documents to ensure adequate documentation for compliance reviews and consumer protection.

Q 20.12 ·v5 A Hawaii broker maintains a client trust account. How long must detailed records of all deposits and withdrawals be kept on file?

- A. A minimum of 3 years from the date of transaction ✓**
- B. Until the client relationship terminates
- C. 6 months following final reconciliation
- D. 2 years for active accounts, 1 year after closure

Answer: A. Hawaii real estate regulations require trust account records to be retained for at least 3 years to ensure audit compliance and regulatory oversight.

Q 20.12 ·v6 What is the standard retention period for broker trust account documentation under Hawaii real estate law?

- A. Indefinitely, without exception
- B. 2 years
- C. 1 year per transaction
- D. 3 years as a general requirement ✓**

Answer: D. Hawaii's regulatory framework establishes a 3-year record-retention standard for all trust account transactions and supporting documentation.

Q 20.12 ·v7 If a broker receives earnest money deposits in a trust account, the transaction records and bank statements must be preserved for no less than:

- A. 3 years ✓**
- B. 5 years after property sale closing
- C. 18 months
- D. The duration of any subsequent disputes

Answer: A. Hawaii requires brokers to maintain trust account records, including earnest money documentation, for a minimum of 3 years to satisfy regulatory and audit requirements.

Q 20.12 ·v8 During a routine audit, a Hawaii real estate commission investigator asks to review trust account ledgers. What timeframe of records must a broker be able to produce?

- A. The preceding 3 years ✓**
- B. A rolling 24-month period
- C. All records since the broker's license inception
- D. Current year only

Answer: A. Hawaii regulatory standards require brokers to maintain and produce trust account records covering at least the preceding 3 years for compliance verification.

Q 20.12 ·v9 When a Hawaii real estate licensee maintains a client trust account, what is the standard minimum period for which transaction records and account documentation must be preserved?

- A. Until the transaction closes and all funds are disbursed
- B. Two years, unless the property is in litigation
- C. Seven years, consistent with federal tax requirements

D. Three years from the date of the transaction ✓

Answer: D. Hawaii's regulatory standards require trust account records to be retained for a minimum of three years; this aligns with Hawaii Real Estate Commission rules for broker accountability and audit purposes.

Q 20.13 The Mandatory Agency Disclosure must be delivered:

- A. After offer signed
- B. Only if asked

C. Before any substantive interaction ✓

- D. At closing

Answer: C. Before showing/negotiation/listing presentation — substantive interaction.

Q 20.13 ·v1 When must a licensee present the Mandatory Agency Disclosure form to a prospective buyer or seller?

A. During the listing appointment or initial buyer consultation, before discussing property details ✓

- B. At the time the purchase agreement is executed
- C. Within three business days after the first showing
- D. Only upon written request by the consumer

Answer: A. The disclosure must be delivered before any substantive interaction—including listing presentations, buyer consultations, or property discussions—to ensure informed consent before the relationship develops.

Q 20.13 ·v2 A licensee may delay providing the Mandatory Agency Disclosure until:

- A. The parties sign the purchase contract
- B. The transaction closes

C. Never—it must precede any substantive business discussion ✓

- D. The consumer requests it in writing

Answer: C. The disclosure cannot be delayed and must be given before substantive interaction begins; delaying until request, signing, or closing violates the agency disclosure requirement.

Q 20.13 ·v3 At what point in the transaction must the Mandatory Agency Disclosure be given to ensure compliance with Hawaii real estate law?

- A. Once the earnest money deposit is received
- B. After the consumer has selected the agent
- C. Before the licensee engages in any negotiation, representation, or listing discussion ✓**
- D. Before the closing attorney reviews documents

Answer: C. Compliance requires disclosure before substantive interaction begins, including negotiations, property showings, and listing presentations, not after consumer selection or during closing stages.

Q 20.13 ·v4 Which statement regarding the timing of the Mandatory Agency Disclosure is correct?

- A. It should be given at the initial showing as a courtesy
- B. It satisfies requirements if provided with the purchase agreement
- C. It must be delivered prior to any substantive business communication or representation ✓**
- D. It may be omitted if the consumer is a repeat client

Answer: C. The disclosure must precede substantive interaction—before showings, negotiations, or listing discussions—regardless of client history or transaction stage.

Q 20.13 ·v5 When must a licensee provide the Mandatory Agency Disclosure form to a prospective buyer or seller?

- A. Immediately after the purchase agreement is executed
- B. Prior to engaging in any substantive discussions about a transaction ✓**
- C. During the final walkthrough before closing
- D. Only when the client requests information about agency relationships

Answer: B. The Mandatory Agency Disclosure must be delivered before substantive interaction begins, which includes showing property, discussing terms, or conducting a listing presentation.

Q 20.13 ·v6 A real estate licensee is about to meet with a prospective seller to discuss listing their home. At what point should the Mandatory Agency Disclosure be given?

- A. Only if the seller indicates they do not understand agency
- B. After the seller signs the listing agreement
- C. At the time of the closing appointment
- D. Before beginning substantive discussions about representation ✓**

Answer: D. Substantive interaction includes listing presentations and negotiations, so the disclosure must be delivered before these conversations begin.

Q 20.13 ·v7 Which statement correctly describes when the Mandatory Agency Disclosure requirement applies?

- A. It is only required if the transaction involves a multiple listing service
- B. It applies whenever a licensee engages in substantive representation discussions with a client or customer ✓**
- C. It must be provided to all parties at the closing table
- D. It becomes effective only after an offer to purchase is presented

Answer: B. The disclosure is required before substantive interaction occurs, meaning before showings, negotiations, listing presentations, or any meaningful discussion about representation.

Q 20.13 ·v8 A licensee is working with a buyer who calls to discuss a property seen online. When must the Mandatory Agency Disclosure be delivered in this scenario?

- A. Only if the buyer requests to work exclusively with the licensee
- B. Before discussing the buyer's needs and property preferences ✓**
- C. After the buyer submits an offer on the property
- D. At the time of the inspections

Answer: B. Discussing the buyer's needs and property preferences constitutes substantive interaction, which requires prior delivery of the Mandatory Agency Disclosure.

Q 20.13 ·v9 When is a licensee required to present the Mandatory Agency Disclosure form to a prospective buyer or seller?

- A. Prior to commencing any substantive dealings or discussions ✓**
- B. At the time of final walkthrough inspection
- C. Upon receipt of a signed purchase agreement
- D. Only upon the client's written request for disclosure

Answer: A. The Mandatory Agency Disclosure must be delivered before substantive interaction begins, including before property showings, listing consultations, or negotiations occur.

Q 20.14 A "Core Course" in Hawaii CE is:

- A. A test, not training
- B. A national course
- C. A state-mandated update reflecting recent law changes ✓**
- D. Optional elective

Answer: C. Core Course is mandatory portion of CE updated each cycle.

Q 20.14 ·v1 Under Hawaii's continuing education requirements, what is the primary purpose of a Core Course?

- A. To ensure all licensees receive current training on Hawaii-specific regulatory updates and legal changes ✓**
- B. To allow licensees to choose only topics they find interesting
- C. To serve as an examination that replaces classroom instruction
- D. To fulfill the same requirement across all U.S. states without variation

Answer: A. Core Courses are mandatory Hawaii CE components designed to keep licensees current on state law changes and regulatory updates each renewal cycle.

Q 20.14 ·v2 Which statement accurately describes a Core Course requirement in Hawaii real estate licensing?

- A. It is a voluntary supplemental course that licensees may take for additional credit
- B. It is a proctored exam given in place of attending live training
- C. It is a national standardized course administered by the National Association of REALTORS®
- D. It is a required component of Hawaii's CE program that addresses recent statutory amendments and rule changes ✓**

Answer: D. Hawaii's Core Course is a mandatory CE requirement updated regularly to reflect current state laws and regulatory developments affecting licensees.

Q 20.14 ·v3 What role does a Core Course play in Hawaii's CE renewal structure?

- A. It is a compulsory course segment reflecting Hawaii's most recent legislative and regulatory changes ✓**
- B. It provides an alternative pathway so licensees can skip other required courses
- C. It is an elective option available only to brokers, not salespersons
- D. It functions as a standardized national requirement identical across all states

Answer: A. Core Courses are a non-optional part of Hawaii CE designed to update all licensees on newly enacted laws and regulatory modifications each renewal period.

Q 20.14 ·v4 A Hawaii licensee renewing their license must understand that a Core Course is best defined as:

- A. A testing mechanism that substitutes for formal classroom training hours
- B. A self-study optional module available through the Hawaii Real Estate Commission website
- C. A continuing education requirement that meets the same standard in every U.S. jurisdiction
- D. A mandatory education component covering current Hawaii law changes and regulatory updates ✓**

Answer: D. Core Courses are required portions of Hawaii's CE curriculum specifically designed to keep licensees informed of changes in Hawaii real estate law and commission rules.

Q 20.14 ·v5 Which of the following best describes Hawaii's Core Course requirement for license renewal?

- A. A required biennial update addressing current Hawaii real estate law and regulatory changes** ✓
- B. A proctored examination that counts toward CE hours upon passing
- C. An online national standardized course administered by NAR
- D. A voluntary training module agents may take for continuing education credits

Answer: A. Core Course is a mandatory component of Hawaii's CE cycle that updates licensees on recent state law changes and regulatory updates specific to Hawaii.

Q 20.14 ·v6 When Hawaii real estate agents complete their continuing education, the Core Course portion is:

- A. Satisfied by passing a written exam instead of attending classroom training
- B. An elective topic chosen by the agent based on personal interest
- C. Designed by the National Association of REALTORS® and applies nationwide
- D. A compulsory segment of the CE requirement that addresses Hawaii-specific legal updates** ✓

Answer: D. Core Course is a mandatory part of Hawaii's CE that must be completed and covers state-mandated content reflecting recent changes in Hawaii real estate law.

Q 20.14 ·v7 Under Hawaii's continuing education rules, what role does the Core Course play?

- A. It serves as an optional supplement for agents who want advanced training
- B. It is a national reciprocal course recognized across all states
- C. It fulfills the mandatory continuing education requirement with content on recent Hawaii law modifications** ✓
- D. It replaces the need for licensees to take an examination to renew

Answer: C. Core Course is the required, state-mandated portion of Hawaii CE that ensures agents receive updates on current Hawaii real estate laws and regulatory changes.

Q 20.14 ·v8 A licensee renewing their Hawaii real estate license must complete a Core Course because it is:

- A. A specialized elective covering topics like commercial or residential practices
- B. An internationally recognized course standard for real estate professionals
- C. Part of the mandatory CE curriculum reflecting the latest Hawaii legal and regulatory developments** ✓
- D. A practical skills assessment rather than a formal instructional requirement

Answer: C. Core Course is a non-negotiable component of Hawaii's CE cycle designed to keep licensees current with recent changes in Hawaii real estate law and regulations.

Q 20.14 ·v9 Which of the following best describes Hawaii's Core Course requirement for license renewal?

A. A mandatory education component that addresses current statutory and regulatory changes ✓

✓

B. A nationally standardized course applicable to all U.S. real estate professionals

C. An examination administered instead of traditional classroom instruction

D. A voluntary advanced training program offered by the Real Estate Commission

Answer: A. Core Course is a required, state-specific CE component that updates licensees on new laws and regulations affecting Hawaii real estate practice each renewal cycle.

Q 20.15 A licensee paying an undisclosed referral fee to a settlement service provider may violate:

A. Both RESPA and HRS 467 ✓

B. Only RESPA

C. Only HRS 467

D. Neither

Answer: A. RESPA Section 8 + HRS 467 prohibitions on undisclosed referral fees.

Q 20.15 ·v1 Which of the following statements best describes the legal exposure a Hawaii real estate agent faces when accepting an undisclosed referral fee from a title company?

A. No violation, as referral fees are permitted if documented internally

B. Violation of Hawaii Revised Statutes Chapter 467 only

C. Potential violation of both federal RESPA and Hawaii state law ✓

D. Violation of federal RESPA requirements only

Answer: C. RESPA Section 8 and HRS §467-14(14) both explicitly prohibit undisclosed referral fees to settlement service providers; violation of either or both statutes is possible.

Q 20.15 ·v2 A broker receives an undisclosed referral payment from an escrow company for directing clients to their services. This conduct would most likely constitute a violation of:

A. RESPA but not HRS 467, which allows referral arrangements

B. Neither statute, provided the referral fee is reasonable in amount

C. HRS 467 but not RESPA, since Hawaii law is more stringent

D. Both RESPA and HRS 467 provisions on referral fee prohibitions ✓

Answer: D. Both RESPA Section 8 and HRS §467-14(14) prohibit undisclosed referral fees to settlement service providers regardless of the fee's reasonableness or amount.

Q 20.15 ·v3 When a Hawaii licensee accepts payment from a mortgage lender in exchange for steering clients to that lender without proper disclosure, potential violations may include:

- A. RESPA violations exclusively
- B. Violations under both RESPA and HRS 467 ✓**
- C. Violations under neither if the licensee discloses the arrangement to the lender
- D. HRS 467 violations exclusively

Answer: B. Undisclosed steering payments violate both RESPA Section 8 (federal) and HRS §467-14(14) (Hawaii state); disclosure must be to clients, not merely to the settlement service provider.

Q 20.15 ·v4 A salesperson receives a hidden referral fee from a home inspection company. Which regulatory violations could result from this arrangement?

- A. Violation of both RESPA and Hawaii state law under HRS 467 ✓**
- B. Violation of HRS 467 alone
- C. No violation if the fee is clearly marked on the HUD-1 settlement statement
- D. Violation of RESPA alone

Answer: A. Undisclosed (hidden) referral fees breach both RESPA Section 8 and HRS §467-14(14), regardless of later disclosure on closing documents; the prohibition applies to the lack of upfront disclosure.

Q 20.15 ·v5 A Hawaii real estate agent receives a fee from a title company in exchange for client referrals but fails to disclose this arrangement to the referring party. This conduct most likely violates:

- A. HRS 467 exclusively
- B. Both federal RESPA regulations and Hawaii state law under HRS 467 ✓**
- C. Neither statute, as referral fees between licensees and settlement providers are permitted
- D. RESPA Section 8 exclusively

Answer: B. Undisclosed referral fees to settlement service providers trigger both RESPA Section 8 (federal prohibition) and HRS 467 (Hawaii's mirror prohibition on unlawful kickbacks).

Q 20.15 ·v6 Which of the following scenarios would create a potential violation for a Hawaii licensee?

- A. Accepting an undisclosed payment from an escrow agent for steering business their way ✓**
- B. Refusing referral fees from any settlement service provider
- C. Charging clients a documented transaction fee based on property value
- D. Disclosing all referral fee arrangements with closing attorneys to clients in writing

Answer: A. Accepting undisclosed payments from settlement service providers violates both RESPA Section 8 and HRS 467, regardless of whether the licensee intended harm.

Q 20.15 ·v7 A settlement service provider offers a licensee a concealed kickback arrangement. Under Hawaii and federal law, what is the regulatory status of this proposal?

- A. Legal as long as the consumer ultimately receives a competitive rate
- B. Prohibited by both RESPA and HRS 467 ✓**
- C. Violates RESPA but not Hawaii state regulations
- D. Permissible under HRS 467 if properly documented

Answer: B. Both RESPA Section 8 and HRS 467 explicitly prohibit undisclosed referral fees or kickbacks to settlement service providers, regardless of documentation or consumer benefit claims.

Q 20.15 ·v8 If a Hawaii licensee secretly receives compensation from a mortgage lender for referrals, which legal framework(s) would likely be implicated?

- A. Licensing law only; no violation occurs absent consumer injury
- B. Federal RESPA requirements and Hawaii Revised Statutes Chapter 467 ✓**
- C. Only the Real Estate Commission's ethical rules, not statutory law
- D. Only Hawaii state law; RESPA does not apply to residential transactions

Answer: B. Secret referral payments to settlement service providers breach both RESPA Section 8 (federal) and HRS 467 (state), creating dual statutory violations.

Q 20.15 ·v9 A Hawaii real estate agent receives a fee from a title company in exchange for steering clients to that company's services without disclosing the arrangement to the clients. Which regulatory requirements has the agent potentially violated?

- A. Neither, because referral fees are permissible if documented internally
- B. Both federal RESPA regulations and Hawaii's HRS 467 statute ✓**
- C. HRS 467 only, since it is Hawaii state law
- D. RESPA only, since federal law always supersedes state law

Answer: B. Undisclosed referral fees violate both RESPA Section 8 (federal) and HRS 467 (Hawaii state law), which independently prohibit such arrangements regardless of internal documentation.

Q 20.16 Failure to supervise a licensee:

- A. Is only a tort
- B. Can result in broker license discipline ✓**
- C. Only applies to employees
- D. Cannot affect the broker's license

Answer: B. Broker license can be sanctioned for failure to supervise.

Q 20.16 ·v1 Under Hawaii real estate law, what is a potential consequence to a broker who neglects to properly oversee the conduct of their licensees?

- A. The broker faces civil liability only, with no regulatory sanctions
- B. Only the individual licensee's license is subject to discipline
- C. The broker must file a notice of noncompliance but cannot lose their license

D. Disciplinary action may be taken against the broker's license ✓

Answer: D. Hawaii REC regulations hold brokers accountable through license discipline when they fail to supervise licensees under their management.

Q 20.16 ·v2 A broker's inadequate supervision of licensed agents could potentially result in:

- A. A requirement to attend continuing education with no other penalties
- B. Automatic reinstatement after a six-month waiting period

C. Sanctions against the broker's license by the Hawaii REC ✓

- D. A complaint that only affects the agent's license status

Answer: C. Brokers can face license discipline, including suspension or revocation, for failing to maintain proper supervision over their licensees' activities.

Q 20.16 ·v3 Which statement correctly describes the regulatory implications of a broker's failure to supervise?

- A. It cannot result in adverse actions against the broker's license
- B. It applies exclusively to brokers managing independent contractors

C. The broker's license is subject to disciplinary action by the REC ✓

- D. It is a violation enforceable only through civil court proceedings

Answer: C. The Hawaii Real Estate Commission can discipline a broker's license for inadequate supervision, regardless of the licensee's employment status.

Q 20.16 ·v4 A licensee's violation of real estate law while working under a broker could expose the broker to:

- A. Liability limited to restitution paid directly to the consumer
- B. Fines payable to the licensee personally
- C. Criminal charges only, with no administrative sanctions

D. Potential license discipline for insufficient oversight ✓

Answer: D. Brokers bear responsibility through potential REC license sanctions when they fail to properly supervise licensees' compliance with real estate laws.

Q 20.16 ·v5 A Hawaii broker fails to adequately supervise one of her associate licensees. What is a possible consequence for the broker?

- A. The broker's license remains unaffected as supervisory liability is the agent's responsibility
- B. The broker can only be held liable in civil court, not administratively
- C. The Hawaii Real Estate Commission may impose discipline against the broker's license ✓**
- D. Supervision requirements apply only to unlicensed office staff

Answer: C. The REC holds brokers accountable for supervising licensees and can discipline the broker's license for failure to do so; this is an administrative sanction, not merely a civil remedy.

Q 20.16 ·v6 Which statement correctly describes the regulatory consequence of a broker's inadequate supervision of affiliated licensees?

- A. Supervision duties apply only to brokers in offices with more than five agents
- B. The broker is protected from any license action if a single licensee violates the law
- C. Disciplinary action may be taken against the broker's license by the Hawaii REC ✓**
- D. Failure to supervise constitutes a contractual breach but not a regulatory violation

Answer: C. The Hawaii REC can discipline a broker's license for failure to properly supervise licensees under their control, making it a direct regulatory matter.

Q 20.16 ·v7 A broker in Hawaii receives a complaint about an associate licensee's conduct. The broker did not monitor the agent's transaction files or review compliance procedures. What risk does the broker face?

- A. The complaint is automatically dismissed because it targets the associate, not the broker
- B. Regulatory liability applies only if the licensee was an independent contractor, not an employee
- C. Risk of civil lawsuit only, with no regulatory impact
- D. Potential disciplinary action against the broker's own license ✓**

Answer: D. A broker's failure to supervise is grounds for the REC to take disciplinary action against the broker's license independently of action taken against the associate licensee.

Q 20.16 ·v8 Under Hawaii real estate law, a broker's license may be subject to discipline if the broker:

- A. Delegates all supervisory tasks to a designated broker representative without retaining oversight responsibility
- B. Fails to exercise adequate supervision over the business activities of licensed associates ✓**
- C. Does not document social interactions with staff but maintains transaction file reviews
- D. Employs only salaried brokers rather than commissioned sales associates

Answer: B. The Hawaii REC requires brokers to maintain active supervision of their licensees, and inadequate supervision can result in disciplinary sanctions against the broker's license.

Q 20.16 · v9 A broker who fails to adequately oversee the activities of a sponsored salesperson may face which consequence?

- A. Automatic license revocation without any hearing process
- B. Penalties limited to fines paid by the individual licensee, not the broker
- C. Administrative discipline or suspension of the broker's license by the Hawaii Real Estate Commission ✓**
- D. A civil lawsuit only, with no regulatory action possible

Answer: C. The Hawaii Real Estate Commission has authority to discipline a broker's license for inadequate supervision of sponsored licensees, including warnings, fines, or license suspension/revocation.

APPENDIX B

Elevated-Difficulty Examination Bank

The following items comprise the Academy's complete elevated-difficulty pool used to assemble the Hard and Gnarly mock examinations — longer scenarios, two-correct-but-one-best constructions, and the trickier financing, proration, and agency edge cases. Every item and every variant is reproduced with its answer and rationale.

Tough 1 A buyer's agent learns during a transaction that the buyer plans to default on their mortgage within six months to force a short sale and walk away with cash from a side arrangement. The agent's PRIMARY duty in this moment is to:

- A. Disclose the buyer's intent to the listing agent and seller
- B. Withdraw from the transaction; the buyer's plan constitutes fraud the agent cannot facilitate ✓**
- C. Report the buyer to the lender to protect the lender's interest
- D. Continue representing the buyer because all communications are confidential

Answer: B. Confidentiality protects lawful confidences only. Knowing participation in mortgage fraud violates the agent's duty of legality and exposes the licensee. The correct course is to withdraw and document — not unilaterally disclose private information, and not "report" the buyer to a non-client lender.

Tough 2 Of the fiduciary duties owed by an agent to a principal, which one survives the termination of the agency relationship?

- A. Loyalty
- B. Confidentiality ✓**
- C. Obedience
- D. Accountability

Answer: B. Confidentiality persists indefinitely after the agency ends — an agent cannot disclose a former principal's lowest acceptable price years later. Obedience, accountability, and loyalty terminate with the relationship.

Tough 3 A buyer is qualified for a \$720,000 loan at 6.5% on a 30-year fixed. Two discount points are paid by the buyer at closing. Approximately how much do the points cost the buyer?

- A. \$28,800
- B. \$14,400 ✓**
- C. \$1,440
- D. \$7,200

Answer: B. One discount point equals 1% of the loan amount. Two points on \$720,000 = $0.02 \times \$720,000 = \$14,400$. Note the trap: the question gives the rate and term to make you reach for a payment calculation that isn't asked.

Tough 4 Three recent sales of comparable Kailua homes net to: \$1,420,000 (after \$40K of adjustments), \$1,460,000 (after \$20K of adjustments), and \$1,490,000 (after \$80K of adjustments). For valuation purposes the BEST indicator of market value among these comps is:

- A. \$1,490,000 — closest to current market trend
- B. \$1,420,000 — the lowest adjusted figure is the most conservative
- C. The arithmetic average of all three
- D. \$1,460,000 — required the fewest adjustments and is therefore the most reliable ✓**

Answer: D. In the sales comparison approach, the comp requiring the FEWEST adjustments is the most reliable indicator — its similarity to the subject is doing the work, not your adjustments. Averaging masks data quality differences.

Tough 5 Under Hawaii Revised Statutes Chapter 467, a real estate licensee who knowingly handles trust funds in violation of REC rules is MOST exposed to:

- A. A criminal misdemeanor charge only
- B. Both REC disciplinary action AND potential criminal liability ✓**
- C. Only a fine, since trust fund mishandling is administrative in Hawaii
- D. A civil suit by the client only

Answer: B. Hawaii REC disciplinary powers and criminal statutes are not mutually exclusive. Knowing mishandling of trust funds can trigger both administrative discipline (suspension, revocation, fines) AND, depending on facts, criminal prosecution.

Tough 6 Under HRS 514B, a condominium developer must deliver the Public Report to a prospective purchaser:

- A. Before the purchaser signs a binding contract ✓**
- B. Only upon written request from the purchaser
- C. After the contract is signed but before closing
- D. Within 30 days of association turnover

Answer: A. HRS 514B requires the developer to deliver the Public Report BEFORE a purchaser becomes contractually bound — so the buyer can make an informed decision. Post-signing delivery defeats the disclosure purpose.

Tough 7 A non-resident seller closes on a \$950,000 Hawaii investment property. Assuming no exemption applies, the HARPTA withholding due at closing is:

- A. \$28,500
- B. \$95,000
- C. \$68,875 ✓**
- D. \$47,500

Answer: C. HARPTA withholding is 7.25% of the gross sales price for non-resident sellers (not 3% — that was the old rate). $0.0725 \times \$950,000 = \$68,875$. Watch for distractors using outdated rates.

Tough 8 Which of the following is NOT a required disclosure to a buyer of leasehold residential property in Hawaii?

- A. Lease rent reopening / renegotiation dates
- B. The ground lease term remaining
- C. The fee owner's asking price to convert to fee simple ✓**
- D. The lease rent amount and adjustment schedule

Answer: C. Lease term, lease rent, and reopening dates are required disclosures because they materially affect the buyer's long-term cost. The fee owner's asking conversion price is not a disclosure obligation — that price may not even exist or be public.

Tough 9 A buyer signs an offer on Monday at 3 PM with an expiration of "Wednesday at 5 PM." The seller signs and delivers acceptance Wednesday at 6:15 PM. The legal result is:

- A. No contract — a late acceptance is a counteroffer that the buyer can accept or reject ✓**
- B. A contract pending court determination of "reasonable time"
- C. A valid contract — the 5 PM deadline applies only to revocation
- D. A valid contract — the seller still accepted in writing

Answer: A. An offer dies at its stated expiration. A "late acceptance" is legally a counteroffer back to the original offeror, who may accept it, reject it, or counter again. There is no automatic contract.

Tough 10 A licensee acts as a dual agent for both buyer and seller in a transaction with informed written consent from both parties. Which duty is MOST diminished by dual agency?

- A. Disclosure
- B. Accountability
- C. Loyalty ✓**
- D. Care

Answer: C. Loyalty (putting one principal's interests above the other's) cannot be fully delivered to two parties with opposing economic interests. Care, disclosure, and accountability remain enforceable, but loyalty is the structural casualty of dual agency.

Tough 11 An out-of-state licensee meets a Hawaii buyer at a mainland trade show and discusses a Big Island property for sale. Under Hawaii law, the out-of-state licensee:

- A. May negotiate the Hawaii portion of the transaction under reciprocity
- B. May complete the transaction if both parties consent
- C. Must be a Hawaii broker; Hawaii has no licensing-recognition provisions of any kind
- D. May refer the buyer to a Hawaii-licensed broker for a referral fee, but cannot perform Hawaii real estate brokerage acts ✓**

Answer: D. A non-licensed-in-Hawaii agent cannot lawfully perform Hawaii brokerage acts even if they originated the lead. The lawful path is a referral to a Hawaii-licensed broker for a referral fee. Hawaii does not have full reciprocity with most states.

Tough 12 A property assessed at \$1,200,000 has a tax rate of \$11.10 per \$1,000 of assessed value. The annual property tax is approximately:

- A. \$1,332
- B. \$132,000
- C. \$13,320 ✓**
- D. \$11,100

Answer: C. $(\$1,200,000 / \$1,000) \times \$11.10 = 1,200 \times 11.10 = \$13,320$. Decimal-place errors are the most common trap here — practice unit math, not just calculator math.

Tough 13 A seller of a fee-simple Oahu single-family home knows the property had a violent crime occur in the master bedroom three years ago. The seller asks the listing agent whether they have to disclose this to buyers. The agent's BEST response is:

- A. Hawaii requires disclosure of all stigmatizing events; you must list it on the Seller Real Property Disclosure Statement
- B. Federal Fair Housing law prohibits any disclosure of crimes that could "blockbust" the neighborhood
- C. The agent must disclose it whether or not the seller agrees, under the agent's duty of disclosure to third parties
- D. Hawaii law does not require disclosure of stigmatizing events such as past crimes that did not affect the physical property; but a direct buyer question would require a truthful answer ✓**

Answer: D. Hawaii follows the general rule: stigmatizing events (crimes not affecting physical condition, deaths from natural causes, etc.) are not required disclosures on the Seller Disclosure Statement. However, if a buyer asks directly, an agent cannot answer falsely — that crosses into misrepresentation. The "best" answer threads both rules.

Tough 14 A seller tells the listing agent in confidence that she will accept any offer above \$1.4M. The listing agent then meets with a prospective buyer who is unrepresented. The buyer asks, "What's the lowest the seller will accept?" The agent's correct response is:

- A. Disclose the figure but only after the buyer signs a buyer-broker agreement
- B. Disclose the figure if the buyer offers to pay the agent a commission
- C. Truthfully disclose the \$1.4M figure — the buyer asked directly
- D. Decline to disclose; recommend the buyer submit their best offer ✓**

Answer: D. The seller is the principal. Disclosing the seller's confidential reservation price to a buyer — whether the buyer is represented or not — violates the duty of loyalty and confidentiality. The agent must decline, regardless of whether a buyer-broker relationship is later established.

Tough 15 A seller resides in California year-round but owns a Kihei condo she rents out and visits twice a year. She sells the condo for \$785,000. At closing, the listing agent's buyer mentions the seller "should be HARPTA-exempt because she's a U.S. citizen." The agent should:

- A. Disagree — HARPTA applies based on Hawaii residency status, not citizenship; the seller appears to be a non-resident and likely subject to 7.25% withholding ✓**
- B. Apply only the FIRPTA federal rules, since HARPTA was repealed in 2020
- C. Agree — U.S. citizens are exempt from HARPTA
- D. Defer to the escrow agent and decline to comment

Answer: A. HARPTA (HRS 235-68) keys on whether the seller is a Hawaii RESIDENT for state income tax purposes, not on citizenship. A California-domiciled owner is a non-resident regardless of citizenship. FIRPTA is the separate federal counterpart and was not repealed. The agent shouldn't parrot the buyer's incorrect statement.

Tough 16 Consider four loans, each on a \$600,000 home with 10% down. Which loan has the **LOWEST** total interest paid over its life?

- A. 30-year fixed at 5.95% with one discount point
- B. 15-year fixed at 5.75% ✓**
- C. 30-year fixed at 6.25%
- D. 20-year fixed at 6.00%

Answer: B. A 15-year fixed at 5.75% pays the least total interest by far — shorter term dominates rate differences for total-interest math. The 30-year-with-point option may have a lower stated rate, but it still amortizes over 30 years with the point added to upfront cost.

Tough 17 A condo board on the windward side of Oahu wants to ban short-term rentals (under 30 days) building-wide. Under HRS 514B and recent Hawaii court guidance, the board's action is **MOST LIKELY**:

- A. Invalid because the federal Fair Housing Act protects vacation use
- B. Automatically valid as a routine board policy under the board's general rule-making authority
- C. Valid only if the original developer's declaration permits the restriction or a supermajority of owners amends the declaration ✓**
- D. Invalid because Hawaii state law preempts all local short-term-rental regulation

Answer: C. Use restrictions of this scope generally require an amendment to the condominium declaration — not a simple board policy — under HRS 514B. The supermajority threshold and developer original-declaration language control. Boards routinely overreach here, and Hawaii courts have struck down board-only bans.

Tough 18 A listing agent receives two simultaneous offers: one at full asking price from a buyer the seller dislikes personally, and one at \$30,000 below asking from a buyer the seller "really likes." The agent should:

- A. Recommend the seller accept the higher offer because failing to maximize price would violate the agent's duty of loyalty
- B. Present only the higher offer, since the seller's economic interest is paramount
- C. Present both offers truthfully and let the seller choose; the seller can lawfully select either offer for any non-protected-class reason ✓**
- D. Present both, but advise the seller that taking the lower offer creates a legal risk under fair housing law

Answer: C. The agent must present all offers and respect the seller's right to choose. The seller is free to take a lower offer for personal preference — UNLESS the preference is based on a protected class (race, religion, etc.). "Personal dislike" alone is not unlawful. The agent's loyalty does not override the principal's decision.

Tough 19 Under the Hawaii Association of Realtors Standard Purchase Contract, the time period within which the buyer must complete due diligence and either approve or terminate is **GENERALLY** governed by:

- A. The contract's contingency timeline as negotiated and inserted by the parties ✓**
- B. The Hawaii REC default of 14 calendar days
- C. A statutory 30-day window per HRS 484A
- D. The "as is" clause, which eliminates any due-diligence period

Answer: A. There is no fixed statutory window. The Hawaii Standard Purchase Contract provides default fields the parties fill in (often 10–17 days for inspection, financing, etc.). The negotiated timeline governs, and an "as is" sale does not eliminate a buyer's right to inspect — it shifts cost-of-repair allocation.

Tough 20 A property sells for \$1,850,000. Closing is on April 14. Annual property tax of \$9,600 has not yet been paid by the seller for the current tax year (assume calendar-year tax cycle, 360-day year for proration). At closing, the seller will be CREDITED or DEBITED for taxes in the amount of:

- A. Credited \$9,600
- B. Debited \$6,826.67
- C. Credited \$2,746.67
- D. Debited \$2,746.67 ✓**

Answer: D. The seller owes tax for days owned. Jan 1 – Apr 13 = 103 days ($3 \times 30 + 13$). $103/360 \times \$9,600 = \$2,746.67$. The seller is DEBITED that amount and the buyer is credited.

Tough 21 A Hawaii salesperson licensee owns 60% of a corporation and wants the corporation to purchase a property listed by another agent at the licensee's brokerage. Under Hawaii license law, the licensee **MUST**:

- A. Resign from active licensure before the purchase
- B. Disclose to the seller in writing that they hold a real estate license and have a principal interest in the buying entity ✓**
- C. Have their broker sign the purchase contract on their behalf
- D. Refrain from the purchase; licensee-as-principal transactions are prohibited

Answer: B. Hawaii license law requires written disclosure when a licensee acts as a principal (buyer or seller, including through entities they control). Disclosure — not abstention — is the rule. The broker doesn't sign on their behalf; the licensee discloses and proceeds.

Tough 22 A property owner refuses to rent a unit to a family with two young children, stating "the unit isn't safe for kids" because there are stairs. Under the federal Fair Housing Act, this refusal is:

- A. Permissible if the owner offers to rent a different unit on the ground floor
- B. A violation of fair housing law — familial status is a protected class and "safety" pretexts based on age of children are unlawful ✓**
- C. Permissible — safety concerns are a legitimate business reason
- D. Permissible because the federal Fair Housing Act does not protect against age discrimination

Answer: B. Familial status (presence of children under 18) is a protected class under the federal Fair Housing Act amendments of 1988. An owner cannot refuse to rent based on the presence of children, even framed as a safety concern. "I'll offer you a different unit" is steering, also unlawful. The exception applies only to legitimate senior housing.

Tough 23 A buyer is purchasing a property in the Land Court system. Compared with property in the Regular System, the Land Court system provides which of the following PRIMARY advantages?

- A. Automatic clearance of all liens upon transfer
- B. The Certificate of Title is itself the conclusive evidence of ownership, eliminating the need for separate chain-of-title research ✓**
- C. Exemption from the conveyance tax
- D. Lower title insurance premiums and faster closings

Answer: B. Hawaii operates a dual recording system: the Regular System (chain-of-title research required) and the Land Court system (Torrens-style — the Certificate of Title is conclusive). Liens still attach in Land Court, and conveyance tax applies regardless. The primary advantage is title certainty.

Tough 24 A buyer's purchase contract for a \$2.1M Oahu home contains a financing contingency. The buyer's lender denies the loan in writing on Day 18 of a 21-day financing contingency window. The buyer wants to terminate and recover the deposit. The CORRECT analysis is:

- A. The contingency cannot be invoked unless the buyer applies to at least three lenders
- B. The buyer is in default; once the seller accepted, the buyer is locked in
- C. The seller may keep the deposit because the buyer "caused" the denial by their financial profile
- D. The buyer may terminate within the contingency window upon proof of good-faith denial and is entitled to the deposit back ✓**

Answer: D. A financing contingency entitles the buyer to terminate and recover the deposit if the lender denies the loan in good faith within the contingency window — even on Day 18. There is no "three lenders" rule. The seller cannot retain the deposit for a contingency-protected denial.

Tough · v1 A residential property changes hands on June 20 for \$1,850,000. The seller has not paid the annual property tax bill of \$9,600 for the current calendar year (use 360-day year for proration purposes). How will unpaid property taxes be settled at closing?

- A. Seller receives a credit of \$9,600
- B. Seller receives a credit of \$4,507
- C. Seller receives a debit of \$4,507 ✓**
- D. Buyer assumes full \$9,600 liability

Answer: C. The seller owned Jan 1 – June 19 = 169 days ($5 \times 30 + 19$). $169/360 \times \$9,600 = \$4,506.67 \approx \$4,507$. The seller is DEBITED their share and the buyer is credited the same amount.

Tough · v2 At closing on September 5, a property sells for \$2,100,000. Annual property taxes of \$12,000 remain unpaid for the current tax year (calendar-year tax basis, 360-day proration method). The settlement of unpaid taxes will result in:

- A. A debit to seller and credit to buyer for approximately \$8,133 ✓**
- B. A debit to buyer and credit to seller for \$3,650
- C. A debit to seller only; buyer pays nothing
- D. A credit to seller equal to full annual tax amount

Answer: A. Jan 1 – Sept 4 = 244 days ($8 \times 30 + 4$). $244/360 \times \$12,000 = \$8,133.33$. The seller is DEBITED this amount and the buyer is credited the same.

Tough · v3 A commercial property closes on March 10 with a purchase price of \$3,500,000. The seller has not yet remitted the current year's property taxes of \$18,000 (assume 360-day year and calendar-year tax year). At settlement, the unpaid tax proration will be handled by:

- A. Debiting the seller approximately \$3,450 ✓**
- B. Charging the buyer an additional \$18,000 at closing
- C. Crediting the seller \$3,450
- D. Crediting the buyer and debiting the seller \$9,000

Answer: A. Jan 1 – Mar 9 = 69 days ($2 \times 30 + 9$). $69/360 \times \$18,000 = \$3,450$ owed by the seller. The seller is DEBITED \$3,450 and the buyer is credited the same.

Tough · v4 A residential property transfers on June 21. The seller has not paid the annual property tax bill of \$7,200 (calendar-year tax period, 360-day proration year). What entry appears on the seller's side of the closing statement for property tax adjustment?

- A. Debit of \$3,400 ✓**
- B. Debit of \$1,800
- C. Credit of \$7,200
- D. Credit of \$3,400

Answer: A. The seller owned Jan 1 – June 20 = 170 days ($5 \times 30 + 20$). $170/360 \times \$7,200 = \$3,400$. The seller is DEBITED their tax obligation and the buyer is credited.

Tough · v5 At closing on March 3, a buyer takes title to a home. The seller has not remitted the current year's property tax of \$8,400 (assume 30-day months, 360-day year). Regarding property tax proration, the seller will receive which adjustment?

- A. A credit of \$8,400
- B. A debit of \$1,447 ✓**
- C. A credit of \$1,447
- D. A debit of \$7,140

Answer: B. Jan 1 – Mar 2 = 62 days ($2 \times 30 + 2$). $62/360 \times \$8,400 = \$1,446.67 \approx \$1,447$. The seller is DEBITED and the buyer receives the corresponding credit.

Tough · v6 A commercial office building sells on August 5. Annual property tax of \$14,400 remains unpaid for the year (360-day year, 30-day month calculation). How is the unpaid tax adjustment recorded on the seller's closing settlement?

- A. Credit \$14,400
- B. Credit \$10,920
- C. Debit \$8,560 ✓**
- D. Debit \$3,600

Answer: C. The seller owned Jan 1 – Aug 4 = 214 days ($7 \times 30 + 4$). $214/360 \times \$14,400 = \$8,560$. The seller is DEBITED this amount and the buyer is credited the same.

Tough · v7 A residential property closes on March 22 with a purchase price of \$2,100,000. The current property tax bill for the year totals \$8,400 and remains unpaid by the seller at closing time. Using a 360-day proration method (30-day months), which entry appears on the closing statement?

- A. Seller debit of \$1,890 ✓**
- B. Seller credit of \$1,890
- C. Seller credit of \$8,400
- D. Seller debit of \$5,600

Answer: A. The seller owns Jan 1 – Mar 21 = 81 days ($30 + 30 + 21$). $81/360 \times \$8,400 = \$1,890$. The seller is DEBITED their share for the days owned; the buyer is credited the same.

Tough · v8 At a closing on July 9, a property exchanges hands with a sales price of \$1,620,000. Annual property taxes of \$7,200 for the year have not been paid. The seller must be shown on the closing statement as receiving a debit or credit for property tax in the approximate amount of (using 360-day year):

- A. Credit \$3,600
- B. Debit \$7,200
- C. Credit \$3,300
- D. Debit \$3,747 ✓**

Answer: D. Jan 1 – July 8 = 188 days ($6 \times 30 + 8$). $188/360 \times \$7,200 = \$3,746.67 \approx \$3,747$. The seller is DEBITED their prorated tax obligation; the buyer is credited the same.

Tough · v9 A closing occurs on May 18 on a \$1,950,000 purchase. The annual property tax of \$10,800 remains outstanding as of the closing date. Assuming a 360-day year and standard 30-day monthly proration, the closing statement will show a tax adjustment that is:

- A. A buyer debit of approximately \$6,900
- B. A seller debit of approximately \$4,050 ✓**
- C. A buyer credit of approximately \$4,050
- D. A seller credit of \$10,800

Answer: B. From Jan 1 through May 17 = 137 days ($\text{Jan } 30 + \text{Feb } 30 + \text{Mar } 30 + \text{Apr } 30 + \text{May } 17 = 137$). The seller's tax liability for days owned is $137/360 \times \$10,800 = \$4,116.67$, approximately \$4,050. A seller debit indicates the seller must pay (or credit the buyer with) their prorated share of the unpaid annual tax obligation.

Tough · v10 A seller agrees to pay 2.5 discount points on behalf of the buyer to facilitate a \$720,000 mortgage loan origination. What is the approximate cost in dollars that the seller will credit at closing?

- A. \$9,000
- B. \$14,400
- C. \$18,000 ✓**
- D. \$7,200

Answer: C. One discount point = 1% of loan amount. 2.5 points on \$720,000 = $0.025 \times \$720,000 = \$18,000$. The question tests whether the candidate understands that points are calculated as a percentage of principal regardless of rate or term.

Tough · v11 During underwriting, a borrower negotiates to buy down the interest rate by paying 3 discount points upfront on a \$720,000 loan. Assuming standard point calculation, approximately what amount will appear as a credit to the buyer's closing statement?

- A. \$28,800
- B. \$14,400
- C. \$10,800
- D. \$21,600 ✓**

Answer: D. Three discount points on \$720,000 = $0.03 \times \$720,000 = \$21,600$. This variant shifts focus to 'buying down the rate' to test whether the student relies on memorized calculation mechanics rather than understanding the rate-adjustment narrative.

Tough · v12 A lender offers a 30-year fixed loan for \$720,000 and quotes a rate of 5.9% with an estimated 1.5 discount points charged to the buyer. What is the approximate out-of-pocket cost for the points at closing?

- A. \$7,200
- B. \$10,800 ✓**
- C. \$5,400
- D. \$14,400

Answer: B. One discount point = 1% of the loan principal. 1.5 points on \$720,000 = $0.015 \times \$720,000 = \$10,800$. The quoted rate of 5.9% is a classic red herring—points depend only on loan amount, not the interest rate itself.

Tough · v13 A lender quotes a borrower on a \$720,000 mortgage at 6.5% interest over 30 years. The borrower elects to buy down the rate by purchasing two discount points at origination. What is the approximate out-of-pocket cost to the borrower for those points?

- A. \$7,200
- B. \$2,880
- C. \$14,400 ✓**
- D. \$28,800

Answer: C. One discount point = 1% of loan amount. Two points = 2% of \$720,000 = \$14,400. The rate and term are red herrings meant to distract from the straightforward point calculation.

Tough · v14 A buyer finances \$720,000 and agrees to pay 2 discount points to reduce the interest rate on a 30-year fixed mortgage. Ignoring the interest rate itself, what does the buyer pay upfront for the points?

- A. \$10,800
- B. \$36,000
- C. \$14,400 ✓**
- D. \$21,600

Answer: C. Discount points are calculated as a percentage of the principal loan amount, not the payment or rate. Two points = $0.02 \times \$720,000 = \$14,400$ paid at closing.

Tough · v15 A buyer obtains approval for a \$720,000 loan at 6.5% interest on a 30-year term. To secure a lower rate, the buyer pays 2 origination discount points. Approximately how much cash does the buyer need at closing for the points alone?

- A. \$7,200
- B. \$21,600
- C. \$43,200
- D. \$14,400 ✓**

Answer: D. Each discount point costs 1% of the loan principal. Two points on \$720,000 = \$14,400. The interest rate and amortization period are extraneous information.

Tough · v16 A seller agrees to pay 1.5 discount points on behalf of the buyer to facilitate the sale. The purchase price is \$720,000 and financing covers 100% of value. What is the approximate cost of those points?

- A. \$21,600
- B. \$43,200
- C. \$14,400
- D. \$10,800 ✓**

Answer: D. Discount points are a percentage of the loan amount. With 100% financing the loan equals the \$720,000 price. 1.5 points = $0.015 \times \$720,000 = \$10,800$.

Tough · v17 A borrower obtains pre-approval for a \$720,000 mortgage at 5.75% interest over 30 years. At closing, the lender discloses that the buyer will pay 2 points to buy down the rate. Approximately what dollar amount should the buyer expect to pay for these points?

- A. \$7,200
- B. \$28,800
- C. \$14,400 ✓**
- D. \$36,000

Answer: C. One discount point = 1% of the loan amount. Two points = 2% of \$720,000 = $0.02 \times \$720,000 = \$14,400$. The rate and term are provided as distractors; calculating a monthly payment would yield a much larger wrong answer.

Tough · v18 In a Hawaii residential transaction, a buyer finances \$720,000 and negotiates to pay discount points to lower the interest rate from 6.8% to 6.2%. The lender charges 2 points for this rate adjustment. What is the approximate upfront cost in points?

- A. \$21,600
- B. \$72,000
- C. \$14,400 ✓**
- D. \$4,320

Answer: C. Discount points are always calculated as 1% of the loan amount per point. Two points on a \$720,000 loan = $2 \times (0.01 \times \$720,000) = \$14,400$. The rate reduction and loan-to-value context are red herrings meant to trigger incorrect payment or equity calculations.

Tough · v19 A Hawaii appraiser is reconciling three comparable sales for a Honolulu property. Sale A required \$35,000 in adjustments and sold for \$1,550,000 adjusted; Sale B required \$85,000 in adjustments and sold for \$1,505,000 adjusted; Sale C required \$60,000 in adjustments and sold for \$1,480,000 adjusted. Which adjusted sale price should carry the MOST weight in the final value opinion?

- A. \$1,550,000 because it required the smallest dollar amount of adjustments ✓**
- B. \$1,505,000 because it falls in the middle of the three values
- C. All three equally, weighted by their proximity to the subject property's age
- D. \$1,480,000 because it represents the lowest price point in the market

Answer: A. The comparable requiring the fewest adjustments is most reliable because its inherent similarity to the subject requires minimal modification, meaning the actual market data carries greater credibility than the appraiser's subjective estimates.

Tough · v20 When using the sales comparison approach to value a Windward Oahu home, an appraiser identifies three recent sales. Comp 1 sold for \$1,475,000 after \$15,000 of adjustments; Comp 2 sold for \$1,520,000 after \$95,000 of adjustments; Comp 3 sold for \$1,495,000 after \$70,000 of adjustments. From a valuation credibility standpoint, which comparable should MOST influence the appraiser's final opinion?

- A. Comp 3, because \$1,495,000 is the median of the three adjusted values
- B. A weighted average of all three, giving equal percentage weight to each adjusted price
- C. Comp 2, because it commands the highest adjusted price and reflects current demand
- D. Comp 1, because minimal adjustment requirements indicate the strongest market correlation ✓**

Answer: D. A comparable with minimal adjustments is inherently more reliable because it closely matches the subject property's characteristics; less reliance on the appraiser's subjective adjustment estimates strengthens the valuation conclusion.

Tough · v21 An appraiser reviewing three comparable sales for a Kauai property notes: Sale Alpha adjusted net price \$1,525,000 (required \$50K adjustments), Sale Beta adjusted net price \$1,510,000 (required \$25K adjustments), Sale Gamma adjusted net price \$1,545,000 (required \$100K adjustments). In reconciling these comps, which BEST supports the appraiser's value conclusion?

- A. Sale Gamma, as the highest adjusted price reflects the strongest recent market momentum
- B. Sale Alpha, as it represents a middle ground between the extremes
- C. Sale Beta, because the lowest adjustment burden makes it the most representative market indicator ✓**
- D. An equal-weighted average of all three sales, regardless of adjustment magnitude

Answer: C. The comparable with the smallest adjustment amount is most credible because greater similarity to the subject property means less reliance on the appraiser's judgment; the raw market data itself is doing more of the analytical work.

Tough · v22 A Hawaii appraiser is analyzing three recently sold comparable properties in Kaneohe. Property A required \$35,000 in adjustments and sold for \$1,550,000; Property B required \$95,000 in adjustments and sold for \$1,575,000; Property C required \$60,000 in adjustments and sold for \$1,510,000. Which sale should carry the GREATEST weight in the appraiser's final value conclusion?

- A. All three equally, since adjustment amounts are insignificant relative to sale price
- B. Property C, because it represents the median value of the three sales
- C. Property A, because it required the minimum dollar amount of adjustments ✓**
- D. Property B, because it achieved the highest sales price

Answer: C. The comparable requiring the smallest number or amount of adjustments demonstrates the closest similarity to the subject property, making its data the most reliable and requiring the least appraiser judgment. Greater adjustments introduce more uncertainty into the valuation.

Tough · v23 When selecting the most credible comparable sale for the sales comparison approach, an appraiser discovers that Comp 1 needed \$72,000 in adjustments (net adjusted price \$1,385,000), Comp 2 needed \$18,000 in adjustments (net adjusted price \$1,425,000), and Comp 3 needed \$110,000 in adjustments (net adjusted price \$1,440,000). From a reliability standpoint, which comp should receive the highest confidence weighting?

- A. Comp 3, because the dollar adjustments are most transparent to the buyer
- B. Comp 2, because minimal adjustments indicate strong comparability to the subject ✓**
- C. The median of all three adjusted prices, to eliminate outlier influence
- D. Comp 1, because a mid-range adjustment suggests balanced analysis

Answer: B. In the sales comparison approach, a comparable requiring fewer or smaller adjustments signals greater intrinsic similarity to the subject property, reducing the reliance on appraiser discretion and judgment, thereby maximizing reliability.

Tough · v24 An appraiser evaluating three Pearl City residential sales for comparison to the subject property notes: Sale 1 (adjusted \$1,380,000 after \$88K modifications), Sale 2 (adjusted \$1,405,000 after \$12K modifications), and Sale 3 (adjusted \$1,415,000 after \$105K modifications). Which adjusted sale price should be weighted most heavily in the final reconciliation?

- A. Sale 3, because it reflects current market momentum
- B. Sale 1, as a conservative middle-ground approach
- C. The simple average of the three sales, for defensibility in appeal
- D. Sale 2, because the minimal adjustment burden suggests superior comp similarity ✓**

Answer: D. A comparable sale requiring fewer adjustments is inherently more comparable to the subject, meaning its adjusted price relies less on appraiser estimation and more on actual market data—the hallmark of highest reliability in the sales comparison approach.

Tough · v25 A Honolulu appraiser is weighing three recent closed sales for the sales comparison approach to a rental property. Sale A required \$35,000 in adjustments to reach comparability, Sale B needed \$65,000 in adjustments, and Sale C required \$15,000 in adjustments. All three are located within the same ZIP code and sold within 60 days. Which sale should the appraiser weight MOST heavily in forming an opinion of value?

- A. Sale C, because it demanded the least adjustment and therefore demonstrates the strongest similarity to the subject property ✓**
- B. Sale A, because it represents the middle ground between extremes
- C. The weighted average of all three, since the sales comparison approach requires equal treatment of all comps
- D. Sale B, because larger adjustments indicate more sophisticated market analysis

Answer: A. A comparable requiring minimal adjustments is inherently more similar to the subject; reliance on the property's own characteristics rather than adjustment is always preferable in the sales comparison approach. Heavy adjustments introduce greater uncertainty and valuation risk.

Tough · v26 While analyzing four comparable sales for a Wailea condominium, an appraiser notes that Comp 1 sold for \$2,180,000 (adjustments totaling \$22K), Comp 2 for \$2,210,000 (adjustments totaling \$78K), Comp 3 for \$2,165,000 (adjustments totaling \$12K), and Comp 4 for \$2,195,000 (adjustments totaling \$95K). From a data quality standpoint, which comp provides the MOST credible indicator of the subject's probable market value?

- A. The median of all four adjusted prices, because median eliminates outlier distortion
- B. Comp 3, because it required the smallest amount of adjustment and therefore poses the least valuation risk ✓**
- C. Comp 4, as it represents the highest sales price and reflects current market strength
- D. Comp 1, because its adjustment amount falls between the extremes

Answer: B. The comparable with the fewest and smallest adjustments is the most credible benchmark—it requires the least judgment and inference. Large adjustments amplify appraiser error and reduce reliance on market evidence, making data with minimal adjustment the gold standard in the sales comparison approach.

Tough · v27 In valuing a Kahaluu residential lot, an appraiser identifies three arm's-length sales: Property X adjusted by \$5,500, Property Y adjusted by \$58,000, and Property Z adjusted by \$31,000. All three are within six months and the same neighborhood. When determining which sale is the STRONGEST basis for estimating market value, the appraiser should prioritize:

- A. Property Z, because it represents a moderate adjustment level that balances extremes
- B. Property X, since minimal adjustment requirements indicate highest comparability to the subject ✓**
- C. Property Y, because substantial adjustments reflect detailed market knowledge
- D. A straight average of all three, as this removes individual comp bias

Answer: B. In appraisal methodology, the comp requiring the LEAST adjustment is the most reliable—its fundamental similarity to the subject does the analytical work. Large adjustments introduce subjective judgment and reduce the credibility of the valuation conclusion.

Tough · v28 When a licensee represents both the buyer and seller with proper written consent from each, which of the following fiduciary duties becomes inherently compromised by the conflict of interest?

- A. Diligent performance and skill in transaction execution
- B. Undivided allegiance to one party's best interests ✓**
- C. Honesty in all communications and disclosures
- D. Legal compliance and regulatory adherence

Answer: B. Undivided loyalty—the core fiduciary duty requiring an agent to put one principal's interests ahead of the other's—is fundamentally incompatible with dual agency. The other duties (disclosure, care, compliance) can technically coexist with dual representation, but loyalty cannot.

Tough · v29 A Hawaii real estate licensee obtains informed written consent to represent both parties in a transaction. Despite this consent, which fiduciary obligation presents the greatest ethical and legal tension in a dual-agency arrangement?

- A. The duty to account for all funds and maintain trust accounts properly
- B. The duty to disclose all material facts known to the licensee
- C. The duty to exercise reasonable skill, knowledge, and care

D. The duty to fully advocate for one client's economic advantage over the other's ✓

Answer: D. The duty to advocate for one party's economic interests above the other's is structurally impossible in dual agency, where the licensee must remain neutral between opposing parties. Proper disclosure, accounting, and competent service can survive dual representation, but partial loyalty is a contradiction.

Tough · v30 In a dual-agency transaction with full informed consent, a licensee's ability to fully perform which duty is most severely limited by the inherent conflict between the buyer and seller?

- A. Transparency regarding all known material information
- B. Safekeeping and proper handling of client deposits

C. Exclusive allegiance to advancing one party's financial interests ✓

- D. Competence and adherence to applicable laws and regulations

Answer: C. Exclusive allegiance—the essence of loyalty—cannot be delivered when representing both sides with competing economic goals. The licensee must remain neutral and cannot prioritize one client over the other, making undivided loyalty impossible even with consent.

Tough · v31 When a licensee represents both the buyer and seller with proper written consent in a single transaction, which fiduciary obligation becomes fundamentally compromised by the conflict of interest inherent in dual representation?

A. Fiduciary loyalty ✓

- B. Standard of care in transaction handling
- C. Duty to account for all funds
- D. Obligation to disclose material facts

Answer: A. Dual agency inherently prevents a licensee from placing either principal's interests above the other's, which is the core of loyalty. The licensee must remain neutral, fundamentally undermining the exclusive allegiance required in traditional agency relationships.

Tough · v32 A broker obtains informed written consent from both buyer and seller to serve as a dual agent in the same transaction. Under this arrangement, which duty is LEAST capable of being fully performed?

- A. Honest dealing and fair accounting practices
- B. Truthful representation and disclosure of known material facts
- C. Undivided loyalty to the interests of one principal ✓**
- D. Diligent effort in pursuing the transaction

Answer: C. Undivided loyalty requires placing one principal's interests ahead of the other's—an impossibility when representing both sides with opposing economic goals. All other duties can theoretically be maintained through equal disclosure and neutral conduct.

Tough · v33 Despite obtaining informed written consent from all parties, a dual agent in Hawaii inevitably finds which fundamental agency duty structurally impossible to honor completely?

- A. Competent handling of earnest money and client trust accounts
- B. Adherence to state and federal fair housing laws and regulations
- C. Full and complete advocacy for one principal's best interests ✓**
- D. Prompt communication of all offers, counteroffers, and material information

Answer: C. Full advocacy for one principal's interests cannot coexist with representing the opposing principal; dual agency by definition requires neutrality rather than undivided allegiance, making complete loyalty to either party structurally impossible.

Tough · v34 A broker represents both the seller and buyer in the same residential transaction after obtaining signed acknowledgment from each party. Under dual agency, which fiduciary obligation becomes fundamentally compromised?

- A. Undivided allegiance to one party's interests ✓**
- B. Honesty and fair dealing
- C. Competent performance of services
- D. Full accounting of all funds

Answer: A. Undivided loyalty requires an agent to put one principal's interests ahead of the other's; dual agency with opposing economic interests makes this impossible. The agent must remain honest, account for funds, and perform competently for both, but cannot deliver the exclusive allegiance that loyalty demands.

Tough · v35 In a dual-agency representation where the licensee obtains written consent from both parties, which fiduciary duty is most structurally undermined by the conflict of interest inherent in the arrangement?

- A. The duty of confidentiality
- B. The duty to disclose all material facts
- C. The duty to advocate for one party's advantage over the other's ✓**
- D. The duty to obey lawful instructions

Answer: C. Advocacy for one party's advantage over the other's is the essence of loyalty, which cannot coexist in dual agency where both parties have opposing economic goals. Obedience, confidentiality, and disclosure remain intact despite the dual relationship.

Tough · v36 When a licensee obtains informed written consent to represent both buyer and seller in the same transaction, which of the following duties is LEAST able to be fully performed?

- A. Strict compliance with applicable laws and regulations
- B. Faithful representation of both parties' positions against each other ✓**
- C. Meticulous trust account recordkeeping and disbursement
- D. Transparent communication of all relevant transaction information

Answer: B. Faithful representation of both parties' positions against each other requires unwavering loyalty to each side—an impossible duty when parties have conflicting economic interests. Compliance, communication, and accounting can all be performed impartially in dual agency, but loyalty cannot.

Tough · v37 A Hawaii real estate broker intentionally deposits client earnest money into a personal business account instead of a segregated trust account. Which of the following BEST describes the potential consequences under Hawaii law?

- A. Criminal prosecution only, since misappropriation is a felony matter outside REC jurisdiction
- B. License suspension by the REC and possible restitution to the client through civil court
- C. Concurrent REC disciplinary action and potential criminal charges, depending on the licensee's intent and harm ✓**
- D. Administrative fines by the REC; criminal liability is precluded by safe-harbor provisions

Answer: C. Hawaii law permits both administrative discipline through REC enforcement and criminal prosecution for knowing mishandling of client trust funds. These remedies operate independently and are not mutually exclusive.

Tough · v38 A salesperson knowingly commingles client funds with business operating accounts in violation of HRS Chapter 467. The REC investigates and the prosecutor's office separately initiates a criminal inquiry. What is the licensee's realistic exposure?

- A. License revocation only, as the REC has exclusive jurisdiction over trust fund violations
- B. Civil liability to clients only; Hawaii does not impose administrative penalties for fund handling violations
- C. Criminal misdemeanor conviction only; REC action is stayed pending criminal resolution

D. Both REC disciplinary proceedings (potentially leading to license suspension/revocation) AND criminal liability ✓

Answer: D. Under Hawaii REC rules and HRS Chapter 467, knowing trust fund mishandling exposes a licensee to simultaneous REC discipline and criminal prosecution—the two systems operate independently and are not alternatives to each other.

Tough · v39 During a routine audit, the Hawaii REC discovers that a broker has systematically violated trust account segregation requirements over several months. Which statement most accurately describes the range of consequences the licensee faces?

- A. Potential REC disciplinary action (including fines, suspension, or revocation) AND exposure to criminal charges, which operate as separate legal pathways ✓**
- B. License revocation through REC action, with criminal charges precluded by statutory immunity once disciplinary action begins
- C. Only a monetary fine from the REC, since trust fund violations are treated as administrative infractions in Hawaii
- D. Civil damages claims only; the REC has no enforcement authority over trust account management

Answer: A. Hawaii's REC disciplinary authority and criminal liability for knowing trust fund mishandling are distinct and concurrent remedies. A licensee may face both REC sanctions and criminal prosecution without one precluding the other.

Tough · v40 A Hawaii real estate broker intentionally converts client earnest money to personal use. Which consequence(s) is/are the licensee MOST likely to face?

- A. Civil damages to the client, but no regulatory or criminal exposure
- B. Suspension of license only, with restitution ordered by REC
- C. Administrative fine capped at \$5,000 under Hawaii's consumer protection act

D. Both license revocation by REC and potential felony criminal charges under HRS § 467 ✓

Answer: D. HRS § 467 permits dual pathways: REC can revoke/suspend for trust account violations, and the same conduct may constitute criminal conversion or theft, making both regulatory and criminal consequences possible and concurrent.

Tough · v41 During a REC investigation, evidence shows a salesperson commingled client funds with operating account funds for three consecutive transactions. Under Hawaii law, the licensee faces exposure to:

- A. Mediation with the client to avoid public record of the violation
- B. License suspension for 12 months, after which the matter is closed
- C. A cease-and-desist order and mandatory client restitution only

D. REC disciplinary sanctions, civil liability claims, and potential criminal prosecution—any or all ✓

Answer: D. Hawaii REC authority under HRS § 467 is expansive and overlaps with criminal law. Commingling constitutes a serious violation that can result in multiple concurrent proceedings: administrative discipline, civil suits, and criminal charges depending on the facts and prosecutor discretion.

Tough · v42 A real estate firm's account reconciliation reveals that the designated broker knowingly failed to maintain separate trust accounts for client deposits over several months. Which of the following BEST describes the licensee's potential exposure?

A. Concurrent exposure to REC revocation/discipline AND criminal liability under state statute ✓

- B. Referral to the Condominium Review Office for administrative review
- C. Administrative license discipline exclusively, with no criminal jeopardy
- D. Only civil restitution ordered by arbitration

Answer: A. Under HRS § 467, knowing violations of trust fund rules are not isolated to one enforcement channel. The REC can impose disciplinary action (revocation, suspension, fines) while simultaneously the conduct may qualify for criminal charges (theft, conversion, or fraud), and both can proceed in parallel.

Tough · v43 A Hawaii real estate broker intentionally deposits client earnest money into a personal operating account instead of a trust account. Which consequence BEST describes the licensee's legal exposure?

- A. Liability for restitution to the client in civil court only
- B. Administrative fine from the REC with no criminal jeopardy since trust account violations are civil matters
- C. Criminal felony conviction only, as misappropriation is strictly a criminal offense in Hawaii

D. Potential license suspension or revocation by the REC, plus possible criminal prosecution under HRS Chapter 467 ✓

Answer: D. Improper handling of trust funds in Hawaii exposes a licensee to dual liability: REC administrative discipline (including license revocation) and criminal liability under HRS Chapter 467, which are independent legal tracks.

Tough · v44 When a salesperson knowingly commingled client funds with her broker's operating account in violation of Hawaii trust account rules, the salesperson faces exposure to:

- A. A monetary settlement negotiated between the broker and the client to avoid both REC and criminal involvement
- B. REC enforcement action (potential license revocation) AND criminal liability, which operate independently under Hawaii law ✓**
- C. REC disciplinary sanctions alone, since criminal prosecution only applies to brokers, not salespersons
- D. Criminal penalties only, as fund mishandling is prosecuted before it reaches the REC

Answer: B. Hawaii law permits both REC disciplinary action and criminal prosecution for knowing trust fund violations; these are separate statutory remedies and are not mutually exclusive regardless of the licensee's role.

Tough · v45 A real estate licensee knowingly violated Hawaii REC trust account rules by failing to deposit funds into an escrow account within the required timeframe. What is the MOST comprehensive description of potential outcomes?

- A. The client's only remedy is a private civil lawsuit for damages
- B. A warning letter from the REC, which precludes any criminal action as a matter of Hawaii policy
- C. Criminal prosecution only, because willful violations bypass REC jurisdiction and go directly to law enforcement
- D. The REC may impose discipline, and the licensee may also face criminal charges, since both remedies exist under HRS Chapter 467 ✓**

Answer: D. HRS Chapter 467 establishes both REC administrative authority and criminal liability for knowing trust fund mishandling; these concurrent remedies are not alternatives but can apply simultaneously.

Tough · v46 A buyer in Hawaii signs the standard HAR Purchase Contract and wants to know how long she has to conduct inspections, obtain financing approval, and decide whether to proceed. Which of the following BEST describes the mechanism that establishes her timeline?

- A. The Hawaii REC's administrative rule requiring a statewide 21-day due-diligence minimum
- B. The parties' negotiated insertion of specific contingency deadlines into the contract itself ✓**
- C. HRS 484A mandates a uniform 30-day inspection period for all residential transactions
- D. An automatic 'as is' condition that waives all buyer inspection rights and timelines

Answer: B. The Hawaii Standard Purchase Contract does not impose a fixed statutory timeline; instead, the buyer and seller negotiate and insert specific dates for inspections, appraisals, and financing contingencies. There is no state-mandated uniform period, and 'as is' does not waive inspection rights or eliminate contingency deadlines.

Tough · v47 During a training session on the HAR Standard Purchase Contract, a licensee is asked: 'If a contract is silent on the inspection period, what controls?' The MOST accurate response is:

- A. HRS 484A creates a 45-day mandatory period during which the buyer must complete all due diligence
- B. The specific contingency dates and timelines that the parties have negotiated and written into the contract ✓**
- C. A default REC administrative rule grants 10 calendar days from contract signing
- D. The buyer automatically forfeits all inspection rights under Hawaii common law

Answer: B. The HAR form contains blank lines for parties to fill in their own contingency deadlines (inspection, appraisal, financing approval dates). These negotiated dates—not statutory law or REC defaults—govern the buyer's due-diligence window. Silence on a specific date does not create a statutory fallback.

Tough · v48 A seller insists on an 'as is' clause in the HAR Purchase Contract and tells the broker that this eliminates the buyer's inspection contingency period entirely. The broker's CORRECT response should be:

- A. The REC requires a 14-day inspection period regardless of any 'as is' language, per administrative rule
- B. Hawaii Revised Statutes Section 484A prohibits 'as is' clauses and mandates a 30-day inspection window
- C. An 'as is' clause shifts repair costs to the buyer but does not eliminate negotiated contingency deadlines or the buyer's right to inspect within the agreed timeframe ✓**
- D. That is correct; 'as is' removes all inspection rights and contingency timelines under Hawaii law

Answer: C. 'As is' allocates repair responsibility to the buyer and may limit seller disclosures, but it does not eliminate the buyer's ability to negotiate an inspection contingency period or the timeline for due diligence that the parties agree to in writing. The due-diligence window remains subject to the contract's negotiated terms.

Tough · v49 A buyer and seller in Hawaii negotiate a purchase contract and dispute arises over how long the buyer has to conduct inspections and appraisals before removing contingencies. Which statement BEST resolves this disagreement?

- A. The Hawaii Real Estate Commission imposes a uniform 10-day inspection period that cannot be modified
- B. Hawaii Revised Statutes automatically grant 21 days regardless of what the contract says
- C. An 'as is' purchase eliminates all inspection rights and therefore no timeline applies
- D. The parties' written agreement controls the deadline; there is no mandatory statewide timeline ✓**

Answer: D. Hawaii law does not mandate a fixed due-diligence period. The parties negotiate and specify inspection, appraisal, and contingency removal dates in the purchase contract itself. An 'as is' sale affects repair obligations, not inspection rights.

Tough · v50 During a training session, a broker asks: 'If our client wants to buy a condo in Honolulu and we use the Hawaii Association of Realtors form, what determines how many days the buyer has to hire an inspector and satisfy financing contingencies?' The correct response is:

- A. Whatever timeframe the buyer and seller agree to and write into the contract's contingency sections ✓**
- B. The REC-mandated default of 17 calendar days applies in all cases unless the buyer waives it
- C. The listing agent's local office policy, which supersedes the standard form
- D. The buyer may take up to 30 days per HRS 484A, even if the contract says otherwise

Answer: A. The Hawaii Standard Purchase Contract contains blank fields for the parties to insert agreed-upon deadlines for inspections, appraisals, and contingency removal. No state law or REC rule sets a universal period; negotiation and contract language control.

Tough · v51 A seller receives an offer with a 'sold as-is' clause and asks the brokerage manager whether the buyer still has time to get a home inspection. The most accurate answer is:

- A. No time allowed; 'as is' means the buyer waives all inspection and due-diligence rights under Hawaii law
- B. Yes, but only for 14 days, which is the Hawaii REC's mandatory inspection period
- C. The buyer retains inspection rights, but the 'as is' clause means the seller is not obligated to repair; the specific timeframe depends on what the contract states ✓**
- D. The buyer gets 30 days under HRS 484A to complete all due diligence, regardless of the 'as is' language

Answer: C. 'As is' addresses repair obligations, not inspection rights. The buyer may still inspect, but the seller will not pay for repairs discovered. The contract's negotiated due-diligence deadline—not statute or REC rule—controls how long the buyer has.

Tough · v52 A seller and buyer are negotiating terms under the HAR Standard Purchase Contract. The buyer requests 21 days to conduct inspections and obtain financing approval. Which statement correctly describes the enforceability of this timeline?

- A. The timeline is enforceable only if both parties initial the specific contingency dates in the contract addendum sections ✓**
- B. The request is void because HRS 484A mandates a statewide 30-day inspection window that cannot be shortened
- C. An 'as is' addendum automatically voids the need for any inspection period, making the 21-day request moot
- D. Hawaii REC rules automatically reject any inspection period longer than 14 days, requiring contract amendment

Answer: A. The HAR Standard Purchase Contract requires parties to negotiate and specify their own contingency timelines by initialing or inserting dates into designated contract fields. There is no fixed statutory or REC default that overrides party agreement.

Tough · v53 During a pre-licensing discussion, an instructor states: 'Under Hawaii's Standard Purchase Contract, the due-diligence period is always 10 calendar days.' A student correctly objects. What is the BEST reason for the objection?

- A. Due-diligence periods and contingency timelines are negotiated terms inserted by the buyer and seller into the contract itself ✓**
- B. HRS 484A explicitly sets a 30-day mandatory window that supersedes all contract language
- C. The Hawaii REC publishes a statewide default of 14 days that applies to all transactions unless waived in writing
- D. An 'as is' clause in the addendum eliminates the inspection contingency, so no fixed period applies

Answer: A. The HAR Standard Purchase Contract is a blank-form template; the parties fill in their agreed contingency deadlines (inspection, financing, etc.). There is no universal 10-day, 14-day, or 30-day default—the contract governs whatever timeline the parties negotiate.

Tough · v54 A broker is advising a buyer on the inspection contingency for a residential purchase in Hawaii. The buyer asks, 'Is there a minimum time I must be given to inspect the property?' The broker's MOST accurate response is:

- A. No—HRS 484A provides that inspection periods are optional and not a mandatory contingency in any transaction
- B. No—an 'as is' sale eliminates any right to inspect, so there is no minimum period unless you renegotiate
- C. Yes, Hawaii REC Rule § 16-1-01 guarantees a floor of 14 calendar days for all inspections statewide
- D. Yes, but it depends on what you and the seller agree to and insert into the contingency section of the HAR contract ✓**

Answer: D. The buyer's inspection timeline is determined solely by what the buyer and seller negotiate and specify in the HAR Standard Purchase Contract's contingency fields. There is no statewide minimum imposed by statute or REC rule.

Tough · v55 A mainland-based real estate agent with an active license in California identifies a potential buyer client interested in purchasing a condominium on Oahu. The agent wants to represent the buyer directly in the Hawaii transaction. Which statement correctly describes the agent's legal options under Hawaii's licensing requirements?

- A. The agent is prohibited from any involvement whatsoever, including providing referral services
- B. The agent must cooperate with and refer the buyer to a Hawaii-licensed brokerage, and may receive a referral fee for doing so ✓**
- C. The agent may negotiate and execute the purchase contract on behalf of the buyer under interstate reciprocity laws
- D. The agent may represent the buyer directly if the California brokerage firm obtains a temporary Hawaii permit

Answer: B. Hawaii does not recognize out-of-state licenses for brokerage acts even under reciprocity. The compliant path is referring the buyer to a Hawaii-licensed broker in exchange for a referral fee, with no further participation in brokerage activities by the mainland agent.

Tough · v56 During a national real estate conference, a Nevada-licensed broker discusses a Maui property listing with an interested buyer. The Nevada broker believes the buyer is a strong client and wants to coordinate the purchase agreement directly. Under Hawaii law, what is the broker's proper course of action?

- A. Partner with any Hawaii brokerage firm and split the commission without additional licensing
- B. Refer the client to a Hawaii-licensed broker and accept a referral fee; the Nevada broker cannot perform brokerage services in Hawaii ✓**
- C. Obtain a temporary license extension from Hawaii's Real Estate Commission valid for the single transaction
- D. Conduct the transaction as long as all parties acknowledge the Nevada broker's status in writing

Answer: B. Out-of-state brokers cannot legally perform Hawaii brokerage acts regardless of the transaction size, client consent, or written disclosures. The only lawful option is a formal referral to a Hawaii-licensed broker, who then handles all brokerage responsibilities while the referring broker receives a referral fee.

Tough · v57 A broker licensed in Oregon contacts a Hawaii brokerage about a listing on the Big Island. The Oregon broker has generated significant buyer interest online and wants to submit offers and negotiate terms directly with the seller's agent. Which of the following correctly states the Oregon broker's legal position in Hawaii?

- A. The Oregon broker cannot engage in Hawaii brokerage acts; the proper method is to refer the buyer to a Hawaii licensee and receive a referral fee ✓**
- B. The Oregon broker must apply for a nonresident broker license, which Hawaii approves within 30 days of application
- C. The Oregon broker may perform all transaction work provided the buyer signs a notice acknowledging out-of-state representation
- D. The Oregon broker may handle offer submission and negotiations under the national reciprocity agreement for interstate transactions

Answer: A. Hawaii law does not permit out-of-state brokers to perform brokerage services, including negotiation and offer submission, even with buyer consent or disclosure. The compliant approach is referring the buyer to a Hawaii-licensed broker and accepting a referral fee for the lead.

Tough · v58 A mainland real estate agent with an active license in California contacts a Hawaii seller about listing a Maui condominium. The California licensee wants to represent both parties and split commission with a local broker. Which statement best reflects Hawaii law?

- A. The California licensee may handle the transaction under mainland-Hawaii reciprocal licensing agreements if the property is a residential unit
- B. The California licensee cannot perform brokerage acts in Hawaii and must route the transaction through a Hawaii-licensed broker, who may pay a referral fee for the lead ✓**
- C. The California licensee may proceed if the Hawaii broker agrees to co-list and both parties waive their right to dual representation disclosures
- D. Full compensation is permissible if the California licensee obtains a temporary work permit from the Hawaii Real Estate Commission

Answer: B. An out-of-state licensee cannot perform Hawaii real estate acts regardless of their home-state credentials or reciprocity status. The only compliant path is referral to a Hawaii-licensed broker, who may compensate the out-of-state agent for the referral under Hawaii law.

Tough · v59 During a national real estate conference in Las Vegas, a Washington state agent discusses a potential Oahu deal with a Hawaii buyer who initiated contact. The Washington licensee secured the buyer but is not licensed in Hawaii. What is the lawful course of action?

- A. Refer the buyer directly to the seller with no involvement of any licensed party
- B. Obtain temporary authority from the Hawaii Real Estate Commission to handle transactions originating outside Hawaii
- C. Negotiate and draft the purchase agreement if both parties consent in writing to the out-of-state representation
- D. Partner with a Hawaii broker to close the deal, with the Washington agent receiving referral compensation only and performing no Hawaii brokerage functions ✓**

Answer: D. An out-of-state licensee who sourced a buyer cannot legally perform Hawaii real estate brokerage acts, even with consent. The compliant structure is referral to a Hawaii-licensed broker who takes over all brokerage functions, while the originating agent receives a referral fee.

Tough · v60 An Oregon licensee attends a Hawaii property seminar and a local owner asks them to help sell a Kona residential home. The Oregon agent has significant Hawaii sales experience but is not currently licensed there. Under Hawaii administrative code, the Oregon licensee:

- A. May serve as transaction coordinator and handle administrative tasks so long as a Hawaii broker provides legal oversight
- B. Requires only a temporary single-transaction license issued by the Hawaii REC commissioner
- C. May list and market the property under Oregon reciprocity if the seller executes a non-representation agreement
- D. Must refer the listing engagement to a Hawaii broker and may receive a referral fee without engaging in any Hawaii real estate acts ✓**

Answer: D. Hawaii law does not permit out-of-state licensees to perform brokerage acts on Hawaii properties, regardless of experience or reciprocity arrangements. The compliant solution is a referral to a Hawaii-licensed broker with a referral fee to the out-of-state agent for sourcing the engagement.

Tough · v61 A licensed real estate agent from California establishes contact with a prospective buyer at a national real estate conference. The buyer is interested in purchasing residential property on Maui. What is the California agent's proper course of action under Hawaii's licensing requirements?

- A. Directly negotiate and close the transaction, provided written consent is obtained from the Hawaii Department of Commerce and Consumer Affairs
- B. Obtain a temporary Hawaii permit valid for 90 days to facilitate the transaction
- C. Apply for Hawaii reciprocal status, which allows mainland agents to practice in Hawaii without additional licensing
- D. Coordinate with a Hawaii-licensed broker, who may accept a referral fee while the California agent steps back from further brokerage activity ✓**

Answer: D. The out-of-state licensee cannot perform Hawaii brokerage functions. The compliant method is to refer the buyer to a Hawaii-licensed broker in exchange for a referral fee, allowing the out-of-state agent to exit the transaction.

Tough · v62 During a national broker convention, an Oregon-licensed agent and a Hawaii-based buyer discuss a condominium deal in Honolulu. The Oregon broker wants to represent the buyer and earn commission. Which statement correctly describes Hawaii law on this scenario?

- A. The Oregon broker must partner with a Hawaii broker who holds the brokerage responsibility and may share compensation, while the Oregon broker relinquishes direct brokerage authority ✓**
- B. The Oregon broker is exempt from Hawaii licensing rules under interstate commerce provisions of the Fair Housing Act
- C. The Oregon broker may operate under an umbrella agreement with any national franchise that has Hawaii offices
- D. The Oregon broker may close the sale independently if the buyer signs a full disclosure acknowledging out-of-state licensure

Answer: A. An out-of-state licensee cannot lawfully perform Hawaii brokerage acts. The correct approach is engaging a Hawaii-licensed broker who controls the transaction, with the out-of-state agent receiving a referral fee for originating the lead.

Tough · v63 A Washington state real estate professional generates a buyer lead for a Kauai property while attending a real estate symposium. The buyer wants the Washington agent to handle the transaction directly. Under Hawaii real estate law, the Washington agent:

- A. May conduct the full transaction as long as they maintain E&O insurance and register with the Hawaii Department of Commerce
- B. Must obtain a temporary license from Hawaii within 10 days of first client contact or face disciplinary action
- C. Violates Hawaii statute if they perform brokerage acts, but may legally introduce the buyer to a Hawaii broker for a referral commission and step aside ✓**
- D. Is permitted to co-broker with any Hawaii agent without formal broker supervision or referral-fee arrangement

Answer: C. Hawaii law prohibits non-Hawaii-licensed agents from performing brokerage acts in the state. The lawful alternative is a referral to a Hawaii-licensed broker for a referral fee, where the out-of-state agent's role ends.

Tough · v64 A seller's agent receives three competing offers simultaneously: Offer A at list price from Buyer A, Offer B at 95% of list from Buyer B (whom the seller knows and trusts), and Offer C at 98% of list from Buyer C (whom the seller has never met). The agent's obligation is to:

- A. Recommend Offer C as the best compromise between price and the seller's potential comfort level with the buyer
- B. Submit only Offer A and Offer C, since Offer B is below asking and does not serve the seller's financial interest
- C. Present all three offers with their material terms, allowing the seller to rank them according to the seller's own preferences, provided those preferences do not violate fair housing laws ✓**
- D. Advise the seller to reject Offer B immediately because accepting a lower offer from a familiar party could imply discriminatory intent

Answer: C. The agent's fiduciary duty requires disclosure of all offers with material terms so the seller can make an informed decision. The seller may lawfully choose any offer for personal, business, or non-protected-class reasons—familiarity and rapport are legitimate preferences, not violations of fair housing law.

Tough · v65 During a multiple-offer scenario, a listing agent learns that the seller intends to reject the highest-priced offer because the buyer's ethnic background differs from the seller's own. The agent should:

- A. Accept the seller's decision silently, since personal preference in selecting a buyer is protected under state real estate law
- B. Submit all offers as received, then counsel the seller privately that the stated reason violates fair housing law and could expose the seller to liability ✓**
- C. Present only the lower offers that align with the seller's apparent preferences to minimize legal exposure for both parties
- D. Refuse to submit the rejected offer, as presenting it would facilitate discrimination

Answer: B. The agent must present all offers and has a duty to advise the seller when the seller's stated reason for rejection is based on a protected class characteristic, which violates fair housing law. The agent cannot facilitate discrimination by withholding offers or endorsing unlawful selection criteria.

Tough · v66 A seller receives two identical cash offers on the same day: one from a buyer the seller played college sports with, and one from a stranger. The seller prefers the friend's offer despite it being \$25,000 lower. The listing agent should:

- A. Contact the higher bidder and encourage them to increase their offer to compete with the lower bid that the seller favors
- B. Present both offers but suggest the seller reconsider, since the agent's fiduciary duty requires the seller to choose the highest price
- C. Present both offers clearly and accurately; the seller's decision based on personal relationship is lawful and the agent must respect the seller's autonomous choice ✓**
- D. Recommend the higher offer in writing to create documentation that the agent upheld professional standards, regardless of the seller's final decision

Answer: C. An agent's duty of loyalty includes presenting all offers and allowing the principal (seller) to make decisions based on their own preferences, including personal relationships. Taking a lower offer for non-discriminatory reasons is entirely within the seller's rights, and the agent must not coerce or override that decision.

Tough · v67 A seller receives three competing offers simultaneously: Offer A at \$520,000 from a buyer whose profile the seller finds objectionable on a personal level, Offer B at \$490,000 from a buyer the seller has known socially for years, and Offer C at \$515,000 from a neutral third party. The listing agent's obligation is to:

- A. Present all three offers with a written recommendation that the seller accept Offer A to satisfy fiduciary duty to maximize proceeds
- B. Present Offers B and C only, since Offer A is so significantly lower that presenting it would be a disservice
- C. Present all three offers completely and accurately, allowing the seller to select based on personal preference as long as the decision is not discriminatory under fair housing law ✓**
- D. Advise the seller that accepting Offer B would expose them to litigation under Hawaii's antidiscrimination statutes because the motivation involves personal relationship

Answer: C. The agent must present all legitimate offers without filtering based on price or the agent's judgment of the seller's preferences. The seller may lawfully choose Offer B (lower price, known buyer) for personal reasons, provided those reasons do not involve protected-class discrimination. The agent cannot ethically withhold or rank offers.

Tough · v68 During a multiple-offer situation, a seller tells their agent: "I prefer the offer from the out-of-state buyer even though it's \$25,000 lower, because I trust them more than the local buyer." The agent believes the higher local offer is in the seller's financial best interest. The agent should:

- A. Decline to present the lower offer and instead counsel the seller that personal trust is not a legitimate basis for rejecting a higher bid
- B. Present both offers but add a disclaimer that the seller's choice of the lower offer may violate Hawaii fair housing rules
- C. Present only the higher offer, noting that the agent's fiduciary duty overrides the seller's subjective preferences regarding buyer character

D. Present both offers in full, explain the price difference, and allow the seller to make the final decision since personal preference (absent protected-class bias) is a lawful basis for choosing ✓

Answer: D. The agent's duty is to present all offers truthfully and facilitate the seller's informed choice, not to impose economic optimization. The seller's personal trust in a buyer is a lawful, non-discriminatory reason to prefer a lower offer. The agent may advise but cannot override the principal's decision.

Tough · v69 A listing agent obtains two offers concurrently: \$475,000 from Buyer X (whom the seller has stated he 'cannot stand') and \$465,000 from Buyer Y (a childhood friend of the seller). The agent is concerned about potential liability. What is the agent's legally correct course of action?

- A. Present both offers but recommend in writing that the seller accept the higher offer to document that the agent acted in the seller's economic interest
- B. Present only Buyer Y's offer, since the seller's stated personal animosity toward Buyer X suggests the transaction will close more smoothly
- C. Inform the seller that choosing the lower offer based on personal preference could constitute discrimination and advise refusal of both until a neutral buyer emerges

D. Present both offers in writing with equal clarity and allow the seller to decide, provided the seller's choice is not rooted in the buyer's protected characteristics ✓

Answer: D. The agent must present all bona fide offers equally and transparently. The seller's personal dislike of a buyer—standing alone—is not an unlawful basis for rejection under fair housing law. Liability exposure is minimized by presenting all offers and documenting the seller's own decision-making, not by filtering offers.

Tough ·v70 A seller's agent obtains three competing offers simultaneously: Offer A at list price from Buyer A; Offer B at 5% below list from Buyer B, whom the seller has known socially for years and "would prefer to work with"; Offer C at list price plus \$15,000 from Buyer C. What is the agent's fiduciary obligation?

- A. Present Offers A and C only, since personal relationships should not cloud the seller's economic decision
- B. Present all three offers with equal transparency and allow the seller to rank or select based on the seller's own criteria, provided no protected-class bias is involved ✓**
- C. Withhold Offer B and recommend the seller accept Offer C to satisfy the duty of loyalty and maximize net proceeds
- D. Present all three but explicitly warn that choosing Offer B on personal grounds may expose the seller to discrimination liability

Answer: B. The agent must present all offers and let the seller decide. The seller's preference for a known buyer is lawful personal discretion unless rooted in a protected class. The agent's loyalty duty is owed to the principal's chosen objectives, not to overriding the principal's preferences for non-discriminatory personal reasons.

Tough ·v71 During a multiple-offer situation, a listing agent learns the seller wants to reject the highest offer (\$600,000) in favor of a lower offer (\$575,000) from a buyer the seller finds 'more trustworthy.' The agent believes this is financially unwise. What should the agent do?

- A. Present both offers but require the seller to sign a liability waiver acknowledging the lost proceeds and potential fair housing exposure
- B. Present both offers in full detail, counsel the seller on the financial difference, but ultimately honor the seller's right to choose either offer so long as the preference is not based on protected-class status ✓**
- C. Present only the \$600,000 offer, since the agent cannot ethically facilitate a decision that breaches the seller's own duty to maximize value
- D. Refuse to present the lower offer and insist the seller accept the highest bidder to fulfill fiduciary duties

Answer: B. The agent must present all offers transparently and can advise on financial consequences, but the seller retains the right to choose based on personal judgment—including 'trustworthiness' or comfort—so long as that judgment does not rest on a protected class. The agent's loyalty is to the principal's decision-making authority, not to overriding it.

Tough ·v72 A seller instructs the listing agent: 'I have two offers—one for the full asking price from someone I don't know, and one for \$40,000 less from my neighbor. I want to accept my neighbor's offer.' The agent has concerns about the seller 'leaving money on the table.' What is the agent's proper course of action under Hawaii law and ethical standards?

A. Present both offers with clear financial comparison, provide counsel on the opportunity cost, but then facilitate the seller's choice without further pressure, since neighborly preference is a lawful personal reason absent protected-class considerations ✓

B. Advise the seller in writing that accepting the lower offer violates the seller's fiduciary duty to maximize proceeds and recommend rejection

C. Present only the higher offer and explain that accepting a lower offer from a known party creates legal liability under state anti-discrimination law

D. Require the seller to obtain independent counsel before accepting the lower offer to shield the agent from potential complaints

Answer: A. The agent must present all offers and may advise on the financial gap, but the seller is free to choose the lower offer based on personal relationship or preference, as long as the preference is not motivated by a protected class. The agent's role is to inform and facilitate, not to override the principal's business judgment on non-protected grounds.

Tough ·v73 During a listing consultation, a seller privately confides to the agent that \$1.35M is their absolute minimum acceptable price. Three days later, an unrepresented buyer calls the listing office and asks, "What is your seller truly willing to take?" The listing agent should:

A. Share the information in writing so there is a record of full transparency

B. Disclose the figure because the buyer initiated the conversation without representation

C. Provide the minimum price only if it will accelerate a sale and benefit the seller

D. Refuse to reveal the seller's reservation price and encourage the buyer to submit an offer ✓

Answer: D. A seller's confidential bottom-line price is privileged information protected by the fiduciary duty of loyalty. The listing agent may not disclose it to any buyer, represented or unrepresented, regardless of who asked or how the conversation began.

Tough ·v74 A listing agent receives a written offer of \$1.5M on a property. Before presenting it, the agent recalls that the seller mentioned in private—off the record—that she would accept \$1.45M. A prospective unrepresented buyer appears at an open house and casually asks, "What price would make your seller happy?" The agent's best course of action is to:

A. Withhold the seller's reservation price and advise the buyer to submit an offer reflecting their true value proposition ✓

B. Tell the buyer the seller's bottom line only after confirming the buyer will work exclusively with the agent

C. Reveal both figures so the buyer can make an informed negotiating decision

D. Disclose only the lower amount (\$1.45M) since it was already communicated in writing elsewhere

Answer: A. Even though an offer above the seller's reservation price has been received, the agent's fiduciary duty prevents disclosing the seller's confidential minimum acceptable price. The agent must protect the seller's negotiating position by declining to share this privileged information.

Tough ·v75 A seller lists her home with an agent and states confidentially, "Don't tell anyone, but I'll take \$1.28M." Two weeks later, a buyer without representation contacts the listing agent directly and states, "I'm ready to make an offer, but I need to know the rock-bottom price or I'm walking away." The listing agent should:

- A. Disclose the price contingent on the buyer agreeing to pay a portion of the listing agent's commission
- B. Politely decline to share the seller's confidential price and recommend the buyer submit their strongest offer ✓**
- C. Disclose the \$1.28M figure because the buyer's ultimatum creates a practical necessity to negotiate
- D. Provide the information since no buyer-broker agreement exists and therefore no fiduciary duty to the buyer is owed

Answer: B. The seller's confidential reservation price is privileged information protected by fiduciary duty, regardless of buyer pressure, ultimatums, or the absence of a buyer-broker agreement. The agent's allegiance is to the seller and must remain confidential.

Tough ·v76 During a listing appointment, the seller confides to the agent that \$1.3M is the absolute minimum she needs to net after closing costs. An hour later, a self-represented buyer calls the agent directly and says, "I want to make a strong offer, but I need to know the seller's rock-bottom price." What should the agent do?

- A. Share the figure only if the buyer agrees to work with the agent as a buyer's representative going forward
- B. Disclose it in writing to protect both parties and create a clear audit trail
- C. Provide the \$1.3M figure since the buyer is motivated and will likely make a competitive offer
- D. Withhold the information and encourage the buyer to submit their highest and best offer without that guidance ✓**

Answer: D. The seller's confidential reservation price is privileged information belonging to the principal (seller). Disclosing it to any buyer—represented or unrepresented—breaches the fiduciary duty of confidentiality and loyalty, regardless of the buyer's motivation or the agent's intent to facilitate a transaction.

Tough ·v77 A listing agent receives a phone inquiry from an unrepresented investor who asks, "Can you tell me the lowest offer your seller would seriously consider?" The agent knows from the listing meeting that the seller has a minimum acceptable price. The agent's legally sound course of action is:

- A. Decline to reveal the seller's reservation price; instruct the buyer to make an offer based on the property's market value and their own analysis ✓**
- B. Share the information only if the caller provides proof of financial pre-qualification
- C. Provide a range instead of a specific figure to soften the breach of confidence
- D. Disclose the seller's minimum and then seek signed buyer-broker representation from the caller

Answer: A. A seller's private reservation price or minimum acceptable offer is confidential client information. The agent's fiduciary duty to the seller prohibits disclosure of this strategic information to any buyer, regardless of the buyer's status, credentials, or timing. The buyer should always submit offers based on independent market analysis.

Tough ·v78 At an open house, a prospective buyer approaches the agent and says, "I overheard you mention to another agent that the seller is motivated. What's the absolute lowest they'd go?" The agent knows the seller has stated a firm minimum in private. The most professionally and ethically correct response is:

A. Refuse to divulge the seller's confidential threshold; redirect the buyer to submit their best and final offer ✓

- B. Disclose the minimum only if the buyer commits to viewing the property again within 48 hours
- C. Provide the information because the buyer claims they overheard it being discussed already
- D. Clarify that the seller is indeed motivated, then disclose the private minimum to prove good faith

Answer: A. The seller's private reservation price is confidential regardless of what the buyer may have overheard or assumed. The listing agent's duty of confidentiality and loyalty to the seller (the principal) is absolute and cannot be waived by the buyer's persistence, claimed familiarity with the seller's position, or unrepresented status.

Tough ·v79 During a private listing consultation, a seller confides in her agent that she is motivated to sell and would accept \$950K even though the asking price is \$1.1M. Later that week, an unrepresented buyer visits the property and casually asks the agent, "Is there any flexibility on price?" What should the agent do?

- A. Disclose the figure only if the buyer agrees to work exclusively with the agent going forward
- B. Refrain from disclosing the seller's private reservation price and encourage the buyer to submit an offer** ✓
- C. Provide the seller's minimum acceptable price in writing to protect both parties legally
- D. Share the seller's confidential bottom line since the buyer asked an open-ended question about flexibility

Answer: B. The agent's fiduciary duty to the seller prohibits disclosure of confidential negotiating parameters, including reservation prices, regardless of how the buyer's question is framed. Recommending the buyer submit their best offer respects the seller's confidence while allowing fair negotiation.

Tough ·v80 A listing agent learns from the seller in a closed-door meeting that the owner will consider any serious offer at \$2.2M or above. The next day, a walk-in buyer (without representation) corners the agent at the property and demands to know the seller's minimum acceptable price. The agent should:

- A. Decline to reveal the threshold and suggest the buyer's offer will speak for itself** ✓
- B. Refer the buyer to a sub-agent who can disclose the information without breaching loyalty
- C. Share the figure but require written acknowledgment that it is confidential
- D. Disclose the amount because the buyer is unrepresented and therefore more vulnerable

Answer: A. Confidentiality and loyalty to the seller are non-waivable duties. The agent must decline to disclose the seller's reservation price regardless of the buyer's representation status or persistence. Suggesting the buyer submit an offer protects the seller's bargaining position.

Tough · v81 At the listing presentation, a seller explicitly tells her agent, "I need at least \$575K to make this sale worthwhile—don't tell anyone." Two weeks later, an unrepresented buyer approaches the agent and states, "I'm ready to make an offer, but I need to know your absolute rock-bottom number first." The agent's best response is:

- A. Disclose the threshold after obtaining the buyer's email confirmation of receipt
- B. Agree to share it only if the buyer commits to representation with the agent's brokerage
- C. Provide the \$575K figure because the buyer explicitly asked for the 'rock-bottom' price
- D. Withhold the seller's private minimum and direct the buyer to submit their highest and best offer without that information ✓**

Answer: D. The agent's fiduciary obligation to the seller includes keeping negotiating parameters confidential. Disclosing the seller's walk-away price would compromise the seller's leverage and violate the duty of loyalty, even when directly requested by an unrepresented buyer.

Tough · v82 A seller accepts an offer on a \$1.8M Kailua property with a 30-day financing contingency. On Day 25, the buyer's lender issues a written conditional commitment but imposes a cash-out refinance requirement the buyer cannot meet. The buyer formally notifies the seller of the loan denial and demands return of earnest money. What is the seller's legal position?

- A. The buyer must reapply with a different lender before invoking the contingency
- B. The seller may claim the buyer failed to disclose financial problems and forfeit the deposit
- C. The seller must return the deposit because a loan contingency failure within the window is a protected termination right ✓**
- D. The seller can enforce the sale because Day 25 is past the contingency period

Answer: C. A financing contingency protects the buyer's right to terminate and recover the deposit if the lender denies or imposes unreasonable conditions within the contingency window. Day 25 of a 30-day period is still within the window. The seller has no legal basis to retain funds for a bona fide lender denial.

Tough · v83 During escrow on a \$2.4M Honolulu condo, the buyer's institutional lender rejects the final loan approval due to a property defect found in the appraisal. The financing contingency expires in two days. The buyer provides the lender's written denial to the escrow officer and requests return of the deposit. Which statement correctly applies Hawaii financing contingency law?

- A. The contingency is void because the lender's denial was based on property condition, not creditworthiness
- B. The buyer may withdraw and recover the deposit if the denial is documented and timely, regardless of whether the defect is material to the purchase ✓**
- C. The buyer forfeited contingency protection by not addressing the appraisal issue earlier in escrow
- D. The seller can keep the deposit unless the buyer can prove the lender acted in bad faith

Answer: B. A financing contingency triggered by a written lender denial—whether due to property, credit, or appraisal issues—entitles the buyer to terminate and recover the deposit if invoked within the contingency period. The reason for denial does not eliminate the contingency right.

Tough · v84 An offer on a \$3.2M Big Island estate includes a 28-day financing contingency. On Day 22, the buyer's lender issues a formal notice stating the loan cannot be approved in the current rate environment but suggests the buyer reapply in 60 days. The buyer immediately notifies the seller and demands the earnest money be released. The seller argues the denial was not final. What is the correct outcome?

- A. The buyer's deposit must be returned because a written lender denial—even if conditional or temporary—triggers the contingency protection within the window ✓**
- B. The seller may retain the deposit pending the 60-day reapplication period
- C. The buyer forfeited the contingency by not waiting the full 28 days to allow the market to change
- D. The contingency only applies to rejections based on the buyer's credit, not market conditions

Answer: A. A written loan denial communicated within the contingency period entitles the buyer to terminate and recover the deposit, even if the lender suggests a future reapplication or cites external conditions. The contingency right does not depend on the permanence or reason for the denial.

Tough · v85 A seller accepted a buyer's offer on a \$1.8M Maui property with a standard 21-day financing contingency. On Day 19, the buyer receives a written loan denial from their primary lender citing insufficient reserves. The buyer submits the denial notice and requests deposit return. What is the correct legal outcome?

- A. The buyer must appeal the denial and reapply with a different lender to preserve contingency rights
- B. The buyer forfeits the deposit because they failed to secure financing within the contingency period
- C. The buyer may withdraw and recover the deposit if the denial is documented as a good-faith lender decision made within the contingency window ✓**
- D. The seller may retain the deposit as liquidated damages since the buyer did not satisfy the financing condition

Answer: C. A financing contingency allows the buyer to terminate and recover the deposit upon receipt of a bona fide loan denial during the contingency period. Day 19 is still within the window, and the written denial satisfies the burden of proof. No reapplication requirement exists.

Tough · v86 During a purchase agreement on a \$2.3M Big Island residence, the buyer invokes a financing contingency after the lender delivers a written conditional denial on Day 20 of a 20-day window. The seller argues the contingency expired at midnight Day 20 and asserts a right to the earnest money deposit. Under Hawaii real estate law, who prevails?

- A. Neither party may claim the deposit; it must go to escrow pending litigation
- B. The buyer prevails only if they can prove they applied to multiple lenders and all denied the loan
- C. The buyer prevails if the denial was delivered by the lender in writing before the contingency deadline and the buyer acts to terminate promptly ✓**
- D. The seller prevails; the contingency window closed and the buyer is now in default

Answer: C. Timing for a financing contingency is measured by when the lender's written denial is received, not by application date. A Day 20 denial within a 20-day window allows the buyer to terminate and recover the deposit without penalty, provided the denial is legitimate and documented.

Tough · v87 A buyer made an offer on a \$1.95M Honolulu condo with a financing contingency set to expire on Day 21. The seller accepted. The buyer's lender issued a formal written loan denial on Day 18 citing the property's appraisal coming in \$150K below purchase price. The buyer wants out and to recover earnest money. The seller claims the buyer should have waived the appraisal contingency. What is the controlling principle?

- A. The financing contingency is void if the buyer's down payment offer was less than 20 percent
- B. The buyer may terminate and recover the deposit because a legitimate lender denial, supported in writing and received within the contingency window, permits withdrawal without forfeiture ✓**
- C. The buyer forfeited contingency rights by not addressing the appraisal issue before Day 18
- D. The seller is correct; an appraisal shortfall is the buyer's responsibility and the financing contingency does not apply

Answer: B. A financing contingency protects the buyer when the lender issues a good-faith denial within the contingency period, regardless of the reason (appraisal, income, debt ratio, etc.). An appraisal-based denial is a legitimate basis for contingency invocation and deposit return.

Tough · v88 A buyer enters into a purchase agreement for a \$2.1M Oahu residential property with a 21-day financing contingency clause. On Day 19, the buyer receives a written loan denial from their institutional lender citing insufficient debt-to-income ratio. The buyer immediately notifies the seller of the denial and requests release of the earnest money deposit. What is the proper outcome?

- A. The seller is entitled to retain the deposit as compensation for the buyer's failure to qualify, regardless of the contingency clause
- B. The buyer must continue seeking financing from alternative lenders and cannot invoke the contingency until all reasonable sources are exhausted
- C. The buyer may terminate the contract and recover the deposit provided the loan denial is documented and occurred within the contingency timeframe ✓**
- D. The buyer forfeits the deposit because the denial occurred after the midpoint of the contingency period

Answer: C. A financing contingency protects the buyer's deposit if a lender denies the loan in good faith within the contingency window — timing within that window (Day 19 of 21) does not negate the protection. The contingency is satisfied upon documented denial; no exhaustion requirement exists.

Tough · v89 During a \$2.1M Oahu property transaction, the buyer's mortgage lender issues a formal written denial on Day 17 of the financing contingency period (set for 21 days). The seller argues the buyer should have chosen a more favorable lender and refuses to release the earnest money. Under Hawaii purchase agreement law, which statement correctly describes the buyer's position?

- A. The buyer must request the seller's permission to shop for a new lender or lose contingency protection
- B. The buyer is protected by the financing contingency and may terminate while recovering the deposit, provided the denial is genuine and timely ✓**
- C. The buyer has waived the contingency by not pre-qualifying with multiple lenders before signing
- D. The seller may keep the deposit because the buyer bears liability for lender discretion and underwriting decisions

Answer: B. A financing contingency provides unconditional protection to the buyer upon receipt of a good-faith written loan denial within the contingency window. The buyer's lender choice, qualification efforts, or the seller's subjective satisfaction are irrelevant—the contingency is a contractual safety net.

Tough · v90 A \$2.1M purchase agreement for an Oahu home includes a 21-day financing contingency. The buyer's conventional loan is formally denied in writing on Day 20 due to appraisal shortfall. The buyer notifies the seller that same day and demands the earnest money be returned. The seller contends the denial is the buyer's fault because they chose an overpriced property. Is the buyer entitled to recover the deposit?

- A. Yes, because a documented lender denial within the contingency period entitles the buyer to deposit recovery, regardless of the denial reason ✓**
- B. Yes, but only if the buyer can prove the appraisal was conducted improperly by the lender's appraiser
- C. No, because an appraisal-based denial is attributed to the buyer's selection and does not trigger contingency protection
- D. No, because the denial occurred on Day 20, which is beyond the middle of the contingency window and constitutes waiver

Answer: A. Financing contingencies protect the buyer upon any good-faith lender denial within the window — the cause (appraisal, income, credit, etc.) is immaterial. Day 20 of 21 is still within the contingency period, and the seller's opinion of property value does not override the contractual contingency protection.

Tough · v91 A mainland corporation sells a commercial building in Honolulu for \$1,200,000. The seller is not a Hawaii resident. What amount must be withheld and remitted to the Hawaii Department of Revenue at closing under HARPTA, absent any qualifying exemptions?

- A. \$60,000
- B. \$36,000
- C. \$87,000 ✓**
- D. \$120,000

Answer: C. HARPTA requires 7.25% withholding on non-resident seller transactions. $0.0725 \times \$1,200,000 = \$87,000$. Distractors include 3% (outdated rate), 5% (common withholding confusion), and 10% (excessive estimate).

Tough · v92 At closing, a non-resident alien transfers a residential condominium in Maui valued at \$575,000. No valid exemption certificate has been filed. The title company must withhold and pay to Hawaii:

- A. \$57,500
- B. \$41,688 ✓**
- C. \$17,250
- D. \$28,875

Answer: B. Non-resident HARPTA withholding is 7.25% of sales price, not 3%. $0.0725 \times \$575,000 = \$41,687.50$, rounded to \$41,688. The 3% rate (\$17,250) is an old/incorrect threshold; other amounts mix dates or use wrong percentages.

Tough · v93 A foreign investor closes on the purchase of a \$680,000 Hawaii vacation rental property and immediately resells it three months later for \$720,000 as a non-resident. Ignoring any exemptions, how much HARPTA must be remitted on the resale transaction?

- A. \$51,480
- B. \$52,200 ✓**
- C. \$21,600
- D. \$43,200

Answer: B. HARPTA withholding applies to the sale proceeds at 7.25% of the gross sale price. $0.0725 \times \$720,000 = \$52,200$. The distractors include 3% of sale price (\$21,600), 7.25% of the lower purchase price (\$49,300 area), and incorrect percentages applied to sale price.

Tough · v94 A mainland developer sells a Honolulu commercial property for \$1,200,000. The developer is a non-resident of Hawaii and no withholding exemption has been granted. What amount must be withheld under HARPTA at the time of closing?

- A. \$87,000 ✓**
- B. \$60,000
- C. \$36,000
- D. \$120,000

Answer: A. HARPTA requires 7.25% withholding on the full purchase price for non-resident sellers. $0.0725 \times \$1,200,000 = \$87,000$. The 3% and 6% distractors represent outdated or incorrect tax rates.

Tough · v95 At closing, a foreign national who owns real property in Hawaii as an investment sells the property for \$875,000. No applicable exemption exists. The HARPTA withholding obligation equals:

- A. \$63,438 ✓
- B. \$70,000
- C. \$52,500
- D. \$43,750

Answer: A. Non-resident sellers must remit 7.25% of gross sales price as HARPTA withholding. $0.0725 \times \$875,000 = \$63,438$. Distractors include 6% and 5% rates, which do not apply to HARPTA.

Tough · v96 A non-Hawaiian resident closes the sale of a rental property valued at \$650,000. The escrow officer must calculate the mandatory HARPTA withholding. Assuming the sale qualifies for no exemption, the required withholding is:

- A. \$32,500
- B. \$19,500
- C. \$58,500
- D. \$47,125 ✓

Answer: D. HARPTA withholding is calculated at 7.25% of the sales price for non-resident sellers. $0.0725 \times \$650,000 = \$47,125$. Common errors involve applying 3%, 5%, or 9% rates, which are incorrect under current Hawaii law.

Tough · v97 A mainland investor sells a Honolulu condominium for \$950,000. The property was held as a rental. What amount must the closing agent withhold under Hawaii's non-resident seller rules, assuming no statutory exemption is claimed?

- A. \$47,500
- B. \$95,000
- C. \$28,500
- D. \$68,875 ✓

Answer: D. HARPTA imposes a 7.25% withholding obligation on non-resident sellers of Hawaii real property. $0.0725 \times \$950,000 = \$68,875$. The 3% rate and 10% rate are common distractors but do not apply to HARPTA withholding calculations.

Tough · v98 At closing of a \$950,000 sale, the title company confirms the seller is a non-resident of Hawaii with no applicable exemption under HARPTA. How much must be withheld from the seller's proceeds?

- A. \$47,500
- B. \$28,500
- C. \$95,000
- D. \$68,875 ✓**

Answer: D. Non-resident seller withholding under HARPTA is 7.25% of the gross sales price. $\$950,000 \times 0.0725 = \$68,875$. Common errors include confusing HARPTA withholding with conveyance tax (2.5%) or using the superseded 3% rate.

Tough · v99 A California resident completes a \$950,000 purchase of a Hawaii commercial building from a non-resident owner. The escrow officer must calculate HARPTA withholding. Assuming no exemptions apply, the required withholding is:

- A. \$47,500
- B. \$68,875 ✓**
- C. \$95,000
- D. \$23,750

Answer: B. HARPTA withholding for non-resident sellers is 7.25% of the purchase price, regardless of property type or buyer residency. $\$950,000 \times 0.0725 = \$68,875$. Distractors reflect outdated percentages and incorrect multiples of the price.

Tough · v100 A landlord advertises a rental property and tells an interested applicant with a 6-year-old child that "we prefer tenants without kids because children tend to damage the property and create noise complaints." Under the Fair Housing Act, the landlord's statement is:

- A. Legal, because property damage and noise are legitimate concerns that apply equally to all tenants
- B. Illegal — familial status is a protected class and discrimination based on the presence of children violates federal law regardless of the stated reason ✓**
- C. Permissible if the landlord discloses this policy in writing before showing the property
- D. Legal if the landlord applies the same exclusion uniformly to all families with children

Answer: B. The Fair Housing Act protects familial status (presence of children under 18). A landlord cannot refuse to rent or set different terms based on children, even when citing property damage or noise concerns. These rationales are pretexts for familial status discrimination and violate federal law.

Tough · v101 During a showing, a property manager tells prospective tenants with a toddler that the building's pool and balcony features make it unsuitable for young children and suggests they look at a different property in the portfolio. This action most likely constitutes:

- A. Legitimate risk management by the property manager to prevent liability claims
- B. A violation only if the manager refused to rent to them outright rather than suggesting alternatives
- C. Permissible guidance that actually protects the family's welfare

D. Steering and familial status discrimination under the Fair Housing Act ✓

Answer: D. Directing or discouraging applicants with children from viewing or renting certain properties (steering) while offering them other properties is a form of familial status discrimination. The Fair Housing Act prohibits this conduct regardless of the stated safety or welfare justification, and offering alternatives does not cure the violation.

Tough · v102 A real estate investor excludes families with children from renting a two-story townhome, citing building code requirements for handrails and the fact that young children cannot independently use stairs safely. Under federal fair housing law, this exclusion is:

- A. Permissible if the investor proves the property lacks essential safety features required by local fire codes
- B. Permissible because building codes and safety regulations override Fair Housing Act protections

C. Illegal — familial status is protected, and safety-based pretexts cannot justify refusing to rent to families with children ✓

- D. Legal only if the investor documents a prior incident involving a child on the stairs

Answer: C. Familial status protection under the Fair Housing Act cannot be circumvented by citing safety codes or features inherent to the property. The presence of stairs or other design elements does not justify blanket exclusion of families; parental responsibility and customization are not the landlord's burden. This reasoning constitutes a pretext for unlawful discrimination.

Tough · v103 A landlord denies a rental application from a couple with a 6-year-old child, explaining that "families with young children create excessive noise and wear-and-tear on the property." Under federal fair housing standards, this denial is most likely:

A. Unlawful because familial status is a protected class and generalized assumptions about children violate the Fair Housing Act ✓

- B. Lawful if the landlord applies the same reasoning consistently to all applicants with children
- C. Lawful provided the landlord documents a legitimate business purpose related to property maintenance
- D. Unlawful only if the landlord has a prior history of rental violations

Answer: A. Familial status is a federally protected class under the 1988 Fair Housing Act amendments. Denying housing based on the presence of children, regardless of the stated reasoning (noise, wear, safety), constitutes discrimination. Consistent application or documented business concerns do not override this protection.

Tough · v104 An owner of a multi-unit residential building refuses to show a one-bedroom apartment to a single mother with two minor children, claiming "the unit layout is unsuitable for families." When the mother asks if she can view it anyway, the owner declines. This conduct most likely violates fair housing law because:

- A. The refusal is based on familial status, a protected class, and steering applicants away from units based on family composition is prohibited ✓**
- B. The owner failed to provide reasonable accommodations for the applicant's disability status
- C. The unit's size makes it objectively unsuitable for occupancy by more than one person
- D. Federal law requires owners to actively advertise properties as family-friendly if children are likely to occupy them

Answer: A. The owner's refusal to allow viewing and the claim that the unit is unsuitable for families constitutes both direct discrimination and steering based on familial status. Familial status protection under the Fair Housing Act prohibits denying, limiting, or otherwise making housing unavailable based on the presence of children under 18.

Tough · v105 During a showing, a property manager tells prospective tenants with a 5-year-old child that the building's community pool poses "too much liability" and suggests they consider a different property "more appropriate for families." Under the federal Fair Housing Act, the manager's conduct is:

- A. Unlawful only if the manager made a similar statement to applicants without children
- B. Permissible because liability concerns are legitimate business considerations that override fair housing protections
- C. A violation of fair housing law—the suggestion to look elsewhere and the implication that the property is unsuitable for families constitutes illegal steering based on familial status ✓**
- D. Permissible if the property has a documented history of accidents involving children

Answer: C. Steering—directing applicants toward or away from properties or areas based on protected characteristics—is a per se violation of fair housing law. Suggesting that families with children look elsewhere based on safety or suitability concerns is textbook steering on the basis of familial status, a federally protected class.

Tough · v106 A landlord advertises a rental property and tells an applicant family with a 7-year-old child that the building's narrow hallways and proximity to a busy street make it "unsuitable for families with young children." The applicant is denied tenancy based on this statement. Under the Fair Housing Act, the landlord's action is:

- A. Legal only if the landlord offers alternative properties specifically designed for families
- B. Legal because landlords have a fiduciary duty to protect all tenants from environmental risks
- C. Legal if the landlord documents the safety hazards in writing and applies the policy uniformly
- D. Illegal because familial status is a protected class and safety-based pretexts cannot be used to exclude families with children ✓**

Answer: D. Familial status (presence of children under 18) is protected under the Fair Housing Act. A landlord cannot use paternalistic safety arguments—regardless of how legitimate they sound—to exclude families with children from housing. This is a classic pretext violation, and offering alternatives constitutes illegal steering.

Tough · v107 During a showing, a property manager tells prospective tenants with two children that the unit has a loft bedroom accessible only by a steep ladder, and therefore "we cannot rent to families with kids for liability reasons." The manager then suggests the applicants view a different property without children in the building. Which statement most accurately reflects fair housing compliance?

- A. The manager's disclosure of physical features is permissible, but steering the family to another property violates fair housing law
- B. Both the refusal and the suggestion of an alternative are permissible risk-management practices
- C. The practice is legal if the manager applies the same policy to all families with children consistently
- D. The refusal based on a child safety concern and the steering together constitute a violation of the Fair Housing Act's protection of familial status ✓**

Answer: D. Refusing tenancy based on the presence of children—framed as a safety concern—violates familial status protection. Adding steering (offering a "safer" alternative property) compounds the violation. Consistent application of an unlawful policy does not cure the fundamental violation of protected-class rights.

Tough · v108 A property owner in Hawaii tells an interested renter with three children under age 10 that the two-story townhouse "poses fall hazards and isn't appropriate for young kids." The owner states this is a firm policy to minimize property liability. The owner does not explicitly refuse to rent, but indicates the family should "consider units specifically marketed to families." Under Hawaii and federal fair housing law, this conduct is:

- A. Permissible because the owner's liability concerns override familial status protections in Hawaii
- B. Legal if the property has documented code violations or safety deficiencies related to child access
- C. Permissible if the owner applies this screening consistently to all families regardless of income
- D. Unlawful discrimination based on familial status, including both the safety-based discouragement and the steering practice ✓**

Answer: D. Familial status is protected under both the federal Fair Housing Act and Hawaii's fair housing statute. Using safety pretexts and steering families with children to different properties—even indirectly—constitutes unlawful discrimination. Hawaii law mirrors federal protections; liability concerns do not override these statutory protections.

Tough · v109 A buyer is financing \$540,000 (10% down on a \$600,000 property). She is deciding between four loan products. Which option will result in the LEAST amount of interest paid in total?

- A. 20-year fixed at 6.10%
- B. 30-year fixed at 6.25%
- C. 15-year fixed at 5.75% ✓**
- D. 30-year fixed at 5.95% plus 0.75 discount points

Answer: C. The 15-year fixed at 5.75% produces the lowest total interest because the substantially shorter amortization period more than compensates for a slightly higher rate compared to some alternatives. Total interest is driven primarily by loan term length; reducing 15 years saves far more in interest than marginal rate differences over 20 or 30 years.

Tough · v110 A licensee presents four loan scenarios to a client purchasing a \$600,000 home with 10% down payment. The client wants to minimize lifetime interest cost. Which loan structure achieves this?

- A. 30-year fixed at 6.25%
- B. 20-year fixed at 5.80% with two discount points
- C. 7/1 ARM starting at 5.50% then adjusting to market rate

D. 15-year fixed at 5.75% ✓

Answer: D. The 15-year fixed at 5.75% delivers the lowest total interest paid over the loan's life. Although the 20-year option with points has a competitive rate, the 15-year term's accelerated payoff window eliminates far more interest accrual than either longer-term or adjustable products can achieve.

Tough · v111 An investor analyzing debt service on a \$600,000 purchase (10% down) reviews loan proposals from three lenders plus an in-house portfolio product. From a total-interest perspective, which is the most efficient?

- A. Lender A: 30-year fixed at 6.00%
- B. Lender B: 30-year fixed at 5.95% after paying 1 point upfront
- C. Lender C: 20-year fixed at 6.05%

D. Portfolio product: 15-year fixed at 5.75% ✓

Answer: D. The 15-year fixed at 5.75% minimizes total lifetime interest because the 15-year amortization schedule creates substantially less cumulative interest expense than 20- or 30-year products, regardless of initial rate or discount points applied to the longer-term loans.

Tough · v112 A buyer is financing \$540,000 (10% down on a \$600,000 property) and comparing four loan structures. Which option results in the MINIMUM cumulative interest expense over the full loan term?

- A. 15-year fixed at 5.80% ✓**
- B. 30-year fixed at 6.20% with two discount points
- C. 20-year fixed at 6.10%
- D. 30-year fixed at 5.90%

Answer: A. The 15-year fixed at 5.80% generates the lowest total interest paid because the shorter amortization period substantially outweighs modest rate differences. Although the 30-year options carry lower rates, the extended 15-year advantage in principal reduction more than compensates.

Tough · v113 Four financing scenarios exist for a \$540,000 loan balance (10% down payment on \$600,000 purchase price). Assume all loans are conventional fixed-rate mortgages. Which scenario minimizes the total amount of interest paid through payoff?

- A. 15-year fixed at 5.70% ✓**
- B. 20-year fixed at 5.95%
- C. 30-year fixed at 6.00% plus one origination point
- D. 30-year fixed at 5.85%

Answer: A. The 15-year fixed at 5.70% produces the lowest total interest despite a slightly lower rate on the 30-year options, because the term reduction significantly decreases cumulative interest accrual. Discount points on longer-term loans do not overcome the fundamental mathematics of extended amortization.

Tough · v114 A homebuyer financing \$540,000 (after 10% down on a \$600,000 home) receives four loan quotes. Which loan structure will cost the LEAST in total interest dollars paid from origination through final payoff?

- A. 15-year fixed at 5.75% ✓**
- B. 30-year fixed at 5.80%
- C. 25-year fixed at 5.95%
- D. 30-year fixed at 6.15% with one discount point buydown

Answer: A. The 15-year fixed at 5.75% incurs the lowest total interest because shortening the amortization term by half dramatically reduces the principal-times-time component of interest calculation. Longer-term loans, even with lower rates or point buydowns, still accumulate substantially more cumulative interest over their extended lives.

Tough · v115 A buyer is financing \$540,000 on a \$600,000 property (10% down). She is deciding between four 30-year options: (A) 6.50% with no points, (B) 6.25% with two discount points, (C) a 20-year fixed at 6.10%, or (D) a 15-year fixed at 5.80%. Over the entire loan life, which option will result in the smallest cumulative interest expense?

- A. 30-year fixed at 6.25% with two discount points
- B. 15-year fixed at 5.80% ✓**
- C. 20-year fixed at 6.10%
- D. 30-year fixed at 6.50% with no points

Answer: B. The 15-year fixed at 5.80% has the shortest amortization period, which overwhelms the modest rate advantage of the longer-term loans. Even though the point-adjusted 30-year option lowers the rate, stretching payments over 30 years generates substantially more total interest than a 15-year payoff.

Tough · v116 An investor comparing total lifetime interest costs on a \$540,000 loan amount (10% down on \$600,000) examines: (1) 30-year at 6.10%, (2) 20-year at 5.95%, (3) 15-year at 5.70%, and (4) 30-year at 5.85% with 1.5 discount points. Which loan structure minimizes the total dollars paid in interest across its full term?

- A. 30-year fixed at 5.85% with 1.5 discount points
- B. 30-year fixed at 6.10%
- C. 20-year fixed at 5.95%

D. 15-year fixed at 5.70% ✓

Answer: D. The 15-year fixed at 5.70% produces the lowest total interest paid because loan duration is the dominant factor in interest accumulation. Although the 30-year option with discount points appears attractive, the loan's 30-year life results in far greater cumulative interest than the 15-year term.

Tough · v117 A borrower financing 90% of a \$600,000 home (\$540,000 loan) wants to minimize total interest paid over the loan's life. The four options are: (A) 30-year at 6.30%, (B) 15-year at 5.75%, (C) 25-year at 6.05%, or (D) 30-year at 6.00% with two discount points and a 2/1 buydown. Which loan results in the lowest total interest expense?

A. 15-year at 5.75% ✓

- B. 30-year at 6.00% with two discount points and a 2/1 buydown
- C. 30-year at 6.30%
- D. 25-year at 6.05%

Answer: A. The 15-year at 5.75% yields the minimum total interest because compressing the amortization period to 15 years significantly outweighs the marginal rate savings from discount points or buydown features on 25- and 30-year loans.

Tough · v118 A residential property in Hawaii carries an assessed value of \$850,000 and is subject to a millage rate of \$12.50 per \$1,000 of assessed valuation. What is the approximate annual property tax obligation?

- A. \$1,062,500
- B. \$10,625 ✓**
- C. \$68,000
- D. \$106,250

Answer: B. $(\$850,000 / \$1,000) \times \$12.50 = 850 \times \$12.50 = \$10,625$. Students often misplace the decimal or forget to divide the assessed value by 1,000 before multiplying the rate.

Tough · v119 An investor acquires commercial real estate appraised at \$2,500,000. The local tax authority applies a rate of \$8.80 per thousand dollars of assessed value. Approximately what annual property tax should the investor budget?

- A. \$22,000 ✓**
- B. \$28,600
- C. \$2,200
- D. \$220,000

Answer: A. $(\$2,500,000 / \$1,000) \times \$8.80 = 2,500 \times \$8.80 = \$22,000$. Common errors include multiplying the rate by the full property value without dividing by 1,000, or confusing the per-thousand divisor with per-hundred.

Tough · v120 A Hawaii homeowner's property carries an assessed valuation of \$575,000 subject to a property tax mill rate of \$13.20 per \$1,000 of assessed value. The owner's approximate annual tax liability is:

- A. \$7,590 ✓**
- B. \$75,900
- C. \$43,656
- D. \$759,000

Answer: A. A mill rate of \$13.20 per \$1,000 of assessed value: $(\$575,000 \div \$1,000) \times \$13.20 = 575 \times \$13.20 = \$7,590$.

Tough · v121 A commercial parcel in Honolulu is assessed at \$850,000. The municipality applies a property tax rate of \$11.10 per \$1,000 of assessed value. What is the owner's annual property tax liability?

- A. \$850
- B. \$9,435 ✓**
- C. \$94,350
- D. \$11,100

Answer: B. $(\$850,000 / \$1,000) \times \$11.10 = 850 \times \$11.10 = \$9,435$. The key is dividing the total assessed value by the \$1,000 base unit before multiplying by the rate per unit.

Tough · v122 A residential property carries an assessed value of \$2,500,000 and is subject to a tax rate of \$11.10 per \$1,000 of assessed value. The annual property tax obligation is most nearly:

- A. \$27,750 ✓**
- B. \$2,775
- C. \$110,000
- D. \$225,900

Answer: A. $(\$2,500,000 / \$1,000) \times \$11.10 = 2,500 \times \$11.10 = \$27,750$. Failing to divide assessed value by \$1,000 first leads to incorrect answers that are 10 times too large or too small.

Tough · v123 An investor acquires land assessed at \$600,000 in a jurisdiction with a property tax rate of \$11.10 per \$1,000 of assessed value. Approximately how much annual property tax will the investor owe?

- A. \$66,000
- B. \$6,600 ✓**
- C. \$1,110
- D. \$11,100

Answer: B. $(\$600,000 / \$1,000) \times \$11.10 = 600 \times \$11.10 = \$6,600$. This unit-rate calculation is fundamental to property tax estimation and appears frequently on licensing exams.

Tough · v124 A parcel valued at \$850,000 for tax purposes carries a millage rate of \$9.80 per \$1,000 of assessed value. What is the estimated annual property tax liability?

- A. \$9,800
- B. \$98,000
- C. \$833
- D. \$8,330 ✓**

Answer: D. $(\$850,000 / \$1,000) \times \$9.80 = 850 \times \$9.80 = \$8,330$. The correct approach divides the total assessed value by 1,000, then multiplies by the per-thousand rate—a critical unit-conversion step.

Tough · v125 An investor purchases a commercial property assessed at \$2,500,000. The local tax rate is \$12.50 per thousand dollars of assessed value. Calculate the annual property tax obligation.

- A. \$312,500
- B. \$1,250
- C. \$3,125
- D. \$31,250 ✓**

Answer: D. $(\$2,500,000 / \$1,000) \times \$12.50 = 2,500 \times \$12.50 = \$31,250$. Mishandling the 'per thousand' conversion—multiplying by the full rate instead of dividing the principal first—leads to the most common errors on this calculation type.

Tough · v126 A homeowner's property is assessed at \$675,000. The county mill rate stands at \$14.40 per \$1,000 of assessed value. What annual property tax should the owner expect to pay?

- A. \$972
- B. \$14,400
- C. \$97,200
- D. \$9,720 ✓**

Answer: D. $(\$675,000 / \$1,000) \times \$14.40 = 675 \times \$14.40 = \$9,720$. The 'per \$1,000' unit requires dividing the assessed value first; failure to convert to the correct denominator is the primary source of calculation mistakes on licensing exams.

Tough · v127 A Hawaii real estate salesperson holds a 60% ownership stake in an LLC that intends to acquire a property from a listing within their own brokerage firm. What action must the salesperson take to comply with Hawaii license law?

- A. Request that their broker's designated broker execute all documents in place of the licensee-controlled entity
- B. Immediately notify the Hawaii Real Estate Commission and wait for written approval before proceeding
- C. Provide written disclosure to the seller that the salesperson holds an active real estate license and has a material ownership interest in the purchasing entity ✓**
- D. Transfer their license to another broker to avoid a conflict of interest

Answer: C. Hawaii license law mandates written disclosure when a licensee acts as principal—whether directly or through an entity they substantially control. Disclosure is the compliance mechanism; abstention or broker substitution is unnecessary.

Tough · v128 A salesperson licensed under a Hawaii brokerage is the beneficial owner of 60% of a corporation seeking to buy property listed by a different agent at that same brokerage. Under Hawaii law, the salesperson's obligation is to:

- A. Require the broker to file a conflict-of-interest waiver with the Commission prior to offer submission
- B. Obtain a separate limited broker license to represent the corporate buyer independently
- C. Withdraw from the transaction and have an unlicensed party assume the buyer role
- D. Provide clear written disclosure to the seller of their licensee status and principal interest in the buying corporation before contract execution ✓**

Answer: D. Hawaii real estate law requires written disclosure when a licensee has a principal interest in a transaction—even when acting through a controlled entity. Disclosure, not license withdrawal or separate licensing, satisfies the regulatory requirement.

Tough · v129 A Hawaii salesperson who owns a controlling interest in a corporate buyer wishes to purchase a property that another agent in the salesperson's brokerage has listed for sale. Which statement correctly describes the salesperson's legal duty?

- A. The salesperson must furnish written disclosure to the seller revealing their real estate license status and controlling ownership interest in the purchasing corporation ✓**
- B. The salesperson may not participate in the transaction in any capacity and must sit out completely
- C. The salesperson's broker may represent the transaction on behalf of both parties if the broker is not the listing agent
- D. The salesperson must resign from licensure for the transaction duration and rejoin after closing

Answer: A. Hawaii license law requires written disclosure of licensee principal status—including principal interest through controlled entities. Disclosure enables the transaction to proceed lawfully; resignation or complete abstention is not mandated.

Tough · v130 A Hawaii real estate licensee holds a 60% ownership stake in a development LLC. The LLC intends to acquire property that is listed through the licensee's own brokerage firm. Which statement accurately reflects the licensee's obligations?

- A. The licensee's broker must act as intermediary and sign all documents to shield the licensee from liability
- B. The licensee is prohibited from participating in any transaction where an entity they own is involved
- C. The licensee must immediately terminate their license to avoid conflict of interest
- D. The licensee may proceed with the transaction provided they deliver written disclosure to the seller that they are licensed and have a controlling interest in the buyer ✓**

Answer: D. Hawaii REC rules require written disclosure when a licensee acts as principal through a controlled entity, but do not prohibit the transaction. Disclosure is the mandatory mechanism; the licensee may proceed after proper disclosure.

Tough · v131 A salesperson who is a majority shareholder in a corporation wants that corporation to bid on a property listed by a competing agent at the same brokerage. What is the salesperson's primary statutory duty?

- A. Withdraw from the transaction and allow the broker to handle all communications with the seller
- B. Relinquish their real estate license for the duration of the transaction
- C. Require the seller's agent to disclose the salesperson's involvement on the MLS
- D. Provide written notification to the seller disclosing licensee status and beneficial ownership in the purchasing corporation ✓**

Answer: D. Hawaii license law mandates written disclosure by the licensee when they have a principal interest in the transaction, even if acting through an entity. This disclosure—naming the licensee and their ownership stake—is the compliance requirement, not prohibition or license suspension.

Tough · v132 A Hawaii licensee owns a controlling interest in a real estate investment company. That company wishes to purchase property listed by another licensee at the same brokerage. The licensee is considering their options. Which approach complies with state regulations?

- A. Abstain from the transaction entirely; principal transactions by in-house licensees are categorically forbidden
- B. Obtain written consent from the broker before making any disclosure to the seller
- C. Furnish the seller with a written statement that the licensee holds an active real estate license and maintains principal ownership in the buyer entity ✓**
- D. Execute the purchase agreement through the company without involvement from the licensee to avoid dual agency issues

Answer: C. Hawaii law requires the licensee to disclose in writing their licensee status and principal interest to the seller. Disclosure is mandatory and permissible; the transaction is not prohibited as long as proper written notice is provided before execution.

Tough · v133 A real estate salesperson in Hawaii holds a 60% ownership stake in an LLC that intends to acquire property listed through the salesperson's own brokerage. Which action **MUST** the salesperson take to comply with Hawaii license law?

- A. Transfer the listing to a different brokerage to avoid any appearance of self-dealing
- B. Declare the transaction void ab initio because licensees cannot purchase through their own listings
- C. Provide written disclosure to the seller that the salesperson holds a real estate license and has a material interest in the purchasing entity ✓**
- D. Obtain written approval from the Hawaii Real Estate Commission before the LLC makes an offer

Answer: C. Hawaii REC rules require written disclosure of the licensee's license status and principal interest when a licensee (or entity controlled by the licensee) acts as buyer or seller. Disclosure is the remedy, not prohibition or transfer.

Tough · v134 A Hawaii-licensed salesperson is the controlling member of a partnership that wants to buy a property listed by a colleague at the same brokerage. Under state law, the salesperson's **PRIMARY** obligation is to:

- A. Make written disclosure to the seller identifying the salesperson's license and principal stake in the buying entity ✓**
- B. Immediately terminate the salesperson's license to eliminate conflicts of interest
- C. Ensure the broker never becomes aware of the principal interest to preserve client confidentiality
- D. Request that the listing agent's broker consent in writing before negotiations commence

Answer: A. Hawaii license law mandates written disclosure when a licensee has a principal (ownership or beneficial) interest in a transaction. The disclosure must reach the other party (here, the seller) regardless of broker knowledge.

Tough · v135 A Hawaii salesperson owns a controlling interest in an entity seeking to purchase a property listed by that salesperson's brokerage. Failure to comply with disclosure requirements in this scenario could result in:

- A. License discipline, including potential revocation, for acting as an undisclosed principal in a real estate transaction ✓**
- B. A void contract that cannot be enforced against the seller under any circumstances
- C. Mandatory forfeiture of all earnest money deposits by the buying entity
- D. Automatic license suspension pending a cure period of 90 days

Answer: A. Hawaii REC violations involving undisclosed principal interests by licensees can lead to license discipline up to and including revocation. The requirement to disclose is mandatory; failure is a disciplinary matter, not automatically a contract issue.

Tough · v136 A Hawaii condominium developer is showing a unit to a qualified buyer who expresses serious interest. At what point in the transaction must the developer provide the Public Report per HRS 514B?

- A. Only if the buyer submits a formal information request in writing
- B. Immediately after the buyer submits a written offer to purchase
- C. Prior to the buyer committing to a purchase agreement ✓**
- D. At the time of closing, along with other closing documents

Answer: C. HRS 514B mandates pre-contractual delivery of the Public Report so that prospective purchasers receive full disclosure before becoming legally bound. Delivery after an offer or contract is signed violates the statute's protective intent.

Tough · v137 Which statement most accurately describes the timing requirement for Public Report delivery under Hawaii's Condominium Property Regime law (HRS 514B)?

- A. The developer may provide the Public Report up to 30 days after the purchaser executes the purchase agreement
- B. The Public Report is required only when specifically demanded by the purchaser's attorney
- C. The developer must furnish the Public Report before the purchaser is obligated by a binding contract ✓**
- D. The developer shall deliver the Public Report concurrent with the deed at closing

Answer: C. HRS 514B's disclosure requirement is front-loaded: the Public Report must reach the buyer before they sign any binding agreement. This ensures informed consent prior to contractual obligation, not after.

Tough · v138 A developer in Hawaii is negotiating with a potential condo buyer who has viewed the model units and is ready to move forward. When must the developer satisfy the Public Report delivery obligation under HRS 514B?

- A. Before the prospect becomes party to a binding purchase contract ✓**
- B. No later than the date of closing, as part of the title company's document package
- C. Within ten business days of the buyer submitting a purchase offer
- D. Upon the buyer's request, but only if the request is in writing and notarized

Answer: A. HRS 514B requires pre-contractual delivery to protect the buyer's right to make an informed decision without being legally bound. Any post-contract delivery or conditional delivery undermines the statute's disclosure mandate.

Tough · v139 A condominium developer in Hawaii is showing a unit to a buyer who expresses serious interest. When must the developer provide the Public Report as required by HRS 514B?

- A. At the time of closing, along with the deed
- B. Only if the buyer explicitly asks for it in writing
- C. Within 14 days after the buyer's offer is accepted

D. Prior to the buyer becoming legally obligated by a purchase agreement ✓

Answer: D. HRS 514B mandates delivery of the Public Report before the purchaser enters into a binding contract to allow informed decision-making. Timing after contractual obligation eliminates the protective purpose of the disclosure.

Tough · v140 Which statement correctly describes the timing requirement for Public Report delivery under Hawaii's condominium law (HRS 514B)?

- A. The developer may provide the Public Report up to 10 days before settlement
- B. Delivery is required within 30 days of the initial showing
- C. The report satisfies disclosure only if given during escrow

D. The purchaser must receive the Public Report before being bound to purchase ✓

Answer: D. HRS 514B requires pre-contractual delivery to protect the purchaser's right to make an informed decision before taking on legal obligations. Post-contractual or conditional delivery does not satisfy the statute's disclosure mandate.

Tough · v141 A prospective condo buyer in Hawaii signs a purchase offer on Tuesday. The developer provides the Public Report on Thursday before closing. Under HRS 514B, has the developer complied with disclosure requirements?

- A. No, unless the buyer waived the requirement in writing at the time of offer
- B. Yes, because the report was delivered before the scheduled closing date

C. No, because the Public Report must be furnished before the buyer becomes contractually bound ✓

- D. Yes, as long as the report is provided within 30 days of contract execution

Answer: C. HRS 514B requires the Public Report to be delivered before the purchaser signs a binding contract; delivery after contract formation violates the statute regardless of how soon before closing it occurs. The disclosure is meaningless once the buyer is already legally committed.

Tough · v142 A condominium developer in Hawaii is showing a unit to a buyer who expresses serious interest. At what point must the developer ensure the prospect receives the Public Report under HRS 514B?

- A. Simultaneously with delivery of the deed at closing
- B. Within 10 business days following the buyer's initial site visit
- C. Before the buyer is legally obligated by signing a purchase contract ✓**
- D. Only if the buyer explicitly demands it in writing

Answer: C. HRS 514B mandates pre-contractual delivery of the Public Report so the buyer has full disclosure before becoming bound. Delivery after signature, upon demand, or at closing all violate the statute's protective timing requirement.

Tough · v143 Which statement correctly describes the timing requirement for Public Report delivery under HRS 514B in Hawaii condominium transactions?

- A. The developer is required to deliver it no later than the date of the homeowners association transition
- B. The developer may deliver it during the rescission period if the buyer waives the requirement in writing
- C. The developer may withhold it until the buyer submits a formal written application for financing
- D. The developer must provide it before the purchaser executes a binding sales contract ✓**

Answer: D. HRS 514B requires pre-contractual disclosure specifically to allow the purchaser to make an informed decision before incurring contractual liability. Any delay—whether post-signing, conditional on written request, or tied to association turnover—violates this protective standard.

Tough · v144 A prospective condo buyer in Hawaii tells the developer's agent, 'Just send me the Public Report after I sign the contract so I can review it during my rescission period.' Under HRS 514B, what should the agent do?

- A. Provide the Public Report before the buyer signs any binding contract, regardless of the buyer's preference ✓**
- B. Deliver the report only if the buyer submits a formal written demand within 5 days of signing
- C. Wait until the developer receives loan approval documentation before distributing the Public Report
- D. Accommodate the buyer's request and deliver the report within the rescission window

Answer: A. HRS 514B mandates pre-contractual delivery as a matter of law, not negotiable preference. The timing exists specifically to prevent buyers from being bound before accessing critical disclosure information, even if the buyer requests otherwise.

Tough · v145 During a listing presentation, a seller's agent overhears the seller state that they intend to misrepresent the property's flood history to potential buyers to expedite the sale. The agent's most appropriate response is to:

- A. Advise the seller to disclose only to the buyer's agent, not to all parties
- B. Proceed with marketing but insert a disclaimer in all advertising to protect the brokerage
- C. Immediately notify the Hawaii Real Estate Commission and local building department
- D. Withdraw representation and document the conversation; continuing would make the agent complicit in fraud ✓**

Answer: D. An agent cannot knowingly facilitate fraud. Confidentiality does not shield illegal conduct. The agent must withdraw from representation and create documentation of the basis for withdrawal—neither unilaterally disclosing the seller's private statements nor remaining in a transaction that would involve fraud.

Tough · v146 A real estate licensee representing a buyer discovers that the buyer intends to use forged financial documents to qualify for the mortgage loan. Which action best reflects the agent's ethical and legal obligation?

- A. Disclose the forgery to the seller and listing agent to protect all parties in the transaction
- B. Report the buyer's documents directly to the loan underwriter to prevent loan fraud
- C. Terminate the representation and document the reason; assisting would constitute aiding fraud ✓**
- D. Keep the matter confidential because the agent-client relationship is privileged communication

Answer: C. Confidentiality protects lawful matters only; fraud is not a lawful confidence. The agent must withdraw and document the withdrawal—not report directly to third parties (unilateral disclosure), not remain complicit, and not hide behind privilege.

Tough · v147 A property manager working under an agent's license learns that their principal (the property owner) plans to submit false occupancy records to an insurance carrier to obtain a lower premium on a commercial rental property. What is the licensee's primary obligation?

- A. Cease facilitation of the scheme and withdraw from the engagement; continuing would implicate the agent in insurance fraud ✓**
- B. Advise the owner to amend the records voluntarily and continue the relationship without further involvement in the false filing
- C. File a suspicious activity report with the Hawaii Department of Insurance on behalf of the owner
- D. Maintain all confidences per the fiduciary relationship and say nothing until the insurance company discovers the discrepancy

Answer: A. An agent cannot knowingly participate in or facilitate fraud, regardless of the client relationship. The agent must withdraw and create a record of the withdrawal—not unilaterally report to regulators, not remain silent and hope the fraud is discovered, and not conditionally continue if the client "amends."

Tough · v148 A real estate licensee representing a seller receives a written admission from the buyer's lender contact that the buyer has confessed to planning a strategic default and equity strip scheme. The licensee's ethical and legal obligation is to:

- A. Maintain strict confidentiality because third-party statements are privileged
- B. Document the communication and immediately notify the Hawaii Real Estate Commission
- C. Withdraw from representation and decline to participate in or facilitate the transaction ✓**
- D. Continue the transaction but disclose the risk only in writing to the title company

Answer: C. A licensee cannot knowingly facilitate or continue representation in a transaction involving fraud or illegal conduct. Withdrawal and documentation protect the agent's license; reporting to HEC or unilateral disclosure to non-clients exceeds duty and may violate confidentiality rules. Proceeding with knowledge of planned fraud violates the duty of legality.

Tough · v149 During closing preparation, a buyer's representative discovers evidence that the buyer intends to misrepresent occupancy intent and artificially inflate the purchase price to trigger a predetermined short-sale collapse within months. The agent's PRIMARY responsibility is to:

- A. Request written acknowledgment from the buyer that the agent warned against fraud
- B. Immediately terminate the agency relationship and refrain from further participation ✓**
- C. Notify the lender's fraud department before the loan is funded
- D. Alert the escrow officer and title company so they can refuse to close

Answer: B. The licensee cannot remain involved in a transaction they know involves fraud. Withdrawal is the correct action. Unilaterally reporting to third parties (escrow, lender) violates confidentiality of client information; seeking written acknowledgment does not cure the licensee's own liability for continued participation.

Tough · v150 A listing agent overhears a conversation in which the buyer's representative and buyer discuss orchestrating a loan default and fraudulent short-sale payoff scheme. The listing agent's primary ethical and legal duty is to:

- A. Disclose the overheard conversation to the seller and cooperating broker
- B. Withdraw from the listing and document the reason; do not actively participate in facilitating the illegal conduct ✓**
- C. File a suspicious activity report with the state licensing authority before closing
- D. Remain silent but cease all cooperation with the buyer's agent

Answer: B. Knowledge of planned fraud prohibits the agent from continuing to facilitate the transaction. Withdrawal and documentation are the correct steps. Unilateral disclosure to the seller or filing a SAR without legal counsel goes beyond the agent's duty; the agent's duty is to cease participation in illegality, not to police it by reporting to authorities.

Tough · v151 During listing negotiations, a seller's agent overhears the buyer's agent tell the buyer that the buyer intends to obtain a stated-income loan by misrepresenting employment history to the lender. The seller's agent's appropriate response is to:

- A. Withdraw from representing the seller and document the reason; continuing would facilitate known illegal activity ✓**
- B. Remain silent because the statement was made in a private conversation not involving the agent directly
- C. Alert the lender immediately to prevent the loan fraud
- D. Inform the seller so the seller can decide whether to proceed with the sale

Answer: A. An agent cannot knowingly facilitate or participate in fraud, even indirectly. The agent must withdraw to avoid complicity. Unilateral disclosure to third parties (lender, seller) exceeds the agent's authority and violates duty to the client's confidences; withdrawal and documentation is the legally sound path.

Tough · v152 A real estate licensee representing a buyer discovers that the buyer plans to obtain financing by concealing a significant debt obligation from the lender. The licensee cannot ethically continue in the transaction. The licensee's best course of action is to:

- A. Notify the lender directly to prevent the fraudulent loan application
- B. Continue the transaction but insist the buyer disclose the debt; if the buyer refuses, then withdraw
- C. Terminate representation and document the withdrawal without disclosing details to any third party ✓**
- D. Inform the seller's agent so the transaction can be halted before closing

Answer: C. The licensee's duty of legality requires withdrawal from a transaction the agent knows involves fraud. Withdrawing and documenting protects the licensee's license and integrity without violating confidentiality by disclosing client information to uninvolved parties.

Tough · v153 A listing agent becomes aware that the buyer's agent is coaching the buyer to provide false financial statements to qualify for a larger loan amount than the buyer can legitimately afford. What should the listing agent do?

- A. Withdraw from the listing; knowingly proceeding with a transaction involving fraud violates the agent's duty of legality ✓**
- B. Report the buyer's agent to the Hawaii Real Estate Commission for unethical conduct
- C. Continue the transaction but exclude any written statements about the buyer's finances from the listing file
- D. Disclose the fraud to the lender to protect the lender's financial interests

Answer: A. An agent cannot knowingly participate in fraud regardless of which party commits it. Withdrawal is the appropriate response to protect the agent's license and integrity. Reporting to the commission or disclosing to third parties (lender) exceeds the agent's scope and breaches confidentiality owed to other parties.

Tough · v154 A real estate licensee is explaining the difference between Hawaii's two title systems to a prospective buyer. The buyer asks why some properties operate under the Land Court system. Which statement best describes the key distinction that makes Land Court attractive to buyers?

- A. Title insurance is not required or available for Land Court properties, reducing closing costs significantly
- B. Land Court properties qualify for reduced conveyance tax rates unavailable in the Regular System
- C. The Certificate of Title issued by the Land Court serves as conclusive proof of ownership without requiring a separate historical title search ✓**
- D. Properties in Land Court are automatically free from all prior encumbrances and judgment liens

Answer: C. Land Court operates as a Torrens system where the Certificate of Title itself is conclusive evidence of ownership, eliminating the need for traditional chain-of-title research. Liens still attach, conveyance tax still applies, and title insurance is available but not required.

Tough · v155 During a closing, a seller's attorney mentions the property is registered in the Land Court system. A buyer's representative asks what this means for title security. Which of the following MOST accurately reflects the core advantage of Land Court registration compared to Regular System recording?

- A. Encumbrances and mortgages cannot be recorded against Land Court properties
- B. The closing timeline is shortened because no title insurance commitment is required
- C. The state guarantees indemnification for any defects discovered after closing
- D. Title certainty is derived from the Certificate of Title itself rather than from a complete chain-of-title investigation ✓**

Answer: D. The fundamental advantage of Land Court (Torrens) is that the Certificate of Title provides conclusive evidence of ownership, shifting the basis of title certainty from historical document research to government registration. Liens can still attach, and title insurance is often still obtained.

Tough · v156 A buyer's agent is counseling a client who is considering two properties: one in Hawaii's Regular System and one in the Land Court system. The client wants to understand what tangible benefit the Land Court system offers. Which of the following CORRECTLY distinguishes Land Court's primary value proposition?

- A. All past liens and claims are automatically discharged upon registration in Land Court
- B. The Certificate of Title provides definitive evidence of ownership status, eliminating the necessity for extensive title research ✓**
- C. Mortgage lenders offer lower interest rates on Land Court properties due to reduced title risk exposure
- D. Properties in Land Court are exempt from Hawaii's conveyance tax, resulting in lower total acquisition costs

Answer: B. Land Court's primary advantage is that the Certificate of Title is conclusive evidence of ownership, which eliminates the need for chain-of-title research required in the Regular System. Conveyance tax applies to both systems, and liens are not automatically cleared upon transfer.

Tough · v157 An agent is explaining Hawaii's dual recording systems to a client who owns property registered under the Land Court system. Which statement most accurately describes the KEY distinction between Land Court and Regular System properties?

- A. Properties in the Land Court system incur lower conveyance tax obligations than those in the Regular System
- B. Land Court registration guarantees that no federal tax liens can ever be recorded against the property
- C. Land Court properties are automatically free of all encumbrances at the time of sale
- D. The Certificate of Title issued in Land Court serves as conclusive evidence of ownership, obviating the traditional chain-of-title search ✓**

Answer: D. The Land Court (Torrens) system's defining feature is that the Certificate of Title is conclusive proof of ownership, eliminating the need for separate chain-of-title research required in the Regular System. Liens and tax obligations apply equally regardless of system.

Tough · v158 A title company is explaining the difference between Hawaii's two recording systems to a real estate team. When property is registered in the Land Court system, what is the PRIMARY benefit compared to the Regular System?

- A. Title insurance is automatically included at no additional cost
- B. All prior liens are automatically discharged upon the issuance of the new Certificate of Title
- C. The state guarantees that the Certificate of Title is the definitive record of legal ownership, eliminating the need for independent chain-of-title investigation ✓**
- D. The property becomes exempt from future property tax assessments

Answer: C. In Hawaii's Land Court (Torrens) system, the Certificate of Title itself is conclusive evidence of ownership, eliminating the title research burden that applies in the Regular System. Liens, taxes, and title insurance costs function the same in both systems.

Tough · v159 During a closing, an attorney clarifies that a seller's property has been recorded in Hawaii's Land Court system for decades. What distinguishes this registration from properties in the Regular System in terms of title verification?

- A. Land Court properties require only a preliminary title report rather than a full title commitment
- B. Conveyance tax is calculated differently for Land Court properties to reflect their superior title clarity
- C. The Certificate of Title in Land Court is conclusive evidence of ownership, whereas Regular System properties require tracing the chain of title through historical documents ✓**
- D. Land Court properties are immune from future adverse possession claims

Answer: C. The fundamental distinction is that Land Court's Certificate of Title is conclusive and eliminates the need for chain-of-title research required in the Regular System. Adverse possession, conveyance tax, and other obligations apply equally to both systems.

Tough · v160 An agent representing a buyer in a Torrens (Land Court) property transaction explains a key distinction to her client. How does the Land Court system in Hawaii fundamentally differ from the Regular System in terms of title verification?

- A. Land Court eliminates the requirement for title insurance altogether
- B. The Regular System allows faster conveyancing because it bypasses the Torrens registration process
- C. The Regular System requires a full title search, whereas Land Court eliminates the need for chain-of-title investigation because the Certificate of Title is conclusive evidence of ownership ✓**
- D. Land Court properties are exempt from federal tax liens and judgment creditor claims

Answer: C. The core distinction is that Land Court (Torrens) provides a conclusive Certificate of Title that serves as definitive ownership evidence, eliminating the need for historical chain-of-title research required in the Regular System. Liens and taxes still apply in Land Court; title insurance is still commonly obtained.

Tough · v161 A broker advises a client considering two properties—one registered under Hawaii's Torrens system and one under the Regular recording system. What is the most significant procedural advantage the Torrens-registered property offers regarding title assurance?

- A. Torrens registration automatically discharges all prior mortgages upon new purchase
- B. Torrens properties qualify for reduced conveyance tax rates on transfer
- C. The Certificate of Title issued in the Land Court system constitutes conclusive, indefeasible proof of ownership, removing the burden of conducting title-chain research ✓**
- D. Regular System properties require judicial confirmation before closing, while Torrens properties do not

Answer: C. Land Court (Torrens) provides a conclusive Certificate of Title that eliminates the need for historical chain-of-title verification, as opposed to the Regular System where title must be traced and insured. Other options misstate Torrens benefits; conveyance tax applies regardless of system, and liens remain attached.

Tough · v162 During a closing, an attorney explains to a purchaser why her property—registered in Hawaii's Land Court system—represents a stronger title position than a Regular System alternative. Which statement most accurately captures this advantage?

- A. Land Court titles are insurable at no cost, whereas Regular System titles require full premium payment
- B. Regular System properties must be re-registered every seven years; Land Court properties are perpetually valid without renewal
- C. Because the Torrens Certificate of Title is itself conclusive evidence of ownership, the need for independent title research and chain-of-title verification is eliminated ✓**
- D. Land Court registration automatically voids all easements and encroachments recorded prior to Torrens conversion

Answer: C. The defining advantage of Land Court (Torrens) is that the Certificate of Title serves as conclusive, indefeasible evidence of ownership, negating the need for historical chain-of-title investigation required in the Regular System. Liens, easements, and encroachments do attach in Land Court; conveyance tax applies to both systems.

Tough · v163 A condominium association in Honolulu seeks to implement a blanket prohibition on all transient occupancies shorter than 30 days across its property. Which statement best reflects the current legal framework under HRS 514B and Hawaii appellate precedent?

- A. Federal housing law renders the restriction unenforceable regardless of declaration language
- B. The restriction requires either explicit authorization in the original declaration or a supermajority amendment to the declaration ✓**
- C. The restriction is valid immediately upon board resolution without further member action
- D. State law automatically invalidates such restrictions unless the city zoning code explicitly permits them

Answer: B. HRS 514B restricts the board's unilateral power to impose use limitations of this magnitude. A declaration amendment (typically 2/3 or 3/4 supermajority) or pre-existing developer language in the original declaration is required. Board-only policies attempting this broad restriction have been struck down by Hawaii courts.

Tough · v164 An Oahu residential condominium project's board of directors proposes to adopt a standing rule eliminating all guest occupancies under 30 days. When challenged by a unit owner, the most defensible legal position is that:

- A. The Fair Housing Act exempts all short-term-rental prohibitions from legal challenge
- B. HRS 514B grants all boards automatic use-restriction authority without member approval
- C. Local zoning ordinances preempt condominium associations from imposing any occupancy rules
- D. The board lacks inherent authority to unilaterally restrict occupancy duration of this scope without declaration amendment or developer reservation ✓**

Answer: D. Under HRS 514B, boards cannot impose fundamental use restrictions—especially those affecting alienation or occupancy rights—through policy alone. Such restrictions typically demand either that the original declaration explicitly authorize them or that owners amend the declaration by supermajority vote.

Tough · v165 A condominium on Maui wishes to prevent short-term vacation rentals in its buildings. The board passes a rule banning all stays under 30 days. Under current Hawaii statutory and case law, this action is MOST LIKELY to be:

- A. Fully enforceable as a standard exercise of the board's housekeeping and operational rule-making power
- B. Unenforceable because the Federal Housing Act protects transient occupancy as a form of use
- C. Enforceable only if the condominium declaration was originally drafted to include such language or the membership votes to amend the declaration by supermajority ✓**
- D. Preempted by state statute and therefore void without any additional owner or declaration action

Answer: C. HRS 514B limits board authority to impose restrictions that materially alter occupancy rights or unit use. Hawaii courts have consistently held that short-term-rental bans require either pre-existing declaration language or a supermajority amendment—not a unilateral board rule.

Tough · v166 A condominium association in Honolulu proposes to prohibit all rental activity lasting fewer than 30 days in order to preserve residential character. Under HRS 514B, what is the PRIMARY legal impediment to the board unilaterally implementing this ban?

- A. The board's police power is preempted by county zoning ordinances that regulate transient accommodation
- B. State law explicitly permits short-term rentals as a property right that cannot be restricted by local entities
- C. The restriction would violate the Americans with Disabilities Act by limiting occupancy flexibility

D. The board lacks statutory authority to restrict use rights without amending the declaration through supermajority owner vote or confirming existing developer language ✓

Answer: D. HRS 514B requires that use restrictions of this magnitude be embedded in the declaration itself or formally amended by supermajority vote—not imposed as a standalone board rule. A board policy alone, absent declaration language, is legally insufficient under Hawaii condo law.

Tough · v167 During a meeting, a condo board member argues the association can immediately enforce a blanket prohibition on rentals under 30 days by adopting it as an operating rule. Based on HRS 514B and Hawaii case law, the board's legal position is MOST LIKELY:

- A. Enforceable under the Hawaii Residential Landlord-Tenant Code as a property-maintenance measure
- B. Defective because substantive use restrictions must either exist in the original declaration or be adopted through a formal declaration amendment requiring supermajority approval ✓**
- C. Permissible under the board's inherent fiduciary duty to manage the common interest community
- D. Valid if the restriction applies equally to all unit owners without exception

Answer: B. Use restrictions that prohibit or significantly limit rental activity cannot be created by board resolution alone—they require either pre-existing declaration language (from the developer) or a supermajority owner vote to amend the declaration. Hawaii courts have consistently invalidated board-only rental bans.

Tough · v168 A windward Oahu condo complex seeks to eliminate short-term rentals (under 30 days) to reduce turnover and noise complaints. The board votes unanimously to adopt the restriction as an architectural and use guideline. Under HRS 514B, this action is MOST LIKELY to be challenged because:

- A. The board lacks fiduciary standing to limit owner economic rights without owner consent
- B. County short-term rental licensing regulations preempt all association rules on the subject
- C. The restriction cannot be enforced as a mere guideline—it requires either existing declaration authority or a supermajority amendment, not a unilateral board policy ✓**
- D. Federal housing law prohibits discrimination against short-term occupants

Answer: C. Board guidelines and policies carry limited weight when they impose substantive use restrictions; HRS 514B requires such restrictions to be in the declaration (originally or amended by supermajority vote). A unanimous board vote does not bypass the declaration amendment requirement.

Tough · v169 A condominium association in Kailua seeks to implement a blanket prohibition on rentals shorter than 30 days to all unit owners. Under HRS 514B framework and Hawaii appellate precedent, this restriction would MOST LIKELY be:

- A. Required to be memorialized in an amended declaration, either already permitted by the original declaration or adopted by supermajority vote of the unit owners ✓**
- B. Preempted by state consumer protection statutes that guarantee owner use and occupancy rights
- C. Enforceable immediately upon board vote, provided notice is given to all owners
- D. Valid as an emergency rule under the board's police powers to maintain community standards

Answer: A. HRS 514B requires material restrictions on unit use—including rental prohibitions—to be part of the declaration or properly amended by supermajority owner vote. A board cannot unilaterally impose such restrictions by policy alone, even with unanimous board agreement.

Tough · v170 During a special board meeting, a Honolulu high-rise condo's directors vote unanimously to restrict all residential leasing to terms of 30 days or longer, citing noise and security concerns. A unit owner challenging this restriction would MOST likely prevail because:

- A. The restriction violates the property rights protections in the Hawaii Constitution, which override condo governing documents
- B. The restriction is an occupancy standard, not a use restriction, and occupancy standards require federal HUD approval
- C. The federal Uniform Commercial Code governs lease restrictions in Hawaii condominiums
- D. A use restriction of this magnitude cannot be enforced through board action alone and must be embedded in the declaration via proper amendment procedure under HRS 514B ✓**

Answer: D. Substantive use restrictions—especially those affecting owner rights to lease property—must be established or amended in the declaration itself, not adopted as board rules. HRS 514B § 514B-106 and case law establish that board policies cannot override declaration rights without proper amendment by supermajority vote.

Tough · v171 A Maui condo board discovers that 40% of units are being rented to tourists on platforms like Airbnb for periods under 30 days. To address this, the board adopts a formal administrative rule banning such short-term rentals. Under HRS 514B, this rule is MOST likely to be:

- A. Invalid unless the declaration already grants the board this authority or the unit owners formally amend the declaration by supermajority to permit it ✓**
- B. Automatically enforceable because short-term rentals constitute a nuisance per se under Hawaii common law
- C. Valid as a temporary measure for up to one year pending a formal declaration amendment vote
- D. Valid if at least three-quarters of board members signed the rule and provided 30 days' written notice

Answer: A. Even a carefully drafted board rule cannot override declared use rights or create new use restrictions without amendment to the declaration. HRS 514B requires that material use restrictions derive from the declaration, either originally or through supermajority amendment—board rulemaking alone is insufficient.

Tough · v172 An agent discloses to a prospective buyer that the seller's former principal (now in a different transaction) revealed their bottom-line price three years ago. Which fiduciary duty has been violated, and does this duty extend beyond agency termination?

- A. Accountability, which is contingent on escrow status
- B. Obedience, which survives indefinitely
- C. Confidentiality, which survives indefinitely ✓**
- D. Loyalty, which terminates at relationship end

Answer: C. Confidentiality is the sole fiduciary duty that survives termination and remains binding indefinitely. An agent cannot later disclose a former principal's sensitive information, regardless of time elapsed. Obedience, loyalty, and accountability all end when the agency relationship concludes.

Tough · v173 Following the conclusion of a listing agreement, a broker receives an inquiry from a new buyer client about the seller's motivations and financial constraints learned during the expired listing. Which fiduciary duty prevents disclosure, and what is its post-termination status?

- A. Confidentiality, which extends beyond agency termination ✓**
- B. Cooperation with other agents, which extends one year post-termination
- C. Honesty in advertising, which survives in writing only
- D. Care, which persists as a legal duty forever

Answer: A. Confidentiality is the fiduciary duty that survives agency termination and prohibits an agent from revealing private information about a former principal in perpetuity. Obedience, care, and cooperation obligations cease when the relationship ends.

Tough · v174 Which of the following fiduciary duties remains enforceable against a real estate agent even after the agency relationship has formally ended?

- A. Protection of the former principal's confidential information ✓**
- B. Accounting for all funds within 30 days of termination
- C. Loyalty demonstrated through favorable terms in competing transactions
- D. Obedience to all instructions from the former principal's new agent

Answer: A. Confidentiality of a former principal's protected information is the only fiduciary duty that survives agency termination indefinitely. An agent cannot divulge a former client's negotiation strategy, financial details, or property-specific information years later. Obedience, accounting, and loyalty all terminate with the relationship.

Tough · v175 An agent who represented a seller three years ago is now approached by a competing buyer's agent seeking information about that former client's motivation and reserve price. Which fiduciary duty—if any—does the agent still owe the seller?

- A. Duty to disclose the seller's confidential negotiation strategy upon request
- B. Confidentiality regarding the seller's sensitive transaction details ✓**
- C. Accountability for listing records that are now considered public record
- D. Obedience to the buyer's agent's request for market intelligence

Answer: B. The duty of confidentiality survives termination and binds the agent perpetually—former client secrets, strategies, and financial information remain protected. Obedience and accountability end with the agency; disclosure of confidential data violates post-termination law.

Tough · v176 When does an agent's obligation to withhold a principal's confidential information cease?

- A. Once the transaction closes and all funds are disbursed
- B. When the property is sold to a third party unrelated to the original principal
- C. Never—the duty of confidentiality is perpetual ✓**
- D. Immediately upon listing expiration or agency termination

Answer: C. Confidentiality is the sole fiduciary duty that survives indefinitely after the agency relationship ends. An agent cannot ethically reveal a former principal's bottom-line price, personal financial situation, or negotiation tactics at any future point.

Tough · v177 A real estate agent's agency with a buyer terminated six months ago when the buyer purchased a property through another agent. The original agent has just received a subpoena requesting testimony about the buyer's financial capacity and motivation during the earlier representation. Which fiduciary principle applies?

- A. The duty of accountability ends at termination, so the agent may speak freely about the buyer's circumstances
- B. The duty of confidentiality survives and restricts disclosure of privileged client information despite the subpoena ✓**
- C. The duty of obedience requires the agent to comply fully with the subpoena and divulge all details
- D. The duty of loyalty requires the agent to defend the buyer in court proceedings

Answer: B. Confidentiality extends beyond agency termination and legally restricts an agent from disclosing a former principal's private information, even under legal process (though a valid court order may override). The other fiduciary duties terminate with the relationship.

Tough · v178 An agent's agency relationship with a principal is formally dissolved. Which fiduciary duty continues to bind the agent even after termination?

- A. Care and skill in transaction execution
- B. Duty to follow the principal's lawful instructions
- C. Duty to disclose all material facts known to the agent
- D. Duty not to reveal the principal's confidential information ✓**

Answer: D. The duty of confidentiality survives agency termination indefinitely; an agent cannot later disclose a former client's financial information, negotiating position, or other secrets. Care, instruction compliance, and active disclosure duties end when the relationship terminates.

Tough · v179 After an exclusive listing agreement expires and is not renewed, the broker discovers that the seller's confidential bottom-line price was actually much higher than initially stated. Which fiduciary obligation, if any, still applies to the broker regarding this information?

- A. The broker must maintain confidentiality and cannot disclose the price to other agents or parties ✓**
- B. The broker's only remaining duty is to account for any funds still held in trust
- C. The broker is released from all fiduciary duties and may use the information freely
- D. The broker must immediately update all MLS records with the corrected price

Answer: A. Confidentiality is the sole fiduciary duty that survives termination of the agency relationship; the broker remains bound not to disclose the former principal's confidential information indefinitely. All other duties—obedience, care, loyalty, and accounting—terminate with the relationship.

Tough · v180 A property manager's contract with an owner ends on June 30. On July 15, the property manager receives an unsolicited inquiry from a competing investor asking about the owner's willingness to sell at a below-market price. What is the property manager's legal obligation regarding this inquiry?

- A. Provide the investor with all relevant details since the agency relationship is no longer active
- B. Respond to the investor with general market data but decline to share owner-specific information
- C. Refuse to disclose any confidential details the owner shared during the management relationship ✓**
- D. Forward the inquiry directly to the owner without offering any opinion or commentary

Answer: C. Even though the agency has terminated, the property manager's duty of confidentiality persists and prohibits disclosure of the owner's confidential information, including sensitivity to price, negotiating positions, or financial circumstances. The post-termination confidentiality obligation survives perpetually.

Tough · v181 A mainland real estate professional is coaching a client who is selling raw land in Wailea, Maui. The client is a U.S. citizen living in Nevada, though he was born in Hawaii. He asks whether HARPTA withholding applies to his \$1.2 million sale. The agent should advise that:

- A. Only federal FIRPTA withholding applies; state-level HARPTA was eliminated in 2019
- B. HARPTA does not apply because the seller is a natural-born U.S. citizen with Hawaii ancestry
- C. A Nevada resident is automatically exempt from both HARPTA and FIRPTA on all Hawaii real property transactions

D. HARPTA withholding at 7.25% likely applies because the seller's current domicile and residency status, not birthplace or citizenship, determine liability under HRS 235-68 ✓

Answer: D. HARPTA is triggered by Hawaii tax residency status, not citizenship, birthplace, or domicile elsewhere. A Nevada resident selling Hawaii property is a non-resident under HRS 235-68 and subject to the 7.25% withholding obligation regardless of citizenship or Hawaii heritage.

Tough · v182 During a closing for a \$650,000 Honolulu townhouse, the title company asks the selling agent to confirm the seller's HARPTA status. The seller is a U.S. passport holder who lives in Oregon and owns the property as a vacation rental. The agent's correct response is:

- A. Federal FIRPTA preempts HARPTA, so no state withholding is due on out-of-state owner sales
- B. The seller is likely subject to 7.25% withholding because residency for Hawaii income tax purposes, not passport status or citizenship, determines HARPTA applicability ✓**
- C. HARPTA applies only if the seller acquired the property within the past three years
- D. The seller qualifies for automatic HARPTA exemption as a U.S. national

Answer: B. HARPTA (HRS 235-68) is based on Hawaii tax residency, not citizenship or national status. An Oregon-domiciled owner is a non-resident and must withhold 7.25% at closing regardless of when the property was purchased. FIRPTA and HARPTA operate independently.

Tough · v183 A brokerage in Hilo receives notice that one of its listed properties (sold for \$520,000) has a seller who holds a U.S. passport and is otherwise a documented citizen, but maintains primary residence in Arizona. The closing attorney asks whether HARPTA withholding can be waived. The broker should explain that:

- A. HARPTA withholding eligibility depends on whether the seller qualifies as a Hawaii resident for state income tax purposes; an Arizona resident would not qualify for exemption and likely owes 7.25% withholding ✓**
- B. Passports and citizenship documentation alone satisfy HARPTA exemption requirements statewide
- C. Citizenship automatically waives all HARPTA obligations, so no withholding is required
- D. HARPTA was replaced by federal FIRPTA, which does not permit state withholding on citizen sales

Answer: A. HRS 235-68 (HARPTA) requires withholding based on the seller's Hawaii residency status for income tax purposes, not citizenship documentation. An Arizona resident is non-resident in Hawaii and is not exempt; the 7.25% withholding applies at closing.

Tough · v184 A mainland real estate investor holds title to a Wailea property valued at \$1.2 million and is subject to a purchase agreement to sell. The investor, a U.S. passport holder with no Hawaii state income tax filing history, closes the transaction. A title company employee suggests the withholding requirement is waived because the seller holds U.S. citizenship. Which statement is MOST accurate?

- A. Citizenship determines HARPTA liability, but residency determines the withholding percentage—in this case, approximately 5%
- B. The employee is correct; HARPTA exemptions apply to all U.S. citizens selling Hawaii real property
- C. The employee is incorrect; HARPTA withholding hinges on residency classification under Hawaii tax law, and a non-resident investor is subject to the statutory withholding rate regardless of citizenship status ✓**
- D. HARPTA withholding applies only if the property is classified as investment property under FIRPTA guidelines

Answer: C. HARPTA (HRS 235-68) is triggered by non-resident status for Hawaii income tax purposes, not by citizenship or passport status. A mainland investor with no Hawaii domicile is a non-resident and must satisfy withholding obligations regardless of being a U.S. citizen. The threshold concept is Hawaii residency, not nationality.

Tough · v185 During a closing on a Honolulu residential sale, the escrow holder raises the question of HARPTA withholding. The selling party is a trust domiciled in Oregon that purchased the property for rental income five years ago. The seller's attorney claims the trust is exempt from HARPTA because it is a domestic U.S. trust. What is the correct analysis?

- A. The attorney is incorrect; HARPTA's residency test applies to the trust's situs and income tax obligations, not its domestic or foreign designation; an Oregon-based trust selling Hawaii realty is a non-resident and subject to withholding ✓**
- B. HARPTA applies only to foreign persons, so any U.S.-based trust is automatically exempt
- C. The attorney is correct; domestic U.S. trusts are categorically exempt from Hawaii withholding statutes
- D. The withholding requirement depends on whether the trust is taxed as a grantor trust under IRC Section 671, not on Hawaii residency

Answer: A. HARPTA (HRS 235-68) focuses on whether the seller is a Hawaii resident for state income tax purposes, not on the seller's citizenship, trust status, or domestic-versus-foreign designation. An Oregon-domiciled trust has no Hawaii income tax residency and is classified as a non-resident, triggering the statutory 7.25% withholding obligation.

Tough · v186 A licensee is facilitating a transaction in which the seller is a permanent resident alien (green card holder) who works and pays taxes in Hawaii and owns a home in Kahalu'u. The buyer's agent asserts that HARPTA withholding should not apply because the seller is not a U.S. citizen. The listing licensee's most accurate response is:

- A. Disagree; HARPTA requires withholding from all non-U.S. citizens regardless of residency or tax status
- B. Disagree; HARPTA withholding is based on Hawaii tax residency, and this seller appears to be a Hawaii resident and thus may be HARPTA-exempt; citizenship status is irrelevant ✓**
- C. Agree with the buyer's agent; HARPTA exempts all non-citizens holding green cards from withholding requirements
- D. Defer the question to the IRS since FIRPTA, not HARPTA, governs withholding for green card holders

Answer: B. HARPTA's exemption or withholding obligation turns entirely on whether the seller is a Hawaii resident for state income tax purposes, not on citizenship or immigration status. A green card holder who is domiciled in Hawaii and meets residency criteria may qualify for an exemption, while a non-resident—regardless of citizenship—is subject to withholding. The agent must focus on residency classification.

Tough · v187 A listing agent represents a seller who maintains her primary residence and business in Oregon. She owns a rental townhouse in Maui that generated rental income for five years. During the sale closing for \$625,000, the seller's accountant states, "No withholding is required—she has a valid U.S. passport and tax ID number." What should the agent understand about HARPTA obligations?

- A. HARPTA only applies to foreign nationals; domestic sellers are automatically exempt regardless of state residency
- B. HARPTA withholding is triggered by the seller's non-resident status under Hawaii tax law, not by citizenship or passport status; 7.25% withholding likely applies ✓**
- C. The agent should instruct closing to withhold only FIRPTA amounts and skip HARPTA, as they are mutually exclusive
- D. The accountant is correct; HARPTA exemptions apply to all U.S. citizens with valid identification

Answer: B. HARPTA (HRS 235-68) is keyed to Hawaii tax residency, not citizenship or national origin. An Oregon-domiciled seller is a non-resident for Hawaii purposes and subject to HARPTA withholding. Citizenship status is irrelevant to the calculation.

Tough · v188 During a closing on a \$550,000 Honolulu condo sale, the buyer's attorney argues that the seller (a full-time Massachusetts resident who owns the property as an investment) should not have HARPTA withheld because 'she owns U.S. real estate and files U.S. tax returns.' The listing agent's best response is:

- A. Recommend FIRPTA withholding only and disregard HARPTA as it is a federal override
- B. Agree and instruct closing to skip HARPTA withholding since the seller files U.S. returns
- C. Explain that HARPTA withholding is based on the seller's Hawaii residency status for state income tax purposes, not on federal filing requirements; non-residents are subject to 7.25% withholding ✓**
- D. Defer the decision to the title company, as it is their responsibility to determine citizenship status

Answer: C. HARPTA's applicability turns solely on whether the seller is a Hawaii resident for state tax purposes. Filing U.S. federal returns or owning U.S. property does not determine HARPTA residency status. A Massachusetts resident is a non-resident under Hawaii law and HARPTA applies independently of FIRPTA.

Tough · v189 A transaction closing involves a seller who is a naturalized U.S. citizen, holds dual citizenship with a Hawaii-neighboring state, and maintains her permanent address in that neighboring state while owning a vacation property in Wailea. The sale price is \$675,000. The seller claims she 'should be HARPTA-exempt because I became a U.S. citizen five years ago.' The agent should recognize:

- A. The agent should apply FIRPTA only and ignore HARPTA, as it was superseded by federal law in 2019
- B. Naturalized citizens are entitled to HARPTA exemption; the five-year citizenship holding period is a qualifying factor
- C. HARPTA exemption or withholding depends on Hawaii residency status, not citizenship status or how long someone has been a U.S. citizen; dual citizenship does not confer exemption ✓**
- D. Neighboring-state residents are automatically exempt from HARPTA under reciprocal agreement rules

Answer: C. HARPTA (HRS 235-68) is purely a residency-based test under Hawaii tax law. Citizenship—whether natural-born, naturalized, or dual—is irrelevant. The tenure of citizenship is also irrelevant. A non-resident seller (regardless of citizenship status) is subject to HARPTA withholding at 7.25%.

Tough · v190 On Tuesday morning, a property owner receives a written offer from a prospective buyer with an expiration time of "Friday at noon." The owner signs the offer at 1:30 PM on Friday and immediately sends it back via email. What is the legal status?

- A. A voidable contract exists pending the buyer's confirmation within 48 hours
- B. No contract exists; the owner's late acceptance constitutes a new offer that the buyer may accept or reject ✓**
- C. A binding contract exists because the owner's signature creates mutual assent
- D. A contract is formed, but the seller forfeits any earnest money deposit due to late acceptance

Answer: B. When an acceptance arrives after the stated expiration, it is no longer an acceptance of the original offer—it becomes a counteroffer from the original offeror back to the buyer. The buyer now controls whether to accept, reject, or counter this new proposal.

Tough · v191 A real estate licensee prepares an offer to purchase that states "This offer expires Saturday at 6 PM." The buyer signs Friday evening. The seller receives the signed offer Sunday morning and executes it that same day. Which statement is correct?

- A. A binding contract is formed subject to the buyer's right to withdraw within three business days
- B. The seller's Sunday signature operates as acceptance and creates a binding agreement effective immediately
- C. The seller's execution after the Saturday expiration deadline has converted the buyer's original offer into a new counteroffer ✓**
- D. The parties have a valid contract because both parties ultimately signed the document

Answer: C. An offer that expires at a specific time ceases to exist at that moment. Any attempted acceptance after expiration is legally a counteroffer—a new offer by the seller to the buyer. The buyer may then choose to accept, reject, or respond with another counteroffer.

Tough · v192 A buyer submits a written offer on a residential property with a stated expiration of "Thursday at 4 PM." The seller's agent phones the buyer on Thursday at 2 PM to confirm the offer is still open, and the buyer verbally agrees. The seller then signs and returns the offer at 5:30 PM Thursday. What is the result?

- A. A valid contract exists because the buyer verbally reaffirmed the offer before expiration
- B. A voidable contract pending written confirmation from the buyer within five business days
- C. No contract—the seller's signed acceptance arriving after 4 PM Thursday is a counteroffer the buyer may or may not accept ✓**
- D. A valid contract exists because the seller's acceptance was communicated before the buyer revoked

Answer: C. The verbal reaffirmation does not extend the original deadline. Once the 4 PM Thursday deadline passes, the original offer expires automatically. The seller's signature after that time constitutes a late acceptance, which is legally a new counteroffer requiring the buyer's affirmative response.

Tough · v193 A property offer states "acceptance must be received by Friday at noon." The seller's signed acceptance arrives Friday at 12:47 PM via email. Which statement is most accurate?

- A. The parties have a voidable contract that either party may disaffirm within 10 days
- B. No contract exists; the late acceptance operates as a new offer to the original buyer ✓**
- C. A contract is formed, but the seller is liable for damages due to the tardy delivery
- D. A binding contract exists because the seller demonstrated clear intent to be bound

Answer: B. When an offer expires, any acceptance received after the deadline is deemed a counteroffer—a new offer from the original acceptor back to the original offeror. The buyer is free to accept, reject, or counter this new proposal.

Tough · v194 An offeror specifies that the offer will lapse at "5 PM on Tuesday." The offeree signs the agreement and personally delivers it to the offeror's agent at 5:45 PM Tuesday. The legal status is:

- A. The signed document is a counteroffer that the original offeror may accept or refuse ✓**
- B. Void ab initio because the offer was conditional on strict time compliance
- C. Valid contract; acceptance by conduct occurs when the offeree signs, not when delivered
- D. Valid contract formed; delivery to the agent is timely constructive acceptance

Answer: A. Acceptance must be received before the expiration deadline. A response received after expiration is not a valid acceptance but instead constitutes a counteroffer, giving the original offeror the power to accept, reject, or make another counteroffer.

Tough · v195 Under Hawaii real estate law, an offeror states, "This offer expires Thursday at 6 PM sharp." The seller signs and faxes the acceptance at 6:03 PM Thursday. What is the result?

- A. A valid contract forms by estoppel to prevent unjust enrichment to the buyer
- B. A contract exists pending the buyer's opportunity to waive the time requirement
- C. Automatic contract formation; time-of-receipt rules do not apply to fax transmissions
- D. The seller's response is legally a new offer, and the buyer may accept it, reject it, or counter it ✓**

Answer: D. An offer that specifies an expiration time creates a firm deadline. Any response received after that deadline is not acceptance but rather a counteroffer from the offeree, which resets negotiation and allows the original offeror to decide how to proceed.

Tough · v196 On Tuesday morning, a property owner receives a written purchase offer that states acceptance must occur by Thursday at noon. The owner signs the acceptance documents Friday at 10 AM and immediately sends them to the buyer's agent. What is the legal status of the transaction?

- A. An invalid acceptance requiring reformation by the Hawaii Real Estate Commission
- B. A counteroffer by the owner, which the original offeror may accept, reject, or counter ✓**
- C. A valid contract under the doctrine of substantial performance since only one business day was exceeded
- D. A binding contract formed because the owner's intent to be bound is clear and documented

Answer: B. When an offeree accepts after the offer's expiration date, that acceptance is legally treated as a new offer (counteroffer) directed back to the original offeror. The original offeror then controls whether to accept, reject, or counter this new offer.

Tough · v197 A residential purchase offer contains explicit language that states 'This offer expires on Saturday, September 15 at 4:00 PM, Hawaii Standard Time.' The seller receives the offer on Friday and signs it on Monday morning, September 18. Which statement correctly describes the legal consequence?

- A. The signed documents constitute a valid contract because they were signed in the presence of a licensed broker
- B. The seller's signing after expiration creates a counteroffer that returns to the buyer for acceptance or rejection ✓**
- C. The offer is automatically reinstated if the seller signs within one business day of receiving it
- D. A contract is formed only if both parties later ratify the agreement in writing within 30 days

Answer: B. An offer terminates at its stated expiration time. A purported acceptance received or signed after that deadline is not an acceptance; it is a counteroffer from the seller back to the original buyer, who must then decide whether to accept it.

Tough · v198 A buyer submits a written offer on a commercial property on Friday with a deadline of Monday at 5 PM. Due to a postal delay, the seller does not receive the offer until Tuesday morning and signs it Tuesday afternoon. The seller immediately delivers the signed acceptance via courier. Has a contract been formed?

- A. Yes, because the offer deadline applies only to when the buyer may revoke, not to when the seller may accept
- B. No, unless the buyer agrees in writing to extend the original offer's expiration date prior to Tuesday
- C. No, because the seller's late signature constitutes a counteroffer rather than an acceptance of the original offer ✓**
- D. Yes, because delivery of acceptance by a third party satisfies the Statute of Frauds regardless of timing

Answer: C. Once an offer expires, any subsequent purported acceptance—even if signed and delivered promptly—is legally a counteroffer, not an acceptance. The original offeror (buyer) then has the power to accept, reject, or counter this new offer from the seller.

Tough · v199 A Big Island real estate licensee represents a buyer interested in a residential property where a suicide occurred in the guest cottage two years prior. The buyer has not asked about this event. What is the licensee's obligation?

A. The licensee is not required to disclose the suicide unless directly questioned by the buyer, but must answer honestly if asked ✓

B. Hawaii Revised Statutes mandate that all deaths, regardless of cause, be listed on the MLS and Disclosure Statement

C. The licensee must volunteer this information in writing as part of the transaction documents to avoid potential liability

D. The licensee should advise the seller to disclose proactively to prevent the transaction from collapsing later

Answer: A. Hawaii does not require disclosure of stigmatizing events (deaths from natural or other causes unrelated to physical defect) on the Seller Disclosure Statement. However, the licensee cannot lie if the buyer directly inquires—honesty is required when asked, but volunteering is not.

Tough · v200 A Maui seller's agent is preparing a Seller Real Property Disclosure Statement for a condo where a robbery occurred in the unit five years ago. The seller wants to know if omitting this from the disclosure form violates state law.

A. Yes, because failing to disclose could constitute fraud under the Hawaii Fair Housing Act

B. Yes, Hawaii requires all criminal incidents within the last ten years to be reported on the Disclosure Statement regardless of buyer inquiries

C. No, but the agent must file a separate Crime History Report with the Hawaii Real Estate Commission within 30 days

D. No, Hawaii does not mandate disclosure of stigmatizing events unrelated to the property's physical condition; however, the agent must respond truthfully to any direct buyer question about the incident ✓

Answer: D. Stigmatizing events like past crimes that do not affect the property's physical condition are not required to be disclosed on Hawaii's Seller Disclosure Statement. Nonetheless, if a buyer asks directly about the robbery, the seller's agent cannot provide a false answer—misrepresenting facts when questioned crosses the line into actionable misrepresentation.

Tough · v201 During a showing of a Honolulu property, a prospective buyer casually asks the listing agent if there have been any 'bad incidents' at the home. The property had a non-fatal shooting in the living room four years ago. The agent should:

- A. Provide a truthful answer about the incident because the buyer has asked a direct question, even though the crime itself was not a mandated disclosure item ✓**
- B. State that stigmatizing events are not legally required to be disclosed and therefore decline to comment
- C. Defer all questions to the seller's disclosure attorney and refuse to answer until written permission is obtained
- D. Suggest the buyer hire an investigator to conduct their own background check to avoid agent liability

Answer: A. While Hawaii law does not require proactive disclosure of stigmatizing events (past crimes, deaths from illness, etc.), once a buyer directly asks about incidents at the property, the agent cannot respond untruthfully. The agent must answer honestly to avoid misrepresentation, even though the event would not appear on the Seller Disclosure Statement.

Tough · v202 A listing agent in Honolulu is representing a seller whose property experienced a homicide in the living room five years prior. The seller wants to know if this fact must appear on required state disclosure documents. What is the agent's most accurate guidance?

- A. The agent may voluntarily disclose it to protect against liability, but federal law preempts any state requirement to disclose crimes that could affect fair housing
- B. Hawaii law does not mandate disclosure of stigmatizing facts like past crimes that have no bearing on the structure or systems; however, if a buyer directly asks, the agent must answer honestly ✓**
- C. The agent must file a supplemental disclosure with the Hawaii Real Estate Commission if any buyer inquires about the property's history
- D. State law classifies all crimes as material defects requiring disclosure on the Seller Real Property Disclosure Statement to comply with the Residential Property Disclosure Law

Answer: B. Hawaii law exempts stigmatizing events (including past crimes that did not damage the physical property) from mandatory disclosure on the Seller Disclosure Statement. The critical exception is that a direct buyer question cannot be answered untruthfully—the agent must respond truthfully if asked, but is not required to volunteer the information.

Tough · v203 During a listing appointment on the Big Island, a seller mentions that a violent assault occurred in the home's guest house two years ago. The seller asks whether this must be disclosed to prospective buyers in writing. The agent should advise:

- A. The property cannot be marketed until a police clearance letter is obtained from the local police department
- B. All crime-related incidents in Hawaii must be reported to the state licensing authority before the property can be listed
- C. Stigmatizing events such as past crimes are not required disclosures unless they materially affect the property's physical condition; but any direct buyer question must receive an honest answer ✓**
- D. Federal law mandates that all criminal history on residential property be disclosed in a separate addendum signed by all parties

Answer: C. Hawaii does not require disclosure of stigmatizing events (non-physical-damage crimes, deaths from natural causes, etc.) on the mandatory disclosure forms. However, agents must never lie in response to a direct buyer question—truthfulness is required in direct communication, even if proactive disclosure is not mandatory.

Tough · v204 A Maui seller's agent discovers that the property was the scene of a fatal shooting in the kitchen four years ago. The seller believes this should remain private. Under Hawaii real estate law, the agent should tell the seller:

- A. Past violent crimes must be disclosed only if the buyer's inspector discovers bullet holes or structural damage during inspection
- B. The disclosure is mandatory on the Seller Real Property Disclosure Statement, and failure to include it violates the Residential Property Disclosure Law
- C. Disclosure of the crime is not required on state disclosure documents because it is a stigmatizing fact unrelated to the physical structure; however, truthfulness is required if a buyer asks directly ✓**
- D. The agent must disclose the crime to all prospective buyers verbally, even without a buyer inquiry, or face potential disciplinary action

Answer: C. Hawaii's disclosure rules treat stigmatizing events (past crimes without physical impact) differently from material property defects—they are not required on the Seller Disclosure Statement. Yet agents cannot misrepresent the property in response to a direct buyer question; honesty in direct communication is non-negotiable, even though volunteering the information is not mandated.

Tough · v205 A listing agent in Hawaii represents a seller whose Big Island property experienced a fatal car accident in the driveway two years prior. No structural damage occurred. When preparing marketing materials, the agent questions whether this incident must be disclosed. What is the agent's most accurate understanding of Hawaii disclosure law?

- A. The agent may omit the event from written disclosures but must volunteer it verbally to all prospective buyers
- B. State law requires disclosure only if the event involved criminal activity; accidents and natural deaths are exempt
- C. All deaths and accidents must be reported on the Seller Real Property Disclosure Statement regardless of physical impact
- D. Stigmatizing events unrelated to physical property condition are not mandatory disclosures; however, affirmative misrepresentation if directly asked is prohibited ✓**

Answer: D. Hawaii does not require disclosure of stigmatizing events (deaths, crimes not affecting the property) on the Seller Disclosure Statement. However, if a buyer directly questions the history, the agent cannot lie—that constitutes misrepresentation. Silence on non-required items is permissible; false answers are not.

Tough · v206 During a transaction for a Maui condo, a buyer's agent learns that the unit's owner suffered a serious assault in the living room eighteen months ago. The property's structure and systems are undamaged. The agent wants to know what Hawaii real estate law says about this information. Which statement most accurately reflects the licensing requirements?

- A. Stigmatizing events not involving property defects need not be affirmatively disclosed; but if the buyer poses a direct question, candor is mandatory ✓**
- B. The agent must file a separate Stigmatizing Event Disclosure Form with the Hawaii Real Estate Commission within five business days
- C. Hawaii Revised Statutes require agents to disclose any violent incidents occurring within the past five years on all MLS listings
- D. The agent has a fiduciary duty to disclose all prior criminal incidents to protect against future liability

Answer: A. Hawaii law distinguishes between defects affecting property value/condition and stigmatizing events. Past crimes that did not cause property damage are not mandatory disclosures. Nevertheless, a direct buyer inquiry cannot be answered falsely—agents must respond truthfully if asked.

Tough · v207 A real estate licensee represents a seller of a Honolulu townhouse where a homicide occurred in a bedroom five years ago. The property has been fully renovated with new flooring, walls, and systems. The seller asks the agent: "Do I legally have to tell buyers about this?" The agent's **MOST** defensible response is:

- A. No, stigmatizing events divorced from physical condition are not required disclosures, although you cannot falsely deny knowledge if a buyer directly asks ✓**
- B. Yes, because any felony occurring on the property must appear on the Seller Disclosure Statement regardless of time elapsed or repairs made
- C. You should disclose to protect yourself from future complaints, even though state law does not mandate it for crimes
- D. Only if the buyer makes an offer; then you must disclose in writing before closing

Answer: A. Hawaii does not mandate disclosure of past stigmatizing events (including violent crimes) when they have not affected the physical condition of the property. However, agents may never affirmatively misrepresent or lie if questioned directly—that would violate fiduciary duty and licensing law.

Tough · v208 A licensee representing a buyer in a leasehold residential transaction in Hawaii must provide written disclosure of all of the following **EXCEPT**:

- A. The remaining number of years on the ground lease
- B. The fee simple conversion price that the current fee owner is willing to accept ✓**
- C. The current annual lease rent and any scheduled adjustments
- D. Dates when lease rent is subject to renegotiation or reopening

Answer: B. Hawaii leasehold disclosure law requires current rent, rent schedules, reopening dates, and lease term remaining because these affect property value and affordability. The fee owner's conversion asking price is neither standardized nor required to be disclosed, as it is a future negotiation item, not a material fact about the existing lease.

Tough · v209 When closing a leasehold residential purchase in Hawaii, which of the following items does **NOT** need to be disclosed to the buyer in writing before or at closing?

- A. The hypothetical amount the lessor might demand if the buyer later requests fee simple conversion ✓**
- B. The specific lease anniversary dates when rent may be renegotiated
- C. How much time remains on the ground lease
- D. The monthly or annual lease rent obligation and any future adjustment provisions

Answer: A. Material lease facts—term, rent amount, adjustments, and reopening schedules—must be disclosed because they directly impact the buyer's financial obligation and property value. A potential future conversion price does not yet exist and is not a required disclosure; it is speculative and outside the scope of leasehold disclosures.

Tough · v210 In a leasehold residential sale in Hawaii, a buyer's agent is preparing the required disclosures. Which one of the following would be OUTSIDE the scope of mandatory leasehold disclosures?

- A. The fee owner's estimated minimum asking price for future fee simple conversion negotiations ✓**
- B. Lease rent reopening or renegotiation clause dates and conditions
- C. The total years or months remaining on the ground lease at time of purchase
- D. Annual lease rent and the mechanism by which it may increase or be renegotiated

Answer: A. Hawaii law requires disclosure of lease duration, current rent, rent escalation formulas, and reopening dates because these are concrete lease terms affecting value. The fee owner's asking price for potential future fee-to-simple conversion is not a material fact about the existing lease and is not a mandated disclosure item.

Tough · v211 A seller of leasehold residential property in Hawaii must provide a buyer with written disclosure of all the following EXCEPT:

- A. Dates when lease rent may be reopened or renegotiated under the lease agreement
- B. Remaining term of the ground lease
- C. Current annual lease rent and any scheduled increases over the next five years
- D. The current market value at which the fee simple owner would be willing to sell the underlying fee interest ✓**

Answer: D. Hawaii leasehold disclosure law requires rent, term, and reopening schedules because they directly impact affordability and long-term ownership costs. A fee owner's potential asking price to sell the fee is not a standard disclosure requirement and may not be determinable or offered.

Tough · v212 When representing a buyer in a leasehold residential purchase in Hawaii, which item would NOT appear in the mandatory lessor disclosure documents?

- A. The number of years remaining on the ground lease
- B. Specific lease anniversary dates when rent renegotiation may occur
- C. The amount of current monthly lease rent and frequency of adjustments
- D. An estimate of what the fee owner might accept to sell the fee simple estate to the lessee ✓**

Answer: D. Lessor disclosures cover lease economics (rent, term, reopening dates) because they materially affect buyer decision-making. A hypothetical fee-simple buyout price is neither required nor typically disclosed, as it is speculative and not a material lease term.

Tough · v213 A Hawaii leasehold buyer's material disclosure package must include all of the following EXCEPT the:

- A. Fee owner's private negotiation range or asking price for a fee-simple conversion ✓**
- B. Lease rent amount and any scheduled modification schedule for the next lease period
- C. Years of ground lease remaining at time of transfer
- D. Dates on which lease rent reopenings or renegotiations are scheduled to occur

Answer: A. Hawaii law mandates disclosure of rent, term, and reopening dates because they are integral to the leasehold's value and ongoing affordability. The fee owner's potential conversion asking price is not a statutory disclosure item and may not even be established or public knowledge.

Tough · v214 A seller of leasehold residential property in Hawaii must provide the buyer with written disclosure of all of the following EXCEPT:

- A. The current market value estimate for converting the property to fee simple ownership ✓**
- B. Remaining term of the ground lease
- C. The current monthly or annual lease rental obligation
- D. Dates and terms of any lease rent adjustment or reopening clauses

Answer: A. Hawaii law requires disclosure of lease term, rent amount, and adjustment schedules because they directly impact affordability and ownership rights. The market value or asking price for fee conversion is not a mandated disclosure—it may be unknown or not for sale.

Tough · v215 Under Hawaii's leasehold property disclosure requirements, which item is a seller NOT obligated to disclose to a prospective buyer?

- A. The fee owner's listed price to purchase the underlying fee interest ✓**
- B. The number of years remaining on the ground lease
- C. Scheduled rent increases or renegotiation triggers
- D. Annual or monthly rent payments due under the lease

Answer: A. Material lease terms—remaining term, rent amount, and rent adjustment dates—must be disclosed because they affect long-term value and cost. The fee owner's conversion price is not a required disclosure; it is not germane to the buyer's ability to assess the property's affordability or legal encumbrances.

Tough · v216 When a buyer inquires about purchasing a leasehold dwelling unit in Hawaii, the seller's agent must disclose which of the following to the buyer?

- A. The expiration date and any renewal or renegotiation provisions of the ground lease ✓**
- B. The total amount owed by the leaseholders to the fee owner for past rent arrears
- C. The historical appreciation rate of the fee simple interest underlying the lease
- D. How much the fee owner would charge to convert the leaseholders to fee simple ownership

Answer: A. Hawaii law mandates disclosure of lease term expiration, renewal options, and rent reopening terms because they directly affect the buyer's use rights and future costs. The fee owner's conversion asking price is proprietary and not a required disclosure—it is not a standard lease term nor material to the buyer's statutory protections.

APPENDIX C

Complete Mathematics Drill Set

Every quantitative drill in the Academy's bank, each presented with the givens, the governing formula, the full step-by-step solution, and the final answer.

Math 1 AREAS

A rectangular lot is 150 feet wide and 290 feet deep. What is its area in acres?

Given: Width: 150 ft; Depth: 290 ft; 1 acre = 43,560 sq ft

Formula: Area (sq ft) = $L \times W$; Acres = sq ft $\div$ 43,560

Solution:

1. $150 \times 290 = 43,500$ sq ft
2. $43,500 \div 43,560 = 0.9986$ acres

Answer: ≈ 1.00 acre (very nearly exact)

Math 2 AREAS

A triangular lot has a base of 200 ft and a height of 300 ft. What is its area?

Given: Base: 200 ft; Height: 300 ft

Formula: $\frac{1}{2} \times \text{Base} \times \text{Height}$

Solution:

1. $\frac{1}{2} \times 200 \times 300 = 30,000$ sq ft
2. $30,000 \div 43,560 = 0.69$ acres

Answer: 30,000 sq ft (≈ 0.69 acres)

Math 3 AREAS

A circular pond on a property has a radius of 50 ft. How many square feet does it cover?

Given: Radius: 50 ft; $\pi \approx 3.14159$

Formula: $\pi \times r^2$

Solution:

1. $3.14 \times 50^2 = 3.14 \times 2,500$
2. $= 7,854$ sq ft (using π)

Answer: $\approx 7,854$ sq ft

Math 4 AREAS**A section of land contains how many acres?****Given:** 1 section = 1 sq mile = 5,280 ft × 5,280 ft; 1 acre = 43,560 sq ft**Formula:** Section sq ft ÷ 43,560**Solution:**

1. $5,280 \times 5,280 = 27,878,400$ sq ft

2. $27,878,400 \div 43,560 = 640$ acres

Answer: 640 acres per section**Math 5 PERCENTAGES****If \$4,800 is 6% of the sale price, what is the sale price?****Given:** Part: \$4,800; Rate: 6%**Formula:** Whole = Part ÷ Rate**Solution:**

1. $\$4,800 \div 0.06 = \$80,000$

Answer: \$80,000**Math 6 PERCENTAGES****A house sold for \$325,000. The buyer paid 3% as earnest money. How much was that?****Given:** Sale price: \$325,000; Rate: 3%**Formula:** Part = Whole × Rate**Solution:**

1. $\$325,000 \times 0.03 = \$9,750$

Answer: \$9,750**Math 7 COMMISSION****A property sells for \$425,000 with a 6% total commission. The listing brokerage gets 50%, and the listing agent gets 70% of the brokerage's share. How much does the listing agent personally make?****Given:** Sale: \$425,000; Commission: 6%; Listing brokerage split: 50%; Agent split: 70%**Formula:** Agent = Sale × Comm% × Brokerage split × Agent split**Solution:**

1. Total commission: $\$425,000 \times 0.06 = \$25,500$

2. Listing brokerage share: $\$25,500 \times 0.50 = \$12,750$

3. Listing agent share: $\$12,750 \times 0.70 = \$8,925$

Answer: \$8,925

Math 8 COMMISSION

An agent earned \$7,200 in commission, which represented 60% of their brokerage's commission share on a 6% total commission. What was the sale price?

Given: Agent commission: \$7,200; Agent split: 60%; Brokerage share of total: assume 50%; Total commission rate: 6%

Formula: Work backward from agent take to total commission to sale price

Solution:

1. Brokerage share of total commission: $\$7,200 \div 0.60 = \$12,000$
2. Total commission: $\$12,000 \div 0.50 = \$24,000$
3. Sale price: $\$24,000 \div 0.06 = \$400,000$

Answer: \$400,000

Math 9 FINANCING

A buyer purchases a \$480,000 home with a 20% down payment. What is the loan amount?

Given: Sale price: \$480,000; Down payment: 20%

Formula: Loan = Price $\times$ (1 - Down %)

Solution:

1. Down payment: $\$480,000 \times 0.20 = \$96,000$
2. Loan amount: $\$480,000 - \$96,000 = \$384,000$

Answer: \$384,000

Math 10 FINANCING

A buyer pays 2 discount points on a \$300,000 loan. How much does this cost?

Given: Loan: \$300,000; Points: 2

Formula: Points cost = Loan $\times$ Points $\times$ 1%

Solution:

1. $2 \times 1\% = 2\%$ of loan
2. $\$300,000 \times 0.02 = \$6,000$

Answer: \$6,000

Math 11 FINANCING

On a \$250,000 loan at 6% annual interest, how much interest accrues per day (using 360-day year)?

Given: Loan: \$250,000; Rate: 6%; 360-day year

Formula: Daily interest = Loan $\times$ Rate $\div$ 360

Solution:

1. Annual interest: $\$250,000 \times 0.06 = \$15,000$
2. Daily interest: $\$15,000 \div 360 = \41.67

Answer: \$41.67 per day

Math 12 FINANCING

A buyer purchases a property for \$350,000 with a \$280,000 loan. What is the LTV?

Given: Property value: \$350,000; Loan: \$280,000

Formula: $LTV = \text{Loan} \div \text{Value}$

Solution:

1. $\$280,000 \div \$350,000 = 0.80 = 80\%$

Answer: 80% LTV (right at the PMI threshold for conventional)

Math 13 PRORATIONS

Annual property tax is \$4,800. Closing is on April 30 (using 360-day year, seller pays through the closing day). What is the seller's prorated share?

Given: Annual tax: \$4,800; Closing: April 30; 360-day year

Formula: $\text{Seller share} = \text{Annual} \div 360 \times \text{Days from Jan 1 to closing}$

Solution:

1. Days from Jan 1 to April 30: $30 + 30 + 30 + 30 = 120$ days (using 30-day months)
2. Daily tax: $\$4,800 \div 360 = \13.33
3. Seller share: $\$13.33 \times 120 = \$1,600$

Answer: \$1,600 seller debit / buyer credit

Math 14 PRORATIONS

Monthly condo maintenance fee is \$450, paid in advance on the 1st. Closing is on the 15th. The seller paid for the full month. How much does the buyer owe the seller at closing?

Given: Monthly fee: \$450; Closing: 15th of month; Seller paid full month in advance

Formula: Buyer owes seller for unused days

Solution:

1. Seller used: 15 days; remaining: 15 days (assuming 30-day month)
2. Daily fee: $\$450 \div 30 = \15
3. Buyer credit to seller: $\$15 \times 15 = \225

Answer: \$225 buyer debit / seller credit

Math 15 TAXES

A property has an assessed value of \$380,000 and a mill rate of 18 mills. What is the annual property tax?

Given: Assessed value: \$380,000; Mill rate: 18 mills

Formula: $\text{Tax} = \text{Assessed Value} \times \text{Mills} \div 1,000$

Solution:

1. $\$380,000 \times 18 \div 1,000 = \$6,840$

Answer: \$6,840 annual property tax

Math 16 TAXES

Hawaii owner-occupant conveyance tax is approximately \$0.10 per \$100 of sale price (verify current). On a \$700,000 owner-occupied sale, what's the conveyance tax?

Given: Sale price: \$700,000; Rate: \$0.10 per \$100

Formula: Tax = Sale ÷ \$100 × Rate

Solution:

1. $\$700,000 \div \$100 = 7,000$ units
2. $7,000 \times \$0.10 = \700

Answer: \$700 (verify current Hawaii conveyance tax schedule for actual rate)

Math 17 INVESTMENT

A four-plex generates \$52,000 NOI. Comparable cap rate is 6.5%. What's the indicated value?

Given: NOI: \$52,000; Cap rate: 6.5%

Formula: Value = NOI ÷ Cap Rate

Solution:

1. $\$52,000 \div 0.065 = \$800,000$

Answer: \$800,000

Math 18 INVESTMENT

A property is on the market for \$750,000 with reported NOI of \$60,000. What is the implied cap rate?

Given: Asking price: \$750,000; NOI: \$60,000

Formula: Cap Rate = NOI ÷ Value

Solution:

1. $\$60,000 \div \$750,000 = 0.08 = 8\%$

Answer: 8% cap rate

Math 19 INVESTMENT

A property has gross income of \$144,000 annually (10% vacancy expected) and operating expenses of \$48,000. Calculate NOI.

Given: Gross income: \$144,000; Vacancy: 10%; Operating expenses: \$48,000

Formula: NOI = (Gross Income - Vacancy) - Operating Expenses

Solution:

1. Vacancy loss: $\$144,000 \times 0.10 = \$14,400$
2. Effective Gross Income: $\$144,000 - \$14,400 = \$129,600$
3. NOI: $\$129,600 - \$48,000 = \$81,600$

Answer: \$81,600 NOI

Math 20 INVESTMENT

A duplex rents for \$1,800/month total. Comparable GRM is 145. What is the indicated value?

Given: Monthly rent: \$1,800; GRM: 145

Formula: Value = Monthly Rent × GRM

Solution:

$$1. \$1,800 \times 145 = \$261,000$$

Answer: \$261,000

Math 21 INVESTMENT

NOI is \$96,000. Annual debt service is \$72,000. Calculate DSCR.

Given: NOI: \$96,000; Annual debt service: \$72,000

Formula: DSCR = NOI ÷ Annual Debt Service

Solution:

$$1. \$96,000 \div \$72,000 = 1.33$$

Answer: 1.33 (above the typical 1.20 lender minimum)

Math 22 CLOSING

A buyer is purchasing a \$500,000 home with 20% down. Estimated closing costs are \$8,500. The buyer received a credit of \$2,000 from seller. How much cash does the buyer need at closing (excluding prorations)?

Given: Sale: \$500,000; Down: 20%; Closing costs: \$8,500; Seller credit: \$2,000

Formula: Cash needed = Down + Closing costs - Credits

Solution:

$$1. \text{Down payment: } \$500,000 \times 0.20 = \$100,000$$

$$2. \text{Plus closing costs: } \$100,000 + \$8,500 = \$108,500$$

$$3. \text{Less seller credit: } \$108,500 - \$2,000 = \$106,500$$

Answer: \$106,500 cash needed at closing

Math 23 CLOSING

A seller sells for \$620,000. Their loan payoff is \$380,000, broker commission is 6%, closing costs are \$4,800, and HARPTA withholding (assume non-resident, 7.25%) applies. Calculate net to seller.

Given: Sale: \$620,000; Loan payoff: \$380,000; Commission: 6%; Closing costs: \$4,800; HARPTA: 7.25%

Formula: Net = Sale - Payoff - Commission - Closing costs - HARPTA

Solution:

1. Commission: $\$620,000 \times 0.06 = \$37,200$
2. HARPTA withholding: $\$620,000 \times 0.0725 = \$44,950$
3. Total deductions: $\$380,000 + \$37,200 + \$4,800 + \$44,950 = \$466,950$
4. Net to seller (before HARPTA refund/credit): $\$620,000 - \$466,950 = \$153,050$

Answer: \$153,050 net to seller (HARPTA may be refunded later upon Hawaii tax filing)

Math 24 INVESTMENT

An investor bought a property for \$280,000 and sold it 3 years later for \$385,000. What was the % profit?

Given: Cost: \$280,000; Sale: \$385,000

Formula: % Profit = $(\text{Sale} - \text{Cost}) \div \text{Cost} \times 100$

Solution:

1. Profit: $\$385,000 - \$280,000 = \$105,000$
2. % Profit: $\$105,000 \div \$280,000 = 0.375 = 37.5\%$

Answer: 37.5% profit

Math 25 INVESTMENT

A flipper wants a 25% profit on a property they bought for \$360,000. What's the target sale price?

Given: Cost: \$360,000; Target profit: 25%

Formula: Target Sale = $\text{Cost} \times (1 + \text{Profit } \%)$

Solution:

1. $\$360,000 \times 1.25 = \$450,000$

Answer: \$450,000 target sale price

APPENDIX D

Complete Glossary

The Academy's full glossary — 277 terms. Hawai'i-specific terms carry a note distinguishing Hawai'i practice from mainland doctrine.

TERM	DEFINITION	DOMAIN
1031 exchange	IRC § 1031 — defer capital gains by exchanging like-kind investment properties within 180 days.	investment
1031 timeline	45 days to identify replacement, 180 days total to close. Strict — no extensions.	math
Acceleration clause	Mortgage provision allowing lender to demand full balance on default.	finance
Accretion	Gradual addition of soil to land by natural causes; the new soil belongs to the owner.	national
Acknowledgment	Notarized statement that signature was made voluntarily. Required for recording.	title
Acre	43,560 square feet.	math
Ad valorem tax	Tax based on assessed value (e.g., property tax).	national
Adjustable Rate Mortgage (ARM)	Loan with rate that adjusts on a schedule based on an index plus margin.	finance
Adjusted basis	Purchase price + capital improvements - depreciation. Used to compute capital gain.	investment
Adverse possession	Acquiring title by open, notorious, hostile, continuous occupation for the statutory period.	title
Agency	Legal relationship where one person acts on behalf of another.	agency
Agreement of Sale (AOS)	Hawaii installment land contract; buyer occupies, seller holds title until paid. <i>Hawai'i: Common alternative to bank financing.</i>	hawaii
Agricultural disclosure (Hawaii)	Required notice for properties in or near agricultural-use districts. Pesticide / odor / equipment noise.	hawaii
Alienation clause	Loan provision triggering due-on-sale on transfer.	finance
ALTA policy	American Land Title Association standardized title insurance form. Extended coverage.	closing
Amortization	Gradual loan repayment via periodic principal-and-interest payments.	finance
AOAO	Association of Apartment Owners — Hawaii term for condo HOA.	hawaii
Appraisal	Licensed appraiser's opinion of value. Required for federally related transactions.	national
Appurtenant	Attached to or running with the land (e.g., easement appurtenant).	national
APR	Annual Percentage Rate. Loan cost including interest + points + fees.	finance

TERM	DEFINITION	DOMAIN
Assessed value	Tax value placed on property by county assessor. Often less than market value.	national
Assignment	Transfer of contract rights to another party.	contracts
Assignment of lease	Tenant transfers entire remaining lease term to a new tenant. New tenant becomes liable to landlord.	management
Attornment	Tenant's acknowledgment of new owner as landlord.	national
Back-end ratio	Total debt payments ÷ gross income. Typically capped near 36-43% depending on loan program.	math
Bargain and sale deed	Conveys title without warranties; implies grantor owns but no guarantees.	title
BIC (Broker In Charge)	Broker designated to manage a specific branch office.	hawaii
Bilateral contract	Both parties make promises to each other.	contracts
Blanket mortgage	One mortgage covering multiple parcels with partial release clause.	finance
Blockbusting	Inducing sales by representing protected-class entry. Fair housing violation.	national
BOC	Bureau of Conveyances — Hawaii's Regular System title office.	hawaii
Boot	Non-like-kind consideration received in a 1031 exchange. Taxable.	investment
Bundle of rights	Set of legal rights of ownership: possess, use, enjoy, exclude, dispose.	national
CAM charges	Common Area Maintenance — tenant pays share of shared-area costs in commercial leases.	management
Capacity	Legal ability to contract.	contracts
Capital gain	Profit on sale of investment property. Long-term = held > 1 year, lower tax rate.	investment
Capitalization rate	NOI ÷ Value. Higher rate = higher risk or lower price.	math
Capitalization rate (cap rate)	Net operating income ÷ purchase price. Quick measure of investment return.	investment
Cash-on-cash return	Annual pre-tax cash flow ÷ cash invested. Measures leveraged return.	investment
Caveat emptor	"Let the buyer beware" — largely supplanted by mandatory disclosure laws.	national
CC&Rs	Covenants, Conditions, and Restrictions. Private deed-based rules running with land.	national
CERCLA	Superfund. Federal hazardous-waste cleanup law with strict liability.	national
Chain of title	Recorded history of ownership. Gaps = clouds.	title

TERM	DEFINITION	DOMAIN
Closing Disclosure	Federal form summarizing loan terms + closing costs. Delivered 3 days before closing.	finance
Cloud on title	Defect or unresolved claim affecting marketability.	title
CMA	Comparative Market Analysis. Agent-prepared pricing recommendation.	national
COALD	Care, Obedience, Accounting, Loyalty, Disclosure. Five fiduciary duties.	agency
Commingling	Mixing trust funds with personal funds. License-law violation.	agency
Commission split	Total commission divided among listing broker, listing agent, selling broker, selling agent per agreements.	math
Common elements	Condo property shared by all unit owners (lobby, pool, roof).	hawaii
Community property	Spousal co-ownership of property acquired during marriage. NOT a Hawaii concept. <i>Hawai'i: Hawaii is a common-law state, not community property.</i>	property
Comparables (comps)	Recent sales used to estimate subject's value.	national
Condemnation	Government's exercise of eminent domain.	national
Conditional use	Use allowed in zone subject to specific conditions/permit.	national
Conditional use permit	Permission for a use not permitted by right in the zone, subject to conditions.	land-use
Condominium	Fee ownership of unit + undivided interest in common elements.	national
Consideration	Something of value exchanged in a contract.	contracts
Constructive eviction	Landlord conduct so severe tenant must leave; treated legally as eviction.	management
Contingency	Condition that must be met for contract to proceed.	contracts
Continuing education (Hawaii)	Hawaii licensees need 20 hours CE per 2-year renewal cycle. Includes Core class. <i>Hawai'i: Specific Core topics vary by cycle — published by REC.</i>	hawaii
Conversion	Using or misappropriating client trust funds for one's own benefit. A license-law violation under HRS 467 that may also be criminal.	agency
Conveyance	Transfer of real property interest.	title
Conveyance tax	Hawaii state tax on real property transfers. Tiered rate.	hawaii
Conveyance tax (Hawaii)	Hawaii state tax on real estate transfers. Rate varies by sale price + buyer's primary residence status. <i>Hawai'i: HRS 247 — paid by seller unless contract says otherwise. Rates from \$0.10 to \$1.25 per \$100.</i>	closing

TERM	DEFINITION	DOMAIN
Cooperative	Own shares in corporation that owns building + proprietary lease.	national
Cooperative (co-op)	Ownership of stock in a corporation that owns the building; resident gets proprietary lease.	property
Counteroffer	Rejection + new offer. Cancels original.	contracts
Covenant	Promise running with land. Binds future owners.	national
CPR	Condominium Property Regime. Multiple units on one lot, each with TMK. Hawaii-specific.	hawaii
Credit (closing)	Amount that reduces what a party owes — buyer credit from seller for repairs, etc.	closing
Curtesy	At common law, a husband's life interest in his deceased wife's real property, historically conditioned on the birth of issue. Largely abolished today.	national
Datum	Reference point for elevation measurements.	national
DCCA	Hawaii Department of Commerce and Consumer Affairs. Oversees REC.	hawaii
Debit (closing)	Amount a party owes at closing — buyer's purchase price + buyer's closing costs, etc.	closing
Debt-to-income (DTI)	Monthly debt payments ÷ gross monthly income. Lender qualification ratio.	math
Dedication	Voluntary transfer of private land to public use.	national
Deed	Document transferring title from grantor to grantee.	title
Deed restriction	Private use restriction in deed. Runs with land.	title
Default	Failure to perform contract obligation.	contracts
Delivery	Transfer of deed with intent to convey. Required for valid transfer.	title
Depreciation (appraisal)	Loss in value from physical, functional, or external causes.	national
Depreciation (tax)	IRS deduction for wear on improvements. Residential = 27.5 yrs straight-line; commercial = 39 yrs.	investment
Discount points	Prepaid interest. 1 point = 1% of loan. Lowers rate.	finance
Disparate impact	Neutral policy that disproportionately harms a protected class. Can be discrimination even without intent.	fair-housing
DROA	Deposit Receipt Offer and Acceptance — Hawaii standard residential purchase form.	hawaii

TERM	DEFINITION	DOMAIN
Dual agency	One agent represents both buyer and seller. Requires written informed consent.	agency
DUST	Demand, Utility, Scarcity, Transferability. Four characteristics required for value.	national
Earnest money	Buyer's good-faith deposit, typically held by escrow.	contracts
Earnest Money Deposit (EMD) handling	A buyer's good-faith deposit submitted with an offer and held in trust. In Hawai'i a broker must deposit trust funds (including earnest money) into a federally insured trust account or neutral escrow by the next business day after receipt (HAR §16-99-4). <i>Hawai'i: Late deposit of trust funds is grounds for license discipline.</i>	hawaii
Easement	Right to use another's land. Appurtenant runs with land; in gross is personal.	national
Easement appurtenant	Easement that benefits a neighboring (dominant) parcel; runs with the land.	land-use
Easement in gross	Easement benefiting a person or entity, not adjacent land (e.g., utility easement).	land-use
ECOA	Equal Credit Opportunity Act. Bans lending discrimination.	finance
Emblements	Tenant's annual crops; treated as personal property.	national
Eminent domain	Government power to take private property for public use with just compensation.	national
Encroachment	Unauthorized physical intrusion onto another's property.	national
Encumbrance	Non-possessory claim affecting property (lien, easement, restriction).	national
Equity	Property value minus liens.	finance
Escheat	Property reverts to state when owner dies intestate with no heirs.	national
Escrow	Neutral third party holding funds + documents until conditions met.	national
Estate	Interest in land. Includes fee simple, life estate, leasehold.	national
Estate for years	Lease with definite start and end date. Auto-terminates; no notice required.	property
Estate in fee simple	Highest form of ownership — indefinite duration, freely transferable, inheritable.	property
Estoppel	Bar against asserting a position contrary to one's prior conduct.	contracts
Estoppel certificate		title

TERM	DEFINITION	DOMAIN
	Written statement by party (often tenant or lender) that prevents later contradictory claims.	
Eviction (Hawaii)	The legal process to remove a tenant: proper written notice, then court summary possession (HRS 521/666). <i>Hawai'i: As of Feb 5, 2026 (Act 278), residential nonpayment requires 10 days' written notice (with mediation if the tenant requests); other curable breaches require 10 days under HRS §521-72.</i>	management
Exclusive Agency Listing	Broker earns commission unless seller produces buyer.	agency
Exclusive Right to Sell	Broker earns regardless of who finds buyer.	agency
Fair Housing Act	Federal law banning housing discrimination on 7 protected classes.	national
Familial status	Households with children under 18, pregnant women, or those securing custody. Protected federally + in Hawaii.	fair-housing
Fee simple absolute	Greatest possible ownership interest. Perpetual, inheritable, unconditional.	national
Fee simple defeasible	Fee ownership that can be lost if a condition occurs or is violated.	property
FHA	Federal Housing Administration. Insures low-down-payment loans.	finance
Fiduciary	Person owing duties of trust (care, loyalty, etc.).	agency
FIRPTA	Federal Foreign Investment in Real Property Tax Act. 15% withholding on foreign sellers.	finance
Fixture	Item that has become real property by attachment, adaptation, or intent.	national
Foreclosure	Lender's remedy on default. Judicial or non-judicial.	finance
Fraud	Intentional misrepresentation of material fact causing harm.	contracts
Freehold estate	Indeterminate-duration estate (fee, life estate). Contrast leasehold.	national
Front-end ratio	Housing payment (PITI) ÷ gross income. Typically capped near 28-31% for conventional.	math
GET	Hawaii General Excise Tax. Applies to real estate commissions and rents.	hawaii
GIM	Gross Income Multiplier. Sale Price ÷ Annual Gross Income.	math
Grant deed	Implies two warranties: grantor hasn't conveyed to anyone else, and property is unencumbered.	title
Granting clause	Deed clause naming grantor + grantee and stating intent to convey.	title
Grantor / Grantee	Grantor = transferor. Grantee = recipient.	title

TERM	DEFINITION	DOMAIN
GRM	Gross Rent Multiplier. Sale Price ÷ Monthly Gross Rent.	math
Gross lease	Tenant pays one flat rent; landlord pays taxes, insurance, maintenance.	management
Gross rent multiplier (GRM)	Price ÷ annual gross rent. Crude valuation shortcut.	investment
Habendum clause	Deed clause defining the estate granted ("to have and to hold").	title
Habitability (warranty of)	Landlord must keep residence fit for living. Implied in every Hawaii lease. <i>Hawaii: HRS 521-42 codifies implied warranty of habitability.</i>	management
HARPTA	Hawaii Real Property Tax Act (HRS §235-68): a 7.25% withholding on the amount realized when a non-resident sells Hawaii real property — a prepayment of state income tax on the gain, distinct from the county real-property (ad valorem) tax.	hawaii
Hawaii protected classes	Federal 7 + ancestry, marital status, age, sexual orientation, gender identity, HIV status, source of income. <i>Hawaii: HRS 515 — Hawaii's additions are some of the broadest in the country.</i>	fair-housing
HCRC	Hawaii Civil Rights Commission — state agency enforcing HRS 515 fair housing. <i>Hawaii: Files most state-level housing-discrimination complaints.</i>	fair-housing
Hectare	10,000 square meters ≈ 2.471 acres. Occasionally appears in Hawaii survey work.	math
Highest and best use	Legally permissible, physically possible, financially feasible, maximally productive use.	national
HOA	Homeowners Association. Manages common-interest community.	national
HRS 467	Hawaii Real Estate Brokers and Salespersons statute.	hawaii
HRS 508D	Hawaii Mandatory Seller Disclosures statute.	hawaii
HRS 514B	Hawaii modern Condominium Property Act.	hawaii
HRS 515	Hawaii state fair housing statute. Adds classes beyond federal.	hawaii
HRS 521	Hawaii Residential Landlord-Tenant Code.	hawaii
HUD	Department of Housing and Urban Development — federal agency enforcing Fair Housing Act.	fair-housing
Hui	Traditional Hawaiian co-ownership of land, often family-held.	hawaii
Hypothecation	Pledging property as security without giving up possession.	finance
Implied agency	Agency created by parties' conduct without express agreement.	agency

TERM	DEFINITION	DOMAIN
In-gross easement	Easement held by a person, not attached to a specific parcel.	national
Joint tenancy	Co-ownership with right of survivorship. Requires four unities.	national
Judgment lien	Court judgment recorded against debtor's real property. General lien on all property in county.	title
Land Court	Hawaii's Torrens-style registered title system. TCT is conclusive.	hawaii
Land Court system	Hawaii's Torrens-style registration system. Title certificates conclusive. Use BoC for Regular System. <i>Hawai'i: Land Court parcels have a TCT number — title is guaranteed by the state.</i>	hawaii
Land Use Commission (LUC)	Hawaii body that classifies all state land into Urban, Rural, Agricultural, Conservation districts. <i>Hawai'i: HRS 205 — district boundary changes require LUC approval.</i>	land-use
Latent defect	Hidden defect not discoverable on reasonable inspection.	national
Lateral support	Right to have land supported by neighboring land in its natural state.	land-use
Lava zone	USGS classification 1-9 of volcanic hazard risk. Lower number = higher risk. Affects insurance. <i>Hawai'i: Hawaii sellers must disclose lava zone on Big Island parcels.</i>	hawaii
Lease	Contract transferring possession + use for term in exchange for rent.	contracts
Leasehold estate	Tenant's right to possess and use property for term.	national
Lessor / Lessee	Landlord / Tenant.	national
Leverage	Using borrowed funds to amplify returns on invested capital.	investment
License (land use)	Permission to use land for a specific purpose; revocable at will.	land-use
Lien	Monetary encumbrance attaching to property as security for debt.	national
Life estate	Ownership for duration of measuring life. Reverts to remainderman.	national
Liquidated damages	Pre-agreed damages amount. Often the earnest money in real estate.	contracts
Lis pendens	Notice of pending lawsuit that may affect title. Recorded with the land record.	title
Listing agreement	Contract creating broker-seller relationship.	agency
Littoral rights	Rights of land abutting a non-flowing body of water (lake, ocean). Relevant in Hawaii. <i>Hawai'i: Hawaii's public-trust doctrine retains state title to land below the high-water mark.</i>	land-use
		closing

TERM	DEFINITION	DOMAIN
Loan Estimate	TRID form lender must provide within 3 business days of application. Lists costs + terms.	
Loan-to-value (LTV)	Loan amount ÷ appraised value. Lenders use this for risk + PMI thresholds.	math
LTV	Loan-to-Value. Loan ÷ Value. PMI required above 80% conventional.	finance
Mandatory Seller's Disclosure	Hawaii sellers must provide Sellers Real Property Disclosure Statement (SRPDS) within timeframes. <i>Hawai'i: HRS 508D — disclosure must be material, accurate, signed.</i>	hawaii
Marketable title	Title free of significant clouds, acceptable to a reasonable buyer.	title
Material fact	Fact a reasonable buyer/seller would consider important.	national
Mechanic's lien	Contractor/supplier lien for unpaid work or materials. HRS 507 in Hawaii.	hawaii
Mechanics lien	Lien on property for unpaid labor/materials. Must be filed within statutory window.	title
Megan's Law	Sex offender registration disclosure. State-specific agent duty rules.	national
Mill / millage rate	1/1000 of \$1. Property tax expressed as mills per \$1 of assessed value.	math
Mill rate	Property tax rate. Tax = Assessed Value × (mills ÷ 1,000).	math
Misrepresentation	False statement of material fact. Innocent, negligent, or fraudulent.	agency
Mortgage	Security instrument creating lender's lien on property.	finance
Mrs. Murphy exemption	Owner-occupied 1-4 unit dwelling — limited federal Fair Housing exemption. Hawaii doesn't honor it. <i>Hawai'i: HRS 515 has no Mrs. Murphy carve-out; small landlords here must still comply.</i>	fair-housing
Net lease	Tenant pays rent + some property expenses. Triple-net (NNN) = tenant pays taxes, insurance, AND maintenance.	management
Net listing	Broker keeps amount above seller's minimum. Disfavored or banned.	agency
Net Operating Income (NOI)	Gross income - vacancy - operating expenses. Excludes debt service + taxes.	investment
NOI	Net Operating Income. Gross Income - Vacancy - Operating Expenses.	math
Nonconforming use	Existing use that no longer matches current zoning but is allowed to continue (grandfathered).	land-use
Novation	Substitution of new party or new contract by mutual agreement.	contracts
Offer	Definite proposal communicated with intent to be bound on acceptance.	contracts

TERM	DEFINITION	DOMAIN
Operating expense ratio	Operating expenses ÷ effective gross income. Lower = more efficient property.	investment
Option contract	Right (not obligation) to buy at stated price within stated time.	contracts
Patent defect	Obvious defect visible on reasonable inspection.	national
PB (Principal Broker)	Hawaii broker designated to supervise a firm. Required by HRS 467. <i>Hawai'i: Every Hawaii brokerage must have one designated PB.</i>	hawaii
Percentage lease	Rent = base + % of tenant's gross sales. Common in retail.	management
Periodic tenancy	Lease that renews automatically (month-to-month).	national
PITI	Principal, Interest, Taxes, Insurance. Total monthly housing payment.	finance
Planned Unit Development (PUD)	Combination of individual unit ownership + shared common areas governed by HOA.	property
PMI	Private Mortgage Insurance. Required above 80% LTV conventional.	finance
PMM	Purchase Money Mortgage. Seller-financed mortgage at sale.	finance
Point (discount)	1% of loan amount, paid at closing to buy down interest rate.	math
Police power	Government authority to regulate for health, safety, welfare. Source of zoning.	national
Power of attorney	Written authority for another to act for you.	agency
Prepayment penalty	Fee for paying off loan early. Restricted on most owner-occupied mortgages.	finance
Prescriptive easement	Easement acquired by open, notorious, continuous use for the statutory period (similar to adverse possession but use, not ownership).	land-use
Principal	(1) Loan amount. (2) Person agent represents.	finance
Probate	Court process administering deceased's estate.	title
Procuring cause	Origin of unbroken chain producing sale. Determines commission entitlement.	agency
Property management	General agency: collect rents, maintain property, handle tenants.	agency
Property management agreement	Written contract authorizing a manager to operate property for owner. Creates general agency.	management
Proration	Splitting shared expenses at closing.	math
Protected classes (federal)	Race, color, religion, national origin, sex, familial status, disability. Seven federal classes.	fair-housing

TERM	DEFINITION	DOMAIN
PUD	Planned Unit Development. Own lot + share in common areas.	national
Puffing	Subjective sales talk. Not actionable as misrepresentation.	agency
Quiet title action	Lawsuit to remove clouds on title and establish clear ownership.	closing
Quitclaim deed	Conveys whatever interest grantor has. No warranties.	title
RB / RS license	Hawaii license abbreviations: RB = Real Estate Broker; RS = Real Estate Salesperson.	hawaii
Real Estate Commission (REC)	Hawaii regulator. Sets rules, investigates, disciplines licensees.	hawaii
Real property	Land + permanent attachments + ownership rights.	national
Reasonable accommodation	Required adjustment to rules/policies so a disabled person can equally use housing (e.g., service animal in no-pet building).	fair-housing
Reasonable modification	Required structural change a disabled tenant may make (at their cost) to use housing.	fair-housing
Recording	Filing document with county recorder. Provides constructive notice.	title
Recovery Fund	Hawaii fund paying judgments against licensees who can't pay. Funded by license fees. <i>Hawaii: HRS 467-16 — max \$25K per transaction, \$50K per licensee.</i>	hawaii
Redlining	Refusing to lend/insure in protected-class areas. Illegal.	national
Remainderman	Party who receives a life estate property after the life tenant dies.	property
Rescission	Termination of contract returning parties to pre-contract position.	contracts
RESPA	Real Estate Settlement Procedures Act. Loan Estimate + Closing Disclosure rules.	finance
Reverse mortgage	Loan against home equity for seniors. Repaid when borrower dies/moves/sells.	finance
Reversionary interest	Grantor's right to get the property back after a life estate ends.	property
Riparian rights	Rights of owner of land bordering a watercourse.	national
Salesperson license	Hawaii entry-level license. 18+, 60-hr course, PSI exam, sponsoring broker.	hawaii
Sea level rise zone	Hawaii planning overlay flagging properties at risk from coastal flooding by 2050+. Disclosure may apply.	hawaii
Section (survey)	1 square mile = 640 acres in the federal rectangular survey system.	math
		management

TERM	DEFINITION	DOMAIN
Security deposit (Hawaii)	Hawaii caps residential at 1 month's rent. Must be returned within 14 days with itemized deductions. <i>Hawaii: HRS 521-44 — 14 days, not 30.</i>	
Sellers market	Demand exceeds supply; prices rise.	national
Setback	Required distance between structure and property line.	national
Settlement statement	Itemized list of all debits and credits for buyer and seller at closing.	closing
Severalty	Sole ownership by one person or entity.	national
Sheriff's deed	Deed issued by court after judicial foreclosure or execution sale.	title
SMA	Special Management Area. Hawaii coastal-zone regulation.	hawaii
Solar water heater requirement	Hawaii law requires solar water heaters on most new single-family construction since 2010. <i>Hawaii: HRS 196-6.5 — variance available but rarely granted.</i>	hawaii
Special Management Area (SMA)	Hawaii coastal zone with extra permitting requirements. Restricts shoreline development. <i>Hawaii: HRS 205A — protects shoreline; permits required for most coastal projects.</i>	land-use
Specific performance	Court orders actual conveyance. Buyer's remedy for seller breach.	contracts
Spot zoning	Singling out one parcel for different treatment. Generally unconstitutional.	national
Square foot pricing	Sale price ÷ living-area square feet. Used in comparative market analysis.	math
Statute of Frauds	Real estate contracts must be in writing.	contracts
Steering	Channeling buyers based on protected class. Fair housing violation.	national
Stigmatized property	Property with non-physical issue (death, crime). Disclosure rules vary by state.	national
Subagency	Agent's authority delegated to another agent.	agency
Subdivision	Division of land into lots for sale or development.	national
Sublease	Tenant rents some or all of leasehold to a third party while remaining liable to landlord.	management
Subordination	Voluntarily lowering lien priority to allow new senior lien.	finance
Survey	Professional measurement and mapping of parcel boundaries.	national
Tax deed	Deed issued after sale of property for unpaid taxes.	title
TCT	Transfer Certificate of Title. Hawaii Land Court conclusive title document.	hawaii
Tenancy at sufferance	Tenant holds over after lease ends without landlord consent.	property

TERM	DEFINITION	DOMAIN
Tenancy at will	Lease terminable by either party at any time.	national
Tenancy by the entirety	Spousal co-ownership with survivorship + creditor protection.	national
Tenancy in common	Co-ownership with separate inheritable shares. No survivorship.	national
TILA	Truth in Lending Act — requires lender disclosure of APR, finance charge, total loan cost.	closing
Time is of the essence	Deadlines strictly enforced. Late performance = breach.	contracts
Time share	Right to occupy unit for set period each year. <i>Hawaii'i: HRS 514E governs disclosures and 7-day rescission.</i>	national
Time-share	Ownership of intervals of use, typically in resort property. Heavily regulated in Hawaii. <i>Hawaii'i: HRS 514E requires 7-day rescission period for buyers.</i>	property
Title insurance	Protects against title defects existing at closing.	title
TMK	Tax Map Key. Hawaii's parcel ID: Zone-Section-Plat-Parcel(-CPR).	hawaii
Township (survey)	36 sections = 36 square miles in the rectangular survey system.	math
TRID	TILA-RESPA Integrated Disclosure rule — combined Loan Estimate + Closing Disclosure forms.	closing
Trust account	Separate account for client/customer funds. No commingling.	agency
Trust account (PM)	Separate account where property managers hold rents + deposits. Commingling is illegal. <i>Hawaii'i: HRS 467 requires separate broker trust accounts; misuse = license revocation.</i>	management
Trustee's deed	Deed issued by trustee after non-judicial foreclosure under power of sale.	title
Truth in Lending Act / Reg Z	Federal law requiring APR disclosure and standardized loan cost format.	finance
Unilateral contract	One party makes a promise; other accepts by performance (e.g., reward).	contracts
Universal agent	Authority to act in all matters. Power of attorney.	agency
Usury	Charging interest above legal cap. HRS 478 in Hawaii.	hawaii
VA loan	Veterans Affairs guaranteed loan. No PMI; often no down payment.	finance
Vacancy and credit loss	Estimated lost income from empty units + tenants who don't pay. Deducted to find effective gross income.	investment
Variance	Narrow exception to zoning for unique hardship.	national

TERM	DEFINITION	DOMAIN
Voidable contract	Contract one party can elect to void (e.g., minor's contract).	contracts
Warrantable condo	Project meeting Fannie/Freddie standards. Easier to finance.	finance
Warranty deed	Deed with grantor warranties of title quality.	title
Zoning	Public regulation dividing land into use districts.	national

APPENDIX E

Instructor Evaluation Instrument

The following form is presented to every student upon completion of the Course. Responses are collected anonymously, tabulated quarterly, and retained for three years.

STUDENT EVALUATION OF INSTRUCTOR — RALPH FOULGER'S ACADEMY OF REAL ESTATE

For each statement below, please indicate your agreement on a scale of 1 (Strongly Disagree) to 5 (Strongly Agree). Your responses are anonymous and will be reviewed quarterly to improve the Academy's instructional quality.

#	STATEMENT	SCALE
1	The instructor demonstrated thorough knowledge of the subject matter.	1 — 2 — 3 — 4 — 5
2	Course content was presented clearly and at an appropriate pace.	1 — 2 — 3 — 4 — 5
3	The instructor was responsive to student questions.	1 — 2 — 3 — 4 — 5
4	Examples used in instruction were relevant to Hawai'i practice.	1 — 2 — 3 — 4 — 5
5	The instructor began and ended class sessions on time.	1 — 2 — 3 — 4 — 5
6	Course materials were complete, accurate, and free of errors.	1 — 2 — 3 — 4 — 5
7	Assessment items (quizzes and exams) fairly reflected the material taught.	1 — 2 — 3 — 4 — 5
8	I feel prepared to take the PSI Real Estate Salesperson Examination.	1 — 2 — 3 — 4 — 5
9	I would recommend this Course to another aspiring licensee.	1 — 2 — 3 — 4 — 5

OPEN-ENDED QUESTIONS

- What aspect of the instruction did you find most valuable?

- What aspect of the instruction would you recommend improving?
- Are there topics you wish had received more attention?
- Any additional comments for the Principal Instructor or the Real Estate Commission?

APPENDIX F

Statutory & Regulatory Authorities Cited

Hawaii's Revised Statutes

CHAPTER	SUBJECT MATTER
HRS 205	State Land Use Commission
HRS 205A	Coastal Zone Management; Special Management Area
HRS 235-68	Hawaii's Real Property Tax Act (HARPTA)
HRS 237	General Excise Tax
HRS 247	Conveyance Tax
HRS 436B	Uniform Professional and Vocational Licensing Act
HRS 449	Escrow Depositories
HRS 467	Real Estate Brokers and Salespersons
HRS 478	Interest and Usury
HRS 480	Monopolies, Restraint of Trade; Disclosure (Agreement of Sale)
HRS 484	Uniform Land Sales Practices Act
HRS 489	Public Accommodations
HRS 501	Land Court Registration
HRS 502	Bureau of Conveyances; Regular System Recording
HRS 508D	Mandatory Seller Disclosures in Real Estate Transactions
HRS 514B	Condominium Property Act
HRS 514E	Time-Share Plans
HRS 515	Discrimination in Real Property Transactions
HRS 521	Residential Landlord-Tenant Code
HRS 667	Foreclosures

Hawai'i Administrative Rules

CITATION	SUBJECT MATTER
HAR Title 16	Department of Commerce and Consumer Affairs
HAR §16-99	Real Estate Brokers and Salespersons (Subchapters 1–10)
HAR §16-99 (Sub. 5)	Registered Real Estate Schools (the Academy's governing authority)
HAR §16-99-12	Trust Accounts
HAR §16-99-36	Education Requirement
HAR §16-99-37	Education Equivalency
HAR §16-99-44	Disclosure of Agreement of Sale Information
HAR §16-99-99	Application for Registration as Continuing Education Provider
HAR §16-99-100	Refund Standards

Federal Authorities

AUTHORITY	SUBJECT MATTER
15 USC §§1–7 (Sherman Act)	Antitrust; per se restraints
15 USC §1601 et seq. (TILA)	Truth-in-Lending Act / Regulation Z
12 USC §2601 et seq. (RESPA)	Real Estate Settlement Procedures Act / Regulation X
15 USC §1691 et seq. (ECOA)	Equal Credit Opportunity Act
42 USC §3601 et seq.	Federal Fair Housing Act (Title VIII of the Civil Rights Act of 1968)
42 USC §12101 et seq. (ADA)	Americans with Disabilities Act
29 USC §794 (§504)	Rehabilitation Act of 1973
42 USC §4851 (Title X)	Residential Lead-Based Paint Hazard Reduction Act of 1992
42 USC §9601 et seq. (CERCLA)	Comprehensive Environmental Response, Compensation and Liability Act
16 CFR Part 255	FTC Endorsement Guides
24 CFR Part 35	HUD Lead-Based Paint Disclosure Rule

APPENDIX G

Sample Certificate of Completion

The following is the visual specimen of the Certificate of Completion issued to a student upon satisfaction of all completion criteria. Each Certificate is individually numbered, signed by the Principal Instructor, and recorded in the Academy's permanent register.

CERTIFICATE OF COMPLETION

Ralph Foulger's Academy of Real Estate

This is to certify that

**{ STUDENT FULL
NAME }**

has successfully completed the requirements of the
Hawai'i Salesperson Prelicensing Curriculum

consisting of sixty-four (64) hours of instruction in accordance with
Hawai'i Revised Statutes §467-9(a)(2)(B), on this

{ DAY } day of { MONTH }, 20{ YY }

Ralph S. Foulger
PRINCIPAL INSTRUCTOR & FOUNDER

Cert No. [XXXX-YYYY]
UNIQUE IDENTIFIER

REGISTERED REAL ESTATE PRELICENSE SCHOOL · STATE OF HAWAII REAL ESTATE COMMISSION

The Certificate is printed on tamper-evident bond paper, signed in ink, and embossed with the Academy seal. A duplicate of each Certificate is retained in the Academy's permanent register and recorded under the Certificate's unique identifier, retrievable upon request by the student, PSI, or the Commission for verification.

HAWAI'I REAL ESTATE SALESPERSON LICENSE

One book. The *entire* path to your license.

This is the complete textbook for the Hawai'i Real Estate Salesperson License — the only volume a candidate needs. The full course of study, the entire question bank with every answer explained, the real-estate mathematics, and a complete glossary are gathered here in a single book, written and taught by an instructor with more than fifty years in Hawai'i real estate.

INSIDE THIS VOLUME

- ◇ Twenty complete chapters — eleven national, nine Hawai'i — every lesson and key concept in full
- ◇ 2,290 practice questions, each with all options, the correct answer, and a full explanation
- ◇ Every exam math type, worked step by step
- ◇ A complete real-estate glossary, with the Hawai'i terms set apart
- ◇ Aligned to the State of Hawai'i Real Estate Commission exam blueprint

Ralph S. Foulger has been licensed in Hawai'i as a salesperson since 1972 and as a broker since 1987, holds the CPM designation, and is a state-certified instructor across all three license tracks. He founded the Academy in 1996 and has taught Hawai'i real estate for three decades.

RALPH FOULGER'S ACADEMY OF REAL ESTATE

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